



भारत स्टील  
Bharat Steel

# RINL-VIZAG STEEL...

aiding अलानोरबेहार बेहार

## 43<sup>rd</sup> ANNUAL REPORT 2024-25



### RASHTRIYA ISPAT NIGAM LIMITED

( A Govt. of India Enterprise )

CIN: U27109AP1982GOI003404

#### Visakhapatnam Steel Plant

Visakhapatnam-530031, Andhra Pradesh

ISO 9001:2015, ISO 14001:2015, ISO 27001:2013, ISO 50001:2018 & OHSMS 45001:2018 Certified Company



@RINL VIZAG STEEL



@RINL\_VSP



r.i.n.l

[www.vizagsteel.com](http://www.vizagsteel.com)



**Shri H.D. Kumaraswamy**

Hon'ble Minister of Steel and  
Heavy Industries, Govt. of India



**Shri Bhupathi Raju Srinivasa Varma**

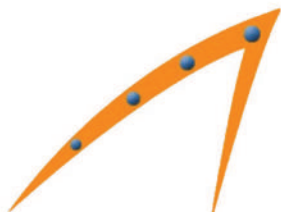
Hon'ble Minister of State for  
Steel and Heavy Industries, Govt of India



**Shri Sandeep Poundrik**

Secretary, Ministry of Steel,  
Government of India.

**RINL - VISION**



*To be the most efficient Steel Maker  
having the largest single location shore  
based steel plant in the country.*



## BOARD OF DIRECTORS



**Shri Ajit Kumar Saxena**

Chairman - cum - Managing Director (Addl. Charge)



**Shri Vinod Kumar Tripathi**

Govt. Nominee Director



**Shri Daya Nidhan Pandey**

Govt. Nominee Director



**Shri Arun Kanti Bagchi**

Director (Projects) &  
Addl. Charge  
Director (Personnel)



**Shri GVN Prasad**

Director (Commercial)



**Shri Salim G  
Purushothaman**

Director (Operations)



**Shri Vinay Kumar**

Director (Finance)



**Shri Prateek Tanwar**

Independent Director



**M. Jagadeeshwara Rao**

Company Secretary





## BOARD OF DIRECTORS

### CHAIRMAN-CUM-MANAGING DIRECTOR (CMD)

**Shri Ajit Kumar Saxena**  
(DIN: 08588419) (w.e.f. 29.09.2024)

**Shri Atul Bhatt**  
(DIN: 07639362) (upto 30.11.2024)

### FUNCTIONAL DIRECTORS

**Shri Arun Kanti Bagchi**  
(DIN: 09835584)  
Director (Projects) & Addl. Charge Director (Personnel)

**Shri GVN Prasad**  
(DIN: 10612236)  
Director (Commercial) (w.e.f 01.05.2024)

**Shri Salim G Purushothaman**  
(DIN: 08269250)  
Director (Operations) (w.e.f. 09.03.2025)

**Shri Vinay Kumar**  
(DIN: 11423947)  
Director (Finance) (w.e.f. 12.12.2025)

**Shri Suresh Chandra Pandey**  
(DIN: 10149587)  
Director (Personnel) (upto 30.09.2025)

**Shri CH SRVGK Ganesh**  
(DIN: 10577869)  
Director (Finance) (from 03.04.2024 to 30.04.2025)

**Shri Deb Kalyan Mohanty**  
(DIN: 08520947)  
Director (Commercial) (upto 30.04.2024)

### GOVERNMENT NOMINEE DIRECTORS

**Shri Vinod Kumar Tripathi**  
(DIN: 10711675)  
Joint Secretary, Ministry of Steel  
Govt. Nominee Director (w.e.f 11.06.2025)

**Shri Daya Nidhan Pandey**  
(DIN: 06813608)  
Joint Secretary, Ministry of Steel  
Govt. Nominee Director (w.e.f 11.06.2025)

**Dr Sanjay Roy**  
(DIN: 10045280)  
Joint Secretary, Ministry of Steel  
Govt. Nominee Director (upto 23.05.2025)

**Shri Subodh Kumar Singh, IAS**  
(DIN: 01863607)  
Additional Secretary & Financial Advisor,  
Ministry of Steel, Govt. of India  
Govt. Nominee Director (from 6.11.2024 to 18.12.2024)

**Ms. Sukriti Likhi, IAS**  
(DIN: 01825997)  
Additional Secretary & Financial Advisor,  
Ministry of Steel, Govt. of India  
Govt. Nominee Director (upto 19.08.2024)

### INDEPENDENT DIRECTORS

**Shri Prateek Tanwar**  
(DIN: 11109166) (w.e.f. 16.05.2025)

**Shri Sunil Kumar Hirani**  
(DIN: 09342744) (upto 31.10.2024)

**Shri Ghanshyam Singh**  
(DIN: 09393441) (upto 31.10.2024)

### KEY MANAGERIAL PERSONNEL (KMP)

#### CHIEF FINANCIAL OFFICER (CFO)

**Shri Hemant Kumar Jha**  
(w.e.f 21.05.2025)

**Shri CH SRVGK Ganesh**  
(from 03.04.2024 to 30.04.2025)

**CA V Santa Kumar**  
(upto 02.04.2024)

#### COMPANY SECRETARY

**M Jagadeeshwara Rao**  
(FCS - 8581)





## CORPORATE INFORMATION

### REGISTERED OFFICE

Administrative Building,  
Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP),  
Visakhapatnam - 530 031, Andhra Pradesh.  
Tel: (0891) 2759482 / 2518249  
Website: [www.vizagsteel.com](http://www.vizagsteel.com)  
**CIN: U27109 AP1982 GOI 003404**

### AUDITORS

#### STATUTORY AUDITORS

**M/s. B. V. Rao & Co. LLP,**  
Chartered Accountants,  
Visakhapatnam

#### COST AUDITORS

**M/s. Niran & Co,**  
Cost Accountants, Bhubaneswar

#### SECRETARIAL AUDITORS

**M/s. SVJS & Associates,**  
Company Secretaries, Kochi

### BANKERS

State Bank of India  
Canara Bank  
Union Bank of India  
Indian Bank  
IDBI Bank  
Punjab National Bank  
Bank of Baroda

### REGISTRAR AND SHARE TRANSFER AGENT

#### KFIN TECHNOLOGIES LIMITED

Selenium Tower - B, Plot Nos. 31 & 32,  
Financial District, Nanakramguda,  
Serilingampally, Hyderabad -500 032,  
Telangana, India.  
Telephone: +91 40 67161605/03/ 02,  
Toll free number - 1- 800-309-4001  
Email: [einward.ris@kfintech.com](mailto:einward.ris@kfintech.com);  
[karisma@kfintech.com](mailto:karisma@kfintech.com)  
Website: [www.kfintech.com](http://www.kfintech.com)  
SEBI Registration Number: INR000000221

### SUBSIDIARIES

Eastern Investments Limited (EIL)

#### SUB-SUBSIDIARIES

The Orissa Minerals Development  
Company Limited (OMDC)  
The Bisra Stone Lime Company Limited  
(BSLC)

### JOINT VENTURE COMPANIES

RINL Powergrid TLT Private Limited

### ASSOCIATE COMPANIES

International Coal Ventures Private Limited

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## CHAIRMAN'S ADDRESS

### Dear Stakeholders,

On behalf of the RINL Collective and the Board of Directors, it gives me immense pleasure to welcome you all to the 43<sup>rd</sup> Annual General Meeting of your Company for the financial year 2024-25. I extend my sincere gratitude for your continued support and for sparing your valuable time to attend this meeting. It is both an honour and a privilege to share with you the key developments and performance highlights of your Company during the year. The Directors' Report, Audited Financial Statements, and Notice of AGM have already been circulated, and with your kind permission, I take them as read.



### External Environment

The year 2024 witnessed a slowdown in global steel demand, accompanied by excess capacity in China, which resulted in Chinese steel exports surging to a record level of 118 million tonnes. This surge led to a sharp rise in trade measures worldwide. During 2024 alone, nineteen governments initiated eighty-one anti-dumping investigations involving steel products, representing a fivefold increase over 2023 and nearing the crisis levels last seen in 2016.

According to the Steel Outlook 2025 released by the OECD, global steelmaking capacity is expected to grow further by 165 million tonnes between 2024 and 2027, at a CAGR of 2.2 percent. However, demand during the same period is projected to increase by only 46 million tonnes, with a CAGR of 0.8 percent, which will inevitably lead to a further build-up of excess capacity. In the medium term, up to 2030, the rest of the world is expected to post steady annual growth, while Chinese demand continues to decline. Global steel demand is expected to increase at an average annual rate of 0.7 percent, compared to a production increase of 0.9 percent during 2025–30. India, however, stands out as the main contributor, projected to register a robust CAGR of 6.3 percent in both production and demand.

### Company's Performance

In FY 2024-25, RINL embarked on a significant turnaround amidst a severe liquidity crisis, which by September 2024 had reduced operations to a single Blast Furnace. The Government of India (GoI) extended timely support of ₹1,640 crores, comprising ₹500 crores equity and ₹1,140 crores working capital loan, enabling the re-commissioning of the second Blast Furnace in October 2024. The momentum continued with the support of GoI by way of approval of a comprehensive revival package of ₹11,440 crores in January 2025, which included ₹10,300 crores equity and conversion of the ₹1,140 crores loan into 7% redeemable preference shares.

Pursuant to performance of your company for achievement of targets set in the CCEA approval for revival package, your Company received ₹6,783 crores in January 2025, followed by ₹1,401 crores in April and ₹820 crores in September 2025. The balance equity infusion of ₹796 crores is expected during FY 2025-26. These measures enabled improved production levels and positive EBITDA in the final quarter of the year. The third Blast Furnace was re-commissioned in June 2025, positioning RINL for sustained profitability and long-term viability.

During FY 2024-25, your Company operated in a highly challenging market environment, which had a bearing on both operational and financial performance. Despite these adversities, RINL successfully achieved its production commitments. Hot Metal production stood at 3.913 million tonnes against a target of 3.902 million tonnes, while Saleable Steel production reached 3.459 million tonnes against a target of 3.450 million tonnes. This reflects a 100% fulfillment of the planned targets, underscoring the resilience and commitment of the RINL collective.

### Share capital

In view of the infusion of capital, the authorised share capital of your Company was increased in two stages i.e., from ₹8,000 crores to ₹15,000 crores, and thereafter from ₹15,000 crores to ₹40,000 crores to accommodate infusion of funds by way of allotment of shares.

### Production

The financial year 2024-25 was marked by severe challenges in the first half due to raw material shortages, a critical liquidity crunch, and industrial relations issues (IR) at M/s. AGPL (Adani Gangavarm Port Limited), and judicial orders impacting coal logistics, which forced Blast Furnaces 1 and 3 into shutdown and restricted operations to technological minimum levels. However, with timely relief and support from the Government of India and the Ministry of Steel, a calibrated



revival was initiated in September 2024, enabling the re-commissioning of Blast Furnace-1 on 28<sup>th</sup> October 2024. This turnaround led to a sharp surge in production during the second half, with daily hot metal output from the two operational furnaces surpassing rated capacity and peaking at 15,357 tonnes on 8<sup>th</sup> February 2025, thereby ensuring fulfillment of annual production targets committed to the Government.

**Key milestones:** Key milestones included achieving the best-ever LD Converter lining life in SMS-2 (Converter D) with 10,891 heats in April 2024, the highest since inception, and recording the highest monthly production of Structural Mill products at 66,592 tonnes in January 2025, reflecting 112 percent capacity utilisation.

### Marketing Performance

RINL markets its products through a nationwide network of twenty Branch Sales Offices and consignment agent stockyards, functioning under four Regional Offices North, West, South, and Andhra & East. This enables comprehensive market coverage. In the long steel products segment, the Company's strategy focused on producing an optimal product mix to maximise profitability in a competitive landscape dominated by both major integrated producers and numerous secondary sector players.

RINL maintained a strong pan-India presence through direct plant sales and its extensive channel partner network, enabling it to meet diverse steel requirements across the country. In FY 2024-25, your Company ranked as the fourth largest producer of bars, rods, and structurals, capturing a market share of 4.41 percent. Further, direct dispatches grew by 11 percent, reaching 1.458 million tonnes compared to 1.311 million tonnes in the previous year.

RINL, Vizag Steel, has reinforced its commitment to nation-building by supplying steel to several prestigious infrastructure projects, including the Central Vista Executive Enclave, Thal Sena Bhavan, Delhi International Airport, Zojila Tunnel, Mumbai-Ahmedabad High-Speed Rail, Navi Mumbai International Airport, and multiple Metro Rail projects across the country. The Company also contributed to major initiatives such as the Paradeep Refinery Expansion, Teesta-V Hydel Project, AIIMS Madurai and National Expressways, in addition to supporting roads, railways, power, irrigation, housing and construction projects nationwide.

### Materials Management

Your Company placed continued focus on optimising input costs, reducing ocean freight, and diversifying critical raw materials such as coking coal, iron ore, and boiler coal. Transparency in procurement was ensured through the Integrity Pact, adherence to ISO-aligned Quality Management Systems, and 5S workplace standards.

**Procurement through GeM:** On the Government e-Marketplace (GeM), RINL secured the second-highest procurement among Steel Ministry CPSEs, placing 1,052 contracts valued at about ₹1,034.37 crores. The key procured items included ferro alloys, refractories, chemicals, instrumentation components, and mechanical and electrical spares.

### Mining and Raw Material Security

To strengthen raw material security, RINL continued its efforts through its subsidiary, OMDC, towards operationalising its captive iron ore and manganese mines in Odisha.

The Bagiaburu Iron Ore Mine (21.52 Ha) is operational, with statutory clearances valid up to October 2041 and a production capacity of 0.36 MTPA.

However, due to non-availability of certain statutory clearances, operations at the Belkundi and Bhadrasahi Iron Ore & Manganese Mines have remained suspended. OMDC is actively pursuing the matter with the concerned authorities and exploring the option of filing a Review Petition against the Hon'ble Supreme Court order dated 16.05.2025 to resume operations at the earliest.

Looking ahead, OMDC is in the process of obtaining Environmental Clearance for Belkundi Mines and finalising tenders for exploration at Bagiaburu to enhance production capacity.

### Finance

Your Company successfully renewed working capital sanctions from existing lenders and achieved significant savings through optimised utilisation of Input Tax Credit, averaging ₹181 crores per month, including ₹130 crores in Andhra Pradesh, thereby reducing cash outflow on account of GST. Additionally, the Company received income tax refunds amounting to ₹24.75 crores during the year.

During the year under review, your Company recorded a significant improvement in its financial position. The opening net worth as on 1<sup>st</sup> April, 2024 stood at a negative ₹4,538 crores. With equity infusions amounting to ₹7,283 crores during FY 2024-25 and after accounting for a comprehensive loss of ₹1,607 crores for the year, the net worth improved to a positive ₹1,137.47 crores as on 31<sup>st</sup> March, 2025 with turnover of ₹18,288 crores.



The GoI support with the approved Revival Package and the continued operational turnaround enabled the Company to report positive EBITDA and cash profit during the last quarter of FY 2024-25, laying the foundation for sustained profitability in the coming years.

### Dividend

Considering the present financial position, the Company is not in a position to declare any dividend for the financial year 2024-25.

### Contribution to the exchequer

RINL contributed a total of ₹3,241.11 crores during FY 2024-25:

- ❖ ₹2,801.11 crores to the Central Exchequer.
- ❖ ₹439.99 crores to the State Exchequer.

### Projects

Capital expenditure for the year stood at ₹234.46 crores, surpassing the target. Significant projects commissioned during the year included the revamp of Electrostatic Precipitator-4 in the Thermal Power Plant to enhance emission control, the installation of Nitrogen Pressure Reducing Stations for all three Blast Furnaces under the Nitrogen Line to PCI Complex project. Also the Air Separation Plant (ASP-BOO) was taken over from M/s ALIH on 03<sup>rd</sup> May 2025 by RINL.

### MOU Performance

RINL was exempted from signing MoU with the Ministry of Steel for FY 2024-25.

### R&D and Innovation

Your Company's Research & Development Centre continued to focus on innovation, product development, and process improvement with emphasis on decarbonisation and sustainability.

During the financial year 2024-25, your Company filed 3 new patent applications, which are currently under the process of granting. These are in addition to existing 13 patents and 5 copyrights of your company's IPR portfolio. During the year, two new R&D projects were initiated, while twelve ongoing projects were continued. Ten carbonisation tests using bio-char blends were conducted, demonstrating the Company's efforts toward sustainable steelmaking.

The R&D expenditure stood at ₹5.78 crores, representing 0.03% of the sales turnover.

### Environment Management & Sustainability initiatives

RINL remains committed to sustainability and environmental stewardship. In FY 2024-25, your Company recovered 982 million gallons of wastewater through ultrafiltration and RO systems, and reused 625 million gallons of rainwater collected through harvesting initiatives. To reinforce sustainable practices, eighty-five Environmental Management Programmes were implemented across various departments. Some of the major initiatives include evacuation of pond ash for filling of low lying areas and provided dry flyash to cement companies free of cost.

Your Company also used 48,357 tonnes of BOF briquettes in LD converters as a substitute for traditional coolants and 306,607 tonnes of micro pellets in sinter making as a partial replacement for iron ore fines and fluxes. Furthermore, the augmentation of Electrostatic Precipitator of Boiler-4 in the Thermal Power Plant was successfully undertaken.

### Corporate Social Responsibility (CSR)

Your Company's CSR initiatives are firmly aligned with the provisions of the Companies Act, 2013 and the Guidelines of the Department of Public Enterprises, with due emphasis on the principles of inclusive growth and sustainability. However, given the financial position of the Company and the losses incurred, there was no obligation to spend on CSR during the year, and hence no expenditure has been incurred under this head.

Corporate Social Responsibility continues to remain an integral part of your company's ethos. Your Company remains firmly committed to contributing towards inclusive growth and social development. Although there was no CSR spending obligation during the year due to financial constraints, your company reiterates its assurance that, as and when financial conditions permit, it will continue to contribute meaningfully in this area. The Annual Report on CSR, as required under the law, forms part of the 43<sup>rd</sup> Annual Report placed before you.

### Medical & Health Services

Healthcare services were delivered through the 160-bed Visakha Steel General Hospital (VSGH), RINL/VSP-Township, Ukkunagaram, Visakhapatnam supported by outreach clinics and three primary health centers at Pedagantyada (Visakhapatnam district, A.P.), Jagayyapeta (NTR district, A.P.), and Madharam (Khammam, district, Telangana). VSGH

has received approval to offer paramedical courses and will soon commence DNB diploma programmes in Anaesthesia and Paediatrics. In collaboration with the Serum Institute of India, a camp was organised to vaccinate 350–400 girls against cervical cancer.

### Corporate Governance

Your Company continues to uphold the highest standards of Corporate Governance. During FY 2024-25, RINL's self-evaluation on compliance with DPE Guidelines on Corporate Governance for CPSEs was rated "Excellent."

A separate section on Corporate Governance has been included in the Directors' Report. Additionally, a Certificate for compliance with conditions of Corporate Governance, as mandated under DPE Guidelines, has been obtained from a peer-reviewed Practising Company Secretary. In line with statutory requirements, your company has conducted Secretarial Audit by a peer reviewed Practising Company Secretary for the FY 2024–25.

### Subsidiaries and Joint Ventures

Your Company continues to monitor the performance of its subsidiaries and joint ventures. International Coal Ventures Pvt. Ltd. (ICVL), a joint venture among SAIL, RINL, and NMDC, operates the Benga Mine in Mozambique through its step-down subsidiary, Minas de Benga Lda. The mine recorded a production of 0.53 million tonnes of low-ash coking coal and 0.14 million tonnes of high-ash coking coal during FY 2024–25.

### Looking Ahead

With the support of the Government of India, the re-commissioning of the third Blast Furnace has been accomplished. The ramp-up of operations from all three furnaces is expected to ensure a sustainable turnaround for RINL. With increased production levels, efficiency improvements, and cost reduction initiatives, the Company is poised to sustained profitability and long term viability.

### Acknowledgements

In conclusion, on behalf of the Board of Directors, I place on record our sincere appreciation of the dedication and commitment shown by the employees of RINL and the unstinted support of all stakeholders during challenging times. I wish to express my gratitude to the Ministry of Steel for their continuous guidance and support, and to the Central and State Governments, particularly the Government of Andhra Pradesh, as well as suppliers, customers, ancillary units, bankers, auditors, people's representatives, trade unions, the District Administration, and other agencies for their cooperation and confidence in your Company. With their continued support, I am confident that RINL will achieve greater milestones in the years ahead.

I look forward to your continued support in our journey towards sustained profitability in the coming years.

Thank you.

Jai Hind.

Sd/-

**(Ajit Kumar Saxena)**

(DIN: 08588419)

Chairman-cum-Managing Director (Additional Charge)



## A Glance of Financial Results since inception

(₹ in Crores)

Nos

| Year                      | Turnover | Other Revenue | Gross Income | Raw Materials consumed | Stock(Accretion) / Decretion | Employee Benefits | Depreciation & Amortisation | Interest & Wealth Tax# | Stores, R&M, Power & Other Expenses | Profit / (Loss) before tax | Profit / (Loss) after tax | Capital | Reserves & Surplus | Loans / Buyers Credit | Fixed Assets Gross Block | Total Depreciation | Fixed Assets Net Block | Employees as on 31 <sup>st</sup> March |
|---------------------------|----------|---------------|--------------|------------------------|------------------------------|-------------------|-----------------------------|------------------------|-------------------------------------|----------------------------|---------------------------|---------|--------------------|-----------------------|--------------------------|--------------------|------------------------|----------------------------------------|
| 90-91                     | 243      | 36            | 279          | 175                    | (27)                         | 29                | 197                         | 192                    | 191                                 | (480)                      | (480)                     | 3506    | (480)              | 3924                  | 3720                     | 248                | 3472                   | 14433                                  |
| 91-92                     | 772      | 22            | 794          | 402                    | (70)                         | 54                | 449                         | 437                    | 509                                 | (988)                      | (988)                     | 3506    | (988)              | 5476                  | 5031                     | 704                | 4372                   | 16656                                  |
| 92-93                     | 1185     | 148           | 1333         | 680                    | (152)                        | 77                | 340                         | 198                    | 758                                 | (567)                      | (567)                     | 3706    | (2035)             | 3495                  | 6157                     | 1026               | 5131                   | 17454                                  |
| 93-94                     | 1751     | 156           | 1907         | 875                    | 160                          | 103               | 340                         | 347                    | 655                                 | (573)                      | (573)                     | 6494    | (2608)             | 3474                  | 7326                     | 1365               | 5961                   | 17483                                  |
| 94-95                     | 2209     | 50            | 2259         | 1059                   | (200)                        | 128               | 415                         | 366                    | 855                                 | (364)                      | (364)                     | 6494    | (2972)             | 3735                  | 8289                     | 1747               | 6542                   | 17369                                  |
| 95-96                     | 3040     | 116           | 3156         | 1311                   | (50)                         | 155               | 430                         | 407                    | 1107                                | (202)                      | (202)                     | 6494    | (3174)             | 3831                  | 8392                     | 2177               | 6215                   | 17642                                  |
| 96-97                     | 3135     | 78            | 3213         | 1385                   | (115)                        | 174               | 422                         | 430                    | 1163                                | (247)                      | (247)                     | 6494    | (3421)             | 3735                  | 8548                     | 2819               | 5729                   | 17478                                  |
| 97-98                     | 3071     | 97            | 3168         | 1405                   | (118)                        | 210               | 439                         | 198                    | 1211                                | (177)                      | (177)                     | 6494    | (3598)             | 2205                  | 8592                     | 3037               | 5555                   | 17354                                  |
| 98-99                     | 2762     | 197           | 2959         | 1220                   | 318                          | 255               | 111                         | 361                    | 1151                                | (456)                      | (456)                     | 6494    | (4054)             | 2243                  | 8615                     | 3148               | 5467                   | 17400                                  |
| 99-00                     | 2972     | 154           | 3126         | 1394                   | (95)                         | 272               | 432                         | 382                    | 1303                                | (563)                      | (563)                     | 7827    | (4617)             | 2343                  | 8635                     | 3580               | 5055                   | 17254                                  |
| 00-01                     | 3437     | 181           | 3618         | 1444                   | (103)                        | 408               | 445                         | 351                    | 1364                                | (289)                      | (289)                     | 7827    | (4906)             | 2293                  | 8643                     | 4012               | 4630                   | 17131                                  |
| 01-02                     | 4081     | 153           | 4234         | 1602                   | 62                           | 375               | 475                         | 291                    | 1504                                | (75)                       | (75)                      | 7827    | (4981)             | 1989                  | 8703                     | 4468               | 4235                   | 17026                                  |
| 02-03                     | 5059     | 231           | 5290         | 1806                   | 281                          | 406               | 455                         | 186                    | 1635                                | 522                        | 522                       | 7827    | (4459)             | 1186                  | 8731                     | 4903               | 3828                   | 16894                                  |
| 03-04                     | 6168     | 209           | 6377         | 2050                   | 26                           | 481               | 476                         | 49                     | 1748                                | 1546                       | 1546                      | 7827    | (2913)             | 37                    | 8710                     | 5338               | 3372                   | 16755                                  |
| 04-05                     | 8182     | 286           | 8468         | 3020                   | (310)                        | 490               | 1006                        | 11                     | 1997                                | 2254                       | 2008                      | 7827    | (905)              | 531                   | 8763                     | 6322               | 2441                   | 16613                                  |
| 05-06                     | 8491     | 447           | 8938         | 3585                   | 66                           | 572               | 448                         | 31                     | 2346                                | 1890                       | 1252                      | 7827    | 347                | 458                   | 8832                     | 6754               | 2078                   | 16574                                  |
| 06-07                     | 9151     | 661           | 9812         | 3889                   | 24                           | 741               | 362                         | 49                     | 2525                                | 2222                       | 1363                      | 7827    | 1711               | 917                   | 8876                     | 7085               | 1790                   | 16401                                  |
| 07-08                     | 10433    | 904           | 11337        | 4280                   | (343)                        | 1031              | 488                         | 32                     | 2854                                | 2995                       | 1943                      | 7827    | 3654               | 441                   | 8901                     | 7516               | 1385                   | 16416                                  |
| 08-09                     | 10410    | 924           | 11333        | 5896                   | (917)                        | 1157              | 240                         | 88                     | 2842                                | 2026                       | 1335                      | 7827    | 4593               | 1008                  | 9006                     | 7750               | 1256                   | 17225                                  |
| 09-10                     | 10634    | 758           | 11392        | 5535                   | 415                          | 1400              | 277                         | 78                     | 2439                                | 1248                       | 797                       | 7827    | 5058               | 1233                  | 9474                     | 8009               | 1465                   | 17830                                  |
| 10-11                     | 11517    | 526           | 12043        | 7188                   | (532)                        | 1273              | 266                         | 165                    | 2701                                | 982                        | 658                       | 7827    | 5402               | 1137                  | 9795                     | 8265               | 1530                   | 17829                                  |
| 11-12                     | 14461    | 437           | 14898        | 8472                   | 45                           | 1467              | 345                         | 191                    | 3268                                | 1109                       | 751                       | 7727    | 5932               | 2575                  | 10394                    | 8607               | 1787                   | 18079                                  |
| 12-13                     | 13553 *  | 558           | 14021        | 8099                   | (304)                        | 1469              | 187                         | 360                    | 3684                                | 526                        | 353                       | 6347    | 6131               | 4900                  | 12588                    | 8799               | 3790                   | 18072                                  |
| 13-14                     | 13488 *  | 374           | 13737        | 6967                   | 7                            | 1751              | 271                         | 338                    | 3854                                | 548                        | 366                       | 5740    | 6401               | 4943                  | 13616                    | 9083               | 4533                   | 18371                                  |
| 14-15                     | 11676 *  | 288           | 10689        | 5128                   | (820)                        | 1918              | 271                         | 435                    | 3654                                | 104                        | 62                        | 5190    | 6404               | 7511                  | 14608                    | 9251               | 5357                   | 18137                                  |
| 15-16                     | 12271 *  | 453           | 10512        | 4142                   | 1150                         | 1882              | 366                         | 677                    | 3998                                | (1702)                     | (1604)                    | 4890    | 4979               | 10391                 | 21273                    | 9318               | 11955                  | 17873                                  |
| 16-17                     | 12706 *  | 362           | 12679        | 6945                   | (398)                        | 2164              | 659                         | 768                    | 4231                                | (1690)                     | (1263)                    | 4890    | 3680               | 14206                 | 22935                    | 10007              | 12928                  | 17838                                  |
| 17-18                     | 16618 *  | 413           | 14872        | 8601                   | (186)                        | 2885              | 778                         | 938                    | 3768                                | (1911)                     | (1369)                    | 4890    | 2331               | 16675                 | 27110                    | 10327              | 16783                  | 17617                                  |
| 18-19                     | 20844 *  | 501           | 20839        | 13730                  | (958)                        | 2213              | 1058                        | 1278                   | 3826                                | (307)                      | 97                        | 4890    | 2462               | 19592                 | 30393                    | 11376              | 19016                  | 17574                                  |
| 19-20                     | 15819    | 340           | 16160        | 11597                  | (685)                        | 2621              | 1109                        | 1498                   | 4125                                | (4288)                     | (3910)                    | 4890    | (1618)             | 21741                 | 31840                    | 12481              | 19359                  | 17566                                  |
| 20-21 <sup>(RESTED)</sup> | 17980 *  | 285           | 18263        | 9222                   | 1694                         | 2588              | 1194                        | 1529                   | 3359                                | (1259)                     | (1012)                    | 4890    | (2649)             | 21089                 | 33607                    | 13670              | 19937                  | 16765                                  |
| 21-22                     | 28215 *  | 440           | 28647        | 17806                  | 241                          | 2818              | 1205                        | 1546                   | 4313                                | 942                        | 913                       | 4890    | (1715)             | 17148                 | 34294                    | 14866              | 19428                  | 15696                                  |
| 22-23                     | 22778 *  | 309           | 23038        | 16997                  | (1378)                       | 2711              | 1193                        | 1738                   | 5086                                | (3236)                     | (2859)                    | 4890    | (4499)             | 20424                 | 34545                    | 16054              | 18491                  | 14671                                  |
| 23-24                     | 23168 *  | 238           | 23385        | 16771                  | 1091                         | 2605              | 1294                        | 2173                   | 4772                                | (5218)                     | (4849)                    | 4890    | (9428)             | 18616                 | 34652                    | 17211              | 17441                  | 13460                                  |
| 24-25                     | 18288    | 380           | 18668        | 13289                  | 155                          | 2482              | 1161                        | 2172                   | 4250                                | (5032)                     | (1389)                    | 5390    | (4252)             | 11672                 | 35020                    | 18258              | 16762                  | 10943                                  |

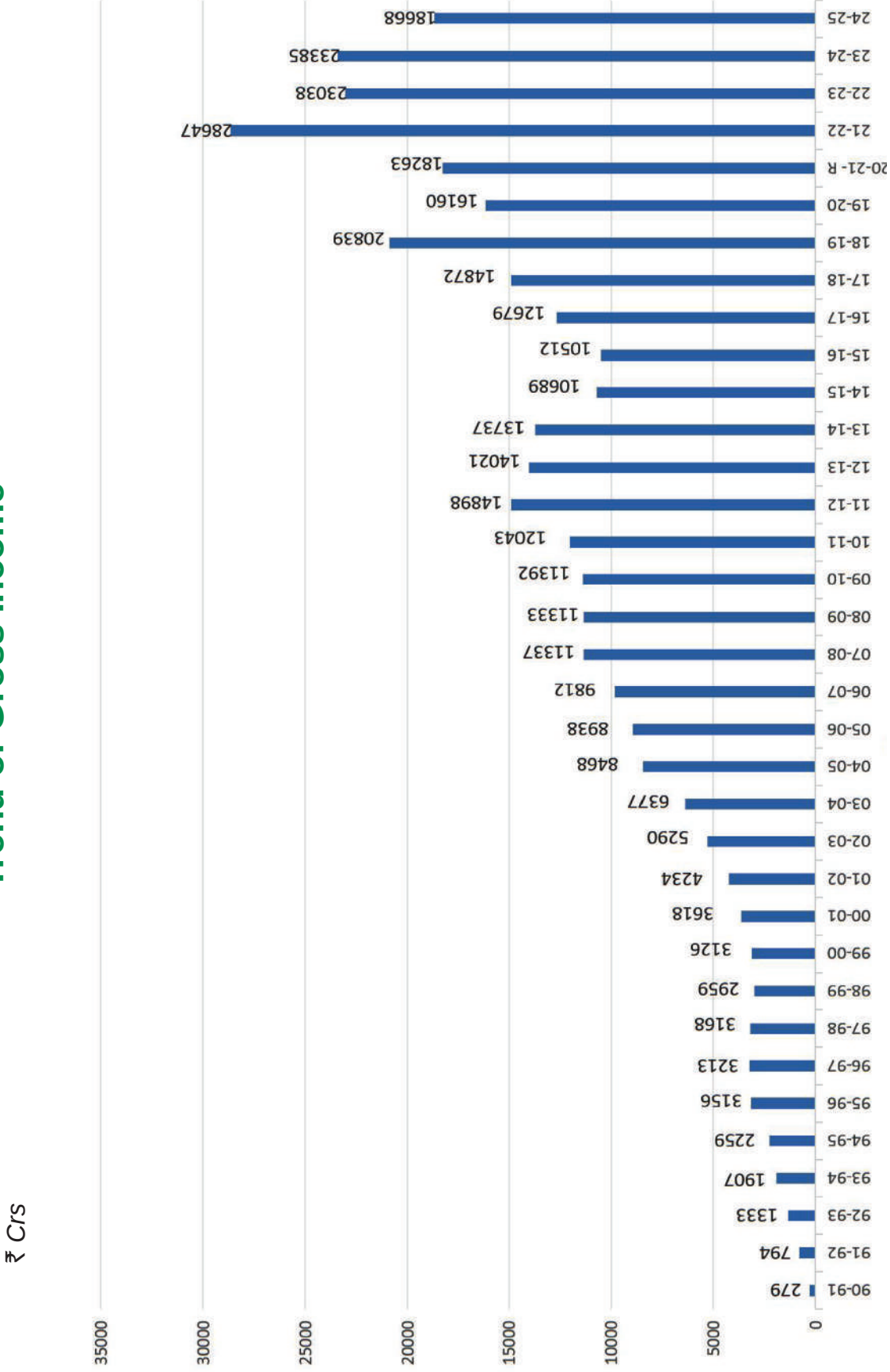
\* Includes sale of trial run sales ₹ 89.83 Crs in 2012-13, ₹ 125.29 Crs in 2013-14, ₹ 1274.51 Crs in 2014-15, ₹ 2211.24 Crs in 2015-16, ₹ 388.99 Crs in 2016-17 and in 2017-18 ₹ 2158.73 Crs, ₹ 506.32 Crs in 2018-19, ₹ 2.55 Crs in 2020-21, ₹ 7.46 Crs in 2021-22, ₹ 48.94 Crs in 2022-23, ₹ 20.79 Crs in 2023-24.

# Wealth tax is not applicable since FY 2015-16

**Note :** 1. Amounts upto FY 14-15 are as per IGAAP and from FY 15-16 onwards are as per IND AS.



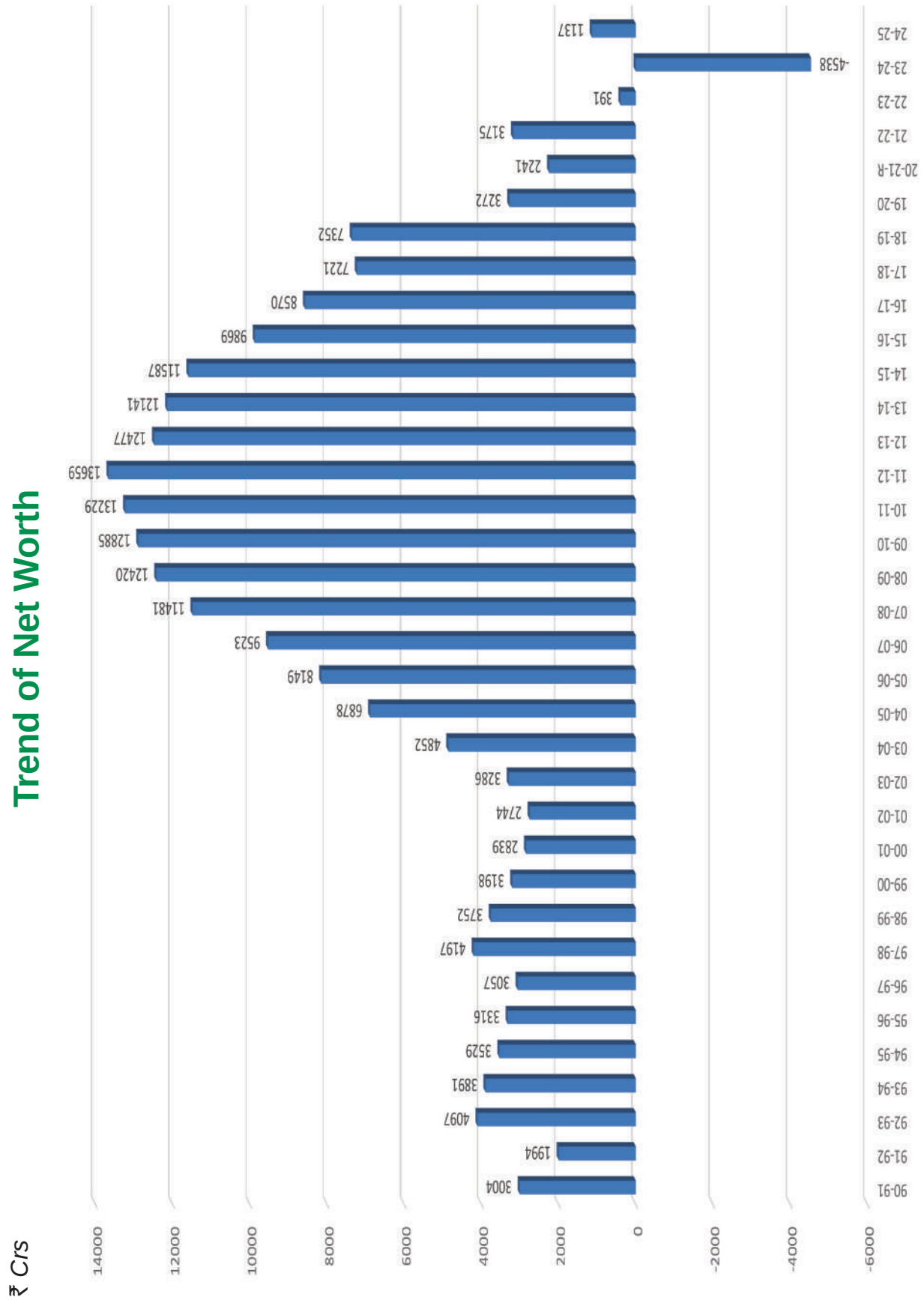
## Trend of Gross Income



Note : Figures upto FY14-15 are as per IGAAP and from FY15-16 onwards are as per IND AS.

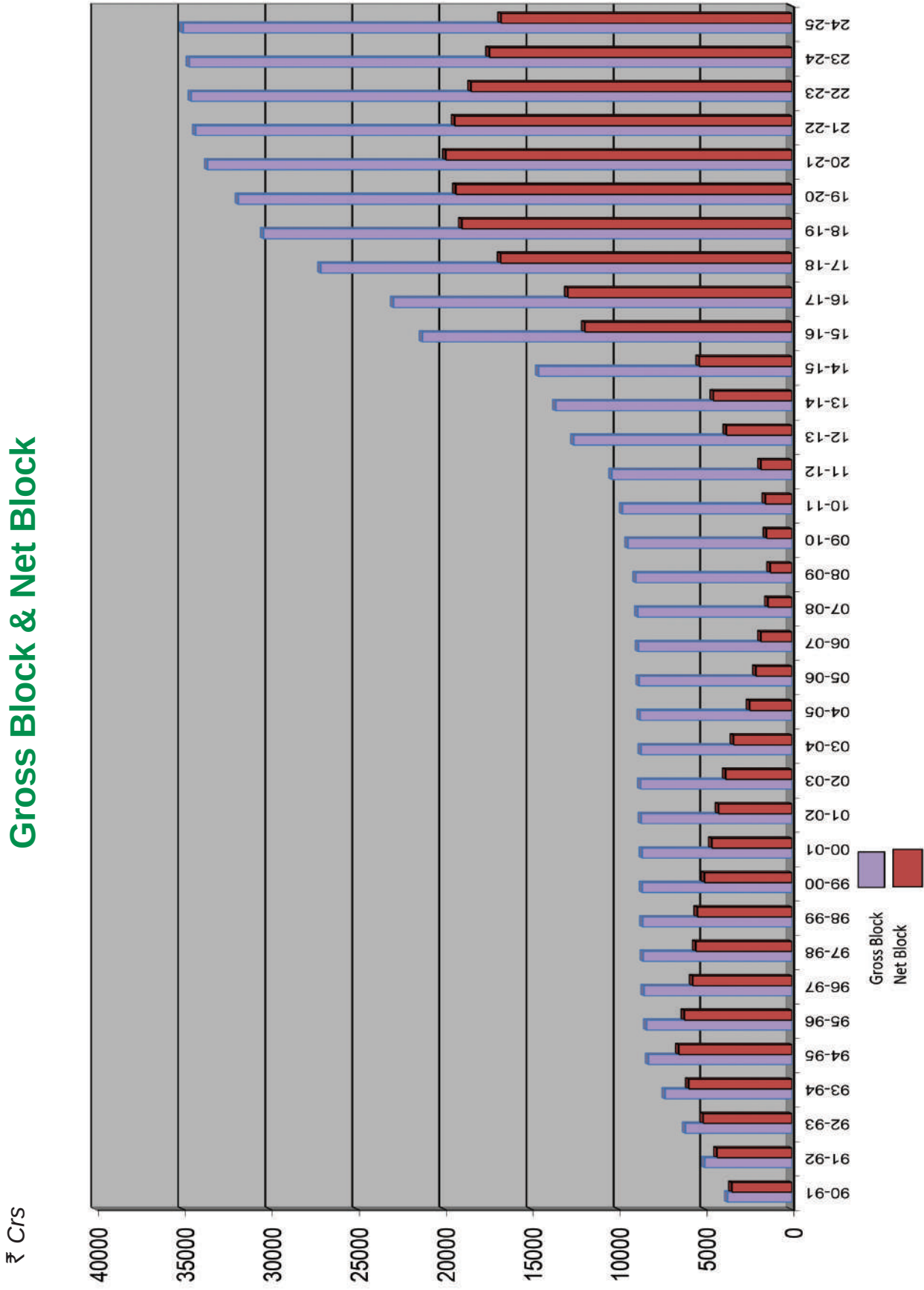


## Trend of Net Worth



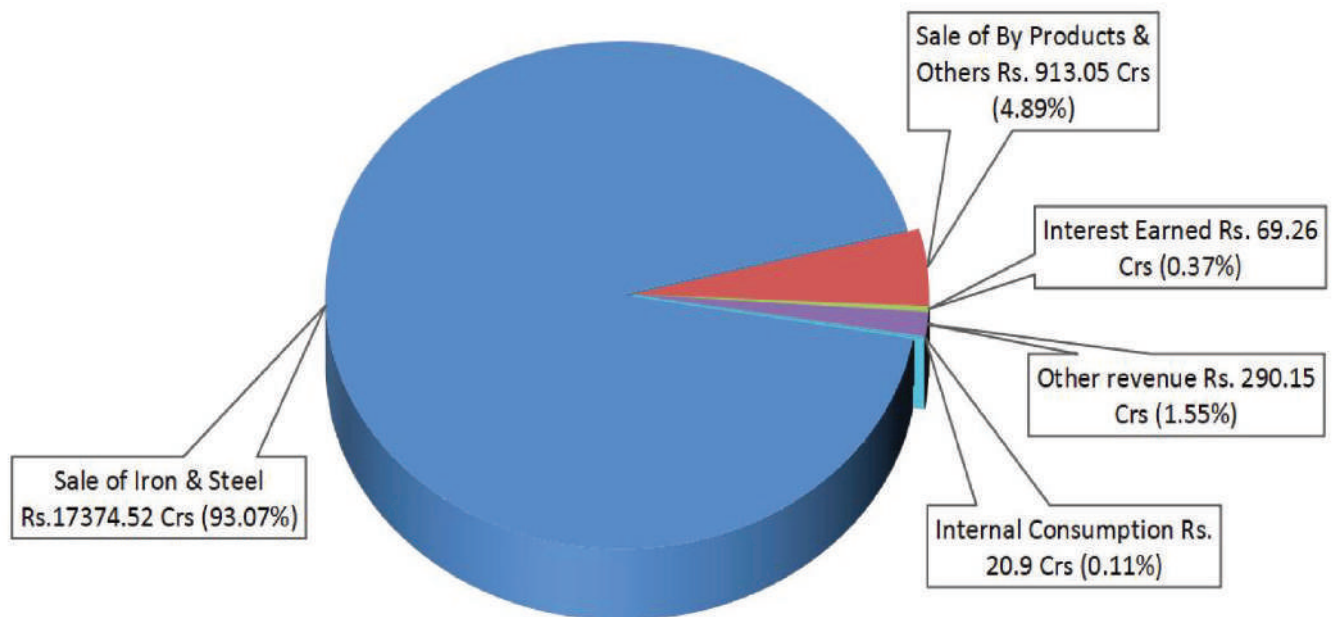
Note: Figures upto FY 14-15 are as per IGAAP and from FY 15-16 onwards are as per IND AS.

## Gross Block & Net Block

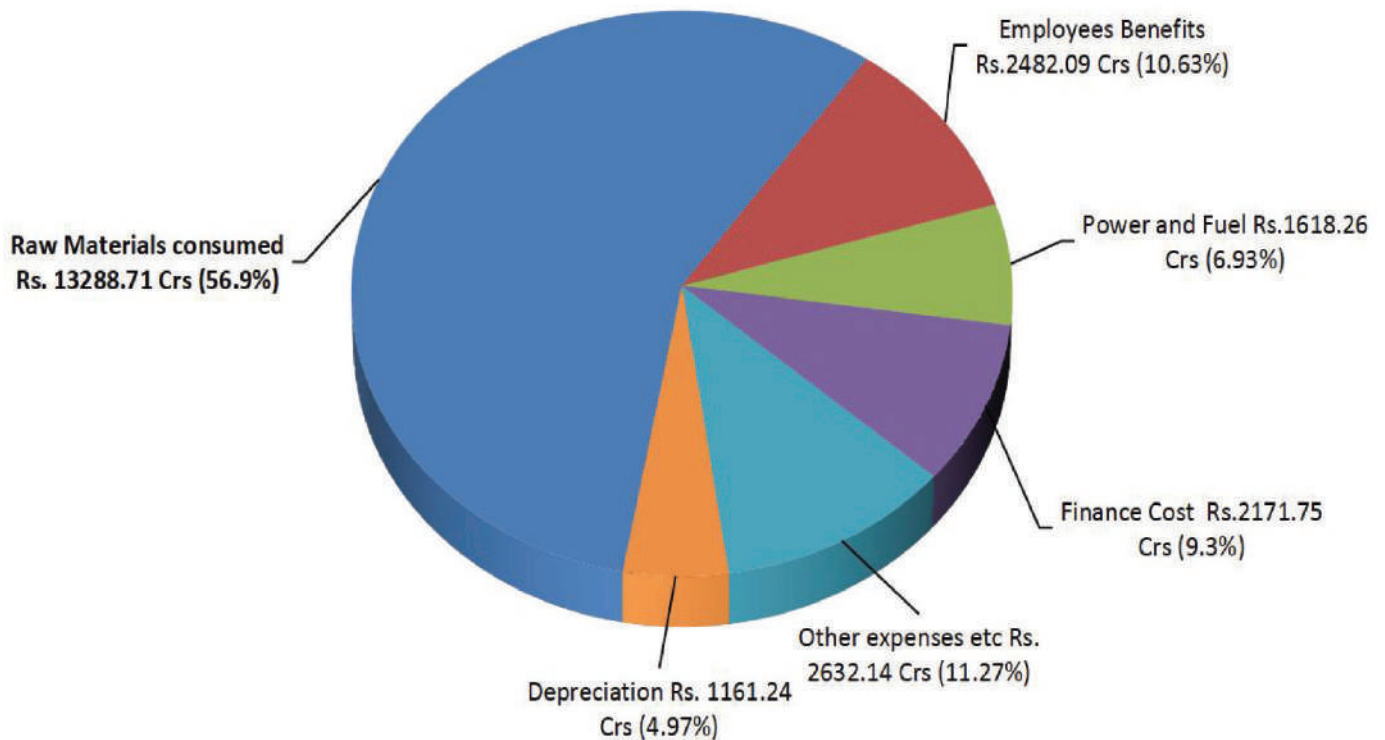


Note : Figures upto FY14-15 are as per IGAAP and from FY15-16 onwards are as per IND AS.

## Break up of Gross Income for 2024-25



## Break up of Expenditure for 2024-25





## FINANCIAL HIGHLIGHTS

|          | Particulars                                             | FY 2024-25 | FY 2023-24 |
|----------|---------------------------------------------------------|------------|------------|
| <b>A</b> | <b>OPERATING RESULTS (₹ Crs)</b>                        |            |            |
|          | Turnover                                                | 18288      | 23168      |
|          | Turnover (Excl. Trial Run)                              | 18288      | 23147      |
|          | Gross Income                                            | 18668      | 23385      |
|          | Gross Expenditure excl Finance cost and incl.Excp.Items | 21528      | 26431      |
|          | Gross Profit (PBIT) incl. Excp.Items                    | (2861)     | (3045)     |
|          | Profit before Tax                                       | (5032)     | (5218)     |
|          | Net Profit After Tax                                    | (1389)     | (4849)     |
| <b>B</b> | <b>YEAR END FINANCIAL POSITION (₹ Crs)</b>              |            |            |
|          | Share Capital                                           | 5390       | 4890       |
|          | Reserves and Surplus                                    | (4252)     | (9428)     |
|          | Capital Employed                                        | 12807      | 14078      |
|          | Net Worth                                               | 1137       | (4538)     |
|          | Gross Block                                             | 35020      | 34652      |
|          | Cumulative Depreciation                                 | 18258      | 17211      |
|          | Net Block                                               | 16762      | 17441      |
|          | Inventory-Semi-finished/finished goods                  | 2251       | 2407       |
| <b>C</b> | <b>PROFITABILITY AND OTHER RATIOS</b>                   |            |            |
|          | <b>(i) Percentage of</b>                                |            |            |
|          | Gross Profit to Sales                                   | (15.6)     | (13.2)     |
|          | Net Profit to Sales                                     | (7.6)      | (20.9)     |
|          | Gross Profit to Net Worth                               | (251.5)    | -          |
|          | Net Profit to Net Worth                                 | (122.1)    | -          |
|          | Gross Profit to Capital Employed                        | (22.3)     | (21.6)     |
|          | Net Profit to Capital Employed                          | (10.8)     | (34.4)     |
|          | Gross Profit to Share Capital                           | (53.1)     | (62.3)     |
|          | Semi/finished goods Inventory to Sales                  | 12.3       | 10.4       |
|          | <b>(ii) Ratio of</b>                                    |            |            |
|          | Current Assets to Current Liabilities                   | 0.4        | 0.3        |
|          | Quick Assets to Current Liabilities                     | 0.1        | 0.1        |
|          | Sales to Capital Employed                               | 1.4        | 1.6        |



## DIRECTORS' REPORT

Dear Members,

On behalf of the Board of Directors of the Company, I am pleased to present the 43<sup>rd</sup> Annual Report of the Company for the financial year ended 31<sup>st</sup> March, 2025. The Report includes the Audited Financial Statements, the Statutory Audit Report, the Secretarial Audit Report, and the Comments of the Comptroller and Auditor General of India on the Financial Statements of the Company.

### BUSINESS PERFORMANCE

The financial year 2024-25 was a landmark year for RINL, marking the beginning of a potential turnaround in the Company's history. Amidst a severe liquidity crisis that forced operations down to a single Blast Furnace by September 2024, the Government of India (GoI) extended timely and crucial support amounting to ₹1,640 crores, detailed as under:

- ◆ Equity Capital Infusion of ₹ 500 crores
- ◆ Working Capital Loan of ₹ 1,140 crores, disbursed on 27.09.2024, to prevent the Company from becoming a Non-Performing Asset (NPA)

This emergency support enabled RINL to re-commission the second Blast Furnace on 28.10.2024, and subsequently, the Company was able to ramp up production from the two operational Blast Furnaces, often exceeding rated capacity.

Subsequently, on 16.01.2025, the Government of India approved a comprehensive Revival Package of ₹ 11,440 crores, comprising:

- ◆ Equity Capital Infusion of ₹ 10,300 crores (inclusive of ₹ 500 crores released earlier in September 2024)
- ◆ Conversion of GoI Loan of ₹ 1,140 crores into 7% Non-Cumulative Redeemable Preference Share Capital (redeemable after 10 years)

Of the ₹ 9,800 crores fresh equity (net of earlier ₹ 500 crores), disbursement was linked to achievement of pre-defined operational targets. Based on performance, RINL received:

- ◆ First Tranche of ₹ 6,783 crores in January 2025
- ◆ Second Tranche of ₹ 1,401 crores in April 2025
- ◆ Third Tranche of ₹ 820 crores in September 2025

As a result of enhanced production levels, operational efficiency improvements, and sustained efforts towards fixed cost reduction, the Company recorded a positive EBITDA (Earnings Before Interest, Tax, Depreciation & Amortization) in the last quarter of the year.

The third Blast Furnace was successfully re-commissioned on 27.06.2025 and is currently under stabilization and ramp-up phase. With all three furnaces in operation and a focused strategy on efficiency and cost control, the Company is well-positioned for further improvement in profitability and to achieve a sustainable turnaround in the near future.

### Financial Performance

During FY 2024-25, the Company continued to operate under a challenging market environment, which impacted operational and financial results. Despite these challenges, the Company achieved production levels in line with targets. Hot Metal production stood at 3.913 million tonnes against a target of 3.902 million tonnes, while Saleable Steel production was 3.459 million tonnes against a target of 3.450 million tonnes, reflecting 100% fulfillment of planned targets.

From a financial perspective, the year commenced with a negative net worth of ₹ 4,538 crores as on 01<sup>st</sup> April, 2024. To support operations and strengthen the financial position of the Company, the Government infused equity aggregating to ₹ 7,283 crores (₹ 500 crores + ₹ 6,783 crores) during the year. After factoring a comprehensive loss of ₹ 1,607 crores for the year, the net worth turned positive and stood at ₹ 1,137 crores as on 31<sup>st</sup> March, 2025.

| Particulars                       | Amount<br>(₹crores) |
|-----------------------------------|---------------------|
| Opening Network (01.04.2024)      | -4,538              |
| Equity Infusion                   | 7,283               |
| Comprehensive Loss for FY 2024-25 | -1,607              |
| Closing Network (31.03.2025)      | 1,137               |

This marked improvement in networth underscores the strong financial support received from the Government and provides a more stable foundation for the Company's future operations, despite the losses recorded in the current financial year.

The Comparative position of major Financial Parameters is given here under:

(₹ in Crores)

| Particulars                                                            | STANDALONE |            |
|------------------------------------------------------------------------|------------|------------|
|                                                                        | FY 2024-25 | FY 2023-24 |
| Turnover including trial run sales                                     | 18287.57   | 23167.76   |
| Profit before finance charges, Tax, Depreciation/Amortisation (PBITDA) | (1,508.44) | (1,835.97) |
| Less: Finance Charges                                                  | 2171.75    | 2173.03    |
| Profit before Depreciation/Amortisation (PBTDA)                        | (3,680.19) | (4,027.00) |
| Less: Depreciation                                                     | 1161.24    | 1294.18    |
| Profit before exceptional items                                        | (4,841.43) | (5,321.18) |
| Less: Exceptional items                                                | 190.56     | (102.72)   |
| Net Profit before Taxation (PBT)                                       | (5,031.99) | (5,218.46) |
| Provision for taxation                                                 | (3,643.37) | (369.60)   |
| Profit/(Loss) after Taxation (PAT)                                     | (1,388.62) | (4,848.86) |
| Provision for proposed dividend                                        | -          | -          |
| Transfer to General Reserve                                            | -          | -          |

## DIVIDEND

The Board of Directors of your Company has recommended not to declare any dividend for the financial year 2024-25 in view of the financial position of the Company.

## SHARE CAPITAL

The Cabinet Committee on Economic Affairs (CCEA) has approved the revival plan for RINL for a total of ₹11,440 crores. The infusion includes ₹10,300 crores as equity capital into Rashtriya Ispat Nigam Ltd. (RINL) and Conversion of ₹1140 crores working capital loan as 7% Non-cumulative Preference Share Capital redeemable after 10 years to keep RINL as a going concern.

Considering the above, during the year under review, your Company undertook two significant enhancements to its authorized share capital through resolutions passed in two Extraordinary General Meetings (EGMs) for enhancement of its authorized share capital (A) from ₹8,000 crores to ₹15,000 crores and (B) from ₹15,000 crores to ₹40,000 crores as follows:

### Authorized share capital - enhancements:

#### (A) From ₹ 8,000 crores to ₹ 15,000 crores in the 14<sup>th</sup> EGM held on 18<sup>th</sup> September, 2024:

The authorised share capital of the Company was increased from ₹ 8,000 crores to ₹15,000 crores, as follows:

| Share Capital            | Pre-Increase                                                  | Post-Increase                                                       |
|--------------------------|---------------------------------------------------------------|---------------------------------------------------------------------|
| Equity                   | 489 crores equity shares of ₹ 10 each<br>(₹4,890 crores)      | 1,189 crores equity shares of ₹ 10 each<br><b>(₹ 11,890 crores)</b> |
| Preference               | 311 crores preference shares of ₹ 10 each<br>(₹ 3,110 crores) | No change<br><b>(₹ 3,110 crores)</b>                                |
| Total Authorised Capital | ₹ 8,000 crore                                                 | <b>₹ 15,000 crores</b>                                              |

Consequent to the above, the Capital Clause of the Memorandum and Articles of Association was amended accordingly.

**(B) From ₹ 15,000 crores to ₹ 40,000 crores in the 15<sup>th</sup> EGM held on 06<sup>th</sup> March, 2025:**

The authorised share capital was further increased from ₹ 15,000 crores to ₹ 40,000 crores as follows:

| Share Capital            | Pre-Increase                                                 | Post-Increase                                                       |
|--------------------------|--------------------------------------------------------------|---------------------------------------------------------------------|
| Equity                   | 1,189 crores equity shares of ₹ 10 each<br>(₹ 11,890 crores) | 3,689 crores equity shares of ₹ 10 each<br><b>(₹ 36,890 crores)</b> |
| Preference               | 311 crores preference shares of ₹10 each<br>(₹ 3,110 crores) | No change<br><b>(₹ 3,110 crores)</b>                                |
| Total Authorised Capital | ₹ 15,000 crores                                              | <b>₹ 40,000 crores</b>                                              |

Consequent to the above, the Capital Clause of the Memorandum and Articles of Association was amended accordingly.

**Post increase status of Authorised Share Capital**

(₹in Crores)

| Share Capital | Pre-14 <sup>th</sup> EGM | Increased in 14 <sup>th</sup> EGM (18.09.2024) | Post-14 <sup>th</sup> / Pre-15 <sup>th</sup> EGM | Increased in 15 <sup>th</sup> EGM (06.03.2025) | Post-15 <sup>th</sup> EGM |
|---------------|--------------------------|------------------------------------------------|--------------------------------------------------|------------------------------------------------|---------------------------|
| Equity        | 4,890                    | 7,000                                          | 11,890                                           | 25,000                                         | <b>36,890</b>             |
| Preference    | 3,110                    | -                                              | 3,110                                            | -                                              | <b>3,110</b>              |
| Total         | 8,000                    | 7,000                                          | 15,000                                           | 25,000                                         | <b>40,000</b>             |

**Equity Share Capital – Rights Issues and Allotments**

During the financial year under review and up to the date of this Report, your Company undertook following rights issues of equity shares for cash at par to the existing shareholders with the objective of augmenting the equity base and meeting operational and financial requirements. The details of these issues and subsequent allotments are as follows:

**(1) ₹500 crores - Rights Issue and Allotment during September - October, 2024.**

The Board of Directors of your Company, at its 364<sup>th</sup> meeting held on 18<sup>th</sup> September, 2024, approved the issue of **50,00,00,000** (Fifty crores) equity shares of ₹10/- each for cash at par, aggregating to **₹500 crores**, on a rights basis to the existing shareholders of the Company, in proportion to their shareholding as on the record date.

Subsequently, the Board on 28-Oct-2024, approved the allotment of the said shares to the Hon'ble President of India (existing shareholder), acting through the Ministry of Steel. These equity shares rank *pari-passu* in all respects with the existing equity shares of the Company.

**(2) ₹6,783 crores - Rights Issue and Allotment during March – April, 2025.**

The Board of Directors of your Company, at its 372<sup>nd</sup> meeting held on 30<sup>th</sup> March, 2025, approved the issue of **678,30,00,000** (Six hundred seventy eight crores thirty lakhs) equity shares of ₹10/- each for cash at par, aggregating to **₹6,783 crores**, on a rights basis to the existing shareholders of the Company, in proportion to their shareholding as on the record date.

Subsequently, the Board of Directors of your Company, at its 373<sup>rd</sup> meeting held on 17<sup>th</sup> April, 2025, approved the allotment of the said shares to the Hon'ble President of India (existing shareholder), acting through the Ministry of Steel. These equity shares rank *pari-passu* in all respects with the existing equity shares of the Company.

**(3) ₹1,401 crores - Rights Issue and Allotment during April-May, 2025**

The Board of Directors of your Company, at its 373<sup>rd</sup> meeting held on 17<sup>th</sup> April, 2025, approved the issue of **140,10,00,000** (One hundred forty crores ten lakhs) equity shares of ₹10/- each for cash at par, aggregating to ₹1,401 crores, on a rights basis to the existing shareholders of the Company, in proportion to their shareholding as on the record date.

Subsequently, the Board, at its 375<sup>th</sup> meeting held on 21<sup>st</sup> May, 2025, approved the allotment of the said shares to the Hon'ble President of India (existing shareholder), acting through the Ministry of Steel. These equity shares rank *pari-passu* in all respects with the existing equity shares of the Company.

#### (4) ₹820 crores - Rights Issue and Allotment during September, 2025

The Board of Directors of your Company, at its 376<sup>th</sup> meeting held on 31<sup>st</sup> July, 2025, approved the issue of **82,00,00,000** (Eighty two crores) equity shares of ₹10/- each for cash at par, aggregating to ₹820 crores, on a rights basis to the existing shareholders of the Company, in proportion to their shareholding as on the record date.

Subsequently, the Board on 20<sup>th</sup> September, 2025, approved the allotment of the said shares to the Hon'ble President of India (existing shareholder), acting through the Ministry of Steel. These equity shares rank *pari-passu* in all respects with the existing equity shares of the Company.

#### (5) The post rights issues status of Equity Share Capital

All the above allotments have been made for equity shares of ₹10/- each for cash at price of ₹10/- per share (i.e. at par value) on rights basis in the same proportion to the existing shareholders of the company. Preference shares have not been issued till date.

Consequent to aforesaid issues and allotments made, the status of **Issued, Subscribed and Paid-up Equity Share Capital** (₹ in Crores) is as follows:

(₹ Crores)

| Event                                            | Allotment Date | Increased through right issue | Total Paid-up |
|--------------------------------------------------|----------------|-------------------------------|---------------|
| Opening Balance                                  | -              | -                             | 4,889.85      |
| 1 <sup>st</sup> Rights Issue Allotment           | 28-Oct-2024    | 500.00                        | 5,389.85      |
| 2 <sup>nd</sup> Rights Issue Allotment           | 17-Apr-2025    | 6,783.00                      | 12,172.85     |
| 3 <sup>rd</sup> Rights Issue Allotment           | 21-May-2025    | 1,401.00                      | 13,573.85     |
| 4 <sup>th</sup> Rights Issue Allotment           | 20-Sept-2025   | 820.00                        | 14,393.85     |
| <b>Total infusion through 4 rights issues</b>    |                | <b>9504.00</b>                |               |
| Balance to be released                           |                | 796.00                        |               |
| <b>Total approved equity infusion in to RINL</b> |                | <b>10,300.00</b>              |               |

Pursuant to the above approval of the CCEA, till now the Government of India has infused ₹9504 crores into the equity share capital of RINL out of the total ₹10,300 crores approved. The balance ₹796 crores will be released subject to achievement of targets.

#### (6) Summary of Authorized and Paid-up capital position as on report date :

(₹ Crores)

| Particulars                     | Pre-Issue    | Change         | Post-Issue    |
|---------------------------------|--------------|----------------|---------------|
| <b>Authorised Capital</b>       |              |                |               |
| - Equity                        | 4,890        | 7,000 + 25,000 | 36,890        |
| - Preference                    | 3,110        | -              | 3,110         |
| <b>Total Authorised Capital</b> | <b>8,000</b> | <b>32,000</b>  | <b>40,000</b> |
| <b>Paid-up Capital</b>          |              |                |               |
| - Equity                        | 4,889.85     | 9,504.00       | 14,393.85     |
| - Preference                    | -            | -              | -             |

#### (7) Reclassification of Authorised Share Capital

In order to align the authorised share capital structure with the Company's future funding requirements and provide flexibility for raising funds through issuance of preference shares, the Board of Directors of your company in its 376<sup>th</sup> meeting held on 31<sup>st</sup> July, 2025 has considered and recommended the proposal for seeking the approval of the members in its general meeting for reclassification of the authorised share capital of the Company, without altering the overall limit of ₹40,000 crores as follows.





The existing authorised capital of ₹40,000 crores comprises ₹36,890 crores towards equity share capital (3,689 crores equity shares of ₹10 each) and ₹3,110 crores towards preference share capital (311 crores preference shares of ₹10 each) is proposed to reclassify as:

- ◆ Equity Share Capital: ₹35,000 crores divided into 3,500 crores equity shares of ₹10 each
- ◆ Preference Share Capital: ₹5,000 crores divided into 500 crores preference shares of ₹10 each

The proposed reclassification will enable the Company to issue preference shares in the future, as and when required, while ensuring that the overall authorised capital remains within the approved limit of ₹40,000 crores. The necessary amendment to the Capital Clause of the Memorandum of Association of the Company is proposed to be effected subject to the approval of the shareholders. The requisite resolutions seeking members approval were forming part of the notice of the ensuing annual general meeting.

#### (8) Preference Share Capital

Conversion of ₹1140 crores working capital loan as 7% Non-cumulative Preference Share Capital redeemable after 10 years is pending for receipt of sanction order for allotment of such shares. Upon receipt of sanction order from the Government of India the Preference Shares will be allotted as per the provisions of the Companies Act, 2013.

### PRODUCTION PERFORMANCE

The financial year 2024–25 was marked by a dynamic blend of challenges and resurgence. Your Company with the steadfast support of the Government of India (GoI) and continuous engagement with the Ministry of Steel (MoS), undertook a calibrated revival of operations during the second half of the year. This collective effort enabled ramping up of production across major units, culminating in the achievement of annual production targets committed to the GoI.

During the fourth quarter of the year, the Plant recorded a significant surge in operational performance. Daily hot metal production from the two operational Blast Furnaces consistently surpassed the rated capacity on multiple occasions, registering a peak of 15,357 tonnes on 8<sup>th</sup> February 2025. This exceptional performance is a testament to the coordinated efforts and operational excellence demonstrated by the workforce.

However, the first half of the fiscal year was constrained by several adverse factors. Acute shortages in input raw materials, coupled with a critical liquidity crunch affecting working capital, resulted in a restricted operational regime. Compounding the situation was an industrial relations (IR) issue at M/s AGPL from 12<sup>th</sup> April to 16<sup>th</sup> May 2024 (35 days); and Judicial Orders from mid-August 2024 onwards, leading to the attachment of coal stocks at Port locations, adversely impacted input material logistics.

Consequently, essential facilities such as Blast Furnaces and Coke Oven Batteries were operated under safe mode, maintaining only technological minimum levels. Under such constrained conditions, operations of Blast Furnace-1 were halted on 15<sup>th</sup> May 2024, followed by Blast Furnace-3 on 12<sup>th</sup> September 2024, out of a total of three furnaces.

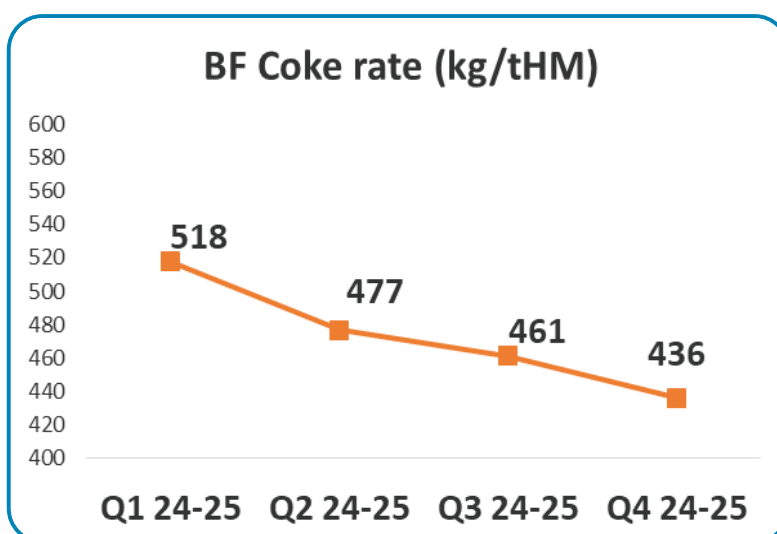
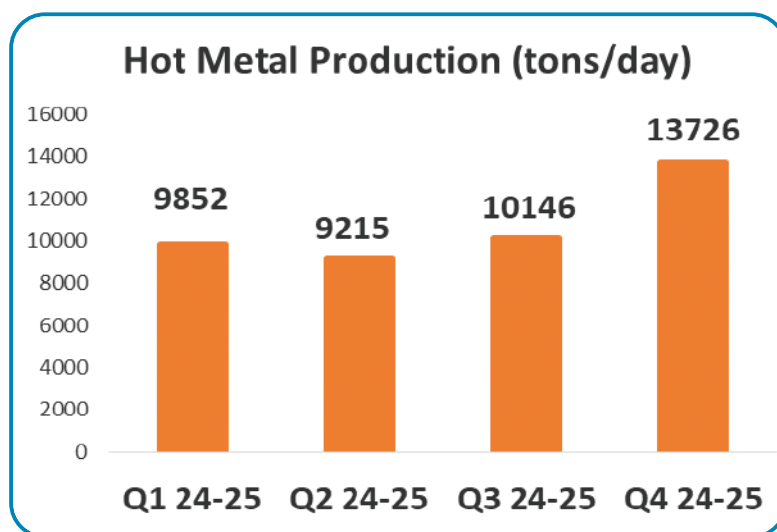
In response to these challenges, significant relief and support were extended by the Government of India (GoI) in the month of September 2024, aligned with clearly defined operational targets. With this impetus, Blast Furnace-1 was successfully re-commissioned on 28<sup>th</sup> October 2024, leading to a sharp uptick in production performance of Hot Metal during the second half of the year, with two furnaces in active operation.

Despite the headwinds faced, the Company recorded commendable performance milestones during FY 2024–25, as under:

- ◆ Best-Ever LD Converter Lining Life: Achieved in SMS-2 (Converter-D) with 10,891 heats in April 2024, the highest since inception.
- ◆ Highest Monthly Production of Structural Mill (STM) Products: 66,592 tonnes in January 2025, reflecting 112% capacity utilization.

The performance during the year stands as a reflection of the Company's resilience, commitment, and the cohesive efforts of all stakeholders toward operational stabilization and long-term sustainability.

Within the available resources, your company achieved Progressive improvement in Hot Metal Production and a reduction in BF Coke rate during FY 2024-25 as shown below:



During the year 2024–25 (April 2024 to March 2025), the Company achieved a production of 3.913 million tons of Hot Metal & 3.459 million tons of Saleable Steel, registering a fulfillment of 100% against the ministry committed targets.

#### **COST REDUCTION MEASURES**

During the year under review, RINL continued its focused efforts towards cost optimization across the value chain. A multi-pronged approach was adopted encompassing improvement in techno-economic parameters, enhanced utilization of in-house generated metallurgical wastes and strategic substitution of high-cost raw materials with cost-effective alternatives.

One of the key areas of intervention was the recycling of metallurgical wastes generated within the plant. These were effectively processed into BOF briquettes and Micro Pellets, which served as substitutes for conventional and more expensive raw materials. In FY 2024–25, approximately 48,357 tonnes of BOF briquettes were utilized in LD converters in place of traditional coolants in steelmaking, while 3,06,607 tonnes of Micro Pellets were used in the sinter plant, partially replacing iron ore fines and fluxes.

Further, measurable improvements were recorded across several cost parameters during the year, as presented below:

### Key Cost Reduction Achievements: FY 2024–25

| Sl. No. | Parameters                                                            | Detail                                                                                          | Unit               | Achieved in 23-24 | Achieved in 24-25 | % improvement achieved over previous year |
|---------|-----------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|--------------------|-------------------|-------------------|-------------------------------------------|
| 1.      | Reduction in coal blend cost in Coke Ovens                            | Reduction in Usage of Hard Coking Coals in Coal Blend                                           | %                  | 57.6              | 54.2              | 6                                         |
| 2.      | Reduction in Ferro Alloys Consumption in Steel making                 | Reduction in Ferro Alloys Consumption in SMS-1                                                  | Kg/t Crude Steel   | 24.0              | 19.25             | 20                                        |
| 3.      | Reduction in lime usage in Steel making                               | Reduction in lime consumption in SMS-1                                                          | Kg/t Crude Steel   | 90.8              | 84.2              | 7                                         |
| 4.      | Increase in Metallurgical waste consumption in Steel making           | Usage of BOF Briquettes                                                                         | t/month            | 2668              | 4030              | 51                                        |
| 5.      | Reduction in consumption of Iron ore fines in Sinter making           | Usage of Micro pellets made from Metallurgical waste generated internally                       | t/month            | 21844             | 25551             | 17                                        |
| 6.      | Reduction in Power Import Bill on APEPDCL                             | Increasing In-house Power generation                                                            | MW                 | 238               | 254               | 7                                         |
| 7.      | Reduction in Fuel consumption in Sinter making                        | Reduction in Sp. consumption of Coke Breeze, Coke dust & Anthracite Coal fines in Sinter making | Kg/t Charge Sinter | 72.8              | 71.7              | 2                                         |
| 8.      | Optimization of Heat consumption & Power consumption in Rolling Mills | Reduction in Sp. heat consumption in Billet mill                                                | Mcal/t input       | 543               | 530               | 2                                         |
|         |                                                                       | Reduction in Sp. Power consumption in MMSM                                                      | Kwh/t input        | 116               | 97                | 16                                        |
| 9.      | Increasing Prime output production in Rolling mills                   | Reduction in Scrap generation in WRM1                                                           | %                  | 0.94              | 0.44              | 53                                        |

These initiatives reflect the Company's continued commitment to operational efficiency, sustainability, and cost competitiveness. The consistent pursuit of value engineering and resource optimization has significantly contributed to improved margins, even in a constrained market environment.

## **MARKETING PERFORMANCE:**

### **Steel Scenario**

For the financial year ending March 31, 2025, the Joint Plant Committee (JPC) has provisionally estimated that domestic steel demand has grown by 5.3%, reaching 146.56 million tonnes. As per the World Steel Association (World Steel), Indian steel demand is expected to continue its strong trajectory, with projected growth of 8% over FY 2024–25 and FY 2025–26. This momentum is expected to be driven by sustained expansion across all steel-consuming sectors, especially the infrastructure sector.

India retained its position as the second-largest producer of crude steel, with an output of 151.967 million tonnes in FY 2024–25, registering a year-on-year growth of 5.3%. The country accounted for 8.1% of world crude steel production during the year. Among the top ten steel-producing countries, India, Germany, Turkey, Brazil and Iran recorded year-on-year production growth, while the others experienced contraction.

According to the World Steel Association's Short Range Outlook published in April 2024, India remains a bright spot in the global steel industry. The steel demand in the country is projected to grow by 8.0% in FY 2025–26 compared to global growth of 1.2%, reaching approximately 1,815 million tonnes. This robust growth is attributed to sustained investments in the infrastructure and manufacturing sectors.

India's current per capita steel consumption stands at 107.5 kg, marking a significant increase from the previous year. However, it still remains considerably lower than the global average of 219 kg in FY 2023–24, indicating the country's strong future growth potential in terms of steel consumption.

In terms of demand, India is expected to witness a significant surge in the coming decade, owing to the Government's infrastructure and housing initiatives such as PM Gati Shakti National Master Plan, Smart Cities Mission, Bharatmala and Sagarmala, which are accelerating steel consumption through large-scale urban and infrastructure development projects. Real estate expansion through Pradhan Mantri Awas Yojana and growth in manufacturing, industrial, automotive, and railways sectors are also expected to drive strong demand in FY 2025–26.

However, the steel industry continues to face challenges such as stringent carbon emission norms, transition to cleaner energy-based steelmaking, dependence on imported raw materials like coking coal, energy crisis, volatile prices of iron ore and coking coal and sudden price fluctuations of key inputs. Poor last-mile connectivity and high inland freight charges also affect competitiveness. Furthermore, excess steel exports at low prices by countries like China, Vietnam and Russia, despite safeguard tariffs, tend to depress domestic prices and margins.

### **RINL Marketing**

RINL products are marketed through 20 Branch Sales Offices, including company-operated stockyards and consignment agent stockyards (CSA), under four Regional Offices (North, West, South, Andhra & East), for marketing its products all over the country. With a view to extend the outreach pan-India basis with continuous supplies MoUs are entered. Ex-Plant dispatches are also facilitated, wherever the customers are desirous of the same.

RINL has a large distribution network of Retailers and Rural Dealers across the country. The Company is actively working to expand its customer base, including through the implementation of E-Retail/Sale platforms, particularly targeting enhanced penetration in the North-Eastern Region and Jammu & Kashmir, besides increasing reach across urban, semi-urban, and rural markets.

RINL caters to the requirements of long steel products in the construction, manufacturing, automotive, fabrication, and general engineering sectors. It also supplies a wide range of grades for projects of national importance, including Metros, Power Sector projects, Bridges, Nuclear complexes, and other large-scale infrastructure developments.

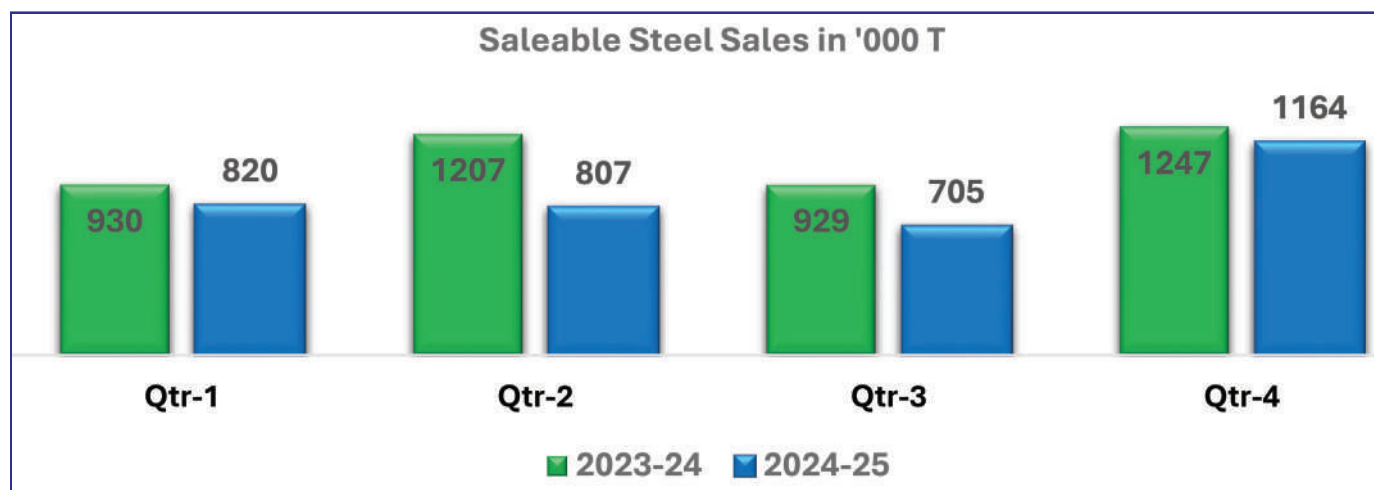
In the long steel products segment, RINL's marketing strategy is to produce an optimum product mix to maximize profitability in a competitive environment where many secondary sector producers play their role apart from Major producers.

Apart from the infrastructure and construction sectors which consume nearly half of India's finished steel output, RINL is also diversifying its product portfolio in alignment with customer needs. Currently, RINL caters to specialized segments such as Forging, Wire Drawing, Rolling, Power Transmission, Boiler, Spring Steels and Tool Steels, with an aim to deliver enhanced value to customers. With the commissioning of Secondary Metallurgy facilities in SMS-2 as part of the expansion project, the capability to produce high-end steel grades has been significantly enhanced.

### The Marketing Performance

- ✧ Sale of Saleable Steel stood at 3,495 thousand tonnes as against 4,312 thousand tonnes in the previous year, registering a decline of 19%.
- ✧ Sales Turnover was ₹ 18,576 crores, as against ₹ 23,129 crores in the previous year, reflecting a decline of 20%.
- ✧ Saleable Steel Production stood at 3,459 thousand tonnes, as against 4,213 thousand tonnes in the previous year, down by 18%.
- ✧ By-product Sales amounted to ₹ 626 crores, as compared to ₹ 740 crore, showing a decline of 15%.
- ✧ Sales of Value-Added Steel (VAS) stood at 1,111 thousand tonnes, compared to 1,324 thousand tonnes, registering a drop of 16%.
- ✧ Direct Dispatches improved to 1,458 thousand tonnes, compared to 1,311 thousand tonnes, registering a growth of 11%.

Quarter wise sales performance during the year is brought out below:



RINL, Vizag Steel, is proud to be one of the key contributors to nation-building. Some of the major infrastructure projects where RINL has supplied material during the year include:

- |                                                   |                                             |
|---------------------------------------------------|---------------------------------------------|
| ✧ Executive Enclave, Central Vista Project, Delhi | ✧ Teesta-V Hydel Project                    |
| ✧ Thal Sena Bhavan Project                        | ✧ Dhamra Port Expansion Project             |
| ✧ Delhi International Airport Project             | ✧ Paradeep Refinery Expansion Project       |
| ✧ Pandoh Road Tunnel Project                      | ✧ AIIMS, Madurai                            |
| ✧ Zojila Tunnel, Jammu                            | ✧ Kundah Hydro Electric Project, Tamil Nadu |
| ✧ Various Metro Rail Projects across the country  | ✧ Ganga Water Lift Project, Bihar           |
| ✧ Mumbai–Ahmedabad High-Speed Rail Project        | ✧ Nagpur – Mumbai / Delhi – Vadodara        |
| ✧ Navi Mumbai International Airport Project       | Express Highways                            |



In addition to these, RINL continues to supply steel to various road, rail, power, irrigation, housing and construction projects across the country.

**Glimpse of major projects where RINL has supplied Material**



Delhi Metro Rail Project



Zojila Tunnel Jammu



Delhi International Airport



Dry Dock Cochin Shipyard

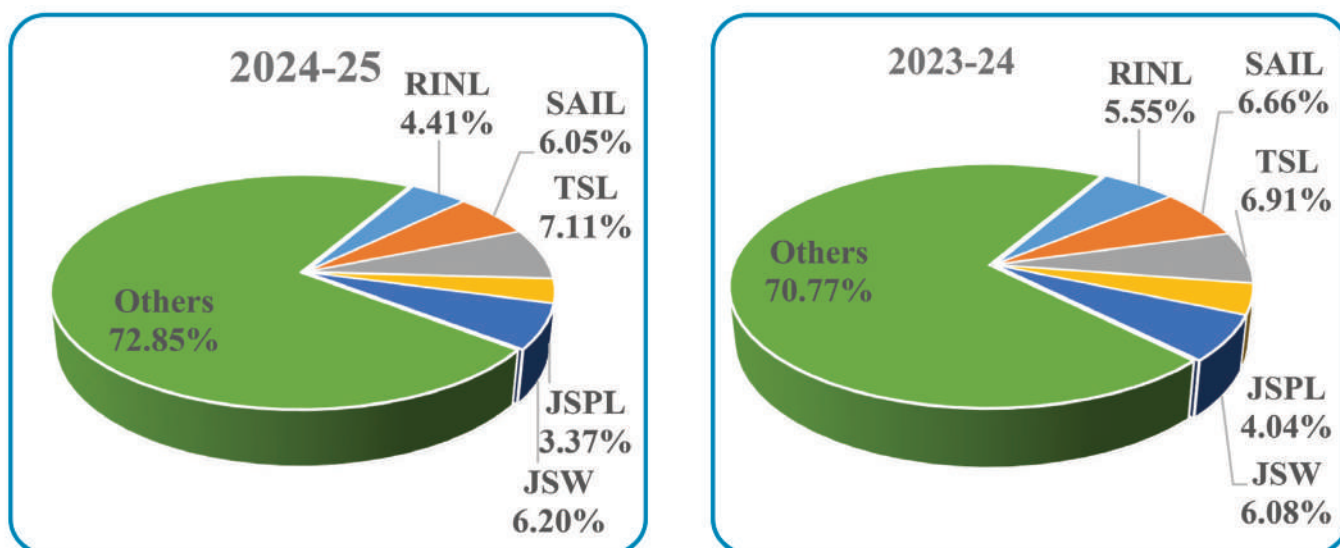


Atal Setu (Mumbai Trans Harbour Link)

## RINL Market Share

RINL maintains a Pan-India presence to cater to steel product requirements through direct plant sales and a vast network of channel partners. It ranked as the 4<sup>th</sup> largest producer of Bars, Rods and Structural, with a market share of 4.41% in FY 2024–25 (after TSL – 7.11%, SAIL – 6.05%, and JSW – 6.20%).

However, the market share for Bars & Rods declined from 5.55% in FY 2023–24 to 4.41% in FY 2024–25, primarily due to financial constraints impacting production volumes.



## RINL Marketing Initiatives

- ✧ Monetization of assets located across various regions is underway to meet working capital requirements.
- ✧ Key Account Managers (KAMs) have been appointed for key customers to ensure long-term business continuity.
- ✧ Multi-punch deliveries via road and rail were maximized to clear residual stocks at CDY.

## Revenue Maximization & Cost Reduction Measures

### ✧ Maximizing sales in high NSR regions:

A focused geographic strategy was implemented to maximize sales in the high NSR regions of part of East/ South & Andhra. Combined sales from these regions amounted to 2.18 million tonnes, contributing to 62% of total domestic sales, similar to the previous year.

### ✧ Selling directly from the plant to minimize inventory carrying cost & reduce multiple handling costs etc.

It is the endeavour of all manufacturers to reduce costs associated to logistics, handling costs and inventory carrying costs. Accordingly, RINL encourages direct dispatch option from plant as an additional facility, which has reduced the cost of handling for RINL and its customers. The direct dispatches ensured collection of money in advance, which is the need of the hour. It ensures in immediate realization of the sales made, in contrast to stock yard sales, which have a lag in cash realization. Being a cash trapped company, this measure had helped in for better cash flows. RINL also facilitated buyers in procuring material directly from the plant in order to ease out their concern for logistics. In FY 24-25, RINL had sold 1458 thousand tons through direct dispatches from Plant, which constitutes around 42% of total sales as against 31% during last financial year.

### ✧ To maximize sales of high NSR product such as TMT Rebar, WRC & Rounds.

In order to maximize sales of high NSR product TMT Rebar, WRC & Rounds, material requisitions received from the field is analysed in consultation with works collective for arriving at the optimum product mix. Share of these products sales quantity in FY 2024-25 was 73%, which was 72% in the previous financial year.



#### ✧ **Cost cutting measures taken in Logistics & Dispatch of Material:**

- ✧ Maintaining continuous dispatch of products is a prerequisite for maintaining seamless production and cash-flow for the company. In line with the said objective, RINL is well utilizing its Central Dispatch Yard (CDY) which enables dispatches of products by Road as well as Rail from a central place instead of the Production units. This had led to improvement in vehicle as well as Rake turnaround time, consequently leading to improvement in dispatches.
- ✧ With the commencement of operation of CDY, RINL was able to minimize mill congestion and consequent production loss.
- ✧ De-coiling within the plant is carried out centrally at Central dispatch Yard (CDY)/ BCSY and dispatched to different branches where de-coiling operation is not feasible. With the above operations, RINL is able to cater to the demands of various project customers.
- ✧ Direct delivery to customers on FOR basis has also been continued to avoid various extra costs like additional handling charges enabling RINL to quote competitive prices to its customers.

#### ✧ **Modifications made in Marketing Service Contracts, to improve tendering & awarding process:**

- ✧ Manual tenders in Contract section is replaced with e-tenders.
- ✧ GeM Platform being used for tendering Transportation service contracts.
- ✧ Earnest Money Deposit is replaced with Bid Security Declaration.
- ✧ Performance Security is limited to 3% of the contract value.
- ✧ Provision made for exemption of performance Security to MSEs.
- ✧ Estimation by first principle introduced in lieu of last operated rates, to factor in, the changes in business environment.
- ✧ Modifications to Bill of Quantities done to eliminate the probability of quoting of freak rates.

#### ✧ **Modifications made in Sales Tendering to improve tendering & awarding process:**

- ✧ All tender sales is done through E-Tender/E-Auction process.
- ✧ Introduction of Forward e-auction, after Ocean export e-Tender. This has facilitated in improving competition resulting in better prices.

### **MATERIALS MANAGEMENT**

The Purchase Department of RINL is responsible for procurement of input materials essential for steel production and finished goods. The department has undertaken several initiatives aimed at input cost optimization, reduction in ocean freight, and diversification and securitization of critical raw materials such as coking coal, iron ore, boiler coal, etc. Emphasis is laid on promoting transparency through the Integrity Pact in procurement operations, while Quality Management Systems (QMS) are adhered to in line with ISO standards. Additionally, 5S workplace management standards have been adopted.

#### **Procurement Performance**

| Particulars                              | FY 2024-25         | FY 2023-24      |
|------------------------------------------|--------------------|-----------------|
| Purchase Requisitions (PRs) Raised (nos) | 3,058              | 3,762           |
| Purchase Orders (POs) Processed (nos)    | 2,397              | 3,293           |
| Total Procurement Value                  | ₹ 14,560.93 crores | ₹ 17,904 crores |

To enhance competitiveness and secure optimal pricing, 100% of procurement cases exceeding ₹ 2 lakh (PR estimated value) are processed via reverse auction.

#### **Disposal of Scrap Materials**

- ✧ Total e-auctions conducted in FY 2024-25: 18
- ✧ Basic e-auctioned value realized: ₹ 26,89,55,836/-



### Procurement through Government e-Marketplace (GeM)

- ✧ RINL achieved the second highest GeM procurement under the Ministry of Steel.
- ✧ Contracts placed on GeM in FY 2024–25: 1,052 contracts worth approximately ₹ 1,034.37 crore.
- ✧ Key items procured includes Spares & Consumables like Ferro Alloys, Refractories, Chemicals, Electronic & Instrumentation, and Mechanical & Electrical spares.

### Highlights of Imported Raw Materials

#### Imported Coking & PCI Coals

Ensured continuous coal availability with imports totaling approximately 40 lakh MT during FY 2024-25 despite of various challenges.

#### Cost Reduction Initiatives

- ✧ Developed new sources via global tenders leading to savings:
  - ✦ PCI Coal:
 

Orders placed on M/s CR Trading DMCC, UAE, for two shipments of 75,000 T each under 60-day usance LC terms which resulted in ₹ 22.22 crores savings over regular Russian sources on FOB basis.
  - ✦ Split LC mechanism secured from a US supplier helped minimize demurrage and improve working capital efficiency.

#### Coal Source Diversification

- ✦ Ten new coal samples from seven suppliers (2 from the US, 8 from Australia) are undergoing testing for source diversification.

### Highlights of Transport & Shipping

#### Bulk Vessel Chartering

- ✦ Vessel chartering was managed in-house.
- ✦ Total 66 vessels chartered in FY 2024–25:
  - 62 Panamax
  - 4 Handymax

#### Cost Savings

- ✦ Charter agency operations conducted in-house and earned ₹ 3.02 crores as agency fee.

#### Vessels Handled at GPL

| Material             | Quantity (MT)    | No. of Vessels       |
|----------------------|------------------|----------------------|
| Coking Coal          | 36,84,845        | 48 (Handy/Pana/Cape) |
| PCI Coal             | 2,33,003         | 3 Panamax            |
| SMS Grade Limestone  | 11,03,877        | 14 Panamax           |
| Imported Boiler Coal | 0                | Nil                  |
| Iron Ore Pellets     | 27,433           | 1 Handymax           |
| <b>Total</b>         | <b>50,49,158</b> | <b>66 Vessels</b>    |

## Highlights of Port Operations

### Cargo Handled at AGPL/VPA (FY 2024–25)

(lakh MT)

| Description      | Q1           | Q2          | Q3           | Q4           | Total        |
|------------------|--------------|-------------|--------------|--------------|--------------|
| Coal (ICC & PCI) | 10.23        | 3.95        | 11.07        | 13.91        | 39.16        |
| Iron Ore Pellets | 0            | 0           | 0            | 0.27         | 0.27         |
| ILS              | 2.34         | 3.04        | 1.58         | 4.06         | 11.02        |
| <b>Total</b>     | <b>12.57</b> | <b>6.99</b> | <b>12.65</b> | <b>18.24</b> | <b>50.45</b> |

## Highlights of Indigenous Raw Materials

### Iron Ore

- ❖ 63 lakh tonnes secured from M/s NMDC Bailadilla under LTA.
- ❖ 0.46 lakh tonnes of sized ore secured from M/s NMDC Donimalai (Karnataka) to mitigate short receipts from Bailadilla.
- ❖ 0.48 lakh tonnes of pellets sourced from alternative suppliers to compensate shortfall in the supply of Sinter.
- ❖ ₹ 169 crores saved through use of 12.58 lakh tonnes of Iron Ore Slime in Sinter making (28.2% slime blend with iron ore fines).

### Indigenous Coking Coal

- ❖ 3.18 lakh tonnes of Medium Coking Coal (MCC) secured from M/s Central Coalfields Ltd (CCL).

### Indigenous Boiler Coal

- ❖ 16.55 lakh tonnes secured from M/s Mahanadi Coalfields Ltd (MCL), achieving 98.5% of the Fuel Supply Agreement (FSA) quota (16.80 lakh tonnes).
- ❖ Additionally secured:
  - 0.24 lakh tonnes high GCV Coal from M/s Eastern Coalfields Ltd (ECL)
  - 0.41 lakh tonnes from M/s Singareni Collieries Company Ltd (SCCL)
- ❖ Efforts are ongoing to extend the existing FSA to Naini Mines (SCCL, Odisha) for price benefits.

### Special Initiative – Thermocouple Tips, Probes & Consumables for SMS-1 & SMS-2

Procurement of critical consumables like Thermocouple tips, 2-in-1 Hot metal and Steel probes, Chilled lollypop samplers, Disposable Zr-killed samplers, and High Carbon samplers for SMS-1 & SMS-2 were previously single-sourced, leading to higher prices and stock-out risks. In FY 2024–25, procurement was transitioned to open tendering via GeM, onboarding qualified and SAIL-approved vendors.

- ❖ 5–7 bidders consistently participated per case.
- ❖ Some procurements completed within 4 days from PR to delivery, ensuring no disruption to Special Steels production.
- ❖ Achieved 3–6% cost savings over previous LOPs.
- ❖ Improved vendor base, lead time, and ensured uninterrupted material availability.

### Vendor Development Cell (VDC)

#### Vendor Development Initiatives

- ❖ Conducted one Vendor Development Meet in collaboration with MSME-DFO Visakhapatnam.



**Vendor Base of MM Dept. (as on 31.03.2025)**

| Particulars                  | Number |
|------------------------------|--------|
| Total Registered Vendors     | 4,296  |
| MSEs out of Total Vendors    | 1,649  |
| Local MSEs out of Total MSEs | 274    |
| Women-owned MSEs             | 30     |
| SC/ST-owned MSEs             | 12     |

**Procurement details of MM-Pur, Works Contracts, P&A Contracts, Marketing depts from MSEs (FY 2024-25)**

| Particulars                                                                                                                                   | Amount (₹ Cr.) | Percentage |
|-----------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------|
| Total Procurement (excluding the goods and services such as Iron Ore, Coking Coal and Turnkey Contracts for which exemption has been granted) | 2,271.88       | —          |
| Procurement from MSEs                                                                                                                         | 980.56         | 43.16%     |
| - From Women MSEs                                                                                                                             | —              | 1.28%      |
| - From SC/ST MSEs                                                                                                                             | —              | 0.01%      |

**Participation in Government of India Initiatives**
**MSME SAMBANDH (CPSE Procurement Monitoring):**

RINL is registered on the MSME SAMBANDH Portal, and regularly uploads data relating to annual and monthly procurement from MSEs, women, SC/ST entrepreneurs, etc.

**MSME SAMADHAAN (Delayed Payments Monitoring):**

RINL is also registered on MSME SAMADHAAN. As on 31.03.2025:

- ✦ 127 grievances filed on the portal, out of which
  - 20 converted into arbitration cases (ongoing)
  - 49 visible to MSEFC for further action
  - 16 disposed of by the MSEFC
  - 24 mutually settled
  - 18 rejected

MSEFC stands for Micro and Small Enterprise Facilitation Council

**Trade Receivables e-Discounting System (TReDS)**

RINL is registered on the TReDS platform. This will enable to facilitate faster receivables discounting.

**FINANCE**
**Financial Assistance and Resource Mobilization**

- ✦ The Company successfully renewed its working capital sanctions from existing lenders during the year.
- ✦ Input Tax Credit (ITC) utilization was optimized, averaging ₹ 181 crores per month (including ₹ 130 crores per month in Andhra Pradesh), significantly reducing the cash outflow towards GST payments.
- ✦ The Company received income tax refunds amounting to ₹ 24.75 crore during the financial year.

### Operational Impact due to Coking Coal Shortage

- During the first half of FY 2024–25, operations were severely affected by an acute shortage of coking coal caused by labour unrest at M/s Adani Gangavaram Port Ltd. from 12.04.2024 to 16.05.2024, resulting in significant financial stress for the Company.

### Support from Government of India

- In response to the Company's request, the Government of India (GoI) provided emergency support in September 2024 as follows:
  - Equity capital infusion of ₹ 500 crores.
  - Working capital loan of ₹ 1,140 crores.
- Subsequently, the Cabinet Committee on Economic Affairs (CCEA) approved a comprehensive Revival Plan for RINL amounting to ₹ 11,440 crore, which includes:
  - Equity capital infusion of ₹ 10,300 crores into RINL.
  - Conversion of ₹ 1,140 crores working capital loan into 7% Non-cumulative Preference Share Capital, redeemable after 10 years, ensuring continuity as a going concern.

### Equity Infusion Details under Revival Plan

| Particulars                                                               | Amount (₹ Cr.) | Received In    |
|---------------------------------------------------------------------------|----------------|----------------|
| Initial equity infusion                                                   | 500            | September 2024 |
| First tranche under revival package                                       | 6,783          | January 2025   |
| Second tranche under revival package                                      | 1,401          | May 2025       |
| Third tranche under revival package                                       | 820            | September 2025 |
| Total equity received (till November 2025)                                | 9504           |                |
| Balance equity amounting ₹ 796 is expected to be completed in FY 2025–26. |                |                |

### Conversion of Working Capital Loan to Preference Capital

- Further, ₹ 1,140 crores working capital loan, received in September 2024, has been approved for conversion into 7% Non-cumulative Preference Share Capital, redeemable after 10 years which is also expected to be completed in FY 2025–26.

## PROJECTS

### CAPEX Fulfillment

The Capital Expenditure during the year was ₹ 234.46 crores against the plan of ₹ 199.00 crores, with a fulfillment of 118%.

### Projects Commissioned

- Electrostatic Precipitator-4 (ESP-4) under “Revamping & Upgradation of ESPs of Boilers in TPP”.
- Nitrogen Pressure Reducing Stations (PRS) for Blast Furnaces 1, 2 & 3, including associated pipelines under “Nitrogen Line to PCI Complex”.

### Status of Contract Closure

During the period April 2024 to March 2025, the Project Division issued:

- 7 numbers of Preliminary Acceptance Certificates (PACs)
- 5 numbers of Provisional Acceptance Certificates (PrACs)
- 8 numbers of Final Acceptance Certificates (FACs)

## Brief Status of Completed / Ongoing Projects

### ❖ Nitrogen Line to PCI Complex

The project was commissioned in June 2024. Commissioning of the Nitrogen Pressure Reducing Station (PRS), including associated pipelines, facilitates higher usage of Pulverized Coal Injection (PCI) in Blast Furnaces.

### ❖ Revamping of ESPs (ESP-3, ESP-2, ESP-4 & ESP-5) of 4 Boilers at TPP

To reduce dust emissions from the Chimney of the Boilers to less than 50 mg/Nm<sup>3</sup>, as per the statutory norms of the Pollution Control Board, ESPs of 4 Boilers are being revamped/upgraded.

- ❖ ESP-4 revamping was commissioned/completed in May 2024.
- ❖ With this, revamping of 3 ESPs (ESP-3, ESP-2, and ESP-4) out of 4 have been completed.
- ❖ Considering the production/power generation plan of RINL and availability of General CAPEX loan, the shutdown of ESP-5 will be taken up at an appropriate time.

## Coal Chemical Plant of COB-5

The Coal Chemical Plant (CCP) treats raw Coke Oven gas from the Coke Oven Battery to make it suitable for use as a fuel for under-firing and for other units. The plant removes impurities such as Tar, Naphthalene, Ammonia, and Hydrogen Sulphide, thus rendering the clean gas for usage. The plant is essential for meeting environmental norms related to SO<sub>2</sub> and NO<sub>x</sub> emissions.

CCP is one of the 17 packages under the COB-5 project. All other packages have been completed, and COB-5 is under regular operation. However, due to CAPEX loan restrictions, progress of CCP is affected. The balance work will be completed with the availability of funds.

## ASP BOO

Rashtriya Ispat Nigam Limited (RINL) and Air Liquide India Holding Pvt. Ltd. (ALIH) entered into a BOO (Build, Own, Operate) Contract dated 26<sup>th</sup> November 2010 for the supply of Oxygen and Nitrogen gases and liquids for captive consumption of RINL, with an option for transfer.

Accordingly, two Air Separation Units (ASUs) of 850 TPD each were installed by ALIH. However, ALIH terminated the contract unilaterally on 16<sup>th</sup> December 2014, and proposed the transfer of the ASU plants to RINL. Several meetings and communications followed, but failure in negotiations led RINL to invoke arbitration.

As per the direction of the Arbitration Tribunal (AT) and after fulfillment of several milestones:

- ❖ The first ASU was commissioned in July 2023, and the second ASU in August 2023.
- ❖ Performance Guarantee Test-1 (PGT-1) for both ASP BOO units was completed in December 2023 under the supervision of the engineering expert appointed by the AT, who duly certified successful completion.

Following further hearings and directions by the AT:

- ❖ ALIH restarted both units in March 2025 to facilitate PGT-2 testing.
- ❖ Handover of the units to RINL is scheduled after successful completion of PGT-2 and on satisfaction of conditions imposed by the Arbitration Tribunal.

PGT-2 has been successfully completed in the month of April 2025. ASP was taken over from M/s. ALIH on 3<sup>rd</sup> March 2025 by RINL.





Air Separation Plant



Blast Furnace-1,2&3 Nitrogen Pressure Reducing Station(PRS) including associated Pipeline

## MINES

### Jaggayyapeta Limestone Mine (JLM)

- ✦ The Mines and Plant operated without any unsafe incidents or reportable accidents throughout the year.
- ✦ Demonstrated exemplary team performance during:
  - ✦ **Mines Environment & Mineral Conservation Week Observance 2024-25:**
    - ✦ 2<sup>nd</sup> Prize – Mineral Beneficiations
    - ✦ 3<sup>rd</sup> Prize – Systematic & Scientific Development
    - ✦ 1<sup>st</sup> Prize – Poster Competitions on Environment (Employee, Family Members & Children Categories)
  - ✦ **Mines Safety Week Observance 2024:**
    - ✦ 1<sup>st</sup> Prize – Health Management
    - ✦ 2<sup>nd</sup> Prize – Loading and Transportation
    - ✦ 06 prizes won in individual trade test categories, including 1<sup>st</sup> Prize – First Aid Trade Test
    - ✦ 03 awards in individual safety competitions across Employee, Family Members, and Children categories.
- ✦ CFO (Consent for Operation) renewed by APPCB, Vijayawada, vide Order No. 402310/APPCB/VJA/VJA/CTO/HO/2025 dated 29.01.2025, valid up to 31.12.2025.

### Madharam Dolomite Mine (MDM)

- ✦ Operated accident-free, maintaining high safety standards.
- ✦ Outstanding performance in Mines Safety Week Observance 2024, winning:
  - ✦ 1<sup>st</sup> Prize – Electrical Installations
  - ✦ 2<sup>nd</sup> Prize – Health Management
  - ✦ 3<sup>rd</sup> Prize – Electrician Trade Test (Individual Category) which was Awarded to: Sri D. Shankar (E.No. 109562), General Foreman (E)
- ✦ Mining Scheme approved by the State Department of Mines & Geology for a period of five years.
- ✦ Successfully resolved NGR Relay problems departmentally.
- ✦ Achieved Dolomite production of 5,11,611 MT in FY 2024-25, marking a 7.8% increase over the previous year's production (4,74,635 MT).
- ✦ Achieved Dolomite dispatch of 5,17,208.26 MT, the highest in the last 8 years, with a 9.5% increase over FY 2023-24 (4,72,274.38 MT).
- ✦ Successfully maintained age-old HEMM (Heavy Earth Moving Machinery) to meet production and dispatch targets, considering the Company's financial constraints.

### Garbham Manganese Mine (GMM)

- ✦ The Government of Andhra Pradesh, via G.O. Ms. No. 44 dated 13.08.2024, granted deemed extension of the lease up to 07.10.2032 in accordance with Section 8-A(3) of the MM(D&R) Amendment Act, 2015.
- ✦ The Ministry of Environment, Forest and Climate Change (MoEFCC), New Delhi, vide Letter No. F.No. J-11015/60/2020-IA-II(M), dated 11.12.2024, granted Environmental Clearance to the Garbham Manganese Mine of RINL, valid up to 07.10.2032.



## RESEARCH & DEVELOPMENT (R&D)

Research and Development at RINL continues to play a strategic role in driving innovation, process improvement, new product development, decarbonization, and energy and waste reduction/recycling initiatives. The Company is equipped with a modern R&D Centre that support in-house experimentation and innovation.

### Key Achievements :

#### ❖ Publications & Conferences:

- One technical paper was published in the Transactions of the Indian Institute of Metals.
- Three technical papers were selected for presentation at various conferences.

#### ❖ Intellectual Property:

- Total 13 patents and 5 copyrights are already in the name of the company.
- In addition to above 3 more patents are filed and currently under process of granting.
- An Intellectual Property Rights (IPR) Workshop was organized in collaboration with the Human Resource Department to promote awareness and encourage innovation.

#### ❖ Technical Talks:

- A total of five technical talks were organized by the R&D Centre to disseminate knowledge and share advancements across departments.

#### ❖ Research Projects:

- Two new R&D projects were initiated during FY 2024–25 while Twelve projects from the previous year were continued.

#### ❖ Experimental Studies:

- 12 pot sintering experiments were conducted.
- 10 carbonization tests were carried out in the Pilot Coke Oven, using coal blends from BWS, Cambria Creek, Tuhup, MAAP coals, and bio-char sources.

#### ❖ Expenditure on R&D:

- The R&D expenditure for the year amounted to ₹ 5.78 crores, which represents 0.03% of the Sales Turnover

## SAFETY

RINL is firmly committed to cultivating a proactive safety culture across all levels of operations. The health and safety of employees, contract workers, and visitors remain a top priority, with practices continuously evolving to address emerging risks and enhance workplace safety.

The Company is ISO 45001:2018 certified, reflecting its adherence to robust occupational health and safety management systems. RINL's safety strategy emphasizes incident prevention through effective safety systems, regular risk assessments, and active employee involvement in all safety-related initiatives.

### Training and Awareness:

RINL recognizes that training is a critical component of its safety framework. Comprehensive safety training programs are conducted annually for all employees and contract workers, equipping them with the knowledge to identify hazards, manage risks, and follow prescribed safety protocols in diverse work environments.

To further enhance awareness and learning, the Company has developed incident-based training videos, utilizing internal resources. These videos:



- ❖ Are produced in the local language for better comprehension,
- ❖ Highlight real case studies of past incidents,
- ❖ Explain what went wrong, the corrective actions taken, and
- ❖ Share precautionary measures to prevent recurrence.

These short-duration videos are circulated via WhatsApp to employees and contract workers, ensuring easy access to important safety learnings and promoting a culture of shared responsibility.

RINL continues to reinforce a “safety-first” mindset throughout the organization, striving for continuous improvement in safety standards and ensuring the well-being of all stakeholders

## ENVIRONMENT MANAGEMENT

RINL remains committed to sustainable growth and environmental stewardship. The Company has invested extensively in environmental facilities since inception, including during subsequent expansion and modernization phases.

An effective Environmental Management System (EMS) is in place to ensure that steel production activities do not result in environmental degradation or overexploitation of natural resources, while also mitigating the impact on climate change. To promote continuous improvement, a total of 85 Environmental Management Programmes (EMPs) were undertaken by various departments during FY 2024–25.

### Water Conservation Initiatives:

- ❖ 982 million gallons of wastewater was recovered by capturing and treating discharges through Waste Water Treatment Plants consisting of Ultra Filtration and RO systems.
- ❖ Additionally, 625 million gallons of water was collected via Rainwater Harvesting systems and reused within the plant.

### Waste Management Highlights:

- ❖ Around 1.86 MT(124 %) of BF slag was sold to cement companies utilized against the generation of about 1.50MT.
- ❖ As with LD Slag, around 0.20 MT (31%) was utilized against a generation of about 0.66 MT.
- ❖ During the year, around 0.75 MT dry fly ash was generated out of which around 0.15 MT was collected by various cement companies and 0.97 MT Pond ash was used for filling of low lying areas resulting in 150% utilization of dry fly ash.
- ❖ During the year, around 48357 t of BOF briquettes were used in the LD converters as a substitute to coolants in steel making and around 306607 t of Micro Pellets were used in Sinter making to partially substitute the usage of Iron ore fines and Fluxes.

To further reduce emissions, augmentation of Electrostatic Precipitator (ESP) of Boiler-4 in the Thermal Power Plant was successfully undertaken.

### Afforestation Efforts:

- ❖ The plant is surrounded by a man-made green belt consisting of approximately 55.47 lakh trees, spread across 6,502 Ha. RINL follows the motto: One Tree for Every Tonne of Steel Capacity (7.3 million trees for 7.3 mtpa). During FY 2024–25, 10,062 saplings were planted as part of block plantation efforts.

## INFORMATION TECHNOLOGY

RINL continues to enhance its IT infrastructure and application landscape to support business operations and improve process efficiency

## **Key IT Developments During FY 2024–25:**

### **IT Infrastructure:**

- ❖ Implementation of Fortinet Next-Gen Firewall to strengthen cyber security and improve network performance.

### **Steel Melt Shop (SMS) Enhancements:**

- ❖ Developed Reports for Converter Additions, Secondary Metallurgy Additions, and Ferro Alloy Monitoring.
- ❖ Integrated deviation analysis in Ferro Alloy consumption in SMS1.
- ❖ Calculations introduced for Manganese carryover, steel ladle argon rinsing flow, lime addition, hot metal/cast weight, and strand speed, using real-time PLC data.

### **Rolling Mills:**

- ❖ Level-2 SQL Server 2008 failover configuration for 100% system availability.
- ❖ Enhanced Label Printing Application in CPV1 and CPEL pulpits with HSN Code and Make-in-India QR Code integration.

### **Financial Systems Improvements:**

#### Automation and Transaction Processing:

- ❖ Automation of secured credit customer interest debit notes for delayed payments in SAP-FiCO.
- ❖ Enabled bulk posting of invoices of:
  - Railway outward freight purchase order wise by F&A. (After reconciling bank statement, railway invoice and service entry sheets prepared by traffic department).
  - Indigenous coal vendors purchase order wise by F&A. (Considering goods receipt by Raw Materials department and vendor's invoice).
  - Inspection agency purchase order wise by F&A. (Considering service entry sheets generated by Central Stores department and vendor's invoice).
- ❖ Introduced a Cost Variance Report for comparison of costing details of two months.

### **Customer Business Transactions:**

- ❖ CRM module reports on RINL-eSuvudha portal for customer business tracking.

### **Vigilance MIS Reporting**

- ❖ Vigilance Monthly MIS Module introduced for statutory reporting.

### **Quality Control Enhancements:**

- ❖ Implemented UK CARES quality requirements in mills.
- ❖ Enabled Test Certificate printing as per revised IS14650:2023 guidelines.

### **Attendance and Access Control:**

- ❖ Rolled out Biometric Attendance Recording System (BARS) for employees.
- ❖ Installed Biometric Access Control System (BACS) for contract employees.

### **Logistics & Monitoring:**

- ❖ Introduced Stores Vehicle Tracking System to monitor external vehicle positions within the plant premises.

## HUMAN RESOURCES & INDUSTRIAL RELATIONS

During the financial year 2024–25, the Industrial Relations (IR) landscape at RINL remained peaceful and conducive to operational harmony. Registered Trade Unions representing both regular employees and contract labour, along with the Executive Association, contributed significantly to fostering a positive, employee-centric work culture. As of 01.04.2025, RINL's total workforce stood at 10,943. The Labour Productivity achieved during the year was 496 tonnes of Crude Steel (tCS) per man-year.

### Implementation of Presidential Directives on Reservation for SCs/STs

RINL has institutionalized mechanisms to ensure effective implementation of the reservation policies for Scheduled Castes (SCs) and Scheduled Tribes (STs), as per the Presidential Directives. A dedicated SC/ST Cell is operational, supported by Liaison Officers at the Deputy General Manager level.

As on 01.04.2025, RINL employed 1,698 SC employees (15.52%) and 899 ST employees (8.22%). Rosters for recruitment and promotion are maintained in accordance with prescribed guidelines and are periodically reviewed by the Liaison Officers. Internal Grievance Redressal Committees for SCs and STs are in place as per the directions of the National Commissions.

Under the Dr. B.R. Ambedkar Merit Recognition Scheme, 28 scholarships are awarded annually to meritorious children of employees pursuing professional courses, including 16 for General, 8 for SCs, and 4 for STs. A unified SC/ST Welfare Association has been established with elections conducted regularly. Monthly contributions towards SC/ST Employees Benevolent and Retirement Benefit Schemes are facilitated through payroll deductions from SC/ST Employees. An office building with all facilities was provided in the Township for the Association.

Programmes such as World Tribal Day celebrations, awareness training on Reservation Policy and the Constitution of India, and women's health initiatives targeting SC/ST families were successfully conducted during the year.

### DISCLOSURE UNDER THE SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013

RINL has implemented HR Policy vide circular no. 05/2021 dated 22.04.2021 in compliance with the Sexual Harassment of Women at Workplace Act, 2013. An Internal Committee (IC) has been constituted to investigate complaints and submit recommendations to the Competent Authority.

During the Financial Year 2024-25:

| S.No. | Particulars                               | Number |
|-------|-------------------------------------------|--------|
| 1     | Number of complaints received             | 02     |
| 2     | Number of complaints disposed during year | 02     |
| 3     | Cases pending for more than 90 days       | Nil    |

### STATEMENT ON COMPLIANCE WITH THE MATERNITY BENEFIT ACT, 1961

Rashtriya Ispat Nigam Limited (RINL) is committed to safeguard the rights, dignity, and welfare of its women employees in full compliance with the provisions of the Maternity Benefit Act, 1961, including its subsequent amendments such as the Maternity Benefit (Amendment) Act, 2017.

During the financial year, the Company ensured strict adherence to all statutory obligations under the Act. The maternity benefits policy is effectively implemented across the organization and is applicable to all eligible women employees, both executive and non-executive.

As per the provisions of the Act, RINL provides the following benefits:

- ❖ Paid maternity leave as per statutory entitlement
- ❖ Nursing breaks for nursing mothers returning to work post childbirth
- ❖ Protection from termination or dismissal during maternity leave

To further support women employees transitioning back to work after maternity leave, the Company has taken several proactive steps to provide a supportive work environment that encourages reintegration, and work-life balance for women resuming duties after maternity leave.

RINL remains firmly committed to promote gender equality, upholding the principles of inclusion and respect, and to create a workplace that supports the overall well-being and career continuity of its women employees.

### **WOMEN EMPOWERMENT**

RINL continues to champion gender inclusivity, employing 371 women as on 01.04.2025, accounting for 3.39% of the total workforce. Women are placed in diverse functional areas, including core operations, reflecting the company's commitment to gender equality.

The Women in Public Sector (WIPS) Cell, operating under the aegis of SCOPE, facilitated several development initiatives, including:

- ❖ Webinars and training on managerial development, stress and time management, counselling, gender sensitivity, and work-life balance.
- ❖ Awareness programs on the Prevention of Sexual Harassment (POSH) Act.

### **Noteworthy Achievements at the 35<sup>th</sup> WIPS National Meet (Feb 2025, New Delhi):**

- ❖ Dr. Sujatha G., Chief Specialist (OBGYN): Awarded First Place for Best Women Employee in the Executive Category.
- ❖ Ms. Reshma Sultana, Sr. Lab Technician, Mines Deptt.: Awarded Second Place for Best Women Employee in the Non-Executive Category.
- ❖ RINL received the "Special Participation Award" for exceptional commitment to women empowerment against all ongoing odds.

WIPS-RINL led initiatives for increasing awareness on the POSH Act among both male and female employees, including contract workers, and organized seminars on mental health wellness and financial literacy.





35<sup>th</sup> WIPS National Meet



Dr. Sujatha G., Chief Specialist (OBGYN):  
Awarded First Place for Best Women Employee  
in the Executive Category



Special Awards: Dr D Radhika, DGM(HR) achieved GENDER DIVERSITY Award from Indian Steel Association

## GRIEVANCE REDRESSAL MECHANISM

RINL has established a comprehensive Grievance Handling System, incorporating both formal and informal mechanisms, tailored separately for Executives and Non-Executives. Consistent with the organization's philosophy, a proactive approach is adopted to address employee-related concerns. During FY 2024–25, a total of 103 grievances received through the Centralized Public Grievance Redress and Monitoring System (CPGRAMS) portal and all grievances were disposed of.

## THE RIGHTS OF PERSONS WITH DISABILITIES ACT, 2016

In alignment with the provisions of the Rights of Persons with Disabilities Act, 2016, RINL has appointed a Grievance Redressal Officer at the General Manager level and a Liaison Officer at the Deputy General Manager level. Since the enactment of the statute, 224 persons with disabilities have been employed, including 11 individuals selected on merit. Accessibility audits were conducted across plant and non-plant public buildings to ensure inclusivity, resulting in infrastructure enhancements such as ramp ways, customized toilets, auditory elevator signals and provision of wheelchairs at reception areas.

## LEGAL AFFAIRS

RINL continues to diligently manage its legal portfolio, including court cases, arbitrations, coordination with standing counsels, and statutory legal compliance. During FY 2024–25:

- ✦ 142 new court cases/arbitrations were initiated.
- ✦ Total pending legal cases stood at 684 as of March 2025.
- ✦ 174 cases were disposed of, with 129 favourable verdicts (74%).
- ✦ RINL actively pursued arbitration proceedings against M/s Air Liquide India Holding (ALIH) concerning the ASP BOO Contract to safeguard company interests.

## WELFARE

Beyond statutory obligations, RINL continues to implement various employee-centric welfare schemes to promote social security and well-being:

- ✦ ₹ 7.27 crores disbursed to aided schools, benefitting over 6,000 students including employees' children and those from surrounding communities.
- ✦ 125 dependent children of employees were conferred Merit Awards under schemes like Dr. B.R. Ambedkar Merit Award, Dr. Sarvepalli Radhakrishna Merit Cash Award, and Col. C.K. Nayudu Sports Cash Award, totaling ₹ 14.93 lakhs.

## RINL SEWA (Final Settlement):

- ✦ Final settlements were processed for 1,108 superannuation and 58 death cases.
- ✦ Pension benefits under the Superannuation Benefit Fund were extended to 1,414 cases.
- ✦ Group Mediclaim Policy covered 11,388 beneficiaries, with a premium of ₹ 30.44 crores.
- ✦ Post-retirement Medical Scheme extended to 2,096 beneficiaries with a premium of ₹ 3.88 crores.
- ✦ Employees' Family Benefit Scheme extended to 805 beneficiaries; ₹ 27.30 crore disbursed.

## IMPLEMENTATION OF OFFICIAL LANGUAGE POLICY

RINL has consistently complied with the Official Language Policy, achieving targets as outlined in the Annual Program issued by the Department of Official Language, Ministry of Home Affairs:

- ✦ TOLIC (PSU) Visakhapatnam was awarded Third Prize at the Regional Level for FY 2023–24.
- ✦ The Member Secretary TOLIC (PSU) received an Appreciation Letter from the Hon'ble Governor of Bihar and the Ministry of State for Home Affairs at the Regional Conference held in Mysore, Karnataka.
- ✦ BSO–Patna for the year 2023-24 received the Third Prize for commendable work in Official Language at the Regional Conference in Guwahati from Rajbhasha Vibhag, Ministry of Home Affairs, Government of India





Third Prize at Regional Level for TOLIC (PSU) Visakhapatnam



Official Language Implementation Committee Meeting held on 14.12.2024 at Board Room

## SPORTS

RINL encourages and nurtures sporting talent among its employees and their dependents. For financial year 2024-25, RINL has emerged as:

- ❖ Winner of the SPSB Excellence Trophy.
- ❖ Champions in SPSB Cricket and Badminton Championships.
- ❖ Runner-up in Kabaddi and Volleyball Championships.
- ❖ Secured third place in Chess Championship.
- ❖ Celebrated 10<sup>th</sup> International Yoga Day on 21<sup>st</sup> June 2024 with participation of around 500 individuals



RINL Team won SPSB Cricket Championship 2024-25 beating Salem Steel Plant



RINL Team secured Runner-up in SPSB Volleyball Championship 2024-25



The International Yoga Day 2024

## THE RIGHT TO INFORMATION ACT, 2005

RINL continues to lead in fostering transparency and accountability. It was among the first CPSEs to implement an online RTI platform:

- ❖ 350 RTI applications and 56 appeals were disposed of in FY 2024-25.
- ❖ All directions from the Central Information Commission (CIC) were fully complied with.
- ❖ Achieved a score of 771 out of 772 in the Third Party Audit for Suo Motu disclosures to CIC.
- ❖ Secured an 'A' grade with a 99.8% score in the mandatory disclosure audit for 2023-24.





## MEDICAL & HEALTH SERVICES

RINL's Medical Department provides comprehensive healthcare services through the Visakha Steel General Hospital (VSGH), a 160-bed multi-specialty facility along with its associated outreach units. These include two emergency medical care centers offering first aid within the plant premises and an Occupational Health & Safety Research Center. Primary healthcare services are also rendered at three centers: Pedagantyada Rehabilitation Colony, Captive Mines at Jaggayyapeta (Andhra Pradesh) and Madharam (Telangana). The hospital is empanelled under Ayushman Bharat - Pradhan Mantri Jan Arogya Yojana (AB-PMJAY), catering to eligible beneficiaries.

### Key highlights during FY 2024-25 include:

- ❖ 28 Total Knee Replacement surgeries successfully performed at VSGH.
- ❖ Procurement of high-value chronic care medicines (e.g., Inj. Erythropoietin) has yielded cost savings of ₹ 32 lakhs.
- ❖ Repair and maintenance of life-saving equipment such as monitors and defibrillators through local service providers resulted in ₹ 26 lakhs in cost savings.
- ❖ Installation of a new Ultrasound-cum-2D Echo machine enhanced in-house diagnostic capabilities.
- ❖ The Andhra Pradesh Paramedical Board authorized VSGH to commence paramedical diploma courses:
  - DMLT (30 seats)
  - OT Assistants (10 seats)
  - ECG Technicians (10 seats)
- ❖ NBEMS has accepted VSGH application for starting Diplomate of National Board (DNB) courses in:
  - Anaesthesia (2 seats)
  - Paediatrics (2 seats)
- ❖ In collaboration with Serum Institute of India, a medical camp was conducted to vaccinate 350-400 adolescent girls against HPV-related cervical cancer.

## CAPACITY BUILDING THROUGH LEARNING AND DEVELOPMENT

RINL continued its focus on holistic development by delivering a diverse range of training programs covering Skill Development, Technology, IT, Safety & Health, Department-specific Refresher Courses, and On-the-Job Training (OJT) for both employees and apprentices trainees.

### Key statistics for FY 2024-25:

- ❖ Total Participants: 19,851 (includes multiple participations by individuals)
- ❖ Total Training Man-days: 1,62,328
- ❖ Average Training Man-days per employee per year: 12.17

### Major Learning Initiatives:

- ❖ 177 in-house training programs conducted for 6,249 employees, focusing on managerial and behavioural competencies.
- ❖ 199 employees nominated for 24 external training programs.
- ❖ 14 special in-house programs on Preventive Vigilance were organised covering 554 executives (E4-E6 levels).
- ❖ 6 in-house programs on Capacity Building were organised covering 239 executives (E1-E6 levels).



- ❖ Conducted 'IATF 16949:2016' awareness training for 115 executives.
- ❖ Conducted All India Trade Test (AITT) and other statutory assessments.
- ❖ Facilitated Project Training/Internships for 2,918 students from various academic streams through the Project Training Management System (PTMS).

## RECRUITMENT

There was no recruitment undertaken during FY 2024–25. As of 31.03.2025, the number of Displaced Persons who have been provided regular employment in RINL stands at 8,010.

## QUALITY CIRCLES

RINL actively encourages employee participation in Quality Circles (QCs) to foster a culture of continuous improvement. During the year, three LQC teams participated in the International Convention on Quality Control Circles (ICQCC–2024) organized by the Sri Lanka Association for the Advancement of Quality and Productivity (SLAAQP) in Colombo, Sri Lanka (Hybrid mode, 11<sup>th</sup>–14<sup>th</sup> November 2024).

### The participating teams were:

- ❖ 'ARMOR' from Special Bar Mill (SBM)
- ❖ 'TARANGINI' from Quality Assurance & Technology Development (QA&TD)
- ❖ 'SADHANA' from Steel Melting Shop-1 (SMS-1)

These teams presented their case studies online from the Centre of HRD, Ukkuhouse on 6<sup>th</sup> November 2024.



The award-winning delegation of Quality Circle teams from RINL

## CORPORATE SOCIAL RESPONSIBILITY (CSR)

Pursuant to the enactment of the Companies Act, 2013, your Company has formulated a comprehensive CSR & Sustainability Policy in line with the provisions of the Act, relevant rules thereunder, and the Guidelines issued by the Department of Public Enterprises (DPE). RINL continues to lay strong emphasis on inclusive growth and sustainability. The Annual Report on CSR Activities, in accordance with Rule 8 and Rule 9 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, as amended in 2021 and 2022, forms part of this Annual Report.

### No CSR spending available and the CSR obligation:

- ❖ As per Section 135(5) of the Companies Act, 2013 “Every company... shall spend *at least two percent of the average net profits* of the company made during the three immediately preceding financial years...”.
- ❖ However, due to losses incurred by RINL no CSR spending available and the CSR obligation was ‘nil’.
- ❖ The details were furnished in the CSR Annual Report forming part of this Annual Report.

### Swachh Bharat Initiatives

The ethos of Swachh Bharat Abhiyan has been deeply institutionalized within the organization, with active participation across departments and local communities. Initiatives were taken both within the plant premises and surrounding areas, aiming to create sustainable infrastructure and maintain cleanliness through regular drives.

- ❖ The year-long ‘Safai Pakhwada’ campaign, as per Government directives, saw the active participation of 6,269 employees through 299 Shramdaan activities, cleanliness drives, Swachhata pledges, and plantation efforts.
- ❖ The ‘Swachhata Hi Seva’ campaign was observed from 15<sup>th</sup> September to 2<sup>nd</sup> October 2024 with the theme “Garbage Free India”.
- ❖ ‘Special Campaign 4.0’, held from 2<sup>nd</sup> October to 31<sup>st</sup> October 2024, emphasized institutionalizing swachhata and minimizing pendency in official work. Key activities included:
  - Space optimization and record management
  - Disposal of scrap and redundant items
  - Redressal of public grievances
  - Mass cleaning drives
  - Public engagement events such as Prabhat Pheris, Nukkad Nataks, Thank You Safai Mitra Samman, and plantation drives.
- ❖ ‘Swachhata Pakhwada’ was conducted from 16<sup>th</sup> to 31<sup>st</sup> March 2025, focusing on hygiene improvement, safety campaigns, and awareness initiatives like Swachh Jagrukta Abhiyan, Parivartan, and Swachhata Se Swasth.
- ❖ 12 Departments were felicitated with ‘Swachhata Puraskars’ for their exemplary performance in Swachh Bharat initiatives.





Inauguration of Swachhata Hi Seva Campaign and pledge by Directors, CVO, and Senior Officers



Plantation of Saplings by Hon. Member, NCSC Sri Vaddepalli Ramachander and Director, Sri G.Sunil Kumar



Safai Mitra Samman



Swachhata Pakhwada campaign - Walkathan by School Children inaugurated by Dr. Salim G Purushothaman, Director (Operations)

## CITIZEN CHARTER

RINL reaffirms its commitment to excellence in public service delivery by ensuring good governance and transparency through its Citizen Charter. The Charter defines the Company's commitment to its stakeholders, outlining service standards and communication mechanisms to enhance effectiveness and accountability. It is made available in both English and Hindi on the Company's official website.

## VIGILANCE ACTIVITIES

RINL-Vigilance continued to strengthen its framework around Preventive and Proactive, Surveillance and Detection and Punitive Vigilance, thereby fostering a culture of integrity, transparency and ethical governance.

### Key Activities Undertaken:

- ✦ System and Procedure Reviews, Surprise Checks, Audit Observations, Contract Scrutiny, and Bill Verifications were extensively carried out.
- ✦ Emphasis was laid on leveraging IT to enhance transparency and fairness in identified critical areas.
- ✦ A total of 190 surprise inspections were carried out, including:
  - 20 Quality checks of materials
  - 12 Inspections of stores/sub-stores
  - 158 Surveillance inspections (plant and outstations)
- ✦ 48 contractual activities were scrutinized under CTE guidelines, covering Single Tender cases, Emergency Cases, Internal Audit Paras and High-Value Contracts.
- ✦ 45 systemic improvements were suggested during FY 2024–25 to streamline existing procedures and practices.
- ✦ Sensitive Posts Monitoring:
  - Out of 400 officers identified in sensitive posts as on 01.04.2024, 37 officers were rotated/transferred as per guidelines.
  - Additional posts identified for FY 2025–26 include E-1 to E-4 grade ministerial staff and other key operational roles.

### Preventive Vigilance & Awareness:

- ✦ 14 awareness sessions conducted for 553 participants, covering:
  - Integrity Pact
  - Complaint Handling
  - CVC Guidelines
  - Contract Transparency and Procurement
  - RTI Act and e-Governance

### Special Vigilance Campaigns:

As per CVC directives, a three-month campaign (16<sup>th</sup> August to 15<sup>th</sup> November 2024) was carried out before Vigilance Awareness Week. Following are the Key achievements:

- ✦ Finalization of a comprehensive Purchase and Contract Procedure (PCP) document aligned with DoE guidelines.
- ✦ Implementation of 11 pending systemic improvements.
- ✦ 6 capacity-building sessions organized for 239 executives.
- ✦ 3 workshops on "Dynamic Digital Presence", involving 92 employees, leading to 1,087 web content updates.



## Vigilance Awareness Week – 2024:

Theme: “Culture of Integrity for Nation’s Prosperity” Observed from 28<sup>th</sup> October to 3<sup>rd</sup> November 2024, the week featured:

- ✦ Pledge ceremonies at Corporate Office and all departments across India in Hindi, English and Telugu.
- ✦ Engagement programs including:
  - Essay writing, slogan, poster, painting, elocution competitions
  - Vendor meets, Gram Sabhas, road shows, walkathons and quizzes
- ✦ Grand valedictory function on 2<sup>nd</sup> November 2024 with active stakeholder participation.
- ✦ Consolidated campaign reports submitted to CVC, as per directive.

In the FY 2024-25, 88 complaints were handled in compliance with Complaint Handling Policy and 76 complaints were disposed. Regular Departmental Actions (RDA) of Major Penalty was recommended against 62 employees. Out of those, RDA against 06 employees got disposed, whereas inquiry against 56 employees is in progress as on 31.03.2025.

## COMPLIANCE TO COPLOT RECOMMENDATIONS – Rajya Sabha (15<sup>th</sup> Report dated 31<sup>st</sup> March 2017)

In adherence to the recommendations of the Committee on Papers Laid on the Table (COPLOT) of the Rajya Sabha, RINL has ensured meticulous monitoring and reporting of complaint handling and disciplinary proceedings.

### Complaint Handling Status:

| Particulars of Complaints  | Number |
|----------------------------|--------|
| Pending as on 31.03.2024   | 12     |
| Received during FY 2024–25 | 76     |
| Disposed during FY 2024–25 | 76     |
| Pending as on 31.03.2025   | 12     |

### Disciplinary Proceedings Status:

| Particulars                                        | Number |
|----------------------------------------------------|--------|
| Pending disciplinary proceedings as on 31.03.2024  | Nil    |
| RDAs (Major Penalty) recommended during FY 2024–25 | 62     |
| RDAs disposed during FY 2024–25                    | 06     |
| RDAs under inquiry as on 31.03.2025                | 56     |

RINL continues to uphold the principles of transparency, accountability, and compliance with the laid down statutory and procedural norms. The implementation status is regularly reviewed to ensure timely redressal and appropriate action on all vigilance-related matters.

## VIGIL MECHANISM

Your Company has put in place a Vigil Mechanism comprising a Whistle Blower Policy, with an objective to provide a secure channel for employees, directors and stakeholders to report genuine concerns regarding unethical behavior, actual or suspected fraud, and violation of the Company’s general guidelines on conduct or ethics policy.

The Whistle Blower Policy ensures that the confidentiality of the complainant is maintained and that the person raising a concern is protected against victimization.

The Vigil Mechanism / Whistle Blower Policy is available on the Company’s website at the following link:

<https://www.vizagsteel.com/insiderinl/Vigil%20mechanism%20Policy.pdf>

## MANAGEMENT DISCUSSION AND ANALYSIS REPORT

The Management Discussion and Analysis Report (MDAR), providing a comprehensive analysis of the Company's performance, industry structure, opportunities, threats, outlook, risks, internal controls and financials, is enclosed as **Annexure-I** to this Report.

## CORPORATE GOVERNANCE REPORT

Your Company strives to attain highest standards of Corporate Governance. In line with the Guidelines issued by Department of Public Enterprises (DPE), which have become mandatory from May, 2010, a separate section on Corporate Governance is annexed and forms part of the Directors' Report vide **Annexure-II** to this Report.

## CERTIFICATION BY THE CEO & CFO

In compliance with the DPE Guidelines, a certificate signed by the Chairman-cum-Managing Director (CMD) as Chief Executive Officer (CEO) and Head of the Finance (HoD-Finance) as Chief Financial Officer (CFO) forms part of the Corporate Governance Report. A declaration by the Chairman & Managing Director (CMD) regarding compliance with the Code of Conduct for Board Members and Senior Management is also forming part of certificate annexed as **Annexure-III**.

## COMPLIANCE OF GUIDELINES ON CORPORATE GOVERNANCE

Your Company has been awarded **"Excellent" grading** by the Department of Public Enterprises (DPE), Ministry of Finance, for six consecutive years from FY 2017-18 to FY 2022-23, based on the compliance with Corporate Governance Guidelines issued in May 2010 (vide O.M. No. 18(8)/2005-GM dated 14<sup>th</sup> May, 2010) and subsequent amendments.

The Annual Score and Grading of RINL, on the basis of compliance with the Guidelines on Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises (DPE), was **self-evaluated as "Excellent"** for the Financial Years **2023-24 and 2024-25**.

A certificate on the compliance of Corporate Governance Guidelines issued by DPE for the FY 2024-25, issued by a Practicing Company Secretary, is annexed as **Annexure-IV** to this Report.

## ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY ACTIVITIES

The Annual Report on Corporate Social Responsibility (CSR) activities, pursuant to Rule 8 of the Companies (Corporate Social Responsibility Policy) Rules, 2014, is enclosed at **Annexure-V** to this Report.

## ANNUAL RETURN

Pursuant to Section 92(3) of the Companies Act, 2013, a copy of the Annual Return in Form MGT-7 for the FY 2024-25 is placed on the Company's website and can be accessed at

<https://www.vizagsteel.com/myindex.asp?tm=1&url=insiderinl/FinancialPerformance.asp>

## BOARD MEETINGS

During the year, Twelve (12) meetings of the Board of Directors were held. The details of the meetings and attendance of the Directors are provided in the Corporate Governance Report, which forms part of this Directors' Report.

## AUDIT COMMITTEE

The composition of the Audit Committee, as well as the scope of its responsibilities, is detailed in the Corporate Governance Report forming part of this Report. All recommendations made by the Audit Committee were accepted by the Board. The minutes of the Audit Committee meetings were placed regularly before the Board for consideration.

### **Status of Board Sub-Committees:**

The tenure of existing two independent directors on the RINL Board was ended on 31<sup>st</sup> October 2024. Consequently, with effect from 01<sup>st</sup> November 2024, RINL Board continued without any independent directors. As a result, three Board Sub-Committees - Audit Committee, CSR&S Committee, and Nomination and Remuneration Committee (NRC)-became non-functional due to lack of quorum. Therefore, the Board of Directors of RINL in its 366<sup>th</sup> meeting held on 23<sup>rd</sup> November 2024 resolved that, as an interim measure, all proposals that are otherwise routed through, or require approval of, Board sub-committees viz. Audit Committee, CSR Committee, and Nomination & Remuneration Committee (NRC), shall be placed directly before the Board for its consideration and approval, until these sub-committees are reconstituted and functional.

Shri Prateek Tanwar was appointed as Independent Director on the Board of RINL with effect from 16<sup>th</sup> May, 2025. Subsequent to this appointment, the Board, in its 376<sup>th</sup> Meeting held on 31<sup>st</sup> July, 2025, approved the reconstitution of the CSR & Sustainability Committee (CSR & S). With this reconstitution, the Committees have resumed their functioning in compliance with the applicable provisions of the Companies Act, 2013 and the Guidelines on Corporate Governance issued by the Department of Public Enterprises (DPE).

The RINL Board, in its 377<sup>th</sup> Meeting held on 08<sup>th</sup> August, 2025, approved the reconstitution of the Audit Committee and Nomination & Remuneration Committee (NRC).

The details about aforesaid reconstitution of board sub-committees were given in the Corporate Governance Report annexed to this Director's Report.

### **DIRECTORS' RESPONSIBILITY STATEMENT**

Pursuant to Section 134(3)(c) & Section 134(5) of the Companies Act, 2013, the Directors state that:

- a) in the preparation of the Annual Accounts, the applicable Accounting Standards had been followed along with proper explanation relating to material departures;
- b) the Directors had selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period;
- c) the Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) the Directors had prepared the Annual Accounts on a "going concern" basis;
- e) this sub-clause is not applicable being an unlisted company; and
- f) the Directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

### **INDEPENDENT DIRECTORS' DECLARATION**

In terms of Section 149(7) of the Companies Act, 2013, necessary declarations have been received from each independent director, confirming that they meet the criteria of independence as laid down in sub-section (6) of Section 149 of the Companies Act, 2013.

### **COMPANY'S POLICY ON DIRECTORS' APPOINTMENT AND REMUNERATION**

Your Company has constituted the Nomination and Remuneration Committee in accordance with Section 178(1) of the Companies Act, 2013. Being a Central Public Sector Enterprise (CPSE), the appointment and remuneration of directors, including the criteria for determining qualifications, positive attributes and independence of a director

and other related matters as provided under sub-section (3) of Section 178 are decided by the Government of India. Furthermore, as per MCA Notification No. G.S.R. 463(E) dated 5<sup>th</sup> June, 2015, Government Companies are exempted from framing the Appointment and Remuneration Policy.

### **PARTICULARS OF LOANS, GUARANTEES AND INVESTMENTS**

In accordance with Section 186 of the Companies Act, 2013 read with the Companies (Meetings of Board and its Powers) Rules, 2014, the details of loans, guarantees and investments made during the financial year ended 31<sup>st</sup> March, 2025, are provided in note nos. 6, 7A, 7B, 9 & 14. Details of Investments are provided in note no. 5 of the notes to accounts annexed to the financial statements.

### **RELATED PARTY TRANSACTIONS**

All transactions with related parties have been disclosed in the financial statements. Particulars of contracts or arrangements with related parties referred to in Section 188(1) of the Companies Act, 2013 are disclosed in note no. 52 of the notes to accounts annexed to the Financial Statements. During the financial year 2024–25, all related party transactions entered into by the Company were in the ordinary course of business and at arm's length basis. Accordingly, there were no transactions requiring disclosure under Section 188(1) of the Companies Act, 2013 read with Rule 8(2) of the Companies (Accounts) Rules, 2014. Further, the details of related party transaction in Form AOC-2 is also annexed to this report. The Policy relating to Related Party Transactions is available on Company's website at [https://www.vizagsteel.com/insiderinl/RPT\\_Policy.pdf](https://www.vizagsteel.com/insiderinl/RPT_Policy.pdf)

### **STATEMENT OF THE COMPANY'S AFFAIRS**

Details regarding the affairs of the Company during the year under review are elaborated in the preceding sections of this Report.

### **TRANSFER TO RESERVES**

There was no transfer to reserves during the financial year under review.

### **CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO.**

In accordance with the provisions of Section 134(3)(m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014, the particulars relating to Conservation of Energy, Technology Absorption and Foreign Exchange Earnings and Outgo are provided in **Annexure-VI** to this Report.

### **ENTERPRISE RISK MANAGEMENT POLICY (ERM)**

Your Company has in place a Board approved Enterprise Risk Management Policy, which is hosted on the Company's website. As per the policy, risk profiles are identified across both Works and Non-Works Departments by an internal implementation team. The identified risks are monitored by the concerned Heads of Departments and reviewed by the Audit Committee.

### **ANNUAL EVALUATION OF PERFORMANCE OF THE BOARD, COMMITTEES AND INDIVIDUAL DIRECTORS**

As per MCA Notifications No. G.S.R. 463(E) dated 05<sup>th</sup> June, 2015 and G.S.R. 584(E) dated 05<sup>th</sup> July, 2017, Government Companies are exempted from conducting the Annual Evaluation of the Performance of the Board, its Committees and Individual Directors.



## DIRECTORS AND KEY MANAGERIAL PERSONNEL

The details of Directors and Key Managerial Personnel (KMPs) who were appointed or ceased to be Directors and KMPs during the financial year and up to the date of this Report are as under:

### Appointments:

| Directors                                                              | Appointed w.e.f. |
|------------------------------------------------------------------------|------------------|
| Shri Chaluvadi Sree Rama Venkata Gopala Krishna Ganesh (DIN: 10577869) | 03.04.2024       |
| Shri Ghantasala Venkata Nagambica Prasad (DIN: 10612236)               | 01.05.2024       |
| Shri Ajit Kumar Saxena (DIN: 08588419)                                 | 29.09.2024       |
| Shri Subodh Kumar Singh (DIN: 01863607)                                | 06.11.2024       |
| Shri Salim G. Purushothaman (DIN: 08269250)                            | 09.03.2025       |
| Shri Prateek Tanwar (DIN: 11109166)                                    | 16.05.2025       |
| Shri Vinod Kumar Tripathi (DIN: 10711675)                              | 11.06.2025       |
| Shri Daya Nidhan Pandey (DIN: 06813608)                                | 11.06.2025       |

### KMP:

| Name                  | Designation                    | Appointed w.e.f. |
|-----------------------|--------------------------------|------------------|
| Shri Hemant Kumar Jha | DGM (F&A), HoD (Finance) & CFO | 21.05.2025       |

### Cessations:

| Directors                                                              | Ceased     |
|------------------------------------------------------------------------|------------|
| Shri Deb Kalyan Mohanty (DIN: 08520947)                                | 30.04.2024 |
| Smt Sukriti Likhi (DIN: 01825997)                                      | 19.08.2024 |
| Shri Sunil Kumar Hirani (DIN: 09342744)                                | 31.10.2024 |
| Shri Ghanshyam Singh (DIN: 09393441)                                   | 31.10.2024 |
| Shri Atul Bhatt (DIN: 07639362)                                        | 30.11.2024 |
| Shri Subodh Kumar Singh (DIN: 01863607)                                | 18.12.2024 |
| Shri Chaluvadi Sree Rama Venkata Gopala Krishna Ganesh (DIN: 10577869) | 30.04.2025 |
| Dr. Sanjay Roy (DIN: 10045280)                                         | 23.05.2025 |
| Shri Suresh Chandra Pandey (DIN: 10149587)                             | 30.09.2025 |

### KMP:

| Name               | Designation                    | Ceased     |
|--------------------|--------------------------------|------------|
| Shri V Santa Kumar | CGM (F&A), HoD (Finance) & CFO | 03.04.2024 |

## OTHER DISCLOSURES

- ✧ **Financials:** Financial summary/highlights are provided separately in earlier sections of this Report.
- ✧ **ESOPs / Sweat Equity Shares:** Your Company has not issued equity shares with differential rights, sweat equity shares, or employee stock options during the year.
- ✧ **Change in nature of business:** There has been no change in the nature of business during the year. The Company continues to operate in the field of Iron & Steel and its by-products.



- ✧ **Particulars of Employees:** Being a Government Company, your Company is exempted from the provisions of Section 197 of the Companies Act, 2013 and related rules, as per MCA Notification No. G.S.R. 463(E) dated 05<sup>th</sup> June, 2015.
- ✧ **Subsidiaries / Joint Ventures:** There were no Subsidiaries or Joint Ventures that ceased to be so during the year.
- ✧ **Material Changes and Commitments:** No material changes or commitments affecting the financial position of the Company have occurred between the end of the financial year (31<sup>st</sup> March, 2025) and the date of this Report.
- ✧ **Significant and Material Orders:** No significant or material orders were passed by any regulators, courts, or tribunals impacting the going concern status or future operations of the Company during the year.
- ✧ **Insolvency and Bankruptcy Code, 2016:** During the year under review, no application was made, no case was filed and no proceeding is pending under the Insolvency and Bankruptcy Code, 2016.
- ✧ **Deposits:** Your Company has not invited or accepted any deposits falling within the purview of provisions of the Companies Act, 2013 during the year.
- ✧ **MoU Performance:** RINL has been exempted from signing the Memorandum of Understanding (MoU) with the Ministry of Steel for the Financial Year 2024–25.
- ✧ **Reporting on valuations done, if any:** During the financial year 2024–25, the Company did not enter into any One Time Settlement (OTS) with any bank or financial institution. Consequently, there was no requirement for carrying out any valuation, and hence reporting in this regard is not applicable.

## STRATEGIC INITIATIVES

The Government of India (GoI), on 16.01.2025, has approved a Revival Package, as below:

- ✧ Infusion of ₹ 10,300 crores as equity capital (including ₹ 500 crores already provided as emergency funds in September 2024).
- ✧ Conversion of Govt. of India loan of ₹ 1140 crores as 7% Non-cumulative Preference Share Capital redeemable after 10 years.

This emergency support enabled RINL to re-commission the second Blast Furnace on 28.10.2024, and subsequently, the Company was able to ramp up production from the two operational Blast Furnaces, often exceeding rated capacity.

Based on achievement of targets, RINL received the first tranche of ₹ 6,783 crores in January, 2025, the second tranche of ₹ 1,401 crores in April, 2025 and the third tranche of ₹ 820 crores in September, 2025. The balance equity of ₹ 796 crores is scheduled to be released in FY 2025-26, subject to the fulfilment of targets stipulated.

With increase in production levels, improvement in efficiencies and the initiatives taken by the company for reduction of fixed costs, the Company started to earn positive Earnings Before Interest and Depreciation (EBITDA) and Cash Profit.

## INTERNAL CONTROLS & INTERNAL FINANCIAL CONTROLS

Your Company has instituted a comprehensive, adequate and efficient system of internal controls that aligns with its operational scale and complexity. These controls are designed to ensure the efficiency of operations, safeguard assets, accuracy of financial reporting and adherence to internal policies, applicable laws and statutory requirements. This internal control system is an integral part of the company's corporate governance policy. Salient features include the implementation of well-defined policies and procedures, structured delegation of powers, robust IT

and ERP systems, statutory and internal audits, effective functioning of the Audit Committee and other Board Committees and compliance with Accounting Standards and Corporate Governance principles.

## INTERNAL AUDIT

The Company has a dedicated Internal Audit department comprising experienced professionals including Chartered Accountants, Cost & Management Accountants, System Analysts and Engineers. The Internal Audit focuses on transparency and the robustness of internal controls. The annual audit programme, including audit frequency and coverage, is approved by the Audit Committee at the start of each financial year. The Internal Audit team evaluates the Company's systems and processes, recommending corrective actions and control enhancements to process owners. Key audit findings are periodically reviewed by the Audit Committee.

During FY 2024–25, the Internal Audit department raised 800 paras with a financial impact of ₹ 7.82 crores. Audit recommendations led to significant ERP and operational control improvements.

**In line with the recommendations of COPLOT – Rajya Sabha in its 150<sup>th</sup> Report, the Company has submitted Action Taken Notes (ATNs) on the pending audit paras during the year 2024–25 as follows:**

| S.No. | Report No                                                                              | Para No. & Description                                                                                                                                                         | Action Taken Note Status                                           |
|-------|----------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------|
| 1     | Report No. 7 of 2022 (Compliance Audit of activities of RINL Union Govt. (Commercial)) | Chapter-1: Category-1 Capital Repairs of Blast Furnace 1 & 2;<br>Chapter-2: Assessment of Environmental Issues at RINL                                                         | ATNs submitted on 06.06.2024 and 06.07.2024 respectively           |
| 2     | Report No. 18 of 2020 (Commercial)                                                     | Para 13.2: Energy Management in RINL (2014–15 to 2017–18) Observations on Generation, Purchase and distribution of energy covering the period of five years ending March 2019. | ATN submitted on 03.12.2024; additional information under process. |
| 3     | Report No. 9 of 2017                                                                   | Para 18.1: Excess PRP Payment to the employees.                                                                                                                                | Additional ATN information submitted on 06.07.2024                 |
| 4     | Report No. 27 of 2010-11                                                               | CSR Activities (2004–2010) (Performance Audit of the Activities of Corporate Social Responsibility undertaken by SAIL and RINL during the period April 2004 to March 2010)     | Updated status submitted on 23.02.2024                             |
| 5     | Report No. 12 of 2024                                                                  | Para 6.3: Irregular Expenditure under Farewell Scheme and Long Service Award Scheme pertaining to RINL, VSP                                                                    | ATN submitted on 06.03.2025                                        |

## SECRETARIAL AUDITORS

Pursuant to the provisions of Section 204 of the Companies Act, 2013 and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the Company appointed M/s. SVJS & Associates, Company Secretaries, Kochi, as the Secretarial Auditors of the Company for the financial year 2024–25.

The Secretarial Audit Report, confirming compliance with the provisions of the Companies Act, 2013, and the Rules made thereunder and the Memorandum and Articles of Association of the Company, forms part of the Directors' Report and is annexed as **Annexure–VII**. The Report does not contain any qualifications. However, the Report includes certain observations, which have been explicitly stated by the Secretarial Auditors. The Management's response to these observations is also included in the said Report and is provided below for the information of the stakeholders.

### Management's Response to the Observations of the Secretarial Auditors:

With reference to the observation made by the Secretarial Auditors regarding the non-appointment of the requisite number of independent directors on the Board of the Company in accordance with Clause 3.1.4 of the Guidelines on Corporate Governance for Central Public Sector Enterprises (CPSEs), issued by the Department of Public Enterprises (DPE), Ministry of Heavy Industries and Public Enterprises, Government of India, vide O.M. No. 18/(8)/2005-GM dated 14<sup>th</sup> May, 2010 which stipulates that at least one-third of the Board members should be independent directors, accordingly, the following is submitted:

- ✦ The Company acknowledges the observation regarding the non-compliance with the prescribed composition of the Board during the year under review.
- ✦ As a CPSE, the appointment of independent directors on the Board of Rashtriya Ispat Nigam Limited (RINL) is made by the Government of India through the administrative ministry i.e. Ministry of Steel (MoS).
- ✦ The Company has already requested the Ministry of Steel, Government of India, to nominate the requisite number of independent directors to ensure compliance with the Companies Act, 2013, and the DPE Guidelines.

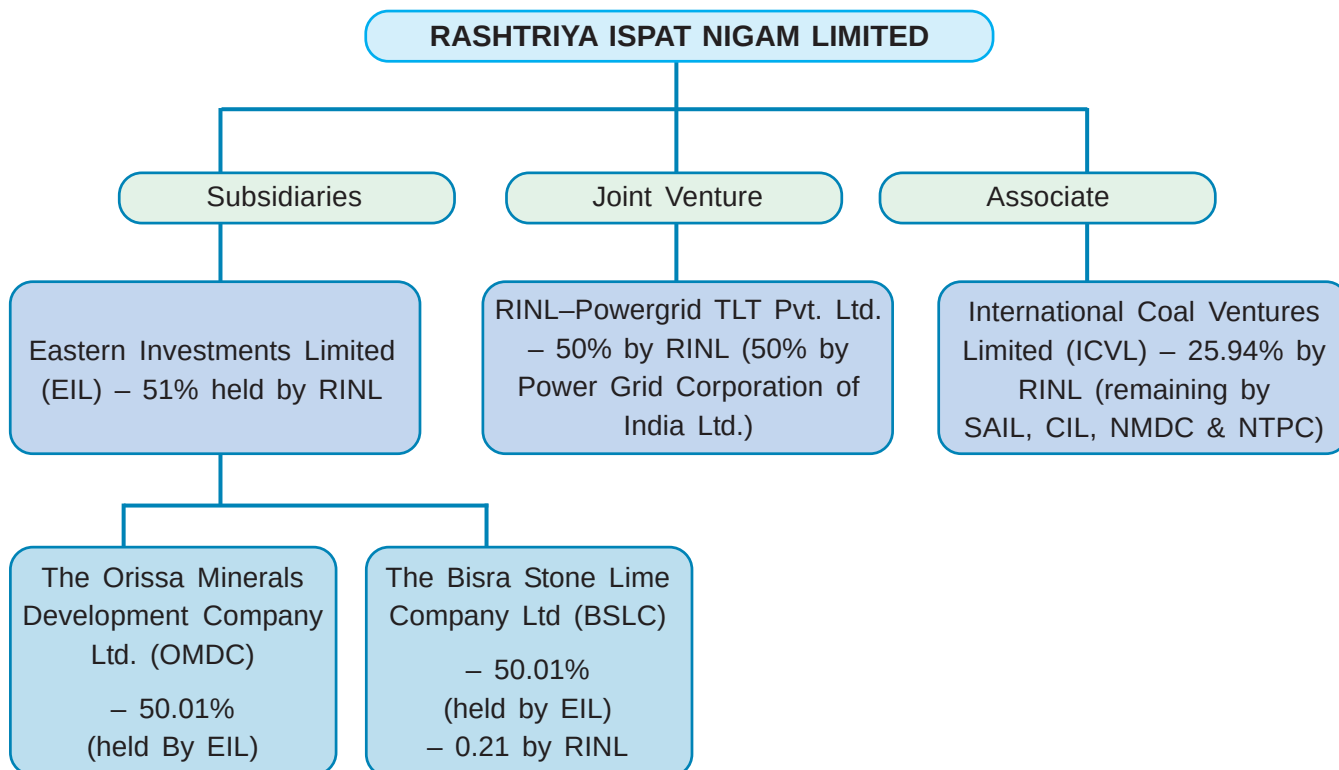
The Company remains fully committed to ensuring compliance with all applicable statutory and regulatory provisions and continues to follow up actively with the Ministry of Steel for the timely appointment of Independent Directors.

### STATUTORY AUDITORS

M/s. B V Rao & Co LLP, Chartered Accountants, Visakhapatnam, were appointed as Statutory Auditors by the Comptroller and Auditor General of India (C&AG) for FY 2024–25. Their report on the Standalone and Consolidated Accounts forms part of this Report.

### MONITORING MECHANISM FOR SUBSIDIARY / ASSOCIATE / JOINT VENTURE (JV) COMPANIES & CONSOLIDATION OF ACCOUNTS

The Subsidiary Companies of RINL are managed by their respective Boards, which include nominee directors from your Company, ensuring alignment with the interests of all stakeholders. The performance of subsidiary companies is monitored by RINL through various means, including the periodic placement of their board meeting minutes before the Board of RINL for review.



The consolidated financial statements for the year, incorporating the financials of all subsidiary and associate companies, form part of this Report. The Statutory Auditors' Report and the Comments of the Comptroller and Auditor General of India (C&AG) on the consolidated financial statements (CFS), along with the management's replies thereto, are also included herein.



In accordance with the first proviso to sub-section (3) of Section 129 of the Companies Act, 2013 read with Rule 5 of the Companies (Accounts) Rules, 2014, the statement containing salient features of the financial statements of Subsidiaries/Joint Ventures is enclosed in **Form AOC-1** to this Report.

Notes on Subsidiaries, Joint Venutes and Associate Companies along with financials was forming part of this Report vide separate section.

### **EXPLANATIONS OR COMMENTS BY THE BOARD ON QUALIFICATIONS ETC., MADE BY THE AUDITOR**

There are no qualifications on the standalone financial statements as well as on the consolidated financial statements of the company.

### **C&AG AUDIT**

The Comptroller and Auditor General of India (C&AG) has given their comments on the Standalone and Consolidated Accounts for FY 2024–25, which are appended to this Report.

### **COST AUDIT AND APPOINTMENT OF COST AUDITOR**

Ministry of Corporate Affairs (MCA), Govt. of India, vide notification nos. GSR 425(E) dated. 30<sup>th</sup> June, 2014, GSR 01(E), dated 31<sup>st</sup> December, 2014 and G.S.R 695(E), dated 14<sup>th</sup> July, 2016, has notified the Companies (Cost Records and Audit) Rules, 2014 applicable to certain companies which are engaged in the production of goods or providing services. Such companies are required to keep cost records and get its cost records audited in accordance with these rules. The rules are also applicable to the Company and accordingly the Cost Accounting Records are being maintained by the Company and Cost Audit reports are being submitted by the Cost Auditor.

Accordingly, your company appointed M/s Niran & Co., Cost Accountants, Bhubaneswar, as Cost Auditors, under the Companies Act, 2013 for the financial year 2024-25.

### **DETAILS IN RESPECT OF FRAUDS REPORTED BY AUDITORS UNDER SECTION 143(12)**

During the year under review, no report has been filed by the Statutory Auditors under sub-section (12) of Section 143 of the Companies Act, 2013 in Form ADT-4, as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014, with the Central Government. A declaration to this effect has been included in Annexure-A to the Independent Auditor's Report on the Standalone Financial Statements, which forms part of this Report.

### **ACKNOWLEDGEMENT**

The Board of Directors takes this opportunity to express its sincere gratitude and deep appreciation for the valuable guidance, assistance, cooperation, and support extended by the Government of India, particularly the Ministry of Steel, and the Government of Andhra Pradesh.

The Board also acknowledges the continued support and cooperation received from Financial Institutions, Valued Customers and Suppliers, Railways, Bankers, Auditors, Contracting Agencies, Business Associates, Consultants, various officials of the Union and State Ministries, the local District Administration, and Law & Order authorities during the year under review.

The Board places on record its sincere appreciation for the dedicated efforts, commitment, and hard work of all employees of the Company, including members of the Trade Unions and Executive Association, whose contributions were instrumental to the performance and operations of the Company throughout the year.

For and on behalf of the Board of Directors of  
Rashtriya Ispat Nigam Limited

Sd/-  
**(Ajit Kumar Saxena)**  
(DIN: 08588419)

Chairman-cum-Managing Director  
(Additional Charge)

Plac : Visakhapatnam  
Date : 25<sup>th</sup> November, 2025

## MANAGEMENT DISCUSSION AND ANALYSIS REPORT (MDA)

### 1.0 INDUSTRY STRUCTURE AND DEVELOPMENTS

#### 1.1 Developments in World Steel

In 2024, due to slowdown in demand and build-up of excess capacity in China, the steel exports from China surged to a record level of 118 Mt. This led to a sharp increase in trade measures globally. During 2024, 19 governments initiated 81 antidumping investigations involving steel products, a five-fold increase from the 2023 level and near the 2016 steel crisis level.

As per the Steel Outlook 2025 released by Organization for Economic Co-operation and Development (OECD) steelmaking capacity is expected to grow further by 165 Mt with a CAGR of 2.2% worldwide from 2024 to 2027. During this period, the demand is expected to increase by 46 Mt with a CAGR of 0.8% only resulting in further buildup of excess capacity.

However, the medium-term outlook to 2030 foresees the rest of the world to post steady annual growth, while Chinese steel demand continues to decline steadily. The world steel demand is expected to increase at an average annual rate of 0.7% against 0.9% increase in production during the period 2025-30.

India is projected to be the main contributor to the growth in production and demand of steel, with a CAGR of 6.3%.

(in Mt.)

| Regions              | Demand Expectation |             |            | Production Expectation |             |            |
|----------------------|--------------------|-------------|------------|------------------------|-------------|------------|
|                      | 2025               | 2030        | CAGR%      | 2025                   | 2030        | CAGR%      |
| China                | 902                | 876         | -0.6       | 999                    | 968         | -0.6       |
| India                | 160                | 217         | 6.3        | 158                    | 215         | 6.3        |
| European Union & UK  | 153                | 150         | -0.3       | 135                    | 138         | 0.4        |
| USA, Mexico & Canada | 148                | 150         | 0.3        | 106                    | 109         | 0.5        |
| Japan & Korea        | 107                | 99          | -1.5       | 149                    | 139         | -1.4       |
| <b>World - Total</b> | <b>1889</b>        | <b>1958</b> | <b>0.7</b> | <b>1896</b>            | <b>1978</b> | <b>0.9</b> |

#### 1.2 Indian Economy and Steel Scenario

India remains the world's fastest growing major economy with a growth of 6.5% in FY 2024-25. India has made quite a turnaround, climbing the ladder of economic growth from the 11<sup>th</sup> position in 2013-14 to the fourth largest economy in 2024-25.

Asia's third-largest economy benefitted from strong farm activity, steady public spending and improved rural demand in the last financial year.

India's growth engine remains heavily dependent on the government's infrastructure spending on roads, ports and highways, in the absence of significant improvement in private investment.

(Value in %)

| Period            | GVA        | Manufacturing GVA | Construction GVA | Finished Steel Consumption |
|-------------------|------------|-------------------|------------------|----------------------------|
| Q1 FY25           | 6.5        | 7.6               | 10.1             | 15.0                       |
| Q2 FY25           | 5.8        | 2.2               | 8.4              | 12.0                       |
| Q3 FY25           | 6.5        | 3.6               | 7.9              | 7.8                        |
| Q4 FY25           | 6.8        | 4.8               | 10.8             | 11.8                       |
| <b>FY 2024-25</b> | <b>6.4</b> | <b>4.5</b>        | <b>9.4</b>       | <b>11.5</b>                |

Source: Ministry of Statistics and Programme Implementation (MoSPI) and JPC reports

### Steel scenario:

The Indian steel demand retained its momentum and grew at 11.5% in FY 2024-25. (in Mt.)

| Particulars           | FY 2024-25 | FY 2023-24 | % change |
|-----------------------|------------|------------|----------|
| <b>Finished Steel</b> |            |            |          |
| Production            | 146.6      | 139.2      | 5.3      |
| Import                | 9.6        | 8.3        | 15.7     |
| Export                | 4.9        | 7.5        | -35.1    |
| Consumption           | 152.0      | 136.3      | 11.5     |

Source: JPC

Following the global trends, the net imports into India increased from 0.8 Mt in 2023-24 to 4.7 Mt in 2024-25. In-flow of imports affected the primary producers more than the secondary steel sector bringing down the earnings of the integrated (largely the flats segment).

The longs segment, although facing subdued market conditions both at the domestic and global levels, performed comparatively better as it was not directly affected by increasing imports.

Non-tariff restraints such as mandatory BIS certification for imports, the Steel Import Monitoring Scheme (SIMS) etc. and the proposed 12% duty likely to improve the viability of domestic steel compared to imports.

## 2.0 STRENGTHS AND WEAKNESSES

Major strengths and weakness of the company (not an exhaustive list) are placed below:

| Strengths                                                                                                                                                                                                                                                                                                                                                                             | Weaknesses                                                                                                                                                                                                                                                                               |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>❖ Strong support from GoI</li> <li>❖ Shore based location, facilitating imports and exports</li> <li>❖ Availability of Land for expansion</li> <li>❖ Well established marketing network and customer base</li> <li>❖ Image as quality producer</li> <li>❖ Committed manpower</li> <li>❖ Strong environmental and social commitments</li> </ul> | <ul style="list-style-type: none"> <li>❖ Lack of Captive Mines for Iron Ore and Coal, adversely impacting the cost competitiveness.</li> <li>❖ Exclusive Long products portfolio, exposing the company to the vagaries of cyclical markets</li> <li>❖ Single Location Company</li> </ul> |

### 3.0 OPPORTUNITIES AND THREATS

| Opportunities                                                                                                                                                                                                                                      | Threats                                                                                                                                                                                               |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>❖ Continued focus of GoI on infrastructure investments, favoring long product demand</li> <li>❖ Stable projections of domestic demand</li> <li>❖ Increasing share of high end value added steels</li> </ul> | <ul style="list-style-type: none"> <li>❖ Geo-political uncertainties</li> <li>❖ Volatile prices of major raw materials</li> <li>❖ Protectionist measures reducing the prospects for export</li> </ul> |

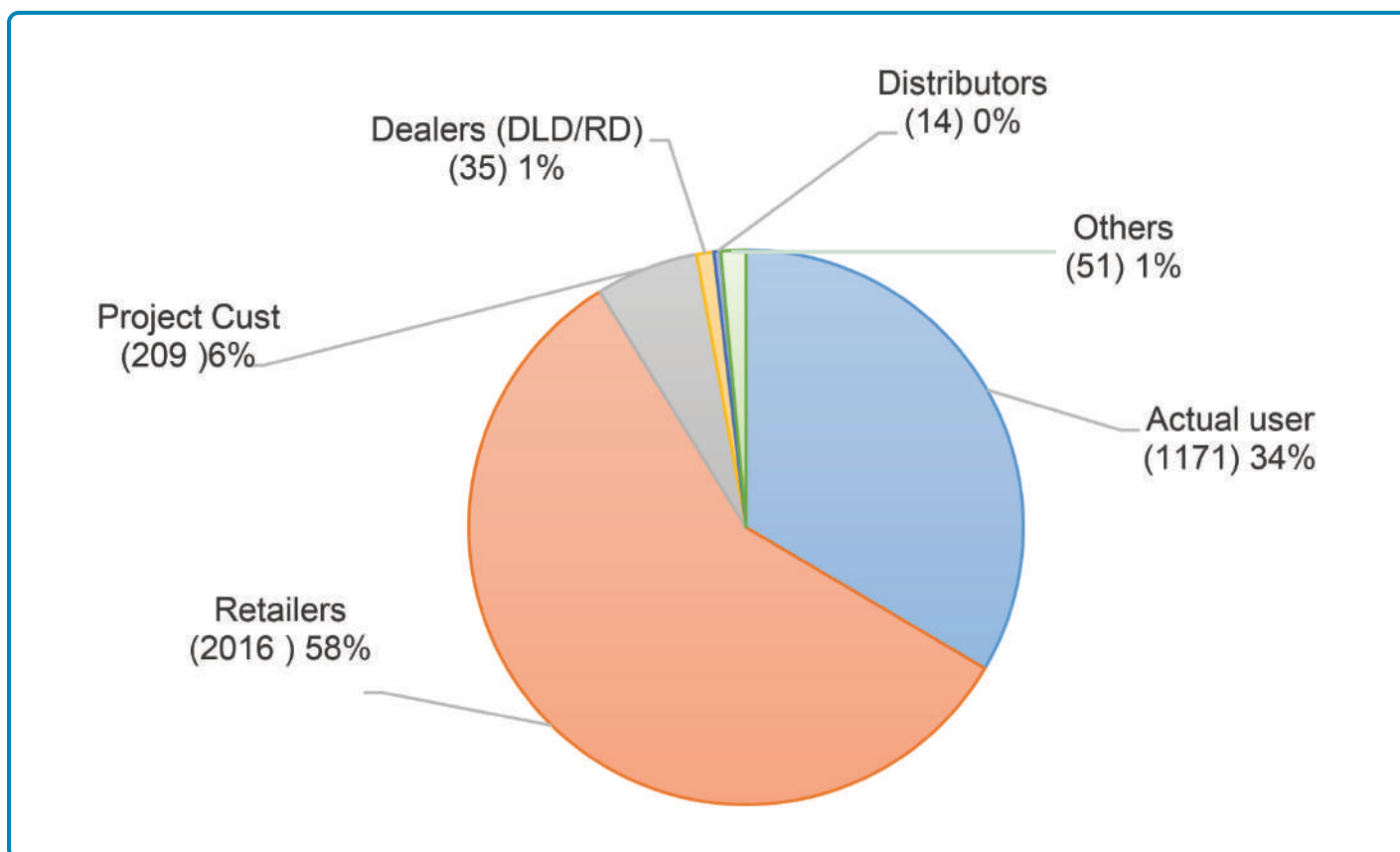
### 4.0 SEGMENT-WISE OR PRODUCT-WISE PERFORMANCE

Due to severe raw material shortage & liquidity crunch leading to low production in FY 2024-25, Marketing Department focused on enhancing sales realization by way of increasing Value added steel sales, Sales in high NSR Region & increased direct dispatch sales.

- ❖ In FY 2024-25, VAS sales has been 32.5% of total sales which was 30.8% of total sales in CPLY.
- ❖ Achieved best ever direct dispatch sales of approx. 14.58 lakhs mt (42.6% of total sales) in FY 2024-25 which was 13.11 lakhs mt (30.6% of total sales) in CPLY. Increased direct dispatch reduces payment cycle from customers and reduces multiple handling cost also.
- ❖ Achieved 62.5 % of total sales in high NSR Region, i.e. Andhra, South & East (Except Guwahati) in FY 2024-25 which was 62% in CPLY.

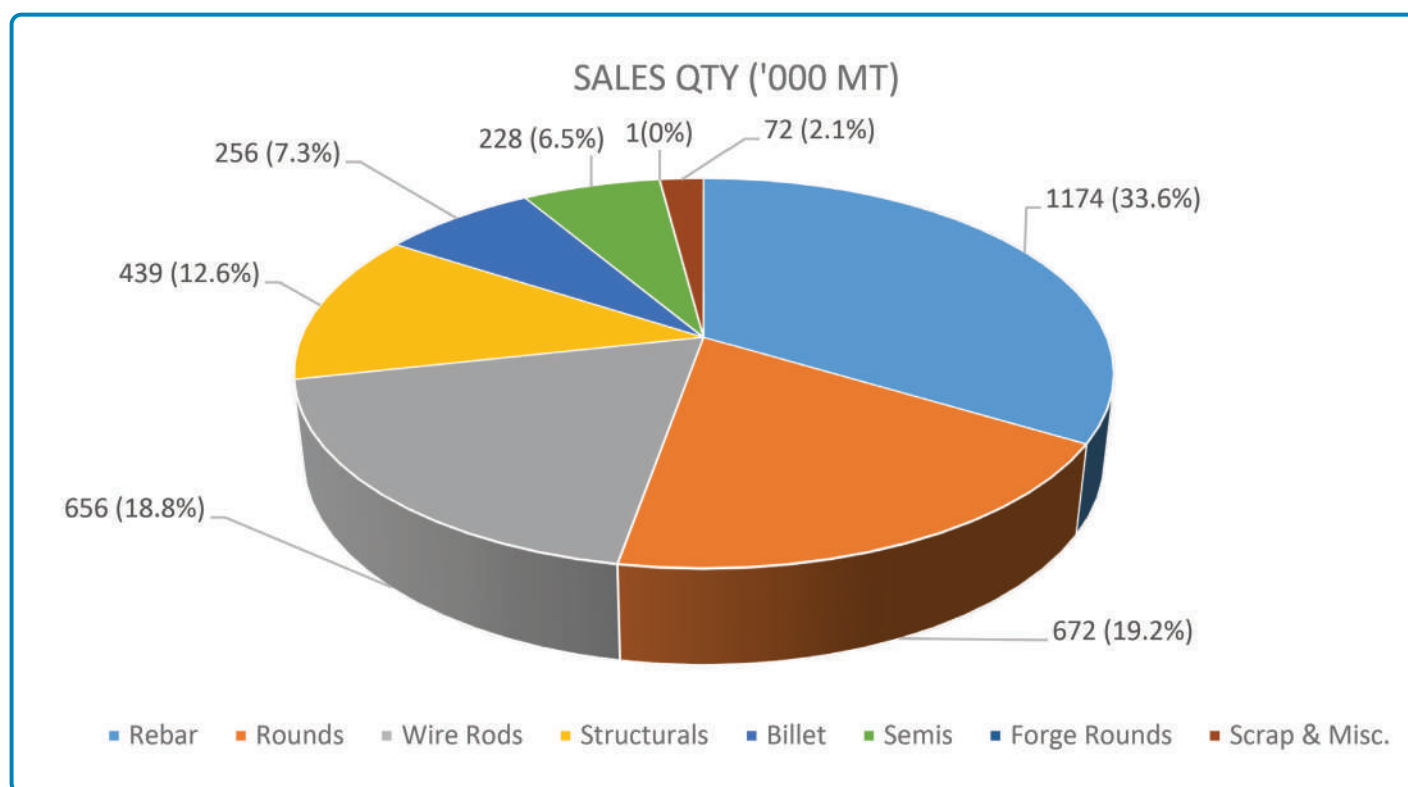
#### Segment-wise Sales share for FY 2024-25:

Fig: in '000 mt





## Product-wise Sales share for FY 2024-25:



## 5.0 OUTLOOK FOR THE COMPANY IN 2025-26:

With increase in production levels, improvement in efficiencies and the initiatives taken by the Company for reduction of Fixed Costs, the company is expected to achieve positive PAT in 2025-26.

### ROAD AHEAD:

With Gol's support, the third Blast Furnace was commenced. The ramp-up in operations from three Blast Furnaces is likely to ensure a sustainable turnaround for RINL.

## 6.0 RISKS & CONCERNS:

Arrangement of required raw material and ensuring off-take for full production from 3 (three) Blast Furnace operations is a challenge.

The effectiveness of Tariff and Non-tariff measures being taken against the raising imports is of critical importance under present circumstances of global excess capacities.

## 7.0 INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY:

Details in respect of the above items have already been covered in the Directors' Report which may kindly be referred to.

## 8.0 DISCUSSION ON FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE:

### 8.1 Financial Overview

During the FY 2024-25 the Company has achieved a turnover of ₹18,288 Crs, registering a decline of 21% over the previous year. During FY 2024-25, the company posted negative EBITDA of ₹1,508 Crs registering a growth of 18% over the previous year.

## 8.2 Financial Performance

| Particulars                                         | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of improvement over<br>the previous year |
|-----------------------------------------------------|------------------------|------------------------|--------------------------------------------|
| Revenue From Operation                              | 18,337.84              | 23,186.39              | (21)                                       |
| Sales Turnover (Including Trial Run)                | 18,287.57              | 23,167.76              | (21)                                       |
| PBDIT Before Exceptional Items                      | (1,508.44)             | (1,853.97)             | 19                                         |
| PBDIT After Exceptional Items                       | (1,699.00)             | (1,751.25)             | 3                                          |
| Profit before Tax (PBT)<br>before exceptional items | (4,841.43)             | (5,321.18)             | 9                                          |
| Exceptional items                                   | 190.56                 | (102.72)               | (286)                                      |
| Profit before Tax (PBT)                             | (5,031.99)             | (5,218.46)             | 4                                          |
| Profit After Tax (PAT)                              | (1,388.62)             | (4,848.86)             | 71                                         |

## 8.3 Analysis of the Financial Performance of the Company

### 8.3.1 Revenue from Operations

| Particulars                                      | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of improvement over<br>the previous year |
|--------------------------------------------------|------------------------|------------------------|--------------------------------------------|
| Total Sales Turnover                             | 18,287.57              | 23,167.76              | (21)                                       |
| Sale of trial run production<br>included above   | -                      | 20.79                  | (100)                                      |
| Sales turnover excluding<br>trial run production | 18,287.57              | 23,146.97              | (21)                                       |
| Other operating revenue                          | 50.27                  | 39.42                  | 28                                         |
| Revenue from operation                           | 18,337.84              | 23,186.39              | (21)                                       |

### 8.3.2 Other Income

| Particulars                | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of improvement over<br>the previous year |
|----------------------------|------------------------|------------------------|--------------------------------------------|
| Interest Earned            | 69.26                  | 55.16                  | 26                                         |
| Other Non-operating Income | 260.78                 | 143.55                 | 82                                         |
| Other Income               | 330.04                 | 198.71                 | 66                                         |

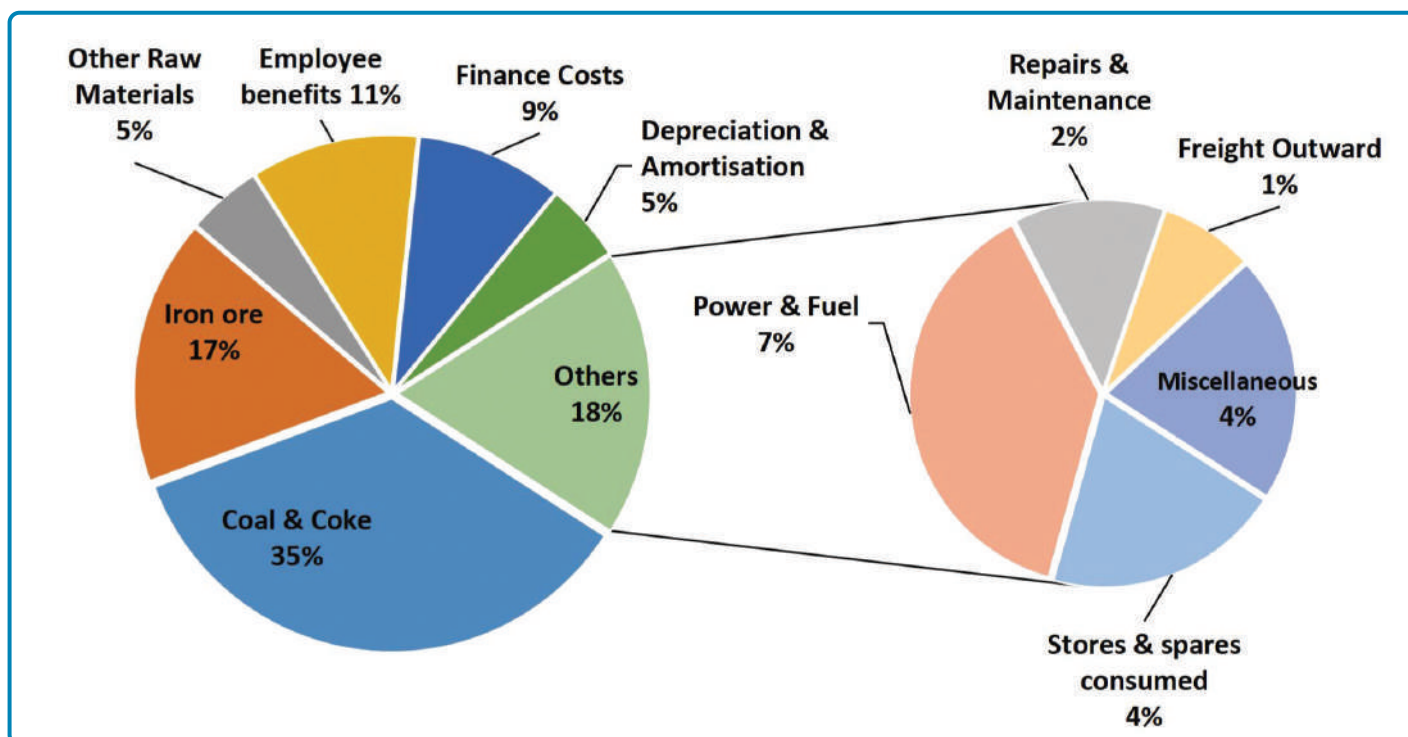
### 8.3.3 Expenditure (Excluding Trial Run Expenses)

| Particulars                                                 | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of improvement over<br>the previous year |
|-------------------------------------------------------------|------------------------|------------------------|--------------------------------------------|
| Cost of materials consumed                                  | 13288.71               | 16770.63               | 21                                         |
| Changes in inventories of<br>semi-finished / Finished goods | 155.12                 | 1,091.29               | 86                                         |
| Employees' Benefits                                         | 2,482.09               | 2,605.19               | 5                                          |
| Finance Costs                                               | 2,171.75               | 2,173.03               | 0                                          |
| Depreciation & Amortisation                                 | 1,161.24               | 1,294.18               | 10                                         |
| Other Expenses                                              | 4,250.40               | 4,771.96               | 11                                         |
| <b>Total</b>                                                | <b>23,509.31</b>       | <b>28,706.28</b>       | <b>18</b>                                  |

### Elements of Expenditure (incl. Trial Run)

| Particulars                 | FY 2024-25<br>(₹ Crs.) | % of Total<br>Expenditure |
|-----------------------------|------------------------|---------------------------|
| Coal & Coke                 | 8,232                  | 35                        |
| Iron ore                    | 3,947                  | 17                        |
| Other Raw materials         | 1,110                  | 5                         |
| Employee benefits           | 2,482                  | 11                        |
| Finance Costs               | 2,172                  | 9                         |
| Depreciation & Amortisation | 1,161                  | 5                         |
| Stores & spares consumed    | 859                    | 4                         |
| Power & Fuel                | 1,618                  | 7                         |
| Repairs & Maintenance       | 545                    | 2                         |
| Freight Outward             | 337                    | 1                         |
| Miscellaneous               | 891                    | 4                         |
| <b>Total</b>                | <b>23,354</b>          | <b>100</b>                |

### Analysis of Expenditure for the F.Y. 2024-25 (including trial run)



### 8.3.4 Contribution to Exchequer

The Company contributed ₹2801.11 Crs & ₹439.99 Crs (total ₹3241.11 Crs) to the Central & State Exchequer, respectively in the form of taxes, duties etc., to various government agencies.

### 8.3.5 Borrowings-Secured & Unsecured Loans (Long & Short Term Borrowings included in Non-current/current Liabilities)

| Particulars                                | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of Inc / (Dec) over<br>the previous year |
|--------------------------------------------|------------------------|------------------------|--------------------------------------------|
| Secured Loans                              | 9,513.76               | 14,112.16              | (33)                                       |
| Unsecured Loans                            | 2,158.56               | 4,504.22               | (52)                                       |
| <b>Total Loans (Long &amp; Short Term)</b> | <b>11,672.32</b>       | <b>18,616.38</b>       | <b>(37)</b>                                |

### 8.3.6 Property, Plant and Equipment

| Particulars                         | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of Inc / (Dec) over<br>the previous year |
|-------------------------------------|------------------------|------------------------|--------------------------------------------|
| Net Block                           |                        |                        |                                            |
| Tangible                            | 16,759.13              | 17,440.78              | (4)                                        |
| Intangible                          | 3.27                   | 0.29                   | 1,028                                      |
| Capital Work-in-Progress            | 945.61                 | 1,218.21               | (22)                                       |
| Intangible Assets under development | -                      | -                      | -                                          |

### 8.3.7 Non-Current Assets & Non-Current Liabilities

| Particulars                          | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of Inc / (Dec) over<br>the previous year |
|--------------------------------------|------------------------|------------------------|--------------------------------------------|
| Non-Current Assets                   |                        |                        |                                            |
| Financial Assets                     |                        |                        |                                            |
| Investments                          | 739.89                 | 739.89                 | -                                          |
| Loans                                | 176.70                 | 0.38                   | 46,400                                     |
| Other financial assets               | 9.37                   | 12.18                  | (23)                                       |
| Deferred Tax Assets (Net)            | 6,363.78               | 2,684.10               | 137                                        |
| Other Non-Current Assets             | 449.06                 | 450.91                 | (0)                                        |
| <b>Total Non-Current Assets</b>      | <b>7,738.80</b>        | <b>3,887.46</b>        | <b>99</b>                                  |
| Non-Current Liabilities              |                        |                        |                                            |
| Financial Liabilities                |                        |                        |                                            |
| Borrowings                           | 5,538.68               | 7,279.61               | (24)                                       |
| Lease Liabilities                    | -                      | -                      | -                                          |
| Other Financial Liabilities          | 250.85                 | 153.05                 | 64                                         |
| Provisions                           | 1,562.09               | 1,119.33               | 40                                         |
| Other Non-Current Liabilities        | 1,532.31               | 8.21                   | 18,564                                     |
| Government Grants - Deferred – PPE   | 89.95                  | 96.15                  | (6)                                        |
| <b>Total Non-Current Liabilities</b> | <b>8,973.88</b>        | <b>8,656.35</b>        | <b>4</b>                                   |



### 8.3.8 Current Assets & Current Liabilities

| Particulars                                       | FY 2024-25<br>(₹ Crs.) | FY 2023-24<br>(₹ Crs.) | % of Inc / (Dec) over<br>the previous year |
|---------------------------------------------------|------------------------|------------------------|--------------------------------------------|
| <b>CURRENT ASSETS</b>                             |                        |                        |                                            |
| Inventories                                       |                        |                        |                                            |
| Semi-Finished/ Finished goods                     | 2,251.40               | 2,406.52               | (6)                                        |
| Raw Materials                                     | 2,581.57               | 2,092.84               | 23                                         |
| Stores & Spares                                   | 742.16                 | 771.44                 | (4)                                        |
| Total Inventories                                 | 5,575.13               | 5,270.80               | 6                                          |
| Financial Assets                                  |                        |                        |                                            |
| Trade Receivables                                 |                        |                        |                                            |
| Gross Receivables                                 | 282.99                 | 246.77                 | 15                                         |
| Less: Provision for Trade Receivables             | 24.30                  | 24.30                  | -                                          |
| Net Receivables                                   | 258.69                 | 222.47                 | 16                                         |
| Cash & Bank balances                              | 203.05                 | 33.50                  | 506                                        |
| Other Financial assets                            | 1,487.52               | 1,567.77               | (5)                                        |
| Other Tax Assets (net)                            | -                      | -                      | -                                          |
| Other Current Assets                              | 797.93                 | 585.06                 | 36                                         |
| <b>Total Current Assets</b>                       | <b>8,322.32</b>        | <b>7,679.60</b>        | <b>8</b>                                   |
| <b>CURRENT LIABILITIES</b>                        |                        |                        |                                            |
| Financial liabilities                             |                        |                        |                                            |
| Borrowings                                        | 6,133.64               | 11,336.77              | (46)                                       |
| Lease Liabilities                                 | -                      | -                      | -                                          |
| Trade payables                                    | 8,605.46               | 6,502.87               | 32                                         |
| Other Financial Liabilities                       | 6,280.58               | 5,407.69               | 16                                         |
| Provisions                                        | 619.39                 | 471.49                 | 31                                         |
| Other Current Liabilities                         | 2,016.52               | 2,389.92               | (16)                                       |
| Government Grants -Deferred-PPE                   | 6.19                   | 6.18                   | 0                                          |
| <b>Total Current Liabilities &amp; Provisions</b> | <b>23,661.78</b>       | <b>26,114.92</b>       | <b>(9)</b>                                 |

### 9.0 SUSTAINABILITY INITIATIVES:

Sustainable development continues to be a focus area for RINL and some of the major initiatives include:

- ❖ Evacuation of pond ash for filling of low lying areas done and provided dry Flyash to cement companies free of cost.
- ❖ Metallurgical wastes generated in the plant utilized effectively by producing Micro Pellets and BoF briquettes in the plant set up for this purpose.

### 10.0 MATERIAL DEVELOPMENTS IN HUMAN RESOURCES, INDUSTRIAL RELATIONS FRONT INCLUDING NUMBER OF PEOPLE EMPLOYED:

Details in respect of the above items have already been covered in the Directors' Report.



### **11.0 ENVIRONMENTAL PROTECTION AND CONSERVATION, TECHNOLOGICAL CONSERVATION, RESEARCH AND DEVELOPMENT, RENEWABLE ENERGY DEVELOPMENTS, FOREIGN EXCHANGE CONSERVATION:**

Details in respect of the above items have already been covered in the Directors' Report.

### **12.0 CORPORATE SOCIAL RESPONSIBILITY:**

Details in respect of the above item has already been covered in the Directors' Report.

### **13.0 CAUTIONARY STATEMENT:**

Statements/data which do not relate to the Company and are used / made in this report are from sources which are considered reliable and Company cannot be held responsible for its authenticity. Further Statement in the Management Discussion and Analysis, describing the Company's objectives, projections and estimates are forward looking statements and progressive within the meaning of applicable Laws and Regulations. Actual results may vary from those expressed or implied, depending upon economic conditions, Government Policies and other incidental factors.

For and on behalf of the Board of Directors of  
Rashtriya Ispat Nigam Limited

Sd/-

**(Ajit Kumar Saxena)**

(DIN: 08588419)

Chairman-cum-Managing Director  
(Additional Charge)

Place : Visakhapatnam

Date : 25<sup>th</sup> November, 2025

## REPORT ON CORPORATE GOVERNANCE

### 1.0 COMPANY'S PHILOSOPHY

At Rashtriya Ispat Nigam Limited (RINL), Corporate Governance is not merely a regulatory obligation but a continuous commitment to uphold transparency, integrity and accountability across all levels of operation. The Company firmly believes that a strong reputation for ethical conduct and principled behavior is a valuable corporate asset. This belief assures all stakeholders including employees, customers, vendors, regulatory authorities, community members and shareholders that RINL operates with fairness and honesty, fostering mutual trust and long-term relationships.

RINL's corporate governance philosophy emphasizes:

- ❖ Transparency in operations
- ❖ Accountability in conduct
- ❖ Fairness in dealings
- ❖ Integrity in decision-making
- ❖ Full compliance with laws, regulations and guidelines
- ❖ Ethical behavior throughout the organization

The Company is steadfast in aligning itself with the highest standards of governance prevalent in the country by instituting robust internal control systems, policies and procedures. Each Board member recognizes a fundamental responsibility to act in the Company's best interest. RINL affirms adherence to the Corporate Governance Guidelines issued by the Department of Public Enterprises (DPE), Government of India.

### 2.0 BOARD OF DIRECTORS

The business of the Company shall be managed by the Board of Directors. The Board of Directors functions in accordance with the powers delegated under the Companies Act, 2013, Corporate Governance Guidelines issued by Department of Public Enterprises (DPE) and other guidelines issued by the Government of India from time to time, as applicable to the Company.

Rashtriya Ispat Nigam Limited (RINL) is a Government Company within the meaning of Section 2(45) of the Companies Act, 2013. The President shall from time to time determine the number of Directors of the Company which shall neither be less than five nor more than sixteen.

#### 2.1 Composition of Board

As of **31<sup>st</sup> March 2025**, the Board of Directors comprised a total of seven (7) members, including:

- ❖ One Chairman-cum-Managing Director (CMD) (holding additional charge),
- ❖ Five Whole-time Functional Directors, and
- ❖ One Part-time Official Director (Government Nominee).

The composition of the Board as on **31<sup>st</sup> March 2025** is as follows:

**Functional Directors:**

| <b>Name</b>                | <b>Designation</b>                            | <b>DIN</b> |
|----------------------------|-----------------------------------------------|------------|
| Shri Ajit Kumar Saxena     | Chairman-cum-Managing Director (Addl. Charge) | 08588419   |
| Shri Arun Kanti Bagchi     | Director (Projects)                           | 09835584   |
| Shri Suresh Chandra Pandey | Director (Personnel)                          | 10149587   |
| Shri Ch SRVGK Ganesh       | Director (Finance)                            | 10577869   |
| Shri GVN Prasad            | Director (Commercial)                         | 10612236   |
| Shri Salim G Purushothaman | Director (Operations)                         | 08269250   |

**Part-time Official Director (Government Nominee)**

| <b>Name</b>   | <b>Designation</b>                 | <b>DIN</b> |
|---------------|------------------------------------|------------|
| Dr Sanjay Roy | Joint Secretary, Ministry of Steel | 10045280   |

## 2.2 Board Meetings

During the financial year ending with 31<sup>st</sup> March, 2025, twelve (12) meetings of the Board of Directors were held on the following dates:

| <b>Sl. No.</b> | <b>Meeting No.</b> | <b>Date</b> | <b>Sl. No.</b> | <b>Meeting No.</b> | <b>Date</b> |
|----------------|--------------------|-------------|----------------|--------------------|-------------|
| 1)             | 361                | 22.05.2024  | 7)             | 367                | 05.12.2024  |
| 2)             | 362                | 22.08.2024  | 8)             | 368                | 26.12.2024  |
| 3)             | 363                | 16.09.2024  | 9)             | 369                | 15.02.2025  |
| 4)             | 364                | 18.09.2024  | 10)            | 370                | 06.03.2025  |
| 5)             | 365                | 05.11.2024  | 11)            | 371                | 15.03.2025  |
| 6)             | 366                | 23.11.2024  | 12)            | 372                | 30.03.2025  |

The gap between any two board meetings did not exceed 120 days and the requisite quorum was present in all the meetings held during the financial year 2024-25.

**Details of the number of Board Meetings attended by Directors, attendance at the last Annual General Meeting (AGM), number of other directorships, number of Board Sub-Committees and positions as Chairman / Member in RINL, etc., during the year 2024-25 were as follows:**

(Table cont... in next page)



| Sl. No. | Category<br>Name of the Director, Director Identification Number (DIN) & Designation of the Director(s)          | No. of Board Meetings held during respective tenure of Director | No. of Board Meetings attended | Attendance at last AGM held on 27.12.2024 | No. of other Director ships held as on 31.03.2025 | No. of RINL Board Sub-Committees Chairman/ Member as on 31.03.2025# |        | No. of Board Sub-Committees Chairman / Member in other Companies as on 31.03.2025# |        |
|---------|------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------|--------------------------------|-------------------------------------------|---------------------------------------------------|---------------------------------------------------------------------|--------|------------------------------------------------------------------------------------|--------|
|         |                                                                                                                  |                                                                 |                                |                                           |                                                   | Chairman                                                            | Member | Chairman                                                                           | Member |
|         | Functional Directors                                                                                             |                                                                 |                                |                                           |                                                   |                                                                     |        |                                                                                    |        |
| 1)      | Shri Atul Bhatt <sup>1</sup><br>DIN: 07639362<br>CMD                                                             | 6                                                               | 2                              | * Not Applicable                          | -                                                 | -                                                                   | -      | -                                                                                  | -      |
| 2)      | Shri. Ajit Kumar Saxena <sup>2</sup><br>DIN: 08588419<br>CMD (Addl. Charge)                                      | 8                                                               | 8                              | Yes                                       | 6                                                 | -                                                                   | -      | -                                                                                  | -      |
| 3)      | Shri A K Bagchi <sup>3</sup><br>DIN:09835584<br>Director(Projects)                                               | 12                                                              | 12                             | Yes                                       | 6                                                 | -                                                                   | -      | -                                                                                  | 3      |
| 4)      | Shri Suresh Chandra Pandey <sup>4</sup><br>DIN: 10149587<br>Director (Personnel)                                 | 12                                                              | 12                             | Yes                                       | 1                                                 | -                                                                   | -      | -                                                                                  | -      |
| 5)      | Shri CH SRVGK Ganesh <sup>5</sup><br>DIN: 10577869<br>Director(Finance)                                          | 12                                                              | 12                             | Yes                                       | -                                                 | -                                                                   | -      | -                                                                                  | -      |
| 6)      | Shri GVN Prasad <sup>6</sup><br>DIN:10612236<br>Director (Commercial)                                            | 12                                                              | 12                             | Yes                                       | 1                                                 | -                                                                   | -      | -                                                                                  | -      |
| 7)      | Shri Salim G Purushothaman <sup>7</sup><br>DIN: 08269250<br>Director (Operations)<br>w.e.f. (09.03.2025)         | 2                                                               | 2                              | * Not Applicable                          | -                                                 | -                                                                   | -      | -                                                                                  | -      |
|         | Part-time Official Directors(i.e.Government Nominee Directors)                                                   |                                                                 |                                |                                           |                                                   |                                                                     |        |                                                                                    |        |
| 8)      | Ms. Sukriti Likhi <sup>8</sup><br>DIN: 01825997<br>AS&FA, MoS, Govt. Director, RINL                              | 4                                                               | 1                              | * Not Applicable                          | -                                                 | -                                                                   | -      | -                                                                                  | -      |
| 9)      | Shri Subodh Kumar Singh <sup>9</sup><br>DIN: 01863607<br>AS&FA, MoS, Govt. Director, RINL<br>w.e.f. (06.11.2024) | 2                                                               | 2                              | * Not Applicable                          | -                                                 | -                                                                   | -      | -                                                                                  | -      |
| 10)     | Dr.Sanjay Roy<br>DIN: 10045280<br>Joint Secretary,<br>MoS & Govt. Director, RINL                                 | 12                                                              | 12                             | Yes                                       | 1                                                 | -                                                                   | -      | 3                                                                                  | -      |
|         | Part-time Non-official Directors (i.e. Independent Directors)                                                    |                                                                 |                                |                                           |                                                   |                                                                     |        |                                                                                    |        |
| 11)     | Shri Sunil Kumar Hirani <sup>10</sup><br>DIN: 09342744                                                           | 4                                                               | 4                              | * Not Applicable                          | -                                                 | -                                                                   | -      | -                                                                                  | -      |
| 12)     | Shri Ghanshyam Singh <sup>11</sup><br>DIN: 09393441                                                              | 4                                                               | 4                              | * Not Applicable                          | -                                                 | -                                                                   | -      | -                                                                                  | -      |

#Position of membership of directors as on 31.03.2025 in Corporate Governance related committees viz., Audit Committee, CSR & Sustainability Committee, Nomination and Remuneration Committee are only considered and reflected above.

\*The respective persons were not a director/ceased to be a director of the company as on the date of last AGM, hence it was mentioned as Not Applicable.

Information on RINL Board Sub-Committees: The tenure of independent directors on the RINL Board came to an end during the financial year 2024-25. Due to absence of independent directors on the Board, the statutory board-level committees were not functional as on 31.03.2025.

### Changes in Directorships during FY 2024–25:

Several changes occurred in the composition of the Board during the financial year 2024–25, in accordance with orders received from the Ministry of Steel (MoS), Government of India. A summary of key appointments and cessations is provided below:

1. **Shri Atul Bhatt** ceased to be Director on 30.11.2024.
2. **Shri Ajit Kumar Saxena**, CMD MOIL was assigned additional charge of Chairman-cum-Managing Director (CMD), RINL with immediate effect pursuant to MoS Order No. S-14012/3/2023-BLA dated 29.09.2024. Accordingly, Mr Saxena assumed the charge on 29.09.2024(A/N).
3. **Shri Arun Kanti Bagchi:**
  - ✦ Held additional charge of Director (Operations) up to 08.03.2025 (MoS Order No. S-14012/1/2023-BLA dated, 13.01.2023, 24.03.2023, 01.12.2023 and 13.11.2024).
  - ✦ Held current charge of CMD, RINL from 09.09.2024 to 28.09.2024 (MoS Order No. S-14012/3/2023-BLA dated 09.09.2024).
4. **Shri Suresh Chandra Pandey**, Director (Personnel) held additional charge of Director (Finance) from 01.08.2023 to 02.04.2024 (MoS Order No. S-14012/1/2022-BLA dated 24.07.2023).
5. **Shri CH SRVGK Ganesh** was appointed as Director (Finance) w.e.f. 03.04.2024 for a tenure of five years or until superannuation (30.04.2025), whichever is earlier. (MoS Order No. S-14012/1/2022-BLA dated 03.04.2024).
6. **Shri GVN Prasad** was appointed as Director (Commercial) w.e.f. 01.05.2024 until superannuation (31.08.2027), or until further orders, whichever is earlier. (MoS Order No. S-14012/2/2023-BLA dated 03.04.2024).
7. **Shri Salim G. Purushothaman** was appointed as Director (Operations) w.e.f. 09.03.2025 (assumed charge) until 31.05.2026 (superannuation), or until further orders, whichever is earlier. (MoS Order No. S-14012/1/2023-BLA dated 07.03.2025).
8. **Ms. Sukriti Likhi** was ceased as Government Nominee Director on RINL Board w.e.f. 19.08.2024 (FN) vide MoS Order No. S-14011/16/2024-BLA dated 16.10.2024 which was received on 16.10.2024.
9. **Shri Subodh Kumar Singh** was appointed as a Government Nominee Director on 06.11.2024 (vide MoS Order No. S-14011/1/2022-BLA dated 06.11.2024) and ceased to be a director 18.12.2024.
10. **Shri Sunil Kumar Hirani** ceased to be a Director on the Board of RINL on 31.10.2024 upon completion of his tenure.
11. **Shri Ghanshyam Singh** ceased to be a Director on the Board of RINL on 31.10.2024 upon completion of his tenure.

**Note:**

- 1) Shri Deb Kalyan Mohanty (30.04.2024), Shri Atul Bhatt (30.11.2024), Ms. Sukriti Likhi (19.08.2024), Shri Subodh Kumar Singh (18.12.2024), Shri Sunil Kumar Hirani (31.10.2024) and Shri Ghanshyam Singh (31.10.2024) ceased to be directors on the Board of RINL during the year. Hence, the directorships and memberships of these persons in Board Sub-Committees in RINL and in other companies as on 31.03.2025 are not given.
- 2) The notice of the meetings clearly mentioned that the video conferencing facility has been arranged for the meetings in accordance with the provisions of the Companies Act, 2013 and rules made thereunder. The directors who participated through video conferencing facility are deemed to have given their consent to record their attendance in the Attendance Register.

**2.3 Board Meetings – Procedure and Conduct**

- ❖ The convening of Board meetings at Rashtriya Ispat Nigam Limited (RINL) is guided by the principles of transparency, timeliness, and statutory compliance.
- ❖ Board meetings are scheduled by the Company Secretary in consultation with the Chairman-cum-Managing Director (CMD), with a notice period of not less than seven days. In cases where a shorter notice is required, requisite consent is obtained from the Directors in accordance with the provisions of the Companies Act, 2013 and the applicable Secretarial Standards. Notices are served in writing to the Directors at their registered addresses and also sent via email.
- ❖ The agenda papers, along with detailed supporting documentation, are circulated to the Board members in advance as per the timelines prescribed under the Secretarial Standards issued by The Institute of Company Secretaries of India (ICSI).
- ❖ Circular resolutions may be passed in exceptional circumstances requiring immediate decisions, which cannot be deferred until the next meeting of the Board or its Sub-Committees.
- ❖ Meetings are also facilitated through video conferencing, in accordance with the provisions of the Companies Act, 2013 and the rules framed thereunder, with the consent of the members meeting.
- ❖ Board members actively participate in the deliberations of both Board and Board Sub-Committee meetings, offering valuable insights, strategic guidance and suggestions across various areas of the Company's operations, thereby contributing to informed and effective decision-making. Additional information or clarification as sought by the members is also duly provided.
- ❖ Recommendations and decisions emerging from the Board Sub-Committee meetings are placed before the Board for its consideration and necessary approval.
- ❖ An effective post-meeting follow-up mechanism is in place, wherein the status of action taken on Board decisions is regularly apprised to the Board.
- ❖ Directors are granted unrestricted access to all relevant information relating to the Company's business performance, operations, and key matters.
- ❖ Board members may also propose the inclusion of additional agenda items for discussion, as deemed necessary.
- ❖ Wherever required, senior members of the management team are invited to attend the meetings to provide detailed insights, presentations, and clarifications on the subjects under consideration.
- ❖ The Board meets at regular intervals and remains collectively responsible for the effective governance, strategic leadership, and overall stewardship of the Company.

## 2.4 Role of the Company Secretary in overall Governance process

As a Key Managerial Personnel (KMP), the Company Secretary plays a vital role in ensuring effective governance and smooth functioning of Board processes. The Company Secretary:

- ❖ Ensures that all the relevant information, details and documents are made available to the directors and senior management on need basis for effective decision-making at the meetings.
- ❖ Facilitating compliance with the Companies Act, 2013 relevant rules, and other applicable statutory and regulatory requirements.
- ❖ Ensuring the timely dissemination of agenda papers, information and documents to the Board and senior management in line with Secretarial Standards.
- ❖ Acting as the principal link between the Board, senior executives, and regulatory authorities on governance-related matters.
- ❖ Supporting the Board in making informed and well-considered decisions by ensuring the availability of accurate and comprehensive information.
- ❖ Advising the directors and management on matters pertaining to governance, ethics and regulatory compliance and assisting in the implementation of best practices in corporate governance.

All directors of the company have unrestricted access to the professional guidance and support of the Company Secretary.

## 2.5 Information placed before the Board of Directors

To facilitate informed decision-making and effective oversight, the Board of Directors of RINL is provided with comprehensive information covering various aspects of the Company's operations, finances, compliance and strategic initiatives. The following matters are regularly placed before the Board either as part of agenda papers or presented during meetings:

- ❖ Annual operating plans and budgets and any updates.
- ❖ Capital budgets and any updates.
- ❖ Quarterly results for the company and its operating divisions or business segments.
- ❖ Minutes of meetings of Audit Committee and other Board Sub-Committees.
- ❖ Minutes of Board Meetings of Subsidiary Companies.
- ❖ Details of any Joint Venture or R&D project or Technical collaboration agreement requiring approval of Board of Directors.
- ❖ Proposals involving Sale of material, nature of investments, subsidiaries, assets, which is not in normal course of business.
- ❖ Action Taken Report on matters desired by the Board.
- ❖ Disclosure of Interest by Directors about directorships and Committee positions occupied by them in other companies.
- ❖ Quarterly report on Statutory Compliance.
- ❖ Information relating to major legal disputes.
- ❖ Arbitration cases.
- ❖ Short term Investment of Surplus funds.
- ❖ Significant Capital Investment proposals.
- ❖ Changes in significant accounting policies and practices and reasons for the same.

- ❖ Information on Recommendations of Empowered Joint Committee (EJC) Meetings.
- ❖ Information relating to Vigilance activities and HR activities.
- ❖ Information relating to Production performance, Techno economic parameters and Research and Development (R&D) activities.
- ❖ Information relating to Safety performance and Marketing performance.
- ❖ Reports on payments due to Micro and Small Enterprises (MSEs)
- ❖ Information relating to the status of the ongoing projects.
- ❖ Reports on compliance with the provisions of Companies Act, 2013 and rules made thereunder.
- ❖ Any other matters required to be brought to the attention of the Board for review, information, or approval.

## 2.6 Role of Independent Directors

Independent Directors play a pivotal role in upholding good governance practices at RINL. They bring with them a wealth of expertise in diverse domains such as engineering, finance, law, public administration, and corporate management. Their presence in Board and Sub-Committee deliberations ensures objectivity, balance, and strategic insight.

The Company has constituted the following key Board Sub-Committees in accordance with the Companies Act, 2013 and the Guidelines on Corporate Governance issued by the Department of Public Enterprises (DPE):

- ❖ **Audit Committee**
- ❖ **Corporate Social Responsibility & Sustainability Committee (CSR & S)**
- ❖ **Nomination and Remuneration Committee (NRC)**

**Stakeholders Relationship Committee:** In accordance with the provisions of Section 178(5) of the Companies Act, 2013, the constitution of a Stakeholders Relationship Committee is not applicable to RINL, as the criteria for mandatory constitution of such a committee are not met. Accordingly, no such Committee has been constituted as on date.

All three Committees are chaired by Independent Directors to ensure impartial oversight. In addition, a **Committee of Independent Directors (COID) exists** to provide a forum for Independent Directors to meet separately and deliberate on key issues concerning the Company's performance and governance.

Further, Committee wise details are given in the succeeding paras.

### Shortfall in strength of Independent Directors

Rashtriya Ispat Nigam Limited (RINL), being a Central Public Sector Enterprise (CPSE), acknowledges the critical role that independent directors play in ensuring balanced and effective corporate governance. However, during the year under review, the Company did not have the requisite number of independent directors on its Board, as prescribed under applicable statutory and regulatory provisions.

As per the governance framework applicable to CPSEs, the appointment of independent directors is the prerogative of the Government of India. In this regard, the Company has formally communicated with the Ministry of Steel (MoS), Government of India, drawing attention to the matter and seeking early appointments to fill the vacant positions.

Pursuant to this, and subsequent to the close of the financial year 2024-25, Shri Prateek Tanwar (DIN: 11109166) was appointed as a Non-Official Independent Director on the Board of the Company. He assumed office on 16<sup>th</sup> May, 2025. His brief profile was given as annexure to the Notice of AGM.



The tenure of independent director is for three years from the date of notification i.e. 15<sup>th</sup> May, 2025, which is in compliance with the regulations outlined in the Companies Act, 2013. In the opinion of the Board, the independent director possess the desired expertise, experience and integrity.

**Independent Directors Data base:** RINL's Independent Director, Shri Prateek Tanwar is registered in the database for Independent Directors maintained by the Indian Institute of Corporate Affairs (IICA).

## 2.7 Meetings of Independent Directors

- ❖ Schedule IV of the Companies Act, 2013 ("Act") and DPE guidelines mandates Independent Directors of a Company to hold at least one separate meeting in a year without the presence of non-independent directors and members of management.
- ❖ The meeting shall assess the quality, quantity and timeliness of flow of information between the company management and the Board that is necessary for the Board to effectively and reasonably perform their duties.
- ❖ Accordingly, the Committee of Independent Directors (COID), comprising of all independent directors, serves as a forum for independent directors to meet separately, free from the influence of executive management and deliberate on key issues pertaining to the Company.

### COID Meeting held during FY 2024–25

- ❖ During the financial year 2024–25, one meeting of the Committee of Independent Directors was convened on 24<sup>th</sup> October, 2024.
- ❖ Minutes of the meeting was placed in the subsequent Board meeting for information of the Board.

### Declaration by Independent Directors

Your Company did not have any independent director on its Board with effect from 01<sup>st</sup> November, 2024, owing to the completion of tenure of the existing independent directors on 31<sup>st</sup> October, 2024, which resulted in casual vacancies. However, all those who served as independent directors during the financial year 2024–25, as well as the independent director appointed subsequent to the close of the financial year, have furnished the requisite declarations confirming their independence.

These declarations have been made in compliance with:

- ❖ Section 149(6) read with Section 149(7) of the Companies Act, 2013, and
- ❖ The applicable provisions of the DPE Guidelines on Corporate Governance.

These declarations affirm the independence and eligibility of the Directors in accordance with statutory requirements.

## 2.8 Appointment of Directors

- ❖ RINL, being a Central Public Sector Enterprise (CPSE), follows the appointment framework stipulated by the Government of India for all its Directors, comprising the Chairman-cum-Managing Director (CMD), Functional Directors, Government Nominee Directors (part-time official directors), and Independent Directors (part-time non-official directors).
- ❖ As per Article 75 of the Articles of Association, the President of India shall appoint all Members of the Board of Directors and all of them except the Government Directors may be appointed in consultation with the Chairman.

## 2.9 Terms & Conditions of Board Members, Retirement Policy and Evaluation of the Board Members

### Functional Directors:

- ❖ The whole-time directors/functional directors are appointed in terms of the Articles of Association of the Company by the President of India, in consultation with the Chairman of the company for a period of

5 (five) years or till the age of superannuation or until further orders, whichever is earlier. The appointment may, however, be terminated by either side on three months' notice or on payment of three months' salary in lieu thereof.

- ❖ The terms of appointment, including remuneration and tenure, are as determined by President of India.

#### **Government Nominee Directors:**

- ❖ Part-time Official Directors, nominated by the Ministry of Steel (MoS) and appointed by President on the Board of RINL.
- ❖ The Govt. Directors continue to hold such office as per the orders issued by the MoS, Government of India.
- ❖ Their tenure on the RINL Board is co-terminus with their government designation or until further orders.

#### **Independent Directors:**

- ❖ Part-time Non-Official Directors (Independent Directors) are appointed by the President of India through the Ministry of Steel for a period of three years, or until further orders.

#### **Performance Evaluation and Exemptions:**

As a Government Company, RINL is exempted from the provisions of:

- ❖ Section 134(3)(e) and (p), 149(1)(b) and first proviso to sub-section (1) of Section 149, 149(6)(c), 152(5) (6) & (7) and 178 (2), (3) and (4) of the Companies Act, 2013 with regard to appointment, performance evaluation etc vide Gazette notification dated 05.06.2015 issued by the Ministry of Corporate Affairs, Government of India (MCA).
- ❖ The provisions of sub-paragraph (2) and (7) of paragraph II, paragraph IV, paragraph V, clauses (a) and (b) of sub-paragraph (3) of paragraph VII and paragraph VIII of schedule IV of the Companies Act, 2013 in respect of performance evaluation of directors and the board shall not apply in the case of a Government company as defined under sub-section (45) of section 2 of the Companies Act, 2013 as per Ministry of Corporate Affairs (MCA) Gazette notification dated 05.07.2017.

These exemptions are as per MCA Gazette Notifications dated 05.06.2015 and 05.07.2017 applicable to Government Companies under Section 2(45) of the Companies Act, 2013.

### **2.10 Board Charter**

The Board of Directors has adopted a Board Charter that outlines its roles, responsibilities and governance philosophy. This document serves as a foundational reference to:

- ❖ Define the authority, duties and structure of the Board.
- ❖ Establish the Company's commitment to the principles of transparency, accountability and ethical leadership.
- ❖ Align Board practices with regulatory requirements and best-in-class corporate governance standards.
- ❖ The Charter acts as a guiding framework for the Board to exercise effective oversight over management and contribute to sustainable growth and stakeholder value creation.

### **2.11 Code of Conduct**

RINL is committed to maintaining the highest standards of ethical conduct and professional integrity. In pursuit of this commitment, the Company has adopted a comprehensive 'Code of Business Conduct and Ethics' applicable to all Board Members and Senior Management Personnel.

### Key Features of the Code:

- ❖ General Moral Imperatives: Upholding honesty, integrity, and ethical behavior in all dealings.
- ❖ Professional Responsibilities: Ensuring accountability, diligence and compliance in performance of duties.
- ❖ Special Duties for Senior Leadership: Board members and senior management are expected to demonstrate leadership in ethical governance and decision-making.

Every Board Member and senior management executive is required to affirm, through a declaration on an annual basis, their understanding of and adherence to this Code.

The Code of Conduct is published on the Company's official website and is accessible to all stakeholders

## 2.12 The details of Remuneration & Sitting fees paid to Directors during the Financial Year 2024-25

### Whole-Time Directors (WTD) / Functional Directors

- ❖ Whole-time Directors are not entitled to any sitting fees for attending Board or Committee meetings.
- ❖ The details of remuneration paid to whole-time directors during the financial year 2024-25 are as follows:

| Sl. No | Name of the Whole-time / Functional Director | Basic Salary (in ₹) | Allowances and Perquisites & other retirement benefits (in ₹) | Total (in ₹) |
|--------|----------------------------------------------|---------------------|---------------------------------------------------------------|--------------|
| 1.     | Shri Atul Bhatt                              | 8,50,627            | 53,82,791                                                     | 62,33,418    |
| 2.     | Shri Deb Kalyan Mohanty                      | 2,06,036            | 49,26,910                                                     | 51,32,946    |
| 3.     | Shri Arun Kanti Bagchi                       | 10,85,640           | 34,62,074                                                     | 45,47,714    |
| 4.     | Shri Suresh Chandra Pandey                   | 12,00,000           | 35,66,509                                                     | 47,66,509    |
| 5.     | Shri Ch SRVGK Ganesh                         | 9,83,376            | 27,35,209                                                     | 37,18,585    |
| 6.     | Shri GVN Prasad                              | 8,55,235            | 26,47,483                                                     | 35,02,718    |
| 7.     | Shri Salim G Purushothaman                   | 53,226              | 1,38,653                                                      | 1,91,879     |

### No sitting fees provision for the whole-time/functional directors

#### Notes:

1. Total amount paid to Shri Atul Bhatt, former CMD is from 01.04.2024 to 30.11.2024.
2. Total amount paid to Shri Deb Kalyan Mohanty, former Director (Commercial) is from 01.04.2024 to 30.04.2024.
3. Total amount paid to Shri Ch SRVGK Ganesh is from 03.04.2024 to 31.03.2025.
4. Total amount paid to Shri GVN Prasad is from 01.05.2024 to 31.03.2025
5. Total amount paid to Shri Salim G Purushothaman is from 09.03.2025 to 31.03.2025 (Salary accrued for March, 2025)

### Part-time Non-Official Directors (Independent Directors)

- ❖ Sitting fees is only paid by the company to the part-time non-official directors' @ ₹ 20,000/- for each meeting of Board/Board Sub-Committee attended by them.
- ❖ The details of sitting fees paid during the year to part-time non-official directors (i.e. Independent Directors) are as follows:

| Sl. No | Name                    | Number of Board and Board Sub-Committees meetings attended | Sitting Fees (in ₹) |
|--------|-------------------------|------------------------------------------------------------|---------------------|
| 1.     | Shri Sunil Kumar Hirani | 16                                                         | 3,20,000            |
| 2.     | Shri Ghanshyam Singh    | 16                                                         | 3,20,000            |

### Part-time Official Directors (Government Nominee Directors)

- ❖ Government Nominee Directors do not receive any remuneration or sitting fees from RINL.
- ❖ They represent the Ministry of Steel on the Board in an official capacity.
- ❖ Therefore, no remuneration was paid to the part-time official director by RINL during the financial year 2024-25.

### 2.13 Loans & Advances to Directors

- ❖ RINL does not extend any loans or advances to its Directors.
- ❖ However, Functional Directors are eligible for festival advances and House Building Advances (HBA) at par with other RINL employees, in accordance with Company policy.

### 3.0 BOARD SUB-COMMITTEES (BSCs)

To ensure effective oversight and governance, the Board of Directors of RINL has constituted Board Sub-Committees with clearly defined roles and responsibilities. These Committees operate under the framework of the Companies Act, 2013 and the Corporate Governance Guidelines issued by the Department of Public Enterprises (DPE).

#### A. Corporate Governance-Related Committees (Statutory nature):

1. Audit Committee
2. Nomination and Remuneration Committee (NRC)
3. Corporate Social Responsibility & Sustainability Committee (CSR & S)
4. Committee of Independent Directors (COID)

#### B. Business-Related Committee:

5. Committee of Management (COM)

### Meeting Procedure for Board Sub-Committees

- ❖ The procedures followed for Board Meetings are largely applicable to the meetings of all Board Sub-Committees.
- ❖ The Company Secretary serves as the Convener and Secretary for all Board Sub-Committees.
- ❖ Minutes of Board Sub-Committee meetings are placed before the Board for review, perusal, and noting under the information agenda.

### Status of Board Sub-Committees due to inadequate strength of independent directors on the Board of RINL

- ❖ The tenure of two independent directors (namely Shri Sunil Kumar Hirani and Shri Ghanshyam Singh) was ended on 31<sup>st</sup> October 2024. Consequently, effective from 01<sup>st</sup> November 2024, Board of RINL continued without any independent directors.
- ❖ As a result, three Board Sub-Committees - Audit Committee, CSR & S Committee, and Nomination and Remuneration Committee (NRC)-became non-functional due to lack of quorum.

- ❖ RINL Board in its 366<sup>th</sup> meeting held on 23<sup>rd</sup> November, 2024 vide item no. 3.01 (Non-functioning of board sub-committees due to completion of tenure of independent directors of RINL) resolved as follows:

**Quote:**

Considering no independent director(s) on the RINL Board and resulting non-functioning of the Board Sub-Committees, it is hereby approved that all proposals typically routed through (or) requiring the approval of board sub-committees viz. Audit Committee, Corporate Social Responsibility (CSR) Committee, Nomination and Remuneration Committee (NRC), shall, for the interim, be directly placed before the RINL Board for its review and approval until these board sub-committees are resumed and functional.

**Unquote.**

- ❖ As per the above, during the interim, Board functions extend to areas typically under sub-committees.

**Reconstitution of the Board Sub-Committees subsequent to the appointment of Independent Director**

- ❖ Subsequent to the appointment of Shri Prateek Tanwar as Independent Director on the Board of RINL with effect from 16<sup>th</sup> May, 2025, the Board, in its 376<sup>th</sup> Meeting held on 31<sup>st</sup> July, 2025, approved the reconstitution of the CSR & Sustainability Committee (CSR & S).
- ❖ **The reconstituted CSR & Sustainability Committee (CSR & S) comprises as follows:**

| Name/Designation                          | Position |
|-------------------------------------------|----------|
| Shri Prateek Tanwar, Independent Director | Chairman |
| Director (Personnel)                      | Member   |
| Director (Finance)                        | Member   |
| Director (Operations)                     | Invitee  |
| Company Secretary: Convener & Secretary   |          |

- ❖ Similarly, the RINL Board, in its 377<sup>th</sup> Meeting held on 08<sup>th</sup> August, 2025, approved the reconstitution of the Audit Committee and Nomination & Remuneration Committee (NRC).
- ❖ **The reconstituted Audit Committee comprises as follows:**

| Name/Designation                                                | Position          |
|-----------------------------------------------------------------|-------------------|
| Shri Prateek Tanwar, Independent Director                       | Chairman          |
| Shri Vinod Kumar Tripathi, Joint Secretary, MoS, Govt. Director | Member            |
| Shri Arun Kanti Bagchi, Director (Projects)                     | Member            |
| Director (Finance)                                              | Permanent Invitee |
| Head of the IA & SV Department                                  | Invitee           |
| Company Secretary: Convener & Secretary                         |                   |

- ❖ **The reconstituted Nomination & Remuneration Committee (NRC) comprises as follows:**

| Name/Designation                                              | Position |
|---------------------------------------------------------------|----------|
| Shri Prateek Tanwar, Independent Director                     | Chairman |
| Shri Daya Nidhan Pandey, Joint Secretary, MoS, Govt. Director | Member   |
| Shri Salim G Purushothaman, Director (Operations)             | Member   |
| Director (Personnel)                                          | Invitee  |
| Director (Finance)                                            | Invitee  |
| Company Secretary: Convener & Secretary                       |          |



### 3.1 Audit Committee

The Audit Committee at RINL plays a crucial role in ensuring the integrity of financial reporting, compliance with legal and regulatory requirements, internal control systems, and risk management frameworks. The Committee operates in accordance with Section 177 of the Companies Act, 2013, read with relevant rules and DPE Guidelines on Corporate Governance.

#### <sup>1</sup> Empowerment/Scope:

The scope of the Audit Committee has to be in conformity with Section 177 of the Companies Act, 2013 read with the Companies (Meetings of Board and its Powers) Rules, 2014 and the guidelines issued by Department of Public Enterprises (DPE) for Corporate Governance, 2010 in respect of unlisted Companies.

#### A. Statutory nature

In terms of the provisions of Section 177 of the Companies Act, 2013, following functions are required statutorily to be discharged by the Audit Committee:

- I. The terms of reference shall, inter alia, include:
  - (i) the recommendation for appointment, remuneration and terms of appointment of auditors of the company;
  - (ii) review and monitor the auditor's independence and performance, and effectiveness of audit process;
  - (iii) examination of the financial statement and the auditors' report thereon;
  - (iv) approval or any subsequent modification of transactions of the company with related parties;
  - (v) scrutiny of inter-corporate loans and investments;
  - (vi) valuation of undertakings or assets of the company, wherever it is necessary;
  - (vii) evaluation of internal financial controls and risk management systems;
  - (viii) monitoring the end use of funds raised through public offers and related matters.
- II. The Audit Committee may call for the comments of the auditors about internal control systems, the scope of audit, including the observations of the auditors and review of financial statement before their submission to the Board and may also discuss any related issues with the internal and statutory auditors and the management of the company.
- III. The Audit Committee shall have authority to investigate into any matter in relation to the items specified in (I) or referred to it by the Board and for this purpose shall have power to obtain professional advice from external sources and have full access to information contained in the records of the company.

#### B. As per Corporate Governance Guidelines issued by Department of Public Enterprises (DPE), the main functions of the Audit Committee are as follows:

- 1) Oversight of the Company's financial reporting process and the disclosure of its financial information to ensure that the financial statements are correct, sufficient and credible.

#### Approval nature:

- 2) Approval of payment to Statutory Auditors for any other services rendered by the Statutory Auditors.

#### Recommending nature:

- 3) Recommending to the Board the fixation of Audit Fees.

#### Review nature:

- 4) To review the functioning of the Vigil Mechanism (Whistle Blower Mechanism);
- 5) Reviewing with the Management, the annual financial statements before submission to the Board for approval, with particular reference to:

<sup>1</sup>The Scope / Terms of Reference of the Committee was amended vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023.

- a) matters required to be included in the Directors' Responsibility Statement to be included in the Board's Report in terms of Section 134(5) of the Companies Act' 2013;
- b) changes, if any, in accounting policies and practices and reasons for the same;
- c) major accounting entries involving estimates based on the exercise of judgement by Management;
- d) significant adjustments made in the financial statements arising out of audit findings;
- e) compliance with legal requirements relating to financial statements;
- f) disclosure of any related party transactions;
- g) qualifications in the draft Audit Report;
- 6) Reviewing with the Management, the quarterly financial statements before submission to the Board for approval.
- 7) Discussion with Statutory and Internal Auditors any significant findings and follow up there on.
- 8) Reviewing with the Management, the performance of Statutory and Internal Auditors, adequacy of the internal control systems.
- 9) Reviewing the adequacy of the Internal Audit function, if any, including the structure of the Internal Audit Department, staffing and seniority of the official heading the Department, reporting structure, coverage and frequency of Internal Audit.
- 10) Reviewing the findings of any internal investigations by the Internal Auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board.
- 11) Discussion with Statutory Auditors before the Audit commences about the nature and scope of audit as well as post-audit discussion to ascertain any area of concern.
- 12) To look into the reasons for substantial defaults in the payment to the depositors, debenture-holders, shareholders (in case of non-payment of declared dividends) and creditors.
- 13) Carrying out any other function as mentioned in the terms of reference of the Audit Committee.
- 14) To review the follow up action on the audit observations of the Comptroller & Audit General (C&AG) Audit.
- 15) To review the follow up action taken on the recommendations of Committee on Public Undertakings (COPU) of the Parliament.
- 16) Provide an open avenue of communication between the independent auditor, internal auditor and the Board of Directors.
- 17) Review all related party transactions in the Company. For this purpose, the Audit Committee may designate a member who shall be responsible for pre-approving related party transactions.
- 18) Review with the independent auditor the co-ordination of audit efforts to assure completeness of coverage, reduction of redundant efforts, and the effective use of all audit resources.
- 19) Review of Management discussion and analysis of financial condition and results of operations.
- 20) Review of Statement of related party transactions submitted by management.
- 21) Review of Management letters / letters of internal control weaknesses issued by the statutory auditors.
- 22) Review of Internal audit reports relating to internal control weaknesses.
- 23) Certification / declaration of financial statements by the Chief Executive Officer i.e. CMD and CFO i.e. Director (Finance); and
- 24) Appointment and removal of the Chief Internal Auditor shall be placed before the Audit Committee.
- 25) Review of Status of Sundry Debtors
- 26) Consider and review the following with the independent auditor, if any, and the management:

- a) The adequacy of internal controls including computerized information system controls and security, and
  - b) Related findings and recommendations of the independent auditor and internal auditor, together with the management responses.
- 27) Consider and review the following with the management, internal auditor and the independent auditor:
- a. Significant findings during the year, including the status of previous audit recommendations;
  - b. Any difficulties encountered during audit work including any restrictions on the scope of activities or access to required information.

**C.** <sup>2</sup>[Omitted]

**D.** <sup>3</sup>[Omitted]

**E.** The powers of the Committee include the following:

- a) To investigate any activity within its terms of reference.
- b) To seek information from any employee.
- c) To obtain outside legal or other professional advice, subject to the approval of the Board of Directors.
- d) To secure attendance of outsiders with relevant expertise, if it considers necessary.
- e) To protect whistle blowers.

**F.** <sup>4</sup>[Omitted]

**Periodicity:** In terms of the Corporate Governance guidelines issued by DPE vide para 4.4 from time to time, the Audit Committee should meet at least four (4) times in a year and not more than four (4) months shall elapse between two meetings. The quorum shall be either two members or one third of the members of the Audit Committee whichever is greater, but a minimum of two independent members must be present

**Composition and Attendance are as follows:**

| Members of the Committee                                                                                                            | Position | Meetings held during the tenure | Meetings Attended |
|-------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------------------|-------------------|
| Shri Sunil Kumar Hirani (upto 31.10.2024)                                                                                           | Chairman | 10                              | 10                |
| Shri Ghanshyam Singh (upto 31.10.2024)                                                                                              | Member   | 10                              | 10                |
| Dr Sanjay Roy                                                                                                                       | Member   | 10                              | 08                |
| The Director (Finance) is a Permanent invitee, and the Head of Internal Audit & Stock Verification is also invited to the meetings. |          |                                 |                   |
| The Company Secretary acts as the Convener and Secretary of the Audit Committee.                                                    |          |                                 |                   |
| The Statutory Auditors attend the meetings where the annual financial statements are reviewed.                                      |          |                                 |                   |

**Note:** Following the cessation of Independent Directors on 31.10.2024, the Audit Committee became non-functional. Consequently, as per the resolution of the 366<sup>th</sup> Board Meeting held on 23<sup>rd</sup> November, 2024, all items requiring Audit Committee approval were directly placed before the Board as an interim measure.

**Meetings of Audit Committee during the year:**

Total 10 (ten) meetings of Audit Committee were held during the financial year 2024-25 on the following dates:

<sup>2</sup>Omitted vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023.

<sup>3</sup>Omitted vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023.

<sup>4</sup>Omitted vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023

| Sl. No. | Meeting No. | Date       | Sl. No. | Meeting No. | Date       |
|---------|-------------|------------|---------|-------------|------------|
| 1)      | 125         | 29-04-2024 | 6)      | 130         | 05-09-2024 |
| 2)      | 126         | 21-06-2024 | 7)      | 131         | 16-09-2024 |
| 3)      | 127         | 24-07-2024 | 8)      | 132         | 18-09-2024 |
| 4)      | 128         | 06-08-2024 | 9)      | 133         | 24-10-2024 |
| 5)      | 129         | 21-08-2024 | 10)     | 134         | 31-10-2024 |

- ❖ The details of attendance of each member are given in the above table.
- ❖ The minutes of the meetings of the Audit Committee(s) are regularly placed before the Board as an agenda item for information to the Board. The Chairman of the Audit Committee also apprises the Board about the observations/findings, if any, of the Audit Committee during the Board Meeting.

### 3.2 Nomination and Remuneration Committee

The Nomination and Remuneration Committee (NRC) is constituted in accordance with Section 178 of the Companies Act, 2013 and operates under the framework of the DPE Guidelines on Corporate Governance. The NRC plays a critical role in ensuring transparency and fairness in the appointment, remuneration, and evaluation processes related to Senior Management.

**Composition and Attendance are as follows:**

| Members of the Committee                                                    | Position | Meetings held during the tenure | Meetings Attended |
|-----------------------------------------------------------------------------|----------|---------------------------------|-------------------|
| Shri. Ghanshyam Singh (upto 31.10.2024)                                     | Chairman | 01                              | 01                |
| Shri. Sunil Kumar Hirani (upto 31.10.2024)                                  | Member   | 01                              | 01                |
| Dr. Sanjay Roy                                                              | Member   | 01                              | 01                |
| Director (Finance) and Director (Personnel) attended as Invitees            |          |                                 |                   |
| The Company Secretary acted as the Convener and Secretary of the Committee. |          |                                 |                   |

**During the financial year 2024-25, 01 (one) meeting was held as follow:**

| Sl.No. | Meeting No. | Date       |
|--------|-------------|------------|
| 1.     | 47          | 29.04.2024 |

## <sup>5</sup>SCOPE & EMPOWERMENT

### (A) NOMINATION AND REMUNERATION

- 1) This committee oversees the implementation of directives concerning implementation of latest pay and perks on a continuous basis.
- 2) <sup>6</sup>The Nomination and Remuneration Committee shall identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down, recommend to the Board their appointment and removal and shall specify the manner for effective evaluation of performance of Board, its committees and individual directors to be carried out either by the Board, by the Nomination and Remuneration Committee or by an independent external agency and review its implementation and compliance.

<sup>5</sup>The Scope / Terms of Reference of the Committee was amended vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023.

<sup>6</sup>As RINL is a Government Company, the scope of NRC shall apply only with regard to appointment of 'senior management' and other employees as per exemptions granted by MCA vide Notification No: GSR 463(E) dtd. 05.06.2015.

- 3) The Nomination and Remuneration Committee shall formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board a policy, relating to the remuneration for the directors, key managerial personnel and other employees.
- 4) The Nomination and Remuneration Committee shall, while formulating the policy ensure that:
  - (a) the level and composition of remuneration is reasonable and sufficient to attract, retain and motivate directors of the quality required to run the company successfully;
  - (b) relationship of remuneration to performance is clear and meets appropriate performance benchmarks; and
  - (c) remuneration to directors, key managerial personnel and senior management involves a balance between fixed and incentive pay reflecting short and long-term performance objectives appropriate to the working of the company and its goals.

Provided that such policy shall be placed on the website of the company, if any, and the salient features of the policy and changes therein, if any, along with the web address of the policy, if any, shall be disclosed in the Board's report.

**Note:** With the cessation of Independent Directors on 31.10.2024, the NRC became non-functional. As per the Board's decision at its 366<sup>th</sup> meeting held on 23<sup>rd</sup> November, 2024, all proposals requiring NRC review were temporarily placed directly before the Board until the reconstitution of the Committee.

### 3.3 Corporate Social Responsibility & Sustainability (CSR & S) Committee

The CSR & S Committee was established pursuant to Section 135 of the Companies Act, 2013 and aligned with the DPE Guidelines on Corporate Governance. The Committee is responsible for recommending and monitoring CSR activities, as well as overseeing the Company's performance in sustainability-related areas.

In this context, it is pertinent to note that owing to the losses incurred by RINL, there was no requirement for CSR spending and accordingly, the CSR obligation stood at nil.

**The Composition and attendance are as follows:**

| Members of the Committee                                                    | Position | Meetings held during the tenure | Meetings Attended |
|-----------------------------------------------------------------------------|----------|---------------------------------|-------------------|
| Shri Ghanshyam Singh (upto 31.10.2024)                                      | Chairman | 01                              | 01                |
| Shri Sunil Kumar Hirani (upto 31.10.2024)                                   | Member   | 01                              | 01                |
| Shri Suresh Chandra Pandey                                                  | Member   | 01                              | 01                |
| Shri CH SRVGK Ganesh (w.e.f. 03.04.2024)                                    | Member   | 01                              | 01                |
| Director (Operations) attended as Invitee                                   |          |                                 |                   |
| The Company Secretary acted as the Convener and Secretary of the Committee. |          |                                 |                   |

- ✦ Shri. A K Bagchi, Director (Projects) who was holding additional charge as Director (Operations) has attended as Invitee.
- ✦ **During the financial year 2024-25, 1 (One) meeting was held as follow:**

| Sl.No. | Meeting No. | Date       |
|--------|-------------|------------|
| 1.     | 33          | 06.08.2024 |



## <sup>7</sup>Empowerment / Scope

### <sup>8</sup>Omitted

In terms of Section 135 of the Companies Act, 2013 the CSR Committee shall:-

1. Formulate and recommend to the Board, a Corporate Social Responsibility Policy which shall indicate the activities to be undertaken by the company as specified in Schedule VII of the Companies Act, 2013;
2. Recommend the amount of expenditure to be incurred on the activities referred to in above clause; and
3. Monitor the Corporate Social Responsibility Policy of the company from time to time.

For Sustainable Development Activities:

1. To approve sustainable development plan.
2. To oversee the sustainable development performance.

## 4.0 GENERAL BODY MEETINGS

Rashtriya Ispat Nigam Limited (RINL) convenes its Annual General Meetings (AGMs) in compliance with the Companies Act, 2013. The details of the last three AGMs, including the date, time, and venue, are provided below:

| Financial Year | Date       | Time      | Venue                                                                                              |
|----------------|------------|-----------|----------------------------------------------------------------------------------------------------|
| 2021-22        | 28.09.2022 | 11:00 hrs | Board Room, 'D' Block, Administrative Building, RINL/VSP, Visakhapatnam – 530 031. Andhra Pradesh. |
| 2022-23        | 29.09.2023 | 11:00 hrs |                                                                                                    |
| 2023-24        | 27.12.2024 | 15:30 hrs |                                                                                                    |

✦ **Whether any Special Resolution passed in the last three AGMs:** Nil

✦ **Whether any Special Resolution is proposed to be passed through Postal Ballot:** Not Applicable.

### Extraordinary General Meetings (EGMs) and Special Resolutions:

**Meeting :** 14<sup>th</sup> EGM

**Date :** 18<sup>th</sup> September 2024

**Venue :** Regd. office at Admn. Building, RINL/VSP, Visakhapatnam-530 031. A.P.

#### 1. Special Business – Item No. 1 (Ordinary Resolution)

Approval for **increase in authorized share capital** from ₹ 8,000 crores to ₹ 15,000 crores by altering Clause V of the Memorandum of Association.

Increase in the authorized share capital of the company from ₹ 8000,00,00,000/- (Rupees Eight thousand crores only) divided into 489,00,00,000 (Four hundred eighty nine crores) equity shares of ₹ 10/- each & 311,00,00,000 (Three hundred eleven crores) preference shares of ₹10/- each to ₹15000,00,00,000/- (Rupees Fifteen thousand crores) divided into 1189,00,00,000 (Eleven hundred eighty nine crores) equity shares of ₹ 10/- each and 311,00,00,000 (Three hundred eleven crores) preference shares of ₹ 10/- each.

#### 2. Special Business – Item No. 2 (Special Resolution)

Substitution of existing Article 5 of the Articles of Association to reflect the revised authorized share capital of ₹ 15,000 crores:

<sup>7</sup>The Scope / Terms of Reference of the Committee was amended vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023.

<sup>8</sup>Omitted vide item No. 3.04 by the Board of Directors at their 353<sup>rd</sup> Meeting held on 09<sup>th</sup> May, 2023.

'The Authorized Share Capital of ₹ 15000 crores (Rupees Fifteen Thousand Crores) divided into: 1189,00,00,000 (Eleven hundred eighty nine crores) Equity Shares of ₹ 10/- each; and 311,00,00,000 (Three Hundred Eleven Crores) Preference Shares of ₹ 10/- each.

Provided that the Company may alter the conditions of its Memorandum of association so as to increase its share capital by such amount as it thinks expedient by issuing new shares in the manner prescribed in Section 61 of the Act'.

**Meeting** : 15<sup>th</sup> EGM

**Date** : 06<sup>th</sup> March 2025

**Venue** : Regd. office at Admn. Building, RINL/VSP, Visakhapatnam-530 031. A.P.

#### 1. **Special Business – Item No. 1 (Ordinary Resolution)**

Approval for **increase in authorized share capital** from ₹ 15,000 crores to ₹ 40,000 crores.

Increase in the authorized share capital of the company from ₹ 15000,00,00,000/- crores (Rupees Fifteen thousand crores) divided into 1189,00,00,000 (Eleven hundred eighty nine crores) equity shares of ₹ 10/- each and 311,00,00,000 (Three hundred eleven crores) preference shares of ₹ 10/- each to ₹ 40000,00,00,000/- (Rupees Forty thousand crores) divided into 3689,00,00,000 (Thirty six thousand eighty nine crores) equity shares of ₹ 10/- each and 311,00,00,000 (Three hundred eleven crores) preference shares of ₹ 10/- each.

#### 2. **Special Business – Item No. 2 (Special Resolution)**

Substitution of existing Article 5 of the Articles of Association to reflect the revised authorized share capital of ₹ 40,000 crores:

'The Authorized Share Capital of ₹ 40000 crores (Rupees Forty Thousand Crores) divided into: 3689,00,00,000 (Thirty six thousand eighty nine crores) Equity Shares of ₹ 10/- each; and 311,00,00,000 (Three Hundred Eleven Crores) Preference Shares of ₹ 10/- each.

Provided that the Company may alter the conditions of its Memorandum of association so as to increase its share capital by such amount as it thinks expedient by issuing new shares in the manner prescribed in Section 61 of the Act'.

## 5.0 DISCLOSURES

### (i) **Related party transactions:**

There were no transactions by the company of material nature with promoters, directors or the management, their subsidiaries or relatives, etc. that may have potential conflict with the interest of company at large.

### (ii) **Non-compliance, penalties, strictures:**

There were no instances of non-compliance by the company, penalties, strictures imposed on the company by any statutory authority, on any matters related to any guidelines issued by Government, during last three years.

### (iii) **Vigil Mechanism Policy of RINL:**

RINL has established a Vigil Mechanism (Whistle Blower Policy) in accordance with the provisions of the Companies Act, 2013 and the DPE Corporate Governance Guidelines. Key highlights:

- ❖ The policy ensures protection to employees and directors who report concerns related to unethical behavior, actual or suspected fraud, or violation of the Company's code of conduct.
- ❖ Not denied any personnel access to the Audit Committee of the company (in respect of matters involving alleged misconduct).

- ❖ No concerns or complaints were reported under this policy during FY 2024–25.
- ❖ The Audit Committee reviews the functioning of the Vigil Mechanism on a quarterly basis.
- ❖ Awareness about the policy is promoted through notices at departmental locations and display Boards at key entry points across RINL's offices and plant areas.

The policy is made available on the website of the company under the tab corporate- corporate policies at [www.vizagsteel.com](http://www.vizagsteel.com).

**(iv) Compliance with DPE Guidelines on Corporate Governance**

The Company confirms that it has complied with the Corporate Governance Guidelines issued by the Department of Public Enterprises (DPE) during the year under review.

**(v) Compliances with Secretarial Standards**

The company complies with the applicable Secretarial Standards issued by the Institute of Company Secretaries of India (ICSI).

**(vi) Presidential Directives**

No Presidential Directives were issued by the Central Government to RINL during the year 2024–25 or in the preceding three financial years.

**(vii) Expenditure not for the purposes of the business:**

There were no items of expenditure debited in books of accounts, which are not for the purposes of the business.

**(viii) Personal expenses incurred for the Board of Directors and Top Management:**

No expenses of a personal nature were incurred for or on behalf of the Board of Directors or Top Management during the financial year.

**(ix) Woman Director on the Board**

RINL had one Woman Director on its Board up to August, 2024 (FY 2024–25), in compliance with applicable statutory requirements.

**(x) Compliances with new initiatives of Ministry of Corporate Affairs (MCA):**

The Company continues to comply with new initiatives introduced by the Ministry of Corporate Affairs (MCA), to the extent applicable.

**(xi) Details of Administrative and office expenses as a percentage of total expenses vis-à-vis financial expenses and reasons for increase:**

( ₹ in Crores)

| S. No. | Details                                                           | 2024-25  | 2023-24  | Increase/Decrease over 2023-24 (Reasons)        |
|--------|-------------------------------------------------------------------|----------|----------|-------------------------------------------------|
| 1      | Administrative and Office expenses                                | 100.97   | 131.17   | Decrease (due to decrease in Security exp)      |
| 2      | Financial expenses                                                | 2171.75  | 2173.03  |                                                 |
| 3      | Total expenses (as per P&L excluding stock accretion / depletion) | 23354.19 | 27614.99 |                                                 |
| 4      | Administrative expenses as a % of Total expenses (1÷3)            | 0.43     | 0.47     | Decrease (due to decrease in Security Expenses) |
| 5      | Financial expenses as a % of Total expenses (%) (2÷3)             | 9.30%    | 7.87%    | Increase (due to decrease in Total Expenses)    |

## 6.0 MEANS OF COMMUNICATION

RINL maintains transparent and effective communication with its stakeholders through various channels, in line with good corporate governance practices. Although the Company is unlisted, it ensures timely and accurate dissemination of relevant information.

### (i) Quarterly Results

As an unlisted entity, RINL does not publish quarterly financial results in newspapers. However:

- ❖ Results are submitted to the Administrative Ministry (Ministry of Steel).
- ❖ The same are also placed before the Audit Committee and the Board of Directors for review.

### (ii) Newspapers wherein results normally published

A brief summary of the annual financial results is covered in leading national and regional newspapers, including:

- ❖ The Hindu (English)
- ❖ Eenadu (Telugu – Regional Edition)

### (iii) Company Website

The Company's website ([www.vizagsteel.com](http://www.vizagsteel.com)) serves as a central source of corporate information and disclosures.

- ❖ Annual Reports for the last thirteen financial years are available on the site.
- ❖ Both English and Hindi versions of the Annual Report are published for wider accessibility. Website is designed to open the documents easily and quickly.
- ❖ Official news releases and updates are also regularly posted.

## 7.0 SHAREHOLDER'S INFORMATION:

### (i) Company Registration Details

- |                                         |                                                                                                                                          |
|-----------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| ❖ Name                                  | : Rashtriya Ispat Nigam Limited                                                                                                          |
| ❖ Corporate Identification Number (CIN) | : U27109 AP1982 GOI 003404                                                                                                               |
| ❖ Date of Registration/Incorporation    | : 18 <sup>th</sup> February, 1982                                                                                                        |
| ❖ Permanent Account Number (PAN)        | : AABCR0435L                                                                                                                             |
| ❖ Goods & Service Tax Number (GSTN)     | : 37AABCR0435L1ZD                                                                                                                        |
| ❖ Registered Office Address             | : Administrative Building,<br>Rashtriya Ispat Nigam Limited,<br>Visakhapatnam Steel Plant,<br>Visakhapatnam -530 031,<br>Andhra Pradesh. |
| ❖ Incorporation                         | : Under the Companies Act, 1956                                                                                                          |
| ❖ Jurisdiction                          | : Registrar of Companies (RoC),<br>Vijayawada, Andhra Pradesh                                                                            |
| ❖ Administrative Ministry               | : Ministry of Steel (MoS)                                                                                                                |

### (ii) Annual General Meeting

- |              |                                                                                                                                           |
|--------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| ❖ Day & Date | : *Monday, 22 <sup>nd</sup> December, 2025                                                                                                |
| ❖ Time       | : *15:00 Hrs.                                                                                                                             |
| ❖ Venue      | : Board Room, 'D'Block, Admn. Building,<br>RINL/VSP, Rashtriya Ispat Nigam Limited,<br>Visakhapatnam Steel Plant (VSP),<br>Visakhapatnam. |

\*The AGM has been rescheduled to Friday, 26<sup>th</sup> December, 2025 at 11:00 Hrs.  
Please refer Addendum to the Notice at page 364

**Note: Extension of time for holding Annual General Meeting:** The Registrar of Companies, Vijayawada, Andhra Pradesh, vide order dated 15<sup>th</sup> September, 2025, has granted the Company an extension of time to hold the 43<sup>rd</sup> Annual General Meeting for the financial year 2024–25 up to 31<sup>st</sup> December 2025. The Company has convened the 43<sup>rd</sup> AGM within the extended time so granted. A copy of the ROC order is available for inspection.

- (iii) **Financial Year:** The Company follows a financial year cycle from 1<sup>st</sup> April to 31<sup>st</sup> March of the subsequent year.
- (iv) **Legal Entity Identifier Code (LEI Code):** 335800VHRCK2LSGAOJ67
- (v) **Website of the Company:** [www.vizagsteel.com](http://www.vizagsteel.com)
- (vi) **Payment of Dividend:** No dividend was declared during the financial year 2024–25.
- (vii) **Stock Code:** ISIN -INE508F01013
- (viii) **Listing Status:** RINL is an unlisted CPSE and not listed at any Stock Exchange in India or abroad. The entire share capital of the company is held by the President of India and his nominees.
- (ix) **Registrar and Share Transfer Agent:**

| Particulars           | Details                                                                                                                           |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| Agency                | KFin Technologies Limited                                                                                                         |
| Address               | Selenium Building, Tower – B, Plot Nos. 31 & 32, Financial District, Nanakramguda, Serilingampally, Hyderabad – 500032, Telangana |
| Phone                 | +91 40 6716 1605 / 03 / 02                                                                                                        |
| Toll-Free             | 1-800-309-4001                                                                                                                    |
| Email                 | einward.ris@kfintech.com / karisma@kfintech.com                                                                                   |
| Website               | <a href="http://www.kfintech.com">www.kfintech.com</a>                                                                            |
| SEBI Registration No. | INR000000221                                                                                                                      |

**(x) Share Transfer System**

- ❖ RINL is a Government Company, with its entire share capital held by the President of India and Government-nominated individuals.
- ❖ Shares held in the name of the President of India are maintained in dematerialized form.
- ❖ Shares in the name of nominees are held in physical form and transferred in line with procedures applicable to Government Companies.
- ❖ M/s. KFIN Technologies Limited, Hyderabad has been appointed as the Registrar & Share Transfer Agent (RTA).
- ❖ RTA is looking after Demat and other related works and reporting system through weekly snapshot reports.



**(xi) Equity Shareholding pattern as on 31.03.2025**

| Sl. No.                                                                                                                                                                              | Name of the Shareholder (Ms/Shri/Dr)        | Number of Equity Shares |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------|-------------------------|
| 1                                                                                                                                                                                    | The President of India (Acting through MoS) | 538,98,45,400           |
| 2                                                                                                                                                                                    | Atul Bhatt                                  | 200                     |
| 3                                                                                                                                                                                    | Sukriti Likhi                               | 100                     |
| 4                                                                                                                                                                                    | Arun Kanti Bagchi                           | 100                     |
| 5                                                                                                                                                                                    | Suresh Chandra Pandey                       | 100                     |
| 6                                                                                                                                                                                    | Sanjay Roy                                  | 100                     |
| 7                                                                                                                                                                                    | CH SRVGK Ganesh                             | 100                     |
| 8                                                                                                                                                                                    | Ghantasala Venkata Nagambica Prasad         | 100                     |
|                                                                                                                                                                                      | <b>Total</b>                                | <b>538,98,46,200</b>    |
| <b>Particulars of shareholding increased subsequent to the close of the financial year, pursuant to the Rights Issues [equity] allotments made to President of India as follows.</b> |                                             |                         |
| Date of allotment                                                                                                                                                                    | No.of shares                                | Cumulative total (Nos)  |
| 17-April-2025                                                                                                                                                                        | 678,30,00,000                               | 1217,28,46,200          |
| 21-May-2025                                                                                                                                                                          | 140,10,00,000                               | 1357,38,46,200          |
| 20-September-2025                                                                                                                                                                    | 82,00,00,000                                | 1439,38,46,200          |

**The Shareholding pattern as on report date.**

| Sl. No. | Name of the Shareholder (Shri/Dr.)          | Number of Equity Shares |
|---------|---------------------------------------------|-------------------------|
| 1       | The President of India (Acting through MoS) | 1439,38,45,400          |
| 2       | Ajit Kumar Saxena                           | 300                     |
| 3       | Arun Kanti Bagchi                           | 100                     |
| 4       | Ghantasala Venkata Nagambica Prasad         | 100                     |
| 5       | Salim G Purushothaman                       | 100                     |
| 6       | Vinod Kumar Tripathi                        | 100                     |
| 7       | Daya Nidhan Pandey                          | 100                     |
|         | <b>Total</b>                                | <b>1439,38,46,200</b>   |

RINL remains a wholly owned Government of India enterprise, with all the shares held by the President of India and his nominees as mentioned above.

Detailed information regarding the rights issue, allotment, and revised shareholding structure is provided under the Share Capital section of the Directors' Report.

**(xii) Status of dematerialization as on 31.03.2025**

| Description  | Shares               | % to Equity   |
|--------------|----------------------|---------------|
| Physical     | 800                  | 0.00          |
| NSDL         | 538,98,45,400        | 100.00        |
| <b>Total</b> | <b>538,98,46,200</b> | <b>100.00</b> |

**Status of dematerialization as on report date**

| Description | Shares         | % to Equity |
|-------------|----------------|-------------|
| Physical    | 800            | 0.00        |
| NSDL        | 1439,38,45,400 | 100.00      |
| Total       | 1439,38,46,200 | 100.00      |

Note: Physical shares are held by the nominees for and on behalf of the President of India.

**(xiii) The Subsidiaries of the Company as on 31<sup>st</sup> March, 2025**

- (a) Eastern Investments Limited (EIL)
- (b) The Orissa Minerals Development Company Limited (OMDC)
- (c) The Bisra Stone Lime Company Limited (BSLC)  
-(OMDC & BSLC are the Subsidiaries of EIL)

**(xiv) Joint Venture Companies as on 31<sup>st</sup> March, 2025**

- (a) International Coal Ventures Private Limited (Associate Company)
- (b) RINL Powergrid TLT Private Limited

**(xv) Plant & Mines Locations:**
**◆ PLANT**

Rashtriya Ispat Nigam Limited (RINL) / Visakhapatnam Steel Plant (VSP),  
Visakhapatnam - 530 031, Andhra Pradesh

**◆ MINES:**
**(1) Jaggayyapeta Lime Stone Mines (JLM)**

RINL Visakhapatnam Steel Plant  
Post: Limestone Township - 523 316, Jaggayyapeta  
Dist: NTR (Krishna District), Andhra Pradesh

**(2) Madharam Dolomite Mine (MDM)**

RINL Visakhapatnam Steel Plant  
Post: Madharam - 507 122, Dist: Khammam, Telangana

**(3) Garbham Manganese Mine (GMM)**

RINL Visakhapatnam Steel Plant  
Post: Garbham – 535 102, Dist: Vizianagaram, Andhra Pradesh

**(4) Kintada Quartz Mine (KQM)**

RINL Visakhapatnam Steel Plant  
Post: Kintada - 531 034, Dist.: Visakhapatnam, Andhra Pradesh

**(xvi) Address for correspondence:**

For any investor-related queries or correspondence, please contact:  
Company Secretary,  
Company Affairs Department,  
D-12, 'D' Block, 2nd Floor, Administrative Building,  
Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP),  
Visakhapatnam - 530 031, Andhra Pradesh.  
Email: jagadeeshm@vizagsteel.com; Website: www.vizagsteel.com

## 8.0 AUDIT QUALIFICATIONS

- ❖ For the financial year ended 31<sup>st</sup> March 2025, there were no audit qualifications on either the standalone or consolidated financial statements of the Company.
- ❖ This signifies that the financial statements present a true and fair view of the affairs of the Company and are in conformity with applicable accounting standards, policies, and legal requirements.

### **Comments of the Comptroller and Auditor General of India (C&AG)**

- ❖ The Comptroller and Auditor General of India (C&AG) has reviewed the accounts of the Company for the year ended 31<sup>st</sup> March 2025.
- ❖ The C&AG's comments are included as part of the Director's Report under the relevant annexure.

## 9.0 TRAINING OF BOARD MEMBERS

Rashtriya Ispat Nigam Limited (RINL) has adopted a formal policy for 'Training of Board Members of RINL' the Training and Familiarization of Board Members, in alignment with the Corporate Governance Guidelines issued by the Department of Public Enterprises (DPE).

The objective of this policy is to ensure that Directors both newly appointed and existing are equipped with the knowledge and insights necessary to effectively discharge their responsibilities.

### **Key Features of the Training Policy:**

- ❖ **Induction and Familiarization Programme:**  
Upon appointment, new Directors are provided with a structured orientation that includes an overview of:
  - ❖ The Company's organizational structure and business operations
  - ❖ Manufacturing units and product portfolio
  - ❖ Financial and operational performance
  - ❖ Modernization and expansion plans
- ❖ **Site Visits:**  
Directors are encouraged to visit plant locations and operational units to gain first-hand understanding of production processes and infrastructure.
- ❖ **External Training Opportunities:**  
Directors are provided with opportunities to attend seminars, workshops and training programs organized by reputed institutions such as:
  - ❖ Department of Public Enterprises (DPE)
  - ❖ Standing Conference of Public Enterprises (SCOPE)
  - ❖ Institute of Directors (IOD)
- ❖ **Policy Availability:**  
The training policy and any updates thereto are made available on the Company's official website.

## 10.0 CERTIFICATION OF FINANCIAL STATEMENTS BY THE CEO AND CFO

In accordance with the Corporate Governance Guidelines issued by the Department of Public Enterprises (DPE) and the applicable provisions of the Companies Act, 2013, the Chairman-cum-Managing Director (CMD) and the Director (Finance), in their capacities as Chief Executive Officer (CEO) and Chief Financial Officer (CFO) respectively, have provided the requisite certification for the financial year 2024–25.



This certification has been reviewed by the Audit Committee and is annexed as **Annexure-III** to the Directors' Report.

#### 11.0 CORPORATE GOVERNANCE CERTIFICATE

A certificate on the compliance of Corporate Governance norms for the financial year 2024–25 has been obtained from a Practicing Company Secretary, in accordance with the Guidelines on Corporate Governance issued by the Department of Public Enterprises (DPE).

The certificate is annexed to the Directors' Report as **Annexure-IV**.

#### 12.0 COMPLIANCE

Your Company is consistently upholding high standards of corporate governance. The Company is submitting quarterly Compliance Report on Corporate Governance under DPE Guidelines. A Certificate on Compliance of Guidelines on Corporate Governance, for the year 2024-25 given by a Practicing Company Secretary is forming part of this Report.

Based on its adherence to the Corporate Governance Guidelines for Central Public Sector Enterprises (CPSEs), the Department of Public Enterprises (DPE) has accorded RINL an "Excellent" rating for the financial years 2016–17 to 2022–23 (all the FYs).

This grading reflects the Company's sustained focus on ethical conduct, regulatory compliance, and stakeholder transparency.

The Company submits a grading report on the compliance with the Corporate Governance with Ministry of Steel on quarterly and annual basis. As per the grading report, the Company was rated as 'Excellent' with a composite score of 100% for the year 2023-24.

This Report on Corporate Governance forms an integral part of the 43<sup>rd</sup> Annual Report of Rashtriya Ispat Nigam Limited for the financial year 2024–25. It has been approved by the Board of Directors at its meeting held on 25<sup>th</sup> November, 2025

**For and on behalf of the Board of Directors of  
Rashtriya Ispat Nigam Limited**

**Sd/-  
(Ajit Kumar Saxena)  
(DIN: 08588419)  
Chairman-cum-Managing Director  
(Additional Charge)**

Place : Visakhapatnam

Dated: 25<sup>th</sup> November, 2025



**राष्ट्रीय इस्पात निगम लिमिटेड**  
(भारत सरकार का उद्यम)  
**Rashtriya Ispat Nigam Limited**  
(A Govt. of India Enterprise)  
CIN No. U27109AP1982GOI003404



**Annexure-III to Directors' Report**

**CERTIFICATION OF FINANCIAL STATEMENTS BY  
THE CHIEF EXECUTIVE OFFICER (CEO) AND  
CHIEF FINANCE OFFICER (CFO) FOR THE FINANCIAL YEAR 2024-25  
(Under Clause 4.5 of DPE Guideline on Corporate Governance)**

We, Ajit Kumar Saxena, Chairman-Cum-Managing Director (Addl. Charge) as CEO and Hemant Kumar Jha, DGM (F&A)-I/c as CFO of RINL, to the best of our knowledge and belief, certify that:

- We have reviewed the financial statements and cash flow statement of Rashtriya Ispat Nigam Limited for the year ended March 31, 2025;
  - These statements do not contain any materially untrue statement or omission of any material fact or contain statements that might be misleading in light of the circumstances under which such statements were made;
  - These statements present true and fair view of the company's affairs and are in compliance with the existing accounting standards and/or applicable laws and regulations;
- No transaction was entered into by the company during the year which was fraudulent, illegal or violative of the company's code(s) of conduct;
- We are responsible for establishing and maintaining internal controls for financial reporting and that we have evaluated the effectiveness of the internal control systems of the company pertaining to financial reporting and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies;
- We have indicated to the Company's Auditors and the Audit committee
  - Significant changes, if any, in internal controls over financial reporting during the year;
  - Significant changes, if any, in accounting policies during the year and that the same have been disclosed in the notes to the financial statements;
  - Instances of significant fraud of which we have become aware and the involvement therein, if any, of the management or an employee having significant role in the Company's internal control system over financial reporting.
- We further declare that all board members and senior managerial personnel have affirmed compliance with the code of conduct for the year ended 31.03.2025.

Sd/-  
**Hemant Kumar Jha**  
DGM (F&A)-I/c-HoD (F&A)

Sd/-  
**Ajit Kumar Saxena**  
Chairman-Cum-Managing Director (addl.chage)  
(DIN: 08588419)

Place : Visakhapatnam  
Date : 25<sup>th</sup> November, 2025



Please send your reply to  
Room No.D-12  
Main Administration Building,

विशाखपट्टणम इस्पात संयंत्र, विशाखपट्टणम-530031  
Visakhapatnam Steel Plant, Visakhapatnam - 530 031

Regd. Office : Visakhapatnam Steel Project, Administrative Building, Visakhapatnam - 530 031, INDIA.  
पंजीकृत कार्यालय : विशाखपट्टणम इस्पात परियोजना, प्रशासनिक भवन, विशाखपट्टणम-530031, भारत

Phones : +91 891 -2518249  
Tel/Fax : +91 891 -2518249  
E-mail :



## SVJS & Associates Company Secretaries

www.svjs.in

lekha@svjs.in/svjsblr@gmail.com

+ 91 9886703306



### CERTIFICATE ON CORPORATE GOVERNANCE

To,

The Members,

**RASHTRIYA ISPAT NIGAM LIMITED**

(CIN: U27109 AP1982 GOI 003404)

Administrative Building,

Visakhapatnam Steel Plant (VSP),

Visakhapatnam, Andhra Pradesh-530031.

We have examined the compliance of conditions of Corporate Governance by **Rashtriya Ispat Nigam Limited** (CIN: U27109 AP1982 GOI 003404), Central Public Sector Enterprise (CPSE). [Government of India, Unlisted Public Limited Company] (hereinafter referred 'the Company'/'RINL') for the Financial year ended on 31<sup>st</sup> March, 2025 as stipulated in the Guidelines of Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises (DPE), Ministry of Heavy Industries and Public Enterprises, Government of India vide their O.M.No. 18/ (8)/ 2005-GM dated 14<sup>th</sup> May, 2010 and as amended from time to time (hereinafter referred as 'DPE Guidelines').

We state that the compliance of conditions of Corporate Governance is the responsibility of the management and our examination was limited to review of the procedures and implementation thereof, adopted by the company for ensuring compliance with conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the company.

In our opinion and to the best of our information and according to our examinations of the relevant records and the explanations given to us, we certify that the company has complied with the conditions of Corporate Governance as stipulated in the above mentioned DPE Guidelines, as applicable subject to the following observation:

**The requisite number of independent Directors were not appointed on the Board of the Company as contemplated in the Clause 3.1.4 of above referred DPE Guidelines on Corporate Governance Accordingly, clause 3.1.4. i.e. at least one-third of members should be independent directors, has not been complied.**

As informed by the management of the Company, RINL being a government company, the nomination/the appointment of independent directors on the Board is made by the Government of India. The Company has already requested to the Ministry of Steel (MoS), Government of India, for appointment of requisite number

**of Independent directors on the Board. However, appointment of requisite number of independent directors is yet to be made by the said Ministry.**

We further state that such compliance is neither an assurance as to future viability of the company nor the efficiency or effectiveness with which the management has conducted the affairs of the company.

This certificate is issued solely for the purpose of complying with the Guidelines of Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises (DPE), Government of India and may not be suitable for any other purpose.

**For SVJS & Associates,  
Company Secretaries**

**Sd/-**

**Lekha Ashok**

**Partner**

**FCS No.: 8152**

**CP No. : 9011**

**Place : Bangalore**

**Date : 28<sup>th</sup> July, 2025**

**UDIN : F008152G000875865**

**Peer Review Certificate No. : 6278/2024**

**Firm Unique Identification No. : P2008KE017901**

**Annexure - V to Directors' Report**

## THE ANNUAL REPORT ON CSR ACTIVITIES FOR THE F.Y. 2024-25

[Disclosures as per Section 135 of the Companies Act, 2013 read with Rule 8 of the Companies (CSR Policy) Rules, 2014 and Amendments thereof & prepared as per the Annexure-II of the Companies (CSR Policies) Amendment Rules, 2022]

### 1.0. Brief outline on CSR Policy of the Company:

The Company has formulated the CSR Policy in 2006, rechristened it as RINL CSR & Sustainability Policy and notified in 2015 incorporating specific provisions of the Companies Act 2013 and the DPE Guidelines on CSR issued from time to time.

While initial part of the CSR & Sustainability Policy elucidates alignment of CSR with the Company's Vision and incorporation of Sustainability in its strategy, subsequent part details the Annual CSR activities in line with the activities laid down under Schedule-VII of the Companies Act, 2013.

Identification, implementation and monitoring of projects, implementation strategy, delegation of powers, criteria for execution agencies i.e. NGOs etc. are elaborated in the Policy document.

### 2.0. Composition of the CSR committee:

| Sl. No                                                          | Name & Designation of the Committee Member                                                   | Position in the Committee | Number of meetings of CSR & S Committee held during the year | Number of meetings of CSR&S Committee held during the respective tenure of Director | Number of meetings of CSR & S Committee attended during the year |
|-----------------------------------------------------------------|----------------------------------------------------------------------------------------------|---------------------------|--------------------------------------------------------------|-------------------------------------------------------------------------------------|------------------------------------------------------------------|
| 1                                                               | Shri Ghanshyam Singh<br>Independent Director                                                 | Chairman <sup>1</sup>     | 1 (One) On 6 <sup>th</sup> August, 2024                      | 1                                                                                   | 1                                                                |
| 2                                                               | Shri Sunil Kumar Hirani<br>Independent Director                                              | Member <sup>1</sup>       |                                                              | 1                                                                                   | 1                                                                |
| 3                                                               | Shri Suresh Chandra Pandey<br>Director (Personnel)                                           | Member                    |                                                              | 1                                                                                   | 1                                                                |
| 4                                                               | Shri CH SRVGK Ganesh<br>Director (Finance)                                                   | Member <sup>2</sup>       |                                                              | 1                                                                                   | 1                                                                |
| 5                                                               | Shri Arun Kanti Bagchi<br>Director (Projects) having Additional Charge Director (Operations) | Invitee <sup>3</sup>      |                                                              | 1                                                                                   | 1                                                                |
| Company Secretary is the Convener & Secretary to the Committee. |                                                                                              |                           |                                                              |                                                                                     |                                                                  |

#### Note:

- (i) Shri Ghanshyam Singh and Shri Sunil Kumar Hirani ceased to be Non-Official Independent Director on the Board of RINL w.e.f. 01.11.2024
- (ii) Shri CH SRVGK Ganesh, was appointed as Director (Finance) w.e.f 03.04.2024.
- (iii) Shri Arun Kanti Bagchi, Director (Projects) holding additional charge of Director (Operations) has attended the meeting as Invitee in the capacity of Director (Operations).
- (iv) Consequent upon the cessation of Shri Ghanshyam Singh and Shri Sunil Kumar Hirani as Independent Directors, the Board of RINL was left without any Independent Director(s). This resulted in the non-functioning of the Corporate Social Responsibility & Sustainability (CSR & S) Committee. Accordingly, in its 366<sup>th</sup>

Meeting, the Board resolved that, as an interim measure, all proposals which were otherwise required to be reviewed or approved by the CSR & S Committee would be placed directly before the Board of Directors for consideration and approval, until such time the CSR & S Committee was reconstituted and made functional.

- (v) Subsequently, with the appointment of Shri Prateek Tanwar as Independent Director on the Board of RINL w.e.f. 16.05.2025, the Board, in its 376<sup>th</sup> Meeting held on 31<sup>st</sup> July 2025, reconstituted the CSR & S Committee, thereby resuming its functioning in line with the applicable provisions of the Companies Act, 2013 and DPE Guidelines on Corporate Governance.

The composition of re-constituted committee comprises as follows:

| S.No.                                                  | Name/Designation                          | Position |
|--------------------------------------------------------|-------------------------------------------|----------|
| 1                                                      | Shri Prateek Tanwar, Independent Director | Chairman |
| 2                                                      | Director (Personnel)                      | Member   |
| 3                                                      | Director (Finance)                        | Member   |
| 4                                                      | Director (Operations)                     | Invitee  |
| Company Secretary: Convener & Secretary to the Meeting |                                           |          |

**3.0. Provide the web-link where Composition of CSR committee, CSR Policy and CSR Projects approved by the board are disclosed on the website of the company.**

The web link for the CSR Committee & CSR Policy: <https://www.vizagsteel.com/csr/>

**4.0. Provide the executive summary along with web-link of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8, if applicable** Not Applicable.

**5.0.**

|    |                                                                                                     |     |
|----|-----------------------------------------------------------------------------------------------------|-----|
| a) | Average net profit of the company as per sub-section (5) of section 135                             | Nil |
| b) | Two percent of average net profit of the company as per sub-section (5) of section 135              | Nil |
| c) | Surplus arising out of the CSR projects or programmes or activities of the previous financial years | Nil |
| d) | Amount required to be set off for the financial year, if any                                        | Nil |
| e) | Total CSR obligation for the financial year [(b)+(c)-(d)]                                           | Nil |

**6.0.**

|     |                                                                                                          |     |
|-----|----------------------------------------------------------------------------------------------------------|-----|
| (a) | Amount spent on CSR Projects (both Ongoing and other than Ongoing Project)                               | Nil |
| (b) | Amount spent in Administrative Overheads                                                                 | Nil |
| (c) | Amount spent on Impact Assessment, if applicable (Not applicable in pursuance of sub-rule (3) of Rule 8) | Nil |
| (d) | Total amount spent or unspent for the Financial Year:                                                    | Nil |
| (e) | CSR amount spent or unspent for the Financial Year:                                                      | Nil |

| Total Amount Spent for the Financial Year (in ₹) | Amount Unspent (in ₹)                                                 |                  |                                                                                                       |        |                  |
|--------------------------------------------------|-----------------------------------------------------------------------|------------------|-------------------------------------------------------------------------------------------------------|--------|------------------|
|                                                  | Total Amount transferred to Unspent CSR Account as per section 135(6) |                  | Amount transferred to any fund specified under Schedule VII as per second provision to section 135(5) |        |                  |
|                                                  | Amount                                                                | Date of Transfer | Name of the Fund                                                                                      | Amount | Date of Transfer |
| ----- Nil -----                                  |                                                                       |                  |                                                                                                       |        |                  |

**f) Excess amount for set-off, if any:**

| S.No. | Particulars                                                                                             | Amount (in ₹) |
|-------|---------------------------------------------------------------------------------------------------------|---------------|
| (1)   | (2)                                                                                                     | (3)           |
| (i)   | Two percent of average net profit of the company as per sub-section (5) of section 135                  | NIL           |
| (ii)  | Total amount spent for the Financial Year                                                               | NIL           |
| (iii) | Excess amount spent for the Financial Year [(ii)-(i)]                                                   | NIL           |
| (iv)  | Surplus arising out of the projects or programmes or activities of the previous Financial Years, if any | NIL           |
| (v)   | Amount available for set off in the succeeding Financial Years [(iii)-(iv)]                             | NIL           |

**7.0. Details of Unspent Corporate Social Responsibility amount for the preceding three Financial Years:**

| 1       | 2                           | 3                                                                                     | 4                                                                                 | 5                                         | 6                                                                                                                            | 7                                                                 | 8                 |
|---------|-----------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|-------------------------------------------|------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|-------------------|
| Sl. No. | Preceding Financial Year(s) | Amount transferred to Unspent CSR Account under sub-section (6) of section 135 (in ₹) | Balance amount in Unspent CSR Account under sub-section (6) of section 135 (in ₹) | Amount spent in the Financial Year (in ₹) | Amount transferred to a Fund as specified under Schedule VII as per second proviso to sub-section (5) of section 135, if any | Amount remaining to be spent in succeeding Financial Years (in ₹) | Deficiency if any |
|         |                             |                                                                                       |                                                                                   |                                           | Amount (in ₹)      Date of Transfer                                                                                          |                                                                   |                   |
| 1.      | 2023-24                     | -----NIL-----                                                                         |                                                                                   |                                           |                                                                                                                              |                                                                   |                   |
| 2.      | 2022-23                     | -----NIL-----                                                                         |                                                                                   |                                           |                                                                                                                              |                                                                   |                   |
| 3.      | 2021-22                     | -----NIL-----                                                                         |                                                                                   |                                           |                                                                                                                              |                                                                   |                   |

**8.0. Whether any capital assets have been created or acquired through Corporate Social Responsibility amount spent in the Financial Year:**

Yes ☐

No ☒

If Yes, enter the number of Capital assets created /acquired

Nil

Furnish the details relating to asset(s) so created or acquired through Corporate Social Responsibility amount spent in the Financial Year:

| Sl. No.       | Short particulars of the property or asset(s) [including complete address and location of the property] | Pin code of the property or asset(s) | Date of creation | Amount of CSR amount spent | Details of entity / Authority / beneficiary of the registered owner |      |                    |
|---------------|---------------------------------------------------------------------------------------------------------|--------------------------------------|------------------|----------------------------|---------------------------------------------------------------------|------|--------------------|
| 1             | 2                                                                                                       | 3                                    | 4                | 5                          | 6                                                                   | 7    | 8                  |
|               |                                                                                                         |                                      |                  |                            | CSR Registration Number, if applicable                              | Name | Registered address |
| -----NIL----- |                                                                                                         |                                      |                  |                            |                                                                     |      |                    |





9.0. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per sub-section of section 135.

- Not Applicable.

Sd/-

**(Ajit Kumar Saxena)**

Chairman-cum-Managing Director (Addl.charge)

(DIN: 08588419)

Sd/-

**(Prateek Tanwar)**

Chairman CSR & S Committee

(DIN: 11109166)

Place : Visakhapatnam

Date : 25<sup>th</sup> November, 2025

## Report on Conservation of Energy, Technology absorption, FOREIGN EXCHANGE EARNINGS AND OUTGO

(Information in accordance with the provisions of Section 134(3)(m) of the Companies Act, 2013  
Read with Rule 8 of the Companies (Accounts) Rules, 2014)

### A) CONSERVATION OF ENERGY

(i) The steps taken or impact on Conservation of Energy

a. Specific Energy Consumption (SEC) & CO<sub>2</sub> Emissions:

| Year    | *SEC (GCal/tCS) | CO <sub>2</sub> emissions (Tons/tCS) |
|---------|-----------------|--------------------------------------|
| 2023-24 | 6.42            | 2.75                                 |
| 2024-25 | 6.80            | 2.88                                 |

\*SEC as per PM's trophy method

(GCal – Giga calorie, tCS-tonne of Crude Steel)

b. Energy Conservation measures taken up at RINL during the year 2024-25:

✦ Reduction in Sp. Heat Consumption in the following areas:

| Shop               | Unit      | Sp. Heat consumption |         |
|--------------------|-----------|----------------------|---------|
|                    |           | 2024-25              | 2023-24 |
| Coke Oven          | Mcal/tDCC | 623                  | 626     |
| Sinter Machine-1&2 | Mcal/tGS  | 34                   | 36      |
| BF-1&2             | Mcal/tHM  | 500                  | 506     |
| BF-3               | Mcal/tHM  | 472                  | 503     |
| CRMP-1             | Mcal/tGL  | 1164                 | 1192    |
| LMMM               | Mcal/tIB  | 530                  | 543     |
| CPP-1              | Mcal/tS   | 819                  | 824     |
| CPP-2              | Mcal/tS   | 781                  | 789     |

(MCal – Mega Calories, DCC- Dry Coal Charged; GS- Gross Sinter; HM- Hot Metal; GL- Gross Lime;  
IB: Input Bloom / Billet; S- Steam)

✦ Reduction in Sp. Power Consumption in the following areas:

| Shop  | Unit    | Sp. Power consumption |         |
|-------|---------|-----------------------|---------|
|       |         | 2024-25               | 2023-24 |
| MMSM  | KWH/tIB | 97.13                 | 115.86  |
| CPP-1 | KWH/tS  | 39.39                 | 41.97   |

KWH – Kilo Watt Hour; IB: Input Bloom / Billet; S- Steam)

✦ Improvement in Power Generation from BPTS, COB-4&5 and TRT from 21.8 MW to 23.2 MW.

c. Various measures taken for reduction in specific energy consumption during the year 2024-25 ----NIL-----

d. Energy conservation plans under progress: -----NIL-----

e. i. Waste Heat Recovery Systems:

| Energy Saving facility                                                                                            | Units | Energy Recovered | Boiler Coal Saved (tons) | Reduction of CO <sub>2</sub> emission (tons) |
|-------------------------------------------------------------------------------------------------------------------|-------|------------------|--------------------------|----------------------------------------------|
| Total volume of LD Gas recovered at LD Gas recovery plant                                                         | MNCum | 387.9            | 705373                   | 369145                                       |
| Total power generated at Back Pressure Turbine Station (BPTS) & COB-4 turbine & COB-5 turbine (Coke oven Battery) | MWh   | 182211           | 437306                   | 228857                                       |
| Total power generated at Top Recovery Turbine and Gas Expansion Turbine Station (GETs)                            | MWh   | 63007            | 151217                   | 79137                                        |

(MNCum-Million Normal Cubic Meters, MWh-Mega Watt Hours)

ii. Usage of By-product gases in Captive Power Plants

|       | Name of Fuel used | Unit  | Value  | Boiler Coal Saved (tons) | Reduction of CO <sub>2</sub> emission (tons) |
|-------|-------------------|-------|--------|--------------------------|----------------------------------------------|
| TPP-1 | CO Gas            | MNcum | 278.5  | 398890                   | 626258                                       |
|       | BF gas            | MNcum | 2442.4 | 3498245                  | 5492245                                      |
| CPP-2 | CO Gas            | MNcum | 65.9   | 190347                   | 298844                                       |
|       | BF gas            | MNcum | 1388.4 | 1988686                  | 3122237                                      |

(MNcum-Million Normal Cubic Meters)

f. Awards:

RINL has been awarded **"National Energy Leader"** consecutively six years after winning **"Excellent Energy Efficient Unit"** Award in 2017, 2018, 2019, 2020, 2021, 2022, 2023 & 2024" by CII Godrej Green Business Center at Hyderabad during National Competition for Excellence in Energy Management-2024.

g. Clean Development Mechanism:

The Progress of CDM projects is as given below:

(i) Status of registration of the projects

- UNFCCC issued 70,516 CERs for Verification of CDM project titled "Power Generation from Cooling of Coke in Coke Dry Cooling Plant of CO Battery-4" for the Period: 13<sup>th</sup> August, 2014 to 12<sup>th</sup> August, 2015.
- UNFCCC issued 58,871 CERs for Verification of project titled "Top pressure Recovery Turbine (TRT) of BF-3" for the period of 23<sup>rd</sup> March, 2014 to 31<sup>st</sup> January, 2017.
- UNFCCC issued 42,573 CERs for Verification of project titled "Waste heat recovery from stoves of Blast Furnace-3 of Visakhapatnam Steel Plant" for the period of 26<sup>th</sup> Jan'2015 to 31<sup>st</sup> July'2016.

(ii) The steps taken by the company for utilizing alternate sources of Energy

- ❖ RINL has installed 5MW ground mounted solar power PV (Photovoltaic) plant in December'2016.
- ❖ RINL has installed 0.5 MW Roof Top Solar systems in various administrative offices.



5MW ground mounted solar power PV (Photovoltaic) plant at Kanithi Road, RINL/VSP.

(iii) **The capital investment on Energy conservation equipment:** NIL

**B) TECHNOLOGY ABSORPTION**

In RINL Projects are implemented with the latest technology as on that date. The efforts put in implementing the latest technology have put RINL in eminent position in the Indian Steel Industry.

**(i) Efforts made towards technology absorption**

The Claus technology is being imported and installed in the new Coal Chemicals Plant. In the new Coal Chemicals Plant Combined Ammonia & H<sub>2</sub>S absorption with Claus unit is being installed in place of Conventional Ammonium Sulphate Plant.

**(ii) Benefits derived such as production improvement, cost reduction, product development, or import substitution**

This technology is imported from M/s HUTNI Projekt Frydek Mistek, Czech Republic as part of new Coal Chemicals Plant of COB-5. The contract is in the implementation stage.

The following benefits would be derived:

- Cleaner process due to removal of H<sub>2</sub>S
- Reducing consumption of Sulphuric acid there by reducing the operational expenditure
- High availability of plant and equipment leading to less downtime

**The details of technology imported:**

- a. The Claus technology- as detailed above paras.
- b. **The year of import: 2019**
- c. **Whether the technology has been fully absorbed:** As the Project is under execution, technology is not yet absorbed.
- d. **If not fully absorbed areas where absorption has not taken place and reasons thereof:** Not applicable.



**FCP area Primary Gas Cooler and ETP**



**SCP and NCP**





Gas Distribution Plant



Chilled Water Plant

## RESEARCH & DEVELOPMENT (R&D)

### Specific areas in which R&D carried out by the company

Research & Development in RINL is mainly working projects in the areas of Process improvement, development of new products, de-carbonization efforts, cost reduction and reduction & recycle of energy and waste.

### Benefits derived as a result of the above R&D

#### a) *Partial replacement of lime with limestone in BOF:*

The study aims at replacing lime with undersized limestone in BOF. Calcination is energy intensive process and source of direct CO<sub>2</sub> emissions. At RINL, SMS grade limestone is imported and only +30mm size is used for calcination. -30 mm size limestone is a co-product, hence an attempt was made to recycle undersized limestone in BOF. Around 600 tons of limestone is used as a replacement to lime in 520 heats at SMS-2. This led to average savings of ₹10,000/- heat.



Figure 1: Undersized limestone used for industrial trials

#### b) *A study to produce low phosphorus steel with calcium ferrite in BOF:*

Phosphorus control is a crucial aspect of primary steelmaking, as it significantly influences the mechanical properties of steel. Consequently, a study was conducted to investigate the effects of calcium ferrite on hot metal dephosphorization in the BOF to achieve low phosphorus content in turndown steel. A total of 66 trials were conducted with varying levels of calcium ferrite additions, and the results showed that heats containing calcium ferrite consistently exhibited an average phosphorus content of 0.012%. This approach helps prevent grade diversion caused by uncontrolled phosphorus levels and also contributes to improved steel yield.

#### c) *Utilization of coke breeze / coke dust as carburizer in steel making:*

Total 2637 tons (83 tons in SMS-1, 2555 tons in SMS-2) of coke breeze was used in both SMS-1 & SMS-2. Total saving achieved in this study is approx. ₹5.24 Crores. The coke breeze recovery is observed as 95% which is similar to CPC (Calcined Petro Coke). 20% extra Coke Breeze addition on weight basis is required compared to CPC addition to get similar carbon opening in steel. Dissolution



behavior of coke breeze is comparable to CPC. No physical abnormalities such as foaming, undissolved and floating of coke breeze was observed during tapping and after tapping of liquid steel.

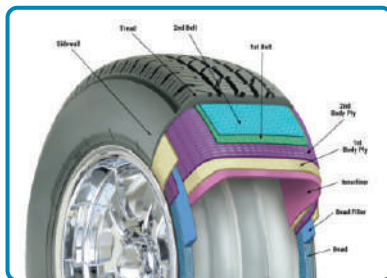
**d)** *Studies on the effect of various parameters on resistivity and hardenability of selected steel grades and development of composition based model for predicting resistivity and hardenability of steels:*

In the present investigation, experimentally measured electrical resistivity of IS2879 and Cable Armoring Quality (CAQ) grade steels will be studied based on chemical composition. Subsequently based on the data, a regression model will be formulated for predicting resistivity from the steel chemistry. Contribution arising from major alloying elements on steels' resistivity will be identified by analyzing the proposed model.

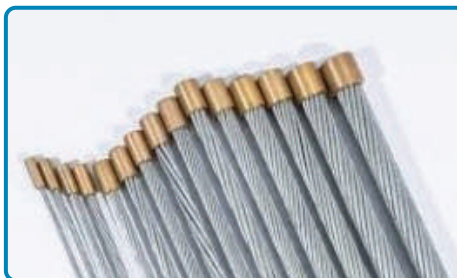
At RINL Jominey end quench test is used for determination of hardenability of 20MnCr5, 16MnCr5 and 41Cr4 grades. From literature review, it was found that hardenability of steels can be estimated based on chemical composition and austenite grain size. Estimation of effect of individual elements on hardenability will help in fine tuning the composition and improves the product quality as per customer requirement.

**e) Product Development/ Development of Boron, High Carbon and Electrode Quality Grades of Steel and improvement in quality of Forging Grades of Steel and Spring Steel:**

The aim of the project is to have better NSR and to help in substituting imports, capturing the market and diversification of product portfolio of RINL. New products such as Tyre Bead Quality (TBQ), Low Relaxation Pre-Stressed Concrete (LRPC), Aluminium Conductor Steel Reinforced (ACSR), stick electrodes (IS2879), 19MnB4 were developed. Quality of steel grades such as 15B25S-RH, CO<sub>2</sub>, 1524Cr, 20MnCr5, 41Cr4 was improved. End applications of grades developed is given in Figures 1 to 5 below. Total 176 heats were produced under this project. Feedback is positive from the market.



**Figure 1: HCTBQ grade end application**



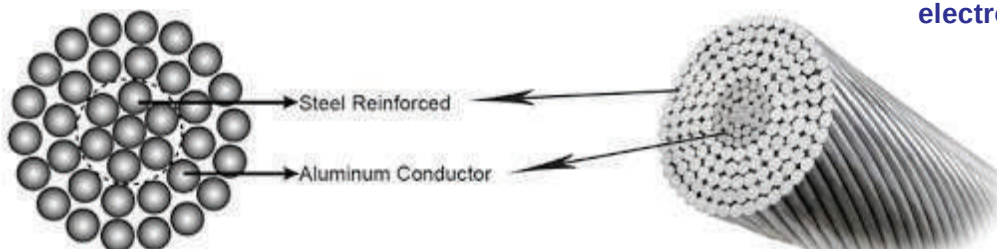
### Figure 2: LRPC cables



### Figure 3: Boron grade products

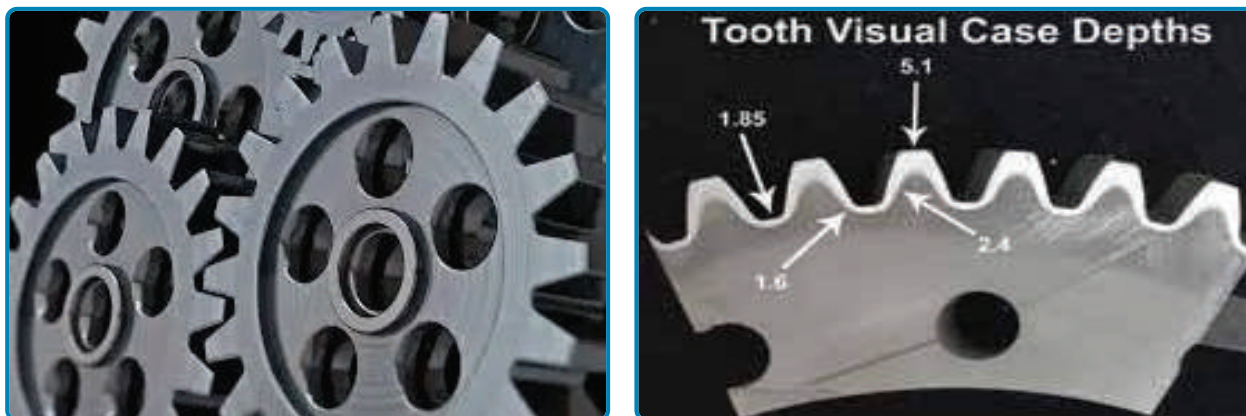


**Figure 4: IS2879 welding electrodes**



### Figure 5: ACSR grade end application

- f) *Optimization of process parameters to improve the internal soundness of 20MnCr5 grade bloom:*
- 20MnCr5 grade is a low alloyed case hardening steel used for automobile parts such as gear as shown in Figure 6, and pinion which require good fatigue life and wear resistance. The purpose of this project is to minimise the central pores or pipes present in the cast bloom of 20MnCr5 grade of 200x200 mm section to the acceptable range so that internal soundness of the cast structure can be improved and defect free rolled product can be produced. The central pipe formation in the cast bloom depends on super heat of cast steel, casting speed, secondary water cooling system and mould and final EMS (Electro Magnetic Stirring). The main reason for the cause of pipe formation in the bloom at SMS-2 of VSP is under study. Casting parameters were modified and there was appreciable improvement w.r.t internal soundness of the cast blooms/rolled product.



**Figure 6: 20MnCr5 grade end application**

- g) *Utilization of steel slag in road construction:*
- The project was taken up in collaboration with Central Road Research Institute (CRRI), Delhi. Based on the recommendations of CRRI, the artificial weathering of Steel slag at the RINL premises was taken up. 250 tons of Steel slag was weathered using artificial weathering. The slag samples were tested for expansion and test results showed the expansion of weathered steel slag was below 3%. The artificial weathered steel slag as shown in Figure 7 will be used for road laying for the length of 150 meters.



**Figure 7: Artificial weathering of steel slag in yard**

- h) *Identifying causes for failure of Structural Mill (STM) rollers:*
- Reheating furnace has provision of discharging rollers to facilitate proper exit stock from the furnace. A study was carried out to find out the causes for failure of STM rollers. The roller design and cooling circuit was changed on experimental basis. The modified design is being used which led to savings of ₹68 lakhs till now.

**i) Initiatives towards decarbonization / Green Steel making:**

**(i) Hydrogen production with integrated CO<sub>2</sub> capture and mineralization in steel plants:**

The project was taken up in collaboration with IIT Delhi. This technique utilizes the BF gas for hydrogen production by inherently capturing the CO<sub>2</sub>. The utilization of industrial waste (LD Slag) for CO<sub>2</sub> mineralization has advantages in terms of energy efficiency and waste utilization.

**(ii) Installing a set up for separation of CO<sub>2</sub> from BF gas to enrich the calorific value and a method for reusing the captured CO<sub>2</sub>:**

In alignment with the goal of Decarbonizing Industrial sector and promoting Carbon Capture Utilization and Storage (CCUS). EOI was uploaded in Manthan Platform to take up a collaborative project with academia and start-ups. The proposals received are being evaluated.

**(iii) To Study Decarbonisation and Circular Economy at RINL:**

To promote the circular economy through technology adoption, supply chain collaboration, and business process re-engineering (continuous improvement), contributing to the overall development of RINL, R&D has taken up an initiative to Study Decarbonisation and Circular Economy at RINL.

**(iv) Feasibility study on usage of biochar in coke making, sinter making and as a replacement to Pulverized Coal injection (PCI):**

Production of Green steel and reduction of carbon emissions is the need of the hour for steel industry. Usage of Biochar as a fuel partially replacing fossil fuel coal/coke in Iron and Steel making is being explored all over the world. In similar lines, R&D Center, RINL has taken up a feasibility study. Characterization of biochar was done. Pilot scale studies are being done using pot sintering machine and pilot coke oven.



**Figure 8: (a) Industrial Blend Coke**

**(b) Coke with 7 % Biochar**

**(iv) Expenditure on R&D:**

| Particulars                                             | (₹in Crores) |
|---------------------------------------------------------|--------------|
| Capital                                                 | --           |
| Revenue/ recurring                                      | 5.78         |
| Total                                                   | 5.78         |
| Total R&D expenditure as a percentage of total turnover | 0.03%        |



**C) FOREIGN EXCHANGE EARNINGS AND OUTGO**

| Particulars                                                                                                                                                                           | (₹ in Crores)   |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| Foreign Exchange Earnings                                                                                                                                                             | <b>19.40</b>    |
| Foreign Exchange Outgo<br>-Includes value of imports of ₹8412.35 Crs,<br>which also includes ₹2.17 Crs on Capital Goods<br>- Includes Expenditure in Foreign Currency of ₹ 246.96 Crs | <b>8,659.31</b> |

For and on behalf of the Board of Directors of  
Rashtriya Ispat Nigam Limited

Sd/-  
(Ajit Kumar Saxena)  
(DIN: 08588419)  
Chairman-cum- Managing Director  
(Additional Charge)

Dated: 25<sup>th</sup> November, 2025

Place: Visakhapatnam

**SVJS & Associates**  
**Company Secretaries**

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lekha@svjs.in/svjsblr@gmail.com

+ 91 9886703306

**FORM MR-3**  
**SECRETARIAL AUDIT REPORT****FOR THE FINANCIAL YEAR ENDED 31<sup>ST</sup> MARCH, 2025**

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No.9 of the Companies  
(Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,  
The Members,  
**RASHTRIYA ISPAT NIGAM LIMITED,**  
Administrative Building,  
Visakhapatnam Steel Plant,  
Visakhapatnam,  
Andhra Pradesh - 530 031

We have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **Rashtriya Ispat Nigam Limited** (CIN: U27109AP1982GOI003404), [an unlisted Central Public Sector Enterprise (CPSE)], (hereinafter called "the Company" or "RINL") for the Financial Year ended on 31<sup>st</sup> March, 2025 ('Audit Period'). Secretarial audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts /statutory compliances and expressing our opinion thereon. Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period ended on 31<sup>st</sup> March, 2025, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance-mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the period ended on 31<sup>st</sup> March, 2025, according to the provisions of:

- (i) The Companies Act, 2013 ('the Act') and the rules made thereunder;
- (ii) Laws specifically applicable to the industry to which the Company belongs, as identified and compliance whereof as confirmed by the management, that is to say:
  - a) Corporate Governance Guidelines issued by Department of Public Enterprises vide their OM. No. 18(8) /2005-GM dated 14<sup>th</sup> May, 2010;
  - b) The Factories Act, 1948;
  - c) The Air (Prevention and Control of Pollution) Act, 1981;
  - d) The Water (Prevention and Control of Pollution) Act, 1974;
  - e) Battery (Management and Handling) Rules, 2022;
  - f) The Hazardous and Other Wastes (Management and Transboundary Movement) Rules, 2016;



- g) The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013;
- h) The Indian Electricity Act, 2003 and Indian Electricity Rules, 2005;
- i) The Environment (Protection) Act, 1986 and The Environment Protection Rules, 1986;
- j) The Indian Explosives Act, 1884;
- k) The Indian Boilers Act, 1923;
- l) The Petroleum Act, 1934;
- m) Plastic Waste Management Rules, 2016;
- n) The Poisons Act, 1919;
- o) Mines Act, 1952;
- p) Mines and Minerals (Development and Regulation) Act, 1957;
- q) Inflammable Substances Act, 1952;
- r) Forest Conservation Act, 1980;
- s) Marine Insurance Act, 1963;
- t) Legal Metrology Act, 2009
- (iii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under **(being an unlisted CPSE - not applicable to the company);**
- (iv) The Depositories Act, 1996 and the Regulations and Bye-laws Framed thereunder **(being an unlisted CPSE - not applicable to the company);**
- (v) Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings **(during the period under review not applicable to the company);**
- (vi) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):-
  - (a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011 **(being an unlisted CPSE - not applicable to the company);**
  - (b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015 **(being an unlisted CPSE - not applicable to the company);**
  - (c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 **(being an unlisted CPSE - not applicable to the company);**
  - (d) Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021 **(being an unlisted CPSE - not applicable to the company);**
  - (e) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 **(being an unlisted CPSE - not applicable to the Company);**
  - (f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client **(being an unlisted CPSE - not applicable to the Company);**
  - (g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021 **(being an unlisted CPSE - not applicable to the Company);**
  - (h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018 **(being an unlisted CPSE - not applicable to the Company);**

**We have examined compliance with the applicable clauses of the following:**

- (i) Secretarial Standards issued by the Institute of Company Secretaries of India;
- (ii) Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 **(being an unlisted CPSE - not applicable to the Company);**

**We report that**, having regard to the compliance system prevailing in the Company and on examination of the relevant documents and records in pursuance thereof, on test-check basis, the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, etc. as mentioned above.

As regards certain Corporate Governance provisions, the Company being a CPSE, the regulatory framework applicable to the Government companies is designed to ensure compliances in respect of matters pertaining to appointment, evaluation and succession of directors.

**We further report that:**

The Board of Directors of the Company is duly constituted with the presence of Executive Directors (Functional Directors), Non-Executive Directors (Govt. nominee Directors) and Independent Directors. The changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with the provisions of the Act and DPE Guidelines on Corporate Governance.

***However, the requisite number of Independent Directors were not appointed on Board of the Company as contemplated in the Clause 3.1.4 of DPE Guidelines on Corporate Governance for Central Public Sector Enterprises (CPSE) issued by the Department of Public Enterprises (DPE), Ministry of Heavy Industries and Public Enterprises, Government of India vide their O.M.No. 18/ (8)/2005-GM dated 14<sup>th</sup> May, 2010. Accordingly, clause 3.1.4., which provides that atleast one-third of members should be independent directors, has not been complied.***

Further, as informed by the management of the Company, RINL being a Government company, the nomination/appointment of independent directors on the Board is made by the Government of India. The Company has already requested to the Ministry of Steel (MoS), Government of India, for appointment of requisite number of independent directors on the Board. However, appointment of requisite number of independent directors is yet to be made by the said Ministry.

Adequate notices are given to all Directors to schedule the Board / Committee Meetings, agenda and detailed notes on agenda were sent at least seven days in advance to all the Directors as per the timelines indicated in Secretarial Standards of The Institute of Company Secretaries of India (ICSI) and applicable provisions of the Companies Act, 2013 and Rules made thereunder. Meetings held at shorter notice are in compliance with the applicable provisions of the Act. The Members of the Board have access to all relevant information of the Company and its performance and are free to recommend inclusion of any matter in the agenda for discussion. In case of need, the Senior Management is invited to attend the Board Meetings to provide additional inputs relating to the items being discussed and / or to give presentation on each item to the Board, as per requirement. The Board meet regularly and is responsible for the proper direction and management of the Company.

All the decisions made in the Board/Committee meeting(s) were carried out with unanimous consent of all the Directors/Members present during the meeting.

**We further report** that the Company has complied with the conditions of Corporate Governance as stipulated in the Act and Guidelines for Corporate Governance for CPSEs and other specific laws.

**We further report that** there are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

**We further report that** during the audit period, the following material events/actions took place which have a significant bearing on the Company's affairs in pursuance of the provisions of the applicable laws, rules, regulations, guidelines, and standards referred to above:

1. The authorised share capital of the Company was increased from ₹ 8,000 crores to ₹ 40,000 crores pursuant to the approval of the shareholders at the Extraordinary General Meetings (EGMs) duly convened and held on 18<sup>th</sup> September 2024 and 06<sup>th</sup> March 2025.
2. To give effect to the aforesaid increase in authorised capital, the Company altered its Memorandum of Association and Articles of Association in accordance with the provisions of the Companies Act, 2013.
3. The Company issued and allotted 50,00,00,000 (Fifty Crore) equity shares of ₹ 10/- each by way of a rights issue at par for cash to the President of India (the existing shareholder), in compliance with the provisions of Section 62 of the Companies Act, 2013 and other applicable rules and regulations.

During the audit period the Company had no other specific events / actions having a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc.

For **SVJS & Associates,**  
**Company Secretaries**

Sd/-

**Lekha Ashok**

**Partner**

**FCS No.: 8152**

**CP No. : 9011**

**Place : Bangalore**

**Date : 28<sup>th</sup> July, 2025**

**UDIN : F008152G000871971**

**Peer Review Certificate No. : 6278/2024**

**Firm Unique Identification No. : P2008KE017901**

Note: This report is to be read with our letter of even date which is annexed as 'ANNEXURE A' and forms an integral part of this report.

**Annexure A**

To,  
The Members,  
RASHTRIYA ISPAT NIGAM LIMITED  
Administrative Building,  
Visakhapatnam Steel Plant,  
Visakhapatnam,  
Andhra Pradesh 530031

Our report of even date is to be read along with this letter.

- 1) Maintenance of secretarial records is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
- 2) We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices we followed provide a reasonable basis for our opinion.
- 3) We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
- 4) Wherever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
- 5) The compliance of the provisions of corporate laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
- 6) As regard the books, papers, forms, reports and returns filed by the Company under the provisions referred in Secretarial Audit Report, the adherence and compliance to the requirements of the said regulations is the responsibility of management. Our examination was limited to checking the execution and timeliness of the filing of various forms, reports, returns and documents that need to be filed by the Company with various authorities under the said regulations. We have not verified the correctness and coverage of the contents of such forms, reports, returns and documents.
- 7) The secretarial audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For **SVJS & Associates,**  
**Company Secretaries**

**Sd/-**  
**Lekha Ashok**  
**Partner**  
**FCS No.: 8152**  
**CP No. : 9011**  
**Place : Bangalore**  
**Date : 28<sup>th</sup> July, 2025**  
**UDIN : F008152G000871971**  
**Peer Review Certificate No. : 6278/2024**  
**Firm Unique Identification No. : P2008KE017901**

**B.V. Rao & Co. LLP**

Chartered Accountants

**INDEPENDENT AUDITOR'S REPORT****TO THE MEMBERS OF RASHTRIYA ISPAT NIGAM LIMITED****Report on the Audit of the Standalone Financial Statements****Opinion**

We have audited the accompanying Standalone Financial Statements of RASHTRIYA ISPAT NIGAM LIMITED (hereinafter referred to as the "Company") which comprise the balance sheet as at 31<sup>st</sup> March 2025, the statement of Profit and Loss, including Other comprehensive income, statement of changes in equity and the statement of cash flows for the year then ended, and notes to the Standalone Financial Statements and including a summary of material accounting policies (hereinafter referred to as the "Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the accompanying Financial Statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required, and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("IND AS") and other accounting principles generally accepted in India, of the state of affairs of the Company, as at 31<sup>st</sup> March 2025, of its loss, other comprehensive income, Statement of changes in equity and its Statement of cash flows for the year ended on that date.

**Basis for Opinion**

We conducted our audit of the Financial Statements in accordance with the Standards on Auditing ("SA"s) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Financial Statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Financial Statements.

**Emphasis of Matter**

- A. We draw attention to Note 3(C) of the Financial Statements regarding the Right of Way (ROW) granted to Hindustan Petroleum Corporation Ltd (HPCL), a Central Public Sector Undertaking and M/s Andhra Pradesh MedTech Zone Limited (AMTZ), a Government of Andhra Pradesh undertaking.
- B. We draw attention to the Note 8B of the Financial Statements regarding the recognition of deferred tax asset on the balance of Unabsorbed losses as on 31<sup>st</sup> March, 2024 and as well on the current year unabsorbed losses during the Financial Year 2024-25.
- C. We draw attention to the Note 54 of the Financial Statements regarding the measures taken by the Company in assessment of its ability to continue as a going concern.

Our opinion is not modified in respect of these matters.

**Information Other than the Financial Statements and Auditor's Report Thereon**

The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but the same is expected to be made available to us after the date of our report.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.



## Responsibility of Management for Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, total comprehensive income, Statement of changes in equity and Statement of cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is also responsible for overseeing the company's financial reporting process.

## Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional skepticism throughout the audit.

We also:

- ◆ Identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ◆ Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under sec 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- ◆ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board of Directors.
- ◆ Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Company to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- ◆ Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- ◆ Obtain sufficient appropriate audit evidence regarding the Financial Statements of the Company to express an opinion on the Financial Statements.

Materiality is the magnitude of misstatements in the financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in i) planning the scope of our audit work and in evaluating the results of our work; and ii) to evaluate the effect of any identified misstatements in the Financial Statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

### **Report on Other Legal and Regulatory Requirements**

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure-A a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
  - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
  - b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books and proper returns adequate for the purpose of our audit have been received from the branches in India not visited by us.
  - c. The report on the accounts of the branch office (IMO Sri Lanka) of the Company audited under Section 143(8) of the Act by branch auditor was not completed as on the date of our audit report.
  - d. The Balance Sheet, the Statement of Profit and Loss, the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this report are in agreement with the books of account and with the returns received from the branches in India not visited by us.
  - e. In our opinion, the aforesaid Financial Statements comply with the Indian Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
  - f. In our opinion, our observations or comments on financial transactions or matters does not have material effect on the functioning of the company.
  - g. The provisions of Section 164 (2) of the Act are not applicable to the Government Companies vide notification No. G.S.R. 463[E] dated 5<sup>th</sup> June, 2015 of Ministry of Corporate Affairs.
  - h. No qualification, reservation or adverse remark relating to the maintenance of accounts and other matters connected therewith.
  - i. With respect to the adequacy of the internal financial controls of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".
  - j. The Company, being a Government Company is exempt from the provisions of Sec 197 of the Companies Act, 2013 pursuant to the Notification No. GSR 463(E) dated 05<sup>th</sup> June, 2015 issued by the Ministry of Corporate Affairs, Government of India.
  - k. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
    - i) The Company has disclosed the impact of pending litigations on its financial position in its IND AS Financial Statements - Refer Note 51 to the Financial Statements;
    - ii) The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
    - iii) There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.



- iv) a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- b) The Management has represented, that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
- d) Based on our examination, which included test checks, we noted that the Company uses an accounting software for maintaining its books of account, which incorporates an audit trail (edit log) facility. However, we observed that the audit trail feature was not enabled at the database level, meaning that the software was not configured to log any direct data changes made outside of the application. The areas where the audit trail feature was enabled within the accounting software, it has been operating throughout the year, capturing all relevant transactions. During the course of our audit, we did not identify any instance of the audit trail feature being tampered with. Furthermore, the audit trail has been preserved in accordance with statutory requirements for record retention.
- v) The Company has not declared any dividend hence reporting on compliance of section 123 of the Act is not applicable.

As required by the Sec 143(5) of Companies Act, 2013, we give in "Annexure C" a statement on the matters specified by the Comptroller and Auditor General of India for the Company.

**For B V Rao and Co LLP.,**

Chartered Accountants

Firm Registration Number: 003118S/S200049

Sd/-

**CA B Vinay Kumar**

Partner

Membership No: 223723

UDIN: 25223723BMJFTE8919

Place : Visakhapatnam

Date : 31-07-2025

**ANNEXURE - A TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF RASHTRIYA ISPAT NIGAM LIMITED**

(Referred to in paragraph 1 under "Report on Other Legal and Regulatory Requirements" section of our report of even date to the members of Rashtriya Ispat Nigam Limited)

**(i) In respect of Property, Plant & Equipment:**

- a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation of its Property, Plant & Equipment.  
(B) The company is maintaining proper records showing full particulars of intangible assets.
- b) We report that these Property, Plant & Equipment have been physically verified during the year by the Management in accordance with a program of verification, which, in our opinion, provides for physical verification of all the Property, Plant & Equipment at reasonable intervals having regard to the size of the Company and the nature of its assets. There is no asset identification number of these PPE, which could result in improper identification. Hence, we cannot comment on the method of identification of assets verified, reconciliation and identification of discrepancies with fixed asset register.
- c) According to the information and explanation furnished to us and on the basis of our examination of the records of the company, title deeds of all the immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favor of the lessee) disclosed in the financial statements are held in the name of the company except in respect of Land & Buildings to the extent stated here under:

| Description of property | Gross Carrying Value (₹ in crore) | Held in the name of    | Whether promoter, director or their relative or employee | Period held – Indicate range, where appropriate | Reason for not being held in the name of the company                                                                                                                                                                                                    |
|-------------------------|-----------------------------------|------------------------|----------------------------------------------------------|-------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Freehold Land           | 37.09                             | Government of India    | Yes. Promoter                                            | 1983 onwards                                    | The Company is holding Power of Attorney in its favour as executed by President of India on behalf of Government of India.                                                                                                                              |
| Building                | 24.23                             | M/s NBCC LTD           | No                                                       | 2008                                            | Office building at New Delhi: Lease between NBCC LTD and Delhi Development Authority is yet to be completed.                                                                                                                                            |
| Building                | 0.18                              | M/s NBCC LTD           | No                                                       | 1995                                            | Office building at Ahmedabad: Litigation is going on between AMC against this builder (NBCC Ltd). Due to this AMC is unable to give Building utilisation permission, without Building permission the sale deed cannot be registered with the Registrar. |
| Building                | 0.95                              | Debi Prasad Chatterjee | No                                                       | 1996                                            | Residential Building at Kolkata: Due to non-compliance of the Terms & conditions of Purchase, on roof rights & garage space by developer dispute cropped up, which is pending in the court of 7th Civil judge at Alipore, Kolkata.                      |

- d) According to the information and explanation given to us and on the basis of our examination of the records of the company, the company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.
- e) According to the information and explanation given to us and on the basis of our examination of the records of the company, no proceedings have been initiated or are pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.

**(ii) In respect of the Company's inventories:**

- a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, Physical verification of inventories has been conducted at reasonable intervals by the management during the year except for goods-in-transit and Inventories lying with third parties. In our opinion, having regard to the nature of its business and location of its stocks, the procedure & frequency of verification is reasonable. In certain cases, such as Steel Scrap / Iron Scrap stocks are verified on the basis of Visual Survey/ Estimates. Disposal Stores are not covered under the physical verification program. No discrepancies of 10% or more in the aggregate for each class of inventory were noticed.
- b) The Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate from banks or financial institutions on the basis of security of current assets, the quarterly returns or statements filed by the company with such banks or financial institutions are not in agreement with the books of accounts of the company for Q4 to the extent as furnished below.

**(₹ in Crores)**

| Quarter | Name of the Bank                                           | Particulars (Accounting Head) | Amount as per books of Accounts | Amount as reported in quarterly return / statement | Amount of Difference |
|---------|------------------------------------------------------------|-------------------------------|---------------------------------|----------------------------------------------------|----------------------|
| Jun-24  | SBI, UBI, Canara Bank, PNB, IDBI Bank, BOB and Indian Bank | Current Assets                | 6891.83                         | 6891.83                                            | NIL                  |
| Sep-24  |                                                            |                               | 6776.81                         | 6776.81                                            | NIL                  |
| Dec-24  |                                                            |                               | 8918.74                         | 8918.74                                            | NIL                  |
| Mar-25  |                                                            |                               | 8322.32                         | 8230.77                                            | (91.55)              |

- (iii) a) During the year the company has provided loans, advances in the nature of loans and stood guarantees to companies as follows:

**(₹ in Crores)**

| Particulars                                                            | Guarantees | Security | Loans  | Advance/Deposit in the nature of loan |
|------------------------------------------------------------------------|------------|----------|--------|---------------------------------------|
| Aggregate amount granted / provided during the year                    |            |          |        |                                       |
| Subsidiaries                                                           | -          | -        | -      | -                                     |
| Others                                                                 | -          | -        | 176.53 | -                                     |
| Balance outstanding as at balance sheet date in respect of above cases |            |          |        |                                       |
| Subsidiaries                                                           | -          | -        | -      | -                                     |
| Others                                                                 | -          | -        | 176.53 | 186.03                                |

- b) During the year the investments made, guarantees provided and the terms and conditions of the grant of all loans and advances in the nature of loans, investments and guarantees to companies are not prejudicial to the company's interest.
- c) In respect of loans and advances in the nature of loan, the schedule of repayment of principal and payment of interest has been stipulated and the repayment is not yet started.
- d) There are no amounts of loans and advances in the nature of loans granted to companies, firms, limited liability partnerships or any other parties which are overdue for more than ninety days
- e) There are no amounts of loans and advance in the nature of loan granted which has fallen due during the year, has been renewed or extended or fresh loans granted to settle the over dues of existing loans given to the same parties.
- f) As per the information provided to us, the company has not granted advances in the nature of loans, either repayable on demand or without specifying any terms or period of repayment to companies during the year.
- (iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, the Company did not sanction any loans to directors, hence provisions of Sec 185 of Companies Act 2013 are not applicable. During the year the company sanctioned a loan of Rs. 176.53 crores to The Orissa Mineral Development Company Ltd, with the approval of Ministry of Steel, hence provisions of Sec 186 of the Companies Act 2013 are not applicable.



- (v) The Company has received advances for the supply of goods, and that advance is not appropriated against supply of goods with in a period of three hundred and sixty-five days amounting to Rs. 5.33 Crores which is deemed to be deposit as per Companies (Acceptance of Deposit Rules), 2014 and Form DPT 3 shall be filed. However, government companies are exempted from this compliance.

The company also accepted deposits, for the purpose of operating Employee Family Benefit Scheme from the nominees of employees / ex-employees on account of death / permanent medical unfitness, for an amount equivalent to the Notional Provident Fund and Gratuity of the employees who are deceased or medical unfit. The Company has got exemption from Ministry of Finance, Department of Company Affairs dated 10<sup>th</sup> September, 1996 under sec 58-A (8) of the Companies Act,1956 for collecting said deposits.

- (vi) The Central government has specified maintenance of cost records under sub-section (1) of Section 148 of the Companies Act, 2013. We have broadly reviewed the books of accounts maintained by the company pursuant to the rules made by the central government for the maintenance of cost records and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. However, we have not made a detailed examination of the cost records with a view to determine whether they are accurate or complete.
- (vii) According to the information and explanations given to us, in respect of statutory dues:
- (a) In accordance with the information and explanations provided to us, the company has generally paid its undisputed statutory dues, except for the interest on Employees' Provident Fund (EPF) for the period from February 2024 to August 2024, amounting to Rs.3.07 Crores. These dues were outstanding as at 31<sup>st</sup> March 2025 for a period exceeding six months from the date they became payable. Further the Company deposited the Provident Fund dues for all months during the year after the specified due dates. The outstanding dues of Rs. 242.92 Crores as on 31<sup>st</sup> March 2025 for the period October 2024 to February 2025 were deposited in April and May 2025
- (b) Details of dues of Income Tax, Sales Tax, Service Tax, Customs Duty, Excise Duty, Value Added Tax etc., which have not been deposited as on March 31<sup>st</sup>, 2025 on account of dispute are as below:

| Sl. No. | Name of the Statute      | Nature of Dues       | Disputed Amount (in Crores as on 31.03.2025) | Amount Paid under Protest | Unpaid Amount (in Crores as on 31.03.2025) | Forum where the dispute is pending            |
|---------|--------------------------|----------------------|----------------------------------------------|---------------------------|--------------------------------------------|-----------------------------------------------|
| 1.      | West Bengal VAT Act      | Sales Tax            | 0.34                                         | -                         | 0.34                                       | West Bengal Commercial Tax Appellate Tribunal |
| 2.      | WB Entry Tax             | Entry Tax            | 9.50                                         | -                         | 9.50                                       | Kolkata High Court                            |
| 3.      | Bihar VAT Act            | VAT                  | 0.14                                         | 0.02                      | 0.12                                       | Joint Commissioner Taxes (JCT), Patna.        |
| 4.      | Karnataka Stamp Act      | Stamp Duty           | 0.04                                         | -                         | 0.04                                       | Karnataka High Court                          |
| 5.      | Maharashtra VAT Act      | Sales Tax            | 0.08                                         | 0.01                      | 0.07                                       | JCIT, Mumbai                                  |
| 6.      | Maharashtra State Act    | Market Committee Fee | 2.01                                         | -                         | 2.01                                       | Bombay High Court                             |
| 7.      | Customs & Excise Act     | Service Tax & CENVAT | 0.14                                         | -                         | 0.14                                       | Commissioner CGST & Central Excise            |
| 8.      | AP General Sales Tax Act | APGST                | 8.75                                         | 5.83                      | 2.92                                       | Andhra Pradesh High Court                     |

| Sl. No. | Name of the Statute                                  | Nature of Dues                      | Disputed Amount (in Crores as on 31.03.2025) | Amount Paid under Protest | Unpaid Amount (in Crores as on 31.03.2025) | Forum where the dispute is pending |
|---------|------------------------------------------------------|-------------------------------------|----------------------------------------------|---------------------------|--------------------------------------------|------------------------------------|
| 9.      | CST Act,1956                                         | CST                                 | 988.91                                       | 80.16                     | 908.75                                     | Andhra Pradesh High Court          |
| 10.     | AP Tax on entry of goods into Local Areas Act, 2011  | Entry Tax                           | 8.66                                         | 2.41                      | 6.25                                       | Andhra Pradesh High Court          |
| 11.     | AP Tax on entry of goods into Local Areas Act,2011   | Entry Tax                           | 0.57                                         | 0.57                      | -                                          | STAT, Andhra Pradesh               |
| 12.     | AP VAT ACT,2005                                      | VAT                                 | 4.20                                         | 2.75                      | 1.45                                       | STAT, Andhra Pradesh               |
| 13.     | AP VAT ACT,2005                                      | VAT                                 | 0.25                                         | 0.02                      | 0.23                                       | Andhra Pradesh ADC                 |
| 14.     | State Govt. (Local Authorities) Property Tax         | Property Tax                        | 695.15                                       | 129.85                    | 565.3                                      | Andhra Pradesh High Court          |
| 15.     | State Government (Local Authorities) Vacant Land tax | Vacant Land tax                     | 748.75                                       | 0                         | 748.75                                     | Andhra Pradesh High Court          |
| 16.     | Finance Act, Customs & Excise Act                    | Excise duty, Service Tax and CENVAT | 0.89                                         | 0.89                      | -                                          | Commissioner (Appeals)             |
| 17.     |                                                      |                                     | 136.21                                       | 2.80                      | 133.41                                     | CESTAT                             |
| 18.     | GST Act                                              | GST                                 | 58.63                                        | 8.41                      | 50.22                                      | GSTAT                              |
| 19.     | Income Tax Act,1961                                  | Income Tax                          | 1.86                                         | 1.86                      | -                                          | Andhra Pradesh High Court          |
| 20.     | Income Tax Act,1961                                  |                                     | 0.38                                         | 0.06                      | 0.32                                       | CIT(Appeal)                        |

(viii) According to the information and explanation given to us, no transactions were surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961(43 of 1961) which have not been previously recorded in the books of accounts.

(ix) a) According to the information and explanation given to us and on the basis of our examination of the records of the company, the company has defaulted in repayment of loans or other borrowings to the banks or financial institutions as stated under. However, such defaults were regularized during the financial year.

| Nature of borrowing, including debt securities | Name of lender            | Amount not paid on due date | Whether principal or interest | No. of days delay or unpaid  | Reasons for Default                                                                                                                       |
|------------------------------------------------|---------------------------|-----------------------------|-------------------------------|------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| STL / WCDL                                     | Indian Bank               | 400                         | Principal                     | 6-19 days (Jun'24-Jul'24)    | Due to liquidity crisis of company, closure of STL/ WCDL's were delayed at different point of times during the period even after rollover |
|                                                |                           | 400                         | Principal                     | 57-75 days (Oct'24 - Jan'25) |                                                                                                                                           |
|                                                | Union Bank of India       | 200                         | Principal                     | 2-5 days (Jun'24-Jul'24)     |                                                                                                                                           |
|                                                |                           | 870                         | Principal                     | 1-29 days (Aug'24)           |                                                                                                                                           |
|                                                |                           | 1865                        | Principal                     | 9-63 days (Nov'24-Jan'25)    |                                                                                                                                           |
|                                                | UBI (e-Andhra)            | 126                         | Principal                     | 6-31 days (Jul'24 - Aug'24)  |                                                                                                                                           |
|                                                |                           | 268                         | Principal                     | 4-65 days (Nov'24-Jan'25)    |                                                                                                                                           |
|                                                | Bank of Baroda            | 100                         | Principal                     | 83-84 days (Jul'24- Sept'24) |                                                                                                                                           |
|                                                |                           | 100                         | Principal                     | 68-71 days (Oct'24 - Jan'25) |                                                                                                                                           |
|                                                | Canara Bank               | 630                         | Principal                     | 74-82 days (Jun'24 - Sep'24) |                                                                                                                                           |
|                                                |                           | 716                         | Principal                     | 42-63days (Oct'24 - Dec'24)  |                                                                                                                                           |
|                                                | Canara Bank (e-Syndicate) | 1000                        | Principal                     | 74-82 days (Jun'24 - Sep'24) |                                                                                                                                           |
|                                                |                           | 1000                        | Principal                     | 53-63 days (Oct'24 - Dec'24) |                                                                                                                                           |
|                                                | IDBI                      | 85                          | Principal                     | 1-2 days                     |                                                                                                                                           |
|                                                | Punjab National Bank      | 100                         | Principal                     | 1 day                        |                                                                                                                                           |
| CC/OD/ WCDL                                    | State Bank of India       | 28                          | Interest                      | 2-30 days                    | Insufficient Funds                                                                                                                        |
|                                                | Indian Bank               | 11                          | Interest                      | 13-84 days                   |                                                                                                                                           |
|                                                | Union Bank of India       | 10                          | Interest                      | 16-85 days                   |                                                                                                                                           |
|                                                | Bank of Baroda            | 7                           | Interest                      | 16-47 days                   |                                                                                                                                           |
|                                                | Canara Bank               | 91                          | Interest                      | 23-73 days                   |                                                                                                                                           |
|                                                | Punjab National Bank      | 30                          | Interest                      | 4-52 days                    |                                                                                                                                           |
| Long Term Loans                                | Bank of Baroda            | 62                          | Principal                     | 16-84 days                   | Insufficient Funds                                                                                                                        |
|                                                | Canara Bank               | 386                         | Principal                     | 19-90 days                   |                                                                                                                                           |
|                                                | Indian Bank               | 36                          | Principal                     | 20-77 days                   |                                                                                                                                           |
|                                                | State Bank of India       | 675                         | Principal                     | 16-85 days                   |                                                                                                                                           |
|                                                | Union Bank of India       | 95                          | Principal                     | 16-87 days                   |                                                                                                                                           |
|                                                | Bank of Baroda            | 19                          | Interest                      | 16-65 days                   |                                                                                                                                           |
|                                                | Canara Bank               | 120                         | Interest                      | 19-90 days                   |                                                                                                                                           |
|                                                | Indian Bank               | 43                          | Interest                      | 9-84 days                    |                                                                                                                                           |
|                                                | State Bank of India       | 271                         | Interest                      | 16-78 days                   |                                                                                                                                           |
|                                                | Union Bank of India       | 122                         | Interest                      | 16-85 days                   |                                                                                                                                           |

- b) According to the information and explanation given to us and based on the representation received by the company, the company is not declared as a willful defaulter by any bank or financial institution or other lender, hence clause 3(ix)(b) of the order is not applicable.
- c) According to the information and explanation given to us no term loan was availed by the company during the year and hence reporting under clause 3(ix)(c) is not applicable.
- d) According to the information and explanation given to us and on the basis of our examination of the records of the company, funds raised on short term basis have not been utilized for long term purposes, hence clause 3(ix)(d) of the order is not applicable.
- e) According to the information and explanations given to us and on an overall examination of the Financial Statements of the company, the company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries, associates, or joint ventures, hence clause 3(ix)(e) of the order is not applicable.
- f) According to the information and explanations given to us and procedures performed by us, the company has not raised any loans during the year on the pledge of securities held in its subsidiaries, joint ventures, or associate companies, hence clause 3(ix)(f) of the order is not applicable
- (x) a) The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, clause 3(x) (a) is not applicable.
- b) The company has not made any preferential allotment or private placement of shares or convertible debentures (fully, partially, or optionally convertible) during the year. Accordingly, reporting clause 3(x)(b) is not applicable.
- (xi) a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- b) No report under sub-section (12) of section 143 of the Companies Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government.
- c) As represented to us by the management, there are no whistle blower complaints received by the company during the year.
- (xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of the CARO 2020 is not applicable.
- (xiii) In our opinion and according to the information and explanations given to us, the company is in compliance with Section 177 and 188 of the Companies Act 2013, where applicable, for all transactions with the related parties and the details of related party transactions have been disclosed in the Standalone Financial Statements as required by the applicable Indian Accounting Standards.
- (xiv) a) In our opinion and based on our examination, the company has adequate internal audit system commensurate with the size and nature of its business;
- b) We have considered the Internal Audit reports of the company for the sections covered during the period under audit.
- (xv) According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and accordingly, reporting under clause 3(xv) of the order with respect to compliance with the provisions of section 192 of the act are not applicable to the Company.
- (xvi) In our opinion, the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a), (b), (c) and (d) of the Order is not applicable.
- (xvii) The company has incurred cash losses of ₹3732.84 Crores in the financial year and ₹3909.92 Crores in the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory Auditors during the year. Accordingly, reporting under this clause is not applicable.

- (xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, revival plan approved by Government of India, other information in the standalone financial statements, our knowledge of the plans of the Board of directors and management and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the company as and when they fall due.
- (xx) The Company does not have net profits during the three preceding financial years. Hence, the company is not required to spend any amount on CSR U/s 135(5) of Companies Act, 2013 during the year. Thus, reporting under clause (a) & (b) of 3(xx) of the order is not applicable.
- (xxi) Since, the report is on the Standalone Financial Statements, the clause 3(xxi) of the order is not applicable.

**For B V Rao and Co LLP.,**

Chartered Accountants

Firm Registration Number: 003118S/S200049

Sd/-

**CA B Vinay Kumar**

Partner

Membership No: 223723

UDIN: 25223723BMJFTE8919

Place : Visakhapatnam

Date : 31-07-2025



**B.V. Rao & Co. LLP**

Chartered Accountants

**ANNEXURE - B TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE  
STANDALONE FINANCIAL STATEMENTS OF RASHTRIYA ISPAT NIGAM LIMITED****Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the  
Companies Act, 2013 ("the Act")**

In conjunction with our audit of the standalone financial statements of **RASHTRIYA ISPAT NIGAM LIMITED** as of March 31, 2025 we have audited the internal financial controls with reference to financial statements of the Company as at that date.

**Responsibilities of management and those charged with governance for internal financial controls**

The Company's Management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting ('the Guidance Note') issued by the Institute of Chartered Accountants of India ('the ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of the Company's business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

**Auditors' responsibility for the audit of the internal financial controls with reference to financial statements**

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting ('the Guidance Note') and Standards on Auditing issued by the ICAI prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements includes obtaining an understanding of such internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditors' judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence obtained is sufficient and appropriate to provide a basis for our opinion on the Company's internal financial controls system over financial reporting.

**Meaning of internal financial controls with reference to financial statements**

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that

1. Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;

2. Provide reasonable assurance that transactions are recorded as necessary to permit preparation of Financial Statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
3. Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Financial Statements.

#### **Inherent limitations of internal financial controls with reference to financial statements**

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

#### **Opinion**

In our opinion, the Company has maintained, in all material respects, adequate internal financial controls over financial reporting and such internal financial controls over financial reporting were operating effectively as of March 31, 2025, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

**For B V Rao and Co LLP.,**

Chartered Accountants

Firm Registration Number: 003118S/S200049

Sd/-

**CA B Vinay Kumar**

Partner

Membership No: 223723

UDIN: 25223723BMJFTE8919

Place : Visakhapatnam

Date : 31-07-2025



# B.V. Rao & Co. LLP

Chartered Accountants

## ANNEXURE - C TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF RASHTRIYA ISPAT NIGAM LIMITED

The Annexure referred to in our report to the members of the company for the year ended on March 31, 2025.

We report that:

|    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|----|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1. | <p>Assess the fair valuation of all the investments, both quoted and unquoted, made directly by the Company or through Trusts, for Post retirement benefits of the employees. This includes verifying valuation methodologies, ensuring consistency with Ind AS and reviewing supporting documentation. The auditor shall provide a brief note on the valuation approach, its reasonability, and compliance with applicable regulations, reporting any material deviations or misstatements.</p> | <p>The post-retirement benefits payable to the employees by the company are as below:</p> <ol style="list-style-type: none"> <li>1. Provident Fund</li> <li>2. Gratuity</li> <li>3. Leave Encashment</li> </ol> <p>The Provident fund and Gratuity are administered through two separate employees' trust.</p> <p><b>Provident Fund</b></p> <p>As per the Independent Audit Report on Financial Statements of Provident Fund Trust for the FY 2023-24 submitted to us, the trust is complying with the notification SO.No.1433 (E) dated 29<sup>th</sup> May, 2015 issued by the Ministry of Labour and Employment, Government of India in respect of the pattern of investment.</p> <p>The Provident Fund Trust values its investments at Cost. Ind As provisions are not applicable to trust.</p> <p><b>Gratuity and Leave Encashment:</b></p> <p>The Gratuity trust and the company maintains the planned assets with Investment Insurers and are valued at fair value. The insurers are providing the fair value of plan assets balance as on 31<sup>st</sup> March of every financial year which is considered by Actuary in the Actuarial report issued for the post-retirement benefits.</p> <p>The company investment policy is referred to in Note 2.10.5 of the Standalone Financial statements.</p> |
| 2. | <p>Whether the company has system in place to process all the accounting transactions through IT system? If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with the financial implications, if any, may be stated.</p>                                                                                                                                                                                                  | <p>The company processes all accounting transactions in a single IT system i.e., SAP-ERP.</p> <p>As per the information and explanation provided to us, the company does not process accounting transactions outside the SAP-ERP system.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

|    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                                                                                |
|----|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3. | Whether funds (grants/subsidy etc.) received/receivable for specific schemes from Central/State Government or its agencies were properly accounted for/utilized as per its term and conditions? List the cases of deviation.                                                                                                                                                                                                                                                                                                                                                        | <p>During the financial year 2024-25, the company did not receive any Grant/subsidy from Central/State government or its agencies.</p> <p>The grants received in previous financial years are accounted as per Ind AS 20 - Accounting for Government Grants and Disclosure of Government Assistance' and adequate disclosures were provided in the financial statements (Refer Note. 22B).</p> |
| 4. | Whether the Company has identified the key Risk areas? If yes, whether the Company has formulated any Risk Management Policy to mitigate these risks? If yes, (a) whether the Risk Management Policy has been formulated considering global best practices? (b) whether the Company has identified its data assets and whether it has been valued appropriately?                                                                                                                                                                                                                    | <p>(a) The company has an Enterprise Risk Management (ERM) policy covering 76 departments with 260 risk parameters. The risk parameters are reviewed every quarter and the review status mentioned along each risk parameter.</p> <p>(b) As per the information and explanations received there were no data assets for the company.</p>                                                       |
| 5. | Whether the Company is complying with the Securities and Exchange Board of India (SEBI) (Listing Obligation and Disclosure Requirements) Regulations, 2015, and other applicable rules and regulations of SEBI, Department of Investment and Public Asset Management, Ministry of Corporate Affairs, Department of Public Enterprises, Reserve Bank of India, Telecom Regulatory Authority of India, CERT-IN, Ministry of Electronics and Information Technology and National Payments Corporation of India wherever applicable? If not, the cases of deviation may be highlighted. | <p>SEBI LODR Regulations: Since the company is not a listed entity, the SEBI LODR regulations are not applicable to the company.</p> <p>As per the information and explanation provided to us, the company has been complying with the rules and regulations of DPE, DIPAM, RBI and other relevant agencies, as applicable.</p>                                                                |

**For B V Rao and Co LLP,**

Chartered Accountants

Firm Registration Number: 003118S/S200049

Sd/-

**CA B Vinay Kumar**

Partner

Membership No: 223723

UDIN: 25223723BMJFTE8919

Place : Visakhapatnam

Date : 31-07-2025



भारतीय लेखापरीक्षा और लेखा विभाग  
महानिदेशक वाणिज्यिक लेखापरीक्षा का कार्यालय, हैदराबाद

INDIAN AUDIT AND ACCOUNTS DEPARTMENT  
OFFICE OF THE DIRECTOR GENERAL  
OF COMMERCIAL AUDIT, HYDERABAD

No. PDCA/A/c/Desk/2024-25/RINL/1.01/251

Date: 14 November 2025

To  
The Chairman-cum-Managing Director,  
Rashtriya Ispat Nigam Limited,  
Visakhapatnam Steel Plant, Administrative Building  
Visakhapatnam – 530031

**Sub: Comments of the C&AG of India under Section 143(6)(b) of the Companies Act, 2013  
on the accounts of Rashtriya Ispat Nigam Limited, Visakhapatnam for the year ended  
on 31 March 2025**

\* \* \* \* \*

Sir,

I forward herewith the “Comments” Certificate of Comptroller and Auditor General of India under Section 143(6)(b) of the Companies Act, 2013 on the Standalone Financial accounts of Rashtriya Ispat Nigam Limited, Visakhapatnam for the year ended on 31 March 2025.

2. The date of placing the comments along with Annual Accounts and Auditor’s Report before the shareholders of the Company may please be intimated and a copy of the proceedings of the meeting may be furnished.
3. The date of forwarding the Annual Report and Annual Accounts of the Company together with Auditor’s Report and comments of the Comptroller and Auditor General of India to the Central Government for being placed before the Parliament may please be intimated.
4. Ten copies of the Annual Report for the year 2024–25 may please be furnished in due course.

The receipt of this letter along with the enclosures may please be acknowledged.

Yours faithfully,

Sd/-  
(V.M.V. Nawal Kishore)  
Principal Director

End:-As above



## **COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE STANDALONE FINANCIAL STATEMENTS OF RASHTRIYA ISPAT NIGAM LIMITED (RINL), VISAKHAPATNAM FOR THE YEAR ENDED 31 MARCH 2025**

The preparation of Standalone financial statements of Rashtriya Ispat Nigam Limited (RINL), Visakhapatnam for the year ended 31 March 2025 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the Company. The Statutory Auditors appointed by the Comptroller and Auditor General of India under Section 139(5) of the Act are responsible for expressing opinion on the financial statements under Section 143 of the Act based on independent audit in accordance with the Standards on Auditing prescribed under Section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 12 September 2025.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the Standalone Financial Statements of Rashtriya Ispat Nigam Limited (RINL), Visakhapatnam for the year ended 31 March 2025 under Section 143(6)(a) of the Act. This supplementary audit has been carried out independently without access to the working papers of the Statutory Auditors and is limited primarily to inquiries of the Statutory Auditors and Company personnel and a selective examination of some of the accounting records. Based on my supplementary audit, I would like to highlight the following significant matter under section 143(6)(b) of the Act which have come to my attention and which in my view are necessary for enabling a better understanding of the financial statements and the related audit report:

### **A. COMMENTS ON STATEMENT OF PROFIT & LOSS**

#### **A.1 Statement of Profit and Loss**

##### **Expenses**

##### **Other Expenses (Note 43): ₹ 4,250.40 crore**

- (i) The Hon'ble Supreme Court of India vide order dated 5 July 2016 directed RINL to make payment towards principal amount of Fuel Surcharge Adjustment (FSA) charges for the period of April 2008 to March 2010, along with interest at a rate of 8% per annum. As on 31 March 2024, the Company has recognised liability towards the principal amount of ₹19.49 crore and interest of ₹ 6.32 crore, which was calculated up to August 2016.

Audit observed that the company has not provided for the interest accruing on the principal amount for the period from September 2016 to March 2025 amounting to ₹ 13.38 crore, which is a contravention of the Hon'ble Supreme Court's order as well as not in conformity with Ind AS, which requires liabilities and associated costs to be recognised when incurred.

This has resulted in understatement of Other Expenses (Note 43) and Other Financial Liabilities (Note 20B) with consequential understatement of Losses by ₹ 13.38 crore each.

- (ii) As per Section 15 of the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, payments to Micro and Small Enterprises are required to be made within the period agreed upon in writing, which shall not exceed 45 days from the date of acceptance of goods or services. Further, Section 16 of the Act stipulates that in case of delay in payment, the buyer is liable to pay compound interest with monthly rests at a rate three times the Bank rate notified by the Reserve Bank of India.

Audit observed that the Company had created a liability of ₹ 2.35 crore towards penal interest payable to MSME vendors for delayed payments during FY 2023-24 as on 1 April 2024. However, these dues remained unpaid as on 31 March 2025. The Company did not recognize further liability on account of compounding of such unpaid interest during FY 2024-25. As per the applicable provisions of the MSMED Act, the Company was required to provide for additional penal interest of ₹ 44.09 lakh for FY

2024-25. Further, the Company has delayed payment to MSMEs during FY 2024-25, for which the interest payable as on 31 March 2025 was ₹ 2.08 lakhs and not provided in the books of accounts.

Thus, non-creation of the above liability as required under the MSME Act, 2006 has resulted in understatement of "Other Financial Liabilities" (Note 20B) and "Other Expenses" (Note 43), with consequential understatement of Loss by ₹ 46.17 Lakhs (₹ 44.09 Lakhs + ₹ 2.08 Lakhs) each for the year ended 31 March 2025.

## **B. COMMENTS ON DISCLOSURE**

### **B.1 Note 3C (Freehold Land)**

As per Note 3C to the Financial statements, land includes 1,578.49 acre (as on 31 March 2024; 411.49 acre) allotted to various agencies on lease. It includes 52.85 acre of land allotted to M/s HPCL, 1.24 acre of land allotted to M/s AMTZ on Right of Way basis for which the terms of the contract are pending for finalisation. The said allotment to M/s HPCL and M/s AMTZ is pending for approval from Ministry of Steel (MoS) and Ministry of Finance (MoF).

However, the following significant information were not disclosed in the Note:

HPCL was permitted to start the work in RINL land in June 2019 by confirming receipt of an amount of ₹ 53.40 crore. Similarly, after obtaining in-principle approval from MoS, AMTZ was permitted to start the work in RINL land in April 2020 by confirming receipt of an amount of ₹ 1.24 Crores. The above amounts were ad-hoc and provisional and final amount of compensation would be decided by RINL. However, pending approval from MoS and MoF, no further income was recognised beyond ad-hoc deposit of ₹ 53.40 crore received from HPCL and ₹ 1.24 crore from AMTZ. Further, as per Note 3C, HPCL was allotted 52.85 acre of land by RINL, however, as per available correspondence with HPCL, the land allotted was 53.40 acre.

Hence, the Disclosure under Note 3C was deficient to this extent.

### **B.2 Contingent Liabilities and Commitments (Note 52)**

#### **Contingent Liabilities**

RINL has not disclosed the outstanding dues payable of ₹ 22.19 crore to M/s Jindal Steel & Power Limited (JSPL), as the amount was pending for reconciliation. Further, there were some disputed issues (such as quality issues, transit losses etc.) between RINL and JSPL to be settled through arbitration. However, pending reconciliation and considering that the matter was under arbitration as on 31 March 2025, details of unreconciled as well as disputed amounts under arbitration was required to be disclosed in Contingent Liabilities.

For and on behalf of the  
Comptroller and Auditor General of India

Sd/-

**(V.M.V. Nawal Kishore)**

Principal Director of Commercial Audit  
Hyderabad

Place: Hyderabad

Date : 14<sup>th</sup> November, 2025

## MANAGEMENT REPLIES ON C&AG COMMENTS ON STANDALONE FINANCIAL STATEMENTS

| C&AG Comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Management remarks                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Comments on Statement of Profit &amp; Loss</b></p> <p><b>A.1 Statement of Profit and Loss</b></p> <p><b>Expenses</b></p> <p><b>Other Expenses (Note 43): ₹ 4,250.40 crore</b></p> <p>(i) The Hon'ble Supreme Court of India vide order dated 5 July 2016 directed RINL to make payment towards principal amount of Fuel Surcharge Adjustment (FSA) charges for the period of April 2008 to March 2010, along with interest at a rate of 8 per annum. As on 31 March 2024, the Company has recognised liability towards the principal amount of ₹ 19.49 crore and interest of ₹ 6.32 crore, which was calculated up to August 2016.</p> <p>Audit observed that the company has not provided for the interest accruing on the principal amount for the period from September 2016 to March 2025 amounting to ₹ 13.38 crore, which is a contravention of the Hon'ble Supreme Court's order as well as not in conformity with Ind AS, which requires liabilities and associated costs to be recognised when incurred.</p> <p>This has resulted in understatement of Other Expenses (Note 43) and Other Financial Liabilities (Note 20B) with consequential understatement of Losses by ₹ 13.38 crore each.</p> | <p>The Audit comment is noted.</p> <p>In response to Additional provisional comment, it was replied by the company that audit observation was noted and necessary entries have already been passed during FY 2025-26 for recognition of liability towards interest on FSA charges for the period from September 2016 to March 2025 amounting to ₹ 13.38 crore.</p>                                                                                                          |
| <p>(ii) As per Section 15 of the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, payments to Micro and Small Enterprises are required to be made within the period agreed upon in writing, which shall not exceed 45 days from the date of acceptance of goods or services. Further, Section 16 of the Act stipulates that in case of delay in payment, the buyer is liable to pay compound interest with monthly rests at a rate three times the Bank rate notified by the Reserve Bank of India.</p> <p>Audit observed that the Company had created a liability of ₹ 2.35 crore towards penal interest payable to MSME vendors for delayed payments during FY 2023-24 as on 1 April 2024. However, these dues remained unpaid as on 31 March 2025. The Company did not recognise further liability on account of compounding of such unpaid interest during FY 2024-25. As per the applicable provisions</p>                                                                                                                                                                                                                                                                                | <p>The Audit comment is noted.</p> <p>In response to provisional comment, it was replied by the company that audit observation was noted, amount involved is not material and necessary entries will be passed during FY 2025-26 for recognition of liability towards interest on MSME dues.</p> <p>Accordingly, during the FY 2025-26, necessary accounting entries have been passed to account for the liability towards interest on MSME dues as noted by the Audit.</p> |

| C&AG Comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Management remarks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p>of the MSMED Act, the Company was required to provide for additional penal interest of ₹ 44.09 lakh for FY 2024-25. Further, the Company has delayed payment to MSMEs during to MSMEs during FY 2024-25, for which the interest payable as on 31 March 2025 was ₹ 2.08 lakhs and not provided in the books of accounts.</p> <p>Thus, non-creation of the above liability as required under the MSME Act, 2006 has resulted in understatement of “Other Financial Liabilities” (Note 20B) and “Other Expenses” (Note 43), with consequential understatement of Loss by ₹ 46.17 Lakhs (₹44.09 Lakhs + ₹ 2.08 Lakhs) each for the year ended 31 March 2025.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| <p><b>B.1 Comments on Disclosure</b></p> <p><b>B.1 Note 3C (Freehold Land)</b></p> <p>As per Note 3C to the Financial statements, land includes 1,578.49 acre (as on 31 March 2024; 411.49 acre) allotted to various agencies on lease. It includes 52.85 acre of land allotted to M/s HPCL, 1.24 acre of land allotted to M/s AMTZ on Right of Way basis for which the terms of the contract are pending for finalisation. The said allotment to M/s HPCL and M/s AMTZ is pending for approval from Ministry of Steel (MoS) and Ministry of Finance (MoF).</p> <p>However, the following significant information were not disclosed in the Note:</p> <p>HPCL was permitted to start the work in RINL land in June 2019 by confirming receipt of an amount of ₹ 53.40 crore. Similarly, after obtaining in-principle approval from MoS, AMTZ was permitted to start the work in RINL land in April 2020 by confirming receipt of an amount of ₹ 1.24 Crores. The above amounts were ad-hoc and provisional and final amount of compensation would be decided by RINL. However, pending approval from MoS and MoF, no further income was recognised beyond ad-hoc deposit of ₹ 53.40 crore received from HPCL and ₹ 1.24 crore from AMTZ. Further, as per Note 3C, HPCL was allotted 52.85 acre of land by RINL, however, as per available correspondence with HPCL, the land allotted was 53.40 acre.</p> <p>Hence, the Disclosure under Note 3C was deficient to this extent.</p> | <p>The information with regard to receipt of Ad-hoc amounts from HPCL and AMTZ respectively and the fact that the same were recognised as income during FY 2024-25 were disclosed at Note No. 37.1 to the Financial statements, which the Audit seems to have not taken cognizance of.</p> <p>While the initial request for deposit of ad-hoc amount of ₹ 53.40 crores was based on estimated land requirement of 53.40 acres, the actual land allotted for said purpose to HPCL was 52.85 acres only. Hence, the disclosure provided at Note 3C in this regard is factually correct.</p> <p>Since the said disclosure matter was not raised either at observation level or provisional comments level, the company was not given opportunity to clarify the Audit adequately on this matter.</p> |

| C&AG Comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | Management remarks                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>B.2 Contingent Liabilities and Commitments (Note 52)</b></p> <p><b>Contingent Liabilities</b></p> <p>RINL has not disclosed the outstanding dues payable of ₹ 22.19 crore to M/s Jindal Steel &amp; Power Limited (JSPL), as the amount was pending for reconciliation. Further, there were some disputed issues (such as quality issues, transit losses etc.) between RINL and JSPL to be settled through arbitration. However, pending reconciliation and considering that the matter was under arbitration as on 31 March 2025, details of Unreconciled as well as disputed amounts under arbitration was required to be disclosed in Contingent Liabilities.</p> | <p>The difference amount of outstanding dues of ₹ 22.19 crore claimed by M/s Jindal Steel &amp; Power Limited (JSPL), which the Audit referred to in the said comment, includes several components as brought out below:</p> <ul style="list-style-type: none"> <li>❖ ₹1.92 crore being the difference due to Audit's inaccurate assessment of value of raw material supply by JSPL vis-à-vis the actual amount claimed by JSPL does not warrant treatment as contingent liability since there is neither dispute nor pending reconciliation to that extent.</li> <li>❖ ₹ 12.41 crore being the difference due to statutory deductions (GST TDS &amp; Income tax TDS) credited to the account of JSPL which was also confirmed by them during FY 2025-26. Hence, there is no requirement to treat the same as contingent liability since there is neither dispute nor pending reconciliation to that extent.</li> </ul> <p>The balance amount of ₹ 7.86 crore is attributable to issues relating to Missing Wagon &amp; Quality and weight difference. The company has been regularly taking up these issues with the JSPL and Arbitrator to resolve the differences. However, these matters will be thoroughly reviewed during FY 2025-26 and necessary entries will be passed and/or relevant disclosures will be made in the notes, as the case may be, based on the evolving developments in this regard.</p> |



**STANDALONE BALANCE SHEET AS AT 31<sup>ST</sup> MARCH 2025**

(₹ in Crores)

| Particulars |                                     | Notes | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------|-------------------------------------|-------|-----------------------------|-----------------------------|
| <b>I</b>    | <b>Assets</b>                       |       |                             |                             |
|             | <b>Non-current assets</b>           |       |                             |                             |
| (a)         | Property, plant and equipment       | 3     | 16,759.13                   | 17,440.78                   |
| (b)         | Capital work-in-progress            | 3     | 945.61                      | 1,218.21                    |
| (c)         | Other intangible assets             | 4     | 3.27                        | 0.29                        |
| (d)         | Intangible assets under development | 4     | -                           | -                           |
| (e)         | Financial assets                    |       |                             |                             |
| (i)         | Investments                         | 5     | 739.89                      | 739.89                      |
| (ii)        | Loans                               | 6     | 176.70                      | 0.38                        |
| (iii)       | Other financial assets              | 7A    | 9.37                        | 12.18                       |
| (f)         | Deferred tax asset (net)            | 8B    | 6,363.78                    | 2,684.10                    |
| (g)         | Other non-current assets            | 9     | 449.06                      | 450.91                      |
|             | <b>Total non-current assets</b>     |       | <b>25,446.81</b>            | <b>22,546.74</b>            |
|             | <b>Current assets</b>               |       |                             |                             |
| (a)         | Inventories                         | 10    | 5,575.13                    | 5,270.80                    |
| (b)         | Financial assets                    |       |                             |                             |
| (i)         | Trade receivables                   | 11    | 258.69                      | 222.47                      |
| (ii)        | Cash and cash equivalents           | 12A   | 2.22                        | 19.86                       |
| (iii)       | Bank Balances Other than (ii) above | 12B   | 200.83                      | 13.64                       |
| (iv)        | Other financial assets              | 7B    | 1,487.52                    | 1,567.77                    |
| (c)         | Other tax assets (net)              | 13    | -                           | -                           |
| (d)         | Other current assets                | 14    | 797.93                      | 585.06                      |
|             | <b>Total current assets</b>         |       | <b>8,322.32</b>             | <b>7,679.60</b>             |
|             | <b>Assets held for sale</b>         | 15    | 4.00                        | 6.64                        |
|             | <b>Total assets</b>                 |       | <b>33,773.13</b>            | <b>30,232.98</b>            |
| <b>II</b>   | <b>Equity and liabilities</b>       |       |                             |                             |
|             | <b>Equity</b>                       |       |                             |                             |
| (a)         | Equity share capital                | 16    | 5,389.85                    | 4,889.85                    |
| (b)         | Other equity                        | 17    | (4,252.38)                  | (9,428.14)                  |
|             | <b>Total equity</b>                 |       | <b>1,137.47</b>             | <b>(4,538.29)</b>           |
|             | <b>Liabilities</b>                  |       |                             |                             |
|             | <b>Non-current liabilities</b>      |       |                             |                             |
| (a)         | Financial liabilities               |       |                             |                             |
| (i)         | Borrowings                          | 18A   | 5,538.68                    | 7,279.61                    |
| (ia)        | Lease Liabilities                   | 19A   | -                           | -                           |
| (ii)        | Other financial liabilities         | 20A   | 250.85                      | 153.05                      |

Continued to next page

Continued from previous page

(₹ in Crores)

| Particulars                                                                | Notes | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------|-------|-----------------------------|-----------------------------|
| (b) Provisions                                                             | 21A   | 1,562.09                    | 1,119.33                    |
| (c) Deferred tax liabilities (net)                                         | 8B    | -                           | -                           |
| (d) Other non-current liabilities                                          | 22A   | 1,532.31                    | 8.21                        |
| (e) Government Grants - Deferred - PPE                                     | 22B   | 89.95                       | 96.15                       |
| <b>Total non-current liabilities</b>                                       |       | <b>8,973.88</b>             | <b>8,656.35</b>             |
| <b>Current liabilities</b>                                                 |       |                             |                             |
| (a) Financial liabilities                                                  |       |                             |                             |
| (i) Borrowings                                                             | 18B   | 6,133.64                    | 11,336.77                   |
| (ia) Lease Liabilities                                                     | 19B   | -                           | -                           |
| (ii) Trade payables                                                        | 23    |                             |                             |
| -Total outstanding dues of Micro Enterprises and Small Enterprises         |       | 59.25                       | 199.87                      |
| -Total outstanding dues other than Micro Enterprises and Small Enterprises |       | 8,546.21                    | 6,303.00                    |
| (iii) Other financial liabilities                                          | 20B   | 6,242.68                    | 5,407.69                    |
| (iv) Derivatives                                                           | 24    | 37.90                       | -                           |
| (b) Provisions                                                             | 21B   | 619.39                      | 471.49                      |
| (c) Other current liabilities                                              | 25    | 2,016.52                    | 2,389.92                    |
| (d) Government Grants - Deferred - PPE                                     | 22B   | 6.19                        | 6.18                        |
| <b>Total current liabilities</b>                                           |       | <b>23,661.78</b>            | <b>26,114.92</b>            |
| <b>Total liabilities</b>                                                   |       | <b>32,635.66</b>            | <b>34,771.27</b>            |
| <b>Total Equity and liabilities</b>                                        |       | <b>33,773.13</b>            | <b>30,232.98</b>            |

The notes 1 to 56 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(G V N Prasad)**  
Director (Finance)  
DIN : 10612236

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M.No. FCS-8581

**As per our report of even date**  
**For M/s BV Rao and Co LLP.**  
Chartered Accountants  
Firm Regn No: 003118S/S200049

Sd/-  
**(CA B Vinay Kumar)**  
Partner  
Membership No: 223723  
UDIN:- 25223723BMJFTE8919

Place : Visakhapatnam  
Date : 31.07.2025

## STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025

( ₹ in Crores)

| Particulars                        |                                                                                     | Notes    | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|------------------------------------|-------------------------------------------------------------------------------------|----------|---------------------------------------------------|---------------------------------------------------|
| <b>Income</b>                      |                                                                                     |          |                                                   |                                                   |
| I                                  | Revenue from operations                                                             | 36       | 18,337.84                                         | 23,186.39                                         |
| II                                 | Other income                                                                        | 37       | 330.04                                            | 198.71                                            |
| <b>III</b>                         | <b>Total income (I+II)</b>                                                          |          | <b>18,667.88</b>                                  | <b>23,385.10</b>                                  |
| <b>IV Expenses</b>                 |                                                                                     |          |                                                   |                                                   |
|                                    | Cost of materials consumed                                                          | 38       | 13,288.71                                         | 16,770.63                                         |
|                                    | Changes in inventory of finished goods and work-in-progress                         | 39       | 155.12                                            | 1,091.29                                          |
|                                    | Employee benefits expense                                                           | 40       | 2,482.09                                          | 2,605.19                                          |
|                                    | Finance costs                                                                       | 41       | 2,171.75                                          | 2,173.03                                          |
|                                    | Depreciation and amortisation expense                                               | 42       | 1,161.24                                          | 1,294.18                                          |
|                                    | Other expenses                                                                      | 43       | 4,250.40                                          | 4,771.96                                          |
|                                    | <b>Total expenses (IV)</b>                                                          |          | <b>23,509.31</b>                                  | <b>28,706.28</b>                                  |
| <b>V</b>                           | <b>Profit/ (Loss) before exceptional items and tax (III-IV)</b>                     |          | <b>(4,841.43)</b>                                 | <b>(5,321.18)</b>                                 |
| VI                                 | Exceptional items                                                                   | 43A      | 190.56                                            | (102.72)                                          |
| <b>VII</b>                         | <b>Profit/ (Loss) before tax (V-VI)</b>                                             |          | <b>(5,031.99)</b>                                 | <b>(5,218.46)</b>                                 |
| <b>VIII Tax expense/ (credit):</b> |                                                                                     |          |                                                   |                                                   |
|                                    | Current tax                                                                         |          | -                                                 | -                                                 |
|                                    | Deferred tax                                                                        | 8        | (3,751.75)                                        | (369.60)                                          |
|                                    | Mat Credit reversal                                                                 |          | 108.38                                            | -                                                 |
|                                    | Earlier year adjustments                                                            |          | -                                                 | -                                                 |
|                                    | <b>Total Tax expense/ (credit) (VIII)</b>                                           | <b>8</b> | <b>(3,643.37)</b>                                 | <b>(369.60)</b>                                   |
| <b>IX</b>                          | <b>Profit/ (Loss) for the year from continuing operations (VII-VIII)</b>            |          | <b>(1,388.62)</b>                                 | <b>(4,848.86)</b>                                 |
| <b>X</b>                           | <b>Profit/ (Loss) for the year from discontinued operations</b>                     |          | <b>-</b>                                          | <b>-</b>                                          |
| <b>XI</b>                          | <b>Tax expense of discontinued operations</b>                                       |          | <b>-</b>                                          | <b>-</b>                                          |
| <b>XII</b>                         | <b>Profit / (Loss) for the year from discontinued operations (after tax) (X-XI)</b> |          | <b>-</b>                                          | <b>-</b>                                          |

*Continued to next page*

Continued from previous page

## STANDALONE STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025

( ₹ in Crores)

| Particulars                                                                                                       | Notes     | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------------------------------------------------|-----------|---------------------------------------------------|---------------------------------------------------|
| <b>XIII Profit/ (Loss) for the year (IX+XII)</b>                                                                  |           | <b>(1,388.62)</b>                                 | <b>(4,848.86)</b>                                 |
| <b>XIV Other comprehensive income</b>                                                                             |           |                                                   |                                                   |
| (i) Items that will not be re classified to profit or loss<br>Re-measurements of defined benefit liability /asset |           | (254.93)                                          | (91.93)                                           |
| (ii) Income tax relating to items that will not be<br>reclassified to profit or loss                              |           | 36.31                                             | 11.26                                             |
| <b>Other comprehensive income for the year,<br/>net of income tax</b>                                             |           | <b>(218.62)</b>                                   | <b>(80.67)</b>                                    |
| <b>XV Total comprehensive income for the year (XIII+XIV)</b>                                                      |           | <b>(1,607.24)</b>                                 | <b>(4,929.53)</b>                                 |
| <b>XVI Earnings/ (loss) per each equity share of ₹10 each</b>                                                     | <b>48</b> |                                                   |                                                   |
| 1. Basic ( ₹)                                                                                                     |           | (2.72)                                            | (9.92)                                            |
| 2. Diluted ( ₹)                                                                                                   |           | (2.72)                                            | (9.92)                                            |

The notes 1 to 56 are an integral part of the financial statements.  
For and on behalf of the Board of Directors

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(G V N Prasad)**  
Director (Finance)  
DIN : 10612236

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M.No. FCS-8581

**As per our report of even date**  
**For M/s BV Rao and Co LLP.**  
Chartered Accountants  
Firm Regn No: 003118S/S200049

Sd/-  
**(CA B Vinay Kumar)**  
Partner  
Membership No: 223723  
UDIN:- 25223723BMJFTE8919

Place : Visakhapatnam  
Date : 31.07.2025

## STANDALONE STATEMENT OF CHANGES IN EQUITY

(FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025)

**a. Equity Share Capital**

( ₹ in Crores)

| Particulars                                                | Amount          |
|------------------------------------------------------------|-----------------|
| Balance as at 1 <sup>st</sup> April 2023                   | 4,889.85        |
| Changes in Equity Share Capital due to prior period errors | -               |
| Restated balance as at 1 <sup>st</sup> April 2023          | -               |
| Changes in equity share capital during FY 2023-24          | -               |
| <b>Balance as at 31<sup>st</sup> March 2024</b>            | <b>4,889.85</b> |
| Balance as at 1 <sup>st</sup> April 2024                   | 4,889.85        |
| Changes in Equity Share Capital due to prior period errors | -               |
| Restated balance as at 1 <sup>st</sup> April 2024          | -               |
| Changes in equity share capital during FY 2024-25          | 500.00          |
| <b>Balance as at 31<sup>st</sup> March 2025</b>            | <b>5,389.85</b> |

**b. Other Equity**

( ₹ in Crores)

| Particulars                                                                     | Reserves and Surplus |                            |                                          |                                           |                                           | Total             |
|---------------------------------------------------------------------------------|----------------------|----------------------------|------------------------------------------|-------------------------------------------|-------------------------------------------|-------------------|
|                                                                                 | Retained Earnings    | Capital Redemption Reserve | Reserves for Redeeming Preference Shares | Share Application money pending allotment | Other Items of Other Comprehensive Income |                   |
| <b>Balance at 1<sup>st</sup> April 2023</b>                                     | <b>(7,436.08)</b>    | <b>2,937.47</b>            | -                                        | -                                         | -                                         | <b>(4,498.61)</b> |
| Changes in accounting policy or prior period errors                             | -                    | -                          | -                                        | -                                         | -                                         | -                 |
| Restated Balance as at 1 <sup>st</sup> April 2023                               | (7,436.08)           | 2,937.47                   | -                                        | -                                         | -                                         | (4,498.61)        |
| <b>Total comprehensive income for the year ended 31<sup>st</sup> Mar 2024</b>   |                      |                            |                                          |                                           |                                           |                   |
| Profit or loss for the year                                                     | (4,848.86)           | -                          | -                                        | -                                         | -                                         | (4,848.86)        |
| Other comprehensive income (net of tax)                                         | (80.67)              | -                          | -                                        | -                                         | -                                         | (80.67)           |
| <b>Total comprehensive income</b>                                               | <b>(4,929.53)</b>    | -                          | -                                        | -                                         | -                                         | <b>(4,929.53)</b> |
| <b>Balance at 31<sup>st</sup> March 2024</b>                                    | <b>(12,365.61)</b>   | <b>2,937.47</b>            | -                                        | -                                         | -                                         | <b>(9,428.14)</b> |
| <b>Balance at 1<sup>st</sup> April 2024</b>                                     | <b>(12,365.61)</b>   | <b>2,937.47</b>            | -                                        | -                                         | -                                         | <b>(9,428.14)</b> |
| Changes in accounting policy or prior period errors                             | -                    | -                          | -                                        | -                                         | -                                         | -                 |
| Restated Balance as at 1 <sup>st</sup> April 2024                               | (12,365.61)          | 2,937.47                   | -                                        | -                                         | -                                         | (9,428.14)        |
| <b>Total comprehensive income for the year ended 31<sup>st</sup> March 2025</b> |                      |                            |                                          |                                           |                                           |                   |
| Profit or loss for the year                                                     | (1,388.62)           | -                          | -                                        | -                                         | -                                         | (1,388.62)        |
| Other comprehensive income (net of tax)                                         | (218.62)             | -                          | -                                        | -                                         | -                                         | (218.62)          |
| <b>Total comprehensive income</b>                                               | <b>(1,607.24)</b>    | -                          | -                                        | -                                         | -                                         | <b>(1,607.24)</b> |
| Received during the year                                                        | -                    | -                          | -                                        | 7,283.00                                  | -                                         | 7,283.00          |
| Shares allotted during the year                                                 | -                    | -                          | -                                        | (500.00)                                  | -                                         | (500.00)          |
| <b>Balance at 31<sup>st</sup> March 2025</b>                                    | <b>(13,972.85)</b>   | <b>2,937.47</b>            | -                                        | <b>6,783.00</b>                           | -                                         | <b>(4,252.38)</b> |

The notes 1 to 56 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-  
**(Ajit Kumar Saxena)**  
 Chairman-cum-Managing Director  
 (Additional Charge)  
 DIN : 08588419

Sd/-  
**(G V N Prasad)**  
 Director (Finance)  
 DIN : 10612236

Sd/-  
**(Hemant Kumar Jha)**  
 DGM (Finance) and  
 Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
 Company Secretary  
 M.No. FCS-8581

**As per our report of even date  
 For M/s BV Rao and Co LLP.**  
 Chartered Accountants  
 Firm Regn No: 003118S/S200049  
 Sd/-  
**(CA B Vinay Kumar)**  
 Partner  
 Membership No: 223723  
 UDIN:- 25223723BMJFTE8919

Place : Visakhapatnam  
 Date : 31.07.2025



## STANDALONE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025

( ₹ in Crores)

| Particulars                                                                                           | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------------------------------------|---------------------------------------------------|---------------------------------------------------|
| <b>Cash flows from operating activities</b>                                                           |                                                   |                                                   |
| Profit/ (loss) for the year (before tax)                                                              | (5,031.99)                                        | (5,218.46)                                        |
| <b>Adjustments for:</b>                                                                               |                                                   |                                                   |
| Depreciation and amortisation expense                                                                 | 1,161.24                                          | 1,294.18                                          |
| Finance costs                                                                                         | 2,171.75                                          | 2,173.03                                          |
| Interest income from banks                                                                            | (12.89)                                           | (0.35)                                            |
| Exceptional (income)/expense                                                                          | 190.56                                            | (102.72)                                          |
| Provision for doubtful debts and other allowances                                                     | 17.54                                             | 6.60                                              |
| Unrealised (Gain)/Loss on foreign exchange fluctuations                                               | 100.01                                            | 41.90                                             |
| (Gain)/ loss on sale of Property, plant and equipment<br>(net of loss on assets scrapped/written off) | 23.25                                             | (6.27)                                            |
| Unrealised Net (Gain)/ Loss arising on Financial<br>instruments designated as FVTPL                   | 37.90                                             | (13.06)                                           |
| Deferred income on Government Grants                                                                  | (6.19)                                            | (6.17)                                            |
| <b>Operating profit before changes in assets and liabilities</b>                                      | <b>(1,348.82)</b>                                 | <b>(1,831.32)</b>                                 |
| <b>Changes in assets and liabilities :</b>                                                            |                                                   |                                                   |
| (Increase) decrease in inventories                                                                    | (317.68)                                          | 1,314.52                                          |
| (Increase) decrease in trade receivables and loans                                                    | (212.54)                                          | 555.67                                            |
| (Increase) decrease in other financial assets                                                         | 81.40                                             | (712.33)                                          |
| (Increase) decrease in other non current assets                                                       | 1.85                                              | 5.16                                              |
| (Increase) decrease in other current assets                                                           | (227.81)                                          | 281.55                                            |
| Increase (decrease) in trade payables                                                                 | 2,020.97                                          | 1,594.66                                          |
| Increase (decrease) in other financial liabilities                                                    | 425.32                                            | 792.27                                            |
| Increase (decrease) in provisions                                                                     | 387.45                                            | (11.90)                                           |
| Increase (decrease) in non-current liabilities                                                        | 1,524.10                                          | 0.56                                              |
| Increase (decrease) in other current liabilities                                                      | (411.30)                                          | 916.31                                            |
| <b>Cash generated from operating activities</b>                                                       | <b>1,922.94</b>                                   | <b>2,905.15</b>                                   |
| Income tax paid (net of refund)                                                                       | 21.98                                             | (2.11)                                            |
| <b>Net cash from (used in ) operating activities (A)</b>                                              | <b>1,944.93</b>                                   | <b>2,903.04</b>                                   |
| <b>Cash flows from investing activities</b>                                                           |                                                   |                                                   |
| Acquisition of property, plant and equipment                                                          | (166.59)                                          | (608.58)                                          |
| Proceeds from sale of property, plant and equipment                                                   | 242.54                                            | 1,857.24                                          |
| Interest received from banks                                                                          | 12.89                                             | 0.35                                              |
| Investment in fixed deposits                                                                          | (187.19)                                          | (0.88)                                            |
| Acquisition of investment                                                                             | -                                                 | -                                                 |
| <b>Net cash flow from (used in) investing activities (B)</b>                                          | <b>(98.35)</b>                                    | <b>1,248.13</b>                                   |

Continued to next page

Continued from previous page

## STANDALONE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025

( ₹ in Crores)

| Particulars                                                                | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------|---------------------------------------------------|---------------------------------------------------|
| <b>Cash flows from financing activities</b>                                |                                                   |                                                   |
| Proceeds from Issue of Shares                                              | 7,283.00                                          | -                                                 |
| Proceeds from (Repayment of ) long term borrowings                         | (1,740.93)                                        | (1,893.28)                                        |
| Proceeds from (Repayment of) short term borrowings                         | (5,203.20)                                        | 78.59                                             |
| Repayment of principal portion of Lease Liability                          | -                                                 | (38.23)                                           |
| Interest paid                                                              | (2,203.09)                                        | (2,281.13)                                        |
| <b>Net cash flow from (used in) financing activities ( C)</b>              | <b>(1,864.22)</b>                                 | <b>(4,134.05)</b>                                 |
| Net increase (decrease) in cash and cash equivalents (A+B+C)               | (17.64)                                           | 17.12                                             |
| <b>Cash and cash equivalents at 1<sup>st</sup> April</b>                   | <b>19.86</b>                                      | <b>2.74</b>                                       |
| <b>Cash and cash equivalents at 31<sup>st</sup> March</b>                  | <b>2.22</b>                                       | <b>19.86</b>                                      |
| <b>Reconciliation of cash and cash equivalent as per the balance sheet</b> | <b>31<sup>st</sup> Mar 2025</b>                   | <b>31<sup>st</sup> Mar 2024</b>                   |
| Cash and cash equivalent as per the cash flow statement                    | 2.22                                              | 19.86                                             |
| Cash and cash equivalent as per balance sheet (Refer Note 12 A)            | 2.22                                              | 19.86                                             |

The Cash flow statement has been prepared under indirect method in accordance with Ind AS 7.

Reconciliation of Liabilities arising from financing activities in terms of cash flows and non-cash flows is provided at Note.18 F

The notes 1 to 56 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(G V N Prasad)**  
Director (Finance)  
DIN : 10612236

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M.No. FCS-8581

**As per our report of even date**  
**For M/s BV Rao and Co LLP.**  
Chartered Accountants  
Firm Regn No: 003118S/S200049

Sd/-  
**(CA B Vinay Kumar)**  
Partner  
Membership No: 223723  
UDIN:- 25223723BMJFTE8919

Place : Visakhapatnam

Date : 31.07.2025

## NOTES TO STANDALONE FINANCIAL STATEMENTS AS AT 31<sup>ST</sup> MARCH 2025

### 1. Company overview

"Rashtriya Ispat Nigam Limited is a company domiciled in India. The Company's registered office is Administrative Building, Visakhapatnam Steel Plant (VSP), Visakhapatnam, Andhra Pradesh. The Company is primarily involved in the manufacture of steel and related products.

These standalone financial statements have been approved by the Board of Directors and authorised for issue on 31.07.2025.

### 2. Material accounting policies

#### 2.1 Basis of Preparation

The financial statements have been prepared in accordance with Indian Accounting Standards ("Ind AS") and provisions of Companies Act, 2013 i.e. Section 133 of the Companies Act, 2013 as prescribed/notified and amended from time to time under the historical cost convention on accrual basis except for certain material financial instruments which are measured at fair value.

#### 2.2 Functional and Presentation Currency

The standalone financial statements are presented in Indian rupees, which is the functional currency of the Company and the currency of the primary economic environment in which the entity operates. All financial information presented in Indian rupees has been rounded to the nearest two decimals of Crore except share and per share data.

#### 2.3 Use of Estimates, Assumptions, Judgements and major sources of estimation uncertainty

The preparation of financial statements require estimates, assumptions and judgements to be made that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities on the date of financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from these estimates and differences between actual results and estimates are recognized in the periods in which the results are known / materialized.

The major assumptions concerning the future, and other major sources of estimation uncertainty at the reporting date that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are discussed in Note 2.20.

#### 2.4 Operating Cycle & Current versus Non-Current Classification

Based on the time involved between the acquisition of assets for processing and their realization in cash and cash equivalents, the company has identified 3 to 6 months as its normal operating cycle.

The company has adopted '12 months from the reporting date' as a criterion for determining current and non-current classification of assets and liabilities in the balance sheet.

#### 2.5 Inventories

2.5.1 Inventories include Finished / Semi-finished goods / Coke and other By Products, Raw Materials, Stores & Spares that do not meet the definition of PPE. Inventories are valued at lower of cost and net realizable value (NRV).

2.5.2 The basis of determining cost is:

- a) Finished/Semi-finished goods, Raw materials :- Periodic Weighted Average cost. This excludes interest and administrative expenses but includes all other costs incurred in bringing the inventories to their present location and condition.
- b) Minor Raw materials, Stores and spares (which do not meet the definition of Property Plant and Equipment (PPE), Loose tools-Dynamic Moving Weighted Average cost.
- c) All Materials in transit :- at purchase cost.

2.5.3 Necessary provisions are made for obsolete / Surplus/Non-moving inventory with a corresponding charge to Revenue.

2.5.4 The fixed production overhead is allocated/absorbed based on the actual production as long as actual capacity is above or equal to 80% of normal capacity of respective main production units.

2.5.5 Normal capacity is based on the average production of the preceding three years of main production units, excluding abnormal years. Abnormal year is the year in which the actual production is less than 40% of the installed capacity.

- 2.5.6 (a) **Coke and other by-products:**
- i) Valued at Net realisable value where cost is not determinable.
  - ii) Valued at Cost where Net realisable value is not available.
- (b) **LD Slag:**
- LD Slag is valued at Net realisable value. However, no value is assigned to the LD Slag stock accumulated up to 31.03.2022.
- (c) **BF Slag:**
- i) BF Slag is valued at Net realisable value.
  - ii) However, no value is assigned in respect of the following BF Slag:
    - Non-valued BF Granulated Slag at SSY-2.
    - Hardened BF Slag at SSY.
    - Fresh BF slag in peripheral areas of SSY.
- (d) **Other by-products:**
- No value is assigned in respect of Muck & Debris.
- (e) **Metallurgical Waste:**
- Metallurgical-waste being held for in-house consumption is valued at 'average procurement cost of Iron Ore Fines' with due adjustment for its Fe content. However, no value is assigned in respect of stock of Met-waste as at 31.03.2022.
- 2.5.7 Products which are meant for internal consumption, for further production, but not for sale are valued at cost generally. However, if NRV is available, then same are measured at lower of cost and NRV.
- 2.5.8.1 No credit is taken for the value of material in process except Hot Metal, Liquid Steel & those lying at mills.
- 2.5.8.2 Iron scrap and steel scrap are valued at 75% and 90% respectively of the lower of cost or domestic net realizable value of Pig iron.
- However, Quality control steel scrap items and scrapped semis are consumed internally and valued at the respective cost of blooms and other products from which they are generated. These are valued at their replacement cost when the finished products in which these materials will be used are expected to be sold below cost.
- 2.5.8.3 Trimmed-ends and Crop-ends are treated on par with Quality control steel scrap, and valued accordingly.
- 2.5.9 Landed cost of Raw materials and spares imported during the year are inclusive of import duty benefits availed. Liability to the extent of unfulfilled export obligations at the end of the year is provided for.
- 2.5.10 No credit is taken in the accounts for the stock of run of mines ore and rejects at Mines.
- 2.5.11 The cost of coke breeze and Coke Dust/Sludge is considered as 60% and 40% respectively of the production cost of BF Coke (cumulative periodic unit price (PUP) latest available). The cost of Nut Coke is considered as 90% of the production cost of BF Coke (cumulative PUP latest available).
- 2.5.12 Stock of spares acquired along with the related equipment, not having item-wise break-up of cost, are valued at average cost.
- Further details on methodology for Valuation of inventories are provided at related Note No. 10 .
- 2.6 Property, Plant and Equipment (PPE)**
- 2.6.1 (a) The company has adopted the previous GAAP value as the 'deemed cost' in preparing its opening balance sheet as on 01 April 2015.
- (b) Property, plant and equipment are measured at cost less accumulated depreciation and impairment losses, if any.
- 2.6.2 Expenditure attributable/relating to construction to the extent not directly identifiable to any specific Plant Unit is kept under 'Expenditure During Construction' for allocation to PPE and is grouped under 'Capital Work-in-Progress'.
- 2.6.3 All spares, stand-by equipment, and servicing equipment that meet the criteria of property, plant and equipment and whose unit value (threshold value) exceeding ₹10 lakhs are capitalized as PPE on acceptance. Spares not meeting the threshold value are charged to revenue on their usage.
- 2.6.4 Expenditure on PPE is capitalized at the following points of time:
- a) In case of land, when the possession is taken/expenditure is incurred on development.

- b) Factory buildings are capitalized along with the Plant housed in the buildings.
- c) In case of Plant & Machinery, when the respective units of plant and equipment are ready for commercial production, i.e., upon achieving the level of production intended for sale or captive consumption.
  - i) A unit (Plant Unit capable of production meant for sale or captive consumption) is considered to be ready for commercial production:
    - from the end of 3rd calendar month from the commissioning date, provided such Plant Unit produces / becomes capable of producing at least 50% rated capacity; or,
    - from the end of calendar month, in which the Plant Unit produces / becomes capable of producing at least 50% of the rated capacity, Whichever is later.
  - ii) A plant unit is deemed to have produced/becomes capable of producing at least 50% of rated capacity when it produces at least 50% of rated capacity for 15 days in a calendar month
- d) In case of other assets, when they are put to use.

2.6.5 The carrying amount of those spares in the nature of PPE that are replaced is derecognized when no future economic benefit are expected from their use. When the cost of replaced spare/existing spare is not available, the cost of replacing spare (new spare) is deemed to be the original cost of replaced spare/existing spare subject to an annual de-escalation of 5% for period beginning from capitalization of mother machine till the date of replacement for the purpose of derecognition.

2.6.6 The carrying amount of replaced spares is arrived at:

- (i) by comparing the gross block of mother asset (or relevant component wherever available) in which such spare was used with the accumulated depreciation of such asset to arrive at a percentage of remaining gross block and;
- (ii) by applying the percentage calculated above to the deemed replacement cost of replaced spare (i.e., where its original cost is not available) to arrive at the carrying amount to be de- recognized.

2.6.7 Capitalisation is made initially based on reliable estimate of cost of such PPE. Adjustments, if any, to cost and depreciation are made subsequently upon ascertainment of actual cost of the respective assets'.

2.6.8 Where the historical cost of depreciable assets has undergone a change in the subsequent year(s) owing to factors like escalations / downward revisions, arbitration award, change in duty structure etc., then such change is treated as a change in an accounting estimate and corresponding depreciation on the amount of such revision is provided prospectively over the residual useful life of the asset i.e., from the beginning of the financial year in which such revision is recognised in the books of accounts.

2.6.9 PPE is depreciated considering the useful life, residual value and depreciation method recommended by the technical committee. Depreciation on spares is calculated from the date of acceptance over their useful lives.

2.6.10 **Depreciation:** Depreciation is recognized on straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Depreciation methods, useful lives and residual values are reviewed at each reporting date and where expectations differ from previous estimates, the changes are accounted for as change in accounting estimate.

2.6.11 Steel products used for Dunnage purposes and meeting the recognition criteria of PPE as per Ind AS-16 are capitalised and treated as Property Plant and Equipment. There is no threshold criterion for these items.

## 2.7 Intangible Assets

2.7.1 Intangible assets are measured at cost less accumulated amortization and impairment. Intangible assets are amortized on straight line method over their estimated useful life.

2.7.2 Residual values and useful lives of all intangible assets are reviewed at each reporting date. Changes, if any, are accounted for as changes in accounting estimates.

2.7.3 "Amortization of "Intangible Assets" is accounted in the following manner:"

- Mining lease rights are amortized over the period of lease.
- Software which is not an integral part of related hardware, is treated as intangible asset and amortized over a period of 4 years or its license period, whichever is less.

Other Intangible assets are amortized over their estimated useful lives.



## 2.8 Exploration and Evaluation Assets (E&E Assets)

- 2.8.1 Exploration and evaluation expenditure includes costs incurred after obtaining legal right to explore the area and before establishing technical feasibility and commercial viability of extracting a mineral resource that are directly attributable to:
- researching and analyzing existing exploration data;
  - conducting geological studies, exploratory drilling and sampling;
  - examining and testing extraction and treatment methods; and/or
  - compiling pre-feasibility and feasibility studies.
- 2.8.2 Exploration and evaluation expenditure is recognized as an expense, unless the expenditure is expected to be recouped through successful development and exploitation of the area of interest, or alternatively by its sale, in which case it is recognized as an asset.
- 2.8.3 Exploration and evaluation (E&E) assets are classified as tangible (as part of property, plant and equipment) or intangible according to the nature of the assets.
- 2.8.4 The carrying values of capitalized E&E expenditure are reviewed for impairment once a year by management.

## 2.9 Investment in Subsidiaries and Joint Ventures

Investments in subsidiaries and joint ventures are measured at cost.

## 2.10 Financial Instruments (Financial Assets and Financial Liabilities):

- 2.10.1 All financial instruments are recognized initially at fair value. The classification of financial instruments depends on the objective of the business model for which it is held. For the purpose of subsequent measurement, financial instruments of the Company are classified into:
- (a) Non-Derivative Financial Instruments and
  - (b) Derivative Financial Instruments.
- 2.10.2 **a) Non-Derivative Financial Instruments**
- (i) Security deposits, cash and cash equivalents, employee and other advances, trade receivables and other eligible financial assets are classified as financial assets under this clause.
    - Employees loans are fair valued taking into account the SBI interest rate on similar loans prevailing on the date of grant of loans for discounting and subsequently carried at amortized cost using effective interest rate method.
    - Other loans are fair valued taking into account the Company's weighted average cost of borrowings for discounting and subsequently carried at amortized cost using effective interest rate method.
  - (ii) Loans and borrowings, trade and other payables including deposits collected from various parties and other eligible financial liabilities are classified as financial liabilities under this clause.
  - (iii) Non-Derivative Financial instruments are subsequently carried at amortized cost wherever applicable using effective interest method (EIR) less impairment loss.
  - (iv) Transaction costs that are attributable to the financial instruments recognized at amortized cost are included in the fair value of such instruments.
- 2.10.3 **(b) Derivative Financial Instruments**
- (i) Derivative Financial Assets and liabilities are initially recognized at fair value on the date a derivative contract is entered into and are subsequently re-measured to their fair value on Marked to Market (MTM) basis at each reporting date.
  - (ii) Changes in the fair value of any derivative Asset or liability are recognized immediately in the Income Statement and are included in other income or expenses.
- 2.10.4 **Hedging:**
- Hedge accounting is followed in respect of derivative financial instruments qualifying for hedge accounting. To qualify for hedge accounting, the followings are required:
- (a) A hedge relationship between a qualifying hedging instrument and a qualifying hedged item at the inception of the hedge is formally designated and documented;

- (b) Both at inception and on an on-going basis, hedge effectiveness is demonstrated.

Types of hedge relationships:

- Fair value hedge : A hedge of the exposure to changes in the fair value of a recognized asset or liability, or a firm commitment. Changes in the fair value of the derivative hedging instruments designated as fair value hedge are recognized as Fair Value through P&L (FVTPL).
- Cash flow hedge: Changes in the fair value of the derivative hedging instrument designated as a cash flow hedge are recognized in other comprehensive income and presented within equity in the cash flow hedging reserve to the extent that the hedge is effective. To the extent that the hedge is ineffective, changes in fair value are recognized in the statement of profit and loss. If the hedging instrument no longer meets the criteria for hedge accounting, expires or is sold, terminated or exercised, then hedge accounting is discontinued prospectively. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the statement of profit and loss upon the occurrence of the related forecasted transaction.

#### 2.10.5 Fair Value Measurement :

The Company classifies the fair value of its financial instruments in the following hierarchy, based on the inputs used in their valuation:

- i) **Level 1:** The fair value of financial instruments quoted in active markets is based on their quoted closing price at the Balance Sheet date.
- ii) **Level 2:** The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques using observable market data. Such valuation techniques include discounted cash flows, standard valuation models based on market parameters for interest rates, yield curves or foreign exchange rates, dealer quotes for similar instruments and use of comparable arm's length transactions.
- iii) **Level 3:** The fair value of financial instruments that are measured on the basis of entity specific valuations using inputs that are not based on observable market data (unobservable inputs).

## 2.11 Impairment

### 2.11.1 Financial assets

- (i) The company applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:
  - Financial assets that are debt instruments, and are measured at amortized cost wherever applicable e.g., loans, debt securities, deposits and bank balance.
  - Trade receivables.
- (ii) The company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables which do not contain a significant financing component. The application of simplified approach does not require the company to track changes in credit risk. Rather, it recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.
- (iii) Under simplified approach, a provision matrix is used to determine impairment loss on portfolio of trade receivable (age wise analysis of trade receivables). The provision matrix is based on historically observed default rates over the expected life of the trade receivable and is adjusted for forward- looking estimates. At every reporting date, the historical observed default rates are updated and changes in forward-looking estimates are analysed.
- (iv) ECL impairment loss allowance (or reversal) measured during the period is recognized as income/expense in the statement of profit or loss.

### 2.11.2 Non-financial assets

The Company assesses at each reporting date whether there is any objective evidence that a non-financial asset or a group of non-financial assets is impaired. If any such indication exists, the Company estimates the amount of impairment loss.

## 2.12 Stripping Cost:

Stripping cost in the nature of expense incurred for removing overburden and waste materials is accounted for as follows:

- (a) To the extent that the benefit from the stripping activity is realized in the form of inventory produced, the same is accounted for in accordance with the principles of Ind AS 2, Inventories.

- (b) To the extent the benefit is improved access to Ore, stripping cost shall be recognized as a non-current asset.

## 2.13 Income Taxes:

### 2.13.1 Uncertainty over income tax treatment:

A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the company supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

## 2.14 Revenue Recognition

- 2.14.1 Revenue is measured based on the consideration (i.e., the transaction price) to which the company expects to be entitled in a contract with a customer and excludes amounts collected on behalf of third parties. The company recognises revenue when it transfers control of a product or service to a customer. The company considers the terms of the contract and its customary business practices to determine the transaction price. The nature, timing and amount of consideration promised by a customer affect the estimate of the transaction price. Sales revenue is measured net of returns, discounts and rebates.

### Sale of Goods:

- Domestic sales on F.O.R. destination basis are accounted for when goods are delivered to the carriers and effective control is transferred to the buyer.
- Exports sales on FOB basis as per INCO terms are recognized in the following manner:
  - Sea Exports, Road Exports and Rail Exports are recognized on the date of Bill of Lading, the Date of Road Consignment Note and Date of Railway Receipt respectively.
  - In cases where 'realization of material value without shipment' is provided for in the Letters of credit of respective contracts, on expiry of lay days given in notice of readiness of cargo or the lay days otherwise accepted by the seller or on expiry of 15 days from notice of readiness of cargo whichever is earlier.

### Claims

- Claims for liquidated damages against the suppliers/contractors are accounted for when the amounts are actually recovered.
  - Claims for escalation by Contractors and Suppliers are accounted on acceptance by the Company.
  - Claims on Railways are accounted for when they are lodged.
  - Claims lodged under various insurance policies, risk purchases, price subsidy and the interest receivable from Sundry Debtors for delayed payments/ are accounted on certainty of realization.
- 2.14.2 Claims other than those referred at Note 2.14.1 are accounted for based on certainty of realisation.
- 2.14.3 Revenue arising from the rendering of service is recognized to the extent the service is provided and could be estimated reliably. Revenue is recognized in the period when the service is performed by reference to the contract stage of completion at the reporting date.
- 2.14.4 Interest income is recognized basing on the effective interest method.
- 2.14.5 Dividends, are recognized at the time the right to receive is established.
- 2.14.6 Miscellaneous deposit/Security Deposit/EMD/ Sundry Creditors in respect of non-operating contracts and lying in accounts for more than 3 years from the date of last Transaction / contract end date are transferred to Misc. Income.
- 2.14.7 Customer Security Deposits / EMD / Other deposits lying in accounts for more than 3 years from the date of last Transaction date are transferred to Misc. Income.
- 2.14.8 Stale cheque if any will be transferred to miscellaneous income after 3 years from the cheque issue date.
- 2.14.9 Unclaimed receipts lying in account more than 3 years are transferred to miscellaneous income.

## 2.15 Foreign Currency Transactions

A foreign currency transaction is recorded, on initial recognition in the functional currency, by applying to the foreign currency amount the spot (actual) exchange rate between the functional currency and the foreign currency at the date of the transaction.

Foreign currency monetary items are disclosed at the closing rate of the reporting period at reporting date. Exchange differences arising on settlement/conversion of foreign currency monetary items are recognised in the statement of profit and loss.

## **2.16 Borrowing Costs**

Borrowing costs incurred for obtaining qualifying assets are capitalized to the respective assets wherever the costs are directly attributable to such assets and in other cases by applying weighted average cost of borrowings to the expenditure on such assets.

- A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

Substantial period refers to a period of 12 months or above taken for construction of an asset for its intended use.

## **2.17 Government Grants**

2.17.1 Export Benefits received from Government are treated as Government Grants. Grants related to Assets are presented as per paragraph 24 & 26 of Ind AS 20. Grants related to Income are presented as part of profit or loss, either separately or under a general heading such as 'Other income'; alternatively, they are deducted in reporting the related expense.

2.17.2 Government grants in the nature of income are recognized in the Statement of Profit and Loss on a systematic basis over the periods in which the Company recognizes as expenses the related costs for which the grants are intended to compensate.

2.17.3 Where the Company receives grants in the form of non-monetary assets such as land or other resources, both the asset and the grant are recorded at fair value assessed by the company based on the evidence available as on the date of initial recognition, by setting up the grant as deferred income, and is then recognised in the statement of Profit and Loss over the expected useful life of asset, except for land. Land is re-assessed once a year for ascertaining change in fair value and such a change in fair value is accounted for in the Statement of Profit and Loss.

## **2.18 GST & Customs Duties:**

a) GST liability is accounted at the time of supply of goods/services.

b) Customs duty on imports is accounted provisionally, pending completion of final assessment.

## **2.19 Prior Period items:**

Those Items of Income / Expenditure which arise in the current period as a result of errors or omissions in the preparation of Financial Statements of one or more prior Years, exceeding 0.1% of previous year Gross Turnover, in each case are treated as material prior period items and are corrected retrospectively unless it is impracticable to determine either the period-specific effects or the cumulative effect of the error.

## **2.20 Significant Judgements, Assumptions and Estimations in applying Accounting Policies**

### **2.20.1 Leases**

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116.

Identification of a lease requires significant judgement. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

### **2.20.2 Close-down and Restoration Obligations**

Close-down and restoration costs are normal consequence of mining or production, and majority of close-down and restoration expenditure are incurred in the years following the closure of mine. Although the ultimate cost to be incurred is uncertain, the Company estimate their costs based on current interpretation of scientific and legal data and existing technology, in addition to assumptions about probability and future costs.

### **2.20.3 Recognition of Deferred Tax Assets**

The extent to which deferred tax assets can be recognized is based on an assessment of the probability of the Company's future taxable income against which the deferred tax assets can be utilized. In addition, significant judgement is required in assessing the impact of any legal or economic limits.

### **2.20.4 Inventories**

The Company estimates the cost of inventories taking into account the most reliable evidence, such as cost of materials and overheads considered attributable to the production of such inventories including actual cost of production, etc. Management also estimates the net realisable values of inventories, taking into account the most reliable evidence available at each reporting date. Significant technical and commercial judgements are required to determine the Company's quality and quantity of inventories. The future realisation of these inventories may be affected by future technology or other market-driven changes that may reduce future selling prices.

**2.20.5 Defined Benefit Obligation (DBO)**

Employee benefit obligations are measured on the basis of actuarial assumptions which include mortality and withdrawal rates as well as assumptions concerning future developments in discount rates, medical cost trends, anticipation of future salary increases and the inflation rate. The Company considers that the assumptions used to measure its obligations are appropriate. However, any changes in these assumptions may have a material impact on the resulting calculations.

**2.20.6 Fair Value Measurements**

The Company applies valuation techniques to determine the fair value of financial instruments (where active market quotes are not available) and non-financial assets. This involves developing estimates and assumptions consistent with the market participants to price the instrument. The Company's assumptions are based on observable data as far as possible, otherwise on the best information available. Estimated fair values may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

**2.20.7 Provisions and Contingencies**

The assessments undertaken in recognising provisions and contingencies have been made in accordance with Indian Accounting Standards (Ind AS) 37, 'Provisions, Contingent Liabilities and Contingent Assets'. The evaluation of the likelihood of the contingent events is applied best judgement by management regarding the probability of exposure to potential loss.

**2.20.8 Mine Closure and Restoration Obligations**

Environmental liabilities and Asset Retirement Obligation (ARO): Estimation of environmental liabilities and ARO require interpretation of scientific and legal data, in addition to assumptions about probability and future costs.

**2.20.9 Useful lives of depreciable/ amortisable assets (tangible and intangible)**

Management reviews its estimate of the useful lives of depreciable/ amortisable assets at each reporting date, based on the expected utility of the assets. Uncertainties in these estimates relate to actual normal wear and tear that may change the utility of plant and equipment.



### 3. Property, plant and equipment

#### A. Reconciliation of carrying amount

(₹ in Crores)

| Particulars                                  | Freehold Land | Leasehold Land | Railway lines and sidings | Roads, Bridges and Culverts | Buildings       | Plant and Equipments | Furniture and Fixtures | Vehicles     | Electrical Installations | Water supply and Sewerage Systems | Miscellaneous Assets | Total            |
|----------------------------------------------|---------------|----------------|---------------------------|-----------------------------|-----------------|----------------------|------------------------|--------------|--------------------------|-----------------------------------|----------------------|------------------|
| <b>Cost or deemed cost</b>                   |               |                |                           |                             |                 |                      |                        |              |                          |                                   |                      |                  |
| <b>(Gross Carrying Amount)</b>               |               |                |                           |                             |                 |                      |                        |              |                          |                                   |                      |                  |
| Balance at 1 <sup>st</sup> April 2024        | 75.68         | 1.64           | 482.27                    | 275.71                      | 2,156.14        | 28,211.96            | 28.71                  | 33.06        | 1,255.94                 | 1,630.98                          | 425.60               | <b>34,577.69</b> |
| Additions and adjustments                    | -             | -              | 46.45                     | -                           | 5.31            | 278.35               | 0.07                   | 0.01         | 137.61                   | 4.37                              | 28.98                | <b>501.15</b>    |
| Sales and adjustments                        | -             | -              | -                         | -                           | -               | (138.26)             | (0.25)                 | -            | (0.02)                   | -                                 | (0.20)               | <b>(138.73)</b>  |
| <b>Balance at 31<sup>st</sup> March 2025</b> | <b>75.68</b>  | <b>1.64</b>    | <b>528.72</b>             | <b>275.71</b>               | <b>2,161.45</b> | <b>28,352.05</b>     | <b>28.53</b>           | <b>33.07</b> | <b>1,393.53</b>          | <b>1,635.35</b>                   | <b>454.38</b>        | <b>34,940.11</b> |
| <b>Accumulated Depreciation</b>              |               |                |                           |                             |                 |                      |                        |              |                          |                                   |                      |                  |
| Balance at 1 <sup>st</sup> April 2024        | -             | 1.01           | 284.54                    | 222.87                      | 1,024.12        | 13,522.92            | 25.52                  | 30.67        | 923.08                   | 743.67                            | 358.51               | <b>17,136.91</b> |
| Depreciation for the year                    | -             | 0.03           | 23.88                     | 4.82                        | 44.17           | 947.88               | 0.40                   | 0.35         | 51.34                    | 68.98                             | 17.04                | <b>1,158.89</b>  |
| Sales and adjustments                        | -             | -              | -                         | -                           | -               | (114.50)             | (0.17)                 | -            | (0.02)                   | -                                 | (0.13)               | <b>(114.82)</b>  |
| <b>Balance at 31<sup>st</sup> March 2025</b> | <b>-</b>      | <b>1.04</b>    | <b>308.42</b>             | <b>227.69</b>               | <b>1,068.29</b> | <b>14,356.30</b>     | <b>25.75</b>           | <b>31.02</b> | <b>974.40</b>            | <b>812.65</b>                     | <b>375.42</b>        | <b>18,180.98</b> |
| <b>Carrying amounts (net)</b>                |               |                |                           |                             |                 |                      |                        |              |                          |                                   |                      |                  |
| <b>At 31<sup>st</sup> March 2024</b>         | <b>75.68</b>  | <b>0.63</b>    | <b>197.73</b>             | <b>52.84</b>                | <b>1,132.02</b> | <b>14,689.04</b>     | <b>3.19</b>            | <b>2.39</b>  | <b>332.86</b>            | <b>887.31</b>                     | <b>67.09</b>         | <b>17,440.78</b> |
| <b>At 31<sup>st</sup> March 2025</b>         | <b>75.68</b>  | <b>0.60</b>    | <b>220.30</b>             | <b>48.02</b>                | <b>1,093.16</b> | <b>13,995.75</b>     | <b>2.78</b>            | <b>2.05</b>  | <b>419.13</b>            | <b>822.70</b>                     | <b>78.96</b>         | <b>16,759.13</b> |

\* All eligible major spares, standby equipment and service equipment whose unit value exceeding ₹10 lakhs (threshold value) are capitalized as PPE on acceptance. Spares not meeting the threshold value are charged to revenue on their usage.

**B. Details of Right Of Use (ROU) Asset included in Property, Plant & Equipment**

(₹ in Crores)

| Particulars    | Gross Block                           |                           |                       |                                        | Accumulated Depreciation              |                           |                       |                                        | Net Block                      |                                |
|----------------|---------------------------------------|---------------------------|-----------------------|----------------------------------------|---------------------------------------|---------------------------|-----------------------|----------------------------------------|--------------------------------|--------------------------------|
|                | Balance at 1 <sup>st</sup> April 2024 | Additions and Adjustments | Sales and Adjustments | Balance at 31 <sup>st</sup> March 2025 | Balance at 1 <sup>st</sup> April 2024 | Depreciation for the Year | Sales and Adjustments | Balance at 31 <sup>st</sup> March 2025 | At 31 <sup>st</sup> March 2024 | At 31 <sup>st</sup> March 2025 |
| Leasehold land | 1.64                                  | -                         | -                     | 1.64                                   | 1.01                                  | 0.03                      | -                     | 1.04                                   | 0.63                           | 0.60                           |
| Building       | 1.34                                  | -                         | -                     | 1.34                                   | 0.62                                  | 0.01                      | -                     | 0.63                                   | 0.72                           | 0.71                           |

**Note :** The details of leases are provided at Note 49

**C. Freehold land**

- Land includes 1578.49 acres (As on 31<sup>st</sup> March 2024: 411.49 acres) allotted to various agencies on lease. It includes 52.85 acres of land allotted to M/s HPCL, 1.24 acres of land allotted to M/s AMTZ on Right of way basis for which the terms of the contract are pending for finalisation. The said land allotment to M/s HPCL and M/s AMTZ is pending for approval from Ministry of Steel & Ministry of Finance. It also includes land of 1167 acres allotted to M/s NMDC for which the approval of Ministry of Steel & Ministry of Finance was obtained and lease deed was executed on 30.04.2025.
- Land at a cost of ₹ 37.09 Crores ( As on 31<sup>st</sup> March 2024 : ₹ 37.09 Crores) being held in the name of Government of India. The Company is holding Power of Attorney issued by President of India (Government of India) for utilisation of land acquired for the project and related purposes incidental thereto.
- Land includes 26.78 acres whose title is under dispute. (Refer Note 51B for claims in courts in connection with land acquisition).

**D. Depreciation methods and useful lives**

Depreciation is recognized on a straight-line basis, considering residual value of 5% of the cost of the asset, over the estimated useful life as prescribed under Schedule II to the Companies Act, 2013 except in the case of certain category of assets where useful life may be determined by technical experts. As per the above criteria, the range of useful life for different classes of assets is as under.

| Particulars                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------|-----------------------------|-----------------------------|
| Roads, bridges and culverts       | 3-30 years                  | 3-30 years                  |
| Buildings (Refer Note no. 3D.1)   | 3-60 years                  | 3-60 years                  |
| Fixtures and fittings             | 2-10 years                  | 2-10 years                  |
| Vehicles                          | 6-8 years                   | 6-8 years                   |
| Miscellaneous assets              | 2-15 years                  | 2-15 years                  |
| Railway lines and sidings         | 8-25 years                  | 8-25 years                  |
| Plant and equipment               | 2-50 years                  | 2-50 years                  |
| Electrical installations          | 5-30 years                  | 5-30 years                  |
| Water supply and sewerage systems | 15-50 years                 | 15-50 years                 |

**3D.1 Buildings-ROU** are depreciated over the period of lease. (Refer Note No.49)

| Particulars                                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Allocation of depreciation :</b>                      |                             |                             |
| Expenditure During Construction/Capital work-in-progress | -                           | 0.23                        |
| Current year (Profit or loss)                            | 1,158.89                    | 1,294.10                    |
|                                                          | <b>1,158.89</b>             | <b>1,294.33</b>             |

Where useful life is determined based on technical evaluation carried out by technical experts, the Company believes that such estimation of useful life so determined best represent the period over which the Company expects to use these assets.

The estimated useful lives and residual values of depreciable/ amortisable assets are reviewed at each year end by a technical committee, with the effect of any changes in estimates accounted for on a prospective basis.

The technical committee is of the opinion that there are no material changes during the current financial year that may cause changes to the estimated useful life of the assets, method of depreciation and the residual values. Keeping this in view, the committee recommended continuing with the existing assessment of useful life of assets, and existing method of depreciation of Straight line method and residual value at 5%.

#### E. Capital work-in-progress

(₹ in Crores)

| Particulars                                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Capital work-in-progress<br>(including material issued to contractors) - (Refer Note no.3E.1) | 977.26                      | 1,249.86                    |
| Less: Provision for dropped SLTM project & others                                             |                             |                             |
| SLTM                                                                                          | 25.53                       | 25.53                       |
| Axle Plant                                                                                    | 0.62                        | 0.62                        |
| Rebar Mill                                                                                    | 1.39                        | 1.39                        |
| 11/12 MT                                                                                      | 0.10                        | 0.10                        |
| ASU VI                                                                                        | 0.98                        | 0.98                        |
| Others                                                                                        | 3.03                        | 3.03                        |
| Total Provision for dropped projects                                                          | 31.65                       | 31.65                       |
| <b>Total</b>                                                                                  | <b>945.61</b>               | <b>1,218.21</b>             |

3E.1 This includes ₹ 3.50 Crores (As on 31<sup>st</sup> Mar 2024: ₹ 3.61 Crores) being the capital inventory lying at different construction zones/ with contractors on the reporting date.

#### 4. Other Intangible assets

##### A. Reconciliation of carrying amount

(₹ in Crores)

|                          | Particulars                                        | Computer software | Mining rights | Total (i)    | Intangible assets under development (ii) | Total (i)+(ii) |
|--------------------------|----------------------------------------------------|-------------------|---------------|--------------|------------------------------------------|----------------|
| Gross Block              | <b>Cost or Deemed Cost (Gross Carrying Amount)</b> |                   |               |              |                                          |                |
|                          | Balance at 1 <sup>st</sup> April 2024              | 67.93             | 5.95          | 73.88        | -                                        | 73.88          |
|                          | Additions and adjustments                          | 5.91              | -             | 5.91         | -                                        | 5.91           |
|                          | Sales and adjustments                              | -                 | -             | -            | -                                        | -              |
|                          | <b>Balance at 31<sup>st</sup> March 2025</b>       | <b>73.84</b>      | <b>5.95</b>   | <b>79.79</b> | <b>-</b>                                 | <b>79.79</b>   |
| Accumulated Amortisation | <b>Accumulated amortisation</b>                    |                   |               |              |                                          |                |
|                          | Balance at 1 <sup>st</sup> April 2024              | 67.74             | 5.85          | 73.59        | -                                        | 73.59          |
|                          | Amortisation for the year                          | 2.92              | 0.01          | 2.93         | -                                        | 2.93           |
|                          | Sales and adjustments                              | -                 | -             | -            | -                                        | -              |
|                          | <b>Balance at 31<sup>st</sup> March 2025</b>       | <b>70.66</b>      | <b>5.86</b>   | <b>76.52</b> | <b>-</b>                                 | <b>76.52</b>   |
| Net Block                | <b>Carrying amounts (net)</b>                      |                   |               |              |                                          |                |
|                          | <b>At 31<sup>st</sup> March 2024</b>               | <b>0.19</b>       | <b>0.10</b>   | <b>0.29</b>  | <b>-</b>                                 | <b>0.29</b>    |
|                          | <b>At 31<sup>st</sup> March 2025</b>               | <b>3.18</b>       | <b>0.09</b>   | <b>3.27</b>  | <b>-</b>                                 | <b>3.27</b>    |

#### B. Amortisation methods and useful lives

Amortisation is recognized in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of intangible assets. The estimated useful lives for the current and comparative periods are as follows:

| Particulars       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------|-----------------------------|-----------------------------|
| Computer Software | 4 years                     | 4 years                     |
| Mining Rights     | 20 years                    | 20 years                    |

**5 Investments**

( ₹ in Crores)

| Particulars                                                                                                                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>A. Non-current investments</b>                                                                                                                   |                             |                             |
| <b>Investment in Equity Shares</b>                                                                                                                  |                             |                             |
| <b>Quoted equity shares</b>                                                                                                                         |                             |                             |
| <b>Equity shares at cost- Subsidiary</b>                                                                                                            |                             |                             |
| 736,638 (31 <sup>st</sup> March 2024: 736,638) equity shares of ₹10 each in Eastern Investments Limited (Refer Note no.5.5)                         | 361.03                      | 361.03                      |
| 182,927 (31 <sup>st</sup> March 2024: 182,927) equity shares of ₹10 each in The Bisra Stone Lime Company Limited (Refer Note no. 5.1)               | 0.00                        | 0.00                        |
| <b>Total</b>                                                                                                                                        | <b>361.03</b>               | <b>361.03</b>               |
| <b>Unquoted equity shares</b>                                                                                                                       |                             |                             |
| <b>Equity shares at cost - Associates</b>                                                                                                           |                             |                             |
| 378,859,405 (31 <sup>st</sup> March 2024: 378,859,405) equity shares of ₹10 each in International Coal Ventures Private Limited (Refer Note no.5.7) | 378.86                      | 378.86                      |
| <b>Equity shares at cost - Joint ventures</b>                                                                                                       |                             |                             |
| 4,000,000 (31 <sup>st</sup> March 2024: 4,000,000) equity shares of ₹10 each in RINL Powergrid TLT Private Limited (Refer Note no. 5.6)             | 4.00                        | 4.00                        |
| <b>Equity shares at cost- Others</b>                                                                                                                |                             |                             |
| 2,280 (31 <sup>st</sup> March 2024: 2,280) equity shares of ₹1 each in Free Press House Limited (Refer Note no. 5.2)                                | 0.00                        | 0.00                        |
| 1 (31 <sup>st</sup> March 2024: 1) equity shares of ₹100 each in Anakapalli Rural Elec. Co-operative Society (Refer Note no. 5.3)                   | 0.00                        | 0.00                        |
| <b>Total</b>                                                                                                                                        | <b>382.86</b>               | <b>382.86</b>               |
| <b>Total investment in equity instruments (A)</b>                                                                                                   | <b>743.89</b>               | <b>743.89</b>               |
| <b>B. Other investments</b>                                                                                                                         | -                           | -                           |
| <b>Total Other investments ( B)</b>                                                                                                                 | -                           | -                           |
| <b>C. Provision for diminution in value of investments</b>                                                                                          | <b>4.00</b>                 | <b>4.00</b>                 |
| <b>Total Investments (A+B-C)</b>                                                                                                                    | <b>739.89</b>               | <b>739.89</b>               |
| Aggregate book value of quoted investments                                                                                                          | 361.03                      | 361.03                      |
| Aggregate market value of quoted investments (Refer Note no. 5.4)                                                                                   | NA                          | NA                          |
| Aggregate value of unquoted investments                                                                                                             | 382.86                      | 382.86                      |
| Aggregate amount of impairment in value of investments                                                                                              | 4.00                        | 4.00                        |

**NOTE:**

- 5.1 Investment in The Bisra Stone Lime Company Limited amounted to ₹1000, hence rounded off to zero.
- 5.2 Investments in Free Press House Limited amounted to ₹2280, hence rounded off to zero.
- 5.3 Investments in Anakapalli Rural Elec. Co-operative Society amounted to ₹100, hence rounded off to zero.
- 5.4 Both EIL & BSLC were listed on Calcutta Stock Exchange. However, there is no trading platform at Calcutta Stock Exchange. Hence, the market value of Quoted investments is not ascertainable
- 5.5 Eastern Investments Ltd (EIL) Share price is not available as these shares were not traded in the Stock Exchanges during the period under report. EIL is holding more than 50% stake in M/s.The Orissa Minerals Development Company Limited (OMDC). Further, the market value of the investment of EIL in M/s. OMDC is higher than that of its net assets value and hence, no provision towards impairment is made in the financial statements of EIL towards its investment in M/s. OMDC. Accordingly, there is no impairment of RINL's investment in EIL.
- 5.6 Subsequent to the decision of M/s Power Grid Corporation Ltd., for the closure of M/s RPTPL, RINL Board has accorded approval for closure of M/s RPTPL subject to obtaining approval from Ministry of Steel (MoS). The MoS has accorded approval for closure of M/s RPTPL on 11.07.2022. Consequently, the Company had made necessary provision towards its investment in M/s RPTPL.
- M/s MECON Ltd, as end to end consultant of the RPTPL Project, is dealing with all the issues related towards closure of the contracts including issues related to Arbitration and conciliation proceedings.
- Currently, activities related for closure of M/s RPTPL are under progress including conciliatory proceedings which arose during the closure of one of the contracts of M/s RPTPL Project. The conciliator proposed for final settlement of ₹72,55,465/- to M/s. SRICO which was agreed to by M/s. SRICO and the same was approved by the Board of M/s RPTPL subject to waiver of 8% interest upto 30.06.2025, which was also agreed to by M/s. SRICO.
- Actual Capital infusion required would be based on the final amount payable with respect to closure of all the contracts of M/s RPTPL.
- In view of the above, filing of application with Registrar of Companies (RoC) seeking striking off M/s RPTPL's name from the Register of companies is pending as of now.
- 5.7 The company's share in the net assets of ICVL group (CFS) as on reporting date is higher than the company's investment in ICVL. Accordingly, there is no impairment of the company's investment in ICVL as on the reporting date.

## Interest in Subsidiary

| Name of Entity                                | Place of business  | % of ownership interest as on 31.03.2025 | % of ownership interest as on 31.03.2024 | Relationship                    |
|-----------------------------------------------|--------------------|------------------------------------------|------------------------------------------|---------------------------------|
| Eastern Investment Limited ("EIL")            | Bhubaneswar, India | 51%                                      | 51%                                      | Subsidiary<br>Subsidiary of EIL |
| The Bisra Stone Lime Company Limited ("BSLC") | Bhubaneswar, India | 50%*                                     | 50%*                                     |                                 |

\*BSLC is a sub-subsidiary of RINL through EIL wherein EIL holds little over 50% stake in BSLC

## Interest in associates and joint ventures

| Name of Entity                                       | Place of Business    | % of ownership interest as on 31.03.2025 | % of ownership interest as on 31.03.2024 | Relationship  | Accounting method under consolidation |
|------------------------------------------------------|----------------------|------------------------------------------|------------------------------------------|---------------|---------------------------------------|
| International Coal Ventures Private Limited ("ICVL") | New Delhi, India     | 25.94%                                   | 25.94%                                   | Associate     | Equity method                         |
| RINL Powergrid TLT Private Limited ("RPTPL")         | Visakhapatnam, India | 50.00%                                   | 50.00%                                   | Joint Venture | Equity method                         |

## 6 Loans

(Unsecured and considered good unless otherwise stated)

( ₹ in Crores)

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Non-current loans</b>                                         |                             |                             |
| Loan to related party                                            |                             |                             |
| - The Orissa Mineral Development Company Ltd (Refer Note no.6.4) | 176.53                      | -                           |
| Loans to employees                                               | 0.17                        | 0.38                        |
| <b>Total Non-current loans</b>                                   | <b>176.70</b>               | <b>0.38</b>                 |

### 6.1 Particulars of Loans Receivables

|                                                        |        |      |
|--------------------------------------------------------|--------|------|
| - secured and considered good                          | 0.00   | 0.00 |
| - unsecured and considered good                        | 176.70 | 0.38 |
| - loans which have significant increase in credit risk | 0.00   | 0.00 |
| - credit impaired                                      | 0.00   | 0.00 |

### 6.2 Loans due by Directors/officers

Nil Nil

### 6.3 Loans due by private companies in which director of the Company is a director

Nil Nil

6.4 Pursuant to the exemptions granted vide notification no. G.S.R. 463(E) dated 05<sup>th</sup> June, 2013 issued by the Ministry of Corporate Affairs (MCA) for applicability of the relevant provisions of the Companies Act, 2013 and rules made thereunder to the Government Company in connection with inter corporate loans and with the approval of Ministry of Steel (MoS), vide its Lt. No. S-26015/21/2024-RINL (E-20236) RINL Division, Ministry of Steel, Govt. of India, dated 06<sup>th</sup> February, 2025, the Board of Directors of RINL have approved giving inter-corporate loan to M/s Orissa Mineral Development Corporation Limited (OMDC) (i.e., step-down subsidiary company to RINL) to the extent of ₹ 284.55 crores at the interest rate of RINL's monthly weighted average cost of working capital loans, compounded monthly and there shall be two years of moratorium period from the date of first disbursement of such loans.

For Belkundi mines Loan, the principal shall be repaid in twelve equal monthly installments; the accumulated interest shall be paid in two monthly instalments thereafter.

For Bhadrasahi mines Loan, the principal shall be repaid in eighteen equal monthly installments; the accumulated interest shall be paid in three monthly instalments thereafter from the date of liquidation of Belkundi Mines loan.

In furtherance of above, ₹ 176.53 crores (₹ 65.12 crores towards Belkundi Mines and ₹ 111.41 crores towards Bhadrasahi Mines) was released to M/s OMDC during the FY 2024-25.



**7 Other financial assets**
**( ₹ in Crores)**

| Particulars                                                         |        | 31 <sup>st</sup> March<br>2025 |        | 31 <sup>st</sup> March<br>2024 |
|---------------------------------------------------------------------|--------|--------------------------------|--------|--------------------------------|
| <b>7A Non-current other financial assets</b>                        |        |                                |        |                                |
| Security deposits                                                   |        | 5.86                           |        | 5.84                           |
| Accrued interest                                                    |        |                                |        |                                |
| - Employee loans                                                    |        | 3.43                           |        | 6.21                           |
| Other advances                                                      |        | 0.08                           |        | 0.13                           |
| <b>Total non-current other financial assets</b>                     |        | <b>9.37</b>                    |        | <b>12.18</b>                   |
| <b>7B Current other financial assets</b>                            |        |                                |        |                                |
| Advances to related parties                                         |        |                                |        |                                |
| - The Orissa Mineral Development Company Ltd                        |        | 186.03                         |        | 184.75                         |
| Current maturities of long term loans:                              |        |                                |        |                                |
| - Employee loans                                                    |        | 0.94                           |        | 2.66                           |
| Accrued interest                                                    |        |                                |        |                                |
| - Employee loans                                                    |        | 2.35                           |        | 3.56                           |
| - Loan to The Orissa Mineral Development Company Ltd                |        | 1.46                           |        | -                              |
| - Others                                                            |        | 12.67                          |        | 16.05                          |
| Security deposits (Refer Note no. 7B.2)                             |        | 464.27                         |        | 497.23                         |
| Claims recoverable from related parties                             |        |                                |        |                                |
| - International Coal Ventures Private Limited (Refer Note no. 7B.1) |        | 0.80                           |        | 0.39                           |
| - Eastern Investments Limited                                       |        | 2.28                           |        | 1.73                           |
| - Orissa Mineral Development Co. Ltd                                |        | 32.10                          |        | 13.34                          |
| - Bisra Stone Lime Company Ltd                                      |        | 2.12                           |        | 1.57                           |
| - Minas De Benga Limitada                                           |        | 18.25                          |        | 18.25                          |
| Claims recoverable                                                  | 152.54 |                                | 142.44 |                                |
| Less: Provision for doubtful claims (Refer Note no. 7B.3)           | 76.08  | 76.46                          | 82.37  | 60.07                          |
| Derivatives not designated as hedges (net)                          |        | -                              |        | 13.06                          |
| Other receivables (Refer Note no.7B.4)                              |        | 687.79                         |        | 755.11                         |
| <b>Total current other financial assets</b>                         |        | <b>1,487.52</b>                |        | <b>1,567.77</b>                |

7.1 Advances due by Directors/other officers

NIL

NIL

7B.1 Advances due by private companies in which director of the Company is a director

0.80

0.39

7B.2 ₹100.90 crores paid to Chief Electrical Inspector to Govt of AP- under protest in line with Supreme Court interim order towards electricity duty charges.

7B.3 The Company has claimed an amount of ₹275.76 crores towards property damages and Business loss caused by Hudhud Cyclone. The Surveyor recommended an amount of ₹170.59 crores and the same was considered by the insurance company. This has been duly accounted till FY 2018-19. In addition to the adhoc payment of ₹140.00 crores, the insurance company has released ₹12.48 crores in October 2019 as final settlement of claim leaving balance of ₹18.11 crores receivable as per recommendation of Surveyor.

The Company has not agreed with the settlement made by the insurance company and preferred to settle the differences through conciliatory mechanism. The same was informed to the insurance company. Accordingly, Conciliatory Forum was formed and several rounds of meetings were held. In the concluding meeting held on 12<sup>th</sup> July 2021, it was determined that the conciliation process between parties failed. As per clause 28 of NIT, on failure of conciliation, the issues are to be settled through arbitration. An opinion of the legal expert was obtained, wherein it was stated that the Company has credible ground to assert its claim in arbitration.

Since both RINL & NIA are Public sector enterprises, the dispute needs to be settled through Administrative Mechanism for Resolution of Commercial Disputes (AMRCD) through concerned Ministries. The matter

was put up to High Power Committee through Law Department for deciding on the issue of going for Arbitration (AMRCD) or not. High Power Committee in its meeting convened on 12.08.2022 recommended to initiate for resolution of dispute as per procedure laid down under AMRCD mechanism.

In furtherance of the above, an application for arbitration was referred to the Ministry of Steel vide letter dated 25.08.2022 for initiating arbitration process under AMRCD process. The process of arbitration under AMRCD will henceforth be taken care by Ministry of Steel under AMRCD process. The matter is under process with Ministry of Steel.

**7B.4 This includes**

- i) an amount of ₹ 6.39 crores (As on 31.03.2024 :- ₹ 746.45 crores ) receivable from Modern Coach Factory (MCF), Raebareli on account of Slump Sale of FWP (Refer note no: 55 B).
- ii) an amount of ₹ 593.23 crores (As on 31.03.2024 :- Nil) receivable from NMDC towards lease of land. (Refer note no: 55D)
- iii) an amount of ₹ 23.36 crores (As on 31.03.2024 :- Nil) receivable from PGCIL towards lease of land.

**8 Deferred tax Asset / Liabilities (net)**

**8A Reconciliation of effective tax rate**

(₹ in Crores)

| Particulars                                                                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Profit before tax</b>                                                                  | <b>(5,031.99)</b>           | <b>(5,218.46)</b>           |
| Tax using the Company's domestic tax rate<br>(Current year 31.2% and Previous year 31.2%) | (1,569.98)                  | (1,628.16)                  |
| <b>Tax effect of:</b>                                                                     |                             |                             |
| Non-deductible tax expenses                                                               | 20.95                       | -                           |
| Income not credited to SOPL                                                               | 2.48                        | 2.07                        |
| Income exempt/Expenses deductible from income taxes                                       | (83.88)                     | (32.51)                     |
| (Recognition)/Non-recognition of Tax losses                                               | (1,942.12)                  | 1,253.95                    |
| Earlier years effect                                                                      | (206.94)                    | -                           |
| MAT Credit Reversal                                                                       | 108.38                      | -                           |
| Others                                                                                    | 27.74                       | 35.05                       |
|                                                                                           | <b>(3,643.37)</b>           | <b>(369.60)</b>             |

**8B Recognised deferred tax assets and liabilities**

(₹ in Crores)

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Deferred tax liabilities</b>                                  |                             |                             |
| Property, Plant and Equipment and Intangible Asset               | 3,240.79                    | 3,383.17                    |
| Others                                                           | -                           | -                           |
| <b>Total deferred tax liabilities (A)</b>                        | <b>3,240.79</b>             | <b>3,383.17</b>             |
| <b>Deferred tax assets</b>                                       |                             |                             |
| Provision for Employee Benefits                                  | 379.94                      | 275.96                      |
| Provision for Doubtful Debts, Advances, Claims, interest, others | 34.90                       | 37.44                       |
| MAT Credit Entitlement                                           | -                           | 108.38                      |
| Deferred Income - PPE                                            | 30.00                       | 31.93                       |
| Losses available for offsetting future Taxable income            | 9,141.73                    | 5,593.66                    |
| Unabsorbed losses                                                | -                           | -                           |
| Others                                                           | 18.00                       | 19.90                       |
| <b>Total deferred tax assets (B)</b>                             | <b>9,604.57</b>             | <b>6,067.27</b>             |
| <b>Net Deferred Tax Liabilities / (Asset) (A-B)</b>              | <b>(6,363.78)</b>           | <b>(2,684.10)</b>           |

**8C** The company has recognised Deferred Tax Asset to the extent of ₹821 crores on ₹2,631 crores of unabsorbed business losses only out of the total available unabsorbed business losses of ₹9,558.33 crores as at the end of FY 2023-24. Thus, the company did not recognise DTA on the unabsorbed business losses to the extent of ₹6,927.33 crores (i.e., ₹9,558.33 crores – ₹2,631.00 crores) based on the assessment of adjustability of tax losses against future profits as at 31.03.2024. As on 31.03.2025, the total available unabsorbed business losses have increased to ₹12,620.44 crores. Thus, the amount of unrecognised portion of total available unabsorbed business losses as on 31.03.2025 has increased from ₹6,927.33 crores to ₹9,989.44 crores (i.e., ₹12,620.44 crores – ₹2,631.00 crores).

As at the reporting date for financial year 2024-25, the company has reviewed, both recognised and unrecognised portion, of the Deferred Tax Assets after consideration of the revival package approved by the Govt. of India and various remedial measures undertaken by the company to revive the company. Consequently, the company has recognised Deferred Tax Asset of ₹3,116.70 crs (31.2% on ₹9,989.44 crs) on the unabsorbed business losses (unrecognised portion) accumulated upto FY 2024-25, based on the forecast taxable business income expected to be available for set off over the eight immediate financial years following the FY 2024-25.

Further, based on the review of deferred tax assets, MAT credit entitlement of ₹108.38 crs has been de-recognised as at the reporting date i.e., 31.03.2025.

As a result of the revival package of ₹11,440 crores approved by the Govt. of India during the FY 2024-25 and various remedial measures undertaken, the company believes that some of the major identifiable causes leading to losses in the recent past are not expected to recur. The remedial measures undertaken include:

- o Repayment of working capital loans to reduce the interest cost,
- o Implementation of VRS to reduce employee benefit cost,
- o Maximum utilisation of installed capacity,
- o Improvement of productivity and cost competitiveness, and
- o Reduction of fixed administrative overheads etc.

Due to the above stated interventions, the company has started earning positive EBIDTA since December-2024. In due course, with the planned operationalization of Blast Furnace 3 by June/July 2025, the capacity utilisation is expected to improve significantly and would contribute to improved financial performance.

Based on the above developments, the company is optimistic about financial performance in future owing to anticipated improvement in trading conditions. Hence, the company expects that the company will have sufficient taxable business income in future against which these unused tax losses can be set off before they expire.

## 9. Other non-current assets

(₹ in Crores)

| Particulars                                                                  | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Capital advances                                                             | 415.36                      | 415.36                      |
| Advances other than capital advances -<br><u>Advances to related parties</u> |                             |                             |
| - The Bisra Stone Lime Company Limited (Trade Advance)                       | 33.65                       | 34.97                       |
| <u>Others</u>                                                                |                             |                             |
| Prepaid expenses (Refer Note no. 9.3)                                        |                             |                             |
| Employee loan                                                                | 0.05                        | 0.58                        |
| <b>Total</b>                                                                 | <b>449.06</b>               | <b>450.91</b>               |

- |     |                                                                                                                              |     |     |
|-----|------------------------------------------------------------------------------------------------------------------------------|-----|-----|
| 9.1 | Advances due by Directors/other officers                                                                                     | NIL | NIL |
| 9.2 | Advances due by private companies in which director of the Company is a director                                             | NIL | NIL |
| 9.3 | Prepaid expenses is on account of fair valuation as per IND AS 109 which will be amortised as per the amortisation schedule. |     |     |

## 10. Inventories

(₹ in Crores)

| Particulars                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------|-----------------------------|-----------------------------|
| Raw materials                                       | 1,814.01                    | 983.20                      |
| Add: In-transit/ Under inspection                   | 1,490.14                    | 1,815.18                    |
| Less: Provision for shortages                       | 722.58                      | 705.54                      |
|                                                     | <b>2,581.57</b>             | <b>2,092.84</b>             |
| Semi-finished/finished goods                        | 2,242.27                    | 2,308.91                    |
| Add: In-transit/ Under inspection                   | 9.13                        | 97.61                       |
|                                                     | <b>2,251.40</b>             | <b>2,406.52</b>             |
| Stores and spares                                   | 802.77                      | 798.36                      |
| Add: In-transit/ Under inspection                   | 4.85                        | 25.21                       |
| Less: Provision for obsolescence & Non-moving items | 65.46                       | 52.13                       |
|                                                     | <b>742.16</b>               | <b>771.44</b>               |
| <b>Total</b>                                        | <b>5,575.13</b>             | <b>5,270.80</b>             |

### Note: Valuation of inventories

- 10.1 Quantities of closing Stock of finished / semi-finished goods/Raw materials have been adopted as per book balances after duly adjusting for shortages/ excesses identified on physical verification at anytime during the year.
- 10.2 Finished / Semi-finished / Coke and Other by products are valued at lower of Cost and NRV.
- 10.3 The basis of cost of the following By-Products is as below:

|                                                                          |                                                                                    |
|--------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| a) Production Related Steel Scraps                                       | 90% of the lower of cost or domestic NRV of Pig Iron.                              |
| b) Quality Control Steel Scrap & Scrapped Semis for Internal Consumption | At their respective cost.                                                          |
| c) Production Related Iron Scraps                                        | 75% of the lower of cost or domestic NRV of Pig Iron.                              |
| d) Nut Coke                                                              | 90% of the production cost of the BF Coke.                                         |
| e) Coke Breeze                                                           | 60% of the production cost of the BF Coke.                                         |
| f) Coke Dust / Sludge                                                    | 40% of the production cost of the BF Coke.                                         |
| g) Metallurgical waste                                                   | Average procurement cost of Iron Ore Fines with due adjustment for its Fe Content. |

- 10.4 Capital inventory of ₹3.50 Crores (As on 31<sup>st</sup> March 2024 : ₹3.61 Crores) lying at different construction zones/ with contractors on the reporting date are included in CWIP (Refer Note No. 3E.1).
- 10.5 The stock of production related Iron scrap and Steel scrap has been considered in the accounts on the basis of visual survey / estimates.
- 10.6 The above inventories have been pledged as security against certain bank borrowings, details relating to which has been described in note 18.
- 10.7 The amount of write down of inventories recognised as expense during FY 2024-25 is ₹108.84 Crores (FY 2023-24 : ₹93.90 Crores)
- 10.8 Value of the inventories that are recognised as an expenses during the year is included in Changes in inventory of finished goods and work-in-progress.
- 10.9 As per the material accounting policy no. 2.5.8.2, Iron scrap and Steel scrap are to be valued at 75% and 90% respectively of the lower of cost or domestic net realisable value of pig iron.
- During the FY 2024-25, the company did not produce pig iron. Hence, an alternate basis was required in this regard which shall also be as close as possible to the existing accounting policy of the company.

"The calculation of cost of production of Pig Iron was arrived as the sum of the following:

- cost of hot metal produced in BF, and
- Incremental cost for conversion of hot metal into pig iron.

Since pig iron was not produced during the FY 2024-25, incremental cost for conversion of hot metal into pig iron was not available as per the cost sheet for the FY 2024-25. Under these circumstances, 'average incremental cost for conversion of hot metal into pig iron' for immediately preceding three normal years was taken to be the cost of average incremental cost for conversion of hot metal into pig iron for the FY 2024-25.

## 11 Trade receivables

(₹ in Crores)

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| Trade Receivables considered good - Secured                      | -                           | -                           |
| Trade Receivables considered good - Unsecured                    | 258.69                      | 222.47                      |
| Trade Receivables which have significant increase in Credit risk | -                           | -                           |
| Trade Receivables Credit impaired                                | 24.30                       | 24.30                       |
| Less: Allowance for Doubtful Debts                               | (24.30)                     | (24.30)                     |
| <b>Total</b>                                                     | <b>258.69</b>               | <b>222.47</b>               |

### Note:

- 11.1 Debts due by Directors/other officers NIL NIL
- 11.2 Debts due by private companies in which director of the Company is a director NIL NIL
- 11.3 The Company's exposure to credit and currency risks, and loss allowances related to trade receivables are disclosed in Note 50.

### Trade Receivables Aging Schedule as on 31.03.2025

(₹ in Crores)

| Particulars                                                                        | Outstanding for following periods from due date of payment |                    |                   |             |             |                  | Total         |
|------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------|-------------------|-------------|-------------|------------------|---------------|
|                                                                                    | Not Due                                                    | Less than 6 months | 6 months - 1 year | 1-2 yrs.    | 2-3 yrs.    | More than 3 yrs. |               |
| (i) Undisputed Trade receivables – considered good                                 | 166.43                                                     | 57.69              | 34.56             | -           | -           | -                | 258.69        |
| (ii) Undisputed Trade Receivables – which have significant increase in credit risk | -                                                          | -                  | -                 | -           | -           | -                | -             |
| (iii) Undisputed Trade Receivables – credit impaired                               | -                                                          | -                  | 6.80              | 0.05        | 0.12        | 10.62            | 17.58         |
| (iv) Disputed Trade Receivables – considered good                                  | -                                                          | -                  | -                 | -           | -           | -                | -             |
| (v) Disputed Trade Receivables – which have significant increase in credit risk    | -                                                          | -                  | -                 | -           | -           | -                | -             |
| (vi) Disputed Trade Receivables – credit impaired                                  | -                                                          | -                  | -                 | -           | -           | 6.72             | 6.72          |
| <b>Total</b>                                                                       | <b>166.43</b>                                              | <b>57.69</b>       | <b>41.37</b>      | <b>0.05</b> | <b>0.12</b> | <b>17.34</b>     | <b>282.99</b> |

### Trade Receivables Aging Schedule as on 31.03.2024

(₹ in Crores)

| Particulars                                                                        | Outstanding for following periods from due date of payment |                    |                   |             |             |                  | Total         |
|------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------|-------------------|-------------|-------------|------------------|---------------|
|                                                                                    | Not Due                                                    | Less than 6 months | 6 months - 1 year | 1-2 yrs.    | 2-3 yrs.    | More than 3 yrs. |               |
| (i) Undisputed Trade receivables – considered good                                 | 178.45                                                     | 44.01              | -                 | -           | -           | -                | 222.47        |
| (ii) Undisputed Trade Receivables – which have significant increase in credit risk | -                                                          | -                  | -                 | -           | -           | -                | -             |
| (iii) Undisputed Trade Receivables – credit impaired                               | -                                                          | 5.93               | 0.47              | 0.13        | 0.00        | 10.73            | 17.25         |
| (iv) Disputed Trade Receivables – considered good                                  | -                                                          | -                  | -                 | -           | -           | -                | -             |
| (v) Disputed Trade Receivables – which have significant increase in credit risk    | -                                                          | -                  | -                 | -           | -           | -                | -             |
| (vi) Disputed Trade Receivables – credit impaired                                  | -                                                          | -                  | -                 | -           | -           | 7.05             | 7.05          |
| <b>Total</b>                                                                       | <b>178.45</b>                                              | <b>49.94</b>       | <b>0.47</b>       | <b>0.13</b> | <b>0.00</b> | <b>17.78</b>     | <b>246.77</b> |



**12A. Cash and cash equivalents**
**( ₹ in Crores)**

| Particulars                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------|-----------------------------|-----------------------------|
| Cheques in hand                           | -                           | 0.11                        |
| Cash on hand                              | 0.01                        | 0.02                        |
| Balance with banks :<br>- Current account | 2.21                        | 19.73                       |
| <b>Total</b>                              | <b>2.22</b>                 | <b>19.86</b>                |

**12B. Balances with banks other than Cash and cash equivalents**
**( ₹ in Crores)**

| Particulars                                                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------------------------|-----------------------------|-----------------------------|
| Earmarked Balances with banks :<br>Prime Minister's Trophy Award Fund | 8.85                        | 8.21                        |
| Balance with banks :<br>- Deposits                                    | 191.98                      | 5.43                        |
| <b>Total</b>                                                          | <b>200.83</b>               | <b>13.64</b>                |

**13. Other tax assets (net)**
**( ₹ in Crores)**

| Particulars                                                                                    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Advance income tax<br>[net of provision for tax of ₹ NIL] (31 <sup>st</sup> March 2024: ₹ NIL) | -                           | -                           |
| <b>Total</b>                                                                                   | <b>-</b>                    | <b>-</b>                    |

**14. Other current assets**
**( ₹ in Crores)**

| Particulars                                        |        | 31 <sup>st</sup> March 2025 |        | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------|--------|-----------------------------|--------|-----------------------------|
| <b>Advances other than capital advances</b>        |        |                             |        |                             |
| - Government departments                           | 317.22 | 317.08                      | 361.62 | 361.48                      |
| Less: Provision for doubtful advances              | 0.14   |                             | 0.14   |                             |
| - Contractors                                      | 0.92   | 0.54                        | 0.87   | 0.49                        |
| Less: Provision for doubtful advances              | 0.38   |                             | 0.38   |                             |
| - Suppliers                                        | 366.68 | 361.73                      | 115.82 | 110.87                      |
| Less: Provision for doubtful advances              | 4.95   |                             | 4.9    |                             |
| - Employees                                        | 23.97  | 23.96                       | 27.00  | 26.9                        |
| Less: Provision for doubtful advances              | 0.01   |                             | 0.01   |                             |
| - Others                                           | 72.15  | 65.75                       | 59.51  | 53.11                       |
| Less: Provision for doubtful advances              | 6.40   |                             | 6.40   |                             |
| <b>Others</b>                                      |        |                             |        |                             |
| - Prepaid expenses                                 |        | 0.05                        |        | 1.12                        |
| Employee loan (Refer Note no. 14.3)                |        |                             |        |                             |
| Others                                             |        | 28.82                       |        | 31.00                       |
| - Export benefits receivable                       | 0.31   |                             | 2.19   |                             |
| Less: Provision against Export benefits receivable | 0.31   | -                           | 2.19   | -                           |
| <b>Total</b>                                       |        | <b>797.93</b>               |        | <b>585.06</b>               |

- 14.1 Advances due by Directors/ other officers NIL NIL
- 14.2 Advances due by private companies in which director of the Company is a director NIL NIL
- 14.3 Prepaid expenses is on account of fair valuation as per IND AS 109 which will be amortised as per the amortisation schedule.

**15. Asset held for Sale**
**( ₹ in Crores)**

| Particulars                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------|-----------------------------|-----------------------------|
| Asset held for Sale (Refer Note 15.1) | 4.00                        | 6.64                        |
| <b>Total</b>                          | <b>4.00</b>                 | <b>6.64</b>                 |

**15.1 Asset held for Sale:**

Status on Monetization of Non-core assets of RINL located in Visakhapatnam

- i. DIPAM conveyed in-principle approval of Alternate Mechanism to MoS for sale of approximately 24 Acres of Non-core surplus freehold land located in Visakhapatnam which were owned by RINL. The job of Monetisation was entrusted by Alternative Mechanism (AM) / Inter Ministerial Group (IMG) to M/s NLMC. M/s NLMC has engaged M/s NBCC as Technical-cum-Transaction advisor for Monetisation of non-core assets of RINL. M/s NBCC has engaged M/s RAILTEL as Auctioning agency for conducting online e-auction for sale of said non-core assets of RINL. It was decided to take up monetization of the said assets in two phases at reserve price of ₹ 916 Crs.

The details of assets approved for sale are as follows:

| Location of Property       | Extent of land in acre                          | Purchased from   |
|----------------------------|-------------------------------------------------|------------------|
| a) HB Colony, Maddilapalem | 22.90 (591 house plots including 3 pump houses) | AP Housing Board |
| b) Autonagar               | 2.0 acre(76 houses)                             | APIIC            |
| c) Pedagantyada            | 434.75 Sq. Yds (8 LIG)                          | AP Housing Board |
| <b>Total</b>               | <b>24.99 acres</b>                              |                  |

- ii. Accordingly, Monetization has been taken up in phases-I (Auction was held in March' 2024). The status w.r.t. 1<sup>st</sup> phase of auction are as follows:

| PHASE-1                                           |                   |                                             |                                               |
|---------------------------------------------------|-------------------|---------------------------------------------|-----------------------------------------------|
| Description                                       | Extent (in acres) | Reserve Price given by consultant (in ₹ Cr) | Amount quoted / received in auction (in ₹ Cr) |
| Offered for auction (130 Plots / Blocks)          | 13.90             | 480.89                                      | -                                             |
| Auctioned (72 Plots / Blocks)                     | 6.05              | 209.50                                      | 242.90                                        |
| Payments Received/ Registered (66 Plots / Blocks) | 5.67              | 193.65                                      | 225.36                                        |
| Forfeiture of bids (5 Plots / Blocks)             | 0.38              | 14.59                                       | 1.64                                          |
| <b>Total Amount Received</b>                      |                   |                                             | <b>227.00</b>                                 |
| Pending in Court (1 Plot; LIG 220)                | 0.034             | 1.26                                        | 0.23                                          |

- iii. Further, M/s NLMC was requested to make arrangements for 2<sup>nd</sup> phase of auction in consultation with other stake holders. The details of 2<sup>nd</sup> phase are as follows:

| PHASE-2                        |                      |                                                      |                                                        |
|--------------------------------|----------------------|------------------------------------------------------|--------------------------------------------------------|
| Description                    | Extent<br>(in acres) | Reserve Price<br>given by<br>consultant<br>(in ₹ Cr) | Amount quoted<br>/ received in<br>auction<br>(in ₹ Cr) |
| As per initial plan            | 18.95                | 730                                                  | -                                                      |
| Leftover in the first phase    | 0.38                 | *                                                    | -                                                      |
| Area to be offered for auction | 19.33                | *                                                    | -                                                      |

\* yet to be provided by the Valuation Agency

## 16. Share Capital

(₹ in Crores)

| Particulars                                                                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Authorised</b>                                                                                                      |                             |                             |
| 36,890,000,000 (31 <sup>st</sup> March 2024: 4,890,000,000) equity shares of ₹10 each                                  | 36,890.00                   | 4,890.00                    |
| 3,110,000,000 (31 <sup>st</sup> March 2024: 3,110,000,000) 7% non-cumulative redeemable preference shares of ₹ 10 each | 3,110.00                    | 3,110.00                    |
|                                                                                                                        | 40,000.00                   | 8,000.00                    |
| <b>Issued, subscribed and paid-up capital</b>                                                                          |                             |                             |
| 5,389,846,200 (31 <sup>st</sup> March 2024: 4,889,846,200) Equity Shares of ₹10 each.                                  | 5,389.85                    | 4,889.85                    |
| <b>Total</b>                                                                                                           | <b>5,389.85</b>             | <b>4,889.85</b>             |

- (i) Reconciliation of the number of equity shares outstanding at the beginning and at the end of the reporting year:

| Particulars                                        | 31 <sup>st</sup> March 2025 |                         | 31 <sup>st</sup> March 2024 |                         |
|----------------------------------------------------|-----------------------------|-------------------------|-----------------------------|-------------------------|
|                                                    | No. of shares               | Amount<br>(₹ in Crores) | No. of shares               | Amount<br>(₹ in Crores) |
| Shares outstanding at the commencement of the year | 4,88,98,46,200              | 4,889.85                | 4,88,98,46,200              | 4,889.85                |
| Shares issued during the year                      | 50,00,00,000                | 500.00                  | -                           | -                       |
| <b>Shares outstanding at the end of the year</b>   | <b>5,38,98,46,200</b>       | <b>5,389.85</b>         | <b>4,88,98,46,200</b>       | <b>4,889.85</b>         |

### Terms and rights attached to equity shares

The Company has only one class of shares referred to as equity shares having a par value of ₹10 each. Each holder of the equity share, as reflected in the records of the Company as of the date of the shareholder meeting, is entitled to one vote in respect of each share held for all matters submitted to vote in the shareholder meeting. The Company declares and pays dividends in Indian rupees. The Company may declare dividend in the Annual General Meeting as recommended by the Board of Directors.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the Company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

- (ii) Particulars of shareholders holding more than 5% of total number of equity shares

| Particulars                                                            | 31 <sup>st</sup> March 2025 |              | 31 <sup>st</sup> March 2024 |              |
|------------------------------------------------------------------------|-----------------------------|--------------|-----------------------------|--------------|
|                                                                        | No. of shares               | % of holding | No. of shares               | % of holding |
| Equity shares of ₹ 10 each, fully paid up held by President of India * | 5,38,98,46,200              | 100%         | 4,88,98,46,200              | 100%         |

\* includes 800 shares held by CMD and Directors appointed by the Govt. of India

(iii) Particulars of shares held by promoters

| Particulars        | 31 <sup>st</sup> March 2025 |                   |                            | 31 <sup>st</sup> March 2024 |                   |                            |
|--------------------|-----------------------------|-------------------|----------------------------|-----------------------------|-------------------|----------------------------|
|                    | No. of shares               | % of Total Shares | % Change During FY 2024-25 | No. of shares               | % of Total Shares | % Change During FY 2023-24 |
| President of India | 5,38,98,46,200              | 100               | NIL                        | 4,88,98,46,200              | 100               | NIL                        |

(iv) Company does not have any holding company as at 31<sup>st</sup> March 2025 / 31<sup>st</sup> March 2024

(v) For the period of five years immediately preceeding the reporting date -

- The Company has not allotted any shares for consideration other than for cash.
- The Company has neither issued bonus shares nor has bought back any shares .

**Increase of Authorised Share Capital to ₹ 40,000 crores:**

The authorised share capital of the company as at 31<sup>st</sup> March, 2024 is ₹8,000 crores (Rupees Eight Thousand Crores) divided into 489,00,00,000 (Four Hundred Eighty Nine Crores) equity shares of ₹10/- each and 311,00,00,000 (Three Hundred Eleven Crores) preference shares of ₹10/- each.

Vide 363<sup>rd</sup> meeting of the Board held on 16<sup>th</sup> September, 2024, the Board has resolved to recommend for approval of the members of the company a proposal to increase the authorised share capital of the company from ₹4,890 crores divided into 489,00,00,000 equity shares of ₹10/- each to ₹11890 crores divided into 1189,00,00,000 equity shares of ₹10/- each by further creation of ₹7,000 crores divided into 700,00,00,000 equity shares of ₹10/- each, thereby enhancing the authorised share capital to ₹15,000 crores. The recommendation of the Board was passed by 14<sup>th</sup> EGM of the members of RINL held on 18<sup>th</sup> September, 2024.

Subsequently, vide EGM held on 6<sup>th</sup> March 2025, the consent of the members was accorded to increase the authorised share capital of the company from ₹15,000 crores (Rupees Fifteen Thousand Crores) divided into 1189,00,00,000 equity shares of ₹10/- each and 311,00,00,000 preference shares of ₹10/- each to ₹40,000 crores (Rupees Forty Thousand Crores) divided into 3689,00,00,000 equity shares of ₹10/- each and 311,00,00,000 preference shares of ₹10/- each.

Necessary filings before RoC have been completed and amendments to Memorandum of Association and Articles of Association have been carried out with the approval of competent authority.

**Issue of Equity Share Capital as a part of Revival Package approved by CCEA:**

**₹500 crores:** During the year, in pursuance of the Board resolution passed in its 364<sup>th</sup> meeting held on 18<sup>th</sup> September, 2024, 50,00,00,000 (Fifty Crores) equity shares of ₹10/- each at a price of ₹10/- each on rights basis amounting to ₹ 500 crores were allotted on 28.10.2024 to the existing shareholders of the Company in the same proportion as nearly as circumstances admit to the paid up equity capital of the company.

**₹6,783 crores:** During the year, against the receipt of ₹6,783 crores by GoI, 678,30,00,000 equity shares of ₹10/- each at a price of ₹10/- each on rights basis amounting to ₹6,783 crores were allotted on 17.04.2025 to the existing shareholders of the Company in the same proportion as nearly as circumstances admit to the paid up equity capital of the company. The said proceeds of ₹6,783 crores was accounted under share application money pending allotment which is included within 'Other Equity' in the Balance Sheet.

**₹1,401 crores:** In pursuance of the Board resolution passed in its 375<sup>th</sup> meeting held on 21<sup>st</sup> May, 2025, 140,10,00,000 equity shares of ₹10/- each at a price of ₹10/- each on rights basis amounting to ₹1,401 crores were allotted on 21.05.2025 to the existing shareholders of the Company in the same proportion as nearly as circumstances admit to the paid up equity capital of the company.

The paid up Share capital of the company stands at ₹5,389.85 crores as on 31.03.2025 and ₹13573.85 crores as at the time of preparation of these financial statements.

**17. Other equity**
**( ₹ in Crores)**

| Particulars                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------|-----------------------------|-----------------------------|
| <b>Reserves and surplus</b>                         |                             |                             |
| <b>A. Retained earnings</b>                         |                             |                             |
| Balance at the commencement of the year             | (12,365.61)                 | (7,436.08)                  |
| Add: Surplus as per Statement of Profit and Loss    | (1,388.62)                  | (4,848.86)                  |
| Add: Other comprehensive income (net of tax)        | (218.62)                    | (80.67)                     |
| <b>Balance at the end of the year</b>               | <b>(13,972.85)</b>          | <b>(12,365.61)</b>          |
| <b>B. Other reserves</b>                            |                             |                             |
| <b>Capital Redemption Reserve</b>                   |                             |                             |
| Balance at the commencement of the year             | 2,937.47                    | 2,937.47                    |
| Movement during the year                            | -                           | -                           |
| <b>Balance at the end of the year</b>               | <b>2,937.47</b>             | <b>2,937.47</b>             |
| <b>Total reserves and surplus</b>                   | <b>(11,035.38)</b>          | <b>(9,428.14)</b>           |
| <b>C. Share application money pending allotment</b> |                             |                             |
| Balance at the commencement of the year             | -                           | -                           |
| Received during the year                            | 7,283.00                    | -                           |
| Allotted during the year                            | (500.00)                    | -                           |
| <b>Balance at the end of the year</b>               | <b>6,783.00</b>             | <b>-</b>                    |
| <b>Total Other equity</b>                           | <b>(4,252.38)</b>           | <b>(9,428.14)</b>           |

**18. Borrowings**
**( ₹ in Crores)**

| Particulars                                                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>18A Non-current borrowings</b>                                     |                             |                             |
| Term loan from banks                                                  |                             |                             |
| - Secured bank loans                                                  | 5,538.68                    | 7,279.61                    |
| - Unsecured bank loans                                                | -                           | -                           |
| Current maturities of term loans                                      | 1,711.07                    | 1,759.79                    |
|                                                                       | 7,249.75                    | 9,039.40                    |
| Less: Amount included in Current Borrowings                           | 1,711.07                    | 1,759.79                    |
| <b>Total non-current borrowings</b>                                   | <b>5,538.68</b>             | <b>7,279.61</b>             |
| <b>18B Current borrowings</b>                                         |                             |                             |
| Loans from Banks                                                      |                             |                             |
| - Secured working capital borrowings (Charge against Current assets)  | 2,010.69                    | 3,998.45                    |
| - Secured foreign currency facilities (Charge against Current assets) | 253.32                      | 1,074.31                    |
| - Unsecured working capital borrowings                                | 1,018.56                    | 4,504.22                    |
| Loans from other parties                                              |                             |                             |
| - Unsecured working capital borrowings ( Refer Note no 18 B.1)        | 1,140.00                    | -                           |
| Current maturities of long term loans                                 | 1,711.07                    | 1,759.79                    |
| <b>Total current borrowings</b>                                       | <b>6,133.64</b>             | <b>11,336.77</b>            |

18B.1 The company has received a working capital Loan of ₹1,140 crores from Government of India on 27.09.2024. The said working capital loan carries an interest rate of 9%. As per the terms of loan, it is repayable after moratorium period of 2 years and the period of repayment is 5 years.

The Finance cost reported in the Profit and Loss Account includes expense towards interest of ₹52.28 Crs accrued upto 31.03.2025 on the said working capital loan.

In terms of the revival package approved by the CCEA, the GoI approved for conversion of ₹1,140 crores of working capital loan as 7% Non-cumulative Preference Share Capital redeemable after 10 years. The said conversion is expected to take place during FY 2025-26.



**18C Terms of repayment and Nature of Security of Term Loans  
Secured Term Loans**
**( ₹ in Crores)**

| Security                                                                                                                                                                                                                                                          | Terms of Repayment                                                                                                                                                                                                                                                                                          | Bank                | 31 <sup>st</sup> March 2025 |         | 31 <sup>st</sup> March 2024 |         |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------------|---------|-----------------------------|---------|
|                                                                                                                                                                                                                                                                   |                                                                                                                                                                                                                                                                                                             |                     | Non - Current               | Current | Non - Current               | Current |
| Primary security - Pari passu 1 <sup>st</sup> charge on current assets of the Company along with other secured WC lenders by way of hypothecation charge.<br><br>Collateral security – Pari passu 1 <sup>st</sup> charge on Company's fixed assets with FACR 1.33 | Consecutive quarterly installments, the first of which is to be paid in the quarter ending 31 <sup>st</sup> Dec, 2023 and the last instalment is payable in quarter ending 30 <sup>th</sup> Sep, 2028.                                                                                                      | State Bank of India | 749.51                      | 300.00  | 1,051.87                    | 300.00  |
| Pari passu 1 <sup>st</sup> charge on entire fixed assets including CWIP with an FACR of 1.33                                                                                                                                                                      | Consecutive quarterly installments, the first of which is paid in the quarter ending 31 <sup>st</sup> March, 2017 and the last installment in the quarter payable in quarter ending 31 <sup>st</sup> March, 2031. Principal and Interest Moratorium will be paid in extended tenor of two quarters.         | State Bank of India | 1,956.49                    | 375.00  | 2,331.49                    | 375.00  |
| Pari passu first charge on entire fixed assets including CWIP with an FACR of 1.33                                                                                                                                                                                | Consecutive quarterly installments, the first of which shall be payable in quarter ending 30 <sup>th</sup> June, 2018 and the last installment in the quarter ending 31 <sup>st</sup> March, 2031. Principal and Interest Moratorium will be paid in extended tenor of two quarters.                        | State Bank of India | 846.51                      | 225.00  | 1,071.09                    | 225.00  |
| Hypothecation of movable fixed assets including plant & machinery created out of proceeds of the term loan.                                                                                                                                                       | Consecutive quarterly Installments, the first of which shall be payable in the quarter ending 28 <sup>th</sup> September, 2022 and the last installment in quarter ending 28 <sup>th</sup> June, 2027. Interest Moratorium will be paid in 20 equal quarterly instalments along with principal instalments. | Canara Bank         | 258.80                      | 207.04  | 465.84                      | 207.04  |

| Security                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Terms of Repayment                                                                                                                                                                                                                                                                                              | Bank                | 31 <sup>st</sup> March 2025 |         | 31 <sup>st</sup> March 2024 |         |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------------|---------|-----------------------------|---------|
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                 |                     | Non - Current               | Current | Non - Current               | Current |
| First pari-passu Charge by way of hypothecation on fixed assets with FACR of 1.25:1 to be maintained at any point of time during the entire currency of term loan.                                                                                                                                                                                                                                                                                                                               | Consecutive quarterly Installments, the first of which shall be payable in the quarter ending 30 <sup>th</sup> June, 2022 and the last installment in quarter ending 30 <sup>th</sup> September, 2027.                                                                                                          | Bank of Baroda      | 49.63                       | 39.75   | 89.38                       | 39.75   |
| Pari Passu first charge on the movable fixed assets of the company both present and future, including the plant and machinery purchased out of the term loan.                                                                                                                                                                                                                                                                                                                                    | Consecutive quarterly Installments, the first of which shall be payable in the quarter ending 21 <sup>st</sup> December, 2023 and the last installment in quarter ending 21 <sup>st</sup> September, 2028. Interest Moratorium will be paid in 20 equal quarterly instalments along with principal instalments. | Canara Bank         | 769.32                      | 307.73  | 1,077.04                    | 307.73  |
| Hypothecation by way of first pari passu charge on all existing/ future machinery/ plant/vehicle/capital goods/assets/ craft and all those assets/ movable properties and/or capable of passing by delivery, whether installed or not and whether now lying loose or in cases and now being or at any time brought into or upon or at any time in course of transit to the premises/factory of the borrower at Visakhapatnam Steel Plant, Visakhapatnam-530031 and their other plants/ branches. | Consecutive quarterly installments, the first of which is paid in the quarter ending 31 <sup>st</sup> December, 2020 and the last installment in quarter ending 30 <sup>th</sup> September, 2025. Interest Moratorium will be paid in six monthly installments after the last principle instalment.             | Union Bank of India | -                           | -       | 71.42                       | 100.00  |
| First paripassu Charge by way of hypothecation on fixed assets of 1.25:1 to be maintained at any point of time during the entire currency of term loan.                                                                                                                                                                                                                                                                                                                                          | Consecutive quarterly installments, the first of which shall be payable in the quarter ending 31 <sup>st</sup> May, 2023 and the last instalment in quarter ending 31 <sup>st</sup> Aug, 2028.                                                                                                                  | Bank of Baroda      | 145.68                      | 64.75   | 210.43                      | 64.75   |



| Security                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | Terms of Repayment                                                                                                                                                                                                                                                                                      | Bank                | 31 <sup>st</sup> March 2025 |                 | 31 <sup>st</sup> March 2024 |                 |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------------|-----------------|-----------------------------|-----------------|
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |                                                                                                                                                                                                                                                                                                         |                     | Non - Current               | Current         | Non - Current               | Current         |
| First pari-passu charge on the fixed assets including Plant & Machinery of the Company both present and future situated at the premises/factory at Visakhapatnam Steel Plant, Visakhapatnam-530031 on as is where is basis to all the Capex lenders with FACR not less than 1.33 times for the term loan of Indian Bank                                                                                                                                                                              | Consecutive quarterly Installments, the first of which shall be payable in the month ending 31 <sup>st</sup> October, 2022 and the last installment in month ending 31 <sup>st</sup> July, 2034.<br><br>Interest Moratorium will be paid in two quarterly instalments in October 2024 and January 2035. | Indian Bank         | 527.66                      | 90.00           | 599.26                      | 70.28           |
| Pari passu first charge on the fixed assets including Plant & Machinery of the Company both present and future situated at the premises/ factory at Visakahapatnam steel plant, Visakhapatnam - 530031 with FACR not less than 1.33 times for the term loan of Indian Bank (e-AB).                                                                                                                                                                                                                   | Consecutive quarterly Installments, the first of which shall be payable in the month ending April, 2025 and the last installment in month ending January, 2030. Interest Moratorium will be repaid in single quarterly instalments along with 1 <sup>st</sup> principal installment in April 2025.      | Indian Bank         | 235.08                      | 101.80          | 311.79                      | 25.09           |
| Hypothecation by way of first pari passu charge on all existing/ future machinery/ plant/vehicle/capital goods/ assets/ craft and all those assets/ movable properties capable of passing by delivery, whether installed or not and whether now lying loose or in cases and now being or at any time hereafter brought into or upon or at any time in course of transit to the premises/factory of the borrower at Visakhapatnam Steel Plant, Visakhapatnam-530031 and their other plants/ branches. | Consecutive quarterly Installments, the first of which shall be payable in the month ending May, 2022 and the last installment in month ending July, 2024. Interest Moratorium will be paid in six monthly installments after the last principle instalment.                                            | Union Bank of India | -                           | -               | -                           | 45.15           |
| <b>Total (A)</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                         |                     | <b>5,538.68</b>             | <b>1,711.07</b> | <b>7,279.61</b>             | <b>1,759.79</b> |

**18D Loans guaranteed by Directors and others**

Nil

Nil

**18E Default in repayment of loans and interest**

| Nature of borrowing, including debt securities | Name of lender            | Amount not paid on due date | Whether principal or interest | No. of days delay or unpaid | Reasons for Default                                                                                                                       | Remedy Taken                                                      |
|------------------------------------------------|---------------------------|-----------------------------|-------------------------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| STL/WCDL                                       | Indian Bank               | 400                         | Principal                     | 6-19 days                   | Due to liquidity crisis of company, closure of STL/ WCDL's were delayed at different point of times during the period even after rollover | Cleared all defaults and regularized by 16 <sup>th</sup> Jan 2025 |
|                                                | Indian Bank               | 400                         | Principal                     | 57-75 days                  |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 200                         | Principal                     | 2-5 days                    |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 870                         | Principal                     | 1-29 days                   |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 1865                        | Principal                     | 9-63 days                   |                                                                                                                                           |                                                                   |
|                                                | UBI (e-Andhra)            | 126                         | Principal                     | 6-31 days                   |                                                                                                                                           |                                                                   |
|                                                | UBI (e-Andhra)            | 268                         | Principal                     | 4-65 days                   |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 100                         | Principal                     | 83-84 days                  |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 100                         | Principal                     | 68-71 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 630                         | Principal                     | 74-82 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 716                         | Principal                     | 42-63 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank (e-Syndicate) | 1000                        | Principal                     | 74-82 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank (e-Syndicate) | 1000                        | Principal                     | 53-63 days                  |                                                                                                                                           |                                                                   |
|                                                | IDBI                      | 85                          | Principal                     | 1-2 days                    |                                                                                                                                           |                                                                   |
|                                                | Punjab National Bank      | 100                         | Principal                     | 1 day                       |                                                                                                                                           |                                                                   |
| CC/OD/WCDL                                     | State Bank of India       | 28                          | Interest                      | 2-30 days                   | Insufficient Funds                                                                                                                        |                                                                   |
|                                                | Indian Bank               | 11                          | Interest                      | 13-84 days                  |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 10                          | Interest                      | 16-85 days                  |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 7                           | Interest                      | 16-47 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 91                          | Interest                      | 23-73 days                  |                                                                                                                                           |                                                                   |
|                                                | Punjab National Bank      | 30                          | Interest                      | 4-52 days                   |                                                                                                                                           |                                                                   |
| LONG TERM LOANS                                | Bank of Baroda            | 62                          | Principal                     | 16-84 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 386                         | Principal                     | 19-90 days                  |                                                                                                                                           |                                                                   |
|                                                | Indian Bank               | 36                          | Principal                     | 20-77 days                  |                                                                                                                                           |                                                                   |
|                                                | State Bank of India       | 675                         | Principal                     | 16-85 days                  |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 95                          | Principal                     | 16-87 days                  |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 19                          | Interest                      | 16-65 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 120                         | Interest                      | 19-90 days                  |                                                                                                                                           |                                                                   |
|                                                | Indian Bank               | 43                          | Interest                      | 9-84 days                   |                                                                                                                                           |                                                                   |
|                                                | State Bank of India       | 271                         | Interest                      | 16-78 days                  |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 122                         | Interest                      | 16-85 days                  |                                                                                                                                           |                                                                   |

**18F Reconciliation of liabilities arising from financing activities**
**( ₹ in Crores)**

| Particulars                                                                 | 31 <sup>st</sup> March 2024 | Cash Flows :<br>Inflow /<br>(outflow) | Non-Cash Changes                |                      | 31 <sup>st</sup> March 2025 |
|-----------------------------------------------------------------------------|-----------------------------|---------------------------------------|---------------------------------|----------------------|-----------------------------|
|                                                                             |                             |                                       | Foreign<br>Exchange<br>Movement | Fair Value<br>Change |                             |
| Long-Term Borrowings (including Current maturities of loan term borrowings) | 9039.40                     | (1,789.65)                            | -                               | -                    | 7249.75                     |
| Short Term Borrowings                                                       | 9576.98                     | (5,149.21)                            | (5.20)                          | -                    | 4422.57                     |

**18G The Company has used the Borrowings from the Banks and Financial Institutions for the specific purpose for which it was obtained.**

**19 Lease Liabilities**
**( ₹ in Crores)**

| Particulars                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------|-----------------------------|-----------------------------|
| <b>19A Non-current</b>                     |                             |                             |
| Lease Liabilities                          | -                           | -                           |
| <b>Total Non-current Lease Liabilities</b> | <b>-</b>                    | <b>-</b>                    |
| <b>19B Current</b>                         |                             |                             |
| Lease Liabilities                          | -                           | -                           |
| <b>Total Current Lease Liabilities</b>     | <b>-</b>                    | <b>-</b>                    |

Note : The details of leases are provided at Note 49

**20. Other financial liabilities**
**( ₹ in Crores)**

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>20A Non-current other financial liabilities</b>               |                             |                             |
| Security deposits (Refer Note no. 20A.1)                         | 250.85                      | 153.05                      |
| <b>Total non-current other financial liabilities</b>             | <b>250.85</b>               | <b>153.05</b>               |
| <b>20B Current other financial liabilities</b>                   |                             |                             |
| Interest accrued but not due on borrowings (Refer Note no.20B.1) | 67.87                       | 21.21                       |
| Earnest money, security & other deposits (Refer Note no.20B.2)   | 422.58                      | 492.40                      |
| Payable for Capital Projects                                     | 798.19                      | 785.76                      |
| Other financial liabilities (Refer Note no.20B.3)                | 4,954.04                    | 4,108.32                    |
| <b>Total current other financial liabilities</b>                 | <b>6,242.68</b>             | <b>5,407.69</b>             |

20A.1 This includes performance retention deposits of ₹108.77 Crores ( As on 31<sup>st</sup> Mar 2024: ₹108 Crores) from the contractors which is repayable upon successful performance as per the terms of the contract.

20B.1 This includes an interest of ₹52.28 Crores for loan from GOI. (Refer Note no.18B.1)

20B.2 This includes deposit of ₹251.49 Crores (As on 31<sup>st</sup> Mar 2024: ₹274.38 Crores) towards Employee Family Benefit Scheme. The company has obtained exemption from Ministry of Finance, Government of India for collecting the said deposits and for operation of the scheme. Under this scheme, the nominee of the deceased/ permanently disabled employee will receive a fixed amount of pension from the company as envisaged in the scheme.

20B.3 A.This includes net liability of ₹397.85 Crores (As on 31<sup>st</sup> Mar 2024: ₹ 402.13 Crores) towards provision on account of -



- i. Pension effective from 01.01.2007 in respect of Onrolls Executive employees, and w.e.f. 01.01.2012 in respect of Onrolls Non-executive employees upto 31.03.2019.
  - ii. Differential pension provision due to profit year for FY 2021-22.
  - iii. Arrears of disputed amount of Executive PRP pending for final settlement (Relating to FY 2007-08 to FY 2014-15), and
  - iv. Executive PRP pending for settlement (Relating to FY 2021-22)
- B. This includes Bill discounting liability of ₹1995.29 Crores (As on 31<sup>st</sup> March 2024: ₹1564.54 Crores)
- C. This includes an amount of ₹826.78 Crores (As on 31<sup>st</sup> March 2024: ₹ 953.19 Crores) payable to M/s.TISPL which also includes provision for interest of ₹42.99 crores (As on 31<sup>st</sup> March 2024: ₹ 2.86 Crs)
- Against the TISPL's claim of interest, the company has admitted interest @ 1 yr SOFR rate . Accordingly, ₹ 42.34 crores towards differential interest (i.e., Claim rate - SOFR rate) is treated as and included within Contingent Liabilities as on 31.03.2025.
- D. The company has differences with M/s AGPL on the amount of Total Handling charges payable per ton of raw materials handled at the Gangavaram Port. The company has approached Hon'ble High Court of Andhra Pradesh for relief in this matter. Pending disposal of the matter by the Hon'ble court, the differential claim of the agency is kept under withheld account.

## 21. Provisions

( ₹ in Crores)

| Particulars                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------|-----------------------------|-----------------------------|
| <b>21A Non-current provisions</b>                 |                             |                             |
| <b>Provision for employee benefits</b>            |                             |                             |
| Liability for compensated absences                | 701.19                      | 363.27                      |
| Liability for retirement benefits                 | 739.34                      | 572.56                      |
| Liability for employee family benefit scheme      | 100.01                      | 119.69                      |
| Liability for service awards                      | -                           | 38.98                       |
| Liability for leave travel concession             | 14.28                       | 17.66                       |
| <b>Total provisions for employee benefits (A)</b> | <b>1,554.82</b>             | <b>1,112.16</b>             |
| <b>Other provision</b>                            |                             |                             |
| Provision for mines closure obligation            | 7.27                        | 7.17                        |
| <b>Total other provision (B)</b>                  | <b>7.27</b>                 | <b>7.17</b>                 |
| <b>Total non-current provisions (A+B)</b>         | <b>1,562.09</b>             | <b>1,119.33</b>             |
| <b>21B Current provisions</b>                     |                             |                             |
| <b>Provision for employee benefits</b>            |                             |                             |
| Liability for gratuity                            | 472.87                      | 312.74                      |
| Liability for compensated absences                | 50.24                       | 52.21                       |
| Liability for retirement benefits                 | 37.49                       | 26.86                       |
| Liability for employee family benefit scheme      | 43.41                       | 48.65                       |
| Liability for service awards                      | -                           | 12.75                       |
| Liability for leave travel concession             | 15.38                       | 18.28                       |
| <b>Total provisions for employee benefits (A)</b> | <b>619.39</b>               | <b>471.49</b>               |
| <b>Total current provisions</b>                   | <b>619.39</b>               | <b>471.49</b>               |

**Movement in other provision**
**( ₹ in Crores)**

| Particulars                                  | Mine closure obligation |
|----------------------------------------------|-------------------------|
| Balance at 1 <sup>st</sup> April 2024        | 7.17                    |
| Provisions made during FY 2024-25            | 0.10                    |
| <b>Balance at 31<sup>st</sup> March 2025</b> | <b>7.27</b>             |

**Mine closure obligation**

A provision for mine closure obligation is recognised considering the future obligation on the company for the restoration of mines.

| Name of the Mine               | Lease expiry |
|--------------------------------|--------------|
| Jaggayyapeta                   | 7-Aug-2030   |
| Madharam                       | 13-Jul-2040  |
| Garbham (Refer Note No. 21A.1) | 7-Oct-2022   |

21A.1. With respect to the Mining Lease of Garbham Manganese Mine covering 264.54 Hectares, deemed extension has been granted up to 07.10.2032 by the Government vide G.O M.S. No. 44, dated 13.08.2024. Further, extension of Environment Clearance (EC) has also been granted by MoEF & CC on 11<sup>th</sup> December 2024, which is valid up to 07/10/2032 for a quantity of 18,000 TPA (50 TPD).

Currently execution of mining lease deed is pending and the said mine can be operated on execution of mining lease only. Presently, dispatch of manganese is being done from the available stocks at GMM.

**22A Other non current liabilities**
**( ₹ in Crores)**

| Particulars                    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------|-----------------------------|-----------------------------|
| <b>Others</b>                  |                             |                             |
| <b>Deferred income</b>         |                             |                             |
| Lease :                        |                             |                             |
| NMDC (Refer Note 22 A.1)       | 1,422.73                    | -                           |
| PGCIL (Refer Note 22 A.2)      | 93.21                       |                             |
| Others                         | 7.52                        | -                           |
| Trophy Fund (Refer Note 22A.3) | 8.85                        | 8.21                        |
| <b>Total</b>                   | <b>1,532.31</b>             | <b>8.21</b>                 |

**Deferred income**
**22A.1 Lease of land to M/s NMDC Ltd.**

The company has entered into lease agreement with M/s NMDC Ltd. on 30<sup>th</sup> April 2025 for lease of 1167 acres of land located within the premises of Visakhapatnam Steel Plant for a lease period of 30 years w.e.f 04<sup>th</sup> September 2024 for setting up of industrial facilities including a slurry pipeline, a pellet plant and other related facilities that would also be in the larger interest of the RINL for its long term raw material security. The terms of the said lease deed provide for payment of upfront premium of ₹1502 crores (one time) and security deposit of ₹ 90.12 crores (one time) with ground rent being ₹1/- per annum for 1167 acres. (Refer Note No. 55D for further details).

**22A.2 Lease of land to M/s PGCIL.**

M/s PGCIL was allotted 129.25 acres of land on lease basis for a period of 33 years with effect from 23.03.1989. The lease period w.r.t said lease was expired in March'2022 and M/s PGCIL has requested the company for renewal of said lease. Subsequently, RINL's Board has accorded approval for renewal of lease on payment of land premium of ₹107.55 crores (one time) and security deposit of ₹6.45 Crores (one time) with ground rent being ₹1/- per annum for 129.25 acres for a lease period of 30 years, while extendable

by another 30 years on mutually agreed terms. RINL's Board, while approving the lease, has recommended for taking up the proposal with Ministry of Steel (MoS), Govt of India (GoI) for necessary approvals. At present, the approval from Ministry of Steel (MoS), Govt of India (GoI) is awaited and consequently the lease deed is yet to be executed.

### 22A.3 Trophy Fund

The grant relating to Trophy fund represents the unspent amount received on account of Prime Minister Trophy, Steel Minister Trophy and Steel Minister Development fund including interest earned. The same has to be spent for specific purposes and will be amortised over the period in which the cost incurred shall be recognised. Wherever the Trophy Fund deposit is utilised for construction of any asset, the transfer from the Trophy Fund is effected only on capitalisation of said assets.

### PM Trophy Fund and PM Trophy Fund Deposit changes during FY 2024-25

(₹ in Crores)

|                               | Note : 12B | Note : 22A  |
|-------------------------------|------------|-------------|
| Particulars                   | Deposit    | Trophy Fund |
| Opening balance               | 8.21       | 8.21        |
| Add: Interest during the year | 0.64       | 0.64        |
| Less: Utilisation             | -          | -           |
| Closing Balance               | 8.85       | 8.85        |

### 22B Government Grants Deferred - PPE

(₹ in Crores)

| Particulars                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------|-----------------------------|-----------------------------|
| Deferred income-Government Grants    |                             |                             |
| Non Current                          | 89.95                       | 96.15                       |
| Current                              | 6.19                        | 6.18                        |
| <b>Total Government Grants - PPE</b> | <b>96.14</b>                | <b>102.33</b>               |

The grants relating to PPE represents unamortised Subsidy received from Government towards establishment of 5 MW Solar Power Plant, Government Grant received towards the value of Plant & Machinery supplied free of cost by NEDO, Nodal Agency of Japan Government, under the MOU entered between Government of India and NEDO and unamortised value of PPE acquired out of Trophy Fund. This amount will be amortised over the useful life of the relevant asset as per Accounting policy no. 2.17

There are no unfulfilled conditions or contingencies attached to these grants.

Breakup of Value of grants relating to PPE :

(₹ in Crores)

| Particulars                                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| 5 MW Solar Power Plant                                                           | 3.43                        | 3.63                        |
| PM Trophy Fund - Air Conditioners in CWC-II, Wellness center for employees, etc. | 1.52                        | 1.80                        |
| NEDO Grant                                                                       | 91.19                       | 96.90                       |
| <b>Total</b>                                                                     | <b>96.14</b>                | <b>102.33</b>               |

### 23 Trade payables

(₹ in Crores)

| Particulars                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Trade payables</b>                                                      |                             |                             |
| -Total outstanding dues of Micro Enterprises and Small Enterprises         | 59.25                       | 199.87                      |
| -Total outstanding dues Other than Micro Enterprises and Small Enterprises | 8,546.21                    | 6,303.00                    |
| <b>Total</b>                                                               | <b>8,605.46</b>             | <b>6,502.87</b>             |

**23.1 All trade payables are 'current'.**

Reconciliation is pending for Eastern Coal Fields, Bharat Coking Coal, Singareni Coalfields as on 31.03.2025 with books of accounts.

The Company's exposure to currency and liquidity risks related to trade payables is disclosed in Note 50

**Note : Information relating to 'Supplier' under the provisions of Micro, Small and Medium Enterprise Development Act, 2006**

| Particulars                                                                                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| (i) The amounts due thereon remaining unpaid to any supplier as at the end of the year                                                        |                             |                             |
| - Principal                                                                                                                                   | 4.93                        | 118.57                      |
| - Interest                                                                                                                                    | 2.36                        | 2.36                        |
| (ii) Payments made beyond the appointed day and interest thereon during the year                                                              | Nil                         | Nil                         |
| (iii) The amount of interest due and payable for the period of delay in making payments but without adding the interest specified in the act. | Nil                         | Nil                         |
| (iv) The amount of interest accrued and remaining unpaid at the end of the year                                                               | Nil                         | Nil                         |
| (v) The amount of further interest remaining due and payable in the succeeding year until the date such interest is actually paid             | Nil                         | Nil                         |

**Trade Payables Aging Schedule as on 31<sup>st</sup> March 2025**
**(₹ in Crores)**

| Particulars                | Outstanding for following periods from due date of payment |                 |                 |                 |               |                  | Total           |
|----------------------------|------------------------------------------------------------|-----------------|-----------------|-----------------|---------------|------------------|-----------------|
|                            | Unbilled                                                   | Not Due         | Less than 1 yr. | 1-2 yrs.        | 2-3 yrs.      | More than 3 yrs. |                 |
| (i) MSME                   | 11.80                                                      | 40.16           | 4.93            | 2.36            | -             | -                | 59.25           |
| (ii) Others                | 1,239.85                                                   | 1,683.52        | 3,338.91        | 2,152.61        | 131.32        | -                | 8,546.21        |
| (iii) Disputed dues- MSME  | -                                                          | -               | -               | -               | -             | -                | -               |
| (iv) Disputed dues- Others | -                                                          | -               | -               | -               | -             | -                | -               |
| <b>Total</b>               | <b>1,251.65</b>                                            | <b>1,723.68</b> | <b>3,343.84</b> | <b>2,154.97</b> | <b>131.32</b> | <b>-</b>         | <b>8,605.46</b> |

**Trade Payables Aging Schedule as on 31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                | Outstanding for following periods from due date of payment |                 |                 |               |              |                  | Total           |
|----------------------------|------------------------------------------------------------|-----------------|-----------------|---------------|--------------|------------------|-----------------|
|                            | Unbilled                                                   | Not Due         | Less than 1 yr. | 1-2 yrs.      | 2-3 yrs.     | More than 3 yrs. |                 |
| (i) MSME                   | 7.51                                                       | 71.43           | 120.93          | -             | -            | -                | 199.87          |
| (ii) Others                | 1,961.61                                                   | 1,291.10        | 2,625.17        | 369.12        | 56.00        | -                | 6,303.00        |
| (iii) Disputed dues- MSME  | -                                                          | -               | -               | -             | -            | -                | -               |
| (iv) Disputed dues- Others | -                                                          | -               | -               | -             | -            | -                | -               |
| <b>Total</b>               | <b>1,969.12</b>                                            | <b>1,362.53</b> | <b>2,746.10</b> | <b>369.12</b> | <b>56.00</b> | <b>-</b>         | <b>6,502.87</b> |

**24. Derivatives - Liabilities**
**(₹ in Crores)**

| Particulars                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------|-----------------------------|-----------------------------|
| Foreign exchange contracts (net) | 37.90                       | -                           |
| <b>Total</b>                     | <b>37.90</b>                | <b>-</b>                    |

**25 Other current liabilities**
**(₹in Crores)**

| Particulars                                  | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------|-----------------------------|-----------------------------|
| Income Received in advance                   | 0.20                        | 1.06                        |
| Advances from customers (Refer Note no.25.1) | 1,495.19                    | 1,635.01                    |
| Statutory Liabilities                        | 466.89                      | 739.98                      |
| Other advances                               | 54.24                       | 13.87                       |
| <b>Total</b>                                 | <b>2,016.52</b>             | <b>2,389.92</b>             |

25.1 This includes an amount of ₹ 932.48 Crores (As on 31<sup>st</sup> March 2024 : ₹ 841.05 Crores) received from M/s.JSPL.

**26A Capital Work in Progress Aging schedule as on 31<sup>st</sup> March 2025**
**(₹in Crores)**

| CWIP                           | Amount in CWIP for a period of |               |               |                   | Total         |
|--------------------------------|--------------------------------|---------------|---------------|-------------------|---------------|
|                                | Less than 1 year               | 1-2 years     | 2-3 years     | More than 3 years |               |
| Projects in progress           | 94.78                          | 176.44        | 117.67        | 492.40            | <b>881.29</b> |
| Projects temporarily suspended | -                              | -             | 1.18          | 63.14             | <b>64.32</b>  |
| <b>Total</b>                   | <b>94.78</b>                   | <b>176.44</b> | <b>118.85</b> | <b>555.54</b>     | <b>945.61</b> |

**Capital Work in Progress Aging schedule as on 31<sup>st</sup> March 2024**
**(₹in Crores)**

| CWIP                           | Amount in CWIP for a period of |               |               |                   | Total           |
|--------------------------------|--------------------------------|---------------|---------------|-------------------|-----------------|
|                                | Less than 1 year               | 1-2 years     | 2-3 years     | More than 3 years |                 |
| Projects in progress           | 231.32                         | 146.93        | 166.35        | 610.90            | <b>1,155.50</b> |
| Projects temporarily suspended | 0.05                           | 1.44          | 2.62          | 58.60             | <b>62.71</b>    |
| <b>Total</b>                   | <b>231.37</b>                  | <b>148.37</b> | <b>168.97</b> | <b>669.50</b>     | <b>1,218.21</b> |

**26B Capital Work in Progress for time overrun/ cost overrun projects as on 31<sup>st</sup> March 2025**
**(₹in Crores)**

| CWIP                       | To be completed in |           |           |                   |
|----------------------------|--------------------|-----------|-----------|-------------------|
|                            | Less than 1 year   | 1-2 years | 2-3 years | More than 3 years |
| 6.3 MTPA Expansion project | 8.14               | -         | -         | -                 |
| 7.3 MTPA                   | 11.13              | -         | -         | -                 |
| AMR Projects               | 76.14              | -         | -         | -                 |
| Coke Oven Battery - V      | 504.21             | -         | -         | -                 |
| Others                     | 55.30              | -         | -         | -                 |
| <b>Total</b>               | <b>654.92</b>      | <b>-</b>  | <b>-</b>  | <b>-</b>          |



**Capital Work in Progress for time overrun/ cost overrun projects as on 31<sup>st</sup> March 2024 (₹ in Crores)**

| CWIP                               | To be completed in |              |           |                   |
|------------------------------------|--------------------|--------------|-----------|-------------------|
|                                    | Less than 1 year   | 1-2 years    | 2-3 years | More than 3 years |
| 6.3 MTPA Expansion project         | 93.76              | -            | -         | -                 |
| 7.3 MTPA                           | 59.65              | -            | -         | -                 |
| AMR Projects                       | 58.95              | 13.62        | -         | -                 |
| Coke Oven Battery - V              | 746.56             | -            | -         | -                 |
| Forged Rail Wheel Plant at Lalgunj | -                  | -            | -         | -                 |
| Others                             | 221.73             | -            | -         | -                 |
| <b>Total</b>                       | <b>1,180.65</b>    | <b>13.62</b> | <b>-</b>  | <b>-</b>          |

**27. Title deeds of Immovable Property not held in name of the Company as on 31<sup>st</sup> March 2025**

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crores) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/ director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                                                                                                                                                    |
|-----------------------------------------|---------------------------------|------------------------------------|---------------------------------|----------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| PPE                                     | Freehold Land                   | 37.09                              | Government of India             | Yes. Promoter                                                                                                        | 1983 onwards                   | The Company is holding Power of Attorney in its favour as executed by President of India on behalf of Government of India.                                                                                                                              |
| PPE                                     | Building                        | 24.23                              | M/s NBCC LTD                    | No                                                                                                                   | 2008                           | Office building at New Delhi: Lease between NBCC LTD and Delhi Development Authority is yet to be completed.                                                                                                                                            |
| PPE                                     | Building                        | 0.18                               | M/s NBCC LTD                    | No                                                                                                                   | 1995                           | Office building at Ahmedabad: Litigation is going on between AMC against this builder (NBCC Ltd). Due to this AMC is unable to give Building utilisation permission, without Building permission the sale deed cannot be registered with the Registrar. |
| PPE                                     | Building                        | 0.95                               | Debi Prasad Chatterjee          | No                                                                                                                   | 1996                           | Residential Building at Kolkata: Due to non-compliance of the Terms & conditions of Purchase, on roof rights & garage space by developer dispute cropped up, which is pending in the court of 7 <sup>th</sup> Civil judge at Alipore, Kolkata.          |

**Title deeds of Immovable Property not held in name of the Company as on 31<sup>st</sup> March 2024**

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crores) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                                                                                                                                                   |
|-----------------------------------------|---------------------------------|------------------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| PPE                                     | Freehold Land                   | 37.09                              | Government of India             | Yes. Promoter                                                                                                       | 1983 onwards                   | The Company is holding Power of Attorney in its favour as executed by President of India on behalf of Government of India.                                                                                                                             |
| PPE                                     | Building                        | 24.23                              | M/s NBCC LTD                    | No                                                                                                                  | 2008                           | Office building at New Delhi: Lease between NBCC LTD and Delhi Development Authority is yet to be completed.                                                                                                                                           |
| PPE                                     | Building                        | 0.18                               | M/s NBCC LTD                    | No                                                                                                                  | 1995                           | Office building at Ahmedabad: Litigation is going on between AMC against this builder(NBCC Ltd). Due to this AMC is unable to give Building utilisation permission, without Building permission the sale deed cannot be registered with the Registrar. |
| PPE                                     | Building                        | 0.95                               | Debi Prasad Chatterjee          | No                                                                                                                  | 1996                           | Residential Building at Kolkata: Due to non-compliance of the Terms & conditions of Purchase, on roof rights & garage space by developer dispute cropped up, which is pending in the court of 7 <sup>th</sup> Civil judge at Alipore, Kolkata.         |

28. The Company has not given any Loans or Advances in the nature of loans which are repayable on demand / without specifying any terms or period of repayment to Promoters, directors, KMPs and the related parties during FY 2024-25 and FY 2023-24.
29. The Company has not advanced / loaned / invested funds (borrowed funds / share premium / any other source or kind of funds) to any other person or an entity including foreign entity (intermediaries) with the understanding that the said intermediary shall

- a. directly or indirectly lend or invest in other person or entity identified by the company.
- b. provide guarantee or security on behalf of the company.

The Company has not received any fund from any person or entity including foreign entity (funding party) with the understanding that the Company shall

- a. directly or indirectly lend or invest in other person or entity identified by the funding party.
- b. provide guarantee or security on behalf of the funding party.

**30. Statements of Current Assets filed with Banks and Financial Institutions (₹in Crores)**

| Quarter | Name of the Bank                                           | Particulars (Accounting Head) | Amount as per books of Accounts | Amount as reported in quarterly return/ statement | Amount of Difference | Reason for Difference |
|---------|------------------------------------------------------------|-------------------------------|---------------------------------|---------------------------------------------------|----------------------|-----------------------|
| Jun-24  | SBI, UBI, Canara Bank, PNB, IDBI Bank, BOB and Indian Bank | Current Assets                | 6891.83                         | 6891.83                                           | NIL                  | NA                    |
| Sep-24  |                                                            |                               | 6776.81                         | 6776.81                                           | NIL                  | NA                    |
| Dec-24  |                                                            |                               | 8918.74                         | 8918.74                                           | NIL                  | NA                    |
| Mar-25  |                                                            |                               | 8322.32                         | 8230.77                                           | (91.55)              | Note                  |

**Note:** The differences are due to furnishing of quarterly statements to the banks based on provisional financials in order to comply with the timelines as per sanction terms.

31. All charges and satisfaction of charges are registered with ROC within the statutory period.
32. The company did not enter into any transactions with companies struck off under section 248 of the Companies Act, 2013 or section 560 of the Companies Act, 1956 during FY 2024-25 and FY 2023-24.
33. The company has not been declared as wilful defaulter by the Bank/ any Financial Institution during FY 2024-25 and FY 2023-24.
34. No proceeding has been initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder during FY 2024-25 and FY 2023-24.

### 35. Ratios

| Ratio                            | Numerator                                                                        | Denominator Period                                                          | Current Period | Previous Period | % Variance | Reason for variance                                                                                        |
|----------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------|----------------|-----------------|------------|------------------------------------------------------------------------------------------------------------|
| Current Ratio                    | Current Assets: 8322.32 Crs<br>(Prev Period : 7679.6 Crs)                        | Current Liabilities : 23661.78Crs<br>(Prev Period : 26114.92 Crs)           | 0.35           | 0.29            | 20%        |                                                                                                            |
| Debt - equity ratio              | Total Debt: 11672.32 Crs<br>(Prev Period : 18616.38 Crs)                         | Shareholder's Equity: 1137.47Crs<br>(Prev Period : -4538.29 Crs)            | 10.26          | NA*             |            |                                                                                                            |
| Debt service coverage ratio      | Earnings available for Debt Service: 1981.07 Crs<br>(Prev Period : -1370.94 Crs) | Debt Service : 9483.09 Crs<br>(Prev Period : 4673.36 Crs)                   | 0.21           | -0.29           | 171%       | Increase in earnings resulted in improved Debt Service Coverage Ratio.                                     |
| Return on equity ratio           | Profit After Tax: -1388.62 Crs<br>(Prev Period : -4848.86 Crs)                   | Average Shareholder's Equity : -1700.41 Crs<br>(Prev Period : -2073.53 Crs) | NA*            | NA*             |            |                                                                                                            |
| Inventory turnover ratio         | Sales: 18287.57 Crs<br>(Prev Period : 23146.97 Crs)                              | Average Inventory: 5422.965 Crs<br>(Prev Period : 5928.32 Crs)              | 3.37           | 3.90            | -14%       | Decrease in sales when compared to Prev. period resulted in lower Inventory Turnover ratio.                |
| Trade receivables turnover ratio | Net Credit Sales: 1427.68 Crs<br>(Prev Period : 3359.93 Crs)                     | Average Accounts Receivable : 240.58 Crs<br>(Prev Period : 499.82 Crs)      | 5.93           | 6.72            | -12%       | Decrease in credit sales when compared to Prev. period resulted in lower Trade receivables Turnover ratio. |
| Trade payables turnover ratio    | Net Credit Purchases : 21224.53 Crs<br>(Prev Period : 24338.94 Crs)              | Average Trade Payables : 7554.165 Crs<br>(Prev Period : 5695.99 Crs)        | 2.81           | 4.27            | -34%       |                                                                                                            |
| Net capital turnover ratio       | Net Sales: 18287.57 Crs<br>(Prev Period : 23146.97 Crs)                          | Working Capital : -15339.46 Crs<br>(Prev Period : -18435.32 Crs)            | NA**           | NA**            |            |                                                                                                            |
| Net profit ratio                 | Net Profit: -1388.62 Crs<br>(Prev Period : -4848.86 Crs)                         | Net Sales : 18287.57 Crs<br>(Prev Period : 23146.97 Crs)                    | -0.08          | -0.21           | 64%        | Decrease in Loss when compared to the corresponding period                                                 |
| Return on capital employed       | Earning before interest and taxes : -2860.24 Crs<br>(Prev Period : -3045.43 Crs) | Capital Employed : 12806.52 Crs<br>(Prev Period : 14077.8 Crs)              | -0.22          | -0.22           | -3%        |                                                                                                            |
| Return on investment             | Income from Invested funds : 0 Crs<br>(Prev Period : 0 Crs)                      | Average Invested Funds : 739.89 Crs<br>(Prev Period : 739.89 Crs)           | NA#            | NA#             |            |                                                                                                            |

\* Networth/Shareholders equity is negative

\*\* Net Working capital is negative

# No Dividend has been received during the year

**36 Revenue from operations**
**( ₹ in Crores)**

| Particulars                                              | For the year ended          |                             |
|----------------------------------------------------------|-----------------------------|-----------------------------|
|                                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>A. Sale of products</b>                               |                             |                             |
| Domestic sales                                           | 18,287.57                   | 22,876.45                   |
| Less: Sale of trial run production (transferred to CWIP) | -                           | 20.79                       |
|                                                          | <b>18,287.57</b>            | <b>22,855.66</b>            |
| Export sales                                             | -                           | 291.31                      |
| Less: Sale of trial run production (transferred to CWIP) | -                           | -                           |
|                                                          | -                           | <b>291.31</b>               |
| <b>Total Sale of Products (A)</b>                        | <b>18,287.57</b>            | <b>23,146.97</b>            |
| <b>B. Other operating revenues</b>                       |                             |                             |
| Internal consumption                                     | 20.90                       | 5.74                        |
| Export benefits                                          | -                           | 4.31                        |
| Others                                                   | 29.37                       | 29.37                       |
| <b>Total other operating revenues (B)</b>                | <b>50.27</b>                | <b>39.42</b>                |
| <b>Total revenue from operations (A+B)</b>               | <b>18,337.84</b>            | <b>23,186.39</b>            |

**De- segregation of Revenue**
**Nature of Goods and Services**

The Company is engaged in the manufacturing of Iron and Steel Products and generates revenue primarily from Iron & Steel products which is the only reportable segment of the Company. **( ₹ in Crores)**

| Particulars                             | For the year ended          |                             |
|-----------------------------------------|-----------------------------|-----------------------------|
|                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>(1) Primary Geographical Markets</b> |                             |                             |
| Within India                            | 18,287.57                   | 22,855.66                   |
| Outside India                           | -                           | 291.31                      |
| <b>Total</b>                            | <b>18,287.57</b>            | <b>23,146.97</b>            |
| <b>(2) Major Products</b>               |                             |                             |
| Iron & Steel                            | 17,374.52                   | 22,032.61                   |
| Other Secondary and by-products         | 913.05                      | 1,114.36                    |
| <b>Total</b>                            | <b>18,287.57</b>            | <b>23,146.97</b>            |

**A. Stock and sales**  
**31<sup>st</sup> March 2025**

| Particulars                             | Opening stock (01.04.2024) |                   | Sales                |                   | Closing stock (31.03.2025) |                   |
|-----------------------------------------|----------------------------|-------------------|----------------------|-------------------|----------------------------|-------------------|
|                                         | Quantity (in Tonnes)       | Value (₹in crore) | Quantity (in Tonnes) | Value (₹in crore) | Quantity (in Tonnes)       | Value (₹in crore) |
| Pig iron                                | 364                        | 1.35              | -                    | -                 | -                          | -                 |
| Blooms                                  | 1,40,955                   | 680.55            | 2,27,523             | 1,057.07          | 98,209                     | 466.94            |
| Billets                                 | 8,971                      | 47.06             | 14,088               | 70.68             | 11,758                     | 59.66             |
| Finished products (Refer Note no. 36.1) | 1,22,716                   | 673.38            | 31,82,107            | 16,246.77         | 1,06,271                   | 558.01            |
| Sundries (Refer Note no. 36.1)          |                            |                   |                      |                   |                            |                   |
| - Coke and coke products                | 77,043                     | 170.45            | 52,183               | 60.44             | 1,16,758                   | 258.89            |
| - Others (Refer Note no. 36.2)          | 34,12,442                  | 833.73            | 26,80,875            | 852.61            | 37,55,898                  | 907.90            |
| <b>Total</b>                            |                            | <b>2,406.52</b>   |                      | <b>18,287.57</b>  |                            | <b>2,251.40</b>   |



**31<sup>st</sup> March 2024**

| Particulars                             | Opening stock (01.04.2023) |                   | Sales                |                   | Closing stock (31.03.2024) |                   |
|-----------------------------------------|----------------------------|-------------------|----------------------|-------------------|----------------------------|-------------------|
|                                         | Quantity (in Tonnes)       | Value (₹in crore) | Quantity (in Tonnes) | Value (₹in crore) | Quantity (in Tonnes)       | Value (₹in crore) |
| Pig iron                                | 2,827                      | 11.42             | 3,032                | 12.14             | 364                        | 1.35              |
| Blooms                                  | 1,14,784                   | 584.47            | 3,70,434             | 1,698.03          | 1,40,955                   | 680.55            |
| Billets                                 | 8,256                      | 43.51             | 17,832               | 87.06             | 8,971                      | 47.06             |
| Finished products (Refer Note no. 36.1) | 2,74,180                   | 1,648.63          | 38,99,867            | 20,235.38         | 1,22,716                   | 673.38            |
| Sundries (Refer Note no. 36.1)          |                            |                   |                      |                   |                            |                   |
| - Coke and coke products                | 35,863                     | 124.84            | 42,681               | 57.66             | 77,043                     | 170.45            |
| - Others (Refer Note no 36.2)           | 38,58,962                  | 1,084.93          | 30,58,655            | 1,056.70          | 34,12,442                  | 833.73            |
| <b>Total</b>                            |                            | <b>3,497.81</b>   |                      | <b>23,146.97</b>  |                            | <b>2,406.52</b>   |

**36.1** Quantity for Argon Gas, Oxygen Gas and Nitrogen Gas is in Thcum.

Quantity for FWP Wheels is in No's .

Sub Note:

- (i) Closing stock includes stock in the custody of CAs/HCs/ConvAg and GIT which is 1719.13 MTs & ₹9.13 Crores (Previous year 17507.96 MTs & ₹97.61 Crores).
- (ii) Figures of closing stock are after adjustment for internal consumption, transfers to capital works, shortages/excesses.
- (iii) Others include By-products, Aux Shop ,Iron & Steel Scrap ,Defectives, Rejects, Hot Metal, Sized Iron Ore, Gross Sinter & Base Mix.

**36.2** This includes sale of Coal amounting to 'Nil' made during FY 2024-25 (FY 2023-24 ₹ 88.10 Crores)

**36.3** The reconciliation of GST turnover vis-à-vis sales turnover of the company for the FY 2024-25 is in progress and would be finalised before filing of GSTR-9C for the FY 2024-25.

### 37 Other income

(₹ in Crores)

| Particulars                                              | For the year ended          |                             |
|----------------------------------------------------------|-----------------------------|-----------------------------|
|                                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Interest income :</b>                                 |                             |                             |
| Banks                                                    | 12.89                       | 0.35                        |
| Loans to employees                                       | 0.59                        | 1.15                        |
| Others                                                   | 55.78                       | 53.66                       |
| Rent recoveries (Refer Note no 37.1)                     | 149.09                      | 44.74                       |
| Liquidated damages                                       | 15.64                       | 34.42                       |
| Net gain/(loss) on sale of property, plant and equipment | (4.09)                      | 10.38                       |
| Write back of provisions no longer required              | 10.13                       | 5.78                        |
| Sundry receipts                                          | 90.01                       | 48.23                       |
| <b>Total</b>                                             | <b>330.04</b>               | <b>198.71</b>               |

**37.1** This include income recognised towards ad-hoc lease premium of ₹45.25 crores (net of GST) received from M/s HPCL and ₹1.06 crores (net of GST) received from M/s AMTZ respectively. As at 31.03.2024, these amounts were treated as other deposits within 'Current other financial liabilities' under 'other financial liabilities'.

**38 Cost of material consumed**
**(₹ in Crores)**

| Particulars                                                | For the year ended          |                             |
|------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Raw materials</b>                                       |                             |                             |
| Coal (Refer Note no.38.1)                                  | 7,998.82                    | 10,490.43                   |
| Coke and Coke breeze                                       | 232.79                      | 567.95                      |
| Iron ore                                                   | 3,946.68                    | 4,308.00                    |
| Limestone                                                  | 317.38                      | 332.62                      |
| Dolomite                                                   | 123.63                      | 168.00                      |
| Silico manganese                                           | 351.38                      | 523.14                      |
| Ferro silicon                                              | 62.01                       | 138.05                      |
| Aluminium                                                  | 181.64                      | 178.23                      |
| Manganese ore                                              | 0.86                        | 1.69                        |
| Petroleum coke                                             | 32.50                       | 54.16                       |
| Sea Water magnesite                                        | -                           | 0.47                        |
| Others                                                     | 109.12                      | 164.41                      |
| <b>Total</b>                                               | <b>13,356.82</b>            | <b>16,927.16</b>            |
| Less: Material Consumed for trial run production           | -                           | 3.08                        |
| Less: Material Consumed for Inventory                      |                             |                             |
| Transferred on account of Slump Sale                       | -                           | 82.29                       |
| Less: Inter account adjustments - raw material mining cost | 68.11                       | 71.16                       |
| <b>Total</b>                                               | <b>13,288.71</b>            | <b>16,770.63</b>            |

**38.1** This includes 'Nil' of Coal amounting to 'Nil' during the FY 2024-25 (FY 2023-24 : 51763.85 MT amounting to ₹ 80.06 Crores)

**39 Changes in inventory of finished goods and work-in-progress**
**(₹ in Crores)**

| Particulars         | For the year ended          |                             |
|---------------------|-----------------------------|-----------------------------|
|                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Opening stock       | 2,406.52                    | 3,497.81                    |
| Less: Closing stock | 2,251.40                    | 2,406.52                    |
| <b>Total</b>        | <b>155.12</b>               | <b>1,091.29</b>             |

**Note : Write down of inventories charged as expense**
**(₹ in Crores)**

| Particulars                                         | For the year ended          |                             |
|-----------------------------------------------------|-----------------------------|-----------------------------|
|                                                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Cost of inventories valued at net realisable value  | 1,414.40                    | 1,869.43                    |
| Inventories valued at net realisable value          | 1,305.56                    | 1,775.52                    |
| <b>Write down of inventories charged as expense</b> | <b>108.84</b>               | <b>93.90</b>                |

**40. Employee benefits expense**
**( ₹ in Crores)**

| Particulars                                    | For the year ended          |                             |
|------------------------------------------------|-----------------------------|-----------------------------|
|                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Salaries and wages                             | 2,062.50                    | 2,150.99                    |
| Contribution to provident fund and other funds | 283.42                      | 304.65                      |
| Staff welfare expenses                         | 136.17                      | 149.55                      |
| <b>Total</b>                                   | <b>2,482.09</b>             | <b>2,605.19</b>             |

Note: Expenditure on Employee benefits not included above and charged to:

**( ₹ in Crores)**

| Particulars                                                       | For the year ended          |                             |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Capital Work in Progress / Expenditure During Construction</b> |                             |                             |
| Salaries and wages                                                | 0.04                        | 0.08                        |
| Contribution to provident fund & other funds                      | -                           | 0.01                        |
| <b>Total</b>                                                      | <b>0.04</b>                 | <b>0.09</b>                 |

**41. Finance costs**
**( ₹ in Crores)**

| Particulars                                        | For the year ended          |                             |
|----------------------------------------------------|-----------------------------|-----------------------------|
|                                                    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Interest expense on financial liabilities :</b> |                             |                             |
| Foreign currency facilities                        | 190.52                      | 174.02                      |
| Bank loans                                         | 1,502.55                    | 1,765.57                    |
| Others                                             | 412.02                      | 186.56                      |
| Other borrowing costs                              | 66.66                       | 46.88                       |
| <b>Total</b>                                       | <b>2,171.75</b>             | <b>2,173.03</b>             |

Note: (i) Expenditure on finance cost not included above and charged to:

**( ₹ in Crores)**

| Particulars                                                       | For the year ended          |                             |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Capital Work in Progress / Expenditure During Construction</b> |                             |                             |
| Interest - Banks                                                  | 78.00                       | 102.15                      |
| Interest on Lease Liability                                       | -                           | 0.30                        |
| <b>Total</b>                                                      | <b>78.00</b>                | <b>102.45</b>               |

 (ii) In case of general capex borrowings, the capitalisation rate of borrowing cost for FY 2024-25 is 10.54%  
 (Previous Year : 9.99%)

**42. Depreciation and amortisation expense**
**( ₹ in Crores)**

| Particulars                                   | For the year ended          |                             |
|-----------------------------------------------|-----------------------------|-----------------------------|
|                                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Depreciation of property, plant and equipment | 1,158.31                    | 1,294.10                    |
| Amortisation of intangible assets             | 2.93                        | 0.08                        |
| <b>Total</b>                                  | <b>1,161.24</b>             | <b>1,294.18</b>             |

**43. Other expenses**
**(₹ in Crores)**

| Particulars                                                           | For the year ended          |                             |
|-----------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Consumption of stores and spare parts                                 | 859.43                      | 998.67                      |
| Power and fuel (Refer note 43.1)                                      | 1,618.26                    | 1,702.15                    |
| Repairs and maintenance (Refer note 43.2)                             | 544.58                      | 597.85                      |
| Remuneration to auditors (Refer note 43.3)                            | 0.28                        | 0.25                        |
| Rent                                                                  | 1.32                        | 2.14                        |
| Rates and taxes                                                       | 13.32                       | 5.09                        |
| Insurance                                                             | 58.37                       | 56.79                       |
| Handling and scrap recovery                                           | 181.14                      | 264.35                      |
| Freight outward                                                       | 337.40                      | 507.67                      |
| Research and development expense                                      | 1.79                        | 0.50                        |
| <b>Provisions</b>                                                     |                             |                             |
| Shortage/damaged material/obsolescence/non-moving items of stores     | 13.33                       | 0.51                        |
| Doubtful advances and claims                                          | 4.21                        | 2.65                        |
| Provision for Unsuccessful Projects                                   | -                           | 3.44                        |
| <b>Write-offs</b>                                                     |                             |                             |
| Property, plant and equipment written off                             | 19.16                       | 4.11                        |
| Bad debts                                                             | -                           | 29.68                       |
| Sundries                                                              | 37.46                       | 43.88                       |
| Net (Gain) /Loss arising on Financial instruments designated as FVTPL | (54.11)                     | (6.51)                      |
| Miscellaneous expenses (Refer note 43.4)                              | 614.46                      | 558.74                      |
| <b>Total</b>                                                          | <b>4,250.40</b>             | <b>4,771.96</b>             |

- Development expenditure is capitalized only if it can be measured reliably and the related asset and process are identifiable and controlled by the company.
- Expenditure towards research and other development is accounted under the primary heads of account and is expensed as and when incurred.
- Capital Expenditure on Research and Development is included in the Intangible assets.

**43.1 Power and fuel**
**(₹ in Crores)**

| Particulars                               | For the year ended          |                             |
|-------------------------------------------|-----------------------------|-----------------------------|
|                                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Purchased power ( Refer Note No : 43.1 A) | 1,003.67                    | 1,112.26                    |
| Coal                                      | 611.07                      | 567.94                      |
| Furnace oil/ LSHS/ LDO                    | 3.52                        | 21.95                       |
| <b>Total</b>                              | <b>1,618.26</b>             | <b>1,702.15</b>             |

Cost of Power and fuel does not include the cost of generation of power and production of certain fuel elements in the plant which are internally consumed. The related expenses have been included under the primary heads of account.

**43.1A Provision for FPPCA Charges:**

In accordance with the award for recovery of Fuel and Power purchase cost adjustment (FPPCA) charges from power consumers for the period covering FY 2022-23 and FY 2023-24 , an amount of ₹ 235.43 crores becomes payable by the company as per the rates and recovery schedule prescribed by the Andhra Pradesh Electricity Regulation Commission (APERC). purposes.

**43.2 Repairs and maintenance**
**(₹in Crores)**

| Particulars         | For the year ended          |                             |
|---------------------|-----------------------------|-----------------------------|
|                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Plant and Equipment | 390.05                      | 414.28                      |
| Buildings           | 22.77                       | 31.20                       |
| Others              | 131.76                      | 152.37                      |
| <b>Total</b>        | <b>544.58</b>               | <b>597.85</b>               |

**43.3 Remuneration to Auditors**
**(₹in Crores)**

| Particulars                  | For the year ended          |                             |
|------------------------------|-----------------------------|-----------------------------|
|                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| As auditor - statutory audit | 0.18                        | 0.18                        |
| In other capacity            |                             |                             |
| Tax Audit                    | 0.04                        | 0.04                        |
| Other services               | 0.04                        | 0.01                        |
| Reimbursement of expenses    | 0.02                        | 0.02                        |
| <b>Total</b>                 | <b>0.28</b>                 | <b>0.25</b>                 |

**43.4 Miscellaneous expenses**
**(₹in Crores)**

| Particulars                | For the year ended          |                             |
|----------------------------|-----------------------------|-----------------------------|
|                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Technical services         | 10.08                       | 11.23                       |
| Travelling expenses        | 51.46                       | 61.11                       |
| Printing and stationery    | 2.17                        | 2.45                        |
| Postage and telephone      | 1.39                        | 1.51                        |
| Water Charges              | 114.63                      | 102.14                      |
| Legal expenses             | 12.53                       | 3.80                        |
| Bank charges               | 25.00                       | 19.48                       |
| Security expenses          | 96.09                       | 125.07                      |
| Entertainment expenses     | 1.37                        | 1.67                        |
| Advertisement              | 0.11                        | 1.42                        |
| Demurrages and wharfages   | 139.08                      | 166.60                      |
| ISO Audit Expenses         | 0.15                        | 0.05                        |
| Selling expenses           | 12.27                       | 15.77                       |
| Exchange differences (Net) | 148.13                      | 46.44                       |
| <b>Total</b>               | <b>614.46</b>               | <b>558.74</b>               |

**43.5 Details of Corporate Social Responsibility expenditure**
**(₹in Crores)**

| Particulars                                                    | For the year ended          |                             |
|----------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| (a) Amount required to be spent by the Company during the year | Nil                         | Nil                         |
| (b) Amount spent during the year                               |                             |                             |
| - Construction/ acquisition of any asset                       | -                           | -                           |
| - On purpose other than above                                  | -                           | -                           |
| <b>Total</b>                                                   | <b>-</b>                    | <b>-</b>                    |



**43.6 Expenditure on Other expenses not included above and charged to: (₹in Crores)**

| Particulars                                                       | For the year ended          |                             |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Capital Work in Progress / Expenditure During Construction</b> |                             |                             |
| Power and fuel                                                    | 0.40                        | 0.68                        |
| <b>Total</b>                                                      | <b>0.40</b>                 | <b>0.68</b>                 |

**43A Exceptional Items (₹in Crores)**

| Particulars                                                                   | For the year ended          |                             |
|-------------------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Slump Sale of FWP (Refer note 43A.1)                                          | -                           | (102.72)                    |
| Write Back of Provision no longer required (Refer Note 43 A.2)                | (51.72)                     |                             |
| Gains arising on monetization of non-current asset (land) (Refer Note 43 A.3) | (222.72)                    | -                           |
| Voluntary Retirement Compensation (Refer Note 43A.4)                          | 465.00                      | -                           |
| <b>Total</b>                                                                  | <b>190.56</b>               | <b>(102.72)</b>             |

**43 A.1** The amount of ₹102.72 Crores relates to Gain on Slump Sale of Forged Wheel Plant (FWP) to Modern Coach Factory (MCF), Rae bareli (Refer Note No: 55 B) .

**43 A.2 Write off Provision no longer required**
**Termination of Farewell scheme:**

The Board in its 368<sup>th</sup> meeting held on 26<sup>th</sup> December 2024 has resolved to terminate the Farewell scheme, a defined benefit plan which provides for giving of 10gms gold coin to all superannuating regular employees of the company. Accordingly, the cumulative provision / liability of ₹49.67 crores towards the said scheme has been written back / reversed during the current financial year. As the provision for the said scheme was created over many years, the write back of such provision on account of termination of a defined benefit plan has been treated as an exceptional item for reporting purposes.

**Termination of Long service award scheme:**

The Board in its 368<sup>th</sup> meeting held on 26<sup>th</sup> December 2024 has resolved to terminate the Long service award scheme, a defined benefit plan which provides for giving of silver coin to regular employees of the company who put up 25 years of service in the company. Accordingly, the cumulative provision / liability of ₹2.06 crores towards the said scheme has been written back / reversed during the current financial year. As the provision for the said scheme was created over many years, the write back of such provision on account of termination of a defined benefit plan has been treated as an exceptional item for reporting purposes.

**43 A.3 Gains arising on monetization of non-current asset (land):**

The gain of ₹222.72 crores arising during the current financial year on account of monetization of non-core asset (land) located in Visakhapatnam as referred at Note no. 15.1 has been treated as an exceptional item since the same represents significant amount as a result of sale of an item of non-current asset.

**43 A.4 Voluntary Retirement Compensation:**

As a part of efforts for revival of the company, the VRS Scheme was implemented. 1123 employees have opted for VRS and got relieved from service on 31.03.2025.

Subsequently, the company has again issued VRS circular dated :- 14<sup>th</sup> June 2025, inviting applications from interested employees to opt for the scheme. Thus the second installment of VRS Scheme is in progress.

**44. Details of Corporate Social Responsibility**
**(₹ in Crores)**

| Particulars                                                           | For the year ended          |                             |
|-----------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Amount required to be Spent during the year                           | NIL                         | NIL                         |
| Amount of Expenditure Incurred                                        | NIL                         | NIL                         |
| Shortfall at the end of the year                                      | NIL                         | NIL                         |
| Total of Previous year Short fall                                     | NIL                         | NIL                         |
| Reasons for Shortfall                                                 | NA                          | NA                          |
| <b>Nature of CSR Activities</b>                                       |                             |                             |
| Skill Development for unemployed / needy youth                        |                             |                             |
| Women empowerment for female artisans                                 |                             |                             |
| Senior citizen care through helping hands initiative                  |                             |                             |
| Health and Education                                                  |                             |                             |
| Details of related party transactions- Contribution to CSR Foundation | NIL                         | NIL                         |

- 45** There are no transactions that have been surrendered or disclosed as income during FY 2024-25 and FY 2023-24 in the tax assessments under the Income Tax Act, 1961. Also the Company has not traded/ invested in Crypto currency or Virtual currency during FY 2024-25 and FY 2023-24.

**46 Employee benefits**
**(i) a) Contribution to Superannuation Benefit Scheme**

An amount of ₹ 39.68 Crores (31<sup>st</sup> March 2024: ₹ 42.09 Crores) recognised in the Statement of Profit and Loss and 'Nil' (31<sup>st</sup> March 2024 : 'Nil') in Capital Work in Progress towards Superannuation Benefit Scheme (Post Employment Benefit - Defined Contribution Plan).

**b) Pension**

The cumulative provision/liability towards pension benefit (Post Employment Benefit - Defined Contribution Plan) for executive & non-executive employees, amounting to ₹ 358.67 Crores (CPLY: ₹ 362.95 Crores.)

**(ii) Other Long-term employee benefits**

Liability towards other long-term employee benefits:- leave encashment and long service award etc., are determined on actuarial valuation by qualified actuary by using Projected Unit Credit Method.

The current service cost of other long term employee benefits, recognized in the statement of Profit and Loss as part of employee benefit expenses, reflects the increase in the obligation resulting from employee service in the current year, benefit changes, curtailments and settlements.

**(iii) General description of the post employment benefits**
**a) Provident fund**

The Company pays fixed contribution to Provident Fund, at predetermined rates, to a separate Trust, which invests the funds in permitted securities. On the contributions, the trust is required to pay a minimum rate of interest, to the members, as specified by Government of India. The obligation of the Company is limited to the shortfall in the rate of interest on the Contribution based on its return on investments as compared to the declared rate.

The defined benefit plans expose the Company to actuarial risks, such as longevity risk, currency risk, interest rate risk and market (investment) risk.

**b) Gratuity**

The Company has a defined benefit gratuity plan in India, governed by the Payment of Gratuity Act, 1972. The Gratuity plan entitles an employee, who has rendered at least five years of continuous service, to receive 15 days salary for each year of completed service at the time of retirement/ exit for service upto 30 Years and to receive one month salary for each year of completed service for service above 30 years. The defined benefit plan for gratuity is administered by a single gratuity trust that is legally separate from the company.

Gratuity is fully funded by the Company. The funding requirements are based on the gratuity fund's actuarial measurement framework set out in the funding policies of the plan. Employees do not contribute to the plan.

**c) Retirement settlement benefits**

The retired employees, their dependents, as also the dependents of the employees expired while in service are entitled for travel and transport expenses to their place of permanent residence. Provisions / Liabilities are made based on the Actuarial valuation at each reporting date. Actuarial gain / loss relating to this scheme are recognized in Other Comprehensive Income.

**d) Retirement medical benefits**

(i) Medical benefits are available to all employees at the Company's hospital and under the health insurance policy under Group Medical Insurance Coverage Scheme (GMICS). Provisions / Liabilities are made based on the Actuarial valuation at each reporting date. Actuarial gain / loss relating to this scheme are recognized in Other Comprehensive Income.

(ii) For Executive employees retired on or after 01.01.2007, the company is operating Post Retirement Medical Scheme under Defined Contribution Plan as an option along with GMICS. The defined contribution plan for PRMS is administered by a single PRMS trust that is legally separate from the company.

**e) Farewell scheme**

Employees superannuating from the service of the company shall be given 10 Gms of gold each. The scheme shall cover all regular employees of the company. Provisions / Liabilities are made based on the Actuarial valuation at each reporting date. Actuarial gain / loss relating to this scheme are recognized in Other Comprehensive Income. The Board in its 368<sup>th</sup> meeting held on 26<sup>th</sup> December 2024 decided to terminate the scheme.

(iv) Other disclosures\*, as required under IND AS 19 on "Employee Benefits", in respect of defined benefit obligations are :-

**a) Reconciliation of Present Value of Defined Benefit Obligation** (₹ in Crores)

| S. No. | Particulars                                                                                  | Gratuity             | Leave Encashment     | Post Retirement Medical Benefits | Long Service Award | Farewell         | Post Retirement Settlement Benefit | Employee Family Benefit Scheme | LTC/ LTA           |
|--------|----------------------------------------------------------------------------------------------|----------------------|----------------------|----------------------------------|--------------------|------------------|------------------------------------|--------------------------------|--------------------|
| i)     | Present Value of defined benefit obligations as at the beginning of the year                 | 1499.14<br>(1518.63) | 1025.75<br>(1015.17) | 577.16<br>(498.29)               | 2.06<br>(2.16)     | 49.67<br>(50.88) | 29.97<br>(31.31)                   | 168.34<br>(206.04)             | 35.94<br>(43.56)   |
| ii)    | Service cost                                                                                 | 22.39<br>(32.30)     | 57.99<br>(73.88)     | 10.46<br>(9.75)                  | 0.00<br>(0.15)     | 0.00<br>(1.41)   | 0.61<br>(1.34)                     | -<br>-                         | 2.95<br>(3.66)     |
| iii)   | Actuarial loss/ (gain) on obligation                                                         | 128.09<br>(42.45)    | 51.04<br>(7.52)      | 146.16<br>(61.92)                | 0.00<br>(-0.24)    | 0.00<br>(-2.36)  | -7.32<br>(-3.72)                   | 16.64<br>(21.17)               | -10.10<br>(-11.78) |
| iv)    | Interest cost                                                                                | 93.10<br>(103.64)    | 68.31<br>(69.00)     | 40.60<br>(35.35)                 | 0.00<br>(0.14)     | 0.00<br>(3.51)   | 1.85<br>(2.15)                     | 10.30<br>(13.09)               | 2.00<br>(3.08)     |
| v)     | Benefits paid                                                                                | 467.80<br>(197.88)   | 264.27<br>(139.82)   | 13.86<br>(28.15)                 | 0.00<br>(0.15)     | 0.00<br>(3.77)   | 1.08<br>(1.11)                     | 51.87<br>(71.96)               | 1.12<br>(2.58)     |
| vi)    | Past service cost                                                                            | -<br>-               | -<br>-               | -7.72<br>-                       | -<br>-             | -<br>-           | -<br>-                             | -<br>-                         | -<br>-             |
| vii)   | Losses/(Gains) on curtailments/settlements                                                   | -<br>-               | -<br>-               | -<br>-                           | -2.06<br>-         | -49.67<br>-      | -<br>-                             | -<br>-                         | -<br>-             |
| viii)  | Present value of defined benefit obligations as at end of the year<br>(i+ii+iii+iv+v+vi+vii) | 1274.92<br>(1499.14) | 938.82<br>(1025.75)  | 752.80<br>(577.16)               | 0.00<br>(2.06)     | 0.00<br>(49.67)  | 24.03<br>(29.97)                   | 143.41<br>(168.34)             | 29.67<br>(35.94)   |

**b) Reconciliation of Fair Value of Plan Assets** (₹ in Crores)

| S. No. | Particulars                                                      | Gratuity             | Leave Encashment    |
|--------|------------------------------------------------------------------|----------------------|---------------------|
| i)     | Fair Value of plan assets at the beginning of the year           | 1186.40<br>(1281.26) | 610.27<br>(566.18)  |
| ii)    | Expected return on plan assets                                   | 71.74<br>(86.67)     | 32.46<br>(34.88)    |
| iii)   | Actual company contribution                                      | 0.00<br>(10.00)      | -<br>-              |
| iv)    | Actuarial gain/ (loss) on plan assets                            | 11.71<br>(6.35)      | -19.45<br>(9.21)    |
| v)     | Benefits paid                                                    | 467.80<br>(197.88)   | 436.54<br>-         |
| vi)    | Fair value of plan assets at the end of the year (i+ii+iii+iv-v) | 802.05<br>(1186.40)  | 186.74<br>(610.27)  |
| vii)   | Present Value of Defined Benefit Obligation                      | 1274.92<br>(1499.14) | 938.82<br>(1025.75) |
| viii)  | Net Liability recognised in the Balance Sheet (vii-vi)           | 472.87<br>(312.74)   | 752.08<br>(415.48)  |

**c) Expenses recognised in the Statement of Profit and Loss for the Year**
**(₹ in Crores)**

| S. No. | Particulars                                   | Gratuity          | Leave Encashment   | Post Retirement Medical Benefits | Long Service Award | Farewell         | Post Retirement Settlement Benefit | Employee Family Benefit Scheme | LTC/ LTA           |
|--------|-----------------------------------------------|-------------------|--------------------|----------------------------------|--------------------|------------------|------------------------------------|--------------------------------|--------------------|
| i)     | Service cost                                  | 22.39<br>(32.30)  | 57.99<br>(73.88)   | 10.46<br>(9.75)                  | 0.00<br>(0.15)     | 0.00<br>(1.41)   | 0.61<br>(1.34)                     | -<br>-                         | 2.95<br>(3.66)     |
| ii)    | Interest cost                                 | 93.10<br>(103.64) | 68.31<br>(69.00)   | 40.60<br>(35.35)                 | 0.00<br>(0.14)     | 0.00<br>(3.51)   | 1.85<br>(2.15)                     | 10.30<br>(13.09)               | 2.00<br>(3.08)     |
| iii)   | Actuarial losses/ (gains)                     | 116.38<br>(36.10) | 70.49<br>(-1.69)   | 146.16<br>(61.92)                | 0.00<br>(-0.24)    | 0.00<br>(-2.36)  | -7.32<br>(-3.72)                   | 16.64<br>(21.17)               | -10.10<br>(-11.78) |
| iv)    | Past service cost                             | -<br>-            | -<br>-             | -<br>-                           | -<br>-             | -<br>-           | -<br>-                             | -<br>-                         | -<br>-             |
| v)     | Losses/(Gains) on curtailments/settlements    | -<br>-            | -<br>-             | -<br>-                           | -2.06<br>-         | -49.67<br>-      | -<br>-                             | -<br>-                         | -<br>-             |
| vi)    | Expected return on plan assets                | 71.74<br>(86.67)  | 32.46<br>(34.88)   | -<br>-                           | -<br>-             | -<br>-           | -<br>-                             | -<br>-                         | -<br>-             |
| vii)   | Total (i+ii+iii+iv+v-vi)                      | 160.13<br>(85.37) | 164.33<br>(106.31) | 197.22<br>(107.02)               | -2.06<br>(0.05)    | -49.67<br>(2.56) | -4.86<br>(-0.23)                   | 26.94<br>(34.26)               | -5.15<br>(-5.04)   |
| viii)  | Employee Benefit Expenses :                   |                   |                    |                                  |                    |                  |                                    |                                |                    |
|        | a) Charged to Statement of Profit & Loss      | 43.75<br>(49.27)  | 164.33<br>(106.31) | 51.06<br>(45.10)                 | -2.06<br>(0.05)    | -49.67<br>(4.92) | 2.46<br>(3.49)                     | 26.94<br>(34.26)               | -5.15<br>(-5.04)   |
|        | b) Charged to Expenditure during construction | -                 | -                  | -                                | -                  | -                | -                                  | -                              | -                  |
|        | c) Charged to OCI                             | 116.38<br>(36.10) | -<br>-             | 146.16<br>(61.92)                | -<br>-             | 0.00<br>(-2.36)  | -7.32<br>(-3.72)                   | -<br>-                         | -<br>-             |

\* figures in brackets represents previous year figures

**d) Investments of Gratuity Trust and Leave Encashment Fund are as follows :-**
**(₹ in Crores)**

| Particulars           | % of Investment                   |                  |                                   |                  |
|-----------------------|-----------------------------------|------------------|-----------------------------------|------------------|
|                       | As at 31 <sup>st</sup> March 2025 |                  | As at 31 <sup>st</sup> March 2024 |                  |
|                       | Gratuity                          | Leave Encashment | Gratuity                          | Leave Encashment |
| Insurance Investments | 100                               | 100              | 100                               | 100              |

**e) Actuarial assumptions**
**(₹ in Crores)**

Principal actuarial assumptions at the reporting date (expressed as weighted averages):

| Particulars                             | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------|-----------------------------|-----------------------------|
| Discount rate                           | 6.60%                       | 7.15%                       |
| Rate of increase in compensation levels | 7.00%                       | 7.00%                       |
| Expected return on plan assets          | 6.60%                       | 7.15%                       |
| Medical Inflation Rate                  | 5.00%                       | 5.00%                       |
| Withdrawal Rate                         | 1.00%                       | 1.00%                       |
| Mortality Rate                          | IALM (2012-14) Ultimate     | IALM (2012-14) Ultimate     |



Weighted average duration of the retiring gratuity obligation is 5.71 years (31<sup>st</sup> March 2024 :- 4.91 Years)

**f) Sensitivity analysis**

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation and current service cost by the amounts shown below:

**- Gratuity**

(₹ in Crores)

| Particulars                                                    | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                                | Increase                    | Decrease | Increase                    | Decrease |
| 1. Effect of 0.5% Change in the assumed discount rate          |                             |          |                             |          |
| - Defined benefit obligation                                   | (31.65)                     | 33.91    | (32.12)                     | 34.07    |
| - Current service cost                                         | -                           | -        | -                           | -        |
| 2. Effect of 0.5% Change in the assumed salary escalation rate |                             |          |                             |          |
| - Defined benefit obligation                                   | 5.61                        | (6.34)   | 8.59                        | (8.96)   |
| - Current service cost                                         | -                           | -        | -                           | -        |

**- Retirement medical benefits**

(₹ in Crores)

| Particulars                                                    | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                                | Increase                    | Decrease | Increase                    | Decrease |
| 1. Effect of 0.5% Change in the assumed discount rate          |                             |          |                             |          |
| - Defined benefit obligation                                   | (50.11)                     | 56.16    | (39.90)                     | 44.83    |
| - Current service cost                                         | -                           | -        | -                           | -        |
| 2. Effect of 0.5% Change in the assumed medical inflation rate |                             |          |                             |          |
| - Defined benefit obligation                                   | 57.01                       | (51.24)  | 45.59                       | (40.87)  |
| - Current service cost                                         | -                           | -        | -                           | -        |

**- Retirement settlement benefits**

(₹ in Crores)

| Particulars                                        | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                    | Increase                    | Decrease | Increase                    | Decrease |
| Effect of 0.5% Change in the assumed discount rate |                             |          |                             |          |
| - Defined benefit obligation                       | (0.47)                      | 0.50     | (0.54)                      | 0.57     |
| - Current service cost                             | -                           | -        | -                           | -        |

**- Farewell scheme**

(₹ in Crores)

| Particulars                                        | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                    | Increase                    | Decrease | Increase                    | Decrease |
| Effect of 0.5% Change in the assumed discount rate |                             |          |                             |          |
| - Defined benefit obligation                       | -                           | -        | (1.02)                      | 1.08     |
| - Current service cost                             | -                           | -        | -                           | -        |

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

**Provident fund :**

The Company's contribution paid/ payable during the year to Provident Funds are recognised in the Statement of Profit & Loss. The company's Provident Fund Trusts are exempted under section 17 of the Employees' Provident Fund and Miscellaneous Provisions Act, 1952. The conditions for grant of exemption stipulated that the employer shall make good, deficiency if any, in the interest rate declared by the Trusts vis-a-vis statutory rate. The Company does not anticipate any further obligations in the near foreseeable future having regard to the assets of the funds and return on investment. This Note is to be read with Note No 46 (iii) (a).

**47 Capital management**

The Company aims to maintain a strong capital base so as to maintain the confidence of investor, creditor and market and to sustain future development of the business.

The Company monitors capital using a ratio of 'adjusted net debt' to 'adjusted equity'. For this purpose, adjusted net debt is defined as total liabilities, comprising interest -bearing loans and borrowings and obligations under finance leases, less cash and cash equivalents. Adjusted equity comprises all components of equity other than amounts accumulated in the effective portion of cash flow hedges and cost of hedging, if any.

Management assesses the Company's capital requirements in order to maintain an efficient overall financing structure. The Company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt.

The Company's adjusted net debt to equity ratio at the reporting dates were as follows:

(₹ in Crores)

| Particulars                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------|-----------------------------|-----------------------------|
| Total net debt                                    | 11,672.32                   | 18,616.38                   |
| Less: cash and cash equivalents                   | 2.22                        | 19.86                       |
| <b>Adjusted net debt</b>                          | <b>11,670.10</b>            | <b>18,596.52</b>            |
| Total equity                                      | 1,137.47                    | (4,538.29)                  |
| Less: Cost of hedging                             | -                           | -                           |
| <b>Adjusted equity</b>                            | <b>1,137.47</b>             | <b>(4,538.29)</b>           |
| <b>Adjusted net debt to adjusted equity ratio</b> | <b>10.26</b>                | <b>NA*</b>                  |

\* Shareholders equity is negative

**48 Earnings per share (not annualised)**
**Basic earnings per share**

Basic earnings per share is calculated by dividing:

- the profit attributable to owners of the group
- by the weighted average number of equity shares outstanding during the year:

The calculations of profit attributable to equity shareholders and weighted average number of equity shares outstanding for purposes of basic earnings per share calculation are as follows:

| Particulars                                                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------|-----------------------------|-----------------------------|
| i. Profit/ (loss) attributable to equity shareholders (₹ in Crore)       | (1,388.62)                  | (4,848.86)                  |
| ii. Weighted average number of Equity Shares outstanding during the year | 5,10,21,74,967              | 4,88,98,46,200              |
| iii. Face value per share (₹)                                            | 10                          | 10                          |
| <b>Basic and Diluted EPS (₹)</b>                                         | <b>(2.72)</b>               | <b>(9.92)</b>               |

The Company does not have any potentially dilutive equity shares outstanding during the year.

**49 Leases**
**RINL as a Lessee**

Other Informations:

1. Nature of Lease : The Company has entered into Long term lease which are as follows:
  - a) Land measuring 16.34 acre at Mumbai taken on Lease from CIDCO towards operation of stockyard for storing and selling steel materials for a period of 60 years.

- b) Land measuring 37 acres at Rai Bareli from Indian Railways towards establishment of Forged Wheel Plant for a period of 22 years which is terminated w.e.f 31.03.2024 on sale of Forged Wheel Plant to MCF.
- c) Area Measuring 350.396 square meter in Multistorey Building at New Delhi taken on lease from M/s NBCC(India) Limited for a period of 99 years.
2. Interest Expenses on Lease Liabilities during FY 2024-25 is Nil (Prev.Year: ₹3.50 Crores)
3. Total Cash outflow for leases for during FY 2024-25 is Nil (Prev.Year: ₹2.10 Crores)
4. Restrictions or covenants imposed by leases,
  - a) Mumbai stockyard Lease - NIL
5. Sale and Lease back transactions.- NIL.
6. Future cash outflows that are not reflected in the measurement of lease liability - NIL
7. Lease liability outstanding as on 31<sup>st</sup> March 2025 is 'Nil' (As on 31<sup>st</sup> March 2024 is 'Nil' ). Current maturities of lease liability as on 31<sup>st</sup> March 2025 is 'Nil' (As on 31<sup>st</sup> March 2024: 'Nil' ).
8. Maturity analysis of lease liability from 01.04.2025 (undiscounted)

( ₹ in Crores)

| Particulars            | < 12 Months | 01-05 Years | Over 5 Years | Total Cash Flow | Carrying Amount |
|------------------------|-------------|-------------|--------------|-----------------|-----------------|
| <b>Lease Liability</b> | -           | -           | -            | -               | -               |

#### RINL as a Lessor

1. Nature of Lease: - The Company has given land on Operating lease basis to various agencies. The details of major lease are as follows:
  - a) 20 acres of land allotted to Power Grid Corporation of India Ltd for installation of Grid & Staff Quarters for a period of 33 years.
  - b) 129.25 acres of land allotted to Power Grid Corporation of India Ltd for installation of Grid & Staff Quarters for a period of 30 years. (Refer Note no 22A.2)
  - c) 49.50 acres of land allotted to NTPC Ltd.(Simhadri) for Rail Road Corridor for a period of 99 years
  - d) 5.00 acres of land allotted to APIIC for Laying Water Pipeline for Pump House for a period of 33 years
  - e) 3.33 acres of land allotted to Gangavaram Port Ltd. for laying Railway Track for a period of 33 year
  - f) 9.27 acres of land allotted to M/s Air Liquide India Holding Pvt Ltd. for Construction of Air Separation Plant (BOO basis) for a period of 18.5 years.
  - g) 1167 acres of land allotted to NMDC Ltd for setting up allied industrial facilities for a period of 30 years. (Refer Note no 22A.1)
  - h) 52.85 acres of land allotted to HPCL on Right of Way for laying of overhead transmission lines for power for a period of 30 years for which lease deed is to be finalised. The Said land allotment is pending for approval from Ministry of Steel & Ministry of Finance.
  - i) 1.24 acres of land allotted to AMTZ on Right of Way for laying of overhead transmission lines for power for a period of 30 years for which lease deed is to be finalised. The Said land allotment is pending for approval from Ministry of Steel & Ministry of Finance.
2. Lease Income during FY 2024-25 is ₹92.28 Crores (Prev.Year : ₹ 0.07 Crores )
3. Income relating to variable lease receipts (not depending on index or rate) during FY 2024-25 is ₹ NIL (Prev.Year : ₹ NIL )
4. Risk Management strategy i.e., Buy back agreements, Guaranteed residual value, variable lease receipts- NIL
5. Undiscounted lease Receipts.

( ₹ in Crores)

| Particulars           | < 12 Months | 01-05 Years | Over 5 Years | Total Cash Flow |
|-----------------------|-------------|-------------|--------------|-----------------|
| <b>Lease Receipts</b> | <b>0.06</b> | <b>0.18</b> | <b>0.97</b>  | <b>1.21</b>     |

## 50 Financial instruments - Fair values and risk management

### A. Accounting classifications and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy

**31<sup>st</sup> March 2025**
**(₹ in Crores)**

| Particulars                                              | Carrying Amount                |                             |                                         |                                              |                       | Fair Value |         |         |       |
|----------------------------------------------------------|--------------------------------|-----------------------------|-----------------------------------------|----------------------------------------------|-----------------------|------------|---------|---------|-------|
|                                                          | Fair Value Hedging Instruments | Mandatorily at FVTPL others | Other Financial Assets - Amortised Cost | Other Financial Liabilities - Amortised Cost | Total Carrying Amount | Level 1    | Level 2 | Level 3 | Total |
| <b>Financial assets measured at fair value</b>           |                                |                             |                                         |                                              |                       |            |         |         |       |
| Forward Contracts*                                       | -                              | -                           | -                                       | -                                            | -                     | -          | -       | -       | -     |
| Employee loans                                           | -                              | -                           | 1.11                                    | -                                            | 1.11                  | -          | 1.11    | -       | 1.11  |
| Accrued interest on Loan to related parties              | -                              | -                           | 1.46                                    | -                                            | 1.46                  | -          | -       | 1.46    | 1.46  |
|                                                          | -                              | -                           | 2.57                                    | -                                            | 2.57                  | -          | 1.11    | 1.46    | 2.57  |
| <b>Financial assets not measured at fair value</b>       |                                |                             |                                         |                                              |                       |            |         |         |       |
| Loan to related parties*                                 |                                |                             | 176.53                                  |                                              | 176.53                |            |         |         |       |
| Security deposits*                                       |                                |                             | 470.13                                  |                                              | 470.13                |            |         |         |       |
| Loans and advances                                       |                                |                             | 186.11                                  |                                              | 186.11                |            |         |         |       |
| Trade receivables*                                       |                                |                             | 258.69                                  |                                              | 258.69                |            |         |         |       |
| Accrued interest*                                        |                                |                             | 18.45                                   |                                              | 18.45                 |            |         |         |       |
| Cash and cash equivalents*                               |                                |                             | 2.22                                    |                                              | 2.22                  |            |         |         |       |
| Other receivables*                                       |                                |                             | 819.80                                  |                                              | 819.80                | -          | -       | -       | -     |
|                                                          | -                              | -                           | 1,931.93                                | -                                            | 1,931.93              | -          | -       | -       | -     |
| <b>Financial liabilities measured at fair value</b>      |                                |                             |                                         |                                              |                       |            |         |         |       |
| Interest rate swaps                                      |                                | -                           |                                         |                                              | -                     | -          | -       | -       | -     |
| Forward exchange contracts                               |                                | 37.90                       |                                         |                                              | 37.90                 | -          | 37.90   | -       | 37.90 |
|                                                          | -                              | 37.90                       | -                                       | -                                            | 37.90                 | -          | 37.90   | -       | 37.90 |
| <b>Financial liabilities not measured at fair value*</b> |                                |                             |                                         |                                              |                       |            |         |         |       |
| Secured bank loans                                       |                                |                             |                                         | 9,513.76                                     | 9,513.76              |            | -       |         | -     |
| Unsecured bank loans                                     |                                |                             |                                         | 2,158.56                                     | 2,158.56              |            |         |         | -     |
| Lease Liability                                          |                                |                             |                                         | -                                            | -                     |            |         |         | -     |
| Commercial papers                                        |                                |                             |                                         | -                                            | -                     |            |         |         | -     |
| Accrued interest                                         |                                |                             |                                         | 67.87                                        | 67.87                 |            |         |         | -     |
| Trade payables                                           |                                |                             |                                         | 8,605.46                                     | 8,605.46              |            |         |         | -     |
| Security deposits received                               |                                |                             |                                         | 250.85                                       | 250.85                |            |         |         | -     |
| Earnest money deposits                                   |                                |                             |                                         | 422.58                                       | 422.58                |            |         |         | -     |
| Claims payable                                           |                                |                             |                                         | -                                            | -                     |            |         |         | -     |
| Payable for Capital Projects                             |                                |                             |                                         | 798.19                                       | 798.19                |            |         |         | -     |
| Other liabilities                                        |                                |                             |                                         | 4,954.04                                     | 4,954.04              | -          |         | -       | -     |
|                                                          | -                              | -                           | -                                       | 26,771.31                                    | 26,771.31             | -          | -       | -       | -     |

\* The carrying amounts of these financial instruments recognized in the financial statements are a reasonable approximation of their fair values.

**31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                                              | Carrying Amount                |                             |                                         |                                              |                       | Fair Value |         |         |       |
|----------------------------------------------------------|--------------------------------|-----------------------------|-----------------------------------------|----------------------------------------------|-----------------------|------------|---------|---------|-------|
|                                                          | Fair Value Hedging Instruments | Mandatorily at FVTPL others | Other Financial Assets - Amortised Cost | Other Financial Liabilities - Amortised Cost | Total Carrying Amount | Level 1    | Level 2 | Level 3 | Total |
| <b>Financial assets measured at fair value</b>           |                                |                             |                                         |                                              |                       |            |         |         |       |
| Forward Contracts*                                       | -                              | 13.06                       | -                                       | -                                            | 13.06                 | -          | 13.06   | -       | 13.06 |
| Employee loans                                           | -                              | -                           | 3.04                                    | -                                            | 3.04                  | -          | 3.04    | -       | 3.04  |
|                                                          | -                              | 13.06                       | 3.04                                    | -                                            | 16.10                 | -          | 16.10   | -       | 16.10 |
| <b>Financial assets not measured at fair value</b>       |                                |                             |                                         |                                              |                       |            |         |         |       |
| Security deposits*                                       |                                |                             | 503.07                                  |                                              | 503.07                |            |         |         |       |
| Loans and advances                                       |                                |                             | 184.88                                  |                                              | 184.88                | -          | -       | -       | -     |
| Trade receivables*                                       |                                |                             | 222.47                                  |                                              | 222.47                |            |         |         |       |
| Accrued interest*                                        |                                |                             | 25.82                                   |                                              | 25.82                 |            |         |         |       |
| Cash and cash equivalents*                               |                                |                             | 19.86                                   |                                              | 19.86                 | -          | -       | -       | -     |
| Other receivables*                                       |                                |                             | 850.46                                  |                                              | 850.46                |            |         |         |       |
|                                                          | -                              | -                           | 1,806.56                                | -                                            | 1,806.56              | -          | -       | -       | -     |
| <b>Financial liabilities measured at fair value</b>      |                                |                             |                                         |                                              |                       |            |         |         |       |
| Interest rate swaps                                      |                                | -                           |                                         |                                              | -                     | -          | -       | -       | -     |
| Forward exchange contracts                               |                                | -                           |                                         |                                              | -                     | -          | -       | -       | -     |
|                                                          | -                              | -                           | -                                       | -                                            | -                     | -          | -       | -       | -     |
| <b>Financial liabilities not measured at fair value*</b> |                                |                             |                                         |                                              |                       |            |         |         |       |
| Secured bank loans                                       |                                |                             |                                         | 14,112.16                                    | 14,112.16             | -          | -       | -       | -     |
| Unsecured bank loans                                     |                                |                             |                                         | 4,504.22                                     | 4,504.22              |            |         |         |       |
| Lease Liability                                          |                                |                             |                                         | -                                            | -                     | -          | -       | -       | -     |
| Commercial papers                                        |                                |                             |                                         | -                                            | -                     |            |         |         |       |
| Accrued interest                                         |                                |                             |                                         | 21.21                                        | 21.21                 |            |         |         |       |
| Trade payables                                           |                                |                             |                                         | 6,502.87                                     | 6,502.87              |            |         |         |       |
| Security deposits received                               |                                |                             |                                         | 153.05                                       | 153.05                |            |         |         |       |
| Earnest money deposits                                   |                                |                             |                                         | 492.40                                       | 492.40                |            |         |         |       |
| Claims payable                                           |                                |                             |                                         | -                                            | -                     |            |         |         |       |
| Payable for Capital Projects                             |                                |                             |                                         | 785.76                                       | 785.76                |            |         |         |       |
| Other liabilities                                        |                                |                             |                                         | 4,108.32                                     | 4,108.32              |            |         |         |       |
|                                                          | -                              | -                           | -                                       | <b>30,679.99</b>                             | <b>30,679.99</b>      |            |         |         |       |

\* The carrying amounts of these financial instruments recognized in the financial statements are a reasonable approximation of their fair values.



## B. Measurement of fair values

The following table shows the valuation techniques used in measuring Level 2 and Level 3 fair values for financial instruments measured at fair value in the balance sheet, as well as the significant unobservable inputs used.

| Type                       | Valuation technique                                                                                                                         | Significant unobservable input | Inter-relationship between significant unobservable inputs and fair value measurement |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------|
| Forward exchange contracts | Forward pricing: The fair value is determined using quoted forward exchange rates at the reporting date.                                    | Not applicable                 | Not applicable                                                                        |
| Interest rate swaps        | Swap models: The fair value is determined using quoted swap rates at the reporting date.                                                    | Not applicable                 | Not applicable                                                                        |
| Financial liabilities      | Discounted cash flows: The valuation model considers the present value of expected payment, discounted using a risk-adjusted discount rate. | Not applicable                 | Not applicable                                                                        |

## C. Financial risk management

### ***Risk management framework***

The Company is exposed to various risk in relation to financial instruments. The company's financial asset and liabilities by category are summarised in note 49A. The main types of risks are market risk, credit risk and liquidity risk. The Company's risk management is coordinated at its headquarters, in close cooperation with the board of directors, and focuses on actively securing the Company's short to medium-term cash flows by minimising the exposure to volatile financial markets. Long-term financial investments are managed to generate lasting returns. The Company does not actively engage in the trading of financial assets for speculative purposes nor does it write options. The most significant financial risks to which the Company is exposed are described below.

The Company has exposure to the following risks arising from financial instruments:

- i) credit risk
- ii) liquidity risk
- iii) market risk

### ***i) Credit risk***

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers; and loans.

The carrying amounts of financial assets represent the maximum credit risk exposure.

### ***Trade receivables and loans***

The Company's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry in which customers operate.

Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off. Roll rates are calculated separately for exposures in different segments based on the common credit risk characteristics.

### ***Movements in the allowance for impairment in respect of trade receivables and loans***

The movement in the allowance for impairment in respect of trade receivables and loans is as follows:

(₹ in Crores)

| Particulars                             | For the year ended          |                             |
|-----------------------------------------|-----------------------------|-----------------------------|
|                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Balance at 1 <sup>st</sup> April        | 24.30                       | 25.16                       |
| Amounts written off                     | -                           | -                           |
| Net measurement of loss allowance       | -                           | (0.86)                      |
| <b>Balance at 31<sup>st</sup> March</b> | <b>24.30</b>                | <b>24.30</b>                |

#### Cash and cash equivalents

The Company holds cash and cash equivalents of ₹2.22 Crore at 31<sup>st</sup> March 2025 (As on 31<sup>st</sup> March 2024: ₹ 19.86 Crore). The cash and cash equivalents are only held with highly rated banks.

Impairment on cash and cash equivalents has been measured on the 12-month expected loss basis and reflects the short maturities of the exposures. The Company considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties

#### Derivatives

The derivatives are only entered into with highly rated scheduled banks.

#### ii) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company aims to maintain the level of its cash and cash equivalents at an amount in excess of expected cash outflows on financial liabilities (other than trade payables). The Company also monitors the level of expected cash inflows on trade receivables and loans together with expected cash outflows on trade payables and other financial liabilities.

#### Exposure to liquidity risk

The following are the remaining contractual maturities of long term financial liabilities at the reporting date. The amounts reflect the principal amounts that are gross and undiscounted, and exclude the impact of netting agreements.

31<sup>st</sup> March 2025

(₹ in Crores)

| Particulars                                 | Contractual Cash Flows |                 |                   |                 |                 |                   |
|---------------------------------------------|------------------------|-----------------|-------------------|-----------------|-----------------|-------------------|
|                                             | Carrying Amount        | Total           | 12 months or less | 1-2 Years       | 2-5 Years       | More than 5 years |
| <b>Non-derivative financial liabilities</b> |                        |                 |                   |                 |                 |                   |
| Secured bank loans                          | 5,538.68               | 5,538.68        | -                 | 1,709.27        | 3,545.76        | 283.65            |
| Unsecured bank loan                         | -                      | -               | -                 | -               | -               | -                 |
|                                             | <b>5,538.68</b>        | <b>5,538.68</b> | <b>-</b>          | <b>1,709.27</b> | <b>3,545.76</b> | <b>283.65</b>     |
| <b>Derivative financial liabilities</b>     |                        |                 |                   |                 |                 |                   |
| Interest rate swaps                         | -                      | -               | -                 | -               | -               | -                 |
| Other forward exchange contracts            | -                      | -               | -                 | -               | -               | -                 |

**31<sup>st</sup> March 2024**
**(₹in Crores)**

| Particulars                                 | Contractual Cash Flows |                 |                   |                 |                 |                   |
|---------------------------------------------|------------------------|-----------------|-------------------|-----------------|-----------------|-------------------|
|                                             | Carrying Amount        | Total           | 12 months or less | 1-2 Years       | 2-5 Years       | More than 5 years |
| <b>Non-derivative financial liabilities</b> |                        |                 |                   |                 |                 |                   |
| Secured bank loans                          | 7,279.61               | 7,279.61        | -                 | 1,783.20        | 4,254.24        | 1,242.17          |
| Unsecured bank loan                         | -                      | -               | -                 | -               | -               | -                 |
|                                             | <b>7,279.61</b>        | <b>7,279.61</b> | <b>-</b>          | <b>1,783.20</b> | <b>4,254.24</b> | <b>1,242.17</b>   |
| <b>Derivative financial liabilities</b>     |                        |                 |                   |                 |                 |                   |
| Interest rate swaps                         | -                      | -               | -                 | -               | -               | -                 |
| Other forward exchange contracts            | -                      | -               | -                 | -               | -               | -                 |

Except for these financial liabilities, it is not expected that cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

### **iii) Market risk**

Market risk is the risk that results from changes in market prices – such as foreign exchange rates, interest rates and equity prices – will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Company uses derivatives to manage market risks.

#### **Currency risk**

The Company is exposed to currency risk to the extent that there is a mismatch between the currencies in which sales, purchases and borrowings are denominated. The functional currency for the Company is INR (₹). The currencies in which these transactions are primarily denominated is INR (₹), which is also the company's functional and presentation currency.

The Company uses forward exchange contracts to hedge its currency risk, most with a maturity of less than one year from the reporting date.

Currency risks related to the principal amounts of the US dollar bank loan, which have been fully hedged using forward contracts that mature on the same dates as the loans are due for repayment. These contracts are designated as derivative contracts.

#### **Interest rate risk**

The Company aims to minimise its interest rate risk exposure by maintaining a balance of fixed/ floating rate of interest.

#### **Exposure to interest rate risk**

The interest rate profile of the Company's interest-bearing financial instruments as reported to management is as follows:

(₹ in Crores)

| Particulars                      | For the year ended          |                             |
|----------------------------------|-----------------------------|-----------------------------|
|                                  | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Fixed rate instruments</b>    |                             |                             |
| Financial assets                 | 176.70                      | 0.38                        |
| Financial liabilities            | 3,373.32                    | 9,494.17                    |
|                                  | <b>3,550.02</b>             | <b>9,494.55</b>             |
| <b>Variable rate instruments</b> |                             |                             |
| Financial assets                 | -                           | -                           |
| Financial liabilities            | 8,299.00                    | 9,122.21                    |
|                                  | <b>8,299.00</b>             | <b>9,122.21</b>             |

#### Cash flow sensitivity analysis for variable-rate instruments

A reasonably possible change of 100 basis points in interest rates at the reporting date would have increased /(decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular foreign currency exchange rates, remain constant.

(₹ in Crores)

| Particulars                       | Profit or loss  |                 | Equity, pre tax |                 |
|-----------------------------------|-----------------|-----------------|-----------------|-----------------|
|                                   | 100 bp increase | 100 bp decrease | 100 bp increase | 100 bp decrease |
| <b>31<sup>st</sup> March 2025</b> |                 |                 |                 |                 |
| Variable-rate instruments         | (82.99)         | 82.99           | NIL             | NIL             |
| <b>31<sup>st</sup> March 2024</b> |                 |                 |                 |                 |
| Variable-rate instruments         | (91.22)         | 91.22           | NIL             | NIL             |

## 51 Contingent liabilities and commitments

### Contingent liabilities

A. Claims against company not acknowledged as debts

(₹ in Crores)

| Particulars                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------|-----------------------------|-----------------------------|
| Contractors / suppliers / customers           |                             |                             |
| CPSE                                          | 42.13                       | 42.13                       |
| Other than CPSE                               | 1,354.58                    | 1,290.01                    |
| Local Authorities - state govt.               | 1,411.62                    | 1,227.57                    |
| Sales tax /GST matters (Refer Note no. 51A.1) | 1,063.98                    | 1,021.78                    |
| Income tax                                    | 2.26                        | 2.24                        |
| Customs / excise duty                         | 195.73                      | 184.57                      |
| Others                                        |                             |                             |
| CPSE                                          | -                           | -                           |
| Other than CPSE                               | 394.94                      | 394.09                      |
| <b>Total</b>                                  | <b>4,465.23</b>             | <b>4,162.39</b>             |

51A.1 This includes an amount of ₹ 988.89 Crores for which the Company has received demand notice from Sales tax authorities deeming the stock transfer as interstate sales. However, the company expects no liability to arise as the movement of goods were on stock transfer basis and sales tax was also paid on eventual sales.

**B. Claims in Courts in connection with Land Acquisition:**

1) **49 Sq. Yards in Sy. No. 9 of Sanivada village :**

The encroachment was noticed in the last week of Sep'18. Notices were issued on 03.10.2018 and 04.12.2018. Attempts were made to remove unauthorized constructions from RINL land departmentally. Unauthorized occupant approached High Court in WP No. 17798 of 2019. Vide order dated 13.11.2019 and 20.12.2019, High court of AP has granted stay on proceedings of Estate Court.

2) **12.5 Acres in Sy. No. 12/2 of Kaniti village and 2.0 Acres in Sy. No. 138(p) of Kurmanapalem village :** Land was acquired and handed-over to RINL by state Govt. Immediately after the decree by District court on 02.08.2010 in favour of the erstwhile owners, they tried to take physical possession of the land which was stopped by RINL .RINL filed appeal with A. S. no. 598 of 2010 wherein High Court directed to maintain the Status Quo.

3) **5.03 Acres in Sy. No. 227 of Aganampudi village:**

Land was acquired and handed-over to RINL by state Govt. Lands were under the possession of RINL. Compound wall has also been constructed in majority of the area. Two erstwhile owners of land have filed W. P. no. 15135 and 20722 of 2019 in the High Court of AP which has granted order for maintaining Status quo.

4) **1.40 Acres in Sy. No. 30(p) & 1.59 Acres in Sy. No. 31/2 of Vadlapudi village:**

Land was acquired and handed-over to RINL by state Govt. Lands were under the possession of RINL. Compound wall has also been constructed and lands are within the Boundary wall of RINL. The erstwhile owners of land have filed W. P. no. 12034 of 2020 in the High Court of AP. Hon'ble Court has granted order for maintaining Status quo.

5) **4.25 acres of land in Sy. No. 143 of Pedamadaka village:**

The Karnavanipalem village, Hamlet of of Sanivada in Sy. No. 143 of Pedamadaka was acquired by Govt. of AP for Visakhapatnam Steel Plant in 1991. However, the land has not been handed over to RINL-VSP by Govt. of AP. The villagers are still occupying the land measuring approx. 4.25 acres as Govt. was not able to shift them to Rehabilitation Colonies. In 2023, GoAP has given Pattas for house sites to these villagers in Aganampudi village and will be shifted by GoAP. The matter is being followed up with GoAP regularly.

6) **Sy. No. 43(p) (43/2A2 & 43/2B) of Pedagantyada village:**

Complaint was forwarded by SC & ST Commission in Mar'19 against 4 individuals who installed petty shops obstructing the passage on BC road in RINL land. Notices were issued on 05.04.2019 and 3 individuals removed their structures. Attempts were made to remove balance constructions from RINL land departmentally. Hon'ble Estate Court, RINL passed order of eviction in Jul & Aug'23. Opposite party approached Hon'ble Principal District Judge, Visakhapatnam in AS No. 187 of 2023. Hon'ble Court granted stay.

C. Show cause notices issued by various Government Authorities are not considered as contingent liabilities.

**D. Commitments**

(₹ in Crores)

| Particulars                                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Estimated amount of contracts remaining to be executed on capital account and not provided | 263.67                      | 382.15                      |
| <b>Total</b>                                                                               | <b>263.67</b>               | <b>382.15</b>               |

## E. Others

Rashtriya Ispat Nigam Limited ("RINL") and Air Liquide India Holding Private Limited ("ALIH") entered into a Contract dated 26 November 2010 for supply of Oxygen and Nitrogen gases and liquids for captive consumption of RINL on a Build, Own and Operate Basis ("BOO") with an option to transfer.

ALIH vide letter dated 16 December 2014 terminated the contract and proposed to transfer the ownership of ASU plants to RINL. RINL agreed for in principle takeover of ASP from ALIH subject to inter alia, technical audit of the ASP. Because of the failure of the negotiations, RINL was compelled to invoke Arbitration under Clause No. 32 of the Contract dated 26 November 2010.

The Arbitral Tribunal (AT) constituted issued the First Partial Award (Liability) on 12 June 2020 wherein the AT has ruled that the ASP BOO Contract was validly terminated by ALIH's Termination Notice dated 16 December 2014. The ASP BOO will be transferred by ALIH to RINL at a price ("the Takeover Price") and on terms to be determined by the Arbitral Tribunal in a further Award.

The Arbitral Tribunal by its Second Partial Final Award (Costs of First Partial Award) dated 12 October 2020 has awarded a cost of ₹160,099,066 in favour of ALIH.

The Arbitral Tribunal by its Third Partial Final (Valuation Issue) Award dated 02 April 2021, has decided that the takeover price shall be determined in two phases and directed that the commissioning of the Plant shall commence no later than 1 May 2021. The First Phase of the calculation of the Takeover Price shall comprise the ascertainment of the value of the physical assets as on the Termination Date ("the Book Value"), Phase 2 shall comprise ascertainment of any necessary adjustments to the Book Value following the commissioning of the Plant.

As per the Procedural Order No.11 issued by the AT, RINL has made a payment of ₹45 Crore to ALIH and additionally a sum of ₹40 Crore has been deposited by RINL in an escrow account, opened jointly in the name of ALIH and RINL which shall be released to ALIH upon completion of the milestones as defined by the AT.

As per Fourth Partial Award (Book value of plant at termination date) issued by the AT vide e-mail dt. 05.12.2023, RINL has deposited ₹303.44 Crore in an escrow account, jointly opened in the name of RINL and ALIH.

Approval was obtained from Board for carrying out negotiations with M/s ALIH for arriving at settlement terms, apart from ongoing Arbitration without prejudice to RINL's rights based on the recommendations of the Committee.

RINL had several rounds of discussions / price negotiations / correspondence with ALIH in month of March'25 and April'25. Based on the views of RINL through various correspondence, ALIH on 25<sup>th</sup> April'2025 submitted "Settlement Agreement" for RINL's perusal. The committee deliberated on the "Settlement Agreement" furnished by ALIH and issues pertaining to HSN for GST, liquidation of punch points recorded during PGT-2, sequence of activities and timelines etc. were also resolved.

In line with the approval accorded by the Board vide its 374<sup>th</sup> meeting held on 30<sup>th</sup> April 2025, Settlement Agreement was signed by both the parties on 02<sup>nd</sup> May'2025, ₹647.94 Crore were released to ALIH on 03<sup>rd</sup> May and the Plant was Handed-over to RINL by M/s ALIH on 03<sup>rd</sup> May'2025.

## 52 Related parties

### A. List of related parties and nature of relationship

| Name of the related party                   | Nature of relationship   | Country    |
|---------------------------------------------|--------------------------|------------|
| Eastern Investments Limited (EIL)           | Subsidiary               | India      |
| The Orissa Minerals Development Company Ltd | Subsidiary of EIL        | India      |
| The Bisra Stone Lime Company Limited        | Subsidiary of EIL        | India      |
| RINL Powergrid TLT Pvt Ltd                  | Joint ventures           | India      |
| International Coal Ventures Pvt Ltd (ICVL)  | Associate                | India      |
| Manganese Ore (India) Ltd                   | Entity having Common KMP | India      |
| MINAS DE BENGAL LIMITADA                    | ICVL's Joint Venture     | Mozambique |



**B-I. Key Management personnel as on 31<sup>st</sup> March 2025**

| Name of the related party                    | Nature of relationship                       |
|----------------------------------------------|----------------------------------------------|
| Shri Ajit Kumar Saxena (from 29.09.2024)     | Chairman-cum-Managing Director (Addl Charge) |
| Shri Atul Bhatt (upto 30.11.2024)            | Chairman-cum-Managing Director               |
| Shri Deb Kalyan Mohanty (upto 30.04.2024)    | Director (Commercial)                        |
| Shri Arun Kanti Bagchi                       | Director (Projects)                          |
| Shri Suresh Chandra Pandey                   | Director (Personnel)                         |
| Shri Ch SRVGK Ganesh (from 03.04.2024)       | Director (Finance) & CFO                     |
| Shri GVN Prasad (from 01.05.2024)            | Director (Commercial)                        |
| Shri Salim G Purushothaman (from 09.03.2025) | Director (Operations)                        |
| Shri M Jagadeeshwara Rao                     | Company Secretary                            |
| Shri V Santa Kumar (upto 02.04.2024)         | CFO                                          |

**B-II. Independent Directors as on 31<sup>st</sup> March 2025**

| Name of the related party                 | Nature of relationship |
|-------------------------------------------|------------------------|
| Shri Sunil Kumar Hirani (upto 31.10.2024) | Independent Director   |
| Shri Ghanshyam Singh (upto 31.10.2024)    | Independent Director   |

**B-III. Government Directors as on 31<sup>st</sup> March 2025**

| Name of the related party                               | Nature of relationship |
|---------------------------------------------------------|------------------------|
| Ms. Sukriti Likhi (upto 19.08.2024)                     | Government Director    |
| Dr. Sanjay Roy                                          | Government Director    |
| Shri Subodh Kumar Singh (from 06.11.2024 to 18.12.2024) | Government Director    |

**C. Post employment plans of Rashtriya Ispat Nigam Limited**

| Name of the related party                                    | Country |
|--------------------------------------------------------------|---------|
| RINL Employees' Group Gratuity Fund Trust                    | India   |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | India   |
| RINL Employees' Superannuation Benefit Fund Trust            | India   |
| RINL PRMS Trust                                              | India   |

**D. Other Related Parties**

| Name of the related party | Country |
|---------------------------|---------|
| RINL - CSR Foundation     | India   |

**E. Transactions with related parties**
**(₹ in Crores)**

| Name of the related party                                    | Nature of Relationship       | Details                                  | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------|------------------------------|------------------------------------------|-----------------------------|-----------------------------|
| Eastern Investments Limited                                  | Subsidiary                   | Salaries Recoverable                     | 0.55                        | 0.63                        |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Purchases                                | 9.69                        | 17.05                       |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Interest-Others                          | 0.00                        | 0.00                        |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Interest earned from Supplier Advances   | 3.42                        | 3.39                        |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Salaries Recoverable                     | 0.55                        | 0.71                        |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Purchases                                | 4.40                        | 12.91                       |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Advances to Supplier                     | -                           | 82.86                       |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Interest earned from Supplier - Advances | 21.95                       | 18.48                       |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Salaries Recoverable                     | 1.98                        | 1.45                        |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | License fees                             | 0.24                        | 0.54                        |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Loan                                     | 176.53                      | -                           |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Interest on Loan                         | 1.46                        | -                           |
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Others                                   | 0.00                        | -                           |
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Salaries Recoverable                     | 0.41                        | 0.29                        |
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Receipt of Claims                        | -                           | 1.25                        |
| Manganese Ore (India) Ltd                                    | Entity having common KMP     | Purchases                                | 42.65                       | 1.09                        |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Purchases                                | 152.16                      | 269.83                      |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Demurrages/ Despatches                   | -                           | 2.60                        |
| RINL Employees' Group Gratuity Fund Trust                    | Post Employment Benefit Plan | Employee Benefit Expenses                | 160.13                      | 85.36                       |
| RINL Employees' Group Gratuity Fund Trust                    | Post Employment Benefit Plan | Amount Remitted to Trust                 | -                           | 10.00                       |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | Post Employment Benefit Plan | Employee Benefit Expenses                | 164.52                      | 181.39                      |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | Post Employment Benefit Plan | Amount Remitted to Trust                 | 136.55                      | 155.58                      |
| RINL Employees' Superannuation Benefit Fund Trust            | Post Employment Benefit Plan | Employee Benefit Expenses                | 39.68                       | 42.09                       |
| RINL Employees' Superannuation Benefit Fund Trust            | Post Employment Benefit Plan | Amount Remitted to Trust                 | 12.09                       | 60.87                       |
| RINL PRMS Trust                                              | Post Employment Benefit Plan | Employee Benefit Expenses                | 7.64                        | 8.18                        |
| RINL PRMS Trust                                              | Post Employment Benefit Plan | Amount Remitted to Trust                 | 5.30                        | 7.16                        |
| RINL - CSR Foundation                                        | CSR Trust                    | Donations                                | -                           | -                           |

**F. Balances outstanding (unsecured & considered good)**
**(₹ in Crores)**

| Name of the related party                                    | Nature of Relationship       | Details                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------|------------------------------|-----------------------------------|-----------------------------|-----------------------------|
| Eastern Investments Limited                                  | Subsidiary                   | Investment in Subsidiary          | 361.03                      | 361.03                      |
| Eastern Investments Limited                                  | Subsidiary                   | Other financial assets            | 2.28                        | 1.73                        |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Advances recoverable              | 33.65                       | 34.97                       |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Amounts payable                   | -1.07                       | 0.26                        |
| The Bisra Stone Lime Company Limited                         | Subsidiary of EIL            | Other financial assets            | 2.12                        | 1.57                        |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Advances recoverable              | 186.03                      | 184.75                      |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Other financial assets            | 32.23                       | 13.50                       |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Other financial liabilities       | 0.06                        | 0.18                        |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Loan                              | 176.53                      | -                           |
| The Orissa Mineral Development Company Ltd                   | Subsidiary of EIL            | Accrued Interest on Loan          | 1.46                        | -                           |
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Investment in Associate           | 378.86                      | 378.86                      |
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Other financial assets            | 0.80                        | 0.39                        |
| Managanese Ore (India) Ltd                                   | Entity having common KMP     | Amounts payable                   | 12.02                       | 1.28                        |
| Managanese Ore (India) Ltd                                   | Entity having common KMP     | Other financial assets            | 0.00                        | -                           |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Amounts payable                   | 367.23                      | 368.17                      |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Other financial assets            | 18.25                       | 18.25                       |
| RINL Employees' Group Gratuity Fund Trust                    | Post Employment Benefit Plan | Other financial liability/(asset) | 472.87                      | 312.74                      |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | Post Employment Benefit Plan | Other financial liability         | 112.96                      | 41.81                       |
| RINL Employees' Superannuation Benefit Fund Trust            | Post Employment Benefit Plan | Other financial liability         | 449.10                      | 375.33                      |
| RINL PRMS Trust                                              | Post Employment Benefit Plan | Other financial assets            | 1.25                        | 1.36                        |

**NOTE:** In addition to above, the company has invested an amount of ₹4.00 Crores in Equity Shares of M/s RPTPL for which necessary provision has been made in the books of accounts (Refer Note No. 5)

**(₹ in Crores)**

| Particulars                                                                | For the year ended          |                             |
|----------------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Provision for doubtful debts related to the amount of outstanding balances | -                           | -                           |

**G. Key management personnel compensation & Sitting Fee paid**
**(₹ in Crores)**

| Particulars                               | For the year ended          |                             |
|-------------------------------------------|-----------------------------|-----------------------------|
|                                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Short-term employee benefits              | 2.00                        | 2.23                        |
| Post-employment benefits                  | 0.92                        | 0.37                        |
| Other long-term benefits                  | 0.75                        | 0.46                        |
| Sitting fee paid to Independent Directors | 0.06                        | 0.09                        |
|                                           | <b>3.73</b>                 | <b>3.15</b>                 |

## H. Transactions with Government Related Entities

During the year, significant amount of purchase of indigenous raw materials i.e., Iron ore of about ₹3818.45 Crores (Prev. Year : ₹3599.40 Crores) were procured from National Mineral Development corporation (NMDC), a central PSU. Also the company has made sale of coal amounting to 'Nil' (CPLY: ₹88.10 Crores) to NMDC. The Company has also entered into other transactions such as service contracts, fuel purchase etc. with other various government related entities. These transactions are insignificant individually and collectively and hence not disclosed.

53. The company is the single Cash Generating Unit consisting of many assets that are largely dependent on each other for generating cash flows. The Company is the manufacturer of Steel Products and it is not exposed to any technology obsolesce, legal restriction, etc. Accordingly, there is no indication that exists on the reporting date to carry out the assessment of impairment of the assets by the company. Hence, as on the reporting date, no impairment loss is required to be provided.

## 54 Going Concern Assessment

1. The management of the company has carried out an assessment on the Company's ability to continue as a Going Concern considering a wide range of factors relating to current and expected profitability, its current net worth and plans in place to improve it, debt repayment schedules and potential sources of replacement financing etc.,
2. As a part of the assessment of its ability to continue as a going concern, the management of RINL has taken into consideration the following factors from the financial year under report as well as the financial year ahead.
  - i. Its track record of Debt servicing.
  - ii. Its successful and strategic deployment of its resources and capacities and market opportunities to optimise its costs and maximize its revenues during the year.
  - iii. Support from Government of India in the form of equity infusion and working capital loan to be converted as 7% non-cumulative preference share capital redeemable after 10 years.
  - iv. Assured supply of and support from vendors of major materials pursuant to settlements and long term agreements/MOUs made with them during the year.
  - v. Active engagement with lenders from time to time for their continued support in terms of financing of its working capital needs.
  - vi. There are no significant and material orders passed by the Regulators or Courts or Tribunals impacting the going concern status and Company's operations in future during the year.
3. Based on its performance during the year under report, the management of the company has also made the following estimates for its next financial year in the following manner:
  - i. Gross Sales Turnover of ₹28,775 Crores for the FY 2025-26 as against the actual turnover of ₹18,288 Crores achieved during 2024-25 due to higher capacity utilisation envisaged.
  - ii. Gross sales volume of 5.42 million tonnes of saleable steel for the FY 2025-26 as against 3.415 million tonnes achieved in 2024-25.
  - iii. The production for the FY 2025-26 at 5.42 million tonnes of saleable steel as compared to 3.458 million tonnes achieved during 2024-25.
4. The following measures were in place to improve the net worth position and working capital of the company.
  - i. Revival Plan approved by Govt. of India: The Cabinet Committee on Economic Affairs (CCEA) has approved the revival plan for RINL for a total of ₹11,440 crores. The infusion includes ₹10,300 crore as equity capital into Rashtriya Ispat Nigam Ltd. (RINL) and Conversion of ₹1,140 crore

working capital loan as 7% Non-cumulative Preference Share Capital redeemable after 10 years to keep RINL as a going concern.

As a part of the above revival plan approved by GoI as above, ₹500 crores were received during September 2024 against which equity share capital was allotted to GoI in October 2024 and ₹ 6,783 crores was received in January 2025 against which equity share capital was allotted in April 2025. During May 2025, ₹1,401 crores were received from GoI towards equity infusion and equity shares were allotted against the same. The remaining equity infusion of ₹1,616 crores, out of the revival plan approved by the GoI, is expected to be completed during FY 2025-26.

Further, ₹1,140 crores which was received from GoI towards working capital loan in September 2024, was approved by GoI to be converted as 7% Non-cumulative Preference Share Capital redeemable after 10 years. The said conversion of working capital loan into preference share capital is expected to take place during FY 2025-26.

- ii. **Voluntary Retirement Scheme (VRS):** As a part of efforts for revival of the company, the VRS Scheme was implemented. 1,123 employees have opted for VRS and got relieved from service on 31.03.2025. The estimated monthly cost savings as a result is VRS is about ₹20 crores. Further, with the significant number of normal retirements due in the current financial year and beyond, it is expected that employee benefit cost will further decline in the future.
- iii. **Reduction of fixed administrative overheads:** Measures have been undertaken to optimise overall man power which involve right sizing of number of contract workers and reduction/replacement of high cost CISF personnel with low cost alternative force deployment.
- iv. **Sale of non-core surplus land:** The Government of India approved the sale of 24.99 acres of non-core surplus freehold land owned by the Company in Visakhapatnam through Auction. The company, in association with M/s National Land Monetization Corporation (NLMC) and M/s NBCC (India) Limited, has sold 5.63 acres of land for an amount of ₹225 crores upto 31.03.2025. The company has plans to sell the remaining land of 19.33 acres with an estimated realisable value of ₹761 crores (i.e., reserve prices assessed by the Asset Valuer).

In view of the above, the management of the company believes that the Company has the ability to continue as a going concern due to the steps taken by the company to continue its operations in the FY 2024-25 and the action plan for the FY 2025-26.

#### 55 A **Disinvestment of Rashtriya Ispat Nigam Limited:**

The Cabinet Committee on Economic Affairs (CCEA), in its meeting held on 27.01.2021, had given "in principle" approval for 100% disinvestment of GOI shareholding in RINL along with RINL's stake in its Subsidiaries/JVs through strategic disinvestment by way of privatization. An Inter-Ministerial Group has been constituted by Ministry of Finance vide office order dtd. 12.02.2021, for driving the process of strategic disinvestment of RINL. Transaction Advisor (TA), Legal Advisor (LA) and Asset Valuer (AV) have been appointed by GoI to take forward the process of 100% disinvestment of RINL.

#### B **Slump Sale of FWP :**

Alternative Mechanism (AM), vide OM No. 4/4/2011/DoD/DIPAM (Pt.File) dated 12<sup>th</sup> May 2023, accorded in-principle approval for strategic disinvestment of Forged Wheel Plant as a going concern (Unit sale) separately and prior to the share sale transaction of RINL on 12<sup>th</sup> May, 2023.

Alternate Mechanism (AM) considered the note no. 4/4/2011 DoD/DIPAM(Pt.) dated 25.01.2024 of DIPAM containing recommendations of Core Group of Secretaries on Disinvestment (CGD) in the meeting dated 04-Dec-2023 and annulled the earlier "in-principle" approval of strategic disinvestment of FWP and recommended the sale of FWP through BTA to Ministry of Railways after due approval of CCEA on 25<sup>th</sup> January, 2024.

As per the communication received from MoS vide S-26011/3/2024-RINL dated 14-Mar-2024, Cabinet Committee on Economic Affairs (CCEA) in its meeting held on 07-March-2024 accorded approval for Slump Sale as a 'going concern' through Business Transfer of Forged Wheel Plant (FWP) of RINL to the Modern Coach Factory (MCF), Rae Bareli of the Ministry of Railways.

As recommended by RINL Board in its 360<sup>th</sup> meeting held on 15<sup>th</sup> March, 2024, the members of the Company (shareholders of RINL) considered the recommendations of RINL Board as Special Business in their 13<sup>th</sup> Extraordinary General Meeting (EGM) held on 15<sup>th</sup> March, 2024 and approved the Slump sale of Forged Wheel Plant (FWP) of Rashtriya Ispat Nigam Limited located at Modern Coach Factory (MCF) premises, Lalgunj, Rae Bareli, Uttar Pradesh Unit to Ministry of Railways (MoR) through Modern Coach Factory.

In pursuance of the Business Transfer Agreement (BTA) executed on 21-Mar-2024, the FWP was transferred on slump sale basis to Modern Coach Factory (MCF), Rae Bareli of the Ministry of Railways at a net consideration ₹1788.38 crores and the transfer of ownership took effect at 11.59 PM on 31.03.2024 as per the terms of BTA. Accordingly, all the assets and liabilities attributable to FWP are transferred to MCF in terms of slump sale as per BTA were de-recognised from the books of accounts on 31.03.2024.

One Bank Guarantee related to FWP for an amount of ₹5.82 Crores is still in vogue.

#### **C Sale of Outstation Properties:**

The RINL Board vide its 361<sup>st</sup> meeting held on 22.05.2024, had in-principle approved the proposal for sale of properties i.e., office buildings and residential flats located at Mumbai, Delhi, Faridabad, Hyderabad, Bangalore and Pune as well as stock yards located at Chennai and Hyderabad. These properties were estimated to have a market value of ₹476.18 crores at the time the said proposal was approved by the Board. The Board had also, in principle, approved the proposal for the sub-lease of stock yard located at Mumbai, with an estimated market price of ₹ 166.69 crores. These non-current assets do not constitute 'disposal group' and did not meet the conditions prescribed for classification as 'Assets held for sale' as per the requirements of 'Ind AS 105 – Non-current Assets held for sale'

#### **D Lease of Vacant Project Land to M/s NMDC**

The company has entered into lease agreement with M/s NMDC Ltd. on 30<sup>th</sup> April 2025 for lease of 1167 acres of land located within the premises of Visakhapatnam Steel Plant for a lease period of 30 years w.e.f 04<sup>th</sup> September 2024 for setting up of industrial facilities including a slurry pipeline, a pellet plant and other related facilities that would also be in the larger interest of the RINL for its long term raw material security. The terms of the said lease deed provide for payment of upfront premium of ₹1502 crores (one time) and security deposit of ₹90.12 crores (one time) with ground rent being ₹1/- per annum for 1167 acres.

Further, as per the terms of the lease deed, the lease shall be extendable by another 30 years on mutually acceptable terms and conditions.

As of 31.03.2025, an amount to the extent of ₹998.89 Crores payable to M/s NMDC towards supply of raw materials has been set off against lease premium receivable from M/s NMDC. The balance amount receivable on this account from M/s NMDC is accounted under the head 'Other Financial Assets' which is disclosed at Note No.7B.4

- 56** a) The Company's business is construed as one business segment which comprises of mainly production of Steel products, whose associated risks and returns are predominantly the same. Further, the Company has no geographical segments which are subject to different risks and returns.
- b) Previous years's figures have been rearranged / regrouped wherever necessary to confirm to current year's classification.



## NOTES ON SUBSIDIARIES AND JOINT VENTURES

### SUBSIDIARIES:

#### **EASTERN INVESTMENT LIMITED (EIL)**

EIL is a Non-Banking Financial Company (NBFC) and income of the company is mainly derived from

- (i) Dividends from investments in shares of various companies including subsidiary companies and
- (ii) Interest on term deposits with banks and deposits in bonds.

EIL is the holding company of Orissa Minerals Development Co. Ltd. (OMDC) and Bisra Stone Lime Company Ltd. (BSLC).

Performance of EIL during FY 2024-25 as per Standalone Accounts:-

(₹ in Crores)

| Particulars       | FY 2024-25 | FY 2023-24 |
|-------------------|------------|------------|
| Total Income      | 0.44       | 0.96       |
| Profit Before Tax | (0.44)     | (0.08)     |

Performance of EIL during FY 2024-25 as per Consolidated Accounts:-

(₹ in Crores)

| Particulars       | FY 2024-25 | FY 2023-24 |
|-------------------|------------|------------|
| Total Income      | 134.05     | 175.47     |
| Profit Before Tax | (41.19)    | (2.27)     |

#### **BISRA STONE LIME COMPANY LTD. (BSLC)**

BSLC is currently engaged in mining and marketing of limestone and dolomite. The mines are located at Birmitrapur in the district of Sundargarh, Odisha. The company is having reserves of about 287 million tonnes of dolomite and 367 million tonnes of limestone.

The company's Production and Financials are detailed below:

| Particulars                                                   | FY 2024-25 | FY 2023-24 |
|---------------------------------------------------------------|------------|------------|
| Production of Dolomite & Limestone (Incl. Fines) (in lakh MT) | 7.75       | 10.28      |
| Despatches / Sales volume (in lakh MT)                        | 7.50       | 10.76      |
| Total Income (₹ in crores)                                    | 62.61      | 85.31      |
| Profit Before Tax (₹ in crores)                               | 6.71       | 2.33       |

#### **Future Outlook:**

- a) New MOU price for Dolomite was implemented on Plants.
- b) Road dispatches started for Dolomite and Limestone.
- c) Enrolled in GeM Portal for participation in tenders for sale of materials.
- d) Augmenting Sales of Dolomite to Local sponge Iron Plants via road transport considering limited Rake availability and the potential to generate additional revenue.

#### **THE ORISSA MINERALS DEVELOPMENT COMPANY LIMITED (OMDC)**

OMDC operated six mining leases in the state of Odisha with reserves of 206 million tonnes of Iron Ore and 44 million tons of Manganese Ore. Three mines, Bagiaburu, Bhadrasahi, Belkundi are in the name of OMDC and the other three viz., Kolha Roida, Thakurani, Dalki were operated under Power of Attorney (POA) by Bharat Process and Mechanical Engineers Ltd.(BPMEL), another CPSE under Ministry of Heavy Industry. At present BPMEL is under liquidation.

All six mines were inoperative since 2010 for want of statutory clearances & renewal of lease rights. However, after completing all statutory compliance, Bagiaburu iron ore mines started operation w.e.f. 14.12.2023.

Pursuant to the judgement of Hon'ble Supreme Court dated 02.08.2017. Dy. Director of Mines, Odisha had issued different demand notices to the company and to BPMEL towards compensation against excess mining amounting to

₹ 1,563.76 crores (i.e. ₹ 702.19 crores for OMDC and ₹ 861.57 crores for BPMEL). OMDC has paid the compensation of ₹ 876.22 crores towards OMDC mining leases (Incl. interest of ₹ 174.03 crores) and ₹ 27.15 crores as advance towards BPMEL mining leases. A provision for ₹ 27.15 crores has also been made in the books of account. The balance amount of compensation for BPMEL mining leases along with interest up to 31.03.2025 of ₹ 1929.38 crores is shown as contingent liability.

Vide judgement dated 17 May 2024, the Hon'ble Supreme Court of India (SCI) rejected OMDC's plea to renew the Kolha-Roida lease and clarified that the renewal applications for the Thakurani and Dalki leases, pending for approval, are to be treated as dismissed. OMDC on 08.07.2024 filed application for review of the judgement by the Hon'ble SCI (Diary no. 29806 of 2024) but unfortunately, the said review petition was also rejected by Hon'ble SCI.

For FY-2024-25, total income of the company was derived from sale of old undisposed stock lying at Bhadrasahi mines and fresh mined material of Bagiaburu mines. At present in current FY-2025-26, the company derives its revenue mainly from operations of Bagiaburu mines.

Performance of OMDC during FY 2024-25:

(₹ in Lac.)

| Particulars       | FY 2024-25 | FY 2023-24 |
|-------------------|------------|------------|
| Total Income      | 7,100.17   | 8938.12    |
| Profit Before Tax | (4,840.40) | (530.88)   |

#### Present Status :

##### ❖ **Bagiaburu Iron Ore Mines (21.52 Ha)**

The Bagiaburu Iron Ore Mines are presently in operation with a mining lease valid up to 10<sup>th</sup> October, 2041. The Forest Clearance (FC) has also been granted up to 10<sup>th</sup> October, 2041, and the Environment Clearance (EC) is valid up to 13<sup>th</sup> July, 2033. The mine has a production capacity of 0.36 MTPA of iron ore.

##### ❖ **Belkundi Iron Ore & Manganese Ore Mines (1276.79 Ha.)**

The mining lease for Belkundi Iron Ore & Manganese Ore Mines is valid up to 15<sup>th</sup> August, 2026. A co-terminus Forest Clearance (FC) for the mine was granted by the Ministry of Environment, Forest & Climate Change (MoEF&CC), Government of India. The proposal for grant of Environmental Clearance (EC) was considered in the 43<sup>rd</sup> meeting of the Expert Appraisal Committee (EAC) (Non-Coal Mining) held on 23<sup>rd</sup> April, 2025. However, MoEF&CC delisted the proposal on 31<sup>st</sup> May, 2025, citing Office Memorandum F. No. IA3-3/7/2024-IAIII (Part) (E-254652) dated 26<sup>th</sup> May, 2025, in pursuance of the judgement of the Hon'ble Supreme Court of India dated 16<sup>th</sup> May, 2025 in W.P. (Civil) No. 1394/2023 in the matter of *Vanashakti vs. Union of India*.

##### ❖ **Bhadrasahi Iron Ore & Manganese Ore Mines (998.70 Ha.)**

The Orissa Minerals Development Company Limited (OMDC) submitted an online application on 8<sup>th</sup> April, 2025 through the *Parivesh* Portal of the Ministry of Environment, Forest & Climate Change (MoEF&CC), Government of India, seeking Terms of Reference (ToR), as the previously granted ToR had expired on 31<sup>st</sup> March, 2025. The Expert Appraisal Committee (EAC), vide its Minutes of Meeting dated 3<sup>rd</sup> May, 2025, "...returned the proposal in its present form....", citing that the project does not fulfill the requisite conditions for further consideration under the prevailing guidelines and judicial directions.

Due to non-availability of statutory clearances, the above two mines have remained non-operational. The Company is actively pursuing the matter with the concerned authorities of both the State and Central Governments for obtaining necessary statutory clearances. In parallel, the option of filing a Review Petition against the Hon'ble Supreme Court Order dated 16.05.2025 is also under consideration, with the objective of resuming mining operations at the earliest possible date.

#### Future Outlook:-

- ❖ A co-terminus Forest Clearance (FC) for Belkundi Mines has already been granted by MoEF&CC, Govt. of India. OMDC is actively pursuing to obtain the Environmental Clearance (EC) for the Belkundi Mines.

- ✦ Exploring the possibility for enhancement of production capacity in near future through upgradation in technological aspects is incorporated in the Mine Developer & Operator (MDO) contract for the operationalization of Belkundi mines.
- ✦ The tendering process for exploration work at Bagiaburu Mine is in progress to assess the minable reserves, which will facilitate capacity enhancement of production.

### JOINT VENTURE MECHANISM (JV)

#### International Coal Ventures Private Limited (ICVL)

International Coal Ventures Private Limited (ICVL) was set up as a Joint Venture Company with SAIL, CIL, RINL, NMDC and NTPC in the shareholding ratio of 2:2:1:1:1 as the promoter companies respectively for securing metallurgical coal and thermal coal assets in overseas territories. Present Shareholding ratio between SAIL, RINL and NMDC is 48:26:26 as CIL and NTPC are not interested in further investments.

International Coal Ventures Private Limited (ICVL) has a 100% subsidiary in Mauritius by the name of ICVL Mauritius Limited which has a step down 100% subsidiary namely Riversdale Mining (Pty) Limited (RMPL) in Australia which in turn holds a share of 65% stake in Minas De Benga Mauritius Limited (MBML), along with Tata Steel (TSL) which is holding remaining 35% stake. MBML, in turn, has been holding 99.5% shares in Minas de Benga Lda (MBL). MBL is operating Benga Mine which is having 236 million tonnes of mineable reserves in Tete Province of Mozambique and also exports coal to SAIL and RINL.

In addition, RMPL is also the 100% owner of ICVL Zambeze Mauritius Ltd (IZML), a company incorporated in Mauritius and which is holding 100% shares of ICVL Zambeze Lda (IZL). IZL is owner of Greenfield Mines in Mozambique with estimated Coal reserves of about 493 million tonnes. Performance of Minas De Benga Ltd (MBL) during FY 2024-25

| Particulars                            | FY 2024-25(*) | FY 2023-24 |
|----------------------------------------|---------------|------------|
| <b>Production</b>                      |               |            |
| Low Ash Coking Coal (in million tons)  | 0.53          | 0.96       |
| High Ash Coking Coal (in million tons) | 0.14          | 0.30       |
| <b>Export Sales</b>                    |               |            |
| Low Ash Coking Coal (in million tons)  | 0.62          | 0.87       |
| High Ash Coking Coal (in million tons) | 0.46          | 0.41       |

(\*) Factors contributing to lower performance in FY 2024-25:

The mining Contractor BGR stopped mining operations from 5<sup>th</sup> November 2024 and subsequently mining contract with BGR was terminated on 3<sup>rd</sup> March 2025 on account of contractual dispute. New Mining contract has already awarded and is under mobilization period.

Performance of ICVL during FY 2024-25 as per Consolidated Accounts:-

| Particulars                  | FY 2024-25 | FY 2023-24 |
|------------------------------|------------|------------|
| Total Income (₹ in Cr.)      | 52.53      | 20.33      |
| Profit Before Tax (₹ in Cr.) | (-33.79)   | (-29.51)   |

#### **Future Outlook:**

- a) Exploring new markets for Benga coal
- b) Expansion of operations in Mozambique:
  - ✦ Zambeze Coal Mine – Green Field Project-DPR Made-Project financially not viable
  - ✦ Tete East Coal Mine – Green Field Project – DPR under preparation
  - ✦ Benga Coal Mine – Running Mine- Doubling of CHPP Capacity-DPR under preparation

### **RINL POWERGRID TLT Private Limited (RPTPL)**

RINL POWERGRID TLT Private Limited (RPTPL) was incorporated on 19<sup>th</sup> August, 2015 as a Joint Venture Company of RINL and POWERGRID with 50:50 shareholding with its registered office at Visakhapatnam, for setting up Transmission Line Towers (TLT) unit. M/s MECON was engaged as Project Management Consultant (PMC) for end-to-end consultancy for entire RPTPL Project. Contracts were awarded for site survey & site Enabling works by PMC Consultant M/s MECON.

However in view of the changed business scenario, POWERGRID Board accorded approval for closure of RPTPL and to seek consent of RINL for winding up/dissolution of RPTPL. Subsequent to the decision of the Board of M/s POWERGRID, Board of RINL agreed for winding up of RPTPL subjected to approval by Ministry of Steel (MoS). Approval for closure of RPTPL is received from MoS on 11.07.2022. Meanwhile, as directed by RPTPL Board a Joint Working Committee (JWC) was formed with representatives from both RINL and POWERGRID to expedite the closure of the contracts of RPTPL project along with end-to-end consultant M/s. MECON to avoid further financial implications.

However winding up process could not be initiated as M/s SRICO, contractor for site enabling works, served notice on 17-12-2022 for invocation of Arbitration as per the clause 39.1 of the work order. RPTPL Board discussed the same and requested M/s MECON to examine the subject matter and take necessary action as required under the Arbitration and Conciliation Act and to initiate Conciliation Proceedings where both M/s. MECON and RPTPL will participate together. Subsequently, conciliator has been appointed based on the preference of M/s SRICO and RPTPL.

Conciliator has given his final recommendation which is agreed by RPTPL and the contractor. Further, based on the fund requirements of RPTPL for closure of Contracts, Board of RPTPL has recommended for subscription of call money of ₹ 2 crores from JV partners RINL & PGCIL. The Call money letter dated 01<sup>st</sup> July 2025 is issued to both the JV partners for subscription. Call Money of ₹ 2 crores received from JV Partners in the first week of Aug' 2025 by RPTPL. After closure of all contracts and extinguishing all its assets and liabilities, RPTPL will initiate actions for voluntary winding up to close the company by applying for striking off the company's name from Registrar of Companies, Vijayawada under Section 248 (2) of the Companies Act, 2013.

**THE FINANCIAL PERFORMANCE OF SUBSIDIARY/Joint VENTURE/ASSOCIATE COMPANIES & RINL GROUP  
(CONSOLIDATED)**  
(₹ in Crores)

| Financial Highlights                                                                                        | Subsidiaries(Standalone)* |                |                |                |                |                | Associate              |                | RINL Group     |                | RINL           |                |
|-------------------------------------------------------------------------------------------------------------|---------------------------|----------------|----------------|----------------|----------------|----------------|------------------------|----------------|----------------|----------------|----------------|----------------|
|                                                                                                             | EIL                       |                | OMDC           |                | BSLC           |                | ICVL<br>(Consolidated) |                | Consolidated   |                | SFS            |                |
|                                                                                                             | 2024-25                   | 2023-24        | 2024-25        | 2023-24        | 2024-25        | 2023-24        | 2024-25                | 2023-24        | 2024-25        | 2023-24        | 2024-25        | 2023-24        |
| The financial performance of Subsidiary/<br>Joint Venture/associate companies<br>& RINL Group(Consolidated) |                           |                |                |                |                |                |                        |                |                |                |                |                |
| <b>Particulars</b>                                                                                          | <b>2024-25</b>            | <b>2023-24</b> | <b>2024-25</b> | <b>2023-24</b> | <b>2024-25</b> | <b>2023-24</b> | <b>2024-25</b>         | <b>2023-24</b> | <b>2024-25</b> | <b>2023-24</b> | <b>2024-25</b> | <b>2023-24</b> |
| Total Income                                                                                                | 0.44                      | 0.96           | 71.00          | 89.38          | 62.61          | 85.31          | 52.54                  | 20.33          | 18762.53       | 23507.75       | 18667.88       | 23385.10       |
| Profit before finance charges,<br>Tax, Depreciation/ Amortisation<br>(PBITDA)                               | (0.44)                    | (0.08)         | (22.08)        | 30.18          | 8.05           | 3.69           | (33.79)                | (0.09)         | (1553.65)      | (1849.90)      | (1508.44)      | (1853.97)      |
| Less: Finance Charges                                                                                       | -                         | -              | 22.41          | 30.61          | 0.97           | 0.98           | -                      | 29.43          | 2172.21        | 2181.77        | 2171.75        | 2173.03        |
| Profit before Depreciation/<br>Amortisation (PBTDA)                                                         | (0.44)                    | (0.08)         | (44.49)        | (0.43)         | 7.08           | 2.72           | (33.79)                | (29.52)        | (3725.86)      | (4031.67)      | (3680.19)      | (4027.00)      |
| Less: Depreciation                                                                                          | -                         | -              | 3.92           | 4.87           | 0.37           | 0.39           | 0.00                   | 0.00           | 1165.53        | 1299.44        | 1161.24        | 1294.18        |
| Profit before exceptional items                                                                             | (0.44)                    | (0.08)         | (48.40)        | (5.31)         | 6.71           | 2.33           | (33.79)                | (29.52)        | (4891.39)      | (5331.11)      | (4841.43)      | (5321.18)      |
| Less: Exceptional items                                                                                     | -                         | -              | -              | -              | -              | -              | -                      | -              | 190.56         | (102.72)       | 190.56         | (102.72)       |
| Net Profit before Taxation (PBT)                                                                            | (0.44)                    | (0.08)         | (48.40)        | (5.31)         | 6.71           | 2.33           | (33.79)                | (29.52)        | (5081.95)      | (5228.39)      | (5031.99)      | (5218.46)      |
| Provision for taxation                                                                                      | (0.16)                    | (0.10)         | (8.18)         | (8.13)         | 2.33           | 0.04           | -                      | -              | (3649.38)      | (377.79)       | (3643.37)      | (369.60)       |
| Profit/(Loss) after Taxation (PAT)<br>before Non-controlling interests                                      | (0.29)                    | 0.02           | (40.22)        | 2.82           | 4.39           | 2.29           | (33.79)                | (29.52)        | (1432.57)      | (4850.60)      | (1388.62)      | (4848.86)      |
| Total comprehensive income for<br>the year before Non-controlling<br>interests                              | (0.29)                    | 0.02           | (40.84)        | 2.06           | 4.93           | 1.77           | 86.29                  | 35.50          | (1620.11)      | (4915.68)      | (1607.24)      | (4929.53)      |
| Payment of dividend incl Dividend Tax                                                                       | -                         | -              | -              | -              | -              | -              | -                      | -              | -              | -              | -              | -              |
| Transfer to General Reserve                                                                                 | -                         | -              | -              | -              | -              | -              | -                      | -              | -              | -              | -              | -              |

\*Subsidiaries Stand alone Financials without inter company eliminations.

## Form AOC-I

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies  
(Accounts) rules, 2014)

**Statement containing salient features of the financial statement of subsidiaries/associate companies/joint ventures**

### Part "A": Subsidiaries

(₹ in Crores)

| 1  | S.No.                                                                                                                   | 1                                                                                                 | 2                                                        | 3                                                                   |
|----|-------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|----------------------------------------------------------|---------------------------------------------------------------------|
| 2  | Name of the Subsidiary                                                                                                  | Eastern Investments Limited (EIL)                                                                 | The Bisra Stone Lime Company Limited (Subsidiary of EIL) | The Orissa Minerals Development Company Limited (Subsidiary of EIL) |
| 3  | Reporting period for the subsidiary concerned, if different from the holding company's reporting period                 | Same as holding company's reporting period i.e Financial year ending 31 <sup>st</sup> March 2025. |                                                          |                                                                     |
| 4  | Reporting currency and Exchange rate as on the last date of relevant Financial year in the case of foreign subsidiaries | Not Applicable                                                                                    | Not Applicable                                           | Not Applicable                                                      |
| 5  | Share Capital                                                                                                           | 1.44                                                                                              | 87.29                                                    | 0.60                                                                |
| 6  | Reserves & Surplus                                                                                                      | 265.47                                                                                            | (211.80)                                                 | (52.18)                                                             |
| 7  | Total assets                                                                                                            | 270.14                                                                                            | 64.02                                                    | 537.68                                                              |
| 8  | Total Liabilities                                                                                                       | 3.23                                                                                              | 188.53                                                   | 589.25                                                              |
| 9  | Investments                                                                                                             | 260.87                                                                                            | -                                                        | 0.02                                                                |
| 10 | Turnover                                                                                                                | 0.57                                                                                              | 61.03                                                    | 64.62                                                               |
| 11 | Profit Before Taxation                                                                                                  | (0.44)                                                                                            | 6.71                                                     | (48.40)                                                             |
| 12 | Provision for Taxation                                                                                                  | (0.16)                                                                                            | 2.33                                                     | (8.18)                                                              |
| 13 | Profit After Taxation                                                                                                   | (0.29)                                                                                            | 4.39                                                     | (40.22)                                                             |
| 14 | Proposed dividend                                                                                                       | -                                                                                                 | -                                                        | -                                                                   |
| 15 | % of shareholding                                                                                                       | 51.00%                                                                                            | 50.22%*                                                  | 50.01%                                                              |

\* Extent of holding through EIL is 50.01% and directly is 0.21%.

|   |                                                                         |     |
|---|-------------------------------------------------------------------------|-----|
| 1 | Name of Subsidiaries which are yet to commence operations               | NIL |
| 2 | Name of Subsidiaries which have been liquidated or sold during the year | NIL |



### **Part “B” : Associates and Joint Ventures**

**Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures**

| S. No. | Particulars                                                                             | International Coal Ventures Private Limited                                                       | RINL Powergrid TLT (P) Ltd |
|--------|-----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------|----------------------------|
| 1      | Latest Audited Balance Sheet Date                                                       | Same as holding company's reporting period i.e Financial year ending 31 <sup>st</sup> March 2025. |                            |
| 2      | Shares of Associate/ Joint Ventures held by the company on the year end No.             | 378859405                                                                                         | 4000000                    |
|        | Amount of Investment in Associates / Joint Venture (₹ in Crores)                        | 378.86                                                                                            | 4.00                       |
|        | Extend of Holding %                                                                     | 25.94%                                                                                            | 50.00%                     |
| 3      | Description of how there is significant influence                                       | Associate                                                                                         | Joint Venture              |
| 4      | Reason why Associate/Joint Venture is not consolidated                                  | Not Applicable                                                                                    | Not Applicable             |
| 5      | Networth attributable to Shareholding as per latest audited Balance Sheet (₹ in Crores) | 691.23                                                                                            | 0.00                       |
| 6      | Profit/Loss (-) for the year                                                            |                                                                                                   |                            |
|        | i. Considered in Consolidation                                                          | (8.77)                                                                                            | 0.00                       |
|        | ii. Not Considered in Consolidation                                                     | (25.02)                                                                                           | (0.39)                     |

- 1 Name of associates/Joint Ventures which are yet to commence operations- NIL
- 2 Name of associates/Joint Ventures which have been liquidated or sold during the year- NIL

**For and on behalf of the Board of Directors of  
Rashtriya Ispat Nigam Limited**

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(GVN Prasad)**  
Director (Finance)  
DIN : 10612238

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M. No. FCS-8581

Place : Visakhapatnam  
Date : 10<sup>th</sup> September, 2025

## Form No. AOC-2

(Pursuant to clause (h) of sub-section (3) of section 134 of the Companies Act, 2013 and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto

### 1. Details of contracts or arrangements or transactions not at arm's length basis

| S.No. | Name(s) of the related party | Nature of relationship | Nature of contracts/ arrangements/ transactions | Duration of contracts/ arrangements/ transactions | Salient terms of the contracts or arrangements or transactions including the value, if any | Justification for entering into such contracts or arrangements or transactions | Date(s) of approval by the Board | Amount paid as advances, if any | Date on which the special resolution was passed in general meeting as required under first proviso to the section 188 |
|-------|------------------------------|------------------------|-------------------------------------------------|---------------------------------------------------|--------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------|----------------------------------|---------------------------------|-----------------------------------------------------------------------------------------------------------------------|
| NIL   | NIL                          | NIL                    | NIL                                             | NIL                                               | NIL                                                                                        | NIL                                                                            | NIL                              | NIL                             | NIL                                                                                                                   |

### 2. Details of material contracts or arrangements or transactions at arm's length basis

| S.No.                                                                          | Name(s) of the related party | Nature of relationship | Nature of contracts/ arrangements/ transactions | Duration of contracts/ arrangements/ transactions | Salient terms of the contracts or arrangements or transactions including the value, if any | Date(s) of approval by the Board, if any | Amount paid as advances, if any |
|--------------------------------------------------------------------------------|------------------------------|------------------------|-------------------------------------------------|---------------------------------------------------|--------------------------------------------------------------------------------------------|------------------------------------------|---------------------------------|
| Kindly refer notes to account of the financial statements (refer note no. 52). |                              |                        |                                                 |                                                   |                                                                                            |                                          |                                 |

Note: During the Financial Year 2024-25, there were no contracts or arrangements or transactions with related parties which were not at arm's length basis or not in the ordinary course of business. Accordingly, the disclosure in Form AOC-2 is **NIL**.

For and on behalf of the Board of Directors of  
Rashtriya Ispat Nigam Limited

(Sd/-)

(Ajit Kumar Saxena)

(DIN: 08588419)

Chairman-cum-Managing Director  
(Additional Charge)

Place : Visakhapatnam  
Date : 23<sup>rd</sup> October, 2025

**B.V. Rao & Co. LLP**

Chartered Accountants

**INDEPENDENT AUDITOR'S REPORT****TO THE MEMBERS OF RASHTRIYA ISPAT NIGAM LIMITED****Report on the Audit of the Consolidated Financial Statements****Opinion**

We have audited the accompanying Consolidated Financial Statements of **RASHTRIYA ISPAT NIGAM LIMITED** (hereinafter referred to as the "Holding Company") and its subsidiary, associate and Joint venture companies (the Holding Company and its subsidiary, associate and Joint venture together referred to as "the Group") comprising the Consolidated Balance Sheet as at 31<sup>st</sup> March, 2025, the Consolidated Statement of Profit and Loss including Other Comprehensive Income, the Consolidated Cash Flow Statement and Statement of Changes in equity for the year then ended on that date, and notes to the Consolidated Financial Statements, including a summary of material accounting policies and other explanatory information (hereinafter referred to as the "Consolidated Financial Statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid Consolidated Financial Statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view, in conformity with the Indian Accounting Standards ("IND AS") prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended and other accounting principles generally accepted in India, of the Consolidated state of affairs of the Group (as referred to below in the Other Matter Paragraph) as at 31<sup>st</sup> March 2025, and its consolidated loss including other comprehensive income, its Consolidated cash flows and the changes in equity for the year ended on that date.

**Basis for Opinion**

We conducted our audit of the Consolidated Financial Statements in accordance with the Standards on Auditing ("SA") specified under Section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Consolidated Financial Statements under the provisions of the Companies Act, 2013 and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the Consolidated Financial Statements.

**Material Uncertainty related to Going Concern :****In respect of Sub-Subsidiary Bisra Stone Lime Company Limited,**

"The Bisra Stone Lime Co. Limited" (BSLC), the company (BSLC) has accumulated losses and net worth has been fully eroded. The appropriateness of assumption of going concern is critically dependent upon market scenario, the debt resolution of the company, the company's ability to raise requisite finance, generation of cash flows in future to meet its obligation and to earn profit in future.

Our opinion is not modified in respect of this matter.

**Emphasis of Matter**

We draw attention to following in the Notes to the Consolidated Financial Statements:

**1. In respect of Holding Company,**

- A. We draw attention to Note 3(C) of the Standalone Financial Statements regarding the Right of Way (ROW) granted to Hindustan Petroleum Corporation Ltd (HPCL), a Central Public Sector Undertaking and M/s Andhra Pradesh Med Tech Zone Limited (AMTZ), a Government of Andhra Pradesh undertaking
- B. We draw attention to the Note 8B of the Standalone Financial Statements regarding the recognition of deferred tax asset on the balance of unabsorbed losses as on 31<sup>st</sup> March, 2024 and as well on the current year unabsorbed losses during the Financial Year 2024-25.
- C. We draw attention to the Note 54 of the Standalone Financial Statements regarding the measures taken by the Company in assessment of its ability to continue as a going concern.

2. With respect to Eastern Investments Limited, the Subsidiary Company as reported by its Auditors on its Consolidated Financial Statements:

In respect of Eastern Investments Limited:

- (a) Note No. 52D (a) of Consolidated financial statements describe the non-payment of Rent and cess on land revenue amounting to ₹ 1.17 Crores on Lawrence Property at Bauria, Howrah, West Bengal. The said property is yet to be muted in the name of the Company.
- (b) Note No. 52D (b) of Consolidated financial statements describes that demand of ₹ 0.58 Crores from Additional Commissioner of Stamp Revenue, Government of West Bengal for transfer of shares of Orissa Minerals Development Company Ltd (OMDC) and The Bisra Stone Lime Company Ltd. (BSLC) to Eastern Investments Ltd (EIL) from President of India has not been considered in accounts, since the company contends that the said stamp duty is not applicable on it as the transfer of shares were affected by virtue of Restructuring Scheme approved by the Union Cabinet and the said transfer of shares took place from the President of India without any financial consideration.
- (c) Note No. 52H (2) of Consolidated financial statements states that the Company was unable to meet the required percentage of financial income as stipulated by the RBI's Revised Guidelines for NBFCs.

In respect of The Orissa Minerals Development company Ltd (hereinafter referred to as OMDC Ltd), the Sub-Subsidiary Company:

- (a) With reference to Note no. 10 of Consolidated Financial statement, the Physical verification of Iron Ore at Thakurani Mines and Railway siding - 1, was conducted by an external verifier and found to be 1,22,670.45 Mt against book stock 1,22,083.72 Mt with difference of 586.73Mt. Physical stock of Iron ore at Railway siding - 2 could not be verified as materials are lying scattered and buried under platform and tracks. The book balance of such material at Railway siding - 2 was brought forward from earlier years at 16,998.14 Mt. The entire book stock of 1,39,081.86 Mt (Thakurani mines + Railway sidings 1&2) was valued at Rs. 0.014 crores (i.e. Rs.1/ Mt). The difference in book stock of 1,39,081.86 Mt (Thakurani + Railway sidings 1&2) against i3MS stock of 1,42,828.62 Mt by 3,746.76 Mt which was lost due to spillage and wastage at non - operational mines since December 2009 and same was also not considered for valuation.
- (b) With reference to Note no. 10 of Consolidated financial statement, the raw material stock (Coal and Dolomite) located at Sponge iron plant (closed since the year 2010) has been valued at cost amounting to Rs.0.47 crores. Quantity of Coal and Dolomite is 2,764.768Mt and 8.790 Mt respectively with corresponding value of Rs. 0.47 Crores and 0.0023 crores. Physical verification of these raw materials has been done by independent verifier (both quantity and quality) and no difference was observed.
- (c) With reference to Note no 20.2 (1) of Consolidated financial statement, the Unpaid dividend includes Rs. 0.32 crores for disputed dividend as on 31<sup>st</sup> March 2025. The Unpaid dividend pertains to 15 - 16 - Rs.0.04 crores and 16 - 17 - Rs.0.03 crores. Unpaid dividend of Rs.0.07 crores could not be transferred to IEPF due to frequent changes in signatories to the bank (effecting KYC formalities) where unclaimed dividend account is maintained. The process of transfer has been initiated with new signatories as per Board resolution dt. 22<sup>nd</sup> May 2025.
- (d) With reference to Note no. 52F (c) of Consolidated financial statement, state that out of the total claim of Odisha Govt. towards demand of BPMEL Leases along with interest amounting to Rs. 1,929.38 Crores have been shown as the cases have been pending in the different courts of law.

In respect of, The Bisra Stone Lime Company Ltd (hereinafter referred to as BSLC Ltd), the Sub-Subsidiary Company:

With reference to the Note no. 57B of Consolidated financial statement which indicates that the subsidiary company has prepared the standalone financial statements based on 'Going concern' assumption. The company's current liabilities exceeded its total assets by Rs. 112.08 Crores. The company has accumulated losses and the net worth of the company has been fully eroded. The company has not prepared any future plan for survival of the company nor any assurances have been provided from the holding company or the ultimate holding company or from major stake holders to the effect that the company is financially and operationally supported by them to enable it to operate and settled its liabilities and obligation as and when they become due to continue as going concern. All these events or conditions and other matters indicate that a material uncertainty exists that may cast significant doubt on the company's ability to continue as a going concern.

Our opinion is not modified in respect of above matters.

#### Other Matter

In respect of, Eastern Investments Limited, the Subsidiary Company as reported by its Auditors on its Consolidated Financial Statements:

- A. The Company has only one independent director on its board as on 31.03.2025 but as per the section 149 of the Companies Act 2013 regarding constitution of board every, listed public company is required to have at least one-third of the total number of directors as independent directors. Hence there is non-compliance in this regard.

- B. Section 177 of the Act read with Rule 6 and 7 of Companies (Meetings of Board and its Powers) Rules, 2014 deals with the Audit Committee. The Audit Committee shall consist of a minimum of three directors with independent directors forming a majority. Since the company has only one independent director on its board, hence, there is non-compliance of Section 177 of the Act.
- C. As required by section 178 of the Companies Act, 2013, the Nomination and Remuneration committee shall consist of three or more non-executive directors out of which not less than one-half shall be independent directors. Since the company has only one independent director on its board, Hence, there is non-compliance of Section 178 of the Act.

In respect of, The Orissa Minerals Development company Limited, the Sub-Subsidiary Company:

- (a) The Company has obtained balance confirmations as of March 31<sup>st</sup>, 2025, from certain sundry creditors, sundry debtors, and other parties. However, these confirmations have not been reconciled with the corresponding balances as per the books of accounts. Consequently, the accuracy and completeness of such balances as reported in the financial statements remain unverified and may be subject to adjustments upon completion of the reconciliation process. Accordingly, we are unable to comment on the correctness of these balances.
- (b) As per the Secretarial Audit Report and letter issued by National Stock Exchange the company has not complied with the composition of the board.

In respect of, The Bisra Stone Lime Company Limited, the Sub-Subsidiary Company., the auditor has stated the following:-

- a) Company's guest house located at Aakash Deep Syndicate, 5, Lower Rondon street, Kolkata - 700020, along with furniture and fixtures therein, has not been in use for a considerable period. Due to absence of maintenance, the condition of these assets has significantly deteriorated.
- b) During the course of audit, we observed that the company does not have a biometric attendance system in place at its plant site for recording employee attendance. The absence of an automated attendance mechanism may affect the accuracy and reliability of employee time records, and increases the risk of manual errors or manipulation in payroll processing and related employee benefit accounting. In our view, the implementation of an electronic attendance system is a control improvement area which may enhance the robustness of the company's internal control environment over employee cost accounting.

Our opinion is not modified in respect of above matters.

We did not audit the financial statements of the subsidiary company of the holding company namely Eastern Investments Limited and its subsidiaries and associate companies of the said Eastern Investments Limited whose consolidated financial statements, reflect its consolidated total assets of ₹ 619.11 Crores as at 31<sup>st</sup> March 2025, consolidated total revenues of ₹ 134.05 Crores and consolidated net cash and cash equivalents amounting to ₹ 66.35 Crores for the year ending on that date, as considered in these Consolidated Financial Statements. We did not also audit the Financial Statements of the Holding Company's Associate Company namely, International Coal Ventures Private Limited (ICVL) and its subsidiaries, Associates, and Joint Venture. We did not also audit the financial statements of the Holding Company's joint venture company namely RINL PowerGrid TLT Private Limited. The consolidated net loss of ₹ 33.79 Crores, of the said Associate and Joint Venture of the Holding is included, under the Equity Method, in these Consolidated Financial Statements.

The financial statements of the said subsidiary, Associate and Joint Venture of the Holding Company have been audited by other auditors whose reports have been furnished to us by the management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of the said subsidiary, joint venture and associates, and our report in terms of sub-sections (3) and (11) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiary, joint venture and associate, is based solely on the reports of the other auditors. Our opinion on the consolidated financial statements is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

#### **Information Other than the Consolidated Financial Statements and Auditor's Report Thereon**

The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexures to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the Consolidated Financial Statements and our auditor's report thereon.



Our opinion on the Consolidated Financial Statements does not cover the other information and we do not express any form of assurance or conclusion thereon. In connection with our audit of the Consolidated Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

### **Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements**

The Holding Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 with respect to the preparation of these Consolidated Financial Statements that give a true and fair view of the consolidated financial position, consolidated financial performance, consolidated total comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the respective companies in the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgements and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error which have been used for the purpose of preparation of the Consolidated Financial Statements by the Directors of the Holding Company.

In preparing the Consolidated Financial Statements, the respective Board of Directors of the companies included in the Group and of its associates and jointly controlled entities are responsible for assessing the ability of the Group and of its associates and jointly controlled entities to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

In case of the Joint Venture Company RINL PowerGrid TLT Private Limited, as reported by the Auditors, The Board of POWERGRID Corporation has accorded in principle approval for winding-up/ dissolution of RPTPL vide the resolution in its 353<sup>rd</sup> meeting held on 01.05.2018 and seek consent of the other J.V partner RINL. The proposal was deliberated by RINL Board in its 318<sup>th</sup> meeting held on 08.03.2019. RINL Board directed to seek the approval for closure of RPTPL from Ministry of Steel (MoS), Government of India and to agree with POWERGRID for windingup/ dissolution of RPTPL, subject to approval of closure by Government of India. MoS has accorded approval for closure of RPTPL on 11.07.2022.

However, winding up process could not be initiated as M/s SRICO, contractor for Site Enabling works, served notice on 17-12-2022 for invocation of Arbitration as per the clause 39.1 of the Work order. The matter was discussed in the 33<sup>rd</sup> Board meeting of RPTPL held on 10-01-2023 and M/s MECON, end to end consultant for RPTPL, was requested to examine the subject matter and take necessary action as required under the Arbitration and Conciliation Act and to initiate Conciliation Proceedings where both M/s.MECON and RPTPL will participate together. Subsequently, Conciliator has been appointed by M/s. MECON based on the preference of M/s SRICO and the conciliator proposed for final settlement of Rs. 0.73 crores to M/s SRICO and the same was approved by the board of M/S RPTPL subject to waiver of 8% interest upto 30.06.2025 which was also agreed to by M/s SRICO. Further, based on the fund requirements of RPTPL for closure of Contracts, Board of RPTPL has recommended for subscription of call money of ₹ 2 Crores from JV partners RINL & PGCIL. The Call money letter dated 1<sup>st</sup> July 2025 is issued to both the JV partners for subscription. Call Money of ₹ 2 Crores received from JV Partners in the August 2025 by RPTPL. After closure of all contracts and extinguishing all its assets and liabilities, RPTPL will initiate actions for voluntary winding up to close the company by applying for striking off the company's name from Registrar of Companies, Vijayawada under Section 248(2) of the Companies Act, 2013.

After the approval of MoS, RPTPL will cease to exist and likely to be wound up in the future, and therefore it is concluded it is not a going concern and treated accordingly.

The Holding Company (RINL) has considered the same and disclosed the current status on the winding/dissolution of RPTPL under Note no. 5 to the Consolidated Financial Statements.-

The Boards of Directors of the respective companies included in the Group and of its associates and jointly controlled entities are responsible for overseeing the financial reporting process of the said companies.



### Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the Consolidated Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of this Consolidated Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgement and maintain professional skepticism throughout the audit.

We also:

- ❖ Identify and assess the risks of material misstatement of the Consolidated Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- ❖ Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under sec 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- ❖ Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board of Directors.
- ❖ Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group and its associates and jointly controlled entities to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and its associates and jointly controlled entities to cease to continue as a going concern.
- ❖ Evaluate the overall presentation, structure and content of the Consolidated Financial Statements, including the disclosures, and whether the Consolidated Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- ❖ Obtain sufficient appropriate audit evidence regarding the Financial Information of the entities or business activities within the Group and its associates and jointly controlled entities to express an opinion on the Consolidated Financial Statements. We are responsible for the direction, supervision, and performance of the audit of the financial statements of such entities included in the Consolidated Financial Statements of which we are the independent auditors. For the other entities included in the financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

Materiality is the magnitude of misstatements in the Consolidated Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance of the Holding Company and such other entities included in the Consolidated Financial Statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Financial Statements of the current period and are therefore the key audit matters.

We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors.

### Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, the matters specified in paragraphs 3(xxi) and 4 of the Order, to be included in the Auditor's Report, are stated below:

Based on the information and explanations given to us, and considering the CARO reports issued by us and by auditors of Company's subsidiaries, associates and Joint ventures included in the consolidated financial statements, to which reporting under CARO is applicable, we report that the qualifications or adverse remarks (if any) made in those CARO reports as follows:

| Sr. No. | Name                                            | CIN                    | Holding Company / Subsidiary / Associate / Joint Venture | Clause Number of the CARO Report which is qualified or adverse |
|---------|-------------------------------------------------|------------------------|----------------------------------------------------------|----------------------------------------------------------------|
| 1.      | Rashtriya Ispat Nigam Limited                   | U27109AP1982GOI 003404 | Holding Company                                          | (i)(b); (i)(c); (ii) (b); (vii); (ix)(a); (xvii)               |
| 2.      | Eastern Investments Limited                     | L65993OR1927GOI 034842 | Subsidiary Company                                       | (i)(b); (i)(c); (vii)(b)                                       |
| 3.      | The Orissa Minerals Development company Limited | L51430OR1918GOI 034390 | Sub-Subsidiary Company                                   | (i)(c); (vii)(a); (vii)(b)                                     |
| 4.      | The Bisra Stone Lime Company Limited            | L14100OR1910GOI 033904 | Sub-Subsidiary Company                                   | (i)(c); (vi)(a); (vii)(b); (ix); (xiv)(a)                      |
| 5.      | International Coal Ventures Private Limited     | U10100DL2009PTC 190448 | Associate                                                | NIL                                                            |
| 6.      | RINL PowerGrid TLT Private Limited              | U28121AP2015PTC 097211 | Joint Venture                                            | (xvii), (xix)                                                  |

2. As required by Section 143(3) of the Act, we report that:
  - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
  - b. Except for the effects of the matters described in the basis for opinion read with emphasis of the matter in the paragraphs above, in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books and proper returns adequate for the purpose of our audit have been received from the branches in India not visited by us.
  - c. The report on the accounts of the branch office (IMO Sri Lanka) of the Company audited under Section 143(8) of the Act by branch auditor was not completed as on the date of our audit report.
  - d. The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, the Consolidated Statement of Changes in Equity and the Consolidated Cash Flow Statement dealt with by this report are in agreement with the relevant books of accounts maintained for the purpose of the preparation of the consolidated financial statements.

- e. Except for the effects of the matters described in the basis for opinion read with emphasis of the matter in the paragraphs above, in our opinion, the aforesaid Consolidated Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- f. In our opinion, our observations or comments on financial transactions or matters do not have any adverse effect on the functioning of the company.
- g. The provisions of Section 164 (2) of the Act are not applicable to the Government Companies vide notification No. G.S.R. 463[E] dated 5<sup>th</sup> June, 2015 of Ministry of Corporate Affairs.
- h. No qualification, reservation, or adverse remark relating to the maintenance of accounts and other matters connected therewith.
- i. With respect to the adequacy of the internal financial controls of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".
- j. The Company, being a Government Company is exempt from the provisions of Sec 197 of the Companies Act, 2013 pursuant to the Notification No. GSR 463(E) dated 05<sup>th</sup> June, 2015 issued by the Ministry of Corporate Affairs, Government of India.
- k. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
  - i) The Consolidated Financial Statements disclose the impact of pending litigations on the consolidated financial position of the group as stated in Note No. 52 to the Consolidated Financial Statements;
  - ii) The Group did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
  - iii) In respect of subsidiary company (EIL), there was an amount of ₹ 0.08 for F.Y. 2011-12 to 2016 - 17 related to unpaid/unclaimed dividend which were required to be transferred to the Investor Education and Protection Fund (IEPF) by the subsidiary company but the same has not been transferred to IEPF.
  - iv)
    - a) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Group and its associates and jointly controlled entities to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group and its associates and jointly controlled entities ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
    - b) The Management has represented, that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Group and its associates and jointly controlled entities from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Group and its associates and jointly controlled entities shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
    - c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.

d) In case of Holding Company:

Based on our examination, which included test checks, we noted that the Company uses an accounting software for maintaining its books of account, which incorporates an audit trail (edit log) facility. However, we observed that the audit trail feature was not enabled at the database level, meaning that the software was not configured to log any direct data changes made outside of the application. The areas where the audit trail feature was enabled within the accounting software, it has been operating throughout the year, capturing all relevant transactions. During the course of our audit, we did not identify any instance of the audit trail feature being tampered with. Furthermore, the audit trail has been preserved in accordance with statutory requirements for record retention.

**In case of Subsidiary Company - Eastern Investments Limited**

Based on our examination including test checks that are performed by the respective auditor, the Company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. As reported, there are no instances of audit trial being tampered with. Furthermore the audit trail has been preserved by the Company as per statutory requirements for record retention.

**In case of Sub- Subsidiary company - The Bisra Stone Lime Company Limited**

Based on our examination including test checks that are performed by the respective auditor, the Company has used an accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software. As reported, there are no instances of audit trial being tampered with. Furthermore the audit trail has been preserved by the Company as per statutory requirements for record retention.

**In case of Sub- Subsidiary company - The Orissa Minerals Development Company Limited**

Based on the respective audit report, The Company has used accounting software for maintaining its books of account however Audit trail feature was not enabled at the database level to log any direct data changes, used for maintenance of records by the company.

- v) The Group and its associates and jointly controlled entities has not declared any dividend hence reporting on compliance of section 123 of the Act is not applicable.

**For B V Rao and Co LLP,**  
Chartered Accountants  
Firm Registration Number: 003118S/S200049

Sd/-  
**CA B Vinay Kumar**  
Partner  
Membership No: 223723  
UDIN: 25223723BMJFUM4596

Place : Visakhapatnam  
Date : 10-09-2025

**ANNEXURE - A****TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE  
CONSOLIDATED FINANCIAL STATEMENTS OF RASHTRIYA ISPAT NIGAM LIMITED****Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of  
Section 143 of the Companies Act, 2013 ("the Act")**

The Annexure referred to in our report to the members of the Company for the year ended on 31<sup>st</sup> March 2025.

We report that:

In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended 31<sup>st</sup> March, 2025, we have audited the Internal financial controls of **RASHTRIYA ISPAT NIGAM LIMITED** (hereinafter referred to as "the Holding Company") and its subsidiary companies, its associate companies and jointly controlled companies, that are companies incorporated in India, as of that date. In respect of Subsidiary Companies of M/s. International Coal Ventures Private Limited which are Companies incorporated outside India, the reporting on the adequacy of the internal financial controls in respect of those Companies is not applicable and hence this report is limited to companies incorporated in India only.

**Responsibilities of management and those charged with governance for internal financial controls**

The respective Board of Directors of the Holding Company, its Subsidiary companies, its Associate companies and jointly controlled companies, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

**Auditors' responsibility for the audit of the internal financial controls with reference to Consolidated financial statements**

Our responsibility is to express an opinion on the Company's internal financial controls based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system and their operating effectiveness. Our audit of internal financial controls included obtaining an understanding of internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the Financial Statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide basis for our audit opinion on the Company's internal financial controls system.

**Meaning of Internal Financial Controls with reference to Consolidated financial statements.**

A company's internal financial controls is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Financial Statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control includes those policies and procedures that

- i) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- ii) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of Financial Statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and
- iii) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Financial Statements.

#### **Inherent Limitations of Internal Financial Controls with reference to Consolidated financial statements**

Because of the inherent limitations of internal financial controls, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls to future periods are subject to the risk that the internal financial control may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

#### **Opinion**

In our opinion, the Holding Company, its Subsidiary companies, jointly controlled companies and associate company have in all material respects, an adequate internal financial controls system and such internal financial controls were operating effectively as at March 31, 2025, based on the internal control criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

#### **Other Matters**

Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls in so far as it relates to One (01) subsidiary company, and One (01) jointly controlled company and One (01) Associate company, which are companies incorporated in India, is based on the corresponding reports of the auditors of such companies incorporated in India.

**For B V Rao and Co LLP,**

Chartered Accountants

Firm Registration Number: 003118S/S200049

Sd/-

**CA B Vinay Kumar**

Partner

Membership No: 223723

UDIN: 25223723BMJFUM4596

Place : Visakhapatnam

Date : 10-09-2025





भारतीय लेखापरीक्षा और लेखा विभाग  
महानिदेशक वाणिज्यिक लेखापरीक्षा का कार्यालय, हैदराबाद

INDIAN AUDIT AND ACCOUNTS DEPARTMENT  
OFFICE OF THE DIRECTOR GENERAL  
OF COMMERCIAL AUDIT, HYDERABAD

No. PDCA/A/c/Desk/2024-25/RINL/1.01(B)/249

Date: 14 November 2025

To

The Chairman-cum-Managing Director,  
Rashtriya Ispat Nigam Limited,  
Visakhapatnam Steel Plant, Administrative Building  
Visakhapatnam – 530031

**Sub: Comments of the C&AG of India under Section 143(6)(b) of the Companies Act, 2013 on the accounts of Rashtriya Ispat Nigam Limited, Visakhapatnam for the year ended on 31 March 2025**

Sir,

I forward herewith the “Comments” Certificate of Comptroller and Auditor General of India under Section 143(6)(b) of the Companies Act, 2013 on the Consolidated Financial accounts of Rashtriya Ispat Nigam Limited, Visakhapatnam for the year ended on 31 March 2025.

2. The date of placing the comments along with Annual Accounts and Auditor's Report before the shareholders of the Company may please be intimated and a copy of the proceedings of the meeting may be furnished.
3. The date of forwarding the Annual Report and Annual Accounts of the Company together with Auditor's Report and comments of the Comptroller and Auditor General of India to the Central Government for being placed before the Parliament may please be intimated.
4. Ten copies of the Annual Report for the year 2024–25 may please be furnished in due course.

The receipt of this letter along with the enclosures may please be acknowledged.

Yours faithfully,

Sd/-  
(V.M.V. Nawal Kishore)  
Principal Director

End:-As above

## **COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE CONSOLIDATED FINANCIAL STATEMENTS OF RASHTRIYA ISPAT NIGAM LIMITED FOR THE YEAR ENDED 31 MARCH 2025**

The preparation of Consolidated Financial Statements of Rashtriya Ispat Nigam Limited, Visakhapatnam for the year ended 31 March 2025 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the Company. The Statutory Auditors appointed by the Comptroller and Auditor General of India under Section 139(5) read with Section 129(4) of the Act are responsible for expressing opinion on the financial statements under Section 143 read with Section 129(4) of the Act based on independent audit in accordance with the Standards on Auditing prescribed under Section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 10 September 2025.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit of the consolidated financial statements of Rashtriya Ispat Nigam Limited, Visakhapatnam for the year ended 31 March 2025 under Section 143(6)(a) read with section 129(4) of the Act. We conducted a supplementary audit of the financial statements of Rashtriya Ispat Nigam Limited, subsidiaries and associate companies listed in Annexure but did not conduct supplementary audit of the financial statements of jointly controlled entity RINL Powergrid TLT Private Limited for the year ended on that date. This supplementary audit has been carried out independently without access to the working papers of the Statutory Auditors and is limited primarily to inquiries of the Statutory Auditors and Company personnel and a selective examination of some of the accounting records.

Based on my supplementary audit, I would like to highlight the following significant matter under section 143(6)(b) read with Section 129(4) of the Act which have come to my attention and which in my view are necessary for enabling a better understanding of the financial statements and the related audit report:

### **Comments on Consolidated position**

#### **A. Comments On Statement Of Profit & Loss**

##### **A.1 Statement of Profit and Loss**

###### **Expenses**

###### **Other Expenses (Note 43): ₹ 4,360.87 crore**

- (i) The Hon'ble Supreme Court of India vide order dated 5 July 2016 directed RINL to make payment towards principal amount of Fuel Surcharge Adjustment (FSA) charges for the period of April 2008 to March 2010, along with interest at a rate of 8 per annum. As on 31 March 2024, the Company has recognised liability towards the principal amount of ₹ 19.49 crore and interest of ₹ 6.32 crore, which was calculated up to August 2016.

Audit observed that the company has not provided for the interest accruing on the principal amount for the period from September 2016 to March 2025 amounting to ₹ 13.38 crore, which is a contravention of the Hon'ble Supreme Court's order as well as not in conformity with Ind AS, which requires liabilities and associated costs to be recognized when incurred.

This has resulted in understatement of Other Expenses (Note 43) and Other Financial Liabilities (Note 20B) with consequential understatement of Losses by ₹ 13.38 crore each.

- (ii) As per Section 15 of the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, payments to Micro and Small Enterprises are required to be made within the period agreed upon in writing, which shall not exceed 45 days from the date of acceptance of goods or services. Further, Section 16 of the Act stipulates that in case of delay in payment, the buyer is liable to pay compound interest with monthly rests at a rate three times the Bank rate notified by the Reserve Bank of India.

Audit observed that the Company had created a liability of ₹2.35 crore towards penal interest payable to MSME vendors for delayed payments during FY 2023-24 as on 1 April 2024. However, these dues remained unpaid as on 31 March 2025. The Company did not recognize further liability on account of compounding of such unpaid interest during FY 2024-25. As per the applicable provisions of the MSMED Act, the Company was required to provide for additional penal interest of ₹ 44.09 lakh for FY

2024-25. Further, the Company has delayed payment to MSMEs during to MSMEs during FY 2024-25, for which the interest payable as on 31 March 2025 was ₹ 2.08 lakhs and not provided in the books of accounts.

Thus, non-creation of the above liability as required under the MSME Act, 2006 has resulted in understatement of "Other Financial Liabilities" (Note 20B) and "Other Expenses" (Note 43), with consequential understatement of Loss by ₹ 46.17 Lakhs (₹ 44.09 Lakhs + ₹ 2.08 Lakhs) each for the year ended 31 March 2025.

## **B. Comments on Disclosure**

### **B.1 Note 3C (Freehold Land)**

As per Note 3C to the Financial statements, land includes 1,578.49 acre (as on 31 March 2024; 411.49 acre) allotted to various agencies on lease. It includes 52.85 acre of land allotted to M/s HPCL, 1.24 acre of land allotted to M/s AMTZ on Right of Way basis for which the terms of the contract are pending for finalisation. The said allotment to M/s HPCL and M/s AMTZ is pending for approval from Ministry of Steel (MoS) and Ministry of Finance (MoF).

**However, the following significant information were not disclosed in the Note:**

HPCL was permitted to start the work in RINL land in June 2019 by confirming receipt of an amount of ₹ 53.40 crore. Similarly, after obtaining in-principle approval from MoS, AMTZ was permitted to start the work in RINL land in April 2020 by confirming receipt of an amount of ₹ 1.24 crore. The above amounts were ad-hoc and provisional and final amount of compensation would be decided by RINL. However, pending approval from MoS and MoF, no further income was recognized beyond ad-hoc deposit of ₹ 53.40 crore received from HPCL and ₹ 1.24 crore from AMTZ. Further, as per Note 3C, HPCL was allotted 52.85 acre of land by RINL, however, as per available correspondence with HPCL, the land allotted was 53.40 acre.

Hence, the Disclosure under Note 3C was deficient to this extent.

### **B.2 Contingent Liabilities and Commitments (Note 52)**

#### **Contingent Liabilities**

RINL has not disclosed the outstanding dues payable of ₹ 22.19 crore to M/s Jindal Steel & Power Limited (JSPL), as the amount was pending for reconciliation. Further, there were some disputed issues (such as quality issues, transit losses etc.) between RINL and JSPL to be settled through arbitration. However, pending reconciliation and considering that the matter was under arbitration as on 31 March 2025, details of Unreconciled as well as disputed amounts under arbitration was required to be disclosed in Contingent Liabilities.

## **C. Comments pertaining to Orissa Mineral Development Corporation – a subsidiary of Eastern Investments Limited, Kolkata.**

### **C.1 Balance Sheet**

Other Current Assets (Note no. 14): ₹ 84,927.00 Lakh

Current Liabilities: Provisions (Note no. 21 B): ₹ 72,426.00 Lakh

The above does not include ₹ 6,159.90 lakh being the amount payable towards stamp duty and registration charges to execute supplementary lease deed for two mines (Bhadrasahi: ₹ 2,899.13 lakh and Belkundi: ₹ 13,260.77 lakh). OMDC has created Contingent Liability for the same amount of ₹ 6,159.90 lakh in the year 2024-25. Government of Odisha (GoO) renewed the mining leases of OMDC (Bagiaburu) on December 2021 for the lease period from 11 October 2021 to 10 October 2041 and Belkundi & Bhadrāsahi on February 2020 for lease period from 16 August 2006 to 15 August 2026 & 01 October 2010 to 30 September 2030 respectively) with a direction to execute supplementary lease deed within three months (which was extended up to 05 November 2021). For execution of lease deed, OMDC is liable to pay Stamp Duty (five percent) and registration charges (two percent), to be assessed as per the GoO Gazette Notification of January 2012.

OMDC deposited (July 2022) an amount of ₹ 610.22 lakh on account of stamp duty and registration charges for Bagiaburu mines and created corresponding intangible assets. The Company assessed ₹ 6,159.90 lakh payable towards stamp duty and registration charges for other two mines (Bhadrasahi: ₹ 2899.13 lakh and Belkundi: ₹ 3260.77 lakh) and showed it under contingent liability during 2024-25. Non-provision for stamp duty and registration charges payable to Government of Odisha towards execution of supplementary lease for the mining leases of OMDC has resulted in understatement of current liabilities by ₹ 6,159.90 lakh and the contingent liability has also been overstated by ₹ 6,159.90 lakh. It has also resulted in understatement of Other Current Assets.

The issue was also commented by C&AG on the Financial Statements of OMDC for the years 2019-20, 2020-21, 2021-22 and 2022-23. The Statutory Auditor had included the issue as qualified opinion in the year 2023-24. However, no comment was issued by the Statutory Auditor in the year 2024-25.

## **D. Comments on Disclosures**

### **D.1 Contingent Liabilities (Note No. 52): ₹ 1058787.00 Lakh**

Comments pertaining to Orissa Mineral Development Corporation – a subsidiary of Eastern Investments Limited, Kolkata.

**D.1.1** The above does not include ₹ 1,38,091.86 lakh being the differential amount of Stamp Duty for executing lease deeds under Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013. Government of Odisha had notified vide Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013 for increase of stamp duty for executing lease deeds which stipulated that "the stamp duty shall be equivalent to fifteen per centum of the amount of average royalty that would accrue out of the highest annual extraction of minerals permitted under the approved mining plan or mining scheme, as the case may be, for such mining lease under the relevant law in force, multiplied by the period of such mining lease". OMDC has filed a writ petition before Odisha High Court challenging the above notification vide WP (C) case No.15377/2013 dated 08/07/2013. The Hon'ble High Court of Odisha has given "STAY" on the operation of above said notification which continues till date and was sub-judice as on 31 March 2025.

OMDC made registration for renewal of mining lease for Bagiaburu Iron Ore Mines for lease period from 11.10.2021 to 10.10.2041 and paid ₹ 610.22 lakh as stamp duty. The Company has kept ₹ 6,159.90 lakh as contingent liability for other two mines (Belgundi and Bhadrasahi mines for lease period from 16 August 2006 to 15 August 2026 & 01 October 2010 to 30 September 2030 respectively) based on its own calculation which was not in accordance with the Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013.

Audit noted that the matter was pending in High Court of Odisha and was sub-judice as on 31 March 2025. Thus, the entire amount of stamp duty calculated in accordance with the Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013 of State Government for ₹ 1,44,861.98 lakh should have been shown under Contingent Liability in accordance with Ind AS 37.

Non-consideration of entire amount of ₹ 1,44,861.98 lakh of demand of State Government in spite of the case is pending at High Court and sub-judice has resulted in understatement of Contingent Liabilities by ₹ 1,38,091.86 lakh (Demand of ₹ 1,44,861.98 lakh less paid ₹ 610.22 lakh for Bagiaburu less existing Contingent Liability ₹ 6159.90 lakh for Belgundi and Bhadrasahi) during 2024-25.

**D.1.2** The Orissa Minerals Development Company Limited operates Iron and Manganese Ore mines in the State of Odisha for which royalty on extracted mineral is paid. In the meantime, the State government notified different legislation for levy of additional tax on the mineral. The State Government introduced the Orissa Rural Infrastructure and Socio-Economic Development (ORISED) Act, 2004 and the rules framed thereunder in 2005 for levy of tax on mineral-bearing land.

The ORISED Act, 2004 was declared ultra vires by the Orissa High Court in December 2005. The special leave petition filed in the Supreme Court in 2006 by the State Government challenging the High Court order is still pending for disposal.

Audit noted that the Constitution Bench in its decision dated 25 July 2024 stated that royalty is not a tax and allowed State Governments to levy tax. The Court on 14 August 2024 further permitted Companies

to pay demand in 12 years starting from 1 April 2026, however, no interest or penalty was to be charged for demand raised prior to 25 July 2024, Supreme Court further allowed the State legislatures to determine whether to forego the dues for the period before 25 July 2024. Audit noted that as on 25 July 2024, the Company had an estimated liability of ₹ 21,335 lakh towards tax on value of mineral bearing land for the period from 01 April 2005 to 25 July 2024.

As per para 10 of Ind AS 37, a contingent liability is a present obligation that arises from past events but is not recognized because it is not probable that outflow of resources will be required to settle the obligation or the amount of obligation cannot be measured with sufficient reliability.

As there are uncertainties in the estimation of the liability, Management should have disclosed the amount of ₹ 21,335 lakh as Contingent Liability. The disclosure under Contingent liability is deficient to that extent.

Comment pertaining to Bisra Limestone Company Limited – a subsidiary of Eastern Investments Limited, Kolkata

**D.1.3** Section 8A(8) of the Mines & Minerals (Development and Regulation) Amendment Act (MMDR Act), 2021 stipulates that “notwithstanding anything contained in this section, the period of mining leases, including existing mining leases, of Government companies or corporations shall be such as may be prescribed by the Central Government, provided that the period of mining leases, other than the mining leases granted through auction, shall be extended on payment of such additional amount as specified in the Fifth Schedule”. The Fifth Schedule stipulates the payment of additional amount on grant or extension of mining lease equivalent to the royalty payable.

Audit noted that the 4th RML (Renewal of Mining Lease) for 793.043 hectares for lease period from 1 April 2020 to 31 March 2040 was granted in March 2020 and accordingly, supplementary lease deed was registered in June 2020.

OMDC paid ₹ 404.07 lakhs as royalty against mineral produced and dispatched from 28 March 2021 to 31 March 2025. However, OMDC had neither paid the additional royalty on these minerals produced as per Fifth Schedule of MMDR Act 2021 for the above period. As such additional amount was to be collected from customers at the time of sale and subsequently deposited with the Government, therefore in line with provisions of Ind AS 37, as there is a present obligation that arises from the past events but it is not probable that outflow of resources would be required to settle the obligation, a disclosure of the same under Contingent Liabilities should have been included.

Non-disclosure of the additional royalty has resulted in understatement of Contingent Liabilities by ₹ 404.07 lakhs for the financial year 2024-25.

For and on behalf of the  
Comptroller and Auditor General of India

Sd/-  
**(V.M.V. Nawal Kishore)**  
Principal Director of Commercial Audit  
Hyderabad

Place : Hyderabad  
Date : 14<sup>th</sup> November, 2025

## ANNEXURES

### **Subsidiaries**

1. Eastern Investment Limited, Kolkata and its subsidiaries
  - i. Orissa Mineral Development Corporation, Kolkata
  - ii. Bisra Limestone Company Limited, Kolkata
2. Associates
  - i. International Coal Venture Private Limited, New Delhi



## MANAGEMENT REPLIES ON C&AG COMMENTS ON CONSOLIDATED FINANCIAL STATEMENTS

| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
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| <p><b>Comments on Statement of Profit &amp; Loss</b></p> <p><b>A.1 Statement of Profit and Loss</b></p> <p><b>Expenses</b></p> <p><b>Other Expenses (Note 43): ₹ 4,360.87 crore</b></p> <p>(i) The Hon'ble Supreme Court of India vide order dated 5 July 2016 directed RINL to make payment towards principal amount of Fuel Surcharge Adjustment (FSA) charges for the period of April 2008 to March 2010, along with interest at a rate of 8 per annum. As on 31 March 2024, the Company has recognised liability towards the principal amount of ₹19.49 crore and interest of ₹ 6.32 crore, which was calculated up to August 2016.</p> <p>Audit observed that the company has not provided for the interest accruing on the principal amount for the period from September 2016 to March 2025 amounting to ₹13.38 crore, which is a contravention of the Hon'ble Supreme Court's order as well as not in conformity with Ind AS, which requires liabilities and associated costs to be recognised when incurred.</p> <p>This has resulted in understatement of Other Expenses (Note 43) and Other Financial Liabilities (Note 20B) with consequential understatement of Losses by ₹ 13.38 crore each.</p> | <p>The Audit comment is noted.</p> <p>In response to Additional provisional comment, it was replied by the company that audit observation was noted and necessary entries have already been passed during FY 2025-26 for recognition of liability towards interest on FSA charges for the period from September 2016 to March 2025 amounting to ₹ 13.38 crore.</p>                                                                                                              |
| <p>(ii) As per Section 15 of the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006, payments to Micro and Small Enterprises are required to be made within the period agreed upon in writing, which shall not exceed 45 days from the date of acceptance of goods or services. Further, Section 16 of the Act stipulates that in case of delay in payment, the buyer is liable to pay compound interest with monthly rests at a rate three times the Bank rate notified by the Reserve Bank of India.</p> <p>Audit observed that the Company had created a liability of ₹ 2.35 crore towards penal interest payable to MSME vendors for delayed payments during FY 2023-24 as on 1 April 2024. However, these dues remained unpaid as on 31 March 2025. The Company did not recognise further liability on account of compounding of such unpaid interest during FY 2024-25. As per the applicable provisions</p>                                                                                                                                                                                                                                                                              | <p>The Audit comment is noted.</p> <p>In response to the provisional comment, it was replied by the company that audit observation was noted, amount involved is not material and necessary entries will be passed during FY 2025-26 for recognition of liability towards interest on MSME dues.</p> <p>Accordingly, during the FY 2025-26, necessary accounting entries have been passed to account for the liability towards interest on MSME dues as noted by the Audit.</p> |



| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
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| <p>of the MSMED Act, the Company was required to provide for additional penal interest of ₹ 44.09 lakh for FY 2024-25. Further, the Company has delayed payment to MSMEs during to MSMEs during FY 2024-25, for which the interest payable as on 31 March 2025 was ₹ 2.08 lakhs and not provided in the books of accounts.</p> <p>Thus, non-creation of the above liability as required under the MSME Act, 2006 has resulted in understatement of “Other Financial Liabilities” (Note 20B) and “Other Expenses” (Note 43), with consequential understatement of Loss by ₹ 46.17 Lakhs (₹ 44.09 Lakhs + ₹ 2.08 Lakhs) each for the year ended 31 March 2025.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| <p><b>B.1Comments on Disclosure</b></p> <p><b>B.1Note 3C (Freehold Land)</b></p> <p>As per Note 3C to the Financial statements, land includes 1,578.49 acre (as on 31 March 2024; 411.49 acre) allotted to various agencies on lease. It includes 52.85 acre of land allotted to M/s HPCL, 1.24 acre of land allotted to M/s AMTZ on Right of Way basis for which the terms of the contract are pending for finalisation. The said allotment to M/s HPCL and M/s AMTZ is pending for approval from Ministry of Steel (MoS) and Ministry of Finance (MoF).</p> <p>However, the following significant information were not disclosed in the Note:</p> <p>HPCL was permitted to start the work in RINL land in June 2019 by confirming receipt of an amount of ₹53.40 crore. Similarly, after obtaining in-principle approval from MoS, AMTZ was permitted to start the work in RINL land in April 2020 by confirming receipt of an amount of ₹ 1.24 crore. The above amounts were ad-hoc and provisional and final amount of compensation would be decided by RINL. However, pending approval from MoS and MoF, no further income was recognised beyond ad-hoc deposit of ₹ 53.40 crore received from HPCL and ₹ 1.24 crore from AMTZ. Further, as per Note 3C, HPCL was allotted 52.85 acre of land by RINL, however, as per available correspondence with HPCL, the land allotted was 53.40 acre.</p> <p>Hence, the Disclosure under Note 3C was deficient to this extent.</p> | <p>The information with regard to receipt of Ad-hoc amounts from HPCL and AMTZ respectively and the fact that the same were recognised as income during FY 2024-25 were duly disclosed at Note No. 37.1 to the Financial statements, which the Audit seems to have not taken cognizance of.</p> <p>While the initial request for deposit of ad-hoc amount of ₹ 53.40 crores was based on estimated land requirement of 53.40 acres, the actual land allotted for said purpose to HPCL was 52.85 acres only. Hence, the disclosure provided at Note 3C in this regard is factually correct.</p> <p>Since the said disclosure matter was not raised either at audit observation level or provisional comments level, the company was not given opportunity to clarify the Audit adequately on this matter.</p> |

| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| <p><b>B.2Contingent Liabilities and Commitments (Note 52)</b></p> <p><b>Contingent Liabilities</b></p> <p>RINL has not disclosed the outstanding dues payable of ₹22.19 crore to M/s Jindal Steel &amp; Power Limited (JSPL), as the amount was pending for reconciliation. Further, there were some disputed issues (such as quality issues, transit losses etc.) between RINL and JSPL to be settled through arbitration. However, pending reconciliation and considering that the matter was under arbitration as on 31 March 2025, details of Unreconciled as well as disputed amounts under arbitration was required to be disclosed in Contingent Liabilities.</p>                                                                                                                                                                                     | <p>The difference amount of outstanding dues of ₹22.19 crore claimed by M/s Jindal Steel &amp; Power Limited (JSPL) includes several components as brought out below:</p> <ul style="list-style-type: none"> <li>❖ ₹ 1.92 crore being the difference due to inaccurate assessment by Audit of value of raw material supply by JSPL vis-à-vis the actual amount claimed by JSPL does not warrant treatment as contingent liability since there is neither dispute nor pending reconciliation to that extent.</li> <li>❖ ₹ 12.41 crore being the difference due to statutory deductions (GST TDS &amp; Income tax TDS) credited to the account of JSPL which was also confirmed by them during FY 2025-26. Hence, there is no requirement to treat the same as contingent liability.</li> <li>❖ The balance amount of ₹7.86 crore is attributable to issues relating to Missing Wagon &amp; Quality and weight difference. The company has been regularly taking up these issues with JSPL and the Arbitrator to resolve the differences. However, these matters will be thoroughly reviewed during FY 2025-26 and necessary entries will be passed and/or relevant disclosures will be made in the notes, as the case may be, based on the evolving developments in this regard</li> </ul> |
| <p><b>C. Comments pertaining to Orissa Mineral Development Corporation – a subsidiary of Eastern Investments Limited, Kolkata.</b></p> <p><b>C.1 Balance Sheet</b></p> <p><b>Other Current Assets (Note no. 14): ₹84,927.00 Lakh</b></p> <p><b>Current Liabilities: Provisions (Note no. 21 B): ₹ 72,426.00 Lakh</b></p> <p>The above does not include ₹6,159.90 lakh being the amount payable towards stamp duty and registration charges to execute supplementary lease deed for two mines (Bhadrasahi: ₹2,899.13 lakh and Belkundi: ₹13,260.77 lakh).</p> <p>OMDC has created Contingent Liability for the same amount of ₹6,159.90 lakh in the year 2024-25. Government of Odisha (GoO) renewed the mining leases of OMDC (Bagiaburu) on December 2021 for the lease period from 11 October 2021 to 10 October 2041 and Belkundi &amp; Bhadrasahi on</p> | <p>The Belkundi &amp; Bhadrasahi mines of OMDC are yet to receive “Demand Notice” (DN) towards payment of stamp duty &amp; registration fees.</p> <p>As the stamp duty &amp; registration fees are calculated based on the Average Sales Price (ASP) of the last 12 months declared by IBM, the value to be paid to GoO would change as per the date of DN, i.e. the amount of duty is variable in nature and cannot be correctly determined due to the above reason.</p> <p>Further to above, OMDC is disclosing in its Accounting Policy at Para 4.3 under head” Mining Right” that the Cost of mining rights include amounts paid for afforestation and wildlife conservation as determined by the regulatory authority are capitalized as Mining Right in the year in which they are incurred.</p> <p>Under Ind AS 38, intangible assets such as mining rights can only be recognized when:</p> <p>(a) It is probable that the expected future economic benefits attributable to the asset will flow to the entity; and</p>                                                                                                                                                                                                                                                           |

| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
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| <p>February 2020 for lease period from 16 August 2006 to 15 August 2026 &amp; 01 October 2010 to 30 September 2030 respectively) with a direction to execute supplementary lease deed within three months (which was extended up to 05 November 2021).</p> <p>For execution of lease deed, OMDC is liable to pay Stamp Duty (five percent) and registration charges (two percent), to be assessed as per the GoO Gazette Notification of January 2012. OMDC deposited (July 2022) an amount of ₹ 610.22 lakh on account of stamp duty and registration charges for Bagiaburu mines and created corresponding intangible assets. The Company assessed ₹ 6,159.90 lakh payable towards stamp duty and registration charges for other two mines (Bhadrasahi: ₹2899.13 lakh and Belkundi: ₹3260.77 lakh) and showed it under contingent liability during 2024-25. Non-provision for stamp duty and registration charges payable to Government of Odisha towards execution of supplementary lease for the mining leases of OMDC has resulted in understatement of current liabilities by ₹6,159.90 lakh and the contingent liability has also been overstated by ₹6,159.90 lakh. It has also resulted in understatement of Other Current Assets.</p> <p>The issue was also commented by C&amp;AG on the Financial Statements of OMDC for the years 2019-20, 2020-21, 2021-22 and 2022-23. The Statutory Auditor had included the issue as qualified opinion in the year 2023-24. However, no comment was issued by the Statutory Auditor in the year 2024-25.</p> | <p>(b) The cost of the asset can be measured reliably.</p> <p>As the lease deed is yet to be executed, no demand has been raised by the GoO and no payment has been made, accordingly, the Company has no control over the mining rights and the asset cannot be recognised as an intangible asset (Mining Rights).</p> <p>Unless the amount is paid to authority under various statutory provisions, OMDC would not have any right to operate or right to put into use these assets (Mining Rights) for business purposes.</p> <p>Further to above, the paragraph 14 of Ind AS 37 requires an entity to recognise a provision only when all of the following three conditions are met:</p> <ul style="list-style-type: none"> <li>(i) the entity has a present obligation (legal or constructive) as a result of a past event.</li> <li>(ii) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and</li> <li>(iii) a reliable estimate can be made of the amount of the obligation.</li> </ul> <p>One of the essential criteria for recognising a provision is that the entity has a present obligation as a result of a past event.</p> <p>Paragraph 18 of Ind AS 37 inter alia states that “no provision is recognised for costs that need to be incurred to operate in the future” and paragraph 19 of Ind AS 37 inter alia states that “it is only those obligations arising from past events existing independently of an entity’s future actions (i.e. the future conduct of its business) that are recognised as provisions”.</p> <p>OMDC has no present obligation as a result of past events since the company has not obtained any benefit in the past. Stamp duty and registration charges are meant to be paid for future benefits of having mining rights. Hence, as on the reporting date, OMDC has no present obligation.</p> <p>In view of the above, OMDC has not created provision towards stamp duty &amp; registration fees w.r.t. Belkundi &amp; Bhadrāsahi mines as the amount has not been determined by regulatory authority and also not paid by company.</p> |

| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
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| <p><b>D. Comments on Disclosures</b></p> <p>Comments pertaining to Orissa Mineral Development Corporation – a subsidiary of Eastern Investments Limited, Kolkata.</p> <p><b>D.1</b> Contingent Liabilities (Note No. 52): ₹1058787.00 Lakh</p> <p><b>D.1.1</b> The above does not include ₹1,38,091.86 lakh being the differential amount of Stamp Duty for executing lease deeds under Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013. Government of Odisha had notified vide Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013 for increase of stamp duty for executing lease deeds which stipulated that "the stamp duty shall be equivalent to fifteen per centum of the amount of average royalty that would accrue out of the highest annual extraction of minerals permitted under the approved mining plan or mining scheme, as the case may be, for such mining lease under the relevant law in force, multiplied by the period of such mining lease". OMDC has filed a writ petition before Odisha High Court challenging the above notification vide WP (C) case No.15377/2013 dated 08/07/2013. The Hon'ble High Court of Odisha has given "STAY" on the operation of above said notification which continues till date and was sub-judice as on 31 March 2025.</p> <p>OMDC made registration for renewal of mining lease for Bagiaburu Iron Ore Mines for lease period from 11.10.2021 to 10.10.2041 and paid ₹ 610.22 lakh as stamp duty. The Company has kept ₹6,159.90 lakh as contingent liability for other two mines (Belgundi and Bhadrasahi mines for lease period from 16 August 2006 to 15 August 2026 &amp; 01 October 2010 to 30 September 2030 respectively) based on its own calculation which was not in accordance with the Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013.</p> <p>Audit noted that the matter was pending in High Court of Odisha and was sub-judice as on 31 March 2025. Thus, the entire amount of stamp duty calculated in accordance with the Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013 of State Government for ₹1,44,861.98 lakh should have been shown under Contingent Liability in accordance with Ind AS 37.</p> | <p>The Government had notified for increase of stamp duty for executing lease deeds @ 15% vide Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013. OMDC has filed writ petition before Odisha High Court challenging the above said notification vide WP (C) case No 15377/2013 dated 08/07/2013 which is pending till date. The Hon'ble High Court of Odisha has given "STAY" on the operation of above said notification which continues till date.</p> <p>In the meantime, OMDC has made registration of renewal of mining lease for Bagiaburu mines in July, 2022 by paying the stamp duty @ 5% which is executed by the concerned department without taking into cognizance of the said amendment referred here above.</p> <p>It may be noted here that a good number of lessees approached the High Court, Orissa challenging the above notification under the same cause and the High Court has stayed the notification. There is every possibility that the notification may be withdrawn/turn-down by the State Govt.</p> <p>Assuming but not accepting, even if the STAY is vacated, then OMDC will have the option of approaching higher courts for suitable redressal. However, OMDC may pay the differential amount on demand of the Govt. of Odisha.</p> <p>As per revised value @ 15% vide Indian Stamps (Odisha Amendment) Act, 2013 and Rules 2013, Stamp Duty of Belkundi &amp; Bhadrasahi Mines which are yet to come into operation will be considered as Contingent Liability in the next financial year.</p> <p>For Bagiaburu Mines, the differential as per revised calculation and amount already paid will be considered as Contingent Liability in the next financial year.</p> |



| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
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| <p>Non-consideration of entire amount of ₹1,44,861.98 lakh of demand of State Government in spite of the case is pending at High Court and sub-judice has resulted in understatement of Contingent Liabilities by ₹1,38,091.86 lakh (Demand of ₹1,44,861.98 lakh less paid ₹610.22 lakh for Bagiaburu less existing Contingent Liability ₹6159.90 lakh for Belgundi and Bhadrasahi) during 2024-25.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <p><b>D.1.2</b> The Orissa Minerals Development Company Limited operates Iron and Manganese Ore mines in the State of Odisha for which royalty on extracted mineral is paid. In the meantime, the State government notified different legislation for levy of additional tax on the mineral. The State Government introduced the Orissa Rural Infrastructure and Socio-Economic Development (ORISED) Act, 2004 and the rules framed thereunder in 2005 for levy of tax on mineral-bearing land.</p> <p>The ORISED Act, 2004 was declared ultra vires by the Orissa High Court in December 2005. The special leave petition filed in the Supreme Court in 2006 by the State Government challenging the High Court order is still pending for disposal.</p> <p>Audit noted that the Constitution Bench in its decision dated 25 July 2024 stated that royalty is not a tax and allowed State Governments to levy tax. The Court on 14 August 2024 further permitted Companies to pay demand in 12 years starting from 1 April 2026, however, no interest or penalty was to be charged for demand raised prior to 25 July 2024, Supreme Court further allowed the State legislatures to determine whether to forego the dues for the period before 25 July 2024. Audit noted that as on 25 July 2024, the Company had an estimated liability of ₹21,335 lakh towards tax on value of mineral bearing land for the period from 01 April 2005 to 25 July 2024.</p> <p>As per para 10 of Ind AS 37, a contingent liability is a present obligation that arises from past events but is not recognized because it is not probable that outflow of resources will be required to settle the obligation or the amount of obligation cannot be measured with sufficient reliability.</p> | <p>The Hon'ble Supreme Court's landmark judgments of July 25 and August 14, 2024, have unequivocally established the constitutional power of State Governments to levy taxes on mineral rights retrospectively from April 1, 2005, under ORISED Act, 2004, and have provided for payment terms without interest or penalty for past demands. These rulings/ verdicts do not automatically create a "present obligation" for OMDC.</p> <p>Post the Hon'ble Supreme Court's July/August 2024 rulings, the Odisha government has indicated its intention to take "rational steps in the best interest of the state" regarding the implementation of the Hon'ble Supreme Court judgment.</p> <p>Further, The Hon'ble Orissa High Court had struck down the ORISED Act, 2004, and ORISED Rules, 2005, on Dec 5, 2005, following which the state govt. had filed a civil appeal in the Hon'ble Supreme Court of India in 2006. For the Govt. of Odisha to start collecting tax on mineral-bearing land using ORISED Act, the Hon'ble SCI has to reinstate it, striking down the Hon'ble HC order.</p> <p>As the Act stands struck down and has not been reinstated as of date, the basis for estimating any liability under it does not subsist.</p> <p>The Act provides that:</p> <p>"The rural infrastructure and socio-economic development tax shall be levied annually on all mineral bearing land at such rate, not exceeding twenty percentum of the annual value of such mineral bearing land, as the State Government may, by notification, fix in that behalf, and different rates may be fixed for different mineral bearing land."</p> <p>The current workings of ₹ 213.35 crore as tax liability against above Act is based on assumption of 15% tax rate. However:</p> <p>a) The statute permits rates up to 20% and potentially below 15%, creating significant measurement variability; and</p> |

| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
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| <p>As there are uncertainties in the estimation of the liability, Management should have disclosed the amount of ₹21,335 lakh as Contingent Liability. The disclosure under Contingent liability is deficient to that extent.</p>                                                                                                                                                                                                                                                  | <p>b) The calculation has been made from FY 2005–06 onwards, although the period from which any levy (if ever reinstated) would apply remains uncertain.</p> <p>Accordingly, the amount cannot be measured reliably (as the uncertainty is still prevailing as of date).</p> <p>As per Para 14 of Ind AS 37 – Provisions, Contingent Liabilities and Contingent Assets, a provision shall be recognised only when:</p> <ul style="list-style-type: none"> <li>(a) a present obligation (legal or constructive) exists as a result of a past event.</li> <li>(b) it is probable that an outflow of economic resources will be required; and</li> <li>(c) the amount can be reliably estimated.</li> </ul> <p>While an outflow is possible, it is not probable in accounting terms at this stage. Given the ongoing legal and statutory uncertainty around the State legislation and the definitive absence of any formal demand from the state authority, the recognition criteria in Ind AS 37 (including the guidance in paragraphs 25–27) are not met as at 31 March 2025.</p> <p>A provision would become appropriate only when all of the following are in place:</p> <ul style="list-style-type: none"> <li>(i) the legal framework in Odisha is conclusively established,</li> <li>(ii) a definite amount can be determined by statutory framework</li> <li>(iii) a formal demand is raised by the State authorities, and</li> <li>(iv) a probable outflow of resources (net of any virtually certain reimbursement) is evident.</li> </ul> <p>However, a suitable disclosure will be provided in the next financial year in the notes to accounts.</p> |
| <p><b>Comment pertaining to Bisra Limestone Company Limited – a subsidiary of Eastern Investments Limited, Kolkata</b></p> <p><b>D.1.3</b> Section 8A(8) of the Mines &amp; Minerals (Development and Regulation) Amendment Act (MMDR Act), 2021 stipulates that “notwithstanding anything contained in this section, the period of mining leases, including existing mining leases, of Government companies or corporations shall be such as may be prescribed by the Central</p> | <p>BSLC strictly adheres to the royalty payment mechanism prescribed under the Integrated Mines and Mineral Management System (i3MS) portal maintained by the Government of Odisha. For each dispatch of mineral, the royalty payable is auto-generated and mandatorily paid before the material leaves the leasehold area.</p> <p>While the MMDR Amendment Act, 2021 (Section 8A(8)) and its Fifth Schedule provide for the payment of an additional amount equal to the royalty payable upon extension of mining leases to government companies, its applicability is contingent upon:</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |



| C&AG comment                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Management Reply                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
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| <p>Government, provided that the period of mining leases, other than the mining leases granted through auction, shall be extended on payment of such additional amount as specified in the Fifth Schedule". The Fifth Schedule stipulates the payment of additional amount on grant or extension of mining lease equivalent to the royalty payable.</p> <p>Audit noted that the 4th RML (Renewal of Mining Lease) for 793.043 hectares for lease period from 1 April 2020 to 31 March 2040 was granted in March 2020 and accordingly, supplementary lease deed was registered in June 2020.</p> <p>OMDC paid ₹404.07 lakhs as royalty against mineral produced and dispatched from 28 March 2021 to 31 March 2025. However, OMDC had neither paid the additional royalty on these minerals produced as per Fifth Schedule of MMDR Act 2021 for the above period. As such additional amount was to be collected from customers at the time of sale and subsequently deposited with the Government, therefore in line with provisions of Ind AS 37, as there is a present obligation that arises from the past events but it is not probable that outflow of resources would be required to settle the obligation, a disclosure of the same under Contingent Liabilities should have been included.</p> <p>Non-disclosure of the additional royalty has resulted in understatement of Contingent Liabilities by ₹ 404.07 lakhs for the financial year 2024-25.</p> | <ul style="list-style-type: none"> <li>Notification and enforcement of such additional royalty by the competent government authority, and</li> <li>Issuance of a formal demand or direction for payment.</li> </ul> <p>Although the 4th Renewal of Mining Lease (RML) for 793.043 hectares was granted for the period from 01.04.2020 to 31.03.2040 and the supplementary lease deed registered in June 2020, no formal direction, clarification, or demand for additional royalty has been issued in respect of the relevant period.</p> <p>As on the date of Balance Sheet, no demand for additional royalty as per the Fifth Schedule of the MMDR Amendment Act, 2021 has been received, either through the i3MS portal or by way of formal communication from any competent authority by BSLC. So, the disclosure as Contingent Liability of the above was over sighted.</p> <p>As a prudent measure, and to ensure alignment with expert legal and C&amp;AG advice, BSLC has already resolved to book the additional royalty amount in FY 2025–26 and has commenced recovery from current sales where applicable.</p> <p>This forward-looking action further reinforces the Company's commitment to statutory compliance and responsible financial reporting.</p> |

## CONSOLIDATED BALANCE SHEET AS AT 31<sup>ST</sup> MARCH 2025

(₹ in Crores)

| Particulars                                          | Notes     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------|-----------|-----------------------------|-----------------------------|
| <b>I Assets</b>                                      |           |                             |                             |
| <b>Non-current assets</b>                            |           |                             |                             |
| (a) Property, plant and equipment                    | 3         | 16773.35                    | 17454.94                    |
| (b) Capital work-in-progress                         | 3         | 1056.69                     | 1218.67                     |
| (c) Investment Property                              |           | 0.00                        | 0.00                        |
| (d) Goodwill                                         | 4         | 149.49                      | 149.49                      |
| (e) Other intangible assets                          | 4         | 19.95                       | 19.84                       |
| (f) Intangible assets under development              | 4         | -                           | -                           |
| (g) Equity Accounted Investees                       | 53        | 691.23                      | 668.85                      |
| (h) Financial assets                                 |           |                             |                             |
| (i) Investments                                      | 5         | 2.24                        | 2.37                        |
| (ii) Trade Receivables                               | 11A       | 0.01                        | 0.01                        |
| (iii) Loans                                          | 6A        | 0.43                        | 0.70                        |
| (iv) Other financial assets                          | 7A        | 10.06                       | 12.87                       |
| (i) Deferred tax asset (net)                         | 8         | 6563.09                     | 2876.60                     |
| (j) Other non-current assets                         | 9         | 417.73                      | 415.95                      |
| <b>Total non-current assets</b>                      |           | <b>25,684.26</b>            | <b>22,820.28</b>            |
| <b>Current assets</b>                                |           |                             |                             |
| (a) Inventories                                      | 10        | 5,607.87                    | 5,298.20                    |
| (b) Financial assets                                 |           |                             |                             |
| (i) Investments                                      | 5         | -                           | -                           |
| (ii) Trade receivables                               | 11B       | 265.65                      | 230.48                      |
| (iii) Cash and cash equivalents                      | 12A       | 68.57                       | 28.09                       |
| (iv) Bank Balances Other than (iii) above            | 12B       | 258.90                      | 49.61                       |
| (v) Loans                                            | 6B        | 0.00                        | 0.00                        |
| (vi) Other financial assets                          | 7B        | 1,266.56                    | 1,373.25                    |
| (c) Other tax assets (net)                           | 13A       | 50.23                       | 47.56                       |
| (d) Other current assets                             | 14        | 849.27                      | 630.85                      |
| <b>Total current assets</b>                          |           | <b>8,367.06</b>             | <b>7,658.04</b>             |
| <b>Assets classified as held for sale</b>            | <b>15</b> | <b>4.00</b>                 | <b>6.64</b>                 |
| <b>Total assets</b>                                  |           | <b>34,055.32</b>            | <b>30,484.96</b>            |
| <b>II Equity and liabilities</b>                     |           |                             |                             |
| <b>Equity</b>                                        |           |                             |                             |
| (a) Equity share capital                             | 16        | 5,389.85                    | 4,889.85                    |
| (b) Other equity                                     |           |                             |                             |
| (i) Reserves and surplus                             | 17 A      | (4,450.81)                  | (9,608.97)                  |
| (ii) Other comprehensive income                      | 17 B      | 251.99                      | 220.84                      |
| (i) Equity attributable to the owners of the company |           | 1,191.03                    | (4,498.29)                  |
| (ii) Non Controlling Interests                       | 54        | (94.37)                     | (67.93)                     |
| <b>Total equity</b>                                  |           | <b>1,096.66</b>             | <b>(4,566.22)</b>           |

Continued from previous page

**CONSOLIDATED BALANCE SHEET AS AT 31<sup>ST</sup> MARCH 2025** (₹ in Crores)

| Particulars                                                                    | Notes | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------------|-------|-----------------------------|-----------------------------|
| <b>Liabilities</b>                                                             |       |                             |                             |
| <b>Non-current liabilities</b>                                                 |       |                             |                             |
| (a) Financial liabilities                                                      |       |                             |                             |
| (i) Borrowings                                                                 | 18A   | 5,538.68                    | 7,279.61                    |
| (ia) Lease Liabilities                                                         | 19A   | -                           | -                           |
| (ii) Other financial liabilities                                               | 20A   | 250.85                      | 153.05                      |
| (b) Provisions                                                                 | 21A   | 1,582.91                    | 1,137.28                    |
| (c) Deferred tax liabilities (net)                                             | 8     | -                           | -                           |
| (d) Other non-current liabilities                                              | 22A   | 1,532.31                    | 8.21                        |
| (e) Government Grants - Deferred - PPE                                         | 22B   | 89.95                       | 96.15                       |
| <b>Total non-current liabilities</b>                                           |       | <b>8,994.70</b>             | <b>8,674.30</b>             |
| <b>Current liabilities</b>                                                     |       |                             |                             |
| (a) Financial liabilities                                                      |       |                             |                             |
| (i) Borrowings                                                                 | 18B   | 6,133.64                    | 11,336.77                   |
| (ia) Lease Liabilities                                                         | 19B   | 0.00                        | 0.00                        |
| (ii) Trade payables                                                            | 23    |                             |                             |
| - Total outstanding dues of Micro Enterprises and Small Enterprises            |       | 59.52                       | 200.24                      |
| - Total outstanding dues of Other than Micro Enterprises and Small Enterprises |       | 8,563.75                    | 6,320.01                    |
| (iii) Other financial liabilities                                              | 20B   | 6,325.64                    | 5,470.88                    |
| (iv) Derivatives                                                               | 24    | 37.90                       | -                           |
| (b) Provisions                                                                 | 21B   | 724.26                      | 549.20                      |
| (c) Other tax liabilities                                                      | 13B   | 1.76                        | 0.56                        |
| (d) Other current liabilities                                                  | 25    | 2,111.30                    | 2,493.03                    |
| (e) Government Grants - Deferred - PPE                                         | 22B   | 6.19                        | 6.18                        |
| <b>Total current liabilities</b>                                               |       | <b>23,963.96</b>            | <b>26,376.88</b>            |
| <b>Total liabilities</b>                                                       |       | <b>32,958.66</b>            | <b>35,051.18</b>            |
| <b>Total Equity and liabilities</b>                                            |       | <b>34,055.32</b>            | <b>30,484.96</b>            |

The notes 1 to 60 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(GVN Prasad)**  
Director (Finance)  
DIN : 10612238

As per our report of even date  
**For M/s BV Rao & Co LLP**  
Chartered Accountants  
Firm Regn No: 003118S/S200049

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M. No. FCS-8581

Sd/-  
**(CA B Vinay Kumar)**  
Partner  
Membership No: 223723  
UDIN: 25223723BMJFUM4596

Place : Visakhapatnam

Date : 10<sup>th</sup> September, 2025

## CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31<sup>st</sup> MARCH 2025

(₹ in Crores)

| Particulars |                                                                                                                         | Notes      | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|-------------|-------------------------------------------------------------------------------------------------------------------------|------------|---------------------------------------------------|---------------------------------------------------|
| <b>I</b>    | <b>Income</b>                                                                                                           |            |                                                   |                                                   |
|             | Revenue from operations                                                                                                 | 36         | 18,452.42                                         | 23,328.06                                         |
| <b>II</b>   | Other income                                                                                                            | 37         | 310.10                                            | 179.68                                            |
| <b>III</b>  | <b>Total income (I+II)</b>                                                                                              |            | <b>18,762.53</b>                                  | <b>23,507.75</b>                                  |
| <b>IV</b>   | <b>Expenses</b>                                                                                                         |            |                                                   |                                                   |
|             | Cost of materials consumed                                                                                              | 38         | 13,274.62                                         | 16,740.67                                         |
|             | Changes in inventory of finished goods and work-in-progress                                                             | 39         | 149.75                                            | 1,090.81                                          |
|             | Employee benefits expense                                                                                               | 40         | 2,522.17                                          | 2,649.17                                          |
|             | Finance costs                                                                                                           | 41         | 2,172.21                                          | 2,181.77                                          |
|             | Depreciation and amortisation expense                                                                                   | 42         | 1,165.53                                          | 1,299.44                                          |
|             | Other expenses                                                                                                          | 43         | 4,360.87                                          | 4,869.33                                          |
|             | <b>Total expenses (IV)</b>                                                                                              |            | <b>23,645.15</b>                                  | <b>28,831.19</b>                                  |
| <b>V</b>    | <b>Profit/ (Loss) before exceptional items, share of profit / (loss) of equity accounted investees and tax (III-IV)</b> |            | <b>(4,882.62)</b>                                 | <b>(5,323.45)</b>                                 |
| <b>VI</b>   | <b>Share of profit/ (loss) of equity accounted investees</b>                                                            | <b>53</b>  | <b>(8.77)</b>                                     | <b>(7.66)</b>                                     |
| <b>VII</b>  | <b>Profit/ (Loss) before exceptional items and tax (V+VI)</b>                                                           |            | <b>(4,891.39)</b>                                 | <b>(5,331.11)</b>                                 |
| <b>VIII</b> | <b>Exceptional items</b>                                                                                                | <b>43A</b> | <b>190.56</b>                                     | <b>(102.72)</b>                                   |
| <b>IX</b>   | <b>Profit/ (Loss) before tax (VII-VIII)</b>                                                                             |            | <b>(5,081.95)</b>                                 | <b>(5,228.39)</b>                                 |
| <b>X</b>    | <b>Tax expense/ (credit):</b>                                                                                           |            |                                                   |                                                   |
|             | Current tax                                                                                                             |            | 1.12                                              | -                                                 |
|             | Deferred tax                                                                                                            |            | (3,758.88)                                        | (377.83)                                          |
|             | Mat Credit reversal                                                                                                     |            | 108.38                                            | -                                                 |
|             | Earlier year adjustments                                                                                                |            | -                                                 | 0.04                                              |
|             | <b>Total Tax expense/ (credit) (X)</b>                                                                                  | <b>8</b>   | <b>(3,649.38)</b>                                 | <b>(377.79)</b>                                   |
| <b>XI</b>   | <b>Profit/ (Loss) for the year from continuing operations (IX-X)</b>                                                    |            | <b>(1,432.57)</b>                                 | <b>(4,850.60)</b>                                 |
| <b>XII</b>  | Profit/(Loss) for the year from discontinued operations                                                                 |            | -                                                 | -                                                 |
| <b>XIII</b> | Tax expense of discontinued operations                                                                                  |            | -                                                 | -                                                 |
| <b>XIV</b>  | <b>Profit / (Loss) for the year from discontinued operations (after tax) (XII-XIII)</b>                                 |            | <b>-</b>                                          | <b>-</b>                                          |
| <b>XV</b>   | <b>Profit/ (Loss) for the period (XI+XIV)</b>                                                                           |            | <b>(1,432.57)</b>                                 | <b>(4,850.60)</b>                                 |
| <b>XVI</b>  | <b>Other comprehensive income</b>                                                                                       |            |                                                   |                                                   |
|             | (i) Items that will not be re classified to profit or loss                                                              |            |                                                   |                                                   |
|             | (a) Re-measurements of defined benefit liability /asset                                                                 |            | (255.01)                                          | (93.58)                                           |
|             | (b) Income tax relating to items that will not be reclassified to profit or loss                                        |            | 36.32                                             | 11.64                                             |

Continued from previous page

## CONSOLIDATED STATEMENT OF PROFIT AND LOSS FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025

(₹ in Crores)

| Particulars                                                                   | Notes | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------------|-------|---------------------------------------------------|---------------------------------------------------|
| (ii) Items that will be re classified to profit or loss                       |       |                                                   |                                                   |
| (a) Share of Other comprehensive income of equity accounted investees         | 53    | 31.15                                             | 16.87                                             |
| (b) Income tax relating to items that will be reclassified to profit or loss  |       | -                                                 | -                                                 |
| <b>Other comprehensive income for the year, net of income tax</b>             |       | <b>(187.54)</b>                                   | <b>(65.08)</b>                                    |
| <b>XVII Total comprehensive income for the year (XV+XVI)</b>                  |       | <b>(1,620.11)</b>                                 | <b>(4,915.68)</b>                                 |
| <b>Profit attributable to:</b>                                                |       |                                                   |                                                   |
| (i) Owners of the company                                                     |       | (1,406.19)                                        | (4,854.80)                                        |
| (ii) Non-controlling interests                                                |       | (26.38)                                           | 4.20                                              |
| <b>Profit for the year</b>                                                    |       | <b>(1,432.57)</b>                                 | <b>(4,850.60)</b>                                 |
| <b>Other comprehensive income attributable to:</b>                            |       |                                                   |                                                   |
| (i) Owners of the company                                                     |       | (187.49)                                          | (64.13)                                           |
| (ii) Non-controlling interests                                                |       | (0.05)                                            | (0.95)                                            |
| <b>Other comprehensive income for the year</b>                                |       | <b>(187.54)</b>                                   | <b>(65.08)</b>                                    |
| <b>Total comprehensive income attributable to:</b>                            |       |                                                   |                                                   |
| (i) Owners of the company                                                     |       | (1,593.68)                                        | (4,918.93)                                        |
| (ii) Non-controlling interests                                                |       | (26.43)                                           | 3.24                                              |
| <b>Total comprehensive income for the year</b>                                |       | <b>(1,620.11)</b>                                 | <b>(4,915.68)</b>                                 |
| <b>XVIII Earnings/ (loss) per each equity share of ₹ 10 each</b>              | 49    |                                                   |                                                   |
| 1. Basic (₹)                                                                  |       | (2.76)                                            | (9.93)                                            |
| 2. Diluted (₹)                                                                |       | (2.76)                                            | (9.93)                                            |
| <b>Weighted average number of shares used in computing earnings per share</b> |       |                                                   |                                                   |
| Basic                                                                         |       | 5,10,21,74,967                                    | 4,88,98,46,200                                    |
| Diluted                                                                       |       | 5,10,21,74,967                                    | 4,88,98,46,200                                    |

The notes 1 to 60 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(GVN Prasad)**  
Director (Finance)  
DIN : 10612238

As per our report of even date  
**For M/s BV Rao & Co LLP**  
Chartered Accountants  
Firm Regn No: 003118S/S200049

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M. No. FCS-8581

Sd/-  
**(CA B Vinay Kumar)**  
Partner  
Membership No: 223723  
UDIN: 25223723BMJFUM4596

Place : Visakhapatnam

Date : 10<sup>th</sup> September, 2025

## CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025)

### a. Equity Share Capital (₹ in Crores)

| Particulars                                     | Amount          |
|-------------------------------------------------|-----------------|
| Balance as at 1 <sup>st</sup> April 2023        | 4,889.85        |
| Changes in equity share capital during 2023-24  | -               |
| <b>Balance as at 31<sup>st</sup> March 2024</b> | <b>4,889.85</b> |
| Changes in equity share capital during 2024-25  | 500.00          |
| <b>Balance as at 31<sup>st</sup> March 2025</b> | <b>5389.85</b>  |

### b. Other Equity (₹ in Crores)

| Particulars                                                               | Reserves and Surplus |                            |                                          |                 |                    |                                               | Share Application money pending allotment | Items of OCI  | Total attributable to owners of the Company | Attributable to NCI | TOTAL            |
|---------------------------------------------------------------------------|----------------------|----------------------------|------------------------------------------|-----------------|--------------------|-----------------------------------------------|-------------------------------------------|---------------|---------------------------------------------|---------------------|------------------|
|                                                                           | Retained Earnings    | Capital Redemption Reserve | Reserves for redeeming Preference shares | Capital Reserve | Investment Reserve | Reserve fund as per RBI Act (Special Reserve) |                                           |               |                                             |                     |                  |
| Balance as at 1 <sup>st</sup> April 2023                                  | (7614.78)            | 2937.47                    |                                          | (0.46)          |                    | 0.75                                          |                                           | 203.97        | (4469.20)                                   | (71.19)             | (4540.39)        |
| Total comprehensive income for the year ended 31 <sup>st</sup> March 2024 |                      |                            |                                          |                 |                    |                                               |                                           |               |                                             |                     |                  |
| Profit or loss                                                            | (4854.80)            |                            |                                          |                 |                    |                                               |                                           |               | (4854.80)                                   | 4.20                | (4850.60)        |
| Other comprehensive income (net of tax)                                   | (81.00)              |                            |                                          |                 |                    |                                               |                                           | 16.87         | (64.13)                                     | (0.95)              | (65.08)          |
| <b>Total comprehensive income</b>                                         | <b>(4935.79)</b>     |                            |                                          |                 |                    |                                               |                                           | <b>16.87</b>  | <b>(4918.93)</b>                            | <b>3.24</b>         | <b>(4915.68)</b> |
| <b>Balance at 31<sup>st</sup> March 2024</b>                              | <b>(12550.58)</b>    | <b>2937.47</b>             |                                          | <b>(0.46)</b>   |                    | <b>0.75</b>                                   |                                           | <b>220.84</b> | <b>(9388.12)</b>                            | <b>(67.94)</b>      | <b>(9456.07)</b> |
| Total comprehensive income for the year ended 31 <sup>st</sup> March 2025 |                      |                            |                                          |                 |                    |                                               |                                           |               |                                             |                     |                  |
| Profit or loss                                                            | (1406.19)            |                            |                                          |                 |                    |                                               |                                           |               | (1406.19)                                   | (26.38)             | (1432.57)        |
| Other comprehensive income (net of tax)                                   | (218.64)             |                            |                                          |                 |                    |                                               |                                           | 31.15         | (187.49)                                    | (0.05)              | (187.54)         |
| <b>Total comprehensive income</b>                                         | <b>(1624.83)</b>     |                            |                                          |                 |                    |                                               |                                           | <b>31.15</b>  | <b>(1593.68)</b>                            | <b>(26.43)</b>      | <b>(1620.11)</b> |
| Received during the year                                                  |                      |                            |                                          |                 |                    |                                               | 7283.00                                   |               |                                             |                     | 7283.00          |
| Shares allotted during the year                                           |                      |                            |                                          |                 |                    |                                               | (500.00)                                  |               |                                             |                     | (500.00)         |
| <b>Balance at 31<sup>st</sup> March 2025</b>                              | <b>(14175.41)</b>    | <b>2937.47</b>             |                                          | <b>(0.46)</b>   |                    | <b>0.75</b>                                   | <b>6783.00</b>                            | <b>251.99</b> | <b>(10981.80)</b>                           | <b>(94.37)</b>      | <b>(4293.18)</b> |

The notes 1 to 60 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-

**(Ajit Kumar Saxena)**

Chairman-cum-Managing Director  
(Additional Charge)

DIN : 08588419

Sd/-

**(Hemant Kumar Jha)**

Place : Visakhapatnam  
Date : 10<sup>th</sup> September 2025

DGM (Finance) and  
Chief Financial Officer

Sd/-

**(GVN Prasad)**

Director (Finance)  
DIN : 10612238

As per our report of even date

**For M/s BV Rao & Co LLP**

Chartered Accountants

Firm Regn No: 003118S/S200049

Sd/-

**(CA B Vinay Kumar)**

Partner

Membership No: 223723  
UDIN: 25223723BMJFUM4596



**CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31<sup>ST</sup> MARCH 2025**
**(₹ in Crores)**

| Particulars                                                                                          | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------------------------------------------|---------------------------------------------------|---------------------------------------------------|
| <b>Cash flows from operating activities</b>                                                          |                                                   |                                                   |
| Profit/ (loss) for the year (before tax)                                                             | (5,081.95)                                        | (5,228.39)                                        |
| <i>Adjustments for:</i>                                                                              |                                                   |                                                   |
| Depreciation and amortisation expenses                                                               | 1,165.53                                          | 1,299.44                                          |
| Finance costs                                                                                        | 2,172.21                                          | 2,181.77                                          |
| Share of (profit)/ loss of equity accounted investees                                                | 8.77                                              | 7.66                                              |
| Interest income from banks                                                                           | (12.89)                                           | (0.35)                                            |
| Dividend income                                                                                      | -                                                 | -                                                 |
| Exceptional (income)/expense                                                                         | 190.56                                            | (102.72)                                          |
| Provision for doubtful debts and other allowances                                                    | 17.54                                             | 6.60                                              |
| Unrealised (Gain)/Loss on foreign exchange fluctuations                                              | 100.01                                            | 41.90                                             |
| (Gain) loss on sale of Property, plant and equipment<br>(net of loss on assets scrapped/written off) | 23.25                                             | (6.27)                                            |
| Unrealised Net (Gain)/ Loss arising on Financial<br>instruments designated as FVTPL                  | 37.90                                             | (13.06)                                           |
| Deferred income on Government Grants                                                                 | (6.19)                                            | (6.17)                                            |
| <b>Operating profit before changes in assets and liabilities</b>                                     | <b>(1,385.26)</b>                                 | <b>(1,819.58)</b>                                 |
| Changes in assets and liabilities :                                                                  |                                                   |                                                   |
| (Increase) decrease in inventories                                                                   | (323.00)                                          | 1,314.05                                          |
| (Increase) decrease in trade receivables and loans                                                   | (34.89)                                           | 553.62                                            |
| (Increase) decrease in other financial assets                                                        | 107.84                                            | (622.67)                                          |
| (Increase) decrease in other non current assets                                                      | 0.53                                              | 3.43                                              |
| (Increase) decrease in other current assets                                                          | (233.36)                                          | 282.93                                            |
| Increase (decrease) in trade payables                                                                | 2,021.40                                          | 1,607.16                                          |
| Increase (decrease) in other financial liabilities                                                   | 445.09                                            | 783.07                                            |
| Increase (decrease) in provisions                                                                    | 417.41                                            | (19.45)                                           |
| Increase (decrease) in non-current liabilities                                                       | 1,524.10                                          | 0.56                                              |
| Increase (decrease) in other current liabilities                                                     | (419.64)                                          | 953.73                                            |
| Cash generated from operating activities                                                             | 2,120.22                                          | 3,036.86                                          |
| Income tax paid (net of refund)                                                                      | 19.71                                             | (3.16)                                            |
| <b>Net cash from (used in ) operating activities (A)</b>                                             | <b>2,139.93</b>                                   | <b>3,033.70</b>                                   |

Continued to next page

Continued from Previous Page

**CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31<sup>st</sup> MARCH 2025**

(₹ in Crores)

| Particulars                                                                | For the year ended<br>31 <sup>st</sup> March 2025 | For the year ended<br>31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------|---------------------------------------------------|---------------------------------------------------|
| <b>Cash flows from investing activities</b>                                |                                                   |                                                   |
| Acquisition of property, plant and equipment                               | (280.70)                                          | (608.85)                                          |
| Proceeds from sale of property, plant and equipment                        | 242.20                                            | 1,857.39                                          |
| Interest received from banks                                               | 12.89                                             | 0.35                                              |
| Investment in fixed deposits                                               | (209.30)                                          | 52.15                                             |
| Acquisition of investments                                                 | 0.13                                              | (0.45)                                            |
| <b>Net cash flow from (used in) investing activities (B)</b>               | <b>(234.78)</b>                                   | <b>1,300.60</b>                                   |
| <b>Cash flows from financing activities</b>                                |                                                   |                                                   |
| Proceeds from Issue of Shares                                              | 7,283.00                                          | -                                                 |
| Proceeds from (Repayment of ) long term borrowings                         | (1,740.93)                                        | (1,893.28)                                        |
| Proceeds from (Repayment of) short term borrowings                         | (5,203.20)                                        | (95.01)                                           |
| Interim Dividend paid                                                      | -                                                 | -                                                 |
| Repayment of principal portion of Lease Liability                          | -                                                 | (38.23)                                           |
| Interest paid                                                              | (2,203.55)                                        | (2,289.87)                                        |
| <b>Net cash flow from (used in) financing activities ( C)</b>              | <b>(1,864.68)</b>                                 | <b>(4,316.38)</b>                                 |
| <b>Net increase (decrease) in cash and cash equivalents (A+B+C)</b>        | <b>40.48</b>                                      | <b>17.91</b>                                      |
| Cash and cash equivalents at 1 <sup>st</sup> April                         | 28.09                                             | 10.18                                             |
| Cash and cash equivalents at 31 <sup>st</sup> March                        | 68.57                                             | 28.09                                             |
| <b>Reconciliation of cash and cash equivalent as per the balance sheet</b> | <b>31<sup>st</sup> March 2025</b>                 | <b>31<sup>st</sup> March 2024</b>                 |
| Cash and cash equivalent as per the cash flow statement                    | 68.57                                             | 28.09                                             |
| <b>Cash and cash equivalent as per balance sheet (Refer Note 12 A)</b>     | <b>68.57</b>                                      | <b>28.09</b>                                      |

The Cash flow statement has been prepared under indirect method in accordance with Ind AS 7.

Reconciliation of Liabilities arising from financing activities in terms of cash flows and non-cashflows is provided at Note.18 F

The notes 1 to 60 are an integral part of the financial statements.

**For and on behalf of the Board of Directors**

Sd/-  
**(Ajit Kumar Saxena)**  
Chairman-cum-Managing Director  
(Additional Charge)  
DIN : 08588419

Sd/-  
**(GVN Prasad)**  
Director (Finance)  
DIN : 10612238

**As per our report of even date**  
**For M/s BV Rao & Co LLP**  
Chartered Accountants  
Firm Regn No: 003118S/S200049

Sd/-  
**(Hemant Kumar Jha)**  
DGM (Finance) and  
Chief Financial Officer

Sd/-  
**(M Jagadeeshwara Rao)**  
Company Secretary  
M. No. FCS-8581

Sd/-  
**(CA B Vinay Kumar)**  
Partner  
Membership No: 223723  
UDIN: 25223723BMJFUM4596

Place : Visakhapatnam  
Date : 10<sup>th</sup> September, 2025

**NOTES TO CONSOLIDATED FINANCIAL STATEMENTS AS AT 31<sup>ST</sup> MARCH 2025****1 Company overview**

Rashtriya Ispat Nigam Limited is a company domiciled in India. The Company's registered office is Administrative Building, Visakhapatnam Steel Plant (VSP), Visakhapatnam, Andhra Pradesh. These consolidated financial statements comprises of the Company and its subsidiaries (referred to collectively as the 'Group') and the Group's interest in associates and joint ventures. The Group is primarily involved in the manufacture of steel and related products.

These consolidated financial statements have been approved by the Board of Directors and authorised for issue on 10.09.2025.

**2 Material accounting policies****2.1 Basis of Preparation**

The consolidated financial statements have been prepared in accordance with Indian Accounting Standards ("Ind AS") and provisions of Companies Act, 2013 i.e. Section 133 of the Companies Act, 2013 as prescribed/notified and amended from time to time under the historical cost convention on accrual basis except for certain material financial instruments which are measured at fair value.

**2.2 Functional and Presentation Currency**

The consolidated financial statements are presented in Indian rupees, which is the functional currency of the Company and the currency of the primary economic environment in which the entity operates. All financial information presented in Indian rupees has been rounded to the nearest two decimals of Crore except share and per share data.

**2.3 Use of Estimates, Assumptions, Judgements and major sources of estimation uncertainty**

The preparation of financial statements require estimates, assumptions and judgements to be made that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities on the date of financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from these estimates and differences between actual results and estimates are recognized in the periods in which the results are known / materialized.

The major assumptions concerning the future, and other major sources of estimation uncertainty at the reporting date that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are discussed in Note 2.25.

**2.4 Operating Cycle & Current versus Non-Current Classification**

Based on the time involved between the acquisition of assets for processing and their realization in cash and cash equivalents, the company has identified 3 to 6 months as its normal operating cycle.

The company has adopted '12 months from the reporting date' as a criterion for determining current and non-current classification of assets and liabilities in the balance sheet.

**2.5 Basis of consolidation****a. Business Combination**

Business combinations (other than common control business combinations) on or after 1 April 2014.

As part of its transition to Ind AS, the Group has elected to apply the relevant Ind AS, viz. Ind AS 103, Business Combinations, to only those business combinations that occurred on or after 1 April 2014. In accordance with Ind AS 103, the Group accounts for these business combinations using the acquisition method when control is transferred to the Group. The consideration transferred for the business combination is generally measured at fair value as at the date the control is acquired (acquisition date), as are the net identifiable assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognized in OCI and accumulated in equity as capital reserve if there exists clear evidence of the underlying reasons for classifying the business combination as resulting in a bargain purchase; otherwise the gain is recognized directly in equity as capital reserve. Transaction costs are expensed as incurred, except to the extent related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships with the acquiree. Such amounts are generally recognized in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured subsequently and settlement is accounted for within equity. Other contingent consideration is remeasured at

fair value at each reporting date and changes in the fair value of the contingent consideration are recognized in profit or loss.

If a business combination is achieved in stages, any previously held equity interest in the acquiree is re-measured at its acquisition date fair value and any resulting gain or loss is recognised in profit or loss or OCI, as appropriate

#### **Business combinations prior 1 April 2014**

In respect of such business combinations, goodwill represents the amount recognized under the Group's previous accounting framework under Indian GAAP adjusted for the reclassification of certain intangibles.

#### **b. Subsidiaries:**

RINL consolidates entities which it owns and controls. The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

#### **c. Non-controlling interest**

NCI are measured at their proportionate share of the acquiree's net identifiable assets at the date of acquisition.

#### **d. Loss of control**

When the Group loses control over a subsidiary, it derecognizes the assets and liabilities of the subsidiary, and any related NCI and other components of equity. Any interest retained in the former subsidiary is measured at fair value at the date the control is lost. Any resulting gain or loss is recognized in profit or loss.

#### **e. Equity accounted investees**

The Group's interest in equity accounted investees comprises interests in associates and joint ventures. Interests in associates and joint ventures are accounted for using the equity method. They are initially recognized at cost which includes transaction costs. Subsequent to initial recognition, the consolidated financial statements include the Group's share of profit or loss and OCI of equity accounted investees until the date on which significant influence or joint control ceases.

#### **f. Transactions eliminated on consolidation**

Intra-group balances and transactions, and any unrealized income and expenses arising from intra-group transactions, are eliminated. Unrealized gains arising from transactions with equity accounted investees are eliminated against the investment to the extent of the Group's interest in the investee. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

### **2.6 Inventories**

#### **In case of Holding Co**

**2.6.1** Inventories include Finished / Semi-finished goods / Coke and other By Products, Raw Materials, Stores & Spares that do not meet the definition of PPE. Inventories are valued at lower of cost and net realizable value (NRV).

**2.6.2** The basis of determining cost is:

- a) Finished/Semi-finished goods, Raw materials :- Periodic Weighted Average cost. This excludes interest and administrative expenses but includes all other costs incurred in bringing the inventories to their present location and condition.
- b) Minor Raw materials, Stores and spares (which do not meet the definition of Property Plant and Equipment (PPE), Loose tools-Dynamic Moving Weighted Average cost.
- c) All Materials in transit :- at purchase cost.

**2.6.3** Necessary provisions are made for obsolete / Surplus/Non-moving inventory with a corresponding charge to Revenue.

**2.6.4** The fixed production overhead is allocated/absorbed based on the actual production as long as actual capacity is above or equal to 80% of normal capacity of respective main production units.

**2.6.5** Normal capacity is based on the average production of the preceding three years of main production units, excluding abnormal years. Abnormal year is the year in which the actual production is less than 40% of the installed capacity.

#### **2.6.6 (a) Coke and other by-products:**

- i) Valued at Net realisable value where cost is not determinable.
- ii) Valued at Cost where Net realisable value is not available.

#### **(b) LD Slag:**

LD Slag is valued at Net realisable value. However, no value is assigned to the LD Slag stock accumulated up to 31.03.2022.

**(c) BF Slag:**

- i) BF Slag is valued at Net realisable value.
- ii) However, no value is assigned in respect of the following BF Slag:
  - Non-valued BF Granulated Slag at SSY-2.
  - Hardened BF Slag at SSY.
  - Fresh BF slag in peripheral areas of SSY.

**(d) Other by-products:**

No value is assigned in respect of Muck & Debris.

**(e) Metallurgical Waste:**

Metallurgical-waste being held for in-house consumption is valued at 'average procurement cost of Iron Ore Fines' with due adjustment for its Fe content. However, no value is assigned in respect of stock of Met-waste as at 31.03.2022.

**2.6.7** Products which are meant for internal consumption, for further production, but not for sale are valued at cost generally. However, if NRV is available, then same are measured at lower of cost and NRV.

**2.6.8.1** No credit is taken for the value of material in process except Hot Metal, Liquid Steel & those lying at mills.

**2.6.8.2** Iron scrap and steel scrap are valued at 75% and 90% respectively of the lower of cost or domestic net realizable value of Pig iron.

However, Quality control steel scrap items and scrapped semis are consumed internally and valued at the respective cost of blooms and other products from which they are generated. These are valued at their replacement cost when the finished products in which these materials will be used are expected to be sold below cost.

**2.6.8.3** Trimmed-ends and Crop-ends are treated on par with Quality control steel scrap, and valued accordingly.

**2.6.9** Landed cost of Raw materials and spares imported during the year are inclusive of import duty benefits availed. Liability to the extent of unfulfilled export obligations at the end of the year is provided for.

**2.6.10** No credit is taken in the accounts for the stock of run of mines ore and rejects at Mines.

**2.6.11** The cost of coke breeze and Coke Dust/Sludge is considered as 60% and 40% respectively of the production cost of BF Coke (cumulative periodic unit price (PUP) latest available). The cost of Nut Coke is considered as 90% of the production cost of BF Coke (cumulative PUP latest available).

**2.6.12** Stock of spares acquired along with the related equipment, not having item-wise break-up of cost, are valued at average cost.

Further details on methodology for Valuation of inventories are provided at related Note No. 10

**In Case of Subsidiary Co**

**2.6.13** Inventory of raw material, stores and spares are valued at cost net of credit wherever applicable. Cost is determined on moving weighted average price on real time basis.

**2.6.14** Inventories of finished goods, semi-finished goods and work in process are valued at lower of cost and net realizable value. Cost is generally determined at moving weighted average price of materials on real time basis, appropriate share of labour and related overheads. Net realizable value is the estimated selling price in the ordinary course of business less estimated cost necessary to make the sale.

**2.6.15** Net realisable value represents the estimated selling price for inventories less all estimated costs of completion and costs necessary to make the sale.

**2.6.16** Provision is made for old/ obsolete/ surplus/ non- moving inventories as well as other anticipated losses considered wherever necessary.

**2.6.17** Where physical stock is more than the book stock, book stock is considered for valuation of stock. However, surplus stock is valued at ₹ 1 per LOT for the surplus stock available as on the date of closing.

**2.6.18** The excise duty payable on closing stock of finished goods at the time of sale is not considered in valuation of closing stock.

**2.7 Property, Plant and Equipment (PPE)**
**In case of Holding Co.**

**2.7.1** (a) The Company has adopted the previous GAAP value as the 'deemed cost' in preparing its opening balance sheet as on 01 April 2015.

(b) Property, plant and equipment are measured at cost less accumulated depreciation and impairment losses, if any.

- 2.7.2** Expenditure attributable/relating to construction to the extent not directly identifiable to any specific Plant Unit is kept under 'Expenditure During Construction' for allocation to PPE and is grouped under 'Capital Work-in-Progress'.
- 2.7.3** All spares, stand-by equipment, and servicing equipment that meet the criteria of property, plant and equipment and whose unit value (threshold value) exceeding ₹ 10 lakhs are capitalized as PPE on acceptance. Spares not meeting the threshold value are charged to revenue on their usage.
- 2.7.4** Expenditure on PPE is capitalized at the following points of time:
- In case of land, when the possession is taken/expenditure is incurred on development.
  - Factory buildings are capitalized along with the Plant housed in the buildings.
  - In case of Plant & Machinery, when the respective units of plant and equipment are ready for commercial production, i.e., upon achieving the level of production intended for sale or captive consumption.
    - A unit (Plant Unit capable of production meant for sale or captive consumption) is considered to be ready for commercial production:
      - from the end of 3<sup>rd</sup> calendar month from the commissioning date, provided such Plant Unit produces / becomes capable of producing at least 50% rated capacity; or,
      - from the end of calendar month, in which the Plant Unit produces / becomes capable of producing at least 50% of the rated capacity,
 Whichever is later.
    - A plant unit is deemed to have produced/becomes capable of producing at least 50% of rated capacity when it produces at least 50% of rated capacity for 15 days in a calendar month
  - In case of other assets, when they are put to use.
- 2.7.5** The carrying amount of those spares in the nature of PPE that are replaced is derecognized when no future economic benefit are expected from their use. When the cost of replaced spare/existing spare is not available, the cost of replacing spare (new spare) is deemed to be the original cost of replaced spare/existing spare subject to an annual de-escalation of 5% for period beginning from capitalization of mother machine till the date of replacement for the purpose of derecognition.
- 2.7.6** The carrying amount of replaced spares is arrived at:
- by comparing the gross block of mother asset (or relevant component wherever available) in which such spare was used with the accumulated depreciation of such asset to arrive at a percentage of remaining gross block and;
  - by applying the percentage calculated above to the deemed replacement cost of replaced spare (i.e., where its original cost is not available) to arrive at the carrying amount to be de- recognized.
- 2.7.7** Capitalisation is made initially based on reliable estimate of cost of such PPE. Adjustments, if any, to cost and depreciation are made subsequently upon ascertainment of actual cost of the respective assets'.
- 2.7.8** Where the historical cost of depreciable assets has undergone a change in the subsequent year(s) owing to factors like escalations / downward revisions, arbitration award, change in duty structure etc., then such change is treated as a change in an accounting estimate and corresponding depreciation on the amount of such revision is provided prospectively over the residual useful life of the asset i.e., from the beginning of the financial year in which such revision is recognised in the books of accounts.
- 2.7.9** PPE is depreciated considering the useful life, residual value and depreciation method recommended by the technical committee. Depreciation on spares is calculated from the date of acceptance over their useful lives.
- 2.7.10** **Depreciation:** Depreciation is recognized on straight-line basis over the estimated useful life of each component of an item of property, plant and equipment. Depreciation methods, useful lives and residual values are reviewed at each reporting date and where expectations differ from previous estimates, the changes are accounted for as change in accounting estimate.
- 2.7.11** Steel products used for Dunnage purposes and meeting the recognition criteria of PPE as per Ind AS-16 are capitalised and treated as Property Plant and Equipment. There is no threshold criterion for these items.

#### **In Case of Subsidiary**

Property, plant and equipment held for use in the production or/ and supply of goods or services, or for administrative purposes, are stated in the balance sheet at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.



### 2.7.12 Initial Measurement

The initial cost at cash price equivalent of property, plant and equipment acquired comprises its purchase price, including import duties and non-refundable purchase taxes, any directly attributable costs of bringing the assets to its working condition and location and present value of any asset restoration obligation or obligatory decommissioning costs for its intended use.

Expenditure incurred on development of freehold land is capitalized as part of the cost of the land.

In case of self-constructed assets, cost includes the costs of all materials used in construction, direct labour, allocation of overheads, directly attributable borrowing costs.

### 2.7.13 Subsequent expenditure

Subsequent expenditure on day- to- day servicing of an item of property, plant and equipment is recognised in profit or loss as incurred. However, expenditure on major maintenance or repairs including cost of replacing the parts of assets and overhaul costs where it is probable that future economic benefits associated with the item will be available to the Group, are capitalized and the carrying amount of the item so replaced is derecognised.

Insurance spares that are specific to a fixed asset and valuing more than ₹ 1 lakh per unit are capitalised along with the main assets. All other spares are recognised as inventory, except for spares which are having a useful life greater than a year and can to be identified as components in an asset are capitalised.

### 2.7.14 Capital work-in-progress

Assets in the course of construction for production or/and supply of goods or services or administrative purposes, or for purposes not yet determined, are included under capital work in progress and are carried at cost, less any recognised impairment loss. Cost includes professional fees and for qualifying asset, borrowings costs capitalised in accordance with the group's s accounting policy. Such capital work in progress is transferred to the appropriate category of property, plant and equipment when completed or starts operating as per management's intended use.

Costs associated with the commissioning of an asset are capitalised where the asset is available for use but incapable of operating at normal levels until a period of commissioning has been completed.

### 2.7.15 Depreciation

Depreciation on assets is provided over their estimated useful lives. Depreciation on assets is provided on a straight line basis over the useful life of the asset in the manner prescribed under Schedule II of the Companies Act, 2013.

The estimated useful lives and residual values are reviewed at each year end, with the effect of any changes in estimate accounted for on a prospective basis. Each component of an item of property, plant and equipment with a cost that is material in relation to the total cost of that item is depreciated separately if its useful life differs from the others components of the asset.

Property, plant and equipment which are subject to componentisation, comprises of main assets, componentised assets and remainders, if any. The useful life of remainders carry the life of main assets unless the same based on technical evaluation is considered to be lower than that of the main asset, in which case, such lower useful life is considered.

The residual value of property, plant and equipment are maintained at 5% of the original cost except for assets costing up to ₹ 5,000 which are fully depreciated in the year of capitalization.

Subsequent expenditure related to an item of property, plant and equipment is prospectively depreciated over the revised useful life of respective assets.

The estimated range of useful lives are as follows:

| Description                                            | Years   |
|--------------------------------------------------------|---------|
| Buildings                                              | 30 - 60 |
| Plant and machinery                                    | 08 - 15 |
| Railway Siding, pipelines                              | 15      |
| Motor Vehicles                                         | 8       |
| Furniture and fixtures                                 | 10      |
| Computer                                               | 03 - 10 |
| Electric Machinery & Plant and General Electrification | 10      |
| Water Supply and Sewerage System                       | 05 - 12 |

Freehold land is not depreciated.

Depreciation commences when the assets are ready for their intended use. Depreciated assets on property, plant and equipment and accumulated depreciation thereon are retained fully until they are derecognised or classified as non-current assets held for sale.

#### **2.7.16 Disposal of assets**

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between net disposal proceeds and the carrying amount of the asset and is recognised in the statement of profit and loss.

#### **2.7.17 Stripping cost**

In open pit mining operations, overburden and other waste materials must be removed to access ore from which minerals can be extracted economically. The process of removing overburden and waste materials is referred to as stripping. During the development of a mine (or pit), before production commences, stripping costs are capitalised as part of the cost of construction of the mine (or pit) and are subsequently amortised over the life of the mine (or pit) on a units of production basis.

Stripping costs are allocated and included as a component of the mine asset when they represent materially improved access to ore provided all the following conditions are met:

- (a) It is probable that the future economic benefit associated with the stripping activity will be realized;
- (b) The component of the ore body for which access has been improved can be identified; and
- (c) The costs relating to the stripping activity associated with the improved access can be reliably measured.

The stripping cost incurred during the production phase of a surface mine is allocated to the existing mine asset to the extent the current period stripping cost exceeds the stripping ratio.

The stripping activity asset is subsequently depreciated on a unit of production basis over the life of the identified component of the ore body that became more accessible as a result of the stripping activity and is then stated at cost less accumulated depreciation and any accumulated impairment losses.

Stripping costs include such activities as removal of vegetation as well as digging the actual pit for mining the ore.

#### **2.7.18 Deemed cost on transition to Ind AS**

For transition to Ind AS, the Group has elected to continue with the carrying value of all its property, plant & equipment recognized as of 1<sup>st</sup> April, 2018 (transition date) measured as per the previous GAAP and use that carrying value as its deemed cost as of the transition date.

### **2.8 Intangible Assets**

#### **In case of Holding Co.**

**2.8.1** Intangible assets are measured at cost less accumulated amortization and impairment. Intangible assets are amortized on straight line method over their estimated useful life.

**2.8.2** Residual values and useful lives of all intangible assets are reviewed at each reporting date. Changes, if any, are accounted for as changes in accounting estimates.

**2.8.3** Amortization of "Intangible Assets" is accounted in the following manner:

- Mining lease rights are amortized over the period of lease.
- Software which is not an integral part of related hardware, is treated as intangible asset and amortized over a period of 4 years or its license period, whichever is less.

Other Intangible assets are amortized over their estimated useful lives.

**2.8.4** Goodwill that arises on business combination is not amortised and tested for impairment annually. Subsequently measured at cost less accumulated impairment loss.

#### **In Case of Subsidiary**

**2.8.5** Intangible assets acquired separately

Intangible assets acquired are reported at cost less accumulated amortisation and accumulated impairment losses. Intangible assets having finite useful life are amortised over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each annual reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

#### **2.8.6 Internally-generated intangible assets – research and development expenditure**

Expenditure on research activities is recognised as an expense in the period in which it is incurred. An internally-generated intangible asset arising from development (or from the development phase of an internal project) is recognised if, and only if all of the following have been demonstrated:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
  - the intention to complete the intangible asset and use or sell it;
  - the ability to use or sell the intangible asset;
  - how the intangible asset will generate probable future economic benefits;
  - the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
  - the ability to measure reliably the expenditure attributable to the intangible asset during its development.
- The group has not recognised any internally-generated intangible assets.

#### 2.8.7 Mining Rights

The costs of mining rights includes amounts paid for afforestation and wild life conservation as determined by the regulatory authorities are capitalised as “Mining rights” in the year in which they are incurred. Cost of pre-production primary development expenditure other than land, buildings, plant and equipment are capitalised as part of the cost of the mining property until the mining property is capable of commercial production. Capitalised mining properties are amortised on a unit-of-production basis over the total estimated remaining commercial reserves of mining property and are subject to impairment review.

#### 2.8.8 Exploration and evaluation expenditure

Exploration and evaluation expenditure incurred after the group has obtained legal rights to explore in a specific area such as exploration and production licenses, researching and analyzing historical exploration data, exploratory drilling, trenching, sampling and the costs of commercial feasibility studies.

Exploration and evaluation expenditure for each area of interest is capitalised when the expenditure is expected to be recouped from future exploitation or sale of the area of interest and it is planned to continue with active and material operations in relation to the area, or at the reporting period end, the activity has not reached a stage which permits a reasonable assessment of the existence of commercially recoverable reserves. In all other cases such expenses is charged to profit and loss.

Purchased exploration and evaluation assets are recognised at their fair value at acquisition.

As the capitalised exploration and evaluation expenditure asset is not available for use, it is not depreciated. All capitalised exploration and evaluation expenditure is monitored for indications of impairment. Where a potential impairment is indicated, an assessment is performed for each area of interest or at the CGU level. To the extent that capitalised expenditure is not expected to be recovered it is charged to profit and loss.

Administration costs that are not directly attributable to a specific exploration area are charged to profit and loss. License costs paid in connection with a right to explore in an existing exploration area are capitalised and amortised over the term of the permit.

When commercially recoverable reserves are determined and such proposed development receives the appropriate approvals, capitalised exploration and evaluation expenditure is transferred to capital work in progress. All subsequent development expenditure of underground mines is similarly capitalised, provided commercial viability conditions continue to be satisfied. Proportionate cost of product extracted during the development phase is netted against development expenditure. Upon completion of development and commencement of production, capitalised development costs are further transferred to Mining Reserves, Resources and Rights and depreciated using the unit of production method.

#### 2.8.9 Derecognition of intangible assets

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset are recognised in the statement of profit and loss when the asset is derecognised.

#### 2.8.10 Amortisation

The estimated useful lives for the main categories of intangibles assets having finite useful life are as follows:

- (a) Acquired computer software is classified as intangible assets and carries a useful life of 4 years.
- (b) Mining Rights comprising of NPV and related payments made to government authorities for iron ore and manganese mines are amortised over the period of lease from the date of payment or date of renewal/ deemed renewal of mining lease whichever is earlier.

#### 2.8.11 Deemed cost on transition to Ind AS

For transition to Ind AS, the Group has elected to continue with the carrying value of its intangible assets recognized as of 1<sup>st</sup> April, 2018 (transition date) measured as per the previous GAAP and use that carrying value as its deemed cost as of the transition date.

## **2.9 Exploration and Evaluation Assets (E&E Assets)**

**2.9.1** Exploration and evaluation expenditure includes costs incurred after obtaining legal right to explore the area and before establishing technical feasibility and commercial viability of extracting a mineral resource that are directly attributable to:

- researching and analyzing existing exploration data;
- conducting geological studies, exploratory drilling and sampling;
- examining and testing extraction and treatment methods; and/or
- compiling pre-feasibility and feasibility studies.

**2.9.2** Exploration and evaluation expenditure is recognized as an expense, unless the expenditure is expected to be recouped through successful development and exploitation of the area of interest, or alternatively by its sale, in which case it is recognized as an asset.

**2.9.3** Exploration and evaluation (E&E) assets are classified as tangible (as part of property, plant and equipment) or intangible according to the nature of the assets.

**2.9.4** The carrying values of capitalized E&E expenditure are reviewed for impairment once a year by management.

## **2.10 Investment in Subsidiaries and Joint Ventures**

Investments in subsidiaries and joint ventures are measured at cost.

## **2.11 Financial Instruments (Financial Assets and Financial Liabilities):**

### **In case of Holding Co.**

**2.11.1** All financial instruments are recognized initially at fair value. The classification of financial instruments depends on the objective of the business model for which it is held. For the purpose of subsequent measurement, financial instruments of the Company are classified into:

- (a) Non-Derivative Financial Instruments and
- (b) Derivative Financial Instruments.

### **2.11.2 a) Non-Derivative Financial Instruments**

- (i) Security deposits, cash and cash equivalents, employee and other advances, trade receivables and other eligible financial assets are classified as financial assets under this clause.
  - Employees loans are fair valued taking into account the SBI interest rate on similar loans prevailing on the date of grant of loans for discounting and subsequently carried at amortized cost using effective interest rate method.
  - Other loans are fair valued taking into account the Company's weighted average cost of borrowings for discounting and subsequently carried at amortized cost using effective interest rate method.
- (ii) Loans and borrowings, trade and other payables including deposits collected from various parties and other eligible financial liabilities are classified as financial liabilities under this clause.
- (iii) Non-Derivative Financial instruments are subsequently carried at amortized cost wherever applicable using effective interest method (EIR) less impairment loss.
- (iv) Transaction costs that are attributable to the financial instruments recognized at amortized cost are included in the fair value of such instruments.

### **2.11.3 (b) Derivative Financial Instruments**

- (i) Derivative Financial Assets and liabilities are initially recognized at fair value on the date a derivative contract is entered into and are subsequently re-measured to their fair value on Marked to Market (MTM) basis at each reporting date.
- (ii) Changes in the fair value of any derivative Asset or liability are recognized immediately in the Income Statement and are included in other income or expenses.

### **2.11.4 Hedging:**

Hedge accounting is followed in respect of derivative financial instruments qualifying for hedge accounting.

To qualify for hedge accounting, the followings are required:

- (a) A hedge relationship between a qualifying hedging instrument and a qualifying hedged item at the inception of the hedge is formally designated and documented;
- (b) Both at inception and on an on-going basis, hedge effectiveness is demonstrated.

Types of hedge relationships:

- Fair value hedge: A hedge of the exposure to changes in the fair value of a recognized asset or liability, or a firm commitment. Changes in the fair value of the derivative hedging instruments designated as fair value hedge are recognized as Fair Value through P&L (FVTPL).
- Cash flow hedge: Changes in the fair value of the derivative hedging instrument designated as a cash flow hedge are recognized in other comprehensive income and presented within equity in the cash flow hedging reserve to the extent that the hedge is effective. To the extent that the hedge is ineffective, changes in fair value are recognized in the statement of profit and loss. If the hedging instrument no longer meets the criteria for hedge accounting, expires or is sold, terminated or exercised, then hedge accounting is discontinued prospectively. The cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the statement of profit and loss upon the occurrence of the related forecasted transaction.

#### **2.11.5 Fair Value Measurement:**

The Company classifies the fair value of its financial instruments in the following hierarchy, based on the inputs used in their valuation:

- i) **Level 1:** The fair value of financial instruments quoted in active markets is based on their quoted closing price at the Balance Sheet date.
- ii) **Level 2:** The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques using observable market data. Such valuation techniques include discounted cash flows, standard valuation models based on market parameters for interest rates, yield curves or foreign exchange rates, dealer quotes for similar instruments and use of comparable arm's length transactions.
- iii) **Level 3:** The fair value of financial instruments that are measured on the basis of entity specific valuations using inputs that are not based on observable market data (unobservable inputs).

#### **In case of Subsidiary**

All financial assets are recognised on trade date when the purchase of a financial asset is under a contract whose term requires delivery of the financial asset within the timeframe established by the market concerned. Financial assets are initially measured at fair value, plus transaction costs, except for those financial assets which are classified as at fair value through profit or loss (FVTPL) at inception. All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value.

#### **2.11.6 Classification of financial assets**

Financial assets are classified as 'equity instrument' if it is a non-derivative and meets the definition of 'equity' for the issuer (under Ind AS 32 Financial Instruments: Presentation). All other non-derivative financial assets are 'debt instruments'.

##### **a) Financial assets at amortised cost and the effective interest method**

Debt instruments are measured at amortised cost if both of the following conditions are met:

- the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
- the contractual terms of the instrument give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Debt instruments meeting these criteria are measured initially at fair value plus transaction costs. They are subsequently measured at amortised cost using the effective interest method less any impairment, with interest recognised on an effective yield basis in investment income.

##### **b) Financial assets at fair value through other comprehensive income(FVTOCI)**

Debt instruments are measured at FVTOCI if both of the following conditions are met:

- ❖ the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows and selling assets; and
- ❖ the contractual terms of the instrument give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding

Debt instruments meeting these criteria are measured initially at fair value plus transaction costs. They are subsequently measured at fair value with any gains or losses arising on measurement recognized in other comprehensive income, except for impairment gains or losses and foreign exchange gains or losses. Interest calculated using the effective interest method is recognised in the statement of profit and loss in investment income. When the debt instrument is derecognised the cumulative gain or loss previously recognised in other comprehensive income is reclassified to the statement of profit and loss account as a reclassification adjustment.



At initial recognition, an irrevocable election is made (on an instrument-by-instrument basis) to designate investments in equity instruments other than held for trading purpose at FVTOCI.

A financial asset is held for trading if:

it has been acquired principally for the purpose of selling it in the near term; or

- ❖ on initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and has evidence of a recent actual pattern of short-term profit-taking; or
- ❖ it is a derivative that is not designated and effective as a hedging instrument or a financial guarantee.

Investments in equity instruments at FVTOCI are initially measured at fair value plus transaction costs. Subsequently, they are measured at fair value with gains and losses arising from changes in fair value recognised in other comprehensive income and accumulated in the investments revaluation reserve. Where the asset is disposed of, the cumulative gain or loss previously accumulated in the investments revaluation reserve is directly reclassified to retained earnings.

For equity instruments measured at fair value through other comprehensive income no impairments are recognised in the statement of profit and loss.

Dividends on these investments in equity instruments are recognised in the statement of profit and loss in investment income when the Group's right to receive the dividends is established, it is probable that the economic benefits associated with the dividend will flow to the entity; and the amount of the dividend can be measured reliably.

#### c) **Other Financial Assets (Contract Assets)**

Accounts Receivables is the right to consideration in exchange for goods or services, transferred to the Customer. If the Company performs by transferring the goods or services to a Customer before the Customer pays consideration or payment is due, Accounts Receivables (in the nature of Contract Asset) is recognized for the Earned Consideration that is conditional.

#### d) **Financial assets at FVTPL**

Financial assets that do not meet the criteria of classifying as amortised cost or fair value through other comprehensive income described above, or that meet the criteria but the entity has chosen to designate as at FVTPL at initial recognition, are measured at FVTPL.

Investments in equity instruments are classified as at FVTPL, unless the Group designates an investment that is not held for trading at FVTOCI at initial recognition.

Financial assets classified at FVTPL are initially measured at fair value excluding transaction costs.

Financial assets at FVTPL are subsequently measured at fair value, with any gains or losses arising on measurement recognised in the statement of profit and loss. The net gain or loss recognised in the statement of profit and loss is included in the 'other gains and losses' line item.

Interest income on debt instruments at FVTPL is included in the net gain or loss described above.

Dividend income on investments in equity instruments at FVTPL is recognised in the statement of profit and loss in investment income when the Group's right to receive the dividends is established, it is probable that the economic benefits associated with the dividend will flow to the entity; and the amount of the dividend can be measured reliably.

Trade receivables, loans and other receivables are classified as subsequently measured at amortised cost. Trade and other receivables which does not contain any material financing component are stated at their transaction value as reduced by impairment losses, if any.

Loans and other receivables are subsequently measured at amortized cost using the effective interest method, less any impairment. Interest income is recognised by applying the effective interest rate (EIR) method.

### 2.11.7 **Impairment of financial assets**

On initial recognition of the financial assets, a loss allowance for expected credit loss is recognised for debt instruments at amortised cost and FVTOCI. For debt instruments that are measured at FVTOCI, the loss allowance is recognised in other comprehensive income in the statement of profit and loss and does not reduce the carrying amount of the financial asset in the balance sheet.

Expected credit losses of a financial instrument is measured in a way that reflects:

- ❖ an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- ❖ the time value of money; and
- ❖ Reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.



At each reporting date, the Group assess whether the credit risk on a financial instrument has increased materially since initial recognition.

When making the assessment, the Group compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition and consider reasonable and supportable information, that is available without undue cost or effort, that is indicative of material increases in credit risk since initial recognition.

If, at the reporting date, the credit risk on a financial instrument has not increased materially since initial recognition, the Group measures the loss allowance for that financial instrument at an amount equal to 12-month expected credit losses. If, the credit risk on that financial instrument has increased materially since initial recognition, the Group measures the loss allowance for a financial instrument at an amount equal to the lifetime expected credit losses.

The amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date is recognised as an impairment gain or loss in the statement of profit and loss.

## **2.11.8 Derecognition of financial assets**

The Group derecognizes a financial asset on trade date only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group recognises its retained interest in the asset and an associated liability for amounts it may have to pay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition, of a financial asset other than in its entirety (e.g. when the Group retains an option to repurchase part of a transferred asset), the Group allocates the previous carrying amount of the financial asset between the part it continues to recognise under continuing involvement, and the part it no longer recognises on the basis of the relative fair values of those parts on the date of the transfer. The difference between the carrying amount allocated to the part that is no longer recognised and the sum of the consideration received for the part no longer recognised and any cumulative gain or loss allocated to it that had been recognised in other comprehensive income is recognised in the statement of profit and loss. A cumulative gain or loss that had been recognised in other comprehensive income is allocated between the part that continues to be recognised and the part that is no longer recognised on the basis of the relative fair values of those parts.

## **2.11.9 Financial liabilities and equity instruments issued by the Group**

### **Classification as debt or equity**

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangement.

### **Equity instruments**

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Group are recognised at the proceeds received, net of direct issue costs.

### **Financial liabilities**

Financial liabilities are classified as either financial liabilities 'at FVTPL' or 'other financial liabilities'.

### **Financial liabilities at FVTPL**

Financial liabilities are classified as at FVTPL when the financial liability is either held for trading or it is designated as at FVTPL.

A financial liability is classified as held for trading if:

- ❖ it has been acquired or incurred principally for the purpose of repurchasing it in the near term; or
- ❖ on initial recognition it is part of a portfolio of identified financial instruments that the Group manages together and for which there is evidence of a recent actual pattern of short-term profit-taking; or
- ❖ It is a derivative that is not designated and effective as a hedging instrument.

A financial liability other than a financial liability held for trading may also be designated as at FVTPL upon initial recognition if:

- ❖ such designation eliminates or materially reduces a measurement or recognition inconsistency that would otherwise arise; or

- ❖ the financial liability forms part of a group of financial assets or financial liabilities or both, which is managed and its performance is evaluated on a fair value basis, in accordance with the Group's documented risk management or investment strategy, and information about the grouping is provided internally on that basis; or
- ❖ It forms part of a contract containing one or more embedded derivatives, and Ind AS 109 Financial Instruments permits the entire combined contract to be designated as at FVTPL.

Financial liabilities at FVTPL are stated at fair value, with any gains or losses arising on remeasurement recognised in the statement of profit and loss, except for the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability which is recognised in other comprehensive income.

The net gain or loss recognised in the statement of profit and loss incorporates any interest paid on the financial liability.

#### **Other financial liabilities**

1. Other financial liabilities are initially measured at fair value, net of transaction costs.
2. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.
3. The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability, or (where appropriate) a shorter period, to the net carrying amount on initial recognition.
4. Trade and other payables are recognised at their transaction cost, which is its fair value, and subsequently measured at amortised cost.

#### **2.11.10 Offsetting financial instruments**

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Group or the counterparty.

#### **2.12 Impairment**

##### **In Case of Holding Co.**

##### **2.12.1 Financial assets**

- (i) The Group applies Expected Credit Loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:
  - Financial assets that are debt instruments, and are measured at amortized cost wherever applicable e.g., loans, debt securities, deposits and bank balance.
  - Trade receivables.
- (ii) The Group follows 'simplified approach' for recognition of impairment loss allowance on trade receivables which do not contain a significant financing component. The application of simplified approach does not require the company to track changes in credit risk. Rather, it recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.
- (iii) Under simplified approach, a provision matrix is used to determine impairment loss on portfolio of trade receivable (age wise analysis of trade receivables). The provision matrix is based on historically observed default rates over the expected life of the trade receivable and is adjusted for forward- looking estimates. At every reporting date, the historical observed default rates are updated and changes in forward-looking estimates are analysed.
- (iv) ECL impairment loss allowance (or reversal) measured during the period is recognized as income/expense in the statement of profit or loss.

##### **2.12.2 Non-financial assets**

The Group assesses at each reporting date whether there is any objective evidence that a non-financial asset or a group of non-financial assets is impaired. If any such indication exists, the Company estimates the amount of impairment loss.

**In Case of Subsidiary****2.12.3 Impairment of tangible & intangible assets**

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit and loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in the statement of profit and loss.

**2.13 Stripping Cost:**

Stripping cost in the nature of expense incurred for removing overburden and waste materials is accounted for as follows:

- (a) To the extent that the benefit from the stripping activity is realized in the form of inventory produced, the same is accounted for in accordance with the principles of Ind AS 2, Inventories.
- (b) To the extent the benefit is improved access to Ore, stripping cost shall be recognized as a non-current asset.

**2.14 Income Taxes:****In Case of Holding Co****2.14.1 Uncertainty over income tax treatment:**

A provision is recognised for those matters for which the tax determination is uncertain but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the company supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

**In Case of Subsidiary****2.14.2 Tax expense represents the sum of current tax and deferred tax.**

Current tax is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the reporting date and includes any adjustment to tax payable in respect of previous years. Subject to exceptions below, deferred tax is provided, using the balance sheet method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes:

- Tax payable on the future remittance of the past earnings of subsidiaries where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future; and
- Deferred tax assets are recognised only to the extent that it is more likely than not that they will be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date. Tax relating to items recognized directly in other comprehensive income is recognised in the statement of comprehensive income and not in the statement of profit or loss.

Deferred tax is provided, using the balance sheet method, on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred Tax Assets include Minimum Alternate Tax (MAT) paid in accordance with the tax laws in India, which likely to give future economic benefits in the form of set off against future income tax liability. MAT is recognized as

deferred tax asset in the balance sheet when the asset can be measured reliably and it is probable that the future economic benefit associated with the asset will be realized.

The carrying amount of deferred tax assets is reviewed at each reporting date and is adjusted to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the asset to be recovered.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

**Ind AS 12 Appendix C, Uncertainty over Income Tax Treatments :** On March 30, 2019, Ministry of Corporate Affairs has notified Ind AS 12 Appendix C, Uncertainty over Income Tax treatments which is to be applied while performing the determination of taxable profit ( or loss), tax bases, unused tax losses, unused tax credits and tax rates, when there is uncertainty over Income Tax treatments under Ind AS 12. According to the Appendix, companies need to determine the probability of the relevant tax authority accepting each tax treatment, or group of tax treatments, that the companies have used or plan to use in their income tax filing which has to be considered to compute the most likely amount or the expected value of the tax treatment when determining taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates.

The standard permits two possible methods of transition – (i) Full retrospective approach – Under this approach, Appendix C will be applied retrospectively to each prior reporting period presented in accordance with Ind AS 8 – Accounting Policies, Changes in Accounting Estimates and Errors, without using hindsight and (ii) Retrospectively with cumulative effect of initially applying Appendix C recognized by adjusting equity on initial application, without adjusting comparatives.

The effective date for adoption of Ind AS 12 Appendix C is annual period beginning on or after April 1, 2019. The company will adopt the standard on April 1, 2019 without adjusting comparatives. The effect on adoption of Ind AS 12 Appendix C would be immaterial in the consolidated financial statements.

**Amendment to Ind AS 12 – Income Taxes :** On March 30, 2019, Ministry of Corporate Affairs issued amendments to the guidance in Ind AS 12, 'Income Taxes', in connection with accounting for dividend distribution taxes.

The amendment clarifies that an entity shall recognize the income tax consequences of dividends in profit or loss, other comprehensive income or equity according to where the entity originally recognized those past transactions or events.

Effective date for application of this amendment is annual period beginning on or after April 1, 2019. The company is currently evaluating the effect of this amendment on the consolidated financial statements.

**Amendments to Ind AS 19 :** On March 30, 2019, Ministry of Corporate Affairs issued amendments to Ind AS 19, 'Employee benefits', in connection with accounting for plan amendments, curtailments and settlements.

The amendments require an entity :

- ❖ To use updated assumptions to determine current service cost and net interest for the remainder of the period after a plan amendment, curtailment or settlement; and
- ❖ To recognize in profit or loss as part of past service cost, or a gain or loss on settlement, any reduction in a surplus, even if that surplus was not previously recognized because of the impact of asset ceiling.

Effective date for application of this amendment is annual period beginning on or after April 1, 2019. The Group does not have any impact on account of this amendment.

## **2.15 Revenue Recognition**

### **In Case of Holding Co**

**2.15.1** Revenue is measured based on the consideration (i.e., the transaction price) to which the company expects to be entitled in a contract with a customer and excludes amounts collected on behalf of third parties. The company recognises revenue when it transfers control of a product or service to a customer. The company considers the terms of the contract and its customary business practices to determine the transaction price. The nature, timing and amount of consideration promised by a customer affect the estimate of the transaction price. Sales revenue is measured net of returns, discounts and rebates.

#### **Sale of Goods:**

- Domestic sales on F.O.R. destination basis are accounted for when goods are delivered to the carriers and effective control is transferred to the buyer.
- Exports sales on FOB basis as per INCO terms are recognized in the following manner:
  - Sea Exports, Road Exports and Rail Exports are recognized on the date of Bill of Lading, the Date of Road Consignment Note and Date of Railway Receipt respectively.
  - In cases where 'realization of material value without shipment' is provided for in the Letters of credit of respective contracts, on expiry of lay days given in notice of readiness of cargo or the lay days otherwise accepted by the seller or on expiry of 15 days from notice of readiness of cargo whichever is earlier.

### **Claims**

- Claims for liquidated damages against the suppliers/contractors are accounted for when the amounts are actually recovered.
- Claims for escalation by Contractors and Suppliers are accounted on acceptance by the Company.
- Claims on Railways are accounted for when they are lodged.
- Claims lodged under various insurance policies, risk purchases, price subsidy and the interest receivable from Sundry Debtors for delayed payments/ are accounted on certainty of realization.

**2.15.2** Claims other than those referred at Note 2.15.1 are accounted for based on certainty of realisation.

**2.15.3** Revenue arising from the rendering of service is recognized to the extent the service is provided and could be estimated reliably. Revenue is recognized in the period when the service is performed by reference to the contract stage of completion at the reporting date.

**2.15.4** Interest income is recognized basing on the effective interest method.

**2.15.5** Dividends, are recognized at the time the right to receive is established.

**2.15.6** Miscellaneous deposit / Security Deposit / EMD / Sundry Creditors in respect of non-operating contracts and lying in accounts for more than 3 years from the date of last Transaction / contract end date are transferred to Misc. Income.

**2.15.7** Customer Security Deposits / EMD / Other deposits lying in accounts for more than 3 years from the date of last Transaction date are transferred to Misc. Income.

**2.15.8** Stale cheque if any will be transferred to miscellaneous income after 3 years from the cheque issue date.

**2.15.9** Unclaimed receipts lying in account more than 3 years are transferred to miscellaneous income.

### **In Case of Subsidiary**

**2.15.10** Revenue is measured at the fair value of the consideration received or receivable. Revenues are reduced for estimated rebates and other similar allowances.

Revenue from the sale of goods is recognized at the point in time when control is transferred to the customer. Revenue from sale of goods is measured based on the transaction price, which is the consideration, adjusted for discounts and pricing incentives, if any, as specified in the contracts with the customer. GST is not received by the company for its own account. Rather, it is tax collected on sale on behalf of the Government. Accordingly, it is excluded from Revenue.

### **Sales of Goods**

The group derives revenue principally from sale of limestone and dolomite.

The group recognizes revenue when all the following criteria are satisfied:

- (i) material risks and rewards of ownership has been transferred to the customer;
- (ii) there is no continuing management involvement with the goods usually associated with ownership, nor effective control over the goods sold has been retained;
- (iii) the amount of revenue can be measured reliably;
- (iv) It is probable that the economic benefits associated with the transaction will flow to the group;
- (v) recovery of the consideration is probable; and

Revenue is inclusive of royalty, taxes on royalty and other amounts charged by State Government like district mineral foundation and National mineral exploration trust, but exclusive of sales tax, value added tax, welfare cess, entry tax, liquidated damages and penalties, if any.

**2.15.11** **Income from dividend and interest and rents**

#### **Dividend**

Dividends income from investments is to be recognised when the right to receive the dividend is established.

#### **Interest**

Interest income from a financial asset is recognised when it is probable that the economic benefits will flow to the Group and the amount of income can be measured reliably. Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

Claims are accounted for in the statement of Profit and Loss based on certainty of their realization.

**2.16** **Employee Benefits**

#### **In case of Subsidiary**

**2.16.1** **Retirement benefit and termination benefits**

A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity.



The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. Payments to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement the cost of providing benefits is determined using the projected unit credit method, with actuarial valuations being carried out for half pay leave at the end of each annual reporting period. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of government bonds. In countries where there is a deep market in high-quality corporate bonds, the market rate on those bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation are used. However, for retirement benefits like gratuity the provision is made on the basis of 15 days of salary (i.e. Basic + DA) for the month of September (i.e.  $15/26 \times (\text{Basic} + \text{DA})$  for the month of September). This amount of provision is for the entire year and is recognised proportionately in every quarter whereas for superannuation fund the provision is recorded on a monthly basis, which is calculated @ 15% of Salary (i.e. Basic + DA) of each month. These are charged to statement of profit and loss at the end of each period.

Remeasurement, comprising actuarial gains and losses, the effect of the changes to the asset ceiling (if applicable) and the return on plan assets (excluding interest), is reflected in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Measurement recognised in other comprehensive income is reflected immediately in retained earnings and will not be reclassified to the statement of profit and loss. Past service cost is recognised in the statement of profit and loss in the period of a plan amendment. Net interest is calculated by applying the discount rate at the beginning of the period to the net defined benefit liability or asset. Defined benefit costs are categorised as follows:

- Service cost (including current service cost, past service cost, as well as gains and losses on curtailments and settlements);
- Net interest expense or income; and
- Remeasurement

The Group presents the first two components of defined benefit costs in the statement of profit and loss in the line item employee benefits expense. Curtailment gains and losses are accounted for as past service costs.

When the benefit of a plan are improved, the portion of the increased benefit relating to past service by employees is recognized in profit or loss on a straight line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expenses is recognized immediately in statement of profit and loss.

#### **2.16.2 The Group provides retiring benefits in the nature of provident fund, superannuation and gratuity to its employees.**

Obligations for contribution to provident fund and superannuation fund are classified as defined contribution plans whereas retiring gratuity is classified as defined benefit plans.

A liability for a termination benefit is recognised at the earlier of when the entity can no longer withdraw the offer of the termination benefit and when the entity recognises any related restructuring costs. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to their present value.

In the case where the acceptance of requests made by employees under the scheme is at the sole discretion of the Group, the expenditure incurred on acceptance of the request is charged off to the Statement of Profit and Loss in the year in which it is incurred.

#### **2.16.3 Short-term and other long-term employee benefits**

A liability is recognised for benefits accruing to employees in respect of wages and salaries, annual leave and sick leave in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

Liabilities recognised in respect of short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service.

#### **2.16.4 Other long-term employee benefits**

Liabilities recognised in respect of other long-term employee benefits are measured at the present value of the estimated future cash outflows expected to be made by the Group in respect of services provided by employees up to the reporting date. The expected costs of these benefits are accrued over the period of employment using the



same accounting methodology as used for defined benefit retirement plans. Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to the statement of profit and loss in the period in which they arise. These obligations are valued annually by independent qualified actuaries.

The Group is providing benefits in the nature of compensated absences to its employees which are classified as other long-term employee benefits.

## **2.17 Foreign Currency Transactions**

A foreign currency transaction is recorded, on initial recognition in the functional currency, by applying to the foreign currency amount the spot (actual) exchange rate between the functional currency and the foreign currency at the date of the transaction.

Foreign currency monetary items are disclosed at the closing rate of the reporting period at reporting date. Exchange differences arising on settlement/conversion of foreign currency monetary items are recognised in the statement of profit and loss.

## **2.18 Borrowing Costs**

### **In case of Holding Co**

Borrowing costs incurred for obtaining qualifying assets are capitalized to the respective assets wherever the costs are directly attributable to such assets and in other cases by applying weighted average cost of borrowings to the expenditure on such assets.

- A qualifying asset is an asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

Substantial period refers to a period of 12 months or above taken for construction of an asset for its intended use.

### **In case of Subsidiary**

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale. The Group considers a period of twelve months or more as a substantial period of time.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalization. All other borrowing costs are recognised in the statement of profit and loss in the period in which they are incurred.

## **2.19 Investment Property**

### **In Case of Subsidiary**

Investment properties are properties held to earn rentals and / or for capital appreciation (including property under construction for such purposes). Investment properties are measured initially at cost, including transaction costs. Subsequent to initial recognition, investment properties are measured in accordance with Ind AS 16's requirements for cost model, other than those that meet the criteria to be classified as held for sale (or are included in a disposal group that is classified as held for sale) in accordance with Ind AS 105.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

## **2.20 Government Grants**

### **In Case of Holding Co.,**

**2.20.1** Export Benefits received from Government are treated as Government Grants. Grants related to Assets are presented as per paragraph 24 & 26 of Ind AS 20. Grants related to Income are presented as part of profit or loss, either separately or under a general heading such as 'Other income'; alternatively, they are deducted in reporting the related expense.

**2.20.2** Government grants in the nature of income are recognized in the Statement of Profit and Loss on a systematic basis over the periods in which the Company recognizes as expenses the related costs for which the grants are intended to compensate.

**2.20.3** Where the Company receives grants in the form of non-monetary assets such as land or other resources, both the asset and the grant are recorded at fair value assessed by the company based on the evidence available as on the date of initial recognition, by setting up the grant as deferred income, and is then recognised in the statement of Profit and Loss over the expected useful life of asset, except for land. Land is re-assessed once a year for ascertaining change in fair value and such a change in fair value is accounted for in the Statement of Profit and Loss.

### **In Case of Subsidiary**

Government grants are recognized when there is reasonable assurance that we will comply with the conditions attaching to them and that the grants will be received.

Government grants are recognised in the statement of profit and loss on a systematic basis over the periods in which the group recognizes as expenses the related costs for which the grants are intended to compensate. Government grants whose primary condition is that the group should purchase, construct or otherwise acquire non-current assets are recognized in the balance sheet by setting up the grant as deferred income.

Other government grants (grants related to income) are recognized as income over the periods necessary to match them with the costs for which they are intended to compensate, on a systematic basis. Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of providing immediate financial support with no future related costs are recognized in the statement of profit and loss in the period in which they become receivable.

Grants related to income are presented under other income in the statement of profit and loss except for grants received in the form of rebate or exemption which are deducted in reporting the related expense.

#### **2.21 GST & Customs Duties:**

- a) GST liability is accounted at the time of supply of goods/services.
- b) Customs duty on imports is accounted provisionally, pending completion of final assessment.

#### **2.22 Prior Period items:**

Those Items of Income / Expenditure which arise in the current period as a result of errors or omissions in the preparation of Financial Statements of one or more prior Years, exceeding 0.1% of previous year Gross Turnover, in each case are treated as material prior period items and are corrected retrospectively unless it is impracticable to determine either the period-specific effects or the cumulative effect of the error.

#### **2.23 Lease**

##### **In Case of Subsidiary**

**2.23.1** On March 30, 2019, Ministry of Corporate Affairs has notified Ind AS 116, Leases. Ind AS 116 has become effective w.e.f. 1 April 2019, which eliminates the classification of leases as either finance or operating lease as required by Ind AS 17, Leases. Ind AS 116 introduces a single lessee accounting model and requires a lessee to recognize assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. The Group of companies would be recognizing a right-of-use asset and a corresponding lease liability in its balance sheet. Apart from the balance sheet, statement of profit & loss of a company would also undergo a change as operating lease expenses will be bifurcated into depreciation on the right-of-use asset and interest expense on the lease liability. The standard sets out the principles for the recognition, measurement, presentation and disclosure of leases for both parties to a contract, i.e. the lessee and the lessor. Ind AS 116 substantially carries forward the lessor accounting requirements in Ind AS 17.

The effective date for adoption of Ind AS 116 is annual period beginning on or after April 1, 2019. The standard permits two possible methods of transition:

- Full retrospective – Retrospectively to each prior period presented applying Ind AS 8 Accounting Policies, Changes in Accounting Estimates and Errors.
- Modified retrospective – Retrospectively, with the cumulative effect of initially applying the Standard recognized at the date of initial application. Under modified retrospective approach, the lessee records the lease liability as the present value of the remaining lease payments, discounted at the incremental borrowing rate and the right of use asset either as:
  - Its carrying amount as if the standard had been applied since the commencement of the date, but discounted at lessee's incremental borrowing rate at the date of initial application or
  - An amount equal to the lease liability, adjusted by the amount of any prepaid or accrued lease payments related to that lease recognized under Ind AS 17 immediately before the date of initial application.

Certain practical expedients are available under both the methods.

On completion of evaluation of the effect of adoption of Ind AS 116, the group of companies is proposing to use the 'Modified Retrospective Approach' for transitioning to Ind AS 116, and take the cumulative adjustment to retained earnings, on the date of initial application (April 1, 2019). Accordingly, comparatives for the year ending or ended March 31, 2019 will not be retrospectively adjusted. The Group has elected certain available practical expedients on transition.

**Applicability of Ind AS 116:**

This standard applies to all leases, including leases of right-of-use assets in a sublease, except for:

- (a) Leases to explore for or use minerals, oil, natural gas, and similar non-regenerative resources;
- (b) Leases of biological assets within the scope of Ind AS 41, Agriculture, held by a lessee
- (c) Service concession arrangements within the scope of Appendix D, Service Concession Arrangements, of Ind AS 115, Revenue from Contracts with Customer
- (d) Licenses of intellectual property granted by a lessor within the scope of Ind AS 115, Revenue from Contracts with Customers

Rights held by a lessee under licensing agreements within the scope of Ind AS 38, Intangible Assets, for such items as motion picture films, video recordings, plays, manuscripts, patents and copyrights

Note: A lessee may, but is not required to, apply this Standard to leases of intangible assets other than those described in above point

**Identifying a lease:**

Below conditions need to be fulfilled if the contract is to be classified as lease:

Identified asset.

Lessee obtains substantially all of the economic benefits.

Lessee directs the use.

Thus from the above classification, the standard under IND AS 116 cannot be made applicable for the OMDC & BSLC as the main purpose of the business is exploring minerals or similar non-regenerative resources.

Intangible Assets do not cover items such as motion picture films, video recordings, plays, manuscripts, patents and copyrights and there is no such contract where asset has been identified against economic benefits.

Hence IND AS 116 could not be made applicable in FY 2024-25.

**2.24****Provisions & Contingencies****In case of Subsidiary**

Provisions are recognised when there is a present obligation (legal or constructive) as a result of a past event and it is probable ("more likely than not") that it is required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the estimated cash flows to settle the present obligation, its carrying amount is the present value of those cash flows. The discount rate used is a pre-tax rate that reflects current market assessments of the time value of money in that jurisdiction and the risks specific to the liability.

**(a) Restoration, rehabilitation and decommissioning**

An obligation to incur restoration, rehabilitation and environmental costs arises when environmental disturbance is caused by the development or ongoing production of a mine and other manufacturing facilities. Such costs, discounted to net present value, are provided for and a corresponding amount is capitalised at the start of each project, as soon as the obligation to incur such costs arises. These costs are charged to the statement of profit or loss over the life of the operation through the depreciation of the asset and the unwinding of the discount on the provision. The cost estimates are reviewed periodically and are adjusted to reflect known developments which may have an impact on the cost estimates or life of operations. The cost of the related asset is adjusted for changes in the provision due to factors such as updated cost estimates, changes to lives of operations, new disturbance and revisions to discount rates. The adjusted cost of the asset is depreciated prospectively over the lives of the assets to which they relate. The unwinding of the discount is shown as finance and other cost in the statements of profit or loss.

**(b) Environmental liabilities**

Environment liabilities are recognised when the group becomes obliged, legally or constructively to rectify environmental damage or perform remediation work.

**(c) Litigation**

Provision is recognised once it has been established that the group has a present obligation based on consideration of the information which becomes available up to the date on which the group's consolidated financial statements are finalized and may in some cases entail seeking expert advice in making the determination on whether there is a present obligation.

## **Contingent Liabilities**

Contingent liabilities arising from past events the existence of which would be confirmed only on occurrence or non-occurrence of one or more future uncertain events not wholly within the control of the Group or contingent liabilities where there is a present obligations but it is not probable that economic benefits would be required to settle the obligations are disclosed in the consolidated financial statements unless the possibility of any outflow in settlement is remote.

## **Contingent Assets**

Contingent assets are possible assets that arise from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Group of companies. Contingent assets are disclosed in the financial statements when inflow of economic benefit is probable on the basis of judgment of management. These are reviewed at each balance sheet date and are adjusted to reflect the current management estimate. Contingent assets are disclosed in the financial statements when inflow of economic benefit is probable.

## **2.25 Significant Judgements, Assumptions and Estimations in applying Accounting Policies**

### **2.25.1 Leases**

The Company evaluates if an arrangement qualifies to be a lease as per the requirements of Ind AS 116.

Identification of a lease requires significant judgment. The Company uses significant judgement in assessing the lease term (including anticipated renewals) and the applicable discount rate.

### **2.25.2 Close-down and Restoration Obligations**

Close-down and restoration costs are normal consequence of mining or production, and majority of close-down and restoration expenditure are incurred in the years following the closure of mine. Although the ultimate cost to be incurred is uncertain, the Company estimate their costs based on current interpretation of scientific and legal data and existing technology, in addition to assumptions about probability and future costs.

### **2.25.3 Recognition of Deferred Tax Assets**

The extent to which deferred tax assets can be recognized is based on an assessment of the probability of the Company's future taxable income against which the deferred tax assets can be utilized. In addition, significant judgement is required in assessing the impact of any legal or economic limits.

### **2.25.4 Inventories**

The Company estimates the cost of inventories taking into account the most reliable evidence, such as cost of materials and overheads considered attributable to the production of such inventories including actual cost of production, etc. Management also estimates the net realisable values of inventories, taking into account the most reliable evidence available at each reporting date. Significant technical and commercial judgements are required to determine the Company's quality and quantity of inventories. The future realisation of these inventories may be affected by future technology or other market-driven changes that may reduce future selling prices.

### **2.25.5 Defined Benefit Obligation (DBO)**

Employee benefit obligations are measured on the basis of actuarial assumptions which include mortality and withdrawal rates as well as assumptions concerning future developments in discount rates, medical cost trends, anticipation of future salary increases and the inflation rate. The Company considers that the assumptions used to measure its obligations are appropriate. However, any changes in these assumptions may have a material impact on the resulting calculations.

### **2.25.6 Fair Value Measurements**

The Company applies valuation techniques to determine the fair value of financial instruments (where active market quotes are not available) and non-financial assets. This involves developing estimates and assumptions consistent with the market participants to price the instrument. The Company's assumptions are based on observable data as far as possible, otherwise on the best information available. Estimated fair values may vary from the actual prices that would be achieved in an arm's length transaction at the reporting date.

### **2.25.7 Provisions and Contingencies**

The assessments undertaken in recognising provisions and contingencies have been made in accordance with Indian Accounting Standards (Ind AS) 37, 'Provisions, Contingent Liabilities and Contingent Assets'. The evaluation of the likelihood of the contingent events is applied best judgement by management regarding the probability of exposure to potential loss.

### **2.25.8 Mine Closure and Restoration Obligations**

Environmental liabilities and Asset Retirement Obligation (ARO): Estimation of environmental liabilities and ARO require interpretation of scientific and legal data, in addition to assumptions about probability and future costs.

**2.25.9 Useful lives of depreciable/ amortisable assets (tangible and intangible)**

Management reviews its estimate of the useful lives of depreciable/ amortisable assets at each reporting date, based on the expected utility of the assets. Uncertainties in these estimates relate to actual normal wear and tear that may change the utility of plant and equipment.

**In case of Subsidiary**
**2.25.10 Financial assets at amortised cost:-**

The management has reviewed the Group's financial assets at amortised cost in the light of its business model and has confirmed the Group's positive intention and ability to hold these financial assets to collect contractual cash flows.

**2.25.11 Provision for Restoration and rehabilitation of mining sites:-**

Provisions are recognised for costs associated with restoration and rehabilitation of mining sites as soon as the obligation to incur such costs arises. Such restoration and closure costs are typical of extractive industries and they are normally incurred at the end of the life of the mines. The costs are estimated on the basis of mine closure plans and the estimated discounted costs of dismantling and removing these facilities and the costs of restoration are capitalised when incurred reflecting the group's obligations at that time.

A corresponding provision is created on the liability side. The capitalised asset is recognised in the Statement of Profit or Loss over the life of the asset through depreciation over the life of the operation and the provision is increased each period through unwinding the discount on the provision. Management estimates are based on local legislation and/or other agreements. The actual costs and cash outflows may differ from estimates because of changes in laws and regulations, changes in prices, analysis of site conditions and changes in restoration technology.

**2.25.12 Ore reserve and mineral resource estimates**

Ore reserves are estimates of the ore that can be economically and legally extracted from the group's mining properties. The group estimates its ore reserves and mineral resources based on information compiled by appropriately qualified persons relating to the geological and technical data on the size, depth, shape and grade of the ore body and suitable production techniques and recovery rates. Such an analysis requires complex geological judgments to interpret the data. The estimation of recoverable reserves is based upon factors such as estimates of foreign exchange rates, commodity prices, future capital requirements, and production costs along with geological assumptions and judgements made in estimating the size and grade of the ore body.

The group estimates and reports ore reserves under the principles contained within the guidelines issued by the Indian Bureau of Mines (IBM) – including:

- Future production estimates – which include proved and probable reserves, resource estimates and committed expansions;  
As the economic assumptions used may change and as additional geological information is produced during the operation of a mine, estimates of reserves may change. Such changes may impact the group's reported financial position and results which include:
- The carrying value of exploration and evaluation assets, mine properties, property and plant and equipment may be affected due to changes in estimated future cash flows;
- Depreciation and amortisation charges in profit or loss may change where such charges are determined using the units of production method, or where the useful life of the related assets change;
- Capitalised stripping costs recognised in the Balance Sheet or charged to Statement of Profit or Loss may change due to changes in stripping ratios;
- Provisions for rehabilitation and environmental provisions may change - where changes to the reserve estimates affect expectations about when such activities will occur and the associated cost of these activities; and
- The recognition and carrying value of deferred income tax assets may change due to changes in the judgements regarding the existence of such assets and in estimates of the likely recovery of such assets.

**2.25.13 Deferred stripping expenditure**

The group defers stripping (waste removal) costs incurred during the production phase of its operations. This calculation requires the use of judgments and estimates relating to the expected tons of waste to be removed over the life of the mining area and the expected economically recoverable reserves to be extracted as a result. This information is used to calculate the average life of mine strip ratio (expected waste to expected mineral reserves ratio). Changes in a mine's life and design will usually result in changes to the average life of mine strip ratio. These changes are accounted for prospectively.



#### **2.25.14 Production start date**

The group assesses the stage of each mine under construction to determine when a mine moves into the production stage. This being when the mine is substantially complete and ready for its intended use. The criteria used to assess the start date are determined based on the unique nature of each mine construction project, such as the complexity of the project and its location. The group considers various relevant criteria to assess when the production phase is considered to commence. At this point, all related amounts are reclassified from "Mines under construction" to "Producing mines" and/or "Property, plant and equipment". Some of the criteria used to identify the production start date will include, but are not limited to:

- Level of capital expenditure incurred compared to the original construction cost estimates;
- Completion of a reasonable period of testing of the mine plant and equipment;
- Ability to produce material in saleable form (within specifications); and
- Ability to sustain ongoing production of material

When a mine development/construction project moves into the production stage, the capitalization of certain mine development/construction costs ceases and costs are either regarded as forming part of the cost of inventory or expensed, except for costs that qualify for capitalisation relating to mining asset additions or improvements, underground mine development or mineable reserve development. It is also at this point that depreciation/amortization commences.

#### **2.25.15 Units of production depreciation**

Estimated economically recoverable reserves are used in determining the depreciation and/or amortization of mine specific assets. This results in a depreciation/amortisation charge proportional to the depletion of the anticipated remaining life of mine production. Each item's life, which is assessed annually, has regard to both its physical life limitations and present assessments of economically recoverable reserves of the mine property at which the asset is located. These calculations require the use of estimates and assumptions, including the amount of recoverable reserves and estimates of future capital expenditure. Numerous units of production (UOP) depreciation methodologies are available to choose from.

#### **2.25.16 Mine rehabilitation provision**

The group assesses its mine rehabilitation provision at each reporting date. Material estimates and assumptions are made in determining the provision for mine rehabilitation as there are numerous factors that will affect the ultimate amount payable. These factors include estimates of the extent and costs of rehabilitation activities, technological changes, regulatory changes, cost increases as compared to the inflation rates and changes in discount rates. These uncertainties may result in future actual expenditure differing from the amounts currently provided. The provision at reporting date represents management's best estimate of the present value of the future rehabilitation costs required.

#### **2.25.17 Key sources of estimation uncertainty:**

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period that may have a material risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year:

a) Useful lives of property, plant and equipment :

As described in note 2.7 above, the Group reviews the estimated useful lives of property, plant and equipment at the end of each reporting period.

b) Fair value measurements and valuation processes :

Some of the Group's assets and liabilities are measured at fair value for financial reporting purposes. In estimating the fair value of an asset or a liability, the Group uses market-observable data to the extent it is available. Where Level 1 inputs are not available, the Group engages third party qualified valuers to perform the valuation.





### 3 Property, Plant and Equipment

#### A. Reconciliation of carrying amount

(₹ in Crores)

| Particulars                            | Freehold Land | Leasehold Land | Railway lines and sidings | Roads, Bridges and Culverts | Buildings | Plant and Equipments | Furniture and Fixtures | Vehicles | Electrical Installations | Water supply and Sewerage Systems | Miscellaneous Assets | Total    |
|----------------------------------------|---------------|----------------|---------------------------|-----------------------------|-----------|----------------------|------------------------|----------|--------------------------|-----------------------------------|----------------------|----------|
| <b>Cost or deemed cost</b>             |               |                |                           |                             |           |                      |                        |          |                          |                                   |                      |          |
| <b>(Gross Carrying Amount)</b>         |               |                |                           |                             |           |                      |                        |          |                          |                                   |                      |          |
| Balance at 1 <sup>st</sup> April 2024  | 75.79         | 3.61           | 489.20                    | 278.17                      | 2171.15   | 28246.28             | 31.02                  | 33.81    | 1260.00                  | 1630.98                           | 426.58               | 34646.59 |
| Additions and adjustments              |               |                | 46.45                     |                             | 5.31      | 278.35               | 0.07                   | 0.01     | 137.62                   | 4.37                              | 29.00                | 501.18   |
| Sales and adjustments                  |               |                |                           | -                           | (0.15)    | (138.10)             | (0.25)                 | 0.09     | (0.03)                   |                                   | (0.20)               | (138.65) |
| Balance at 31 <sup>st</sup> March 2025 | 75.79         | 3.61           | 535.65                    | 278.17                      | 2176.31   | 28386.53             | 30.84                  | 33.91    | 1397.58                  | 1635.35                           | 455.38               | 35009.12 |
| <b>Accumulated depreciation</b>        |               |                |                           |                             |           |                      |                        |          |                          |                                   |                      |          |
| Balance at 1 <sup>st</sup> April 2024  |               | 1.38           | 290.20                    | 225.21                      | 1030.05   | 13555.74             | 27.68                  | 31.41    | 926.91                   | 743.67                            | 359.41               | 17191.65 |
| Depreciation for the year              |               | 0.05           | 23.99                     | 4.82                        | 44.40     | 947.94               | 0.40                   | 0.35     | 51.35                    | 68.98                             | 17.07                | 1159.36  |
| Sales and adjustments                  | -             | -              | (0.13)                    | -                           | (0.02)    | (114.81)             | (0.18)                 | 0.06     | (0.02)                   | -                                 | (0.14)               | (115.24) |
| Balance at 31 <sup>st</sup> March 2025 |               | 1.43           | 314.06                    | 230.03                      | 1074.44   | 14388.87             | 27.90                  | 31.82    | 978.24                   | 812.65                            | 376.34               | 18235.77 |
| <b>Carrying amounts (net)</b>          |               |                |                           |                             |           |                      |                        |          |                          |                                   |                      |          |
| At 31 <sup>st</sup> March 2024         | 75.79         | 2.23           | 199.01                    | 52.96                       | 1141.10   | 14690.54             | 3.34                   | 2.40     | 333.09                   | 887.31                            | 67.16                | 17454.94 |
| At 31 <sup>st</sup> March 2025         | 75.79         | 2.18           | 221.59                    | 48.14                       | 1101.88   | 13997.66             | 2.94                   | 2.08     | 419.35                   | 822.70                            | 79.04                | 16773.35 |

\*In case of Holding Co., all eligible major spares, standby equipment and service equipment whose unit value exceeding ₹10 lakhs (threshold value) are capitalized as PPE on acceptance. Spares not meeting the threshold value are charged to revenue on their usage.

**B. Details of Right Of Use (ROU) Asset included in Property, Plant & Equipment**
**(₹ in Crores)**

| Particulars           | Gross Block                           |                           |                       |                                        | Accumulated Depreciation              |                             |                       |                                        | Net Block                      |                                |
|-----------------------|---------------------------------------|---------------------------|-----------------------|----------------------------------------|---------------------------------------|-----------------------------|-----------------------|----------------------------------------|--------------------------------|--------------------------------|
|                       | Balance at 1 <sup>st</sup> April 2024 | Additions and Adjustments | Sales and Adjustments | Balance at 31 <sup>st</sup> March 2025 | Balance at 1 <sup>st</sup> April 2024 | Depreciation for the period | Sales and Adjustments | Balance at 31 <sup>st</sup> March 2025 | At 31 <sup>st</sup> March 2024 | At 31 <sup>st</sup> March 2025 |
| <b>Leasehold land</b> | 3.61                                  | -                         | -                     | 3.61                                   | 1.38                                  | 0.05                        | -                     | 1.43                                   | 2.23                           | 2.18                           |
| <b>Building</b>       | 1.34                                  | -                         | -                     | 1.34                                   | 0.62                                  | 0.01                        | -                     | 0.63                                   | 0.72                           | 0.71                           |

**Note :** The details of leases are provided at Note 50

**3C. Freehold land**
**In case of Holding Co:**

- Land includes 1578.49 acres (As on 31<sup>st</sup> March 2024: 411.49 acres) allotted to various agencies on lease. It includes 52.85 acres of land allotted to M/s HPCL, 1.24 acres of land allotted to M/s AMTZ on Right of way basis for which the terms of the contract are pending for finalisation. The said land allotment to M/s HPCL and M/s AMTZ is pending for approval from Ministry of Steel & Ministry of Finance. It also includes land of 1167 acres allotted to M/s NMDC for which the approval of Ministry of Steel & Ministry of Finance was obtained and lease deed was executed on 30.04.2025.
- Land at a cost of ₹ 37.09 Crores ( As on 31<sup>st</sup> March 2024: ₹ 37.09 Crores) being held in the name of Government of India. The Company is holding Power of Attorney issued by President of India (Government of India) for utilisation of land acquired for the project and related purposes incidental thereto.
- Land includes 26.78 acres whose title is under dispute. (Refer Note 52B for calims in courts in connection with land acquisition).

**3D. In case of EIL:**
**(i) Land**

The Lawrence Investments and Property Co. Ltd. had a landed property of 76.77 Acres of land at Chackasi, Bauria, Howrah, housing its Jute Mills (demolished and disposed of in 1980). The Government of West Bengal had acquired land measuring an approximate area of 27.58 Acres on 25.08.76. Company's appeal for award of compensation towards such acquisition has been upheld by District Judge, Howrah on 07.03.83.

The balance portion of the land however, is under unauthorised occupation of local inhabitants which includes construction of permanent nature, as well. Necessary correspondences have already been made with the concerned authorities together with lodgement of complaint with the concerned police station for eviction of unauthorised occupants.

**(ii) Block and Development Sonapore Property**

The Assets described under the heading 'Block and Development' known as Sonapore property belonging to the Ondal Investments Co. Ltd. were the subject matter of a sub-lease between them and Sonapore Coalfields Ltd. which the company took possession of the property in 1946. The

sub-lease agreement could not be completed due to implications involved under the Mineral Concession Rules in 1960. The said company served re-entry notice on the sub-lessees and on obtaining permission from the Coal Board took possession of the property and started prospecting operation for which purpose the sum of ₹ 0.72 lakhs was spent. The Company's re-entry notice was challenged by the Sonepore Coalfields Ltd. and in January, 1966 after hearing both the parties the Calcutta High Court held that the sub-lessees were the 'owners' of the property and re-entry permission granted by the Coal Board should be quashed. The said company preferred an appeal but the same was decided against them in 1970 and the matter was forwarded by the Court to the Coal Board for fresh decision. No development has taken place since then. Amount of ₹ 2.56 lakhs was also received from Business Development Corporation Ltd. in the year 1946 on account of sub-lease of the Moujas 'Hassadih', 'Jote Khan Khan', 'Nabagram' & 'Sonepore', pending finalization of the sale deed and the final outcome of the re-entry case, this amount has been kept under Current Liabilities'. 'Development' represents the expenditure incurred towards the development of a property, the possession of which is under dispute.

**(iii) Buildings**

The Building belonging to the Sendra Investments Co. have been taken over in January, 1973, by the Coal Mines Authority in terms of Coal Mines (Nationalisation) Act, 1973. A claim for compensation for take-over has been made. No adjustment has been made pending determination of the claim.

**(iv) Railway Siding**

The Railway Siding known as 'Chora Mangalpore Siding' belonging to Ondal Investments Co. Ltd. stretches over approximately three miles taking off from Sonachora Station lying between Ondal and Garandih. Following the nationalization of Non-Coking Coal Collieries in 1973. all the collieries around the siding have been taken over by the Coal Mines Authority though the ownership of the Siding rests with the said company.

**(v) Depreciation**

Depreciation on Block & Development- Ondal Property, Building - Sendra Property have neither been ascertained nor provided for.

**3E. In case of BSLC,**

Machinery spare-parts which can be used only in connection with an item of fixed assets and whose use, as per technical assessment, is expected to be irregular are capitalized and depreciated over the residual life of the respective assets.

Expenditure incurred for obtaining required clearance to operate the mines subsequent to the allotment of their lease is capitalized as intangible assets & amortised over the useful life.

The supplementary lease deed of Birmitrapur Limestone and Dolomite Mines of M/s Bisra Stone Lime Company Limited having Mining Lease area of 793.043 Hectares was executed on 18.12.2015 and registered on 30.03.2016 for period of 01.03.2000 to 31.03.2020. Further Govt. of Odisha has extended the validity period for another 20 years with effect from 01.04.2020 to 31.03.2040 vide letter No. III(LD)SM-77/2013-3249/SM dated 30.03.2020 for the area 793.043 Hectares (Non Forest Area). The supplementary lease was executed on 26.06.2020 and registered 30.06.2020. Out of 793.043 Hectares the surface right area for mining and allied activities area 571.121 Hectares.

**3F. In case of OMDC,**

Machinery spare-parts which can be used only in connection with an item of fixed assets and whose use, as per technical assessment, is expected to be irregular are capitalized and depreciated over the

residual life of the respective assets.

Leasehold Properties (land) has been shown as carrying cost for the balance amount as on 31.03.2025. Depreciation has been charged over the Lease period i.e. 99 years on SIP Leased.

Total Free Hold Land of 206.865 Acres has been included under Land out of which 3.023 Acres are in the name of OMDC, 3.910 Acres in the Name of Bird & Co., 3.393 Acres has been encroached by OMDC and 196.539 Acres in the name of BPMEL.

Adjustment of residual value of assets of previous years to 5%

### 3G. Depreciation methods and useful lives

Depreciation is recognized on a straight-line basis, considering residual value of 5% of the cost of the asset, over the estimated useful life as prescribed under Schedule II to the Companies Act, 2013 except in the case of certain category of assets where useful life may be determined by technical experts. As per the above criteria, the range of useful life for different classes of assets is as under.

| Particulars                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------|-----------------------------|-----------------------------|
| Roads, bridges and culverts       | 3-30 years                  | 3-30 years                  |
| Buildings (Refer Note no. 3G.1)   | 3-60 years                  | 3-60 years                  |
| Fixtures and fittings             | 2-10 years                  | 2-10 years                  |
| Vehicles                          | 6-8 years                   | 6-8 years                   |
| Miscellaneous assets              | 2-15 years                  | 2-15 years                  |
| Railway lines and sidings         | 8-25 years                  | 8-25 years                  |
| Plant and equipment               | 2-50 years                  | 2-50 years                  |
| Electrical installations          | 5-30 years                  | 5-30 years                  |
| Water supply and sewerage systems | 15-50 years                 | 15-50 years                 |

#### 3G.1 Buildings-ROU are amortised over the period of lease. (Refer Note No. 50)

(₹ in Crores)

| Particulars                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------|-----------------------------|-----------------------------|
| <b>Allocation of depreciation :</b> |                             |                             |
| Expenditure During Construction     | -                           | 0.23                        |
| Current year (Charged to P & L)     | 1,159.36                    | 1,294.61                    |
|                                     | 1,159.36                    | 1,294.84                    |

Where useful life is determined based on technical evaluation carried out by technical experts, the Company believes that such estimation of useful life so determined best represent the period over which the Company expects to use these assets.

The estimated useful lives and residual values of depreciable/ amortisable assets are reviewed at each year end by a technical committee, with the effect of any changes in estimates accounted for on a prospective basis.

The technical committee is of the opinion that there are no material changes during the current financial year that may cause changes to the estimated useful life of the assets, method of depreciation and the residual values. Keeping this in view, the committee recommended continuing with the existing assessment of useful life of assets, and existing method of depreciation of Straight line method and residual value at 5%.

**3H. Capital work-in-progress**
**(₹ in Crores)**

| Particulars                                                                                    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Capital work-in-progress<br>(including material issued to contractors) - (Refer Note no. 3H.1) | 1,088.34                    | 1,253.21                    |
| Less: Impairment loss on capital work-in-progress recognised<br>in profit and loss             | -                           | (2.89)                      |
| <b>Total</b>                                                                                   | <b>1,088.34</b>             | <b>1,250.32</b>             |
| Less: Provision for dropped SLTM project & others                                              |                             |                             |
| SLTM                                                                                           | 25.53                       | 25.53                       |
| Axle Plant                                                                                     | 0.62                        | 0.62                        |
| Rebar Mill                                                                                     | 1.39                        | 1.39                        |
| 11/12 MT                                                                                       | 0.10                        | 0.10                        |
| ASUVI                                                                                          | 0.98                        | 0.98                        |
| Others                                                                                         | 3.03                        | 3.03                        |
| Total Provision for dropped projects                                                           | <b>31.65</b>                | <b>31.65</b>                |
| <b>Total</b>                                                                                   | <b>1,056.69</b>             | <b>1,218.67</b>             |

**In Case of Holding Co.,**

3H.1 This includes ₹ 3.50 Crores (As on 31<sup>st</sup> March 2024: ₹ 3.61 Crores) being the capital inventory lying at different construction zones/ with contractors on the reporting date.

**In Case of OMDC**

Capital work-in-progress includes other fixed assets to be installed and unfinished construction and erection materials.

Payment towards NPV, IBM processing fees and interest on inter corporate loan availed from RINL for the above purposes are considered as expenses towards Mining Rights and kept as capital work in progress in FY 2024-25.

**4 Other Intangible assets**
**A. Reconciliation of carrying amount**
**(₹ in Crores)**

|                                     | Particulars                                            | Goodwill<br>(Refer Note<br>no. 4.1) | Other Intangible Assets  |                       |                     | Intangible<br>assets under<br>development<br>(iii) | Total<br>[(i)+(ii)+(iii)] |
|-------------------------------------|--------------------------------------------------------|-------------------------------------|--------------------------|-----------------------|---------------------|----------------------------------------------------|---------------------------|
|                                     |                                                        |                                     | Computer<br>software (i) | Mining<br>rights (ii) | Total<br>[(i)+(ii)] |                                                    |                           |
| <b>Gross Block</b>                  | <b>Cost or deemed cost<br/>(gross carrying amount)</b> |                                     |                          |                       |                     |                                                    |                           |
|                                     | Balance at 1 <sup>st</sup> April 2024                  | 149.49                              | 67.96                    | 129.19                | <b>197.15</b>       | -                                                  | <b>197.15</b>             |
|                                     | Additions and adjustments                              | -                                   | 5.91                     | 0.94                  | 6.85                | -                                                  | 6.85                      |
|                                     | Sales and adjustments                                  | -                                   | -                        | (39.74)               | (39.74)             | -                                                  | (39.74)                   |
|                                     | <b>Balance at 31<sup>st</sup> March 2025</b>           | <b>149.49</b>                       | <b>73.87</b>             | <b>90.39</b>          | <b>164.26</b>       | -                                                  | <b>164.26</b>             |
| <b>Accumulated<br/>Amortisation</b> | <b>Accumulated Amortisation</b>                        |                                     |                          |                       |                     |                                                    |                           |
|                                     | Balance at 1 <sup>st</sup> April 2024                  | -                                   | 67.77                    | 109.54                | 177.31              | -                                                  | 177.31                    |
|                                     | Amortisation for the year                              | -                                   | 2.92                     | 0.66                  | 3.58                | -                                                  | 3.58                      |
|                                     | Sales and adjustments                                  | -                                   | -                        | (36.57)               | (36.57)             | -                                                  | (36.57)                   |
|                                     | <b>Balance at 31<sup>st</sup> March 2025</b>           | -                                   | <b>70.69</b>             | <b>73.63</b>          | <b>144.32</b>       | -                                                  | <b>144.32</b>             |

| Net Block | Carrying amounts (net)         |        |      |       |       |   |       |
|-----------|--------------------------------|--------|------|-------|-------|---|-------|
|           | At 31 <sup>st</sup> March 2024 | 149.49 | 0.19 | 19.65 | 19.84 | - | 19.84 |
|           | At 31 <sup>st</sup> March 2025 | 149.49 | 3.18 | 16.76 | 19.95 | - | 19.95 |

- 4.1** The carrying amount of Goodwill relates to the goodwill that arose on the acquisition of Eastern Investments Limited (EIL) and the same has been tested in both periods against the recoverable amount of Eastern Investments Limited CGU by the company. This goodwill relates to expected synergies from EIL's activities with those of the Group and to assets, and not related to any separately identifiable intangible assets.

The recoverable amount of Eastern Investment Company has been determined based on the fair value less cost of disposal. EIL, being an investment company, has made various investments and one of the major investment is in M/s. Orissa Mineral Development Company Limited (OMDC) in which EIL holds 50.01% of Equity Share. The fair value of this investment has been arrived based on its Quoted price. As the fair value of this investment itself far exceeds the carrying amount tested for impairment, the fair value of other assets is not determined.

The outcome of the Group's goodwill impairment test as at 31.03.2025 for the EIL CGU resulted in no impairment of goodwill (2023-24: NIL)

The management believes that no reasonably possible change in any of the key assumptions used in arriving fair value would cause the carrying value of the CGU to materially exceed its recoverable amount.

- 4.2** With respect to the carrying amount of intangible asset held by The Orissa Minerals Development Company Limited:-

- Tree felling cost at Bagiaburu mines within virgin forest area capitalised during the year as mining rights.
- Stripping cost Over Burden Removal (OBR) cost wrt. Bagiaburu Mines capitalised during the year as mining rights.
- Prospecting and development expenses incurred to prepare the mines ready for commercial exploration (i.e. in the nature of preliminary and preoperative expenses) are capitalized.
- Expenditure incurred for obtaining required clearance to operate the mines subsequent to the allotment of their lease is treated as intangible assets under the heads Mining Rights.
- Based on changes on Accounting Policy w.r.t. amortisation of Intangible Asset (Mining Rights), amortisation amount with respect to running Bagiaburu Mines is recalculated based on the unit of production basis. At the same time, amortisation of capital expenses for in-operative two mines (Belkundi & Bhadrasai) is not done for current year 2024-25.
- Considering the verdict of Hon'ble Supreme Court of India on 16.05.2024, net intangible asset (Mining Rights) w.r.t. the three BPMEL mines is considered asset impaired in the current FY 2024-25 and charged to revenue accordingly.

## **B. Amortisation methods and useful lives**

Amortisation is recognized in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of intangible assets.

The estimated useful lives for the current and comparative periods are as follows:

| Particulars       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------|-----------------------------|-----------------------------|
| Computer Software | 4 years                     | 4 years                     |
| Mining Rights     | 20 years                    | 20 years                    |



**5 Investments**
**(₹ in Crores)**

| Particulars                                                                                                                                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>A. Non-current investments</b>                                                                                                                                   |                             |                             |
| <i>Equity shares at cost - others</i>                                                                                                                               |                             |                             |
| 2,280 (31 <sup>st</sup> March 2025: 2,280; 31 <sup>st</sup> March 2024: 2,280) equity shares of ₹ 1 each in Free Press House Limited (Refer Note no. 5.1)           | 0.00                        | 0.00                        |
| 1 (31 <sup>st</sup> March 2025: 1; 31 <sup>st</sup> March 2024: 1 ) equity shares of ₹ 100 each in Anakapalli Rural Elec. Co-operative Society (Refer Note no. 5.2) | 0.00                        | 0.00                        |
| <b>Total investment in equity instruments at cost (A)</b>                                                                                                           | <b>0.00</b>                 | <b>0.00</b>                 |
| <b>B. Other investments</b>                                                                                                                                         |                             |                             |
| <b>(i) Quoted investments</b>                                                                                                                                       |                             |                             |
| <b>a) Investments in equity instruments (all fully paid)</b>                                                                                                        |                             |                             |
| H.D.F.C. Bank(March 31, 2025 and March 31, 2024: 1,500 shares of ₹ 10 each)                                                                                         | 0.55                        | 0.46                        |
| I.T.C. Limited (Ordinary Shares of ₹ 1 each) (March 31, 2025 and March 31, 2024 22500 shares of ₹ 10 each)                                                          | 0.92                        | 0.96                        |
| I.T.C. Hotels Limited (Ordinary Shares of ₹ 1 each) (March 31, 2025: 2250 shares and March 31, 2024: 0 shares of ₹ 1 each)                                          | 0.04                        | -                           |
| DPSC Ltd (Formally Dishergarh Power Supply Co. Ltd.) (March 31, 2025 and March 31, 2024: 344,770 shares of ₹ 10 each)                                               | 0.39                        | 0.61                        |
| Steel Authority of India Limited(March 31, 2025 and March 31, 2024: 1000 shares of ₹ 10 each)                                                                       | 0.01                        | 0.02                        |
| Jio Financial Services Limited(March 31, 2025 and March 31, 2024: 172 shares of ₹ 10 each)                                                                          | 0.00                        | 0.01                        |
| Reliance Industries Limited (March 31, 2025 and March 31, 2024: 172 shares of ₹ 10 each)                                                                            | 0.02                        | 0.05                        |
| BEML Land Assets Limited(March 31, 2025 and March 31, 2024: 200 shares of ₹ 10 each)                                                                                | 0.00                        | 0.01                        |
| Bharat Earth Movers Limited(March 31, 2025 and March 31, 2024: 200 shares of ₹ 10 each)                                                                             | 0.06                        | 0.07                        |
| The Associated Cement Company Limited. (March 31, 2025 and March 31, 2024: 400 shares of ₹ 10 each)                                                                 | 0.08                        | 0.10                        |
| Woodland Multispeciality Hospital Limited **(March 31, 2025 and March 31, 2024: 1950 shares of ₹ 10 each)                                                           | 0.00                        | 0.00                        |
| J S W Limited (formerly, Jindal Vijaynagar Steel) (March 31, 2025 and March 31, 2024: 30 shares of ₹ 10 each)                                                       | 0.00                        | 0.00                        |
| Titagarh Wagon Limited (Formerly Titagarh Industries Limited) (March 31, 2025 and March 31, 2024 615 shares of ₹ 10 each)                                           | 0.05                        | 0.17                        |
| <b>Total - quoted investments in equity instruments (a)</b>                                                                                                         | <b>2.14</b>                 | <b>2.45</b>                 |
| <b>b) Investments in mutual funds</b>                                                                                                                               |                             |                             |
| Master Share - Unit Trust of India (March 31, 2025 and March 31, 2024: 2,880 units of ₹ 10 each)                                                                    | 0.02                        | 0.02                        |

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(₹ in Crores)

| Particulars                                                                                                                                                        | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Capital Growth Unit Scheme 1992 (Master Gain 1992)<br>(March 31, 2025 and March 31, 2024: 3,000 unit of ₹ 10 each)                                                 | 0.08                        | 0.07                        |
| <b>Total - quoted investments in mutual funds (b)</b>                                                                                                              | <b>0.09</b>                 | <b>0.09</b>                 |
| <b>(ii) Unquoted investments</b>                                                                                                                                   |                             |                             |
| <b>a) Investments in equity instruments (all fully paid)</b>                                                                                                       |                             |                             |
| Ispat Profiles Limited** (March 31, 2025 and<br>March 31, 2024: 500 shares of ₹ 10 each)                                                                           | 0.00                        | 0.00                        |
| The Burrakur Coal Company Limited (In Liquidation) **<br>(March 31, 2025 and March 31, 2024: 475,300<br>shares of ₹ 10 each)                                       | 0.41                        | 0.41                        |
| The Kinnison Jute Mills Company Limited** (March 31, 2025<br>and March 31, 2024: 25,645 shares of ₹ 100 each)                                                      | 0.27                        | 0.27                        |
| Union Jute Company Limited ** (March 31, 2025 and<br>March 31, 2024: 18,028 shares of ₹ 100 each)                                                                  | -                           | 0.25                        |
| Kumardhubi Fireclay & Silica Works Limited** (March 31, 2025<br>and March 31, 2024: 146,764 shares of ₹ 10 each)                                                   | 0.20                        | 0.20                        |
| Eastern News Paper (Formaly Chora Investment Co. Ltd.)**<br>(March 31, 2025 and March 31, 2024: 83 shares of ₹ 10 each)                                            | 0.00                        | 0.00                        |
| Holman Climax Manufacturing Limited** (March 31, 2025 and<br>March 31, 2024: 123,598 shares of ₹ 10 each)                                                          | -                           | 0.10                        |
| The Karanpura Development Company Limited**<br>(March 31, 2025 and March 31, 2024: 79,850<br>shares of ₹ 10 each)                                                  | 0.06                        | 0.06                        |
| Birds Jute & Exports Limited ** (March 31, 2025 and<br>March 31, 2024: 4,650 shares of ₹ 100 each)                                                                 | 0.05                        | 0.05                        |
| Sijua (Jherriah) Electric Supply Company Limited**<br>(March 31, 2025 and March 31, 2024: 73,232<br>shares of ₹ 10 each)                                           | 0.00                        | 0.05                        |
| Sri Aurobindra Sahayog Samity Limited** (March 31, 2025 and<br>March 31, 2024: 1 share of ₹ 100 each fully paid up)                                                | -                           | -                           |
| Kalinga Cement Limited** (March 31, 2025 and<br>March 31, 2024: 6000 shares of ₹ 100 each fully paid up)                                                           | 0.00                        | -                           |
| East India Minerals Limited** # (March 31, 2025 and<br>March 31, 2024: 2,811,010 shares of ₹ 10 each)                                                              | 2.81                        | 2.81                        |
| <b>Total un-quoted investments in equity shares (a)</b>                                                                                                            | <b>3.80</b>                 | <b>4.20</b>                 |
| <b>b) Investments in preference shares</b>                                                                                                                         |                             |                             |
| 7% Birds Jute & Exports Limited ** (March 31, 2025 and<br>March 31, 2024: 263 shares of ₹ 100 each fully paid up)                                                  | 0.00                        | 0.00                        |
| 5.5% Kumardhubi Fireclay & Silica Works Limited<br>(2 <sup>nd</sup> Preference)** (March 31, 2025 and March 31, 2024:<br>1,260 shares of ₹ 100 each fully paid up) | 0.01                        | 0.01                        |
| 9.5% Kumardhubi Engineering Works Limited**<br>(March 31, 2025 and March 31, 2024: 50 shares of<br>₹ 100 each fully paid up)                                       | 0.00                        | 0.00                        |
| <b>Total un-quoted investments in preference shares (b)</b>                                                                                                        | <b>0.01</b>                 | <b>0.01</b>                 |

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**(₹ in Crores)**

| Particulars                                                                                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>c) Investments in debentures</b>                                                                   |                             |                             |
| 8% Kumardhubi Engineering Works Limited **(March 31, 2025 and March 31, 2024: 58 units of ₹ 500 each) | 0.00                        | 0.00                        |
| <b>Total un-quoted investments in debentures (c)</b>                                                  | <b>0.00</b>                 | <b>0.00</b>                 |
| Aggregate amount of quoted investments and market value thereof                                       | 2.24                        | 2.53                        |
| Aggregate amount of unquoted investments                                                              | 3.82                        | 4.21                        |
| Aggregate amount of impairment in value of investments                                                | (3.82)                      | (4.38)                      |
| <b>Total other investments ( B)</b>                                                                   | <b>2.24</b>                 | <b>2.37</b>                 |
| <b>Total non-current investments [(A)+(B)]</b>                                                        | <b>2.24</b>                 | <b>2.37</b>                 |
| <b>C. Provision for diminution in value of investments</b>                                            | <b>-</b>                    | <b>-</b>                    |
| <b>Total Investments (A+B-C)</b>                                                                      | <b>2.24</b>                 | <b>2.37</b>                 |
| Aggregate book value of quoted investments                                                            | -                           | -                           |
| Aggregate market value of quoted investments                                                          | NA                          | NA                          |
| Aggregate value of unquoted investments                                                               | -                           | -                           |
| Aggregate amount of impairment in value of investments                                                | -                           | -                           |

**Note:**

- 5.1** Investments in Free Press House Limited amounted to ₹ 2280, hence rounded off to zero.
- 5.2** Investments in Anakapalli Rural Elec. Co-operative Society amounted to ₹ 100, hence rounded off to zero.

\*\* Represents investments which have been provided for impairment.

# The Company had entered into a joint venture with M/s Usha (India) Ltd. for managing the assets of M/s East India Minerals Ltd. (EIML). The matter is under dispute and present status of the company and loss if any on account of diminution in value has been provided for. As the JV agreement expired on 04.10.2013, investment on JV has been shown as Other Investment. Investment in Woodland Multi-speciality Hospital Limited and The Sijua (Jherriah) Electric Supply Company Ltd. has also been provided for.

Subsequent to the decision of M/s Power Grid Corporation Ltd., for the closure of M/s RPTPL, RINL Board has accorded approval for closure of M/s RPTPL subject to obtaining approval from Ministry of Steel (MoS). The MoS has accorded approval for closure of M/s RPTPL on 11.07.2022. Consequently, the Company had made necessary provision towards its investment in M/s RPTPL. M/s MECON Ltd, as end to end consultant of the RPTPL Project, is dealing with all the issues related towards closure of the contracts including issues related to Arbitration and conciliation proceedings. Currently, activities related for closure of M/s RPTPL are under progress including conciliatory proceedings which arose during the closure of one of the contracts of M/s RPTPL Project. The conciliator proposed for final settlement of ₹ 72,55,465/- to M/s. SRICO which was agreed to by M/s. SRICO and the same was approved by the Board of M/s RPTPL subject to waiver of 8% interest upto 30.06.2025, which was also agreed to by M/s. SRICO.

Further, based on the fund requirements of RPTPL for closure of Contracts, Board of RPTPL has recommended for subscription of call money of ₹ 2 Crores from JV partners RINL & PGCIL. The Call money letter dated 01<sup>st</sup> July 2025 is issued to both the JV partners for subscription. Call Money of ₹ 2 Crores received from JV Partners in the first week of Aug'2025 by RPTPL. After closure of all contracts

and extinguishing all its assets and liabilities, RPTPL will initiate actions for voluntary winding up to close the company by applying for striking off the company's name from Registrar of Companies, Vijayawada under Section 248(2) of the Companies Act, 2013.

A. The undertakings of the following companies have been taken over by the Government:-

(a) Bird & Company Limited (b) Dishergarh Power Supply Company Limited (Bihar Unit). (c) Kinnison Jute Mills Company Limited. (d) Kumardhubi Engineering Works Limited. (e) Sijua (Jherriah) Electric Supply Company Limited. (f) Union Jute Company Limited.

Compensation receivable by the company in respect of its investments in shares and debentures, as the case may be, in the above companies has not yet been determined. However, investments in Bird & Co. Ltd. in debentures, preference shares and ordinary shares have already been written off. Investment in other companies are fully provided for.

M/s Borrea Coal company limited was liquidated and has been struck off as per Ministry Of corporate affairs website. Accordingly, the value of investment in M/s Borrea Coal Company limited has been written off in the books of accounts of EIL.

**B. Category-wise other investments - as per Ind AS 109 classification** (₹ in Crores)

| Particulars                                                                           | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Financial assets mandatorily carried at fair value through profit or loss (FVTPL)     | 2.24                        | 2.53                        |
| Less: Impairment in the value of investment classified as FVTPL                       | -                           | -                           |
| Net financial assets mandatorily carried at fair value through profit or loss (FVTPL) | 2.24                        | 2.53                        |
| Amortised cost                                                                        | 3.82                        | 4.21                        |
| Less: Impairment classified as amortised cost                                         | (3.82)                      | (4.38)                      |
| <b>Total</b>                                                                          | <b>2.24</b>                 | <b>2.37</b>                 |

**6 Loans**

(Unsecured and considered good unless otherwise stated) (₹ in Crore)

| Particulars                    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------|-----------------------------|-----------------------------|
| <b>6A Non-current loans</b>    |                             |                             |
| Loans to employees             | 0.43                        | 0.70                        |
| Loans to others                | 0.07                        | 0.07                        |
|                                | 0.50                        | 0.77                        |
| Loss allowance                 | (0.07)                      | (0.07)                      |
| <b>Total Non-current loans</b> | <b>0.43</b>                 | <b>0.70</b>                 |
| <b>6B Current loans</b>        |                             |                             |
| Loans to employees             | -                           | -                           |
| Loss allowance                 | -                           | -                           |
| <b>Total Current loans</b>     | <b>-</b>                    | <b>-</b>                    |

**6.1 Particulars of Loans Receivables**

|                                                        |      |      |
|--------------------------------------------------------|------|------|
| - secured and considered good                          | 0.00 | 0.00 |
| - unsecured and considered good                        | 0.43 | 0.70 |
| - loans which have significant increase in credit risk | 0.00 | 0.00 |
| - credit impaired                                      | 0.07 | 0.07 |

|            |                                                                             |     |     |
|------------|-----------------------------------------------------------------------------|-----|-----|
| <b>6.2</b> | Loans due by Directors/officers                                             | Nil | Nil |
| <b>6.3</b> | Loans due by private companies in which director of the Group is a director | Nil | Nil |

**7 Other financial assets** (₹ in Crores)

| Particulars |                                                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------|---------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>7A</b>   | <b>Non Current other financial assets</b>                                                         |                             |                             |
|             | Security deposits                                                                                 | 6.55                        | 6.53                        |
|             | Accrued interest                                                                                  |                             |                             |
|             | Employee loans                                                                                    | 3.43                        | 6.21                        |
|             | Other advances (net of Provision: 2025: ₹ 0.01 Crs, 2024: ₹ 0.01 Crs)                             | 0.08                        | 0.13                        |
|             | <b>Total non-current other financial assets</b>                                                   | <b>10.06</b>                | <b>12.87</b>                |
| <b>7B</b>   | <b>Current other financial assets</b>                                                             |                             |                             |
|             | Current maturities of long term loans:                                                            |                             |                             |
|             | - Employee loans                                                                                  | 0.94                        | 2.66                        |
|             | Accrued interest                                                                                  |                             |                             |
|             | - Term Deposits                                                                                   | 0.80                        | 4.48                        |
|             | - Employee loans                                                                                  | 2.35                        | 3.56                        |
|             | - Others                                                                                          | 12.67                       | 16.05                       |
|             | Security deposits (Refer Note no. 7B.3)                                                           | 465.91                      | 498.87                      |
|             | Claims recoverable from related parties                                                           |                             |                             |
|             | - International Coal Ventures Private Limited (Refer Note no. 7B.2)                               | 0.80                        | 0.39                        |
|             | - Minas De Benga Limitada                                                                         | 18.25                       | 18.25                       |
|             | Claims recoverable (net of Provision: 2025: ₹ 76.08 Crs, 2024: ₹ 82.59 Crs) (Refer Note no. 7B.4) | 76.27                       | 59.89                       |
|             | Derivatives not designated as hedges                                                              | -                           | 13.06                       |
|             | Other receivables (net of Provision: 2025: ₹ 0.51 Crs, 2024: ₹ 0.51 Crs) (Refer Note no. 7B.5)    | 688.57                      | 756.05                      |
|             | <b>Total current other financial assets</b>                                                       | <b>1,266.56</b>             | <b>1,373.25</b>             |

|             |                                                                                |      |      |
|-------------|--------------------------------------------------------------------------------|------|------|
| <b>7B.1</b> | Advances due by Directors/other officers                                       | Nil  | Nil  |
| <b>7B.2</b> | Advances due by private companies in which director of the Group is a director | 0.80 | 0.39 |

**In case of Holding Co.**

|             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>7B.3</b> | ₹ 100.90 crores paid to Chief Electrical Inspector to Govt of AP- under protest in line with Supreme Court interim order towards electricity duty charges.                                                                                                                                                                                                                                                                                                                                                             |
| <b>7B.4</b> | The Company has claimed an amount of ₹ 275.76 crores towards property damages and Business loss caused by Hudhud Cyclone. The Surveyor recommended an amount of ₹ 170.59 crores and the same was considered by the insurance company. This has been duly accounted till FY 2018-19. In addition to the adhoc payment of ₹ 140.00 crores, the insurance company has released ₹12.48 crores in October'2019 as final settlement of claim leaving balance of ₹ 18.11 crores receivable as per recommendation of Surveyor. |

The Company has not agreed with the settlement made by the insurance company and preferred to settle the differences through conciliatory mechanism. The same was informed to the insurance company. Accordingly, Conciliatory Forum was formed and several rounds of meetings were held. In the concluding meeting held on 12<sup>th</sup> July 2021, it was determined that the conciliation process between parties failed. As per clause 28 of NIT, on failure of conciliation, the issues are to be settled through arbitration. An opinion of the legal expert was obtained, wherein it was stated that the Company has credible ground to assert its claim in arbitration.

Since both RINL & NIA are Public sector enterprises, the dispute needs to be settled through Administrative Mechanism for Resolution of Commercial Disputes (AMRCD) through concerned Ministries. The matter was put up to High Power Committee through Law Department for deciding on the issue of going for Arbitration (AMRCD) or not. High Power Committee in its meeting convened on 12.08.2022 recommended to initiate for resolution of dispute as per procedure laid down under AMRCD mechanism.

In furtherance of the above, an application for arbitration was referred to the Ministry of Steel vide letter dated 25.08.2022 for initiating arbitration process under AMRCD process. The process of arbitration under AMRCD will henceforth be taken care by Ministry of Steel under AMRCD process. The matter is under process with Ministry of Steel.

#### 7B.5 This includes

- an amount of ₹ 6.39 crores (As on 31.03.2024 :- ₹ 746.45 crores ) receivable from Modern Coach Factory (MCF), Raebareli on account of Slump Sale of FWP (Refer note no: 58 B).
- an amount of ₹ 593.23 crores (As on 31.03.2024 :- Nil) receivable from NMDC towards lease of land. (Refer note no: 58D)
- an amount of ₹ 23.36 crores (As on 31.03.2024 :- Nil) receivable from PGCIL towards lease of land

## 8 Deferred tax Asset/ Liabilities (net)

### 8A Reconciliation of effective tax rate

(₹ in Crores)

| Particulars                                                                                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Profit before tax</b>                                                                                             | <b>(5,081.95)</b>           | <b>(5,228.39)</b>           |
| Tax using the Group's domestic tax rate[Current year 31.2% (Subsidiary 26%) and Previous Year 31.2%(Subsidiary 26%)] | (1,575.99)                  | (1,636.35)                  |
| Reduction in tax rate                                                                                                | -                           | -                           |
| <b>Tax effect of:</b>                                                                                                |                             |                             |
| Non-deductible tax expenses                                                                                          | 20.95                       | -                           |
| Income not credited to SOPL                                                                                          | 2.48                        | 2.07                        |
| Income exempt/Expenses deductible from income taxes                                                                  | (83.88)                     | (32.51)                     |
| (Recognition)/Non-recognition of Tax losses                                                                          | (1,942.12)                  | 1,253.95                    |
| Earlier years effect                                                                                                 | (206.94)                    | -                           |
| MAT Credit Reversal                                                                                                  | 108.38                      | -                           |
| Others                                                                                                               | 27.74                       | 35.05                       |
|                                                                                                                      | <b>(3,649.38)</b>           | <b>(377.79)</b>             |



**8B Recognised deferred tax assets and liabilities**
**(₹ in Crores)**

| Particulars                                                                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Deferred tax liabilities</b>                                                 |                             |                             |
| Property, Plant and equipment and intangible assets                             | 3,244.79                    | 3,388.71                    |
| Others                                                                          | 0.46                        | 0.48                        |
| <b>Total deferred tax liabilities (A)</b>                                       | <b>3,245.25</b>             | <b>3,389.20</b>             |
| <b>Deferred tax assets</b>                                                      |                             |                             |
| Provision for Gratuity and other Employee benefits                              | 378.31                      | 277.45                      |
| Provision for Doubtful Debts, Advances, Claims, interest, others                | 237.12                      | 229.98                      |
| Deffered Income - PPE                                                           | 30.00                       | 31.93                       |
| MAT Credit Entitlement                                                          | 2.95                        | 112.65                      |
| Losses available for offsetting future Taxable income                           | 9,141.73                    | 5,593.66                    |
| Tax impact on remeasurement gain/(loss) arising from defined benefit obligation | 0.23                        | 0.22                        |
| Others                                                                          | 18.00                       | 19.90                       |
| <b>Total deferred tax assets (B)</b>                                            | <b>9,808.34</b>             | <b>6,265.79</b>             |
| <b>Net Deferred Tax Liability/ (Asset) (A-B)</b>                                | <b>(6,563.09)</b>           | <b>(2,876.60)</b>           |

**In case of Holding Co.,**

**8C** The company has recognised Deferred Tax Asset to the extent of ₹ 821 crores on ₹ 2,631 crores of unabsorbed business losses only out of the total available unabsorbed business losses of ₹ 9,558.33 crores as at the end of FY 2023-24. Thus, the company did not recognise DTA on the unabsorbed business losses to the extent of ₹ 6,927.33 crores (i.e., ₹ 9,558.33 crores – ₹ 2,631.00 crores) based on the assessment of adjustability of tax losses against future profits as at 31.03.2024. As on 31.03.2025, the total available unabsorbed business losses have increased to ₹ 12,620.44 crores. Thus, the amount of unrecognised portion of total available unabsorbed business losses as on 31.03.2025 has increased from ₹ 6,927.33 crores to ₹ 9,989.44 crores (i.e., ₹ 12,620.44 crores – ₹ 2,631.00 crores).

As at the reporting date for financial year 2024-25, the company has reviewed, both recognised and unrecognised portion, of the Deferred Tax Assets after consideration of the revival package approved by the Govt. of India and various remedial measures undertaken by the company to revive the company. Consequently, the company has recognised Deferred Tax Asset of ₹ 3,116.70 crs (31.2% on ₹ 9,989.44 crs) on the unabsorbed business losses (unrecognised portion) accumulated upto FY 2024-25, based on the forecast taxable business income expected to be available for set off over the eight immediate financial years following the FY 2024-25.

Further, based on the review of deferred tax assets, MAT credit entitlement of ₹ 108.38 crs has been de-recognised as at the reporting date i.e., 31.03.2025.

As a result of the revival package of ₹ 11,440 crores approved by the Govt. of India during the FY 2024-25 and various remedial measures undertaken, the company believes that some of the major identifiable causes leading to losses in the recent past are not expected to recur. The remedial measures undertaken include: ♣ Repayment of working capital loans to reduce the interest cost, ♣ Implementation of VRS to reduce employee benefit cost, ♣ Maximum utilisation of installed capacity, ♣ Improvement of productivity and cost competitiveness, and ♣ Reduction of fixed administrative overheads etc.

Due to the above stated interventions, the company has started earning positive EBIDTA since December-2024. In due course, with the planned operationalization of Blast Furnace 3 by June/July 2025, the capacity utilisation is expected to improve significantly and would contribute to improved financial performance.

Based on the above developments, the company is optimistic about financial performance in future owing to anticipated improvement in trading conditions. Hence, the company expects that the company will have sufficient taxable business income in future against which these unused tax losses can be set off before they expire.

## 9 Other non-current assets

(₹ in Crores)

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| Capital advances                                                 | 418.17                      | 415.85                      |
| Advances with public bodies                                      | 0.58                        | -                           |
| Advance to vendors                                               | -                           | 0.00                        |
| <b>Others</b>                                                    |                             |                             |
| Prepaid expenses (Refer Note no. 9.3)                            |                             |                             |
| Employee loan                                                    | 0.05                        | 0.58                        |
| <b>Total</b>                                                     | <b>418.80</b>               | <b>416.43</b>               |
| <b>Less: Allowance for bad and doubtful non financial assets</b> |                             |                             |
| Capital advances                                                 | (0.48)                      | (0.48)                      |
| Advance with public bodies                                       | (0.58)                      | -                           |
| <b>Total</b>                                                     | <b>417.73</b>               | <b>415.95</b>               |

9.1 Advances due by Directors/other officers

Nil

Nil

9.2 Advances due by private companies in which director of the Group is a director

Nil

Nil

### In case of Holding Co.

9.3 Prepaid expenses is on account of fair valuation as per IND AS 109 which will be amortised as per the amortisation schedule.

## 10 Inventories

(₹ in Crores)

| Particulars                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------|-----------------------------|-----------------------------|
| <b>Raw materials</b>                                | 1,814.48                    | 983.67                      |
| Add: In-transit/ Under inspection                   | 1,490.14                    | 1,815.18                    |
| Less: Provision for shortages                       | 722.58                      | 705.54                      |
|                                                     | <b>2,582.04</b>             | <b>2,093.31</b>             |
| Semi-finished/finished goods                        | 2,272.98                    | 2,334.25                    |
| Add: In-transit/ Under inspection                   | 9.13                        | 97.61                       |
|                                                     | <b>2,282.11</b>             | <b>2,431.86</b>             |
| Stores and spares                                   | 804.33                      | 799.95                      |
| Add: In-transit/ Under inspection                   | 4.85                        | 25.21                       |
| Less: Provision for obsolescence & Non-moving items | 65.46                       | 52.13                       |
|                                                     | <b>743.72</b>               | <b>773.03</b>               |
| <b>Total</b>                                        | <b>5,607.87</b>             | <b>5,298.20</b>             |

**Note: Valuation of inventories**
**In case of Holding Co.**

- 10.1** Quantities of closing Stock of finished / semi-finished goods/Raw materials have been adopted as per book balances after duly adjusting for shortages/ excesses identified on physical verification at anytime during the year.
- 10.2** Finished / Semi-finished / Coke and Other by products are valued at lower of Cost and NRV.
- 10.3** The basis of cost of the following By-Products is as below:

|                                                                          |                                                                                    |
|--------------------------------------------------------------------------|------------------------------------------------------------------------------------|
| a) Production Related Steel Scraps                                       | 90% of the lower of cost or domestic NRV of Pig Iron.                              |
| b) Quality Control Steel Scrap & Scrapped Semis for Internal Consumption | At their respective cost.                                                          |
| c) Production Related Iron Scraps                                        | 75% of the lower of cost or domestic NRV of Pig Iron.                              |
| d) Nut Coke                                                              | 90% of the production cost of the BF Coke.                                         |
| e) Coke Breeze                                                           | 60% of the production cost of the BF Coke.                                         |
| f) Coke Dust/ Sludge                                                     | 40% of the production cost of the BF Coke.                                         |
| g) Metallurgical waste                                                   | Average procurement cost of Iron Ore Fines with due adjustment for its Fe Content. |

- 10.4** Capital inventory of ₹ 3.50 Crores ( As on 31<sup>st</sup> March 2024 : ₹ 3.61 Crores) lying at different construction zones/ with contractors on the reporting date are included in CWIP (Refer Note No. 3H.1).
- 10.5** The stock of production related iron scrap and steel scrap has been considered in the accounts on the basis of visual survey / estimates.
- 10.6** The above inventories have been pledged as security against certain bank borrowings, details relating to which has been described in note 18.
- 10.7** The amount of write down of inventories recognised as expense during FY 2024-25 is ₹ 108.84 Crores (FY 2023-24 : ₹ 93.90 Crores)
- 10.8** Value of the inventories that are recognised as an expenses during the year is included in Changes in inventory of finished goods and work-in-progress.
- 10.9** As per the material accounting policy no. 2.6.8.2, Iron scrap and Steel scrap are to be valued at 75% and 90% respectively of the lower of cost or domestic net realisable value of pig iron.

During the FY 2024-25, the company did not produce pig iron. Hence, an alternate basis was required in this regard which shall also be as close as possible to the existing accounting policy of the company.

The calculation of cost of production of Pig Iron was arrived as the sum of the following:

- cost of hot metal produced in BF, and
- Incremental cost for conversion of hot metal into pig iron.

Since pig iron was not produced during the FY 2024-25, incremental cost for conversion of hot metal into pig iron was not available as per the cost sheet for the FY 2024-25. Under these circumstances,

'average incremental cost for conversion of hot metal into pig iron' for immediately preceding three normal years was taken to be the cost of average incremental cost for conversion of hot metal into pig iron for the FY 2024-25.

### In Case of OMDC

- OMDC was operating the BPMEL Mines upto 2010 and extracted the minerals under the Power of Attorney. OMDC is the beneficial owner of the leases. The right of the leases in the name of OMDC is continuously being contested. The case of BPMEL with OMDC is subjudice. Hence, the stock lying in the area of Kolha Roida, Thakurani and Dalki of BPMEL (which is under liquidation) have been valued at ₹ 1.00 by OMDC and taken into its books of accounts.
- Similarly, in case of Thakurani and Belkund mines the book stock of Iron ore is 1,77,337.33 Mt whereas the corresponding i3MS (Govt Portal) record the quantity is 1,64,818.30 MT. Difference is due to sudden stoppage of mining activity in the both mines resulting non-updation of i3MS portal.
- At Bhadrasai mines, iron ore of 65,188.03 Mt was reported by independent physical verifier with Fe content of below 58% which is not reflected in the Govt. portal i.e. i3MS. Further, since the above mentioned material can not be sold by OMDC the valuation for the same is taken as nil.
- Physical verification of Iron Ore at Thakurani mines and Railway Siding-1 was conducted by an external verifier and found to be 122670.45Mt against book stock 122083.72 Mt with difference of 586.73Mt. Physical stock of Iron Ore at Railway siding-2 could not be verified as materials are lying scattered and buried under platform and tracks. The book balance of such material at Railway siding-2 was brought forward from earlier years at 16998.14Mt. The entire book stock of 139081.86Mt (Thakurani mines+Railway Siding-1&2) was valued at ₹ 1,39,081.86 (i.e. Re1/Mt). The difference in book stock of 139081.86 Mt (Thakurani mines+Railway Siding-1&2) against i3MS stock of 142828.62Mt by 3746.76Mt which was lost due to spillage and wastage at non-operational mines since Dec'2009 and same was also not considered for valuation.
- Valuation of Inventory has been made based on Average Sales Price published by IBM and cost price which ever is lower on book stock.
- Raw material stock (coal & dolomite) located at Sponge Iron Plant (closed since the year 2010) has been valued at cost amounting to ₹ 47.41 Lakhs. Quantity of coal & dolomite is 2764.768Mt and 8.790Mt respectively with correspondig value of ₹ 47.18 lakhs and ₹ 0.23 Lakhs. Physical verification of these raw material has been done by an independent verifier (both quality & quantity) and no difference was observed.

### 11A Trade receivables - Non Current

(₹ in Crores)

| Particulars                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------|-----------------------------|-----------------------------|
| Trade Receivables considered good - Unsecured | 0.01                        | 0.01                        |
| Trade Recievables Credit impaired             | 2.16                        | 2.16                        |
| Less: Allowance for Doubtful Debts            | (2.16)                      | (2.16)                      |
| <b>Total</b>                                  | <b>0.01</b>                 | <b>0.01</b>                 |

**Trade Receivables Aging Schedule as on 31.03.2025 - Non Current**
**(₹ in Crores)**

| Particulars                                                                        | Outstanding for following periods from due date of payment |                    |                  |          |          |                  | Total       |
|------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------|------------------|----------|----------|------------------|-------------|
|                                                                                    | Not Due                                                    | Less than 6 months | 6 months- 1 year | 1-2 yrs. | 2-3 yrs. | More than 3 yrs. |             |
| (i) Undisputed Trade receivables – considered good                                 | -                                                          | -                  | -                | -        | -        | 0.01             | 0.01        |
| (ii) Undisputed Trade Receivables – which have significant increase in credit risk | -                                                          | -                  | -                | -        | -        | -                | -           |
| (iii) Undisputed Trade Receivables – credit impaired                               | -                                                          | -                  | -                | -        | -        | 2.16             | 2.16        |
| (iv) Disputed Trade Receivables – considered good                                  | -                                                          | -                  | -                | -        | -        | -                | -           |
| (v) Disputed Trade Receivables – which have significant increase in credit risk    | -                                                          | -                  | -                | -        | -        | -                | -           |
| (vi) Disputed Trade Receivables – credit impaired                                  | -                                                          | -                  | -                | -        | -        | -                | -           |
| <b>Total</b>                                                                       | -                                                          | -                  | -                | -        | -        | <b>2.17</b>      | <b>2.17</b> |

**Trade Receivables Aging Schedule as on 31.03.2024 - Non Current**
**(₹ in Crores)**

| Particulars                                                                        | Outstanding for following periods from due date of payment |                    |                  |          |          |                  | Total       |
|------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------|------------------|----------|----------|------------------|-------------|
|                                                                                    | Not Due                                                    | Less than 6 months | 6 months- 1 year | 1-2 yrs. | 2-3 yrs. | More than 3 yrs. |             |
| (i) Undisputed Trade receivables – considered good                                 | -                                                          | -                  | -                | -        | -        | 0.01             | 0.01        |
| (ii) Undisputed Trade Receivables – which have significant increase in credit risk | -                                                          | -                  | -                | -        | -        | -                | -           |
| (iii) Undisputed Trade Receivables – credit impaired                               | -                                                          | -                  | -                | -        | -        | 2.16             | 2.16        |
| (iv) Disputed Trade Receivables – considered good                                  | -                                                          | -                  | -                | -        | -        | -                | -           |
| (v) Disputed Trade Receivables – which have significant increase in credit risk    | -                                                          | -                  | -                | -        | -        | -                | -           |
| (vi) Disputed Trade Receivables – credit impaired                                  | -                                                          | -                  | -                | -        | -        | -                | -           |
| <b>Total</b>                                                                       | -                                                          | -                  | -                | -        | -        | <b>2.17</b>      | <b>2.17</b> |

**11B Trade receivables - Current**
**(₹ in Crores)**

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| Trade Receivables considered good - Secured                      |                             |                             |
| Trade Receivables considered good - Unsecured                    | 266.49                      | 231.32                      |
| Trade Receivables which have significant increase in Credit risk |                             |                             |
| Trade Receivables Credit impaired                                | 24.78                       | 24.78                       |
| Less: Allowance for Doubtful Debts                               | (25.62)                     | (25.62)                     |
| <b>Total</b>                                                     | <b>265.65</b>               | <b>230.48</b>               |

**Note:**

- 11.1 Debts due by Directors/other officers -
- 11.2 Debts due by private companies in which director of the Group is a director -
- 11.3 The Group's exposure to credit and currency risks, and loss allowances related to trade receivables are disclosed in Note 51.

**Trade Receivables Aging Schedule as on 31.03.2025 - Current**
**(₹ in Crores)**

| Particulars                                                                        | Outstanding for following periods from due date of payment |                    |                  |             |             |                  | Total         |
|------------------------------------------------------------------------------------|------------------------------------------------------------|--------------------|------------------|-------------|-------------|------------------|---------------|
|                                                                                    | Not Due                                                    | Less than 6 months | 6 months- 1 year | 1-2 yrs.    | 2-3 yrs.    | More than 3 yrs. |               |
| (i) Undisputed Trade receivables – considered good                                 | 167.50                                                     | 62.82              | 35.12            | 0.00        | 0.16        | 0.05             | 265.64        |
| (ii) Undisputed Trade Receivables – which have significant increase in credit risk | -                                                          | -                  | -                | -           | -           | -                | -             |
| (iii) Undisputed Trade Receivables – credit impaired                               | -                                                          | -                  | 6.80             | 0.17        | 0.43        | 11.51            | 18.91         |
| (iv) Disputed Trade Receivables – considered good                                  | -                                                          | -                  | -                | -           | -           | -                | -             |
| (v) Disputed Trade Receivables – which have significant increase in credit risk    | -                                                          | -                  | -                | -           | -           | -                | -             |
| (vi) Disputed Trade Receivables – credit impaired                                  | -                                                          | -                  | -                | -           | -           | 6.72             | 6.72          |
| <b>Total</b>                                                                       | <b>167.50</b>                                              | <b>62.82</b>       | <b>41.92</b>     | <b>0.17</b> | <b>0.59</b> | <b>18.28</b>     | <b>291.27</b> |

**Trade Receivables Aging Schedule as on 31.03.2024 - Current**
**(₹ in Crores)**

| Particulars                                        | Outstanding for following periods from due date of payment |                    |                  |          |          |                  | Total  |
|----------------------------------------------------|------------------------------------------------------------|--------------------|------------------|----------|----------|------------------|--------|
|                                                    | Not Due                                                    | Less than 6 months | 6 months- 1 year | 1-2 yrs. | 2-3 yrs. | More than 3 yrs. |        |
| (i) Undisputed Trade receivables – considered good | 178.19                                                     | 51.01              | 0.27             | 0.27     | 0.11     | 0.62             | 230.47 |



|                                                                                    |               |              |             |             |             |              |               |
|------------------------------------------------------------------------------------|---------------|--------------|-------------|-------------|-------------|--------------|---------------|
| (ii) Undisputed Trade Receivables – which have significant increase in credit risk | -             | -            | -           | -           | -           | -            | -             |
| (iii) Undisputed Trade Receivables – credit impaired                               | -             | 5.93         | 0.59        | 0.44        | 0.50        | 11.12        | 18.58         |
| (iv) Disputed Trade Receivables – considered good                                  | -             | -            | -           | -           | -           | -            | -             |
| (v) Disputed Trade Receivables – which have significant increase in credit risk    | -             | -            | -           | -           | -           | -            | -             |
| (vi) Disputed Trade Receivables – credit impaired                                  | -             | -            | -           | -           | -           | 7.05         | 7.05          |
| <b>Total</b>                                                                       | <b>178.19</b> | <b>56.94</b> | <b>0.86</b> | <b>0.71</b> | <b>0.61</b> | <b>18.79</b> | <b>256.10</b> |

### In the Case of BSLC

The Company has used a practical approach by computing the expected credit loss allowance for trade receivable on a case to case basis. The Company makes provision for allowances based on the industrial credit loss experience and adjusted for forward looking information on a case to case basis. The amount of provision that has been recognised as allowance for doubtful trade receivables (expected credit loss allowance) represents the cases where the amount has become due over the credit period and due to the dispute with customer it has become uncertain that when the amount will be collected.

### 12A Cash and cash equivalents

(₹ in Crores)

| Particulars                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------|-----------------------------|-----------------------------|
| Cheques in hand                           | -                           | 0.11                        |
| Cash on hand                              | 0.02                        | 0.02                        |
| Balance with banks :<br>- Current account | 68.56                       | 27.96                       |
| <b>Total</b>                              | <b>68.57</b>                | <b>28.09</b>                |

### 12B Balances with banks other than Cash and cash equivalents

(₹ in Crores)

| Particulars                                                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Earmarked Balances with banks :<br>- Prime Minister's Trophy Award Fund                                | 8.85                        | 8.21                        |
| - Earmarked Balance with scheduled banks (includes deposits of unpaid dividend) (Refer Note no. 12B.1) | 0.16                        | 20.21                       |
| Balance with banks :<br>- Deposits                                                                     | 249.58                      | 20.88                       |
| - Balance with banks against guarantees and other commitments                                          | 0.31                        | 0.31                        |
| <b>Total</b>                                                                                           | <b>258.90</b>               | <b>49.61</b>                |

### In Case of OMDC

**12B.1** Earmarked balance with Scheduled Bank other than cash and cash equivalent of The Orissa Minerals Development Company Limited represents amount deposited in scheduled banks towards unpaid dividends.

**13 Other tax assets (net)**
**(₹ in Crores)**

| Particulars |                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------|------------------------------|-----------------------------|-----------------------------|
| 13A         | <b>Other tax assets</b>      |                             |                             |
|             | Advance income tax           | 50.23                       | 47.56                       |
|             | <b>Total</b>                 | <b>50.23</b>                | <b>47.56</b>                |
| 13B         | <b>Other tax liabilities</b> |                             |                             |
|             | Income tax payable           | 1.76                        | 0.56                        |
|             | <b>Total</b>                 | <b>1.76</b>                 | <b>0.56</b>                 |

**14. Other current assets**
**(₹ in Crores)**

| Particulars                                          | 31 <sup>st</sup> March 2025 |               | 31 <sup>st</sup> March 2024 |               |
|------------------------------------------------------|-----------------------------|---------------|-----------------------------|---------------|
| <b>Advances other than capital advances</b>          |                             |               |                             |               |
| - Government departments                             | 317.22                      | 317.08        | 361.62                      | 361.48        |
| Less: Provision for doubtful advances                | 0.14                        |               | 0.14                        |               |
| - Contractors                                        | 0.92                        | 0.54          | 0.87                        | 0.49          |
| Less: Provision for doubtful advances                | 0.38                        |               | 0.38                        |               |
| - Suppliers                                          | 368.47                      | 363.52        | 117.93                      | 112.38        |
| Less: Provision for doubtful advances                | 4.95                        |               | 5.55                        |               |
| - Employees                                          | 24.42                       | 24.41         | 27.34                       | 27.33         |
| Less: Provision for doubtful advances                | 0.01                        |               | 0.01                        |               |
| - Others (Refer Note no. 14.4)                       | 103.16                      | 94.72         | 88.43                       | 80.54         |
| Less: Provision for doubtful advances                | 8.45                        |               | 7.89                        |               |
| Others                                               |                             | 0.06          |                             | 1.14          |
| - Prepaid expenses                                   |                             |               |                             |               |
| Employee loan (Refer Note no. 14.3 & 14.5)           |                             | 28.83         |                             | 31.00         |
| Others                                               |                             |               |                             |               |
| - Export benefits receivable                         | 0.31                        | -             | 2.19                        | -             |
| Less :- Provision against Export benefits receivable | 0.31                        |               | 2.19                        |               |
| Others (Refer Note no.14.6)                          |                             | 20.11         |                             | 16.49         |
| <b>Total</b>                                         |                             | <b>849.27</b> |                             | <b>630.85</b> |

- 14.1** Advances due by Directors/ officers - -
- 14.2** Advances due by private companies in which director of the Group is a director - -
- 14.3** Prepaid expenses is on account of fair valuation as per IND AS 109 which will be amortised as per the amortisation schedule. (In case of Holding Co.)

**In Case of OMDC:**

- 14.4** Other Advances of ₹ 30.18 Crores includes Royalty Advance of ₹ 1.53 Crores, Advance to others of ₹ 1.49 Crores, payment of advance with protest amounting ₹ 27.15 Crores to DDM, Joda against compensation of excess mining for BPMEL Leases as per the Order of Supreme Court dated 02.08.2017. OMDC was operating the BPMEL Mines upto 2010 and extracted the minerals under the Power of Attorney. OMDC is the beneficial owner of the leases. The right of the leases in the name of OMDC is continuously being contested. The issue of BPMEL Leases is subjudice. Pending finality of the case in the Court of Law of BPMEL Mines (which is a liquidated company), in the Court of Law, the payment made under protest on behalf of BPMEL Mines of ₹ 27.15 Crores is shown under advance and provision was created for an equivalent amount in the books of account.

- 14.5** Prepaid expenses towards employee loans represents difference amount between actual interest charge from employee and notional interest at a Standard Rate of 9.25% for Motor Vehicle Loan and 8.55% for House Building Advances. The said amount is being ammortised over the period of loan amount.

**In Case of BSLC:**

- 14.6** Others under current includes Royalty on mineral of ₹ 3.04 (P.Y ₹ 1.84) Crores represents the balance of the excess payments being the differential amount of Royalty deposited between the permission quantity applied for and actual quantity despatched over a period of years .Whole of the above amount is either refundable or adjustable against future Royalty payments.

**15 Assets classified held for sale**

(₹ in Crores)

| Particulars                                             | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------------|-----------------------------|-----------------------------|
| Property, plant and equipment<br>Carrying amount        | 4.11                        | 6.75                        |
| Less: Provision for impairment for assets held for sale | 0.11                        | 0.11                        |
| <b>Net assets held for sale</b>                         | <b>4.00</b>                 | <b>6.64</b>                 |

(In case of Holding Co.,)

**15.1 Asset held for Sale:**

**Status on Monetization of Non-core assets of RINL located in Visakhapatnam**

- i. DIPAM conveyed in-principle approval of Alternate Mechanism to MoS for sale of approximately 24 Acres of Non-core surplus freehold land located in Visakhapatnam which were owned by RINL. The job of Monetisation was entrusted by Alternative Mechanism (AM) / Inter Ministerial Group (IMG) to M/s NLMC. M/s NLMC has engaged M/s NBCC as Technical-cum-Transaction advisor for Monetisation of non-core assets of RINL. M/s NBCC has engaged M/s RAILTEL as Auctioning agency for conducting online e-auction for sale of said non-core assets of RINL. It was decided to take up monetization of the said assets in two phases at reserve price of ₹ 916 Crs.

The details of assets approved for sale are as follows:

| Location of Property       | Extent of land in acre                          | Purchased from   |
|----------------------------|-------------------------------------------------|------------------|
| a) HB Colony, Maddilapalem | 22.90 (591 house plots including 3 pump houses) | AP Housing Board |
| b) Autonagar               | 2.0 acre(76 houses)                             | APIIC            |
| c) Pedagantyada            | 434.75 Sq. Yds (8 LIG)                          | AP Housing Board |
| <b>Total</b>               | <b>24.99 acres</b>                              |                  |

- ii. Accordingly, Monetization has been taken up in phases-I (Auction was held in March'2024). The status w.r.t. 1<sup>st</sup> phase of auction are as follows:

| Description                                       | Extent (in acres) | Reserve Price given by consultant (in ₹ Cr) | Amount quoted / received in auction (in ₹ Cr) |
|---------------------------------------------------|-------------------|---------------------------------------------|-----------------------------------------------|
| Offered for auction (130 Plots / Blocks)          | 13.90             | 480.89                                      | -                                             |
| Auctioned (72 Plots / Blocks)                     | 6.05              | 209.50                                      | 242.90                                        |
| Payments Received/ Registered (66 Plots / Blocks) | 5.67              | 193.65                                      | 225.36                                        |
| Forfeiture of bids (5 Plots / Blocks)             | 0.38              | 14.59                                       | 1.64                                          |
| <b>Total Amount Received</b>                      |                   |                                             | <b>227.00</b>                                 |
| Pending in Court (1 Plot; LIG 220)                | 0.034             | 1.26                                        | 0.23                                          |

- iii. Further, M/s NLMC was requested to make arrangements for 2<sup>nd</sup> phase of auction in consultation with other stake holders. The details of 2<sup>nd</sup> phase are as follows:

| Description                    | Extent<br>(in acres) | Reserve Price<br>given by<br>consultant (in ₹ Cr) | Amount quoted /<br>received in<br>auction (in ₹ Cr) |
|--------------------------------|----------------------|---------------------------------------------------|-----------------------------------------------------|
| As per initial plan            | 18.95                | 730                                               | -                                                   |
| Leftover in the first phase    | 0.38                 | *                                                 | -                                                   |
| Area to be offered for auction | 19.33                | *                                                 | -                                                   |

\* yet to be provided by the Valuation Agency

#### (In case of BSLC)

The Bisra Stone Lime Company Limited intends to dispose off the property, plant and equipment no longer to be utilised in the next 12 months. The Company does not expect any value on sale, hence the provision has been made for the carrying amount of the asset.

#### 16. Share Capital

(₹ in Crores)

| Particulars                                                                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Authorised</b>                                                                                                      |                             |                             |
| 36,890,000,000 (31 <sup>st</sup> March 2024: 4,890,000,000) equity shares of ₹ 10 each                                 | 36,890.00                   | 4,890.00                    |
| 3,110,000,000 (31 <sup>st</sup> March 2024: 3,110,000,000) 7% non-cumulative redeemable preference shares of ₹ 10 each | 3,110.00                    | 3,110.00                    |
|                                                                                                                        | <b>40,000.00</b>            | <b>8,000.00</b>             |
| <b>Issued, subscribed and paid-up capital</b>                                                                          |                             |                             |
| 5,389,846,200 (31 <sup>st</sup> March 2024: 4,889,846,200) Equity Shares of ₹ 10 each.                                 | 5,389.85                    | 4,889.85                    |
| <b>Total</b>                                                                                                           | <b>5,389.85</b>             | <b>4,889.85</b>             |

#### (i) Reconciliation of the number of equity shares outstanding at the beginning and at the end of the reporting year:

| Particulars                                        | 31 <sup>st</sup> March 2025 |                     | 31 <sup>st</sup> March 2024 |                     |
|----------------------------------------------------|-----------------------------|---------------------|-----------------------------|---------------------|
|                                                    | No. of shares               | Amount (₹ in crore) | No. of shares               | Amount (₹ in crore) |
| Shares outstanding at the commencement of the year | 4,88,98,46,200              | 4,889.85            | 4,88,98,46,200              | 4,889.85            |
| Shares issued during the year                      | 50,00,00,000                | 500.00              | -                           | -                   |
| <b>Shares outstanding at the end of the year</b>   | <b>5,38,98,46,200</b>       | <b>5,389.85</b>     | <b>4,88,98,46,200</b>       | <b>4,889.85</b>     |

#### Terms and rights attached to equity shares

The Holding Company has only one class of shares referred to as equity shares having a par value of ₹ 10 each. Each holder of the equity share, as reflected in the records of the Holding Company as of the date of the shareholder meeting, is entitled to one vote in respect of each share held for all matters submitted to vote in the shareholder meeting. The Holding Company declares and pays dividends in Indian rupees. The Holding Company may declare dividend in the Annual General Meeting as recommended by the Board of Directors.

In the event of liquidation of the Holding Company, the holders of equity shares will be entitled to receive any of the remaining assets of the Holding Company after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

**(ii) Particulars of shareholders holding more than 5% of total number of equity shares**

| Particulars                                                        | 31 <sup>st</sup> March 2025 |              | 31 <sup>st</sup> March 2024 |              |
|--------------------------------------------------------------------|-----------------------------|--------------|-----------------------------|--------------|
|                                                                    | No. of shares               | % of holding | No. of shares               | % of holding |
| Equity shares of ₹ 10 each, fully paid up held President of India* | 5,38,98,46,200              | 100%         | 4,88,98,46,200              | 100%         |

\* includes 800 shares held by CMD and Directors appointed by the Govt. of India

**(iii) Particulars of shares held by Promoters**

| Promoter Name      | 31 <sup>st</sup> March 2025 |                   |                            | 31 <sup>st</sup> March 2024 |                   |                            |
|--------------------|-----------------------------|-------------------|----------------------------|-----------------------------|-------------------|----------------------------|
|                    | No. of shares               | % of Total Shares | % change during FY 2024-25 | No. of Shares               | % of Total Shares | % change during FY 2023-24 |
| President of India | 5,38,98,46,200              | 100               | NIL                        | 4,88,98,46,200              | 100               | NIL                        |

(iv) Holding Company does not have any holding company as at 31<sup>st</sup> March 2025/ 31<sup>st</sup> March 2024

(v) For the period of five years immediately preceeding the reporting date -

- The Holding Company has not allotted any shares for consideration other than for cash.
- The Holding Company has neither issued bonus shares nor has bought back any shares

**Increase of Authorised Share Capital to ₹ 40,000 crores:**

The authorised share capital of the company as at 31<sup>st</sup> March, 2024 is ₹ 8,000 crores (Rupees Eight Thousand Crores) divided into 489,00,00,000 (Four Hundred Eighty Nine Crores) equity shares of ₹ 10/- each and 311,00,00,000 (Three Hundred Eleven Crores) preference shares of ₹ 10/- each.

Vide 363<sup>rd</sup> meeting of the Board held on 16<sup>th</sup> September, 2024, the Board has resolved to recommend for approval of the members of the company a proposal to increase the authorised share capital of the company from ₹ 4,890 crores divided into 489,00,00,000 equity shares of ₹ 10/- each to ₹ 11890 crores divided into 1189,00,00,000 equity shares of ₹ 10/- each by further creation of ₹ 7,000 crores divided into 700,00,00,000 equity shares of ₹ 10/- each, thereby enhancing the authorised share capital to ₹ 15,000 crores. The recommendation of the Board was passed by 14<sup>th</sup> EGM of the members of RINL held on 18<sup>th</sup> September, 2024.

Subsequently, vide EGM held on 6<sup>th</sup> March 2025, the consent of the members was accorded to increase the authorised share capital of the company from ₹ 15,000 crores (Rupees Fifteen Thousand Crores) divided into 1189,00,00,000 equity shares of ₹ 10/- each and 311,00,00,000 preference shares of ₹ 10/- each to ₹ 40,000 crores (Rupees Forty Thousand Crores) divided into 3689,00,00,000 equity shares of ₹ 10/- each and 311,00,00,000 preference shares of ₹ 10/- each.

Necessary filings before RoC have been completed and amendments to Memorandum of Association and Articles of Association have been carried out with the approval of competent authority.

**Issue of Equity Share Capital as a part of Revival Package approved by CCEA:**

**₹ 500 crores:** During the year, in pursuance of the Board resolution passed in its 364<sup>th</sup> meeting held on 18<sup>th</sup> September, 2024, 50,00,00,000 (Fifty Crores) equity shares of ₹ 10/- each at a price of ₹ 10/- each on rights basis amounting to ₹ 500 crores were allotted on 28.10.2024 to the existing shareholders of the Company in the same proportion as nearly as circumstances admit to the paid up equity capital of the company.

**₹ 6,783 crores:** During the year, against the receipt of ₹ 6,783 crores by GoI, 678,30,00,000 equity shares of ₹ 10/- each at a price of ₹ 10/- each on rights basis amounting to ₹ 6,783 crores were allotted on 17.04.2025

to the existing shareholders of the Company in the same proportion as nearly as circumstances admit to the paid up equity capital of the company. The said proceeds of ₹ 6,783 crores was accounted under share application money pending allotment which is included within 'Other Equity' in the Balance Sheet.

**₹ 1,401 crores:** In pursuance of the Board resolution passed in its 375<sup>th</sup> meeting held on 21<sup>st</sup> May, 2025, 140,10,00,000 equity shares of ₹ 10/- each at a price of ₹ 10/- each on rights basis amounting to ₹ 1,401 crores were allotted on 21.05.2025 to the existing shareholders of the Company in the same proportion as nearly as circumstances admit to the paid up equity capital of the company.

The paid up Share capital of the company stands at ₹ 5,389.85 crores as on 31.03.2025 and ₹ 13573.85 crores as at the time of preparation of these financial statements.

## 17 Other Equity

(₹ in Crores)

| Particulars                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------|-----------------------------|-----------------------------|
| <b>(A) Reserves and surplus</b>                      |                             |                             |
| <b><i>Retained earnings</i></b>                      |                             |                             |
| Balance at the commencement of the year              | (12,550.58)                 | (7,614.78)                  |
| Add: Surplus as per Statement of Profit and Loss     | (1,406.19)                  | (4,854.80)                  |
| Add: Other comprehensive income (net of tax)         | (218.64)                    | (81.00)                     |
| <b>Balance at the end of the year</b>                | <b>(14,175.41)</b>          | <b>(12,550.58)</b>          |
| <b><i>Other reserves</i></b>                         |                             |                             |
| <b>Capital Redemption Reserve</b>                    |                             |                             |
| Balance at the commencement of the year              | 2,937.47                    | 2,937.47                    |
| Movement during the period                           | -                           | -                           |
| <b>Balance at the end of the year</b>                | <b>2,937.47</b>             | <b>2,937.47</b>             |
| <b>Capital reserve</b>                               |                             |                             |
| Balance at the commencement of the year              | (0.46)                      | (0.46)                      |
| Addition during the year                             | -                           | -                           |
| <b>Balance at the end of the year</b>                | <b>(0.46)</b>               | <b>(0.46)</b>               |
| <b>Investment reserve</b>                            |                             |                             |
| Balance at the commencement of the year              | -                           | -                           |
| Addition during the year                             | -                           | -                           |
| <b>Balance at the end of the year</b>                | <b>-</b>                    | <b>-</b>                    |
| <b>Reserve fund as per RBI Act (Special reserve)</b> |                             |                             |
| Balance at the commencement of the year              | 0.75                        | 0.75                        |
| Addition during the year                             | -                           | -                           |
| Appropriation to reserves                            | -                           | -                           |
| <b>Balance at the end of the year</b>                | <b>0.75</b>                 | <b>0.75</b>                 |
| <b>Securities Premium</b>                            |                             |                             |
| Balance at the commencement of the year              | 0.00                        | 0.00                        |
| Addition during the year                             | -                           | -                           |
| <b>Balance at the end of the year</b>                | <b>0.00</b>                 | <b>0.00</b>                 |



Continued from Previous Page

| Particulars                                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>General reserve</b>                                            |                             |                             |
| Balance at the commencement of the year                           | 3.84                        | 3.84                        |
| Addition during the year                                          | -                           | -                           |
| <b>Balance at the end of the year</b>                             | <b>3.84</b>                 | <b>3.84</b>                 |
| <b>Share Application money pending allotment</b>                  |                             |                             |
| Balance at the commencement of the year                           | -                           | -                           |
| Received during the year                                          | 7,283.00                    | -                           |
| Allotted during the year                                          | (500.00)                    | -                           |
| <b>Balance at the end of the year</b>                             | <b>6,783.00</b>             |                             |
| <b>Total reserves and surplus (A)</b>                             | <b>(4,450.81)</b>           | <b>(9,608.97)</b>           |
| <b>(B) Other comprehensive income</b>                             |                             |                             |
| Share of other comprehensive income of equity accounted investees |                             |                             |
| Balance at the commencement of the year                           | 220.84                      | 203.97                      |
| Addition during the period                                        | 31.15                       | 16.87                       |
| <b>Balance at the end of the year</b>                             | <b>251.99</b>               | <b>220.84</b>               |
| <b>Total other comprehensive income (B)</b>                       | <b>251.99</b>               | <b>220.84</b>               |
| <b>Total other equity (A+B)</b>                                   | <b>(4,198.82)</b>           | <b>(9,388.14)</b>           |

**18. Borrowings**

(₹ in Crores)

| Particulars                                                             | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>18A Non-current borrowings</b>                                       |                             |                             |
| Term loan from banks                                                    |                             |                             |
| - Secured bank loans                                                    | 5,538.68                    | 7,279.61                    |
| Current maturities of term loans                                        | 1,711.07                    | 1,759.79                    |
|                                                                         | 7,249.75                    | 9,039.40                    |
| Less: Amount included in Current Borrowings                             | 1,711.07                    | 1,759.79                    |
| <b>Total non-current borrowings</b>                                     | <b>5,538.68</b>             | <b>7,279.61</b>             |
| <b>18B Current borrowings</b>                                           |                             |                             |
| Loans from Banks                                                        |                             |                             |
| -Secured working capital borrowings<br>(Charge against Current assets)  | 2,010.69                    | 3,998.45                    |
| -Secured foreign currency facilities<br>(Charge against Current assets) | 253.32                      | 1,074.31                    |
| -Unsecured working capital borrowings                                   | 1,018.56                    | 4,504.22                    |
| Loan from other parties                                                 |                             |                             |
| -Unsecured working capital borrowings (Refer Note no 18B.1)             | 1,140.00                    | -                           |
| Current maturities of long term loans                                   | 1,711.07                    | 1,759.79                    |
| <b>Total current borrowings</b>                                         | <b>6,133.64</b>             | <b>11,336.77</b>            |

**18B.1** The company has received a working capital Loan of ₹ 1,140 crores from Government of India on 27.09.2024. The said working capital loan carries an interest rate of 9%. As per the terms of loan, it is repayable after moratorium period of 2 years and the period of repayment is 5 years.

The Finance cost reported in the Profit and Loss Account includes expense towards interest of ₹ 52.28 Crs accrued upto 31.03.2025 on the said working capital loan.

In terms of the revival package approved by the CCEA, the GoI approved for conversion of ₹ 1,140 crores of working capital loan as 7% Non-cumulative Preference Share Capital redeemable after 10 years. The said conversion is expected to take place during FY 2025-26.

**18C Terms of Repayment and Nature of Security of Non-Current Borrowings (Holding Co.)**

**In case of Holding Company**

**Secured Term Loans**

(₹ in Crores)

| Security                                                                                                                                                                                                                                                       | Terms of Repayment                                                                                                                                                                                                                                                                                         | Bank                | 31 <sup>st</sup> March 2025 |         | 31 <sup>st</sup> March 2024 |         |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------------|---------|-----------------------------|---------|
|                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                                                                                                            |                     | Non-Current                 | Current | Non-Current                 | Current |
| Primary security - Pari passu 1 <sup>st</sup> charge on current assets of the Company along with other secured WC lenders by way of hypothecation charge.<br>Collateral security – Pari passu 1 <sup>st</sup> charge on Company's fixed assets with FACR 1.33" | Consecutive quarterly installments, the first of which is to be paid in the quarter ending 31 <sup>st</sup> Dec, 2023 and the last instalment is payable in quarter ending 30 <sup>th</sup> Sep, 2028.                                                                                                     | State Bank of India | 749.51                      | 300.00  | 1,051.87                    | 300.00  |
| Pari passu 1 <sup>st</sup> charge on entire fixed assets including CWIP with an FACR of 1.33                                                                                                                                                                   | Consecutive quarterly installments, the first of which is paid in the quarter ending 31 <sup>st</sup> March, 2017 and the last instalment in the quarter payable in quarter ending 31 <sup>st</sup> March, 2031. Principal and Interest Moratorium will be paid in extended tenor of two quarters.         | State Bank of India | 1,956.49                    | 375.00  | 2,331.49                    | 375.00  |
| Pari passu first charge on entire fixed assets including CWIP with an FACR of 1.33                                                                                                                                                                             | Consecutive quarterly installments, the first of which shall be payable in quarter ending 30 <sup>th</sup> June, 2018 and the last instalment in the quarter ending 31 <sup>st</sup> March, 2031. Principal and Interest Moratorium will be paid in extended tenor of two quarters.                        | State Bank of India | 846.51                      | 225.00  | 1,071.09                    | 225.00  |
| Hypothecation of movable fixed assets including plant & machinery created out of proceeds of the term loan.                                                                                                                                                    | Consecutive quarterly Installments, the first of which shall be payable in the quarter ending 28 <sup>th</sup> September, 2022 and the last instalment in quarter ending 28 <sup>th</sup> June, 2027. Interest Moratorium will be paid in 20 equal quarterly instalments along with principal instalments. | Canara Bank         | 258.80                      | 207.04  | 465.84                      | 207.04  |
| First pari-passu Charge by way of hypothecation on fixed assets with FACR of 1.25:1 to be maintained at any point of time during the entire currency of term loan.                                                                                             | Consecutive quarterly Installments, the first of which shall be payable in the quarter ending 30 <sup>th</sup> June, 2022 and the last instalment in quarter ending 31 <sup>st</sup> March, 2027. Interest Moratorium will be paid in extended tenor of two quarters.                                      | Bank of Baroda      | 49.63                       | 39.75   | 89.38                       | 39.75   |

| Security                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | Terms of Repayment                                                                                                                                                                                                                                                                                                                                      | Bank                | 31 <sup>st</sup> March 2025 |         | 31 <sup>st</sup> March 2024 |         |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------------|---------|-----------------------------|---------|
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                                                                                                                                                                                                                                                                                                                                         |                     | Non-Current                 | Current | Non-Current                 | Current |
| Pari Passu first charge on the movable fixed assets of the company both present and future, including the plant and machinery purchased out of the term loan.                                                                                                                                                                                                                                                                                                                                    | Consecutive quarterly installments, the Consecutive quarterly Installments, the first of which shall be payable in the quarter ending 21 <sup>st</sup> December, 2023 and the last installment in quarter ending 21 <sup>st</sup> September, 2028. Interest Moratorium will be paid in 20 equal quarterly instalments along with principal instalments. | Canara Bank         | 769.32                      | 307.73  | 1,077.04                    | 307.73  |
| Hypothecation by way of first pari passu charge on all existing/ future machinery/ plant/vehicle/capital goods/assets/ craft and all those assets/ movable properties and/or capable of passing by delivery, whether installed or not and whether now lying loose or in cases and now being or at any time brought into or upon or at any time in course of transit to the premises/factory of the borrower at Visakhapatnam Steel Plant, Visakhapatnam-530031 and their other plants/ branches. | Consecutive quarterly installments, "the first of which is paid in the quarter ending 31 <sup>st</sup> December, 2020 and the last installment in quarter ending 30 <sup>th</sup> September, 2025.<br><br>Interest Moratorium will be paid in six monthly installments after the last principle "instalment.                                            | Union Bank of India | -                           | -       | 71.42                       | 100.00  |
| First paripassu Charge by way of hypothecation on fixed assets of 1.25:1 to be maintained at any point of time during the entire currency of term loan.                                                                                                                                                                                                                                                                                                                                          | Consecutive quarterly installments, the first of which shall be payable in the quarter ending 31 <sup>st</sup> May, 2023 and the last instalment in quarter ending 31 <sup>st</sup> Aug, 2028.                                                                                                                                                          | Bank of Borada      | 145.68                      | 64.75   | 210.43                      | 64.75   |
| First pari-passu charge on the fixed assets including Plant & Machinery of the Company both present and future situated at the premises/ factory at Visakhapatnam Steel Plant, Visakhapatnam-530031 on as is where is basis to all the Capex lenders with FACR not less than 1.33 times for the term loan of Indian Bank                                                                                                                                                                         | Consecutive quarterly Installments, the first of which shall be payable in the month ending 31 <sup>st</sup> October, 2022 and the last installment in month ending 31 <sup>st</sup> July, 2034.<br><br>Interest Moratorium will be paid in two quarterly instalments in October 2024 and January 2035.                                                 | Indian Bank         | 527.66                      | 90.00   | 599.26                      | 70.28   |
| Pari passu first charge on the fixed assets including Plant & Machinery of the Company both present and future situated at the premises/ factory at Visakahapatnam steel plant, Visakhapatnam - 530031 with FACR not less than 1.33 times for the term loan of Indian Bank (e-AB).                                                                                                                                                                                                               | Consecutive quarterly Installments, the first of which shall be payable in the month ending April, 2025 and the last installment in month ending January, 2030. Interest Moratorium will be repaid in single quarterly instalments along with 1 <sup>st</sup> principal installment in April 2025.                                                      | Indian Bank         | 235.08                      | 101.80  | 311.79                      | 25.09   |

| Security                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Terms of Repayment                                                                                                                                                                                                                                           | Bank                | 31 <sup>st</sup> March 2025 |                 | 31 <sup>st</sup> March 2024 |                 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|-----------------------------|-----------------|-----------------------------|-----------------|
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                              |                     | Non-Current                 | Current         | Non-Current                 | Current         |
| Hypothecation by way of first pari passu charge on all existing/ future machinery/ plant/vehicle/capital goods/ assets/ craft and all those assets/ movable properties capable of passing by delivery, whether installed or not and whether now lying loose or in cases and now being or at any time hereafter brought into or upon or at any time in course of transit to the premises/ factory of the borrower at Visakhapatnam Steel Plant, Visakhapatnam-530031 and their other plants/ branches. | Consecutive quarterly Installments, the first of which shall be payable in the month ending May, 2022 and the last installment in month ending July, 2024. Interest Moratorium will be paid in six monthly installments after the last principle instalment. | Union bank of India | -                           | -               | -                           | 45.15           |
| <b>Total</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                              |                     | <b>5,538.68</b>             | <b>1,711.07</b> | <b>7,279.61</b>             | <b>1,759.79</b> |

**18D Loans guaranteed by Directors and others**

Nil

Nil

**18E Default in repayment of loans and interest**

| Nature of borrowing, including debt securities | Name of lender            | Amount not paid on due date | Whether principal or interest | No. of days delay or unpaid | Reasons for Default Remedy Taken                                                                                                          | Remedy Taken                                                      |
|------------------------------------------------|---------------------------|-----------------------------|-------------------------------|-----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| STL/ WCDL                                      | Indian Bank               | 400                         | Principal                     | 6-19 days                   | Due to liquidity crisis of company, closure of STL/ WCDL's were delayed at different point of times during the period even after rollover | Cleared all defaults and regularized by 16 <sup>th</sup> Jan 2025 |
|                                                | Indian Bank               | 400                         | Principal                     | 57-75 days                  |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 200                         | Principal                     | 2-5 days                    |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 870                         | Principal                     | 1-29 days                   |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 1865                        | Principal                     | 9-63 days                   |                                                                                                                                           |                                                                   |
|                                                | UBI (e-Andhra)            | 126                         | Principal                     | 6-31 days                   |                                                                                                                                           |                                                                   |
|                                                | UBI (e-Andhra)            | 268                         | Principal                     | 4-65 days                   |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 100                         | Principal                     | 83-84 days                  |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 100                         | Principal                     | 68-71 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 630                         | Principal                     | 74-82 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 716                         | Principal                     | 42-63 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank (e-Syndicate) | 1000                        | Principal                     | 74-82 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank (e-Syndicate) | 1000                        | Principal                     | 53-63 days                  |                                                                                                                                           |                                                                   |
|                                                | IDBI                      | 85                          | Principal                     | 1-2 days                    |                                                                                                                                           |                                                                   |
|                                                | Punjab National Bank      | 100                         | Principal                     | 1 day                       |                                                                                                                                           |                                                                   |
| CC / OD / WCDL                                 | State Bank of India       | 28                          | Interest                      | 2-30 days                   |                                                                                                                                           |                                                                   |
|                                                | Indian Bank               | 11                          | Interest                      | 13-84 days                  |                                                                                                                                           |                                                                   |
|                                                | Union Bank of India       | 10                          | Interest                      | 16-85 days                  |                                                                                                                                           |                                                                   |
|                                                | Bank of Baroda            | 7                           | Interest                      | 16-47 days                  |                                                                                                                                           |                                                                   |
|                                                | Canara Bank               | 91                          | Interest                      | 23-73 days                  |                                                                                                                                           |                                                                   |
|                                                | Punjab National Bank      | 30                          | Interest                      | 4-52 days                   |                                                                                                                                           |                                                                   |

Continued from Previous Page

| Nature of borrowing, including debt securities | Name of lender      | Amount not paid on due date | Whether principal or interest | No. of days delay or unpaid | Reasons for Default Remedy Taken | Remedy Taken                                                          |
|------------------------------------------------|---------------------|-----------------------------|-------------------------------|-----------------------------|----------------------------------|-----------------------------------------------------------------------|
| Long Term Loans                                | Bank of Baroda      | 62                          | Principal                     | 16-84 days                  | Insufficient Funds               | Cleared all defaults and regularised by 16 <sup>th</sup> January 2025 |
|                                                | Canara Bank         | 386                         | Principal                     | 19-90 days                  |                                  |                                                                       |
|                                                | Indian Bank         | 36                          | Principal                     | 20-77 days                  |                                  |                                                                       |
|                                                | State Bank of India | 675                         | Principal                     | 16-85 days                  |                                  |                                                                       |
|                                                | Union Bank of India | 95                          | Principal                     | 16-87 days                  |                                  |                                                                       |
|                                                | Bank of Baroda      | 19                          | Interest                      | 16-65 days                  |                                  |                                                                       |
|                                                | Canara Bank         | 120                         | Interest                      | 19-90 days                  |                                  |                                                                       |
|                                                | Indian Bank         | 43                          | Interest                      | 9-84 days                   |                                  |                                                                       |
|                                                | State Bank of India | 271                         | Interest                      | 16-78 days                  |                                  |                                                                       |
|                                                | Union Bank of India | 122                         | Interest                      | 16-85 days                  |                                  |                                                                       |

**18F Reconciliation of liabilities arising from financing activities (₹ in Crores)**

| Particulars                                         | 31 <sup>st</sup> March 2024 | Cash Flows: Inflow / (outflow) | Non-Cash Changes          |                   | 31 <sup>st</sup> March 2025 |
|-----------------------------------------------------|-----------------------------|--------------------------------|---------------------------|-------------------|-----------------------------|
|                                                     |                             |                                | Foreign Exchange Movement | Fair Value Change |                             |
| Long-Term Borrowings (including Current Maturities) | 9039.4                      | (1,789.65)                     | -                         | -                 | 7249.75                     |
| Short Term Borrowings                               | 9576.98                     | (5,149.21)                     | (5.20)                    | -                 | 4422.57                     |

**18G** The Company has used the Borrowings from the Banks and Financial Institutions for the specific purpose for which it was obtained. (In case of Holding Co.)

**19 Lease Liabilities (₹ in Crores)**

| Particulars                            |   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------|---|-----------------------------|-----------------------------|
| <b>19A Non-current</b>                 |   |                             |                             |
| Lease Liabilities                      | - | -                           | -                           |
| Total Non-current Lease Liabilities    | - | -                           | -                           |
| <b>19B Current</b>                     |   |                             |                             |
| Lease Liabilities                      | - | -                           | -                           |
| <b>Total Current Lease Liabilities</b> | - | -                           | -                           |

**Note :** The details of leases are provided at Note 50

**20. Other financial liabilities (₹ in Crores)**

| Particulars                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------|-----------------------------|-----------------------------|
| <b>20A Non-current other financial liabilities</b>   |                             |                             |
| Security deposits (Refer Note no. 20A.1)             | 250.85                      | 153.05                      |
| <b>Total non-current other financial liabilities</b> | <b>250.85</b>               | <b>153.05</b>               |

|                                                                   |                 |                 |
|-------------------------------------------------------------------|-----------------|-----------------|
| <b>20B Current other financial liabilities</b>                    |                 |                 |
| Interest accrued but not due on borrowings (Refer Note no. 20B.1) | 67.87           | 21.21           |
| Earnest money, security & other deposits (Refer Note no. 20B.2)   | 433.84          | 506.56          |
| Payable for Capital Projects                                      | 798.19          | 785.76          |
| Employee related payables (Refer Note no.20 B.6)                  | 34.00           | 34.00           |
| Unpaid dividends (Refer Note no. 20B.4 & 20B.5)                   | 0.49            | 0.59            |
| Unclaimed amount on redemption of preference shares               | 0.02            | 0.02            |
| Other financial liabilities (Refer Note no. 20B.3)                | 4,991.24        | 4,122.76        |
| <b>Total current other financial liabilities</b>                  | <b>6,325.64</b> | <b>5,470.88</b> |

### In Case of Holding Co.

- 20A.1** This includes performance retention deposits of ₹ 108.77 Crores ( As on 31<sup>st</sup> March 2024: ₹ 108 Crores) from the contractors which is repayable upon successful performance as per the terms of the contract.
- 20B.1** This includes an interest of ₹ 52.28 Crores for loan from GOI. (Refer Note no.18B.1)
- 20B.2** This includes deposit of ₹ 251.49 Crores ( As on 31<sup>st</sup> March 2024: ₹ 274.38 Crores) towards Employee Family Benefit Scheme. The company has obtained exemption from Ministry of Finance, Government of India for collecting the said deposits and for operation of the scheme. Under this scheme, the nominee of the deceased/ permanently disabled employee will receive a fixed amount of pension from the company as envisaged in the scheme.
- 20B.3** A. This includes net liability of ₹ 397.85 Crores (As on 31<sup>st</sup> March 2024: ₹ 402.13 Crores) towards provision on account of -
- Pension effective from 01.01.2007 in respect of Onrolls Executive employees, and w.e.f. 01.01.2012 in respect of Onrolls Non-executive employees upto 31.03.2019.
  - Differential pension provision due to profit year for FY 2021-22.
  - Arrears of disputed amount of Executive PRP pending for final settlement (Relating to FY 2007-08 to FY 2014-15), and
  - Executive PRP pending for settlement (Relating to FY 2021-22)
- B. This includes Bill discounting liability of ₹ 1995.29 Crores (As on 31<sup>st</sup> March 2024: ₹ 1564.54 Crores)
- C. This includes an amount of ₹ 826.78 Crores (As on 31<sup>st</sup> March 2024: ₹ 953.19 Crores) payable to M/s.TISPL which also includes provision for interest of ₹ 42.99 crores (As on 31<sup>st</sup> March 2024: ₹ 2.86 Crs).
- Against the TISPL's claim of interest, the company has admitted interest @ 1 yr SOFR rate . Accordingly, ₹ 42.34 crores towards differential interest (i.e., Claim rate - SOFR rate) is treated as and included within Contingent Liabilities as on 31.03.2025.
- D. The company has differences with M/s AGPL on the amount of Total Handling charges payable per ton of raw materials handled at the Gangavaram Port. The company has approached Hon'ble High Court of Andhra Pradesh for relief in this matter. Pending disposal of the matter by the Hon'ble court, the differential claim of the agency is kept under withheld account.

### In Case of EIL

- 20 B.4** A. Unpaid Dividend relating to F.Ys. 2011-12 to 2016-17 aggregating ₹ 0.09 Crores is required to be deposited with the Investor Education and Protection Fund (IEPF) under the provision of Sec 125 of Companies Act. 2013 . EIL has duly submitted IEPF-1- E forms to the Ministry of Corporate Affairs (MCA) on 25.02.2025 for transferring the fund, but due to certain technical issues, the required fund could not be transferred to IEPF. The matter has been taken up with the concerned authority for early transfer of the fund.



- B. EIL is having an unclaimed amount of ₹ 0.02 Crores on Redemption of Preference Shares, This unclaimed amount is lying due for more than 7 years, which as provided u/s.125 of Companies Act, 2013 is required to be deposited with Investor Education and Protection Fund (IEPF). This will also be transferred to IEPF once the MCA technical problem is resolved as stated above.

### In Case of OMDC

- 20B.5** Unpaid dividend includes ₹ 0.32 Crores for disputed dividend as on March 31, 2024. The Unpaid Dividend pertains to 15-16 - ₹ 0.04 Crores & 16-17 - ₹ 0.03 Crores. Unpaid dividend of 0.07 crores couldn't be transferred to IEPF due to frequent changes in signatories to the bank (effecting KYC formalities) where unclaimed dividend account is maintained. The process of transfer has been initiated with new signatories as per Board Resolution Dt. 22<sup>nd</sup> May'2025.

## 21. Provisions

(₹ in Crores)

| Particulars                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------|-----------------------------|-----------------------------|
| <b>21A Non-current provisions</b>                 |                             |                             |
| <b>Provision for employee benefits</b>            |                             |                             |
| Liability for Gratuity                            | 12.84                       | 8.91                        |
| Liability for Compensated Absences                | 707.09                      | 368.28                      |
| Liability for Retirement Benefits                 | 739.34                      | 572.56                      |
| Liability for Employee Family Benefit Scheme      | 100.01                      | 119.69                      |
| Liability for Service Awards                      | -                           | 38.98                       |
| Liability for Leave Travel Concession             | 14.28                       | 17.66                       |
| Liability for Super annuation Fund                | 0.01                        | 0.15                        |
| <b>Total provisions for employee benefits (A)</b> | <b>1,573.57</b>             | <b>1,126.23</b>             |
| <b>Other provision</b>                            |                             |                             |
| Provision for rates and taxes                     | 0.69                        | 1.02                        |
| Provision for Site Reclamation                    | 1.38                        | 2.87                        |
| Provision for mines closure obligation            | 7.27                        | 7.17                        |
| <b>Total other provision (B)</b>                  | <b>9.34</b>                 | <b>11.05</b>                |
| <b>Total non-current provisions (A+B)</b>         | <b>1,582.91</b>             | <b>1,137.28</b>             |
| <b>21B Current provisions</b>                     |                             |                             |
| <b>Provision for employee benefits</b>            |                             |                             |
| Liability for gratuity                            | 476.57                      | 321.11                      |
| Liability for compensated absences                | 56.45                       | 58.43                       |
| Liability for retirement benefits                 | 37.49                       | 26.86                       |
| Liability for employee family benefit scheme      | 43.41                       | 48.65                       |
| Liability for service awards                      | -                           | 12.75                       |
| Liability for leave travel concession             | 15.38                       | 18.28                       |
| Liability for Pay Revision                        | 45.77                       | 44.01                       |
| <b>Total provisions for employee benefits (A)</b> | <b>675.07</b>               | <b>530.08</b>               |
| <b>Other provisions</b>                           |                             |                             |
| Provision for Site Reclamation                    | -                           | -                           |
| Provision for Judicial Award                      | 11.68                       | 11.68                       |
| Other Provisions                                  | 37.52                       | 7.44                        |
| <b>Total other provisions (B)</b>                 | <b>49.19</b>                | <b>19.12</b>                |
| <b>Total current provisions (A+B)</b>             | <b>724.26</b>               | <b>549.20</b>               |

**In case of EIL :****21.1. Rent and cess on land revenue**

- a) The company paid Rent and Cess on Land Revenue on Lawrence Property at Bauria @ ₹ 2,012 per year till 31.03.2001 with the office of the Revenue Inspector.
- b) The company had not accepted the substantial increase in such charges from 2001-02, therefore continued to provide liability on the basis of claims received. In absence of any formal claim by the concerned department, amount of such claim, (if any), has neither been ascertained nor considered in the accounts from the financial year 2008-09 onwards.
- c) A letter reference no: EIL / Lawrence property / 01 dt. 14.03.2018 has been issued to Block Land & Land Reform office with a copy to District Land & Land Reform office and Director of Land Record and Service. It has been requested in the letter to provide the land tax dues by BL & LRO for payment by EIL and also requested to consider the compensation for the land acquired by the Govt. of W.B. which is yet to be received in accordance with the judgment passed by Additional District Judge. Subsequently, letter dated 5.4.2018. issued to Additional District Magistrate, LR & DLLRO, Govt. of W.B with a copy to Principal secretary and Land Reform Commissioner, Govt. of W.B to expedite the matter.
- d) Information through RTI Act has been sought on 11.06.2018, by which it has been asked the due land tax for 49.19 Acres and whether any notice for the same has been issued by the department. A reply was received on 28.06.2018 on the RTI application which states.

**Quote**

The matter of realisation of land revenue in case of subject land does not arise and as such there is no question of raising demand of land revenue in respect of said land.

**Unquote.****In case of BSLC :****21.2 Provision for :**

- a) Gratuity: Gratuity Payable on separation @ 15 days' pay for each completed year of service to eligible employees who has render continuous service of 5 years or more. Maximum amount in the case of separation is ₹ 20.00 Lac for each Employee. Provision on account of gratuity is being made as per the actuarial valuation.
- b) Leave Encashment payable on separation to eligible employees who have accumulated earned and half pay leave totaling up to 300 days. Encashment of accumulated earned leave for executives is allowed up to 30 days once in a financial year.

**In case of OMDC :****21.3. Pay Revision of employees**

The provision is recognised with respect to the pay revision of the employees of Central Public Sector Enterprises, the same is provided for in the books of accounts with effect from 1<sup>st</sup> April, 2010 on basis of the difference in Basic Pay and Industrial Dearness Allowance between 1997 and 2007 Pay Scale. Calculation made on basis of the present basic pay and IDA component of the existing employees.

**21.4. Provision for site reclamation & Restoration**

Provision for site reclamation is made with respect to the restoration of the mines and are made against the demand raised by the various mining related departments of Government for site reclamation and restoration as required under the Mining laws. Balance amount for site reclamation based on revised calculation is provided in contingent liability.

**21.5. Provision available for Legal Obligation is ₹ 11.68 Crores.**

**In case of Holding Co.**
**Movement in the provision for Mine closure obligation/Site Reclamation**
**(₹ in Crores)**

| Particulars                                  | Mine closure obligation / Site Reclamation |
|----------------------------------------------|--------------------------------------------|
| Balance at 1 <sup>st</sup> April 2024        | 7.17                                       |
| Provisions made during the year              | 0.10                                       |
| <b>Balance at 31<sup>st</sup> March 2025</b> | <b>7.27</b>                                |

**Mine closure obligation**

A provision for mine closure obligation is recognised considering the future obligation on the group for the restoration of mines.

| Name of the Mine               | Lease expiry |
|--------------------------------|--------------|
| Jaggayyapeta                   | 7-Aug-2030   |
| Madharam                       | 13-Jul-2040  |
| Garbham (Refer Note No. 21A.1) | 7-Oct-2022   |

**21A.1.** With respect to the Mining Lease of Garbham Manganese Mine covering 264.54 Hectares, deemed extension has been granted up to 07.10.2032 by the Government vide G.O M.S. No. 44, dated 13.08.2024. Further, extension of Environment Clearance (EC) has also been granted by MoEF & CC on 11<sup>th</sup> December 2024, which is valid up to 07/10/2032 for a quantity of 18,000 TPA (50 TPD).

Currently execution of mining lease deed is pending and the said mine can be operated on execution of mining lease only. Presently, dispatch of manganese is being done from the available stocks at GMM.

**22A Other non current liabilities**
**(₹ in Crores)**

| Particulars                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------|-----------------------------|-----------------------------|
| <b>Others</b>                   |                             |                             |
| <b>Deferred income - Grants</b> |                             |                             |
| Lease :                         |                             |                             |
| NMDC (Refer Note 22 A.1)        | 1,422.73                    | -                           |
| PGCIL (Refer Note 22 A.2)       | 93.21                       | -                           |
| Others                          | 7.52                        | -                           |
| Trophy Fund (Refer Note 22A.3)  | 8.85                        | 8.21                        |
| <b>Total</b>                    | <b>1,532.31</b>             | <b>8.21</b>                 |

**Deferred income (Holding Co.)**
**22A.1 Lease of land to M/s NMDC Ltd.**

The company has entered into lease agreement with M/s NMDC Ltd. on 30<sup>th</sup> April 2025 for lease of 1167 acres of land located within the premises of Visakhapatnam Steel Plant for a lease period of 30 years w.e.f 04<sup>th</sup> September 2024 for setting up of industrial facilities including a slurry pipeline, a pellet plant and other related facilities that would also be in the larger interest of the RINL for its long term raw material security. The terms of the said lease deed provide for payment of upfront premium of ₹1502 crores (one time) and security deposit of ₹ 90.12 crores (one time) with ground rent being ₹ 1/- per annum for 1167 acres. (Refer Note No. 58D for further details).

**22A.2 Lease of land to M/s PGCIL.**

M/s PGCIL was allotted 129.25 acres of land on lease basis for a period of 33 years with effect from 23.03.1989. The lease period w.r.t said lease was expired in March'2022 and M/s PGCIL has requested the company for renewal of said lease. Subsequently, RINL's Board has accorded approval for renewal of lease on payment of land premium of ₹107.55 crores (one time) and security deposit of ₹ 6.45 Crores (one time) with ground rent being ₹ 1/- per annum for 129.25 acres for a lease period of 30 years, while extendable

by another 30 years on mutually agreed terms. RINL's Board, while approving the lease, has recommended for taking up the proposal with Ministry of Steel (MoS), Govt of India (GoI) for necessary approvals. At present, the approval from Ministry of Steel (MoS), Govt of India (GoI) is awaited and consequently the lease deed is yet to be executed.

### 22A.3 Trophy Fund

The grant relating to Trophy fund represents the unspent amount received on account of Prime Minister Trophy, Steel Minister Trophy and Steel Minister Development fund including interest earned. The same has to be spent for specific purposes and will be amortised over the period in which the cost incurred shall be recognised. Wherever the Trophy Fund deposit is utilised for construction of any asset, the transfer from the Trophy Fund is effected only on capitalisation of said assets.

#### PM Trophy Fund and PM Trophy Fund Deposit changes during FY 2024-25 (In case of Holding Co.)

(₹ in Crores)

|                               | Note : 12B | Note : 22A  |
|-------------------------------|------------|-------------|
| Particulars                   | Deposit    | Trophy Fund |
| Opening balance               | 8.21       | 8.21        |
| Add: Interest during the year | 0.64       | 0.64        |
| Less: Utilisation             | -          | -           |
| Closing Balance               | 8.85       | 8.85        |

### 22B Government Grants Deferred - PPE

(₹ in Crores)

| Particulars                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------|-----------------------------|-----------------------------|
| Deferred income-Government Grants    |                             |                             |
| Non Current                          | 89.95                       | 96.15                       |
| Current                              | 6.19                        | 6.18                        |
| <b>Total Government Grants - PPE</b> | <b>96.14</b>                | <b>102.33</b>               |

#### Holding Co.

The grants relating to PPE represents unamortised Subsidy received from Government towards establishment of 5 MW Solar Power Plant, Government Grant received towards the value of Plant & Machinery supplied free of cost by NEDO, Nodal Agency of Japan Government, under the MOU entered between Government of India and NEDO and unamortised value of PPE acquired out of Trophy Fund. This amount will be amortised over the useful life of the relevant asset as per Accounting policy no. 2.20. There are no unfulfilled conditions or contingencies attached to these grants.

Breakup of Value of grants relating to PPE :

(₹ in Crores)

| Particulars                                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| 5 MW Solar Power Plant                                                           | 3.43                        | 3.63                        |
| PM Trophy Fund - Air Conditioners in CWC-II, Wellness center for employees, etc. | 1.52                        | 1.80                        |
| NEDO Grant                                                                       | 91.19                       | 96.90                       |
| <b>Total</b>                                                                     | <b>96.14</b>                | <b>102.33</b>               |

### 23 Trade payables

(₹ in Crores)

| Particulars                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Trade payables</b>                                                      |                             |                             |
| -Total outstanding dues of Micro Enterprises and Small Enterprises         | 59.52                       | 200.24                      |
| -Total outstanding dues Other than Micro Enterprises and Small Enterprises | 8,563.75                    | 6,320.01                    |
| <b>Total</b>                                                               | <b>8,623.27</b>             | <b>6,520.25</b>             |

**All trade payables are 'current'.**

Reconciliation is pending for Eastern Coal Fields, Bharat Coking Coal, Singareni Coalfields as on 31.03.2025 with books of accounts.

The Group's exposure to currency and liquidity risks related to trade payables is disclosed in Note 51.

**In case of Holding Co.**

**Note : Information relating to 'Supplier' under the provisions of Micro, Small and Medium Enterprise Development Act, 2006**

**(₹ in Crores)**

| Particulars                                                                                                                                  | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| (i) The amounts due thereon remaining unpaid to any supplier as at the end of the year                                                       |                             |                             |
| - Principal                                                                                                                                  | 4.93                        | 118.57                      |
| - Interest                                                                                                                                   | 2.36                        | 2.36                        |
| (ii) Payments made beyond the appointed day and interest thereon during the year                                                             | Nil                         | Nil                         |
| (iii) The amount of interest due and payable for the period of delay in making payments but without adding the interest specified in the act | Nil                         | Nil                         |
| (iv) The amount of interest accrued and remaining unpaid at the end of the year                                                              | Nil                         | Nil                         |
| (v) The amount of further interest remaining due and payable in the succeeding year until the date such interest is actually paid            | Nil                         | Nil                         |

**Trade Payables Aging Schedule as on 31<sup>st</sup> March 2025**
**(₹ in Crores)**

| Particulars                | Outstanding for following periods from due date of payment |                 |                 |                 |               |                  | Total           |
|----------------------------|------------------------------------------------------------|-----------------|-----------------|-----------------|---------------|------------------|-----------------|
|                            | Unbilled                                                   | Not Due         | Less than 1 yr. | 1-2 yrs.        | 2-3 yrs.      | More than 3 yrs. |                 |
| (i) MSME                   | 11.80                                                      | 40.16           | 5.12            | 2.36            | 0.01          | 0.07             | 59.52           |
| (ii) Others                | 1,239.85                                                   | 1,684.59        | 3,346.35        | 2,153.19        | 131.33        | 8.44             | 8,563.75        |
| (iii) Disputed dues- MSME  | -                                                          | -               | -               | -               | -             | -                | -               |
| (iv) Disputed dues- Others | -                                                          | -               | -               | -               | -             | -                | -               |
| <b>Total</b>               | <b>1,251.65</b>                                            | <b>1,724.75</b> | <b>3,351.47</b> | <b>2,155.55</b> | <b>131.33</b> | <b>8.51</b>      | <b>8,623.27</b> |

**Trade Payables Aging Schedule as on 31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                | Outstanding for following periods from due date of payment |                 |                 |               |              |                  | Total           |
|----------------------------|------------------------------------------------------------|-----------------|-----------------|---------------|--------------|------------------|-----------------|
|                            | Unbilled                                                   | Not Due         | Less than 1 yr. | 1-2 yrs.      | 2-3 yrs.     | More than 3 yrs. |                 |
| (i) MSME                   | 7.51                                                       | 71.43           | 121.24          | -             | 0.01         | 0.05             | 200.24          |
| (ii) Others                | 1,961.61                                                   | 1,290.84        | 2,631.62        | 369.19        | 56.07        | 10.68            | 6,320.01        |
| (iii) Disputed dues- MSME  | -                                                          | -               | -               | -             | -            | -                | -               |
| (iv) Disputed dues- Others | -                                                          | -               | -               | -             | -            | -                | -               |
| <b>Total</b>               | <b>1,969.12</b>                                            | <b>1,362.27</b> | <b>2,752.86</b> | <b>369.19</b> | <b>56.08</b> | <b>10.73</b>     | <b>6,520.25</b> |

**24. Derivatives - Liabilities**
**(₹ in Crores)**

| Particulars                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------|-----------------------------|-----------------------------|
| Foreign exchange contracts | 37.90                       | -                           |
| <b>Total</b>               | <b>37.90</b>                | <b>-</b>                    |

**25 Other current liabilities**
**(₹ in Crores)**

| Particulars                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------|-----------------------------|-----------------------------|
| Income Received in advance                             | 0.20                        | 1.06                        |
| Advances from customers                                | 1,528.41                    | 1,672.30                    |
| Statutory Liabilities                                  | 496.97                      | 803.87                      |
| Other advances/liabilities (Refer Note no. 25.1, 25.2) | 85.73                       | 15.81                       |
| <b>Total</b>                                           | <b>2,111.30</b>             | <b>2,493.03</b>             |

**25.1** This includes an amount of ₹ 932.48 Crores (As on 31<sup>st</sup> March 2024 : ₹ 841.05 Crores) received from M/s.JSPL.

**In the Case of EIL**

**25.2** Other advances/liabilities includes ₹ 0.03 Crores compensation received from property under disputes 1946.

**26A Capital Work in Progress Aging schedule as on 31<sup>st</sup> March 2025**
**In case of Holding Co.**
**(₹ in Crores)**

| CWIP                           | Amount in CWIP for a period of |               |               |                   | Total         |
|--------------------------------|--------------------------------|---------------|---------------|-------------------|---------------|
|                                | Less than 1 year               | 1-2 years     | 2-3 years     | More than 3 years |               |
| Projects in progress           | 94.78                          | 176.44        | 117.67        | 492.40            | 881.29        |
| Projects temporarily suspended | -                              | -             | 1.18          | 63.14             | 64.32         |
| <b>Total</b>                   | <b>94.78</b>                   | <b>176.44</b> | <b>118.85</b> | <b>555.54</b>     | <b>945.61</b> |

**In case of OMDC**
**(₹ in Crores)**

| CWIP                           | Amount in CWIP for a period of |             |           |                   | Total         |
|--------------------------------|--------------------------------|-------------|-----------|-------------------|---------------|
|                                | Less than 1 year               | 1-2 years   | 2-3 years | More than 3 years |               |
| Projects in progress           | 109.16                         | 0.13        | -         | 0.33              | 109.62        |
| Projects temporarily suspended | -                              | -           | -         | -                 | -             |
| <b>Total</b>                   | <b>109.16</b>                  | <b>0.13</b> | <b>-</b>  | <b>0.33</b>       | <b>109.62</b> |

**Capital Work in Progress Aging schedule as on 31<sup>st</sup> March 2024**
**In case of Holding Co.**
**(₹ in Crores)**

| CWIP                           | Amount in CWIP for a period of |               |               |                   | Total           |
|--------------------------------|--------------------------------|---------------|---------------|-------------------|-----------------|
|                                | Less than 1 year               | 1-2 years     | 2-3 years     | More than 3 years |                 |
| Projects in progress           | 231.32                         | 146.93        | 166.35        | 610.90            | 1,155.50        |
| Projects temporarily suspended | 0.05                           | 1.44          | 2.62          | 58.60             | 62.71           |
| <b>Total</b>                   | <b>231.37</b>                  | <b>148.37</b> | <b>168.97</b> | <b>669.50</b>     | <b>1,218.21</b> |



**In case of OMDC**
**(₹ in Crores)**

| CWIP                           | Amount in CWIP for a period of |           |           |                   | Total       |
|--------------------------------|--------------------------------|-----------|-----------|-------------------|-------------|
|                                | Less than 1 year               | 1-2 years | 2-3 years | More than 3 years |             |
| Projects in progress           | 0.13                           | -         | -         | -                 | 0.13        |
| Projects temporarily suspended | -                              | -         | -         | 0.33              | 0.33        |
| <b>Total</b>                   | <b>0.13</b>                    | <b>-</b>  | <b>-</b>  | <b>0.33</b>       | <b>0.46</b> |

**26B Capital Work in Progress for time overrun/ cost overrun projects as on 31<sup>st</sup> March 2025**
**In case of Holding Co.**
**(₹ in Crores)**

| CWIP                      | To be completed in |           |           |                   |
|---------------------------|--------------------|-----------|-----------|-------------------|
|                           | Less than 1 year   | 1-2 years | 2-3 years | More than 3 years |
| 6.3 TPA Expansion project | 8.14               | -         | -         | -                 |
| 7.3 MTPA                  | 11.13              | -         | -         | -                 |
| AMR Projects              | 76.14              | -         | -         | -                 |
| Coke Oven Battery - V     | 504.21             | -         | -         | -                 |
| Others                    | 55.30              | -         | -         | -                 |
| <b>Total</b>              | <b>654.92</b>      | <b>-</b>  | <b>-</b>  | <b>-</b>          |

**Capital Work in Progress for time overrun/ cost overrun projects as on 31<sup>st</sup> March 2024**
**In case of Holding Co.**
**(₹ in Crores)**

| CWIP                      | To be completed in |              |           |                   |
|---------------------------|--------------------|--------------|-----------|-------------------|
|                           | Less than 1 year   | 1-2 years    | 2-3 years | More than 3 years |
| 6.3 TPA Expansion project | 93.76              | -            | -         | -                 |
| 7.3 MTPA                  | 59.65              | -            | -         | -                 |
| AMR Projects              | 58.95              | 13.62        | -         | -                 |
| Coke Oven Battery - V     | 746.56             | -            | -         | -                 |
| Others                    | 221.73             | -            | -         | -                 |
| <b>Total</b>              | <b>1,180.65</b>    | <b>13.62</b> | <b>-</b>  | <b>-</b>          |

**In case of OMDC**
**(₹ in Crores)**

| CWIP         | To be completed in |           |           |                   |
|--------------|--------------------|-----------|-----------|-------------------|
|              | Less than 1 year   | 1-2 years | 2-3 years | More than 3 years |
| Project 1    | 0.13               | -         | -         | -                 |
| <b>Total</b> | <b>0.13</b>        | <b>-</b>  | <b>-</b>  | <b>-</b>          |

## 27. Title deeds of Immovable Property not held in name of the Company as on 31<sup>st</sup> March 2025

### In case of Holding Co.

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crore) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                                                                                                                                                    |
|-----------------------------------------|---------------------------------|-----------------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| PPE                                     | Freehold Land                   | 37.09                             | Government of India             | Yes. Promoter                                                                                                       | 1983 onwards                   | The Company is holding Power of Attorney in its favour as executed by President of India on behalf of Government of India.                                                                                                                              |
| PPE                                     | Building                        | 24.23                             | M/s NBCC LTD                    | No                                                                                                                  | 2008                           | Office building at New Delhi: Lease between NBCC LTD and Delhi Development Authority is yet to be completed.                                                                                                                                            |
| PPE                                     | Building                        | 0.18                              | M/s NBCC LTD                    | No                                                                                                                  | 1995                           | Office building at Ahmedabad: Litigation is going on between AMC against this builder (NBCC Ltd). Due to this AMC is unable to give Building utilisation permission, without Building permission the sale deed cannot be registered with the Registrar. |
| PPE                                     | Building                        | 0.95                              | Debi Prasad Chatterjee          | No                                                                                                                  | 1996                           | Residential Building at Kolkata: Due to non-compliance of the Terms & conditions of Purchase, on roof rights & garage space by developer dispute cropped up, which is pending in the court of 7 <sup>th</sup> Civil judge at Alipore, Kolkata.          |

### In case of EIL

| Description of item of property | Carrying value (₹ in Crore) | Title deeds held in the name of Company | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                                                                                                                                  |
|---------------------------------|-----------------------------|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Freehold land                   | 0.02                        | No                                      | No                                                                                                                  | 1984                           | The Company had a land of 76.77 Acres in the name of previous Company. Out of this, the Govt. of West Bengal had acquired 27.58 acres on 25.08.1976 under the provisions of section 6(3) of West Bengal Estates Acquisition Act'1953. |

**In case of BSLC**

| Description of item of property | Carrying value (₹ in Crore) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date                                             | Reason for not being held in the name of the company                                                                                                                                                                                               |
|---------------------------------|-----------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Free hold land of 16.04 Acres   | 0.09                        | Various seller                  | No                                                                                                                  | Acquired through sale deed prior to 1976 and Company possession since 1976 | Mutation is pending. All Mutation cases are pending at District Magistrate / Collector, Sundargarh, Odisha. Due to fact that sale deeds are executed prior to 1976 for which mutation cannot be allowed by Tahasildar due to lack of jurisdiction. |

Free hold lands include land of area 8.37 acres having Gross value of ₹ 0.0046 Crores where the right , title and possession vest with the company, however some disputes has been raised by the earstwhile legal heirs of sellers of such land, which is pending before the different courts.

**In case of OMDC**

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crores) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company ** |
|-----------------------------------------|---------------------------------|------------------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------|
| PPE                                     | Freehold Land                   | 0.00                               | BPMEL                           | 196.539 Acre - No                                                                                                   | 1991                           |                                                         |
| PPE                                     | Freehold Land                   |                                    | Bird & Co.                      | 3.910 Acre - No                                                                                                     | 1991                           |                                                         |
| PPE                                     | Freehold Land                   |                                    | Encroachment                    | 3.393 Acre - No                                                                                                     | 1991                           |                                                         |
| PPE                                     | Freehold Land                   |                                    | OMDC                            | 3.023 Acre                                                                                                          | 1991                           |                                                         |

**Title deeds of Immovable Property not held in name of the Company as on 31<sup>st</sup> March 2024****In case of Holding Co.**

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crores) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                       |
|-----------------------------------------|---------------------------------|------------------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|----------------------------------------------------------------------------------------------------------------------------|
| PPE                                     | Freehold Land                   | 37.09                              | Government of India             | Yes.<br>Promoter                                                                                                    | 1983 onwards                   | The Company is holding Power of Attorney in its favour as executed by President of India on behalf of Government of India. |

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crores) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                                                                                                                                                    |
|-----------------------------------------|---------------------------------|------------------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| PPE                                     | Building                        | 24.23                              | M/s NBCC LTD                    | No                                                                                                                  | 2008                           | Office building at New Delhi: Lease between NBCC Ltd. and Delhi Development Authority is yet to be completed.                                                                                                                                           |
| PPE                                     | Building                        | 0.18                               | M/s NBCC LTD                    | No                                                                                                                  | 1995                           | Office building at Ahmedabad: Litigation is going on between AMC against this builder (NBCC Ltd). Due to this AMC is unable to give Building utilisation permission, without Building permission the sale deed cannot be registered with the Registrar. |
| PPE                                     | Building                        | 0.95                               | Debi Prasad Chatterjee          | No                                                                                                                  | 1996                           | Residential Building at Kolkata: Due to non-compliance of the Terms & conditions of Purchase, on roof rights & garage space by developer dispute cropped up, which is pending in the court of 7 <sup>th</sup> Civil judge at Alipore, Kolkata.          |

#### In case of EIL

| Description of item of property | Carrying value (₹ in Crore) | Title deeds held in the name of Company | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company                                                                                                                                                                                  |
|---------------------------------|-----------------------------|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Freehold land                   | 0.02                        | No                                      | No                                                                                                                  | 1984                           | The Company had a land of 76.77 Acres in the name of previous Company. Out of this, the Govt. of West Bengal had acquired 27.58 acres on 25.08.1976 under the provisions of section 6(3) of West Bengal Estates Acquisition Act'1953. |

**In case of BSLC**

| Description of item of property                                                                                                                                                                                                                                                              | Carrying value (₹ in Crore) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date                                             | Reason for not being held in the name of the company                                                                                                                                                                                               |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Free hold land of 16.04 Acres                                                                                                                                                                                                                                                                | 0.09                        | Various seller                  | No                                                                                                                  | Acquired through sale deed prior to 1976 and Company possession since 1976 | Mutation is pending. All Mutation cases are pending at District Magistrate / Collector, Sundargarh, Odisha. Due to fact that sale deeds are executed prior to 1976 for which mutation cannot be allowed by Tahasildar due to lack of jurisdiction. |
| Free hold lands include land of area 8.37 acres having Gross value of ₹ 0.0046 Crore where the right, title and possession vest with the company, however some disputes has been raised by the earstwhile legal heirs of sellers of such land, which is pending before the different courts. |                             |                                 |                                                                                                                     |                                                                            |                                                                                                                                                                                                                                                    |

**In case of OMDC**

| Relevant line item in the Balance sheet | Description of item of property | Gross carrying value (₹ in Crores) | Title deeds held in the name of | Whether title deed holder is a promoter, director or relative of promoter/director or employee of promoter/director | Property held since which date | Reason for not being held in the name of the company ** |
|-----------------------------------------|---------------------------------|------------------------------------|---------------------------------|---------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------|
| PPE                                     | Freehold Land                   | 0.00                               | BPMEEL                          | 196.539 Acre - No                                                                                                   | 1991                           |                                                         |
| PPE                                     | Freehold Land                   |                                    | Bird & Co.                      | 3.910 Acre - No                                                                                                     | 1991                           |                                                         |
| PPE                                     | Freehold Land                   |                                    | Encroachment                    | 3.393 Acre - No                                                                                                     | 1991                           |                                                         |
| PPE                                     | Freehold Land                   |                                    | OMDC                            | 3.023 Acre                                                                                                          | 1991                           |                                                         |

- 28.** The Holding Company has not given any Loans or Advances in the nature of loans which are repayable on demand / without specifying any terms or period of repayment to Promoters, directors, KMPs and the related parties during FY 2024-25 and FY 2023-24.
- 29.** The Holding Company has not advanced / loaned / invested funds (borrowed funds / share premium / any other source or kind of funds) to any other person or an entity including foreign entity (intermediaries) with the understanding that the said intermediary shall
- directly or indirectly lend or invest in other person or entity identified by the company.
  - provide guarantee or security on behalf of the company.
- The Holding Company has not received any fund from any person or entity including foreign entity (funding party) with the understanding that the Company shall
- directly or indirectly lend or invest in other person or entity identified by the funding party.
  - provide guarantee or security on behalf of the funding party.

### 30. Statements of Current Assets filed with Banks and Financial Institutions In Case of Holding Co.

(₹ in Crores)

| Quarter | Name of the Bank                                           | Particulars (Accounting Head) | Amount as per books of Accounts | Amount as reported in quarterly return/ statement | Amount of Difference | Reason for Difference |
|---------|------------------------------------------------------------|-------------------------------|---------------------------------|---------------------------------------------------|----------------------|-----------------------|
| Jun-24  | SBI, UBI, Canara Bank, PNB, IDBI Bank, BOB and Indian Bank | Current Assets                | 6891.83                         | 6891.83                                           | NIL                  | NA                    |
| Sep-24  |                                                            |                               | 6776.81                         | 6776.81                                           | NIL                  | NA                    |
| Dec-24  |                                                            |                               | 8918.74                         | 8918.74                                           | NIL                  | NA                    |
| Mar-25  |                                                            |                               | 8322.32                         | 8230.77                                           | (91.55)              | Note                  |

**Note:** The differences are due to furnishing of quarterly statements to the banks based on provisional financials in order to comply with the timelines as per sanction terms.

**31** All charges and satisfaction of charges are registered with ROC within the statutory period. (Holding Co.)

#### 32A In case of Holding Co.

The Company did not enter into any transactions with companies struck off under section 248 of the Companies Act, 2013 or section 560 of the Companies Act, 1956 during FY 2024-25 and FY 2023-24.

#### 32B In case of EIL

Transactions with companies struck off or under liquidation (Already provided for in the books of accounts)

(₹ in Crores)

| Name of struck-off company or company under liquidation | Nature of transactions with struck-off company | Balance outstanding as on 31.03.2025 | Balance outstanding as on 31.03.2024 |
|---------------------------------------------------------|------------------------------------------------|--------------------------------------|--------------------------------------|
| The Kinnison Jute Mills Co.Ltd.                         | Investments in securities                      | 0.27                                 | 0.27                                 |
| Kumardhubi Fireclay & Silica Works Ltd.                 | Investments in securities                      | 0.20                                 | 0.20                                 |
| Kumardhubi Engg. Works Ltd                              | Investments in securities                      | 0.00                                 | 0.00                                 |
| Kumardhubi Fireclay & Silica Works Ltd.                 | Investments in securities                      | 0.01                                 | 0.01                                 |
| Kumardhubi Engg. Works Ltd.                             | Investments in securities                      | 0.00                                 | 0.00                                 |
| Union Jute Co. Ltd.                                     | Investments in securities                      | -                                    | 0.25                                 |
| The Burrakur Coal Co. Ltd.                              | Investments in securities                      | 0.41                                 | 0.41                                 |
| Holman Climax Manufacturing Ltd.                        | Investments in securities                      | -                                    | 0.10                                 |
| The Karanpura Development Co. Ltd.                      | Investments in securities                      | 0.06                                 | 0.06                                 |
| Sijua (Jheriah) Electric Supply Company Ltd.            | Investments in securities                      | -                                    | 0.05                                 |

#### 32C In case of OMD and BSLC

The Company did not enter into any transactions with companies struck off under section 248 of the Companies Act, 2013 or section 560 of the Companies Act, 1956 during FY 2024-25 and FY 2023-24.

**33** The Holding company has not been declared as wilful defaulter by the Bank/ any Financial Institution during FY 2024-25 and FY 2023-24.

**34** No proceeding has been initiated or pending against the Holding Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder during FY 2024-25 and FY 2023-24.



### 35 Ratios

| Ratio                            | Numerator                                                                        | Denominator                                                                 | Current Period | Previous Period | % of Variance | Reason for variance                                                                                      |
|----------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------|----------------|-----------------|---------------|----------------------------------------------------------------------------------------------------------|
| Current Ratio                    | Current Assets: 8367.06 Crs<br>(Prev Period : 7658.04 Crs)                       | Current Liabilities : 23963.96 Crs<br>(Prev Period : 26376.88 Crs)          | 0.35           | 0.29            | 20%           |                                                                                                          |
| Debt - equity ratio              | Total Debt: 11672.32 Crs<br>(Prev Period : 18616.38 Crs)                         | Shareholder's Equity : 1191.03 Crs<br>(Prev Period : -4498.29 Crs)          | 9.80           | NA*             |               |                                                                                                          |
| Debt service coverage ratio      | Earnings available for Debt Service: 1941.87 Crs<br>(Prev Period : -1358.68 Crs) | Debt Service : 9505.5 Crs<br>(Prev Period : 4703.97 Crs)                    | 0.20           | (0.29)          | (171%)        | Increase in earnings resulted in improved Debt Service Coverage Ratio.                                   |
| Return on equity ratio           | Profit After Tax: -1432.57 Crs<br>(Prev Period : -4850.6 Crs)                    | Average Shareholder's Equity : -1653.63 Crs<br>(Prev Period : -2038.82 Crs) | NA*            | NA*             |               |                                                                                                          |
| Inventory turnover ratio         | Sales: 18399.13 Crs<br>(Prev Period : 23283.96 Crs)                              | Average Inventory : 5453.04 Crs<br>(Prev Period : 5955.49 Crs)              | 3.37           | 3.91            | (14%)         | Decrease in sales when compared to Prev.period resulted in lower Inventory Turnover ratio.               |
| Trade receivables turnover ratio | Net Credit Sales : 1542.26 Crs<br>(Prev Period : 3501.6 Crs)                     | Average Accounts Receivable : 248.06 Crs<br>(Prev Period : 506.77 Crs)      | 6.22           | 6.91            | (10%)         | Decrease in credit sales when compared to prev.period resulted in lower Trade receivables Turnover ratio |
| Trade payables turnover ratio    | Net Credit Purchases : 21210.44 Crs<br>(Prev Period : 24308.98 Crs)              | Average Trade Payables : 7571.76 Crs<br>(Prev Period : 5707.12 Crs)         | 2.80           | 4.26            | (34%)         |                                                                                                          |
| Net capital turnover ratio       | Net Sales: 18399.13 Crs<br>(Prev Period : 23283.96 Crs)                          | Working Capital : -15596.9 Crs<br>(Prev Period : -18718.84 Crs)             | NA**           | NA**            |               |                                                                                                          |
| Net profit ratio                 | Net Profit: -1432.57 Crs<br>(Prev Period : -4850.6 Crs)                          | Net Sales : 18399.13 Crs<br>(Prev Period : 23283.96 Crs)                    | (0.08)         | (0.21)          | (63%)         | Decrease in Loss when compared to the corresponding period.                                              |
| Return on capital employed       | Earning before interest and taxes : -2909.74 Crs<br>(Prev Period : -3046.61 Crs) | Capital Employed : 12749.04 Crs<br>(Prev Period : 14030.32 Crs)             | (0.23)         | (0.22)          | 5%            |                                                                                                          |
| Return on investment             | Income from Invested funds: 0 Crs<br>(Prev Period : 0 Crs)                       | Average Invested Funds : 739.89 Crs<br>(Prev Period : 739.89 Crs)           | NA#            | NA#             |               |                                                                                                          |

\* Networth/Shareholders equity is negative

\*\* Net Working capital is negative

# No Dividend has been received during the year

**36 Revenue from operations**
**(₹ in Crores)**

| Particulars                                              | For the year ended          |                             |
|----------------------------------------------------------|-----------------------------|-----------------------------|
|                                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>A. Sale of products</b>                               |                             |                             |
| Domestic sales (Refer Note no. 36.1 & 36.2)              | 18,399.13                   | 23,013.44                   |
| Less: Sale of trial run production (transferred to CWIP) | -                           | 20.79                       |
|                                                          | <b>18,399.13</b>            | <b>22,992.65</b>            |
| Export sales                                             | -                           | 291.31                      |
| Less: Sale of trial run production (transferred to CWIP) | -                           | -                           |
|                                                          | -                           | 291.31                      |
| <b>Total Sale of Products (A)</b>                        | <b>18,399.13</b>            | <b>23,283.96</b>            |
| <b>B. Other operating revenues</b>                       |                             |                             |
| Internal consumption                                     | 20.90                       | 5.74                        |
| Export benefits                                          | -                           | 4.31                        |
| Dividend Income (Refer Note no. 36.3)                    | 0.04                        | 0.04                        |
| Interest Income                                          | 2.98                        | 4.64                        |
| Others                                                   | 29.37                       | 29.37                       |
| <b>Total other operating revenues (B)</b>                | <b>53.29</b>                | <b>44.11</b>                |
| <b>Total revenue from operations (A+B)</b>               | <b>18,452.42</b>            | <b>23,328.06</b>            |

**36.1** Excluding inter Co.transactions

**36.2** This includes sale of Coal amounting to nil made during FY 2024-25 (FY 2023-24 ₹ 88.10 Crores) (in case of Holding Co)

**In Case of EIL**

**36.3** Dividend Received from Other Investments: Dividend received includes ₹ 0.0001 Crores from SAIL, ₹ 0.01 Crores from HDFC, ₹ 0.04 Crores from ITC, ₹ 0.0002 Crores from Reliance, ₹ 0.002 Crores from India Power Corporation Ltd, ₹ 0.0004 Crores from BEML.

**De- segregation of Revenue**
**Nature of Goods and Services**

The Company is engaged in the manufacturing of Iron and Steel Products and generates revenue primarily from Iron & Steel products which is the only reportable segment of the Company

**(₹ in Crores)**

| Particulars                             | For the year ended          |                             |
|-----------------------------------------|-----------------------------|-----------------------------|
|                                         | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>(1) Primary Geographical Markets</b> |                             |                             |
| Within India                            | 18,399.13                   | 22,992.65                   |
| Outside India                           |                             | 291.31                      |
| <b>Total</b>                            | <b>18,399.13</b>            | <b>23,283.96</b>            |
| <b>(2) Major Products</b>               |                             |                             |
| Iron & Steel                            | 17,374.52                   | 22,032.61                   |
| Other Secondary and by-products         | 1,024.61                    | 1,251.35                    |
| <b>Total</b>                            | <b>18,399.13</b>            | <b>23,283.96</b>            |

**37 Other income**
**(₹ in Crores)**

| Particulars                                              | For the year ended          |                             |
|----------------------------------------------------------|-----------------------------|-----------------------------|
|                                                          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Interest income :                                        |                             |                             |
| Banks                                                    | 12.89                       | 0.35                        |
| Loans to employees                                       | 0.59                        | 1.15                        |
| Others                                                   | 30.41                       | 31.79                       |
| Rent recoveries (Refer Note no 37.1)                     | 149.09                      | 44.74                       |
| Liquidated damages                                       | 15.64                       | 34.42                       |
| Net gain/(loss) on sale of property, plant and equipment | (4.09)                      | 10.38                       |
| Write back of provisions no longer required              | 13.31                       | 7.68                        |
| Sundry receipts                                          | 92.27                       | 49.17                       |
| <b>Total</b>                                             | <b>310.10</b>               | <b>179.68</b>               |

**37.1** This include income recognised towards ad-hoc lease premium of ₹ 45.25 crores (net of GST) received from M/s HPCL and ₹ 1.06 crores (net of GST) received from M/s AMTZ respectively. As at 31.03.2024, these amounts were treated as other deposits within 'Current other financial liabilities' under 'other financial liabilities'.

**38 Cost of material consumed**
**(₹ in Crores)**

| Particulars                                                                | For the year ended          |                             |
|----------------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Raw materials</b>                                                       |                             |                             |
| Coal (Refer note 38.1)                                                     | 7,998.82                    | 10,490.43                   |
| Coke and Coke breeze                                                       | 232.79                      | 567.95                      |
| Iron ore (Refer note 38.2)                                                 | 3,942.28                    | 4,308.00                    |
| Limestone (Refer note 38.2)                                                | 317.08                      | 302.66                      |
| Dolomite (Refer note 38.2)                                                 | 114.24                      | 168.00                      |
| Silico manganese                                                           | 351.38                      | 523.14                      |
| Ferro silicon                                                              | 62.01                       | 138.05                      |
| Aluminium                                                                  | 181.64                      | 178.23                      |
| Manganese ore                                                              | 0.86                        | 1.69                        |
| Petroleum coke                                                             | 32.50                       | 54.16                       |
| Sea Water magnesite                                                        | -                           | 0.47                        |
| Others                                                                     | 109.12                      | 164.41                      |
| <b>Total</b>                                                               | <b>13,342.73</b>            | <b>16,897.20</b>            |
| Less: Material Consumed for trial run production                           | -                           | 3.08                        |
| Less: Material Consumed for Inventory Transferred on account of Slump Sale | -                           | 82.29                       |
| Less: Inter account adjustments - raw material mining cost                 | 68.11                       | 71.16                       |
| <b>Total</b>                                                               | <b>13,274.62</b>            | <b>16,740.67</b>            |

**38.1** This includes Nil of Coal amounting to Nil sold during the FY 2024-25 (FY 2023-24 : 51763.85 MT amounting to ₹ 80.06 Crores) (in case of Holding Co)

**38.2** Excluding inter-company transactions

**39. Changes in inventory of finished goods and work-in-progress**
**(₹ in Crores)**

| Particulars         | For the year ended          |                             |
|---------------------|-----------------------------|-----------------------------|
|                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Opening stock       | 2,432.33                    | 3,523.14                    |
| Less: Closing stock | 2,282.58                    | 2,432.33                    |
| <b>Total</b>        | <b>149.75</b>               | <b>1,090.81</b>             |

**Note : (i) Write down of inventories charged as expense (In case of Holding Co)**
**(₹ in Crores)**

| Particulars                                         | For the year ended          |                             |
|-----------------------------------------------------|-----------------------------|-----------------------------|
|                                                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Cost of inventories valued at net realisable value  | 1,414.40                    | 1,869.43                    |
| Inventories valued at net realisable value          | 1,305.56                    | 1,775.52                    |
| <b>Write down of inventories charged as expense</b> | <b>108.84</b>               | <b>93.90</b>                |

**40. Employee benefits expense**
**(₹ in Crores)**

| Particulars                                    | For the year ended          |                             |
|------------------------------------------------|-----------------------------|-----------------------------|
|                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Salaries and wages                             | 2,090.37                    | 2,180.37                    |
| Contribution to provident fund and other funds | 292.28                      | 315.31                      |
| Staff welfare expenses                         | 139.52                      | 153.50                      |
| <b>Total</b>                                   | <b>2,522.17</b>             | <b>2,649.17</b>             |

**Note : (i) In the case of Holding Co, Expenditure on Employee benefits not included above and charged to :**
**(₹ in Crores)**

| Particulars                                                       | For the year ended          |                             |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Capital Work in Progress / Expenditure During Construction</b> |                             |                             |
| Salaries and wages                                                | 0.04                        | 0.08                        |
| Company's contribution - provident fund & other funds             | -                           | 0.01                        |
| <b>Total</b>                                                      | <b>0.04</b>                 | <b>0.09</b>                 |

**41. Finance costs**
**(₹ in Crores)**

| Particulars                                        | For the year ended          |                             |
|----------------------------------------------------|-----------------------------|-----------------------------|
|                                                    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Interest expense on financial liabilities :</b> |                             |                             |
| Foreign currency facilities                        | 190.52                      | 174.02                      |
| Bank loans                                         | 1,502.55                    | 1,796.14                    |
| Others                                             | 412.02                      | 164.69                      |
| Other borrowing costs                              | 67.12                       | 46.92                       |
| <b>Total</b>                                       | <b>2,172.21</b>             | <b>2,181.77</b>             |

**Note: (i) In the case of Holding Co, Expenditure on Finance cost not included above and charged to :  
(₹ in Crores)**

| Particulars                                                       | For the year ended          |                             |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Capital Work in Progress / Expenditure During Construction</b> |                             |                             |
| Interest - Banks                                                  | 78.00                       | 102.15                      |
| Interest on Lease Liability                                       | -                           | 0.30                        |
| <b>Total</b>                                                      | <b>78.00</b>                | <b>102.45</b>               |

**Note: (ii) In the case of general capex borrowings, the capitalisation rate of borrowing cost for FY 2024-25 is 10.54% (previous year 9.99%)**

#### **42. Depreciation and amortisation expense** (₹ in Crores)

| Particulars                                   | For the year ended          |                             |
|-----------------------------------------------|-----------------------------|-----------------------------|
|                                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Depreciation of property, plant and equipment | 1,158.78                    | 1,294.61                    |
| Amortisation of intangible assets             | 3.58                        | 2.25                        |
| Impairment, Adjustments                       | 3.17                        | -                           |
| Amortisation of CWIP                          | -                           | 2.59                        |
| <b>Total</b>                                  | <b>1,165.53</b>             | <b>1,299.44</b>             |

#### **In Case of OMDC**

Expenditure incurred for obtaining required clearances to operate the mines subsequent to the allotment of their lease is capitalised as Intangible Assets.

Considering the verdict of Hon'ble Supreme Court of India on 16.05.2024, net intangible asset (Mining Rights) w.r.t. the three BPMEL mines is considered asset impaired in the current FY 2024-25 and charged to revenue accordingly.

#### **43. Other expenses** (₹ in Crores)

| Particulars                                                         | For the year ended          |                             |
|---------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Consumption of stores and spare parts                               | 859.65                      | 999.03                      |
| Power and fuel (Refer note 43.5.1)                                  | 1,622.10                    | 1,706.25                    |
| Repairs and maintenance (Refer note 43.5.2)                         | 548.41                      | 601.30                      |
| Remuneration to auditors (Refer note 43.5.3)                        | 0.40                        | 0.35                        |
| Rent                                                                | 1.46                        | 1.99                        |
| Rates and taxes                                                     | 13.88                       | 5.86                        |
| Insurance                                                           | 58.44                       | 56.83                       |
| Handling and scrap recovery                                         | 181.14                      | 264.35                      |
| Freight outward                                                     | 337.40                      | 507.67                      |
| Research and development expense                                    | 1.79                        | 0.50                        |
| <b>Provisions</b>                                                   |                             |                             |
| Shortage/damaged material/obsolescence / non-moving items of stores | 13.33                       | 0.51                        |
| Doubtful advances and claims                                        | 4.21                        | 2.65                        |
| Provision for Unsuccessful Projects                                 | -                           | 3.44                        |

| Particulars                                                           | For the year ended          |                             |
|-----------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Write-offs</b>                                                     |                             |                             |
| Property, plant and equipment written off                             | 19.16                       | 4.11                        |
| Bad debts                                                             | -                           | 29.68                       |
| Sundries (Refer note 43.4)                                            | 134.68                      | 129.15                      |
| Net (Gain) /Loss arising on Financial instruments designated as FVTPL | (53.81)                     | (6.96)                      |
| Miscellaneous expenses (Refer note 43.5.4)                            | 618.64                      | 562.62                      |
| <b>Total</b>                                                          | <b>4,360.87</b>             | <b>4,869.33</b>             |

Note:-

**In case of Holding Co:**

**43.1** Development expenditure is capitalized only if it can be measured reliably and the related asset and process are identifiable and controlled by the Company.

**43.2** Expenditure towards research and other development is accounted under the primary heads of account and is expensed as and when incurred.

**43.3** Capital Expenditure on Research and Development is included in the Intangible assets.

**In case of OMDC :**

**43.4** Compensation against Excess Mining:- Pursuant to the Judgement of Hon'ble Supreme Court dated 02.08.2017, Dy. Director of Mines, Odisha had issued different demand notices dated 02.09.2017, 23.10.2017 & 23.12.2017 to BPMEL towards compensation. The amount of Demand for BPMEL Leases is ₹ 861.57 Crores towards EC, FC and MP/CTO. OMDC had been operating BPMEL Leases backed by Power of Attorney to sign and execute all mining leases and other mineral concessions from time to time. OMDC paid a sum of ₹ 27.15 Crores (₹ 25.15 Crores on 29.12.2017 and ₹ 2.00 Crores on 16.11.2018) towards compensation for BPMEL Leases as an advance under protest. The remaining amount of compensation including interest upto 31.03.2025 against BPMEL Leases amounting ₹1929.38 Crores are shown under Contingent Liability. A provision is created in current financial year against the advance of ₹ 27.15 Crores by charging off to revenue.

**43.5.1 Power and fuel**

(₹ in Crores)

| Particulars            | For the year ended          |                             |
|------------------------|-----------------------------|-----------------------------|
|                        | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Purchased power        | 1,007.39                    | 1,114.98                    |
| Coal                   | 611.07                      | 567.94                      |
| Furnace oil/ LSHS/ LDO | 3.64                        | 23.32                       |
| <b>Total</b>           | <b>1,622.10</b>             | <b>1,706.25</b>             |

Cost of Power and fuel does not include the cost of generation of power and production of certain fuel elements in the plant of Holding Co. which are internally consumed. The related expenses have been included under the primary heads of account.

**43.5.1 A Provision for FPPCA Charges: (In case of Holding Co.,)**

In accordance with the award for recovery of Fuel and Power purchase cost adjustment (FPPCA) charges from power consumers for the period covering FY 2022-23 and FY 2023-24, an amount of ₹ 235.43 crores becomes payable by the company as per the rates and recovery schedule prescribed by the Andhra Pradesh Electricity Regulation Commission (APERC) purposes.



**43.5.2 Repairs and maintenance**
**(₹ in Crores)**

| Particulars         | For the year ended          |                             |
|---------------------|-----------------------------|-----------------------------|
|                     | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Plant and Equipment | 390.70                      | 414.92                      |
| Buildings           | 23.30                       | 31.65                       |
| Others              | 134.41                      | 154.73                      |
| <b>Total</b>        | <b>548.41</b>               | <b>601.30</b>               |

**43.5.3 Remuneration to Auditors**
**(₹ in Crores)**

| Particulars                  | For the year ended          |                             |
|------------------------------|-----------------------------|-----------------------------|
|                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| As auditor - statutory audit | 0.28                        | 0.28                        |
| In other capacity            |                             |                             |
| Tax Audit                    | 0.04                        | 0.04                        |
| Other services               | 0.06                        | 0.01                        |
| Reimbursement of expenses    | 0.02                        | 0.02                        |
| <b>Total</b>                 | <b>0.40</b>                 | <b>0.35</b>                 |

**43.5.4 Miscellaneous expenses**
**(₹ in Crores)**

| Particulars                | For the year ended          |                             |
|----------------------------|-----------------------------|-----------------------------|
|                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Technical services         | 10.08                       | 11.23                       |
| Travelling expenses        | 51.63                       | 61.29                       |
| Printing and stationery    | 2.24                        | 2.51                        |
| Postage and telephone      | 1.39                        | 1.51                        |
| Water Charges              | 114.63                      | 102.14                      |
| Legal expenses             | 12.88                       | 4.04                        |
| Bank charges               | 25.00                       | 19.48                       |
| Security expenses          | 99.63                       | 128.39                      |
| Entertainment expenses     | 1.37                        | 1.67                        |
| Advertisement              | 0.17                        | 1.51                        |
| Demurrages and wharfages   | 139.08                      | 166.60                      |
| ISO Audit Expenses         | 0.15                        | 0.05                        |
| Selling expenses           | 12.27                       | 15.77                       |
| Exchange differences (Net) | 148.13                      | 46.44                       |
| <b>Total</b>               | <b>618.64</b>               | <b>562.62</b>               |

**43.5.5 Details of Corporate Social Responsibility expenditure**
**(₹ in Crores)**

| Particulars                                                    | Holding Co.                 |                             | BSLC                        |                             |
|----------------------------------------------------------------|-----------------------------|-----------------------------|-----------------------------|-----------------------------|
|                                                                | For the year ended          |                             | For the year ended          |                             |
|                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| (a) Amount required to be spent by the Company during the year | Nil                         | Nil                         | 0.15                        | 0.18                        |
| (b) Amount spent during the year                               |                             |                             |                             |                             |
| - Construction/ acquisition of any asset                       | 0.00                        | 0.00                        | 0.00                        | 0.00                        |
| - On purpose other than above                                  | 0.00                        | 0.00                        | 0.00                        | 0.00                        |
| <b>Total</b>                                                   | <b>0.00</b>                 | <b>0.00</b>                 | <b>0.00</b>                 | <b>0.00</b>                 |

**43.5.6 In the case of Holding Co, Expenditure on Other expenses not included above and charged to : (₹ in Crores)**

| Particulars                                                       | For the year ended          |                             |
|-------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                   | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| <b>Capital Work in Progress / Expenditure During Construction</b> |                             |                             |
| Power and fuel                                                    | 0.40                        | 0.68                        |
| <b>Total</b>                                                      | <b>0.40</b>                 | <b>0.68</b>                 |

**43A Exceptional items (in case of Holding Co.)**
**(₹ in Crores)**

| Particulars                                                                   | For the year ended          |                             |
|-------------------------------------------------------------------------------|-----------------------------|-----------------------------|
|                                                                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
| Slump Sale of FWP (Refer note 43A.1)                                          | -                           | (102.72)                    |
| Write Back of Provision no longer required (Refer Note 43 A.2)                | (51.72)                     |                             |
| Gains arising on monetization of non-current asset (land) (Refer Note 43 A.3) | (222.72)                    |                             |
| Voluntary Retirement Compensation (Refer Note 43A.4)                          | 465.00                      |                             |
| <b>Total</b>                                                                  | <b>190.56</b>               | <b>(102.72)</b>             |

**In case of Holding Co:**

**43A.1** The amount of ₹ 102.72 Crores relates to Gain on Slump Sale of Forged Wheel Plant (FWP) to Modern Coach Factory (MCF), Rae Bareilly (Refer Note 58 B)

**43 A.2 Write of Provision no longer required**
**Termination of Farewell scheme:**

The Board in its 368<sup>th</sup> meeting held on 26<sup>th</sup> December 2024 has resolved to terminate the Farewell scheme, a defined benefit plan which provides for giving of 10gms gold coin to all superannuating regular employees of the company. Accordingly, the cumulative provision / liability of ₹ 49.67 crores towards the said scheme has been written back / reversed during the current financial year. As the provision for the said scheme was created over many years, the write back of such provision on account of termination of a defined benefit plan has been treated as an exceptional item for reporting purposes.

**Termination of Long service award scheme:**

The Board in its 368<sup>th</sup> meeting held on 26<sup>th</sup> December 2024 has resolved to terminate the Long service award scheme, a defined benefit plan which provides for giving of silver coin to regular employees of the company who put up 25 years of service in the company. Accordingly, the cumulative provision / liability of ₹ 2.06 crores towards the said scheme has been written back / reversed during the current financial year. As the provision for the said scheme was created over many years, the write back of such provision on account of termination of a defined benefit plan has been treated as an exceptional item for reporting purposes.

**43 A.3 Gains arising on monetization of non-current asset (land):**

The gain of ₹ 222.72 crores arising during the current financial year on account of monetization of non-core asset (land) located in Visakhapatnam as referred at Note no. 15.1 has been treated as an exceptional item since the same represents significant amount as a result of sale of an item of non-current asset.

#### 43 A.4 Voluntary Retirement Compensation:

As a part of efforts for revival of the company, the VRS Scheme was implemented. 1123 employees have opted for VRS and got relieved from service on 31.03.2025.

Subsequently, the company has again issued VRS circular dated :- 14<sup>th</sup> June 2025, inviting applications from interested employees to opt for the scheme. Thus the second installment of VRS Scheme is in progress.

#### 44 Details of Corporate Social Responsibility

(₹ in Crores)

| Particulars                                          | Holding Co                  |                             | BSLC                                                    |                             |
|------------------------------------------------------|-----------------------------|-----------------------------|---------------------------------------------------------|-----------------------------|
|                                                      | For the year ended          |                             | For the year ended                                      |                             |
|                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 | 31 <sup>st</sup> March 2025                             | 31 <sup>st</sup> March 2024 |
| Amount required to be Spent during the year          | NIL                         | NIL                         | 0.15                                                    | 0.18                        |
| Amount of Expenditure Incurred                       | NIL                         | NIL                         | -                                                       | -                           |
| Shortfall at the end of the year                     | NIL                         | NIL                         | 0.15                                                    | 0.18                        |
| Total of Previous year Short fall                    | NIL                         | NIL                         | 0.18                                                    | 0.03                        |
| Reasons for Shortfall                                | NA                          | NA                          | Due to non-availability of members in the CSR committee |                             |
| <b>Nature of CSR Activities</b>                      |                             |                             |                                                         |                             |
| Skill Development for unemployed/needy youth         |                             |                             |                                                         |                             |
| Women empowerment for female artisans                |                             |                             |                                                         |                             |
| Senior citizen care through helping hands initiative | NA                          | NA                          | NA                                                      | NA                          |
| Health and Education                                 |                             |                             |                                                         |                             |
| Details of related party transactions -              | NIL                         | NIL                         | NIL                                                     | NIL                         |
| Contribution to CSR Foundation                       |                             |                             |                                                         |                             |

- 45 There are no transactions that have been surrendered or disclosed as income during FY 2024-25 and FY 2023-24 in the tax assessments under the Income Tax Act, 1961. Also the Company has not traded/ invested in Crypto currency or Virtual currency during FY 2024-25 and FY 2023-24. (In case of Holding Co.,)

#### 46 (a) Statement of Compliance

These are the Group's consolidated financial statements prepared in accordance with IND AS.

| Name of the Company                                      | Ownership in % either directly or through Subsidiaries @ 2024-25 | Ownership in % either directly or through Subsidiaries @ 2023-24 | Country of Incorporation |
|----------------------------------------------------------|------------------------------------------------------------------|------------------------------------------------------------------|--------------------------|
| <b>A. Subsidiaries:</b>                                  |                                                                  |                                                                  |                          |
| Eastern Investments Limited (EIL)                        | 51.00                                                            | 51.00                                                            | India                    |
| Subsidiaries of EIL:                                     |                                                                  |                                                                  |                          |
| 1. The Orissa Minerals Development Company Limited(OMDC) | 50.01                                                            | 50.01                                                            | India                    |
| 2. The Bisra Stone Lime Company Limited(BSLC)            | 50.22                                                            | 50.22                                                            | India                    |

M/s Borrea Coal company limited (one of the subsidiary of EIL) was liquidated and has been struck off as per Ministry of corporate affairs website. Accordingly, the value of investment in M/s Borrea Coal Company limited has been written off in the books of accounts of EIL.

The associate companies of M/s EIL i.e, The Burrakur Coal Co.Ltd and The Karanpura Development Co.Ltd have gone into liquidation and official liquidators have taken possession of all the Books and as a result, no financial statements of the above said companies have been prepared and have not been considered in preparation of group consolidated financial statements.

## **B. Joint ventures**

|                             |       |       |       |
|-----------------------------|-------|-------|-------|
| RINL POWERGRID TLT Pvt Ltd* | 50.00 | 50.00 | India |
|-----------------------------|-------|-------|-------|

## **C. Associate**

|                                            |       |       |       |
|--------------------------------------------|-------|-------|-------|
| International Coal Ventures Pvt Ltd (ICVL) | 25.94 | 25.94 | India |
|--------------------------------------------|-------|-------|-------|

\*The Board of Joint Venture Company RPTPL has directed to form a Joint Working Committee to expedite the process for short closing of all contracts. Further the company has not prepared Financial Statements on the assumption of Going Concern and the company will not be able to do further any activity in near future. During the year 2019-20 holding company's share in the losses of RPTPL exceeds its interest in RPTPL. In line with Para no. 38 of Ind AS 28, the holding co. restricted its share in the losses to the interest in the RPTPL

## **47 Employee benefits**

### **A In case of Holding Co.**

#### **(i) a) Contribution to Superannuation Benefit Scheme**

An amount of ₹ 39.68 Crores (31<sup>st</sup> March 2024: ₹ 42.09 Crores) recognised in the Statement of Profit and Loss and 'Nil' (31<sup>st</sup> March 2024 : 'Nil') in Capital Work in Progress towards Superannuation Benefit Scheme (Post Employment Benefit - Defined Contribution Plan).

#### **b) Pension**

The cumulative provision/liability towards pension benefit (Post Employment Benefit - Defined Contribution Plan) for executive & non-executive employees, amounting to ₹ 358.67 Crores (CPLY: ₹ 362.95 Crores.)

#### **(ii) Other Long-term employee benefits**

Liability towards other long-term employee benefits:- leave encashment and long service award etc ., are determined on actuarial valuation by qualified actuary by using Projected Unit Credit Method.

The current service cost of other long term employee benefits, recognized in the statement of Profit and Loss as part of employee benefit expenses, reflects the increase in the obligation resulting from employee service in the current year, benefit changes, curtailments and settlements.

#### **(iii) General description of the post employment benefits**

##### **a) Provident fund**

The Company pays fixed contribution to Provident Fund, at predetermined rates, to a separate Trust, which invests the funds in permitted securities. On the contributions, the trust is required to pay a minimum rate of interest, to the members, as specified by Government of India. The obligation of the Company is limited to the shortfall in the rate of interest on the Contribution based on its return on investments as compared to the declared rate.

The defined benefit plans expose the Company to actuarial risks, such as longevity risk, currency risk, interest rate risk and market (investment) risk.

**b) Gratuity**

The Company has a defined benefit gratuity plan in India, governed by the Payment of Gratuity Act, 1972. The Gratuity plan entitles an employee, who has rendered at least five years of continuous service, to receive 15 days salary for each year of completed service at the time of retirement/ exit for service upto 30 Years and to receive one month salary for each year of completed service for service above 30 years. The defined benefit plan for gratuity is administered by a single gratuity trust that is legally separate from the company. Gratuity is fully funded by the Company. The funding requirements are based on the gratuity fund's actuarial measurement framework set out in the funding policies of the plan. Employees do not contribute to the plan.

**c) Retirement settlement benefits**

The retired employees, their dependents, as also the dependents of the employees expired while in service are entitled for travel and transport expenses to their place of permanent residence. Provisions / Liabilities are made based on the Actuarial valuation at each reporting date. Actuarial gain / loss relating to this scheme are recognized in Other Comprehensive Income.

**d) Retirement medical benefits**

- (i) Medical benefits are available to all employees at the Company's hospital and under the health insurance policy under Group Medical Insurance Coverage Scheme (GMICS). Provisions / Liabilities are made based on the Actuarial valuation at each reporting date. Actuarial gain / loss relating to this scheme are recognized in Other Comprehensive Income.
- (ii) For Executive employees retired on or after 01.01.2007, the company is operating Post Retirement Medical Scheme under Defined Contribution Plan as an option along with GMICS. The defined contribution plan for PRMS is administered by a single PRMS trust that is legally separate from the company.

**e) Farewell scheme**

Employees superannuating from the service of the company shall be given 10 Gms of gold each. The scheme shall cover all regular employees of the company. Provisions / Liabilities are made based on the Actuarial valuation at each reporting date. Actuarial gain / loss relating to this scheme are recognized in Other Comprehensive Income. The Board in its 368<sup>th</sup> meeting held on 26<sup>th</sup> December 2024 decided to terminate the scheme.

**B In case of Subsidiary****(i) Defined contribution plan**

- a) Provident fund: Company pays fixed contribution to Provident Fund at the rate of 12 % on Basic and dearness allowance.

**(ii) Defined benefit plans**

- a) Gratuity: Payable on separation @ 15 days pay for each completed year of service to eligible employees who render continuous service of 5 years or more and maximum payable amount is calculated as per Gratuity Act. The gratuity amount is not covered and the provision on account of gratuity is being made as per the actuarial valuation.
- b) Earned Leave Benefits: Payable on separation for a maximum allocation of 300 days salary (Definition of Salary is last drawn Basic+IDA). This is as per the guidelines issued for the CPSE.
- c) Half privilege Leave Benefits: Payable on separation for a maximum allocation of 300 days half salary ( Definition of Salary is last drawn Basic+IDA). This is as per the guidelines issued for the CPSE.

These plans typically expose the group to actuarial risks such as actuarial risk, investment risk, interest risk, longevity risk and salary risk.

- i. Actuarial risk: It is the risk that benefits will cost more than expected. This can arise due to one of the following reasons:

Adverse Salary Growth Experience: Salary hikes that are higher than the assumed salary escalation will result into an increase in Obligation at a rate that is higher than expected.

Variability in mortality rates: If actual mortality rates are higher than assumed mortality rate assumption than the Gratuity benefits will be paid earlier than expected. Since there is no condition of vesting on the death benefit, the acceleration of cashflow will lead to an actuarial loss or gain depending on the relative values of the assumed salary growth and discount rate.

Variability in withdrawal rates: If actual withdrawal rates are higher than assumed withdrawal rate assumption than the Gratuity benefits will be paid earlier than expected. The impact of this will depend on whether the benefits are vested as at their signification date.

- ii. Investment risk: For funded plans that rely on insurers for managing the assets, the value of assets certified by the insurer may not be the fair value of instruments backing the liability. In such cases, the present value of the assets is independent of the future discount rate. This can result in wide fluctuations in the net liability or the funded status if there are significant changes in the discount rate during the inter-valuation period.
- iii. Liquidity risk: Employees with high salaries and long durations or those higher in hierarchy, accumulate significant level of benefits. If some of such employees resign/retire from the company there can be strain on the cashflows.
- iv. Market risk: Market risk is a collective term for risks that are related to the changes and fluctuations of the financial markets. One actuarial assumption that has a material effect is the discount rate. The discount rate reflects the time value of money. An increase in discount rate leads to decrease in Defined Benefit Obligation of the plan benefits and vice versa. This assumption depends on the yields on the corporate/government bonds and hence the valuation of liability is exposed to fluctuations in the yields as at the valuation date.
- v. Legislative risk: Legislative risk is the risk of increase in the plan liabilities or reduction in the plan assets due to change in the legislation/regulation. The government may amend the Payment of Gratuity Act thus requiring the companies to pay higher benefits to the employees. This will directly affect the present value of the Defined Benefit Obligation and the same will have to be recognized immediately in the year when any such amendment is effective.
- vi. Interest risk: A decrease in interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan assets.
- vii. Longevity risk: The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
- viii. Salary risk: The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

No other post-retirement benefits are provided to these employees.



(iv) Other disclosures\*, as required under IND AS 19 on "Employee Benefits", in respect of defined benefit obligations are :-  
a) Reconciliation of Present Value of Defined Benefit Obligation (₹ in Crores)

| S. No | Particulars                                                                               | Gratuity #           | Leave Encashment #   | Post Retirement Medical Benefits | Long Service Award | Farewell         | Post Retirement Settlement Benefit | Employee Family Benefit | LTC/ LTA           |
|-------|-------------------------------------------------------------------------------------------|----------------------|----------------------|----------------------------------|--------------------|------------------|------------------------------------|-------------------------|--------------------|
| i)    | Present Value of defined benefit obligations as at the beginning of the year              | 1538.38<br>(1557.68) | 1028.37<br>(1017.99) | 577.16<br>(498.29)               | 2.06<br>(2.16)     | 49.67<br>(50.88) | 29.97<br>(31.31)                   | 168.34<br>(206.04)      | 35.94<br>(43.56)   |
| ii)   | Service cost                                                                              | 23.36<br>(33.37)     | 58.08<br>(74.06)     | 10.46<br>(9.75)                  | 0.00<br>(0.15)     | 0.00<br>(1.41)   | 0.61<br>(1.34)                     | -<br>-                  | 2.95<br>(3.66)     |
| iii)  | Actuarial loss/ (gain) on obligation                                                      | 127.73<br>(44.64)    | 51.11<br>(7.35)      | 146.16<br>(61.92)                | 0.00<br>(-0.24)    | 0.00<br>(-2.36)  | -7.32<br>(-3.72)                   | 16.64<br>(21.17)        | -10.10<br>(-11.78) |
| iv)   | Interest cost                                                                             | 95.53<br>(106.11)    | 68.39<br>(69.15)     | 40.60<br>(35.35)                 | 0.00<br>(0.14)     | 0.00<br>(3.51)   | 1.85<br>(2.15)                     | 10.30<br>(13.09)        | 2.00<br>(3.08)     |
| v)    | Benefits paid                                                                             | 470.83<br>(203.42)   | 264.48<br>(140.32)   | 13.86<br>(28.15)                 | 0.00<br>(0.15)     | 0.00<br>(3.77)   | 1.08<br>(1.11)                     | 51.87<br>(71.96)        | 1.12<br>(2.58)     |
| vi)   | Past service cost                                                                         | -<br>-               | 0.26<br>-            | -7.72<br>-                       | -<br>-             | -<br>-           | -<br>-                             | -<br>-                  | -<br>-             |
| vii)  | Losses/(Gains) on curtailments/settlements                                                | -<br>-               | -<br>-               | -<br>-                           | -2.06<br>-         | -49.67<br>-      | -<br>-                             | -<br>-                  | -<br>-             |
| viii) | Present value of defined benefit obligations as at end of the year (i+ii+iii+iv-v+vi+vii) | 1314.17<br>(1538.38) | 941.74<br>(1028.23)  | 752.80<br>(577.16)               | 0.00<br>(2.06)     | 0.00<br>(49.67)  | 24.03<br>(29.97)                   | 143.41<br>(168.34)      | 29.67<br>(35.94)   |

b) Reconciliation of Fair Value of Plan Assets

| S.No. | Particulars                                            | Gratuity #           | Leave Encashment # |
|-------|--------------------------------------------------------|----------------------|--------------------|
| i)    | Fair Value of plan assets at the beginning of the year | 1197.39<br>(1292.74) | 610.27<br>(566.18) |
| ii)   | Expected return on plan assets                         | 72.46<br>(87.41)     | 32.46<br>(34.88)   |
| iii)  | Actual company contribution                            | 1.32<br>(10.33)      | -<br>-             |
| iv)   | Actuarial gain/ (loss) on plan assets                  | 11.27<br>(6.78)      | -19.45<br>(9.21)   |

| S. No. | Particulars                                                      | Gratuity #           | Leave Encashment #  |
|--------|------------------------------------------------------------------|----------------------|---------------------|
| v)     | Benefits paid                                                    | 468.90<br>(199.87)   | 436.54<br>-         |
| vi)    | Fair value of plan assets at the end of the year (i+ii+iii+iv-v) | 813.54<br>(1197.39)  | 186.74<br>(610.27)  |
| vii)   | Present Value of Defined Benefit Obligation                      | 1314.17<br>(1538.38) | 941.74<br>(1028.23) |
| viii)  | Net Liability recognised in the Balance Sheet (vii-vi)           | 500.63<br>(340.99)   | 755.00<br>(417.96)  |

**c) Expenses recognised in the Statement of Profit and Loss for the Year** (₹ in Crores)

| S. No | Particulars                                   | Gratuity #        | Leave Encashment # | Post Retirement Medical Benefits | Long Service Award | Farewell         | Post Retirement Settlement Benefit | Employee Family Benefit Scheme | LTC/ LTA           |
|-------|-----------------------------------------------|-------------------|--------------------|----------------------------------|--------------------|------------------|------------------------------------|--------------------------------|--------------------|
| i)    | Service cost                                  | 23.36<br>(33.37)  | 58.16<br>(74.09)   | 10.46<br>(9.75)                  | 0.00<br>(0.15)     | 0.00<br>(1.41)   | 0.61<br>(1.34)                     | -                              | 2.95<br>(3.66)     |
| ii)   | Interest cost                                 | 94.82<br>(105.36) | 68.47<br>(69.19)   | 40.60<br>(35.35)                 | 0.00<br>(0.14)     | 0.00<br>(3.51)   | 1.85<br>(2.15)                     | 10.30<br>(13.09)               | 2.00<br>(3.08)     |
| iii)  | Actuarial losses/ (gains)                     | 116.46<br>(37.85) | 70.57<br>(-1.79)   | 146.16<br>(61.92)                | 0.00<br>(-0.24)    | 0.00<br>(-2.36)  | -7.32<br>(-3.72)                   | 16.64<br>(21.17)               | -10.10<br>(-11.78) |
| iv)   | Past service cost                             | -                 | 0.26               | -                                | -                  | -                | -                                  | -                              | -                  |
| v)    | Losses/(Gains) on curtailments/ settlements   | -                 | -                  | -                                | -2.06              | -49.67           | -                                  | -                              | -                  |
| vi)   | Expected return on plan assets                | 71.74<br>(86.67)  | 32.46<br>(34.88)   | -                                | -                  | -                | -                                  | -                              | -                  |
| vii)  | Total (i+ii+iii+iv+v-vi)                      | 162.89<br>(89.92) | 165.01<br>(106.61) | 197.22<br>(107.02)               | -2.06<br>(0.05)    | -49.67<br>(2.56) | -4.86<br>(-0.23)                   | 26.94<br>(34.26)               | -5.15<br>(-5.04)   |
| viii) | Employee Benefit Expenses :                   |                   |                    |                                  |                    |                  |                                    |                                |                    |
|       | a) Charged to Statement of Profit & Loss      | 46.43<br>(52.06)  | 165.01<br>(106.61) | 51.06<br>(45.10)                 | -2.06<br>(0.05)    | -49.67<br>(4.92) | 2.46<br>(3.49)                     | 26.94<br>(34.26)               | -5.15<br>(-5.04)   |
|       | b) Charged to Expenditure during construction | -                 | -                  | -                                | -                  | -                | -                                  | -                              | -                  |
|       | c) Charged to OCI                             | 116.46<br>(37.85) | -                  | 146.16<br>(61.92)                | -                  | 0.00<br>(-2.36)  | -7.32<br>(-3.72)                   | -                              | -                  |

\* figures in brackets represents previous year figures # including that of EIL Group

**d) Investments of Gratuity Trust and Leave Encashment Fund are as follows:- (In case of Holding Co.)**

| Particulars           | % of Investment  |                  |                  |                  |
|-----------------------|------------------|------------------|------------------|------------------|
|                       | As at 31.03.2025 |                  | As at 31.03.2024 |                  |
|                       | Gratuity         | Leave Encashment | Gratuity         | Leave Encashment |
| Insurance Investments | 100              | 100              | 100              | 100              |

**e) Actuarial assumptions**
**In Case of Holding Co**

Principal actuarial assumptions at the reporting date (expressed as weighted averages):

| Particulars                             | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------|-----------------------------|-----------------------------|
| Discount rate                           | 6.60%                       | 7.15%                       |
| Rate of increase in compensation levels | 7.00%                       | 7.00%                       |
| Expected return on plan assets          | 6.60%                       | 7.15%                       |
| Medical Inflation Rate                  | 5.00%                       | 5.00%                       |
| Withdrawal Rate                         | 1.00%                       | 1.00%                       |
| Mortality Rate                          | IALM (2012-14)<br>Ultimate  | IALM (2012-14)<br>Ultimate  |

Weighted average duration of the retiring gratuity obligation is 5.71 years (31<sup>st</sup> March 2024 :- 4.91 Years)

**In Case of Subsidiaries**

| Particulars                                       | 31 <sup>st</sup> March 2025                            | 31 <sup>st</sup> March 2024                            |
|---------------------------------------------------|--------------------------------------------------------|--------------------------------------------------------|
| <b>Discount rate</b>                              |                                                        |                                                        |
| - The Bisra Stone Lime Company Limited            | 6.55%                                                  | 7.15%                                                  |
| - The Orissa Minerals Development Company Limited | 6.60%                                                  | 7.30%                                                  |
| <b>Expected rate (s) of salary increase</b>       |                                                        |                                                        |
| - The Bisra Stone Lime Company Limited            | 5.00%                                                  | 5.00%                                                  |
| - The Orissa Minerals Development Company Limited | 5.00%                                                  | 5.00%                                                  |
| <b>Withdrawal Rate</b>                            |                                                        |                                                        |
| - The Bisra Stone Lime Company Limited            | 0.3% at younger ages<br>reducing to 0.2% at older ages | 0.3% at younger ages<br>reducing to 0.2% at older ages |
| - The Orissa Minerals Development Company Limited | 3% at younger ages<br>reducing to 1% at older ages     | 3% at younger ages<br>reducing to 1% at older ages     |

**f) Sensitivity analysis (In case of Holding Co.)**

Reasonably possible changes at the reporting date to one of the relevant actuarial assumptions, holding other assumptions constant, would have affected the defined benefit obligation and current service cost by the amounts shown below:

**- Gratuity**
**(₹ in Crores)**

| Particulars                                                    | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                                | Increase                    | Decrease | Increase                    | Decrease |
| 1. Effect of 0.5% Change in the assumed discount rate          |                             |          |                             |          |
| - Defined benefit obligation                                   | (31.65)                     | 33.91    | (32.12)                     | 34.07    |
| - Current service cost                                         | -                           | -        | -                           | -        |
| 2. Effect of 0.5% Change in the assumed salary escalation rate |                             |          |                             |          |
| - Defined benefit obligation                                   | 5.61                        | (6.34)   | 8.59                        | (8.96)   |
| - Current service cost                                         | -                           | -        | -                           | -        |

**- Retirement medical benefits**
**(₹ in Crores)**

| Particulars                                                    | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                                | Increase                    | Decrease | Increase                    | Decrease |
| 1. Effect of 0.5% Change in the assumed discount rate          |                             |          |                             |          |
| - Defined benefit obligation                                   | (50.11)                     | 56.16    | (39.90)                     | 44.83    |
| - Current service cost                                         | -                           | -        | -                           | -        |
| 2. Effect of 0.5% Change in the assumed medical inflation rate |                             |          |                             |          |
| - Defined benefit obligation                                   | 57.01                       | (51.24)  | 45.59                       | (40.87)  |
| - Current service cost                                         | -                           | -        | -                           | -        |

**- Retirement settlement benefits**
**(₹ in Crores)**

| Particulars                                        | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                    | Increase                    | Decrease | Increase                    | Decrease |
| Effect of 0.5% Change in the assumed discount rate |                             |          |                             |          |
| - Defined benefit obligation                       | (0.47)                      | 0.50     | (0.54)                      | 0.57     |
| - Current service cost                             | -                           | -        | -                           | -        |

**- Farewell scheme**
**(₹ in Crores)**

| Particulars                                        | 31 <sup>st</sup> March 2025 |          | 31 <sup>st</sup> March 2024 |          |
|----------------------------------------------------|-----------------------------|----------|-----------------------------|----------|
|                                                    | Increase                    | Decrease | Increase                    | Decrease |
| Effect of 0.5% Change in the assumed discount rate |                             |          |                             |          |
| - Defined benefit obligation                       | -                           | -        | (1.02)                      | 1.08     |
| - Current service cost                             | -                           | -        | -                           | -        |

Although the analysis does not take account of the full distribution of cash flows expected under the plan, it does provide an approximation of the sensitivity of the assumptions shown.

**(v) Provident fund :**

The Company's contribution paid/ payable during the year to Provident Funds are recognised in the Statement of Profit & Loss. The company's Provident Fund Trusts are exempted under section 17 of the Employees' Provident Fund and Miscellaneous Provisions Act, 1952. The conditions for grant of exemption stipulated that the employer shall make good, deficiency if any, in the interest rate declared by the Trusts vis-a-vis statutory rate. The Company does not anticipate any further obligations in the near foreseeable future having regard to the assets of the funds and return on investment. This Note is to be read with Note No 47 (iii) (a).

**48 Capital management**

The Group aims to maintain a strong capital base so as to maintain the confidence of investor, creditor and market and to sustain future development of the business.

The Group monitors capital using a ratio of 'adjusted net debt' to 'adjusted equity'. For this purpose, adjusted net debt is defined as total liabilities, comprising interest-bearing loans and borrowings and obligations under finance leases, less cash and cash equivalents. Adjusted equity comprises all components of equity other than amounts accumulated in the effective portion of cash flow hedges and cost of hedging, if any.

Management assesses the Group's capital requirements in order to maintain an efficient overall financing structure. The Group manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt.

**The Group's adjusted net debt to equity ratio at the reporting dates were as follows: (₹ in Crores)**

| Particulars                                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------|-----------------------------|-----------------------------|
| Total net debt                                    | 11,672.32                   | 18,616.38                   |
| Less: cash and cash equivalents                   | 68.57                       | 28.09                       |
| <b>Adjusted net debt</b>                          | <b>11,603.75</b>            | <b>18,588.29</b>            |
| Total equity                                      | 1,096.66                    | (4,566.22)                  |
| Less: Cost of hedging                             | -                           | -                           |
| <b>Adjusted equity</b>                            | <b>1,096.66</b>             | <b>(4,566.22)</b>           |
| <b>Adjusted net debt to adjusted equity ratio</b> | <b>10.58</b>                | <b>NA*</b>                  |

\* Shareholders equity is negative

#### 49 Earnings per share (not annualised)

##### Basic earnings per share

Basic earnings per share is calculated by dividing:

- the profit attributable to owners of the group
- by the weighted average number of equity shares outstanding during the financial year:

The calculations of profit attributable to equity shareholders and weighted average number of equity shares outstanding for purposes of basic earnings per share calculation are as follows:

| Particulars                                                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------|-----------------------------|-----------------------------|
| i. Profit/ (loss) attributable to equity shareholders (₹ in Crore)       | (1,406.19)                  | (4,854.80)                  |
| ii. Weighted average number of Equity Shares outstanding during the year | 5,10,21,74,967              | 4,88,98,46,200              |
| iii. Face value per share (₹)                                            | 10                          | 10                          |
| <b>Basic and Diluted EPS (₹)</b>                                         | <b>(2.76)</b>               | <b>(9.93)</b>               |

The Holding Company does not have any potentially dilutive equity shares outstanding during the year.

#### 50 Leases

##### In case of Holding Co.

##### Company as a Lessee

##### Other Informations:

1. Nature of Lease : The Company has entered into Long term lease which are as follows:
  - a) Land measuring 16.34 acre at Mumbai taken on Lease from CIDCO towards operation of stockyard for storing and selling steel materials for a period of 60 years.
  - b) Land measuring 37 acres at Rai Bareli from Indian Railways towards establishment of Forged Wheel Plant for a period of 22 years which is terminated w.e.f 31.03.2024 on sale of Forged Wheel Plant to MCF.
  - c) Area Measuring 350.396 square meter in Multistorey Building at New Delhi taken on lease from M/s NBCC(India) Limited for a period of 99 years.
2. Interest Expenses on Lease Liabilities during FY 2024-25 is Nil (Prev.Year: ₹ 3.50 Crores)
3. Total Cash outflow for leases for during FY 2024-25 is Nil (Prev.Year: ₹ 2.10 Crores)

4. Restrictions or covenants imposed by leases,
  - a) Mumbai stockyard Lease - NIL
5. Sale and Lease back transactions.- NIL.
6. Future cash outflows that are not reflected in the measurement of lease liability - Nil
7. Lease liability outstanding as on 31<sup>st</sup> March 2025 is 'Nil' (As on 31<sup>st</sup> March 2024 is Nil).  
Current maturities of lease liability as on 31<sup>st</sup> March 2025 is 'Nil' (As on 31<sup>st</sup> March 2024 Nil).
8. Maturity analysis of lease liability from 01.04.2025 (undiscounted) (₹ in Crores)

| Particulars     | < 12 Months | 01-05 Years | Over 5 Years | Total Cash Flow | Carrying Amount |
|-----------------|-------------|-------------|--------------|-----------------|-----------------|
| Lease Liability | -           | -           | -            | -               | -               |

#### Company as a Lessor

1. Nature of Lease:- The Company has given land on Operating lease basis to various agencies. The details of major leases are as follows:
  - a) 20 acres of land allotted to Power Grid Corporation of India Ltd for installation of Grid & Staff Quarters for a period of 33 years.
  - b) 129.25 acres of land allotted to Power Grid Corporation of India Ltd for installation of Grid & Staff Quarters for a period of 30 years. (Refer Note no 22A.2)
  - c) 49.50 acres of land allotted to NTPC Ltd.(Simhadri) for Rail Road Corridor for a period of 99 year
  - d) 5.00 acres of land allotted to APIIC for Laying Water Pipeline for Pump House for a period of 33 years
  - e) 3.33 acres of land allotted to Gangavaram Port Ltd. for laying Railway Track for a period of 33 years
  - f) 9.27 acres of land allotted to M/s Air Liquide India Holding Pvt Ltd. for Construction of Air Separation Plant (BOO basis) for a period of 18.5 years.
  - g) 1167 acres of land allotted to NMDC Ltd for setting up allied industrial facilities for a period of 30 years. (Refer Note no 22A.1)
  - h) 52.85 acres of land allotted to HPCL on Right of Way for laying of overhead transmission lines for power for a period of 30 years for which lease deed is to be finalised. The Said land allotment is pending for approval from Ministry of Steel & Ministry of Finance.
  - i) 1.24 acres of land allotted to AMTZ on Right of Way for laying of overhead transmission lines for power for a period of 30 years for which lease deed is to be finalised. The Said land allotment is pending for approval from Ministry of Steel & Ministry of Finance.
2. Lease Income during FY 2024-25 is ₹ 92.28 Crores (Prev.Year : ₹ 0.07 Crores )
3. Income relating to variable lease receipts (not depending on index or rate) during FY 2024-25 is ₹ NIL (Prev.Year : ₹ NIL )
4. Risk Management strategy i.e., Buy back agreements, Guaranteed residual value, variable lease receipts -NIL

#### 5. Undiscounted lease Receipts (₹ in Crores)

| Particulars    | < 12 Months | 01-05 Years | Over 5 Years Flow | Total Cash |
|----------------|-------------|-------------|-------------------|------------|
| Lease Receipts | 0.06        | 0.18        | 0.97              | 1.21       |



**51 Financial instruments - Fair values and risk management**
**A. Accounting classifications and fair values**

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy.

**31<sup>st</sup> March 2025**

**(₹ in Crores)**

| Particulars                                              | Carrying Amount                |                             |                                         |                                              |                       | Fair Value  |              |         |              |
|----------------------------------------------------------|--------------------------------|-----------------------------|-----------------------------------------|----------------------------------------------|-----------------------|-------------|--------------|---------|--------------|
|                                                          | Fair Value Hedging Instruments | Mandatorily at FVTPL others | Other Financial Assets - Amortised Cost | Other Financial Liabilities - Amortised Cost | Total Carrying Amount | Level 1     | Level 2      | Level 3 | Total        |
| <b>Financial assets measured at fair value</b>           |                                |                             |                                         |                                              |                       |             |              |         |              |
| Forward Contracts*                                       |                                | -                           | -                                       | -                                            | -                     | -           | -            | -       | -            |
| Investments*                                             |                                | 2.24                        | 1.37                                    |                                              | 2.24<br>1.37          | 2.24        | 1.37         |         | 2.24<br>1.37 |
| Employee loans                                           | -                              | <b>2.24</b>                 | <b>1.37</b>                             | -                                            | <b>3.61</b>           | <b>2.24</b> | <b>1.37</b>  | -       | <b>3.61</b>  |
| <b>Financial assets not measured at fair value</b>       |                                |                             |                                         |                                              |                       |             |              |         |              |
| Security deposits*                                       |                                |                             | 472.45                                  |                                              | 472.45                |             |              |         | -            |
| Loans and advances                                       |                                |                             | 0.08                                    |                                              | 0.08                  |             |              |         | -            |
| Trade receivables*                                       |                                |                             | 265.66                                  |                                              | 265.66                |             |              |         | -            |
| Accrued interest*                                        |                                |                             | 19.25                                   |                                              | 19.25                 |             |              |         | -            |
| Cash and cash equivalents*                               |                                |                             | 68.57                                   |                                              | 68.57                 |             |              |         | -            |
| Other receivables*                                       |                                |                             | 783.89                                  |                                              | 783.89                | -           | -            | -       | -            |
|                                                          | -                              | -                           | <b>1,609.91</b>                         | -                                            | <b>1,609.91</b>       | -           | -            | -       | -            |
| <b>Financial liabilities measured at fair value</b>      |                                |                             |                                         |                                              |                       |             |              |         |              |
| Interest rate swaps                                      |                                | -                           |                                         |                                              | -                     | -           | -            | -       | -            |
| Forward exchange contracts                               |                                | 37.90                       |                                         |                                              | 37.90                 | -           | 37.90        | -       | 37.90        |
|                                                          | -                              | <b>37.90</b>                | -                                       | -                                            | <b>37.90</b>          | -           | <b>37.90</b> | -       | <b>37.90</b> |
| <b>Financial liabilities not measured at fair value*</b> |                                |                             |                                         |                                              |                       |             |              |         |              |
| Secured bank loans                                       |                                |                             |                                         | 9,513.76                                     | 9,513.76              |             | -            |         | -            |
| Unsecured bank loans                                     |                                |                             |                                         | 2,158.56                                     | 2,158.56              |             |              |         | -            |
| Lease Liability                                          |                                |                             |                                         | -                                            | -                     |             |              |         | -            |
| Commercial papers                                        |                                |                             |                                         | -                                            | -                     |             |              |         | -            |
| Accrued interest                                         |                                |                             |                                         | 67.87                                        | 67.87                 |             |              |         | -            |
| Accrued income                                           |                                |                             |                                         | -                                            | -                     |             |              |         | -            |
| Trade payables                                           |                                |                             |                                         | 8,623.27                                     | 8,623.27              |             |              |         | -            |
| Security deposits received                               |                                |                             |                                         | 250.85                                       | 250.85                |             |              |         | -            |
| Earnest money deposits                                   |                                |                             |                                         | 433.84                                       | 433.84                |             |              |         | -            |
| Claims payable                                           |                                |                             |                                         | -                                            | -                     |             |              |         | -            |
| Capital creditors                                        |                                |                             |                                         | 798.19                                       | 798.19                |             |              |         | -            |
| Other liabilities                                        |                                |                             |                                         | 5,025.74                                     | 5,025.74              | -           |              | -       | -            |
|                                                          | -                              | -                           | -                                       | <b>26,872.08</b>                             | <b>26,872.08</b>      | -           | -            | -       | -            |

\* The carrying amounts of these financial instruments recognized in the financial statements are a reasonable approximation of their fair values.

**31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                                              | Carrying Amount                |                             |                                         |                                              |                       | Fair Value |         |         |       |
|----------------------------------------------------------|--------------------------------|-----------------------------|-----------------------------------------|----------------------------------------------|-----------------------|------------|---------|---------|-------|
|                                                          | Fair Value Hedging Instruments | Mandatorily at FVTPL others | Other Financial Assets - Amortised Cost | Other Financial Liabilities - Amortised Cost | Total Carrying Amount | Level 1    | Level 2 | Level 3 | Total |
| <b>Financial assets measured at fair value</b>           |                                |                             |                                         |                                              |                       |            |         |         |       |
| Forward Contracts*                                       |                                | 13.06                       |                                         |                                              | 13.06                 | 2.37       | 13.06   |         | 13.06 |
| Investments*                                             |                                | 2.37                        |                                         |                                              | 2.37                  |            |         |         | 2.37  |
| Employee loans                                           |                                |                             | 3.36                                    |                                              | 3.36                  |            | 3.36    |         | 3.36  |
|                                                          | -                              | 15.43                       | 3.36                                    | -                                            | 18.79                 | 2.37       | 16.42   | -       | 18.79 |
| <b>Financial assets not measured at fair value</b>       |                                |                             |                                         |                                              |                       |            |         |         |       |
| Security deposits*                                       |                                |                             | 505.40                                  |                                              | 505.40                |            |         |         |       |
| Loans and advances                                       |                                |                             | 0.13                                    |                                              | 0.13                  |            |         |         |       |
| Trade receivables*                                       |                                |                             | 230.49                                  |                                              | 230.49                | -          | -       | -       | -     |
| Accrued interest*                                        |                                |                             | 30.30                                   |                                              | 30.30                 |            |         |         |       |
| Cash and cash equivalents*                               |                                |                             | 28.09                                   |                                              | 28.09                 | -          | -       | -       | -     |
| Other receivables*                                       |                                |                             | 834.58                                  |                                              | 834.58                |            |         |         |       |
|                                                          | -                              | -                           | <b>1,628.98</b>                         | -                                            | <b>1,628.98</b>       | -          | -       | -       | -     |
| <b>Financial liabilities</b>                             |                                |                             |                                         |                                              |                       |            |         |         |       |
| measured at fair value                                   |                                |                             |                                         |                                              |                       |            |         |         |       |
| Interest rate swaps                                      |                                | -                           |                                         |                                              | -                     | -          | -       | -       | -     |
| Forward exchange contracts                               |                                | -                           |                                         |                                              | -                     | -          | -       | -       | -     |
| -                                                        | -                              | -                           | -                                       | -                                            | -                     | -          | -       | -       | -     |
| <b>Financial liabilities not measured at fair value*</b> |                                |                             |                                         |                                              |                       |            |         |         |       |
| Secured bank loans                                       |                                |                             |                                         | 14,112.16                                    | 14,112.16             |            |         |         |       |
| Unsecured bank loans                                     |                                |                             |                                         | 4,504.22                                     | 4,504.22              | -          | -       | -       | -     |
| Lease Liability                                          |                                |                             |                                         | -                                            | -                     | -          | -       | -       | -     |
| Commercial papers                                        |                                |                             |                                         | 21.21                                        | 21.21                 |            |         |         |       |
| Accrued interest                                         |                                |                             |                                         | -                                            | -                     |            |         |         |       |
| Accrued income                                           |                                |                             |                                         | -                                            | -                     |            |         |         |       |
| Trade payables                                           |                                |                             |                                         | 6,520.25                                     | 6,520.25              |            |         |         |       |
| Security deposits received                               |                                |                             |                                         | 153.05                                       | 153.05                |            |         |         |       |
| Earnest money deposits                                   |                                |                             |                                         | 506.56                                       | 506.56                |            |         |         |       |
| Claims payable                                           |                                |                             |                                         | -                                            | -                     |            |         |         |       |
| Capital creditors                                        |                                |                             |                                         | 785.76                                       | 785.76                |            |         |         |       |
| Other liabilities                                        |                                |                             |                                         | 4,157.36                                     | 4,157.36              |            |         |         |       |
|                                                          | -                              | -                           | -                                       | <b>30,760.57</b>                             | <b>30,760.57</b>      |            |         |         |       |

\* The carrying amounts of these financial instruments recognized in the financial statements are a reasonable approximation of their fair values.

## B. Measurement of fair values

The following table shows the valuation techniques used in measuring Level 2 and Level 3 fair values for financial instruments measured at fair value in the balance sheet, as well as the significant unobservable inputs used.

| Type                       | Valuation technique                                                                                                                         | Significant unobservable input | Inter-relationship between significant unobservable inputs and fair value measurement |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|---------------------------------------------------------------------------------------|
| Forward exchange contracts | Forward pricing: The fair value is determined using quoted forward exchange rates at the reporting date.                                    | Not applicable                 | Not applicable                                                                        |
| Interest rate swaps        | Swap models: The fair value is determined using quoted swap rates at the reporting date.                                                    | Not applicable                 | Not applicable                                                                        |
| Financial liabilities      | Discounted cash flows: The valuation model considers the present value of expected payment, discounted using a risk-adjusted discount rate. | Not applicable                 | Not applicable                                                                        |

## C. Financial risk management

### *Risk management framework*

The Group is exposed to various risk in relation to financial instruments. The Group's financial asset and liabilities by category are summarised in note 51A. The main types of risks are market risk, credit risk and liquidity risk. The Group's risk management is coordinated at its headquarters, in close cooperation with the board of directors, and focuses on actively securing the Group's short to medium-term cash flows by minimising the exposure to volatile financial markets. Long-term financial investments are managed to generate lasting returns. The Group does not actively engage in the trading of financial assets for speculative purposes nor does it write options. The most significant financial risks to which the Group is exposed are described below.

The Group has exposure to the following risks arising from financial instruments:

- i) credit risk
- ii) liquidity risk
- iii) market risk

### *i) Credit risk*

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers and loans.

The carrying amounts of financial assets represent the maximum credit risk exposure.

### *Trade receivables and loans*

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. However, management also considers the factors that may influence the credit risk of its customer base, including the default risk associated with the industry in which customers operate.

Loss rates are calculated using a 'roll rate' method based on the probability of a receivable progressing through successive stages of delinquency to write-off. Roll rates are calculated separately for exposures in different segments based on the common credit risk characteristics.

### *Movements in the allowance for impairment in respect of trade receivables and loans*

The movement in the allowance for impairment in respect of trade receivables and loans is as follows:

(₹ in Crores)

| Particulars                       | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------|-----------------------------|-----------------------------|
| Balance at 1 <sup>st</sup> April  | 24.78                       | 25.51                       |
| Net measurement of loss allowance | -                           | (0.73)                      |
| <b>Balance at 31st March</b>      | <b>24.78</b>                | <b>24.78</b>                |

### *Cash and cash equivalents*

The Group holds cash and cash equivalents of ₹ 68.57 Crore at 31<sup>st</sup> March 2025 (As on 31<sup>st</sup> March 2024: ₹ 28.09 Crore). The cash and cash equivalents are only held with highly rated banks.

Impairment on cash and cash equivalents has been measured on the 12-month expected loss basis and reflects the short maturities of the exposures. The Group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counter parties.

### *Derivatives*

The derivatives are only entered into with highly rated scheduled banks.

### *ii) Liquidity risk*

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group aims to maintain the level of its cash and cash equivalents at an amount in excess of expected cash outflows on financial liabilities (other than trade payables). The Group also monitors the level of expected cash inflows on trade receivables and loans together with expected cash outflows on trade payables and other financial liabilities.

### *Exposure to liquidity risk*

The following are the remaining contractual maturities of long term financial liabilities at the reporting date. The amounts reflect the principal amounts that are gross and undiscounted, and exclude the impact of netting agreements

#### **In case of Holding Co.**

**31<sup>st</sup> March 2025**

(₹ in Crores)

| Particulars                                 | Contractual Cash Flows |                 |                   |                 |                 |                   |
|---------------------------------------------|------------------------|-----------------|-------------------|-----------------|-----------------|-------------------|
|                                             | Carrying Amount        | Total           | 12 months or less | 1-2 Years       | 2-5 Years       | More than 5 years |
| <b>Non-derivative financial liabilities</b> |                        |                 |                   |                 |                 |                   |
| Secured bank loans                          | 5,538.68               | 5,538.68        | -                 | 1,709.27        | 3,545.76        | 283.65            |
| Unsecured bank loan                         | -                      | -               | -                 | -               | -               | -                 |
|                                             | <b>5,538.68</b>        | <b>5,538.68</b> | <b>-</b>          | <b>1,709.27</b> | <b>3,545.76</b> | <b>283.65</b>     |
| <b>Derivative financial liabilities</b>     |                        |                 |                   |                 |                 |                   |
| Interest rate swaps                         | -                      | -               | -                 | -               | -               | -                 |
| Other forward exchange contracts            | -                      | -               | -                 | -               | -               | -                 |
|                                             | -                      | -               | -                 | -               | -               | -                 |

**31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                                 | Contractual Cash Flows |                 |                   |                 |                 |                   |
|---------------------------------------------|------------------------|-----------------|-------------------|-----------------|-----------------|-------------------|
|                                             | Carrying Amount        | Total           | 12 months or less | 1-2 Years       | 2-5 Years       | More than 5 years |
| <b>Non-derivative financial liabilities</b> |                        |                 |                   |                 |                 |                   |
| Secured bank loans                          | 7,279.61               | 7,279.61        | -                 | 1,783.20        | 4,254.24        | 1,242.17          |
| Unsecured bank loan                         | -                      | -               | -                 | -               | -               | -                 |
|                                             | <b>7,279.61</b>        | <b>7,279.61</b> | <b>-</b>          | <b>1,783.20</b> | <b>4,254.24</b> | <b>1,242.17</b>   |
| <b>Derivative financial liabilities</b>     |                        |                 |                   |                 |                 |                   |
| Interest rate swaps                         | -                      | -               | -                 | -               | -               | -                 |
| Other forward exchange contracts            | -                      | -               | -                 | -               | -               | -                 |
|                                             | -                      | -               | -                 | -               | -               | -                 |

Except for these financial liabilities, it is not expected that cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

### **iii) Market risk**

Market risk is the risk that results from changes in market prices – such as foreign exchange rates, interest rates and equity prices – will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Group uses derivatives to manage market risks.

#### **Currency risk**

The Group is exposed to currency risk to the extent that there is a mismatch between the currencies in which sales, purchases and borrowings are denominated. The currencies in which these transactions are primarily denominated is Indian Rupee (₹), which is also the Group's functional and presentation currency.

The Group uses forward exchange contracts to hedge its currency risk, most with a maturity of less than one year from the reporting date.

Currency risks related to the principal amounts of the US dollar bank loan, which have been fully hedged using forward contracts that mature on the same dates as the loans are due for repayment. These contracts are designated as derivative contracts.

#### **Interest rate risk**

The Group aims to minimise its interest rate risk exposure by maintaining a balance of fixed/ floating rate of interest.

#### **Exposure to interest rate risk**

The interest rate profile of the Group's interest-bearing financial instruments as reported to management is as follows:

(₹ in Crores)

| Particulars                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------|-----------------------------|-----------------------------|
| <b>Fixed rate instruments</b>    |                             |                             |
| Financial assets                 | 0.43                        | 0.70                        |
| Financial liabilities            | 3,373.32                    | 9,494.17                    |
|                                  | <b>3,373.75</b>             | <b>9,494.87</b>             |
| <b>Variable rate instruments</b> |                             |                             |
| Financial assets                 | -                           | -                           |
| Financial liabilities            | 8,299.00                    | 9,122.21                    |
|                                  | <b>8,299.00</b>             | <b>9,122.21</b>             |

*Cash flow sensitivity analysis for variable-rate instruments*

A reasonably possible change of 100 basis points in interest rates at the reporting date would have increased /(decreased) equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular foreign currency exchange rates, remain constant..

(₹ in Crores)

| Particulars                       | Profit or (loss) |                 | Equity, pre-tax |                 |
|-----------------------------------|------------------|-----------------|-----------------|-----------------|
|                                   | 100 bp increase  | 100 bp decrease | 100 bp increase | 100 bp decrease |
| <b>31<sup>st</sup> March 2025</b> |                  |                 |                 |                 |
| Variable-rate instruments         | (82.99)          | 82.99           | NIL             | NIL             |
| <b>31<sup>st</sup> March 2024</b> |                  |                 |                 |                 |
| Variable-rate instruments         | (91.22)          | 91.22           | NIL             | NIL             |

**In the case of EIL**

**Financial risk management objectives**

The Company's principal financial instruments comprise financial liabilities and financial assets. The Company's principal financial liabilities comprises trade payable and other financial liabilities. The main purpose of these financial instruments is to manage short-term cash flow and raise finance for the Company's capital expenditure program. The Company has various financial assets such as trade receivable and cash and short-term deposits, which arise directly from its operations.

**Risk exposures and responses**

The Company manages its exposure to key financial risks in accordance with the Company's financial risk management policy. The objective of the policy is to support the delivery of the Company's financial targets while protecting future financial security. The main risks that could adversely affect the Company's financial assets, liabilities or future cash flows are market risks, comprising commodity price risk, cash flow interest rate risk and foreign currency risk and liquidity risk and credit risk. Management reviews and agrees policies for managing each of these risks which are summarised below.

The Board of Directors reviews and agrees policies for managing each of these risks which are summarised below.

**Market risk**

Market risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in market prices. The Company's financial instrument Market prices comprise three types of risk: currency risk, interest rate risk and other price risk which include equity price risk and commodity price risk. Financial instruments affected by market risk include loans, trade receivables, other financial assets, trade payables and other financial liabilities.



The sensitivity analyses have not been prepared as there is no amount outstanding as debt, having either fixed or floating interest rates, no derivatives financial instruments and no financial instruments in foreign currencies.

#### **Foreign currency risk management**

The Company does not undertake any transaction in foreign currency, consequently, exposures to exchange rate fluctuation does not arise. The Company has all entered all the transaction in currency which is the functional currency and accordingly the foreign currency risk has been minimised to a very low level.

Foreign currency sensitivity analysis has not been performed considering the fact that there will not be any impact on the profit or loss of the Company, as there are no foreign currency monetary items.

#### **Interest rate risk management**

Interest rate risk is the risk that the fair value or future cashflows of a financial instrument will fluctuate because of changes in market interest rates. As the Company does not have any borrowings there is not a significant exposure to the interest rate risk but only to the extent of recognition interest portion of financial instrument classified at amortised cost. The Company manages its interest risk exposure relating to the financial instrument classified at amortised cost by using the market interest rate as the effective interest rate and the changes in the assets liabilities is accounted for as interest income/expenses with respect to financial assets/financial liabilities respectively.

However, as there is no primary exposure to the interest rate risk the sensitivity analysis has not been performed by the Company.

#### **Other price risks**

The Company is exposed to other price risks which include equity price risk and commodity price risks. The Company holds investment for strategic rather than trading purposes. The sensitivity analysis on the profit due changes in equity prices has been performed below:-

#### **Equity price sensitivity analysis**

The Company's listed and non-listed equity securities are susceptible to market price risk arising from uncertainties about future values of the investment securities. The Company manages the equity price risk by placing limits on individual and total equity instruments which is made subject to the approval of Board of Directors. Reports on the equity portfolio are submitted to the Company's senior management on a regular basis. The Company's Board of Directors reviews and approves all equity investment decisions. At the reporting date, the exposure to unlisted equity securities was ₹ 4.20 Crores including investment in joint ventures at cost amounting to ₹ 2.81 Crores. The sensitivity analysis based on the equity price risk at the end of the reporting period for the investment in these equity securities other than investment in joint venture is given below:-.

#### **Credit risk management**

The Company trades only with recognised, creditworthy third parties and only on advance payment basis. It is the Company's policy that all customers who wish to trade are required to pay the entire amount in advance. The Company does not perceive any risk of default as there is no instance of credit sale. In addition, receivable balances are monitored on an ongoing basis, with the result that the Company's exposure to bad debts is not significant.

With respect to credit risk arising from the other financial assets of the Company, which comprise cash, bank balances, short-term investments and other receivables, the Company's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of these instruments. Refer to Note 11 for analysis of trade receivables ageing.

#### **Liquidity risk management**

The Company has huge investment in term deposits with banks and has sufficient owned funds to finance its existing and continuing commitments. New investments and advances are likely to be funded similarly. Major capital investments, if any, would be funded by through the term deposits and further requirement if any will be addressed through the use of bank overdrafts and bank loans. The Company has deposited significant amount in term deposits and have sufficient funds required to meet the liquidity requirements of the Company and accordingly the Company has not applied for any short-term financing facilities.

## 52 Contingent liabilities and commitments

### Contingent liabilities

#### A. Claims against Group not acknowledged as debts

(₹ in Crores)

| Particulars                              | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------|-----------------------------|-----------------------------|
| Contractors / suppliers / customers      |                             |                             |
| CPSE                                     | 42.13                       | 42.13                       |
| Other than CPSE                          | 1,387.57                    | 1,304.81                    |
| Local Authorities - state govt.          | 3,373.82                    | 3,062.21                    |
| Sales tax matters (Refer Note no. 52A.1) | 1,070.36                    | 1,027.11                    |
| Income tax                               | 2.26                        | 2.24                        |
| Customs / excise duty                    | 195.73                      | 184.57                      |
| Others                                   |                             |                             |
| CPSE                                     | -                           | -                           |
| Other than CPSE                          | 4,482.73                    | 640.77                      |
| Bank Guarantees                          | 33.28                       | 19.95                       |
| <b>Total</b>                             | <b>10,587.87</b>            | <b>6,283.79</b>             |

#### In Case of Holding Co.,

**52A.1** This includes an amount of ₹ 988.89 Crores for which the Company has received demand notice from Sales tax authorities deeming the stock transfer as interstate sales. However, the company expects no liability to arise as the movement of goods were on stock transfer basis and sales tax was also paid on eventual sales.

#### B. Claims in Courts in connection with Land Acquisition:

##### 1) 49 Sq. Yards in Sy. No. 9 of Sanivada village:

The encroachment was noticed in the last week of Sep'18. Notices were issued on 03.10.2018 and 04.12.2018. Attempts were made to remove unauthorized constructions from RINL land departmentally. Unauthorized occupant approached High Court in WP No. 17798 of 2019. Vide order dated 13.11.2019 and 20.12.2019, High court of AP has granted stay on proceedings of Estate Court.

##### 2) 12.5 Acres in Sy. No. 12/2 of Kaniti village and 2.0 Acres in Sy. No. 138(p) of Kurmanapalem village:

Land was acquired and handed-over to RINL by state Govt. Immediately after the decree by District court on 02.08.2010 in favour of the erstwhile owners, they tried to take physical possession of the land which was stopped by RINL. RINL filed appeal with A. S. no. 598 of 2010 wherein High Court directed to maintain the Status Quo.

##### 3) 5.03 Acres in Sy. No. 227 of Aganampudi village:

Land was acquired and handed-over to RINL by state Govt. Lands were under the possession of RINL. Compound wall has also been constructed in majority of the area. Two erstwhile owners of land have filed W. P. no. 15135 and 20722 of 2019 in the High Court of AP which has granted order for maintaining Status quo.

##### 4) 1.40 Acres in Sy. No. 30(p) & 1.59 Acres in Sy. No. 31/2 of Vadlapudi village:

Land was acquired and handed-over to RINL by state Govt. Lands were under the possession of RINL. Compound wall has also been constructed and lands are within the Boundary wall of RINL. The erstwhile owners of land have filed W. P. no. 12034 of 2020 in the High Court of AP. Hon'ble Court has granted order for maintaining Status quo

**5) 4.25 acres of land in Sy. No. 143 of Pedamadaka village:**

The Karnavanipalem village, Hamlet of Sanivada in Sy. No. 143 of Pedamadaka was acquired by Govt. of AP for Visakhapatnam Steel Plant in 1991. However, the land has not been handed over to RINL-VSP by Govt. of AP. The villagers are still occupying the land measuring approx. 4.25 acres as Govt. was not able to shift them to Rehabilitation Colonies. In 2023, GoAP has given Pattas for house sites to these villagers in Aganampudi village and will be shifted by GoAP. The matter is being followed up with GoAP regularly.

**6) Sy. No. 43(p) (43/2A2 & 43/2B) of Pedagantyada village:**

Complaint was forwarded by SC & ST Commission in Mar'19 against 4 individuals who installed petty shops obstructing the passage on BC road in RINL land. Notices were issued on 05.04.2019 and 3 individuals removed their structures. Attempts were made to remove balance constructions from RINL land departmentally. Hon'ble Estate Court, RINL passed order of eviction in Jul & Aug'23. Opposite party approached Hon'ble Principal District Judge, Visakhapatnam in AS No. 187 of 2023. Hon'ble Court granted stay.

C. Show cause notices issued by various Government Authorities are not considered as contingent liabilities.

**D. In the case of Eastern Investments Limited:-****a) Rent & Cess on Land Revenue:**

Lawrence Jute Mill Co. Ltd was a company under the erstwhile BIRD & CO. LTD. This company had 76.77 Acres of land at Chackasi, mouza - Bauria, JL No:4 in the P.S Bauria, Dist: Howrah, W.B. The company acquired 27.58 Acres of land in the year 1976 under the provision of Sec 6(3) of WB State Acquisition Act 1953. The name of the Jute Mill was subsequently changed to Lawrence Investment & Property company Ltd w.e.f 09.12.1970. In 1984 Lawrence Investment & Property company Ltd alongwith five other companies were dissolved and amalgamated with EIL, which is a company under erstwhile BIRD Group, by virtue of order of the Company Law Board under the provision of Sec 396 of the Companies Act vide No: SO/688E dated 04.09.1984. By virtue of this order all properties and asset including rights and interest as well as liabilities of Lawrence Investment & Property company Ltd were vested in EIL. The change of name of the owner of the property from Lawrence Investment & Property company Ltd to EIL on the basis of the order of amalgamation is yet to be effected, i.e the property is not yet mutated in the name of EIL.

The company had paid Rent and Cess on Land Revenue on Lawrence Property at Bauria @ ₹ 2,012 per year till 31.03.2001 with the office of the Revenue Inspector. The company had not accepted the substantial increase in charges from 2001-02, therefore continued to provide liability on the basis of claims received upto the financial year 2008-09. From the Financial Year 2009 - 10 onwards, the liability has been started booking in the contingent liability, which amounts to ₹ 1.18 Crores as on 31.03.2025.

Further letter ref No EIL/Lawrence Property/01 dated 14-03-2018 has been issued to Block Land & Land Reform Office with a copy to District Land & Land Reform Office and Director of Land Records & Service. It has been requested in the letter to provide the Land Tax dues by BL&LRO for payment by EIL and also requested to consider the compensation for the land acquired by the Govt of WB which is yet to be received in accordance with the judgement passed by Additional District Judge. Subsequently another letter dated 05-04-2018 issued to Additional District Magistrate (LR) & DLLRO, Govt. of West Bengal with a copy to Principal Secretary and Land Reforms Commissioner, Govt. of West Bengal requesting to expedite the matter.

Subsequently, information through RTI Act has been sought on 11-Jun-18, wherein it has been asked the due Land Tax for 49.19 acres and whether any notice for the same has been issued by the department. A reply was received on 28.06.2018 on the RTI Application which states the following

## Quote

"The matter of realisation of land revenue in case of subject land does not arise and as such there is no question of raising demand of land revenue in respect of said land"

## Unquote.

### **(b) Stamp Duty on Share Transfer :**

There is demand from Additional Commissioner of Stamp Revenue Govt of West Bengal for ₹ 0.58 Crores as regards transfer of shares from President of India in The Orissa Minerals Development Company Ltd (OMDC) and The Bisra Stone Lime Company Ltd (BSLC) to Eastern Investments Ltd(EIL) to make BSLC and OMDC subsidiaries of EIL. The transaction is exempted from Stamp duty and the same is communicated to Additional Inspector General of Registration and Additional Commissioner of Stamp Revenue West Bengal vide Letter No EIL/AS/STAMP DUTY/10-2012/01 dated 17<sup>th</sup> Oct 2012 by the authorised signatory of EIL. As there is no response to the letter of the Company till date, the amount of ₹ 0.58 Crores is shown as contingent liability. Further correspondence was made with the Dy. Secretary, Finance (Revenue) Dept., Govt. of W.B. on 23.02.2018 with a reminder on 11.04.2018. Subsequently two letters were issued on 10.07.2018 and on 14.05.2019, 16.08.2021, 28.02.2022 and 28.02.2023, 08.02.2024 and 04.04.2025 but no response has been received till finalisation of this Balance Sheet.

### **(c) Income Tax :**

Income tax demand in respect of A.Y. 2009-10 and A.Y. 2010-11 amounting to ₹ 1.02 Crores has not been deposited as the cases are pending with Appellate Authority of the Income Tax Department.

### **(d) Penalty for contravention of section 177 of Companies Act 2013 :**

For not complying with section 177 regarding formation of Audit committee : Minimum ₹ 0.01 Crores and maximum ₹ 0.05 Crores penalty may be imposed on EIL. Provision for ₹ 0.01 Crores has been provided in the books of accounts and balance ₹ 0.04 Crores is being included in the Contingent Liability head.

**(e)** As per section 203(3) of Companies Act 2013, a whole time Key Managerial Personnel shall not hold office in more than one company in its subsidiary company at the same time. In the FY 2021-22, CS & CFO of subsidiary company (OMDC) had been holding additional charge in the Holding company, which is contradiction of provision. As per provision, minimum ₹0.01 Crores and maximum ₹ 0.05 Crores penalty may be imposed on EIL. ₹ 0.01 Crores has been provided in the books and balance ₹ 0.04 Crores have been considered as Contingent liability.

## **E. In the case of The Bisra Stone Lime Company Limited:-**

### **(a) Sales tax related :**

Demand of ₹0.93 Crores (₹ 0.93 Crores) in respect of Odisha Sales Tax and Odisha Entry Tax, challenged in appeal against which a sum of ₹0.58 Crores (₹ 0.58 Crores) is deposited with the Sales Tax Authority. None of the cases have been settled and BSLC has also filed an application for refund of the deposited amount of ₹ 0.58 Crores with the Commercial Tax Department and which is under process. No further communication is received towards balance of ₹ 0.35 Crores (₹ 0.35 Crores) and hence it is considered as contingent liability till such time it is settled.

### **(b) Stamp Duty related :**

The Government had notified for increase of stamp duty for executing lease deeds @ 15% vide Indian Stamps (Odisha Amendment Act, 2013 and Rules 2013). Accordingly the Govt. of Odisha demanded ₹ 99.42 Crore for renewal of mining lease. BSLC has filed writ before Odisha High Court challenging the above said notification and demand vide WP (C) case No 15307/2013 dated 08/07/2013 which is pending till date. The Hon'ble High Court of Odisha has given "STAY" on the operation of above said notification which continues till date. In the meantime BSLC has made registration of renewal of mining lease for two lease period i.e 2000-2020 & 2020-2040 by paying the stamp duty @ 5% which is completed

by the Registration department and duly signed by the Collector, Sundergarh as per details given below:

- (1) Registration No 377 dated 30.3.2016 for the lease period 01.03.2000 to 31.03.2020. The stamp duty paid ₹ 6,14,28,672. If Govt ordered to pay the balance, then BSLC has to pay the differential amount of ₹ 12.28 Crore (15% -5%).
  - (2) Registration No. 592 dated 30.06.2020 for the period of 01.4.2020 to 31.03.2040. The stamp duty paid ₹ 4,09,43,578, If The Govt will order to pay the balance amount, then BSLC has to pay the differential amount of ₹ 8.28 Crore. So the total differential amount will be ₹ 20.56 Crore. So if the demand persist, then BSLC will pay maximum to the amount of ₹ 20.56 Crore . So we may take the contingent liability of ₹ 20.56 Crore instead of ₹ 99.42 Crore.
- (c) The Company received a notice from Dy Director of Mines Rourkela vide letter no 143 dated 15.01.2015 towards excess mining of ₹ 9,55,06,402 for the period from 2000-01 to 2010-11. Subsequently DDM Rourkela revised the demand and issued a show cause notice vide letter no 3014 dated 15.11.2017 for ₹ 40,89,64,739/- for the same period.

BSLC has stated in his reply that the reliance placed on judgment passed by the Hon'ble Supreme court dated 02.08.2017 in Common Cause Case for issuing the present show cause notice with regard to alleged excess production with respect to Mining plan and consent to operate is misplaced. It is submitted that the said judgment did not deal with the issue of alleged excess production with respect to Mining plan and consent to operate.

DDM raised the demand by considering the highest production from EC/MP/CTO from the period from 2000-01- to 2010-11. But as per Supreme Court order it will be calculated as per EC only. Hence BSLC revised the calculation and replied the show cause notice vide letter on dated 15.12.2017 by calculating the excess production taking only EC quantity. Hence as per BSLC calculation the final demand amount arrived for ₹ 8,07,96,051/- which has already been provided in the Books of Account and the balance of ₹32.82 Crores (₹40.90 Crores - ₹8.08 Crores) has been kept in contingent liability. No demand/ correspondence in this regard have been communicated to BSLC since then. In view of enhance EC permissible quantity since 2010-11, there is no scope of increase in quantity by the company.

- (d) A work order was issued to the contractor on 24.10.2010 to provide security services round the clock at the different places of mines . After termination of work order, the agency submitted the final bills of ₹0.90 Crores. ₹ 0.21 Crores was paid to the agency leaving a pending amount of ₹0.69 Crores . The agency filed a civil suit at Rourkela. Liability of ₹0.25 Crores have been outstanding in the books apart from Security deposit of ₹0.13 Crores. As per the civil suit filed by the contractor, 7 % interest was claimed p,a till realisation. The principal and interest, which comes to ₹ 0.93 Crores as on 31.03.2025. As the case is not yet over, the amount has been parked in the contingent liability account.
- (e) An agency had given her vehicle on hire basis as per contract. CRPF had taken the vehicle for patrolling and who did not release the vehicle on due date and kept for more days. BSLC did not pay the hired amount for extra days. Agency went to court and the court gave the verdict in favour of the agency and asked to pay ₹0.02 Crores. BSLC challenged the order at High Court, Rourkela and deposited ₹0.01 Crores at Civil Court, Rourkela. Balance amount of ₹ 0.01 Crores is not paid till date as the final decision has not yet come, so the amount is kept as contingent liability.
- (f) The Assessee has filed appeal against the order passed by the Assessing Officer mainly on three issues for the AY 2020-21:
- a) Income Tax department has passed rectification order u/s 154 ignoring unabsorbed loss of ₹ 67,79,89,869 though it is mentioned in rectification order.
  - b) Provision for gratuity ₹1,90,56,000 has been added twice in section 36 as well as in section 40A(7).
  - c) Employees provident fund ₹65,83,837 has been added twice in section 36(1)(va) as well as in Section 43B.



BSLC challenged the above order and went for filing an appeal with the Income Tax Department. Next hearing date has not yet been received by the company. An amount of ₹1.47 Crores (₹1.01 Crores as demand amount + ₹ 0.45 Crores as accrued Interest) as on 31.03.2025 has been appeared in the Income Tax Portal and hence BSLC has kept the same amount as contingent liability till such time it is not finalised.

**(g)** The Assessee has filed appeal against order passed by the learned Assessing Officer mainly on two issues for the AY 2015-16:

- a) Expenditure of ₹1,35,00,000 has been debited under the head of Finance Cost which is allowed under scrutiny assessment u/s 143(3) but disallowed invoking section 263 of the Income Tax Act 1961 on the ground that assessee did not pay the amount.
- b) Ex-gratia payment of ₹ 5,50,00,000 has been debited in profit & loss account but the assessing officer was invoking section 35DDA of Income Tax Act 1961 and allowed one-fifth in the assessment year 2015-16 and the balance shall be deducted in equal instalments for each of the four immediately succeeding previous years. That means no expenses has been disallowed in totality.

BSLC challenged the above order and went for filing an appeal with the Income Tax Department saying that:-

- i) liability for finance cost has to be considered for deduction as it is charged to Profit & Loss account.
- ii) deduction for the whole ex-gratia amount of ₹5.50 cr has to be considered in the same year for deduction as it was allowed in totality.

Next hearing date has not yet been received by the company. An amount of ₹2.24 Crores (₹1.86 Crores as demand amount + ₹ 0.37 Crores as accrued Interest) as on 31.03.2025 has been appeared in the Income Tax Portal and hence BSLC has kept the same amount as contingent liability till such time it is not finalised.

#### **F. In the case of The Orissa Minerals Development Company Limited:-**

- (a) Legal Cases constitute ₹ 3,997.89 Crores. Claims of contractors for supply of materials/services are pending with arbitration/courts which have arisen in the ordinary course of business. It is expected that the ultimate outcome of these proceedings will be in favour of the Company and will not have any material adverse effect on the Company's financial position and results of operation. The amount shown above are approximate and not crystallized on the date of reporting of accounts.
- (b) OMDC has challenged the two orders of NCLT dated 10.3.20 before NCLAT, New Delhi in the matter of M/s Jai Balaji Industries Ltd against petition filed u/s 9 of IBC, 2016. The judgement is in OMDC Favour and the case is in force in Kolkata High Court.
- (c) Out of the total claim of Odisha Govt. towards demand for BPMEL Leases alongwith interest amounting ₹ 1929.38 Crores have been shown as the cases are pending in different courts of law.
- (d) Bank Guarantee is given to Indian Bureau of Mines, OSPCB & Baitarani Irrigation Division ₹ 33.28 Crores
- (e) Site Reclamation charges of ₹ 32.99 Crores.

For Demand from various statutory authorities towards Regional wildlife management and income tax, sales tax, excise duty, custom duty, service tax, entry tax and ₹ 1.30 Crores respectively. The Company is contesting the demand with appellate authorities. It is expected that the ultimate outcome of these proceedings will be in favour of the Company and will not have any material adverse effect on the Company's financial position and results of operation.



- (f) Pursuant to the amendments of the Orissa Land Reforms Act, the Sub-Collector, Champua had served a Notice against the Company for alleged unauthorized possession of 10.79 acres of leasehold land on the ground that the said land belongs to Adivasis and based on that, the Revenue Inspector asked OMDC to vacate the land. The Company filed an appeal before the Addl. District Magistrate but the appeal was not allowed. During April, 1999 the Company filed a writ application and obtained Stay Order from the Hon'ble High Court of Orissa to maintain the status quo about the possession of the land until further order. No specific liability could be ascertained.
- (g) Stamp Duty, Registration Charges & other Statutory Payment will be made at the time of executing supplementary Lease Deed after having all statutory clearances of around ₹ 65.55 Crores for all three OMDC Leases.

**G. Commitments (In case of Holding Co.)**
**(₹ in Crores)**

| Particulars                                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Estimated amount of contracts remaining to be executed on capital account and not provided | 263.67                      | 382.15                      |
| <b>Total</b>                                                                               | <b>263.67</b>               | <b>382.15</b>               |

**H. Others -**
**1. In case of Holding Co.**

Rashtriya Ispat Nigam Limited ("RINL") and Air Liquide India Holding Private Limited ("ALIH") entered into a Contract dated 26 November 2010 for supply of Oxygen and Nitrogen gases and liquids for captive consumption of RINL on a Build, Own and Operate Basis ("BOO") with an option to transfer.

ALIH vide letter dated 16 December 2014 terminated the contract and proposed to transfer the ownership of ASU plants to RINL. RINL agreed for in principle takeover of ASP from ALIH subject to inter alia, technical audit of the ASP. Because of the failure of the negotiations, RINL was compelled to invoke Arbitration under Clause No. 32 of the Contract dated 26 November 2010.

The Arbitral Tribunal (AT) constituted issued the First Partial Award (Liability) on 12 June 2020 wherein the AT has ruled that the ASP BOO Contract was validly terminated by ALIH's Termination Notice dated 16 December 2014. The ASP BOO will be transferred by ALIH to RINL at a price ("the Takeover Price") and on terms to be determined by the Arbitral Tribunal in a further Award.

The Arbitral Tribunal by its Second Partial Final Award (Costs of First Partial Award) dated 12 October 2020 has awarded a cost of ₹ 160,099,066 in favour of ALIH.

The Arbitral Tribunal by its Third Partial Final (Valuation Issue) Award dated 02 April 2021, has decided that the takeover price shall be determined in two phases and directed that the commissioning of the Plant shall commence no later than 1 May 2021. The First Phase of the calculation of the Takeover Price shall comprise the ascertainment of the value of the physical assets as on the Termination Date ("the Book Value"), Phase 2 shall comprise ascertainment of any necessary adjustments to the Book Value following the commissioning of the Plant.

As per the Procedural Order No.11 issued by the AT, RINL has made a payment of ₹ 45 Crore to ALIH and additionally a sum of ₹ 40 Crore has been deposited by RINL in an escrow account, opened jointly in the name of ALIH and RINL which shall be released to ALIH upon completion of the milestones as defined by the AT.

As per Fourth Partial Award (Book value of plant at termination date) issued by the AT vide e-mail dt. 05.12.2023, RINL has deposited ₹ 303.44 Crore in an escrow account, jointly opened in the name of RINL and ALIH.

Approval was obtained from Board for carrying out negotiations with M/s ALIH for arriving at settlement terms, apart from ongoing Arbitration without prejudice to RINL's rights based on the recommendations of the Committee.

RINL had several rounds of discussions / price negotiations / correspondence with ALIH in month of March'25 and April'25. Based on the views of RINL through various correspondence, ALIH on 25<sup>th</sup> April'2025 submitted "Settlement Agreement" for RINL's perusal. The committee deliberated on the "Settlement Agreement" furnished by ALIH and issues pertaining to HSN for GST, liquidation of punch points recorded during PGT-2, sequence of activities and timelines etc. were also resolved.

In line with the approval accorded by the Board vide its 374<sup>th</sup> meeting held on 30<sup>th</sup> April 2025, Settlement Agreement was signed by both the parties on 02<sup>nd</sup> May'2025, ₹ 647.94 Crore were released to ALIH on 03<sup>rd</sup> May and the Plant was Handed-over to RINL by M/s ALIH on 03<sup>rd</sup> May'2025.

## **2. In the case of Eastern Investment Limited:-**

Eastern Investments Limited is a NBFC Company. As per RBI Revised Guidelines on Entry Point Norms, Principal Business criteria (PBC), a company to be registered as NBFC should fulfil both criteria (the assets and the income Pattern based on the last audited financial statement) for showing Financial activity as Principal Business, which could not be complied with by EIL.

## **3. In case of The Bisra Stone Lime Company Limited:-**

- (a) The Company owned freehold land of 104.925 Hectres and leasehold land of 466.196 Hectres (Govt. Land) in Block-XI at Birmitrapur as surface right area which is 571.121 Hectres and balance land of lease is 221.568 Hectres (Private tenanted land, public road, NH, Temple etc) in Block -XI at Birmitrapur. Company has purchased 0.354 Hectres of land outside lease hold area. Hence total Mining Lease area is 793.043 Hectres of Land (105.279+466.196+221.568) in Block-XI at Birmitrapur. As per mining plan the proposed mines area would be 280.36 hectres for period upto 31.03.2025 and BSLC has mined 280.36 hectare as per mining plan till March 2025. As per the Mineral Conservation and Development Rules 2017, the Company has given financial assurance in form of Bank Guarantee of ₹ 14.34 Crores in regard to Progressive Mine Closure Plan.
- (b) Provision for FMCP : In terms of requirements of Rule 24 to 27 of MCDR, 2017, the company is required to recognize a liability for final mine closure plan. However, the time for preparation and submission of FMCP is not yet due and hence the amount of liability could not be determined at the present juncture. Hence, the liability is not recognized in the books of account and due to the fact that the amounts involved are not material.
- (c) Supreme Court Judgement : The Hon'ble Supreme Court in its Constitution Bench of nine judges pronounced on July 25, 2024 and August 14, 2024 that the Mines and Minerals (Development and Regulation) Act, 1957 will not denude the State Government of their power to levy tax on mineral rights and held that tax could be levied by the State Government on all transactions made by mining companies and lease holders after April 1, 2005.

However, the company has so far not received any demands/notices from concerned State Govt./ agencies in this regard. The management has assessed the implications of Hon'ble Supreme Court's judgements' dated 25<sup>th</sup> July, 2024 and 14<sup>th</sup> August, 2024 and believes that the financial impact, if devolved, on the company will not be material. Accordingly, no liability has been recognized in the books of account.

- (d) The Company pursuant to approval of Environmental Clearance from competent authority for enhancement of its annual production capacity from 0.96 MTPA to 5.26 MTPA, has received a total outlay plan of ₹ 5.50 crores towards cost of implementation of site specific wild life conservation. The Company, as a matter of prudence has made necessary provision in the books of account accordingly.
- (e) The Company is not regular in repaying principal amount of term loan and interest thereon to its holding company Eastern Investments Ltd (EIL). The Company was accommodated with the loan to tide over financial crisis due to closure of the mines for some period during 2011-12. As per the terms, principal is repayable after one year from the resumption of mining operations in 120 equal monthly installments. Simple interest on the loan is payable on monthly basis at RBI interest rate prevailing on the date of disbursement for the year of disbursement and thereafter for subsequent years at the prevailing RBI interest rate. The loan was disbursed during 2012-13 on different dates aggregating to ₹ 13.75 crores and also in April 2013 for ₹ 1.25 crores. Effectively principal repayment falls due from April 2013 in respect disbursements during 2012-13 and from May 2013 for the disbursement in April 2013.
- (f) The Company is not in a position to pay any monthly installment towards repayment of principal due to financial crisis. Aggregate amount of principal falling due for payment but remaining unpaid as at the year-end is ₹ 15.00 crores. The Company could not repay interest since September 2013. The holding company EIL a Non Banking Financial Company declared the entire loan as Non Performing Asset as on 30<sup>th</sup> Sep 2014 and stopped recognizing interest income thereon from October 2014. The Company has requested EIL to waive the loan amount as well as interest thereon in view of poor financial status of the company. The amount in default towards repayment of interest as at the year-end is ₹ 11.51 Crores (₹ 10.54 Crores). Confirmation of the above balances of loan & interest from EIL are also obtained.
- (g) As per Tripartite Memorandum of Settlement dated 30<sup>th</sup> March 2009 with Recognised Workmen's Union and Regional Labour Commissioner, the wage revision is due from 1<sup>st</sup> January 2012. However, in view of Office Memorandum of Department of Public Enterprise Nos.2(11)/96-DPE(WC)-GL-1 dated 11<sup>th</sup> February 2004 and 2(70)/08-DPE(WC) dated 26<sup>th</sup> November 2008 the Company is barred to carry out wage revision due to recurring losses, negative networth and inability to pay incremental wages out of its own sources. In view of the above, no provision on account of pay revision has been made in the accounts. The possibility of wage revision being remote, the same is not considered even as Contingent Liability.
- (h) Input Tax Credit of ₹ 16.88 Crores ( Previous Year ₹ 14.62 Crores) is lying in the books as other current assets. The whole of ITC is either eligible for adjustment against output tax liability or for refund in the ordinary course of business.
- (i) The Company has substantial carried forward losses and unabsorbed depreciation under the Income Tax Act, 1961 and accordingly Deferred Tax Asset of ₹ 16.63 Crores (previous year ₹ 16.68 Crores) has arisen as on 31<sup>st</sup> March 2025 and it does not include the effect of Gruity and Leave encashment. However, as per IND AS-12 and in consideration of prudence, the Deferred Tax Asset has not been recognised in the financial statements owing to uncertainty of the availability of sufficient taxable income in future against which such Deferred Tax Assets can be realised. Deferred Tax Assets on Depreciation for the year ended 31<sup>st</sup> March 2025 is hereunder: Depreciation as per Income Tax Act ₹ 0.56 Crores and Depreciation as per Company's Act ₹ 0.37 Crores, Timing Difference being ₹ (3.19) crores and Tax Impact on the same ₹ (0.05) crores. Net Deferred Tax Assets as on 31.03.2025 ₹ 16.63 crores.

## LEASE STATUS

### OMDC LEASES :

#### 1. Bagiaburu Iron Ore Mines (21.52 Ha.)

| Description                           | Status                                                                                                                                                      |
|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Reserve (in Million Tonne)            | <b>Iron-4.08</b>                                                                                                                                            |
| Capacity (EC granted)                 | <b>Iron - 0.36 Million Tonnes per Annum</b>                                                                                                                 |
| Mining Lease                          | Supplementary lease deed executed on 06.07.2022 for the period from 11.10.2021 to 10.10.2041.                                                               |
| Forestry Clearance(FC)                | Forest Clearance granted by MoEF&CC, integrated Regional office, Bhubaneswar on 17.09.2021 for total forest area of 21.52 hect. and valid up to 10.10.2041. |
| Environment Clearance(EC)             | EC granted on 14.07.2023 by MoEF & CC , New Delhi and valid up to 13.07.2034.                                                                               |
| Mining Plan                           | Mining Plan approved by IBM on 22.07.2021 and valid up to 31.03.2026.                                                                                       |
| Consent to Establish                  | Consent to Establish (CTE) granted by SPCB, Odisha on 15.12.2020 and valid up to 14.12.2025.                                                                |
| Consent to Operate                    | Consent to Operate (CTO) granted by SPCB, Odisha on 30.03.2025 and valid up to 31.03.2026.                                                                  |
| Active resumption of mining operation | 14.12.2023                                                                                                                                                  |

#### 2. Bhadrasahi Iron & Manganese Ore Mines (998.70 Ha.)

| Description                | Status                                                                                                                                                                                                                                          |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Reserve (in Million Tonne) | <b>Iron- 77.04, Manganese- 12.17</b>                                                                                                                                                                                                            |
| Capacity(EC Applied)       | Iron- 1.8 Million Tonnes per Annum, Mn- 0.12 Million Tonnes per Annum                                                                                                                                                                           |
| Mining Lease extension     | Govt. of Odisha vide order dated 06.02.2020 extended the mining lease validity period from 01.10.2010 to 30.09.2030.                                                                                                                            |
| Forestry Clearance(FC)     | OMDC paid ₹ 78.41 crs to ORRISA CAMPA fund on 27.02.2025 towards balance NPV.                                                                                                                                                                   |
|                            | OMDC vide letter dated 28.02.2025 requested DFO, Keonjhar for facilitating grant of extension to FC co-terminus with ML.                                                                                                                        |
|                            | DFO, Keonjhar vide letter dated 24.03.2025 forwarded the same to RCCF, Rourkela.                                                                                                                                                                |
|                            | RCCF, Rourkela vide letter dated 29.03.2025 forwarded the same to Addl. PCCF for grant of FC.                                                                                                                                                   |
|                            | Proposal is pending with Addl. Chief Secretary to Govt. of Odisha, Department of Forest, Environment & Climate Change.                                                                                                                          |
| Environment Clearance(EC)  | Public Hearing (PH) scheduled to be held on 26.03.2025 was postponed by Collector, Keonjhar vide letter dated 25.03.2025 mentioning that "there is grumbling among the villagers against the company which may lead to law and order situation. |
| Mining Plan                | Mining was approved by IBM on 24.03.2025 and valid up to 31.03.2030.                                                                                                                                                                            |
| Consent to Establish (CTE) | Application for CTE will be submitted after rescheduling of PH.                                                                                                                                                                                 |

### 3. Belkundi Iron & Manganese Ore Mines (1276.79 Ha.)

| Description                | Status                                                                                                                                                                                                                                                                                                                              |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Reserve (in Million Tonne) | <b>Iron- 25.93, Manganese- 11.73</b>                                                                                                                                                                                                                                                                                                |
| Capacity (EC Applied)      | Iron- 1.8 Million Tonnes per Annum, Mn- 0.30 Million Tonnes per Annum                                                                                                                                                                                                                                                               |
| Mining Lease extension     | Govt. of Odisha vide order dated 03.02.2020 extended the mining lease validity period from 16.08.2006 to 15.08.2026.                                                                                                                                                                                                                |
| Forestry Clearance(FC)     | <ul style="list-style-type: none"> <li>Forest Clearance co-terminus extension of Belkundi mines has been granted by MoEF&amp; CC New Delhi on 14.09.2022 and valid upto 15.08.2026.</li> </ul>                                                                                                                                      |
| Environment Clearance(EC)  | <ul style="list-style-type: none"> <li>The Public Hearing which was scheduled twice earlier, once for 16.06.2023 and again for 25.10.2023, was postponed by the office of Collector &amp; District Magistrate, Keonjhar.</li> <li>Date and venue for conducting Public Hearing (PH) is awaited from Collector, Keonjhar.</li> </ul> |
| Mining Plan                | Mining Plan approved by IBM on 29.01.2021 and valid up to 31.03.2026.                                                                                                                                                                                                                                                               |
| Consent to Establish (CTE) | Presentation made before SPCB, Odisha on 25.02.2021 for obtaining CTE.                                                                                                                                                                                                                                                              |

**BPMEL LEASES : OMDC HAD BEEN OPERAING BPMEL LEASES BY VIRTUE OF POWER OF ATTORNEY. MINING RIGHTS OF BPMEL LEASES ARE SUBJUDICE.**

**THE STATUS OF BPMEL LEASES ARE AS FOLLOWS :-**

#### 1. Kolha-Roida Iron & Manganese Ore Mines (254.952 Ha.)

| Description                                                                               | Status                                                                                                        |
|-------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Renewal of Mining Lease                                                                   | The 3 <sup>rd</sup> RML application (15.08.1996 to 14.08.2016) was rejected by Govt. of Odisha on 16.11.2006. |
| Date of Expiry of 2 <sup>nd</sup> RML / Date of filing of 3 <sup>rd</sup> RML Application | 14.08.1996 / 14.07.1995                                                                                       |
| Mines operated up to (under Deemed Renewal)                                               | 16.11.2006                                                                                                    |
| Environment Clearance(EC)                                                                 | EC was obtained on 23.07.2012 for 3 MTPA Iron ore & 0.24 MTPA Manganese ore.                                  |
| Forestry Clearance(FC)                                                                    | Not Available                                                                                                 |
| Approved Mining Plan                                                                      | Not available                                                                                                 |
| Consent to Establish (CTE)                                                                | Not available                                                                                                 |
| Consent to Operate (CTO)                                                                  | Not available                                                                                                 |

## 2. Dalki Manganese Ore Mines (266.77 Ha.)

| Description                                                                            | Status                                                                                                        |
|----------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------|
| Renewal of Mining Lease                                                                | The 3 <sup>rd</sup> RML application (01.10.1994 to 30.09.2014) was rejected by Govt. of Odisha on 24.08.2006. |
| Date of Expiry of 2 <sup>nd</sup> RML / Date of filing 4 <sup>th</sup> RML Application | 30.09.1994/ 05.09.2013                                                                                        |
| Mines operated up to (under Deemed Renewal)                                            | 24.08.2006                                                                                                    |
| Environment Clearance(EC)                                                              | EC was obtained on 11.09.2013 for 0.24 MTPA Manganese ore.                                                    |
| Forest Clearance(FC)                                                                   | Not available                                                                                                 |
| Approved Mining Plan                                                                   | Not available                                                                                                 |
| Consent to Establish (CTE)                                                             | Not available                                                                                                 |
| Consent to Operate (CTO)                                                               | Not available                                                                                                 |

## 3. Thakurani Iron & Manganese Ore Mines (1546.55 Ha.)

| Description                                                                               | Status                                                        |
|-------------------------------------------------------------------------------------------|---------------------------------------------------------------|
| Renewal of Mining Lease                                                                   | 3 <sup>rd</sup> RML from 01.10.2004 to 30.09.2024 is pending. |
| Date of Expiry of 2 <sup>nd</sup> RML / Date of filing of 3 <sup>rd</sup> RML Application | 30.09.2004 / 27.09.2003                                       |
| Mines operated up to (under Deemed Renewal)                                               | 09.12.2009                                                    |
| Environment Clearance(EC)                                                                 | Not available                                                 |
| Forestry Clearance(FC)                                                                    | Not available                                                 |
| Approved Mining Plan                                                                      | Not available                                                 |
| Consent to Establish (CTE)                                                                | Not available                                                 |
| Consent to Operate (CTO)                                                                  | Not available                                                 |

### A DETAILED NOTE ON BPMEL CASES BEFORE SUPREME COURT OF INDIA

- Challenging the order dated 03.03.2020 passed by the Division Bench, High Court, Calcutta to form a High Power Committee to take a decision for resumption of mining operation, the Chief Secretary, Govt. of Odisha (on behalf of Steel & Mines Dept.) had filed SLP (Civil) No. 007315 - 7316/2021 before the Hon'ble Supreme Court of India challenging the order passed on 03.03.2020 in ACO No. 24/2019 & APO No. 196/2019 by the division bench of the High Court, Calcutta . OMDC is made a party to the above SLP(C) being respondent no. 4 along with other respondents viz. Bharat Process & Mechanical Engineers Limited (BPMEL), TPG Equity Management Pvt. Ltd. (TPGEMPL), Official Liquidator (BPMEL), and Union of India (Ministry of Heavy Industries).

#### JUDGEMENT PASSED BY SUPREME COURT OF INDIA:

- The Hon'ble Supreme Court of India hearing the parties to the proceeding, pronounced the judgement on 17.05.2024 in the above noted SLP (Civil) No. 007315 - 7316/2021.
  - The apex court allowed the appeal filed by Chief Secretary, Govt. of Odisha and set-aside the order dated 03.03.2020 passed by the division bench of the High Court at Calcutta in which direction was



made to constitute a High Powered Committee to consider the issue of revival of three mines of BPMEL and to hear the prayer of TPGEMPL.

- b. The Hon'ble Apex Court in the said judgement also upheld the judgement & order of the High Court of Orissa passed in writ petition no. 1852 of 2010 rejecting the request of OMDC & TPG for renewal of Kolha-Roida lease, ignoring the fact that the Review petitions filed by OMDC before High Court, Orissa are still pending for adjudication.
- c. The Hon'ble Supreme Court by the said judgement also clarified that the applications filed and \_\_\_\_

#### IMPLICATION OF THE JUDGEMENT OF HON'BLE SUPREME COURT DTD. 17.05.2024

- 3 The effect of the Judgement of Supreme Court is that,
  - a. The OMDC is deprived of all its rights on BPMEL mines and the entire infrastructure created by OMDC in the leasehold area of the three mines under the nominal ownership of the BPMEL will be at stake.
  - b. Govt. of Odisha will be well within its rights to take coercive steps to evict The OMDC Ltd. as it will be treated as unauthorized occupant in the eye of Law.
4. The contention of OMDC is that, the orders of the Supreme Court of India under reference has been passed without taking into account the historical rights of The OMDC Ltd. over the Mines and has erroneously concluded that the Mines are owned by the BPMEL which is under liquidation. But the fact is that since inception, the OMDC was operating these mines and the Bird & Co. Ltd., the Govt. of India etc were only trustees / Benamidars. The liquidation of a trustee normally should not affect the rights of the original owner.

#### STEPS TAKEN FOLLOWED BY SC JUDGEMENT

5. Considering the impact the judgement will have on OMDC, a Review Petition being Diary No. - 29806/2014 filed by OMDC before the Supreme Court on 08.07.2024, for review of the Judgement dated 17.05.2024. It is informed by the shareholder of OMDC that, a Review Petition being Diary No. - 29537/2014 is also filed on 08.07.2024 by one shareholder before the Supreme Court for review of the Judgement dated 17.05.2024. Both the review petitions are pending for hearing.

### **53 Equity accounted investees**

**(₹ in Crores)**

| Particulars               | Note          | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------|---------------|-----------------------------|-----------------------------|
| Interest in joint venture | See (A) below | -                           | -                           |
| Interest in associates    | See (B) below | 691.23                      | 668.85                      |

#### **A. Joint Venture**

- i) RINL Powergrid TLT Private Limited (RPTPL) is a joint arrangement in which the Group has joint control and a 50% ownership interest. RPTPL has been incorporated in the financial year 2015-16. It has been established for setting up a transmission line tower manufacturing unit (including Research & Development). RPTPL shall manufacture transmission line towers for supplying to various customers in India and abroad. The company has not commenced commercial operations.

**(₹ in Crores)**

| Particulars                                                                                                                                                 | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>Percentage ownership interest</b>                                                                                                                        | 50%                         | 50%                         |
| Non-current assets                                                                                                                                          | -                           | -                           |
| Current assets (including cash and cash equivalents – 31 <sup>st</sup> March 2025: ₹ 0.09402 crore & 31 <sup>st</sup> March 2024: ₹ 0.1007 crore)           | 0.09                        | 0.10                        |
| Current liabilities (including other current financial liabilities – 31 <sup>st</sup> March 2025: ₹ 1.87 crore & 31 <sup>st</sup> March 2024: ₹ 1.49 crore) | (1.87)                      | (1.49)                      |
| Net assets                                                                                                                                                  | (1.78)                      | (1.39)                      |
| Group's share of net assets (50%)                                                                                                                           | (0.89)                      | (0.69)                      |
| Carrying amount of interest in the Joint Venture                                                                                                            | -                           | -                           |
| RINL Share in RPTPL Losses restricted to its investments*                                                                                                   | -                           | -                           |
| Carrying amount of interest in the Joint Venture as on 31 <sup>st</sup> March                                                                               | -                           | -                           |

**(₹ in Crores)**

| Particulars                                                                            | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Revenue                                                                                | -                           | -                           |
| Depreciation and amortisation expense                                                  | -                           | -                           |
| Interest income                                                                        | -                           | -                           |
| Interest expense                                                                       | -                           | -                           |
| Other Expenses                                                                         | 0.39                        | 0.01                        |
| Income tax expense                                                                     | -                           | -                           |
| Profit/(loss)                                                                          | (0.39)                      | (0.01)                      |
| Other comprehensive income                                                             | -                           | -                           |
| <b>Total comprehensive income</b>                                                      | <b>(0.39)</b>               | <b>(0.01)</b>               |
| Group's share of profit (50%)                                                          | (0.19)                      | (0.00)                      |
| Group's share of OCI (50%)                                                             | -                           | -                           |
| <b>Group's share of total comprehensive income restricted to its investment (50%)*</b> | <b>-</b>                    | <b>-</b>                    |

**\* Note:** The Board of Joint Venture Company RPTPL has directed to form a Joint Working Committee to expedite the process for short closing of all contracts. Further the company has not prepared Financial Statements on the assumption of Going Concern and the company will not be able to do further any activity in near future. During the year 2019-20 holding company's share in the losses of RPTPL exceeds its interest in RPTPL. In line with Para no. 38 of Ind AS 28, the holding co. restricted its share in the losses to the interest in the RPTPL. Accordingly, carrying amount of investment of holding co. in RPTPL has eroded. Consequently the provision created in the Standalone financials of holding co. has been reversed in the consolidated financial statements.

## B. Associates

International Coal Ventures Limited (ICVL) was set up as a special purpose vehicle for acquisition of coal mines/ blocks overseas for securing coal supplies.

The following table summarises the financial information of ICVL and the carrying amount of the Group's interest in the entity.

(₹ in Crores)

| Particulars                                                                                                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Percentage ownership interest                                                                                                                    | 25.94%                      | 25.94%                      |
| Non-current assets                                                                                                                               | 2,778.49                    | 2,684.47                    |
| Current assets (including cash and cash equivalents –<br>31 <sup>st</sup> March 2025: ₹ 18.01 crore 31 <sup>st</sup> March 2024: ₹ 7.81 crore)   | 55.43                       | 63.07                       |
| Non-current liabilities                                                                                                                          | -                           | (18.76)                     |
| Current liabilities (current financial liabilities – 31 <sup>st</sup> March 2025:<br>₹ 169.40 crore 31 <sup>st</sup> March 2024: ₹ 150.55 crore) | (169.55)                    | (150.70)                    |
| Net assets                                                                                                                                       | 2,664.37                    | 2,578.08                    |
| Group's share of net assets                                                                                                                      | 691.23                      | 668.85                      |
| Carrying amount of interest in associate                                                                                                         | 691.23                      | 668.85                      |

(₹ in Crores)

| Particulars                                        | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------|-----------------------------|-----------------------------|
| Revenue                                            | -                           | -                           |
| Depreciation and amortisation expense              | 0.00                        | 0.00                        |
| Other income                                       | (52.54)                     | (20.33)                     |
| Interest expense                                   | -                           | 29.43                       |
| Other Expenses incl Exceptional items              | 86.33                       | 20.42                       |
| Income tax expense                                 | -                           | -                           |
| Profit/(loss)                                      | (33.79)                     | (29.52)                     |
| Other comprehensive income                         | 120.08                      | 65.01                       |
| <b>Total comprehensive income</b>                  | <b>86.29</b>                | <b>35.50</b>                |
| Group's share of profit/(loss)                     | (8.77)                      | (7.66)                      |
| Group's share of OCI                               | 31.15                       | 16.87                       |
| <b>Group's share of total comprehensive income</b> | <b>22.39</b>                | <b>9.21</b>                 |

## 54. Non-controlling interests

The following table summarises the information relating to Group's subsidiary that has material NCI, before any intra-group eliminations

**Eastern Investments Limited**
**(₹ in Crores)**

| Particulars                                                                 | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-----------------------------------------------------------------------------|-----------------------------|-----------------------------|
| NCI percentage                                                              | 49%                         | 49%                         |
| Non-current assets                                                          | 403.86                      | 245.26                      |
| Current assets                                                              | 215.25                      | 171.09                      |
| Non-current liabilities                                                     | (203.27)                    | (23.97)                     |
| Current liabilities                                                         | (557.46)                    | (498.74)                    |
| <b>Net assets attributable to owners of the Company in Subsidiary books</b> | <b>(92.67)</b>              | <b>(75.37)</b>              |
| NCI in subsidiaries books                                                   | (48.95)                     | (31.00)                     |
| Net assets attributable to NCI                                              | (94.37)                     | (67.93)                     |
| Revenue                                                                     | 128.67                      | 171.63                      |
| Profit                                                                      | (35.18)                     | 5.92                        |
| OCI                                                                         | (0.07)                      | (1.28)                      |
| <b>Total comprehensive income</b>                                           | <b>(35.26)</b>              | <b>4.65</b>                 |
| Profit allocated to NCI                                                     | (17.91)                     | 2.55                        |
| OCI allocated to NCI                                                        | (0.04)                      | (0.64)                      |
| <b>Total comprehensive income allocated to NCI</b>                          | <b>(17.95)</b>              | <b>1.91</b>                 |
| Cash-flow from (used in) operating activities                               | 3.99                        | 98.86                       |
| Cash-flow from (used in) investing activities                               | (51.75)                     | 1.59                        |
| Cash-flow from (used in) financing activities                               | 76.23                       | (100.06)                    |
| <b>Net increase (decrease) in cash &amp; cash equivalents</b>               | <b>28.48</b>                | <b>0.39</b>                 |

**55. Related parties**
**A. List of related parties and nature of relationship**

| Name of the related party                   | Nature of relationship   | Country    |
|---------------------------------------------|--------------------------|------------|
| RINL Powergrid TLT Pvt. Ltd                 | Joint ventures           | India      |
| International Coal Ventures Pvt. Ltd (ICVL) | Associate                | India      |
| Maganese Ore (India) Ltd.                   | Entity Having Common KMP | India      |
| MINAS DE BENGALIMITADA                      | Joint Venture of ICVL    | Mozambique |

**B-I. Key Managerial Personnel as on 31<sup>st</sup> March 2025**

| Name of the related party                    | Nature of relationship                       |
|----------------------------------------------|----------------------------------------------|
| Shri Ajit Kumar Saxena (from 29.09.2024)     | Chairman-cum-Managing Director (Addl Charge) |
| Shri Atul Bhatt (upto 30.11.2024)            | Chairman-cum-Managing Director               |
| Shri Deb Kalyan Mohanty (upto 30.04.2024)    | Director (Commercial)                        |
| Shri Arun Kanti Bagchi                       | Director (Projects)                          |
| Shri Suresh Chandra Pandey                   | Director (Personnel)                         |
| Shri Ch SRVGK Ganesh (from 03.04.2024)       | Director (Finance) & CFO                     |
| Shri GVN Prasad (from 01.05.2024)            | Director (Commercial)                        |
| Shri Salim G Purushothaman (from 09.03.2025) | Director (Operations)                        |
| Shri M Jagadeeshwara Rao                     | Company Secretary                            |
| Shri V Santa Kumar (upto 02.04.2024 )        | CFO                                          |

**B-II. Independent Directors as on 31<sup>st</sup> March 2025**

| Name of the related party                 | Nature of relationship |
|-------------------------------------------|------------------------|
| Shri Sunil Kumar Hirani (upto 31.10.2024) | Independent Director   |
| Shri Ghanshyam Singh (upto 31.10.2024)    | Independent Director   |

**B-III. Government Directors as on 31<sup>st</sup> March 2025**

| Name of the related party                               | Nature of relationship |
|---------------------------------------------------------|------------------------|
| Ms. Sukriti Likhi (upto 19.08.2024)                     | Government Director    |
| Dr. Sanjay Roy                                          | Government Director    |
| Shri Subodh Kumar Singh (from 06.11.2024 to 18.12.2024) | Government Director    |

**C. Post employment plans of RINL**

| Name of the related party                                    | Country |
|--------------------------------------------------------------|---------|
| RINL Employees' Group Gratuity Fund Trust                    | India   |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | India   |
| RINL Employees' Superannuation Benefit Fund Trust            | India   |
| RINL PRMS Trust                                              | India   |

**D. Other Related Parties**

| Name of the related party | Country |
|---------------------------|---------|
| RINL - CSR Foundation     | India   |

**E. Transactions with related parties**
**(₹ in Crores)**

| Name of the Related Party                                    | Nature of Relationship       | Nature of Transactions    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------|------------------------------|---------------------------|-----------------------------|-----------------------------|
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Salaries Recoverable      | 0.41                        | 0.29                        |
| International Coal Ventures Pvt Ltd ( ICVL)                  | Associate                    | Receipt of Claims         | -                           | 1.25                        |
| Manganese Ore (India) Ltd                                    | Entity having common KMP     | Purchases                 | 42.65                       | 1.09                        |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Purchases                 | 152.16                      | 269.83                      |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Demurrages/ Despatches    | -                           | 2.60                        |
| RINL Employees' Group Gratuity Fund Trust                    | Post Employment Benefit Plan | Employee Benefit Expenses | 160.13                      | 85.36                       |
| RINL Employees' Group Gratuity Fund Trust                    | Post Employment Benefit Plan | Amount Remitted to Trust  | -                           | 10.00                       |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | Post Employment Benefit Plan | Employee Benefit Expenses | 164.52                      | 181.39                      |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | Post Employment BenefitPlan  | Amount Remitted to Trust  | 136.55                      | 155.58                      |
| RINL Employees' Superannuation Benefit Fund Trust            | Post Employment Benefit Plan | Employee Benefit Expenses | 39.68                       | 42.09                       |

**(₹ in Crores)**

| Name of the Related Party                         | Nature of Relationship       | Nature of Transactions    | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|---------------------------------------------------|------------------------------|---------------------------|-----------------------------|-----------------------------|
| RINL Employees' Superannuation Benefit Fund Trust | Post Employment Benefit Plan | Amount Remitted to Trust  | 12.09                       | 60.87                       |
| RINL PRMS Trust                                   | Post Employment Benefit Plan | Employee Benefit Expenses | 7.64                        | 8.18                        |
| RINL PRMS Trust                                   | Post Employment Benefit Plan | Amount Remitted to Trust  | 5.30                        | 7.16                        |
| RINL - CSR Foundation                             | CSR Trust                    | Donations                 | -                           | -                           |

**F. Balances outstanding (unsecured & considered good)**
**(₹ in Crores)**

| Name of the Related Party                                    | Nature of Relationship       | Details                             | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|--------------------------------------------------------------|------------------------------|-------------------------------------|-----------------------------|-----------------------------|
| International Coal Ventures Pvt Ltd (ICVL)                   | Associate                    | Investment in Associate             | 378.86                      | 378.86                      |
| International Coal Ventures Pvt Ltd (ICVL)                   | Associate                    | Other financial assets              | 0.80                        | 0.39                        |
| Managanese Ore (India) Ltd                                   | Entity having common KMP     | Amounts payable                     | 12.02                       | 1.28                        |
| Managanese Ore (India) Ltd                                   | Entity having common KMP     | Other financial assets              | 0.00                        | -                           |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Other financial assets              | 18.25                       | 18.25                       |
| MINAS DE BENGALIMITADA                                       | ICVL's Joint Venture         | Amounts payable                     | 367.23                      | 368.17                      |
| RINL Employees' Group Gratuity Fund Trust                    | Post Employment Benefit Plan | Other financial liability / (asset) | 472.87                      | 312.74                      |
| Vishakhapatnam Steel Project Employees' Provident Fund Trust | Post Employment Benefit Plan | Other financial liability           | 112.96                      | 41.81                       |
| RINL Employees' Superannuation Benefit Fund Trust            | Post Employment Benefit Plan | Other financial liability           | 449.10                      | 375.33                      |
| RINL PRMS Trust                                              | Post Employment Benefit Plan | Other financial assets              | 1.25                        | 1.36                        |

**(₹ in Crores)**

| Particulars                                                                | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|----------------------------------------------------------------------------|-----------------------------|-----------------------------|
| Provision for doubtful debts related to the amount of outstanding balances | -                           | -                           |

**G. Key Managerial Personnel compensation & Sitting Fee paid**
**(₹ in Crores)**

| Particulars                               | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|-------------------------------------------|-----------------------------|-----------------------------|
| Short-term employee benefits              | 2.00                        | 2.23                        |
| Post-employment benefits                  | 0.92                        | 0.37                        |
| Other long-term benefits                  | 0.75                        | 0.46                        |
| Sitting fee paid to Independent Directors | 0.06                        | 0.09                        |
|                                           | <b>3.73</b>                 | <b>3.15</b>                 |





## H. Transactions with Government Related Entities

During the year, significant amount of purchase of indigenous raw materials i.e., Iron ore of about ₹ 3818.45 Crores (Prev. Year : ₹ 3599.40 Crores) were procured from National Mineral Development corporation (NMDC), a central PSU. Also the company has made sale of coal amounting to 'Nil' (CPLY: ₹ 88.10 Crores) to NMDC. The Company has also entered into other transactions such as service contracts, fuel purchase etc. with other various government related entities. These transactions are insignificant individually and collectively and hence not disclosed

## 56 Operating segments

### A Basis for segmentation

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components, and for which discrete financial information is available. All operating segments results are reviewed regularly by the holding Company's Chief Executive Officer (CEO) to make decisions about resources to be allocated to the segments and assess their performance.

The Group has two reportable segments, as described below, which are the Group's strategic business units. These business units offer different services, and are managed separately because they require different technology and marketing strategies. For each of the business units, the holding Company's CEO reviews internal management reports on at least a quarterly basis.

The following summary describes the operations in each of the Group's reportable segments:

#### Reportable segments

#### Operations

Steel products

Manufacturing of steel products

Others

Mining and investment activities

### B. Information about reportable segments

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit (before tax), as included in the internal management reports that are reviewed by the Group's CEO. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries. Inter-segment pricing is determined on an arm's length basis.

**Year ended 31<sup>st</sup> March 2025**
**(₹ in Crores)**

| Particulars                                             | Steel products   | Others          | Total            |
|---------------------------------------------------------|------------------|-----------------|------------------|
| <b>Segment revenue:</b>                                 |                  |                 |                  |
| - External revenue                                      | 18,337.84        | 128.67          | 18,466.51        |
| - Inter-segment revenue                                 | -                | (14.09)         | (14.09)          |
| <b>Total segment revenue</b>                            | <b>18,337.84</b> | <b>114.58</b>   | <b>18,452.42</b> |
| Segment profit (loss) before income tax                 | (5,031.99)       | (49.96)         | (5,081.95)       |
| Segment profit (loss) before income tax includes:       |                  |                 |                  |
| Interest revenue                                        | 43.89            | -               | 43.89            |
| Interest expense                                        | 2,171.75         | 0.46            | 2,172.21         |
| Depreciation and amortisation                           | 1,161.24         | 4.29            | 1,165.53         |
| Share of profit (loss) of equity accounted investees    |                  | (8.77)          | (8.77)           |
| Other material non-cash items:                          |                  |                 |                  |
| - Impairment losses on non-financial assets             | -                | -               | -                |
| - Reversal of impairment losses on non financial assets | -                | -               | -                |
| <b>Segment assets</b>                                   | <b>32,599.95</b> | <b>1,455.37</b> | <b>34,055.32</b> |
| Segment assets include:                                 |                  |                 |                  |
| Investments accounted for using equity method           |                  | 691.23          | 691.23           |
| Capital expenditure during the year (Cash Outflow)      | 166.59           | 114.11          | 280.70           |
| <b>Segment liabilities</b>                              | <b>32,202.37</b> | <b>756.29</b>   | <b>32,958.66</b> |

**Year ended 31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                                             | Steel products   | Others          | Total            |
|---------------------------------------------------------|------------------|-----------------|------------------|
| <b>Segment revenue:</b>                                 |                  |                 |                  |
| - External revenue                                      | 23,186.39        | 171.63          | 23,358.02        |
| - Inter-segment revenue                                 | -                | (29.96)         | (29.96)          |
| <b>Total segment revenue</b>                            | <b>23,186.39</b> | <b>141.67</b>   | <b>23,328.06</b> |
| Segment profit (loss) before income tax                 | (5,218.46)       | (9.93)          | (5,228.39)       |
| Segment profit (loss) before income tax includes:       |                  |                 |                  |
| Interest revenue                                        | 33.29            | -               | 33.29            |
| Interest expense                                        | 2,173.03         | 8.74            | 2,181.77         |
| Depreciation and amortisation                           | 1,294.18         | 5.26            | 1,299.44         |
| Share of profit (loss) of equity accounted investees    | -                | (7.66)          | (7.66)           |
| Other material non-cash items:                          |                  |                 |                  |
| - Impairment losses on non-financial assets             | -                | -               | -                |
| - Reversal of impairment losses on non financial assets | -                | -               | -                |
| <b>Segment assets</b>                                   | <b>29,256.29</b> | <b>1,228.67</b> | <b>30,484.96</b> |
| Segment assets include:                                 |                  |                 |                  |
| Investments accounted for using equity method           |                  | 668.85          | 668.85           |
| Capital expenditure during the year (Cash Outflow)      | 608.58           | 0.27            | 608.85           |
| <b>Segment liabilities</b>                              | <b>34,534.47</b> | <b>516.71</b>   | <b>35,051.18</b> |

**C Reconciliations of information on reportable segments to Ind AS measures (₹ in Crores)**

| Particulars                                                      | 31 <sup>st</sup> March 2025 | 31 <sup>st</sup> March 2024 |
|------------------------------------------------------------------|-----------------------------|-----------------------------|
| <b>i. Revenues</b>                                               |                             |                             |
| Total revenue for reportable segments                            | 18,452.42                   | 23,328.06                   |
| Revenue for other segments                                       | -                           | -                           |
| Elimination of inter-segment revenue                             | 14.09                       | 29.96                       |
| <b>Consolidated revenue</b>                                      | <b>18,466.51</b>            | <b>23,358.02</b>            |
| <b>ii. Profit before tax</b>                                     |                             |                             |
| Total profit before tax for reportable segments                  | (5,081.95)                  | (5,228.39)                  |
| Profit before tax for other segments                             | -                           | -                           |
| Elimination of inter-segment profits                             | -                           | -                           |
| Unallocated amounts:                                             |                             |                             |
| - Corporate expenses                                             | -                           | -                           |
| <b>Consolidated profit from continuing operations before tax</b> | <b>(5,081.95)</b>           | <b>(5,228.39)</b>           |
| <b>iii. Assets</b>                                               |                             |                             |
| Total assets for reportable segments                             | 34,055.32                   | 30,484.96                   |
| Assets for other segments                                        | -                           | -                           |
| Unallocated amounts                                              | -                           | -                           |
| <b>Consolidated total assets</b>                                 | <b>34,055.32</b>            | <b>30,484.96</b>            |
| <b>iv. Liabilities</b>                                           |                             |                             |
| Total liabilities for reportable segments                        | 32,958.66                   | 35,051.18                   |
| Liabilities for other segments                                   | -                           | -                           |
| Unallocated amounts                                              | -                           | -                           |
| <b>Consolidated total liabilities</b>                            | <b>32,958.66</b>            | <b>35,051.18</b>            |

**v. Other material items**
**31<sup>st</sup> March 2025**
**(₹ in Crores)**

| Particulars                                           | Reportable segments total | Adjustments | Consolidated totals |
|-------------------------------------------------------|---------------------------|-------------|---------------------|
| Interest revenue                                      | 69.26                     | 25.37       | 43.89               |
| Interest expense                                      | 2,194.16                  | 21.95       | 2,172.21            |
| Capital expenditure during the year (Cash Outflow)    | 280.70                    | -           | 280.70              |
| Depreciation and amortisation expense                 | 1,165.53                  | -           | 1,165.53            |
| Impairment losses on non-financial assets             | -                         | -           | -                   |
| Reversal of impairment losses on non-financial assets | -                         | -           | -                   |

**31<sup>st</sup> March 2024**
**(₹ in Crores)**

| Particulars                                           | Reportable segments total | Adjustments | Consolidated totals |
|-------------------------------------------------------|---------------------------|-------------|---------------------|
| Interest revenue                                      | 55.16                     | 21.87       | 33.29               |
| Interest expense                                      | 2,203.64                  | 21.87       | 2,181.77            |
| Capital expenditure during the year (Cash Outflow)    | 608.85                    | -           | 608.85              |
| Depreciation and amortisation expense                 | 1,299.44                  | -           | 1,299.44            |
| Impairment losses on non-financial assets             | -                         | -           | -                   |
| Reversal of impairment losses on non-financial assets | -                         | -           | -                   |

## D Major customer

Revenue from any customer of the Group's steel products and other segments does not exceed 10% of the total revenue reported and hence, the management believes there are no major customers to be disclosed.

## 57A Going Concern Assessment (In case of Holding Co.)

1. The management of the company has carried out an assessment on the Company's ability to continue as a Going Concern considering a wide range of factors relating to current and expected profitability, its current net worth and plans in place to improve it, debt repayment schedules and potential sources of replacement financing etc.,
2. As a part of the assessment of its ability to continue as a going concern, the management of RINL has taken into consideration the following factors from the financial year under report as well as the financial year ahead.
  - i. Its track record of Debt servicing.
  - ii. Its successful and strategic deployment of its resources and capacities and market opportunities to optimise its costs and maximize its revenues during the year.
  - iii. Support from Government of India in the form of equity infusion and working capital loan to be converted as 7% non-cumulative preference share capital redeemable after 10 years.
  - iv. Assured supply of and support from vendors of major materials pursuant to settlements and long term agreements/MOUs made with them during the year.
  - v. Active engagement with lenders from time to time for their continued support in terms of financing of its working capital needs.
  - vi. There are no significant and material orders passed by the Regulators or Courts or Tribunals impacting the going concern status and Company's operations in future during the year.
3. Based on its performance during the year under report, the management of the company has also made the following estimates for its next financial year in the following manner:
  - i. Gross Sales Turnover of ₹ 28,775 Crores for the FY 2025-26 as against the actual turnover of ₹ 18,288 Crores achieved during 2024-25 due to higher capacity utilisation envisaged.
  - ii. Gross sales volume of 5.42 million tonnes of saleable steel for the FY 2025-26 as against 3.415 million tonnes achieved in 2024-25.
  - iii. The production for the FY 2025-26 at 5.42 million tonnes of saleable steel as compared to 3.458 million tonnes achieved during 2024-25.
  - iv. Generation of positive cash flows from operations during FY 2025-26.
4. The following measures were in place to improve the net worth position and working capital of the company.
  - i **Revival Plan approved by Govt. of India :** The Cabinet Committee on Economic Affairs (CCEA) has approved the revival plan for RINL for a total of ₹ 11,440 crores. The infusion includes ₹ 10,300 crore as equity capital into Rashtriya Ispat Nigam Ltd. (RINL) and Conversion of ₹ 1,140 crore working capital loan as 7% Non-cumulative Preference Share Capital redeemable after 10 years to keep RINL as a going concern.

As a part of the above revival plan approved by Gol as above, ₹ 500 crores were received during September 2024 against which equity share capital was allotted to Gol in October 2024 and ₹ 6,783 crores was received in January 2025 against which equity share capital was allotted in April 2025. During May 2025, ₹ 1,401 crores were received from Gol towards equity infusion and equity shares were allotted against the same. The remaining equity infusion of ₹ 1,616 crores, out of the revival plan approved by the Gol, is expected to be completed during FY 2025-26.

Further, ₹ 1,140 crores which was received from GoI towards working capital loan in September 2024, was approved by GoI to be converted as 7% Non-cumulative Preference Share Capital redeemable after 10 years. The said conversion of working capital loan into preference share capital is expected to take place during FY 2025-26.

- ii. **Voluntary Retirement Scheme (VRS):** As a part of efforts for revival of the company, the VRS Scheme was implemented. 1,123 employees have opted for VRS and got relieved from service on 31.03.2025. The estimated monthly cost savings as a result is VRS is about ₹ 20 crores. Further, with the significant number of normal retirements due in the current financial year and beyond, it is expected that employee benefit cost will further decline in the future.
- iii. **Reduction of fixed administrative overheads:** Measures have been undertaken to optimise overall man power which involve right sizing of number of contract workers and reduction / replacement of high cost CISF personnel with low cost alternative force deployment.
- iv. **Sale of non-core surplus land:** The Government of India approved the sale of 24.99 acres of non-core surplus freehold land owned by the Company in Visakhapatnam through Auction. The company, in association with M/s National Land Monetization Corporation (NLMC) and M/s NBCC (India) Limited, has sold 5.63 acres of land for an amount of ₹ 225 crores upto 31.03.2025. The company has plans to sell the remaining land of 19.33 acres with an estimated realisable value of ₹ 761 crores (i.e., reserve prices assessed by the Asset Valuer).

In view of the above, the management of the company believes that the Company has the ability to continue as a going concern due to the steps taken by the company to continue its operations in the FY 2024-25 and the action plan for the FY 2025-26.

#### **57B Going Concern Assessment (In case of BSLC)**

The Company has made a profit of ₹ 6.71 Crores before tax for the year ended 31<sup>st</sup> March, 2025 and accumulated loss as on 31<sup>st</sup> March, 2025 ₹ 211.80 Crores which is in excess of the entire Net Worth of the Company. The company has assessed the going concern assumption in preparing the financial statements keeping in view the recent improvements in the performance of the company and expected positive prospects in future. The Management expects that positive cash flow will be generated from operations which would enable the company to continue to operate as a going concern during the forthcoming 12 months period. Accordingly, these financial statements have been prepared on going concern basis.

#### **58A Disinvestment of Rashtriya Ispat Nigam Limited:**

The Cabinet Committee on Economic Affairs (CCEA), in its meeting held on 27.01.2021, had given "in principle" approval for 100% disinvestment of GOI shareholding in RINL along with RINL's stake in its Subsidiaries/JVs through strategic disinvestment by way of privatization. An Inter-Ministerial Group has been constituted by Ministry of Finance vide office order dtd. 12.02.2021, for driving the process of strategic disinvestment of RINL. Transaction Advisor (TA), Legal Advisor (LA) and Asset Valuer (AV) have been appointed by GoI to take forward the process of 100% disinvestment of RINL.

#### **B Slump Sale of FWP :**

Alternative Mechanism (AM), vide OM No. 4/4/2011/DoD/DIPAM (Pt.File) dated 12<sup>th</sup> May, 2023, accorded in-principle approval for strategic disinvestment of Forged Wheel Plant as a going concern (Unit sale) separately and prior to the share sale transaction of RINL on 12<sup>th</sup> May, 2023.

Alternate Mechanism (AM) considered the note no. 4/4/2011 DoD/DIPAM(Pt.) dated 25.01.2024 of DIPAM containing recommendations of Core Group of Secretaries on Disinvestment (CGD) in the meeting dated 04-Dec-2023 and annulled the earlier "in-principle" approval of strategic disinvestment of FWP and

recommended the sale of FWP through BTA to Ministry of Railways after due approval of CCEA on 25<sup>th</sup> January, 2024.

As per the communication received from MoS vide S-26011/3/2024-RINL dated 14-Mar-2024, Cabinet Committee on Economic Affairs (CCEA) in its meeting held on 07-March-2024 accorded approval for Slump Sale as a 'going concern' through Business Transfer of Forged Wheel Plant (FWP) of RINL to the Modern Coach Factory (MCF), Rae Bareli of the Ministry of Railways.

As recommended by RINL Board in its 360<sup>th</sup> meeting held on 15<sup>th</sup> March, 2024, the members of the Company (shareholders of RINL) considered the recommendations of RINL Board as Special Business in their 13<sup>th</sup> Extraordinary General Meeting (EGM) held on 15<sup>th</sup> March, 2024 and approved the Slump sale of Forged Wheel Plant (FWP) of Rashtriya Ispat Nigam Limited located at Modern Coach Factory (MCF) premises, Lalgunj, Rae Bareli, Uttar Pradesh Unit to Ministry of Railways (MoR) through Modern Coach Factory.

In pursuance of the The Business Transfer Agreement (BTA) executed on 21-Mar-2024, the FWP was transferred on slump sale basis to Modern Coach Factory (MCF), Rae Bareli of the Ministry of Railways at a net consideration ₹ 1788.38 crores and the transfer of ownership took effect at 11.59 PM on 31.03.2024 as per the terms of BTA. Accordingly, all the assets and liabilities attributable to FWP are transferred to MCF in terms of slump sale as per BTA were de-recognised from the books of accounts on 31.03.2024.

One Bank Guarantee related to FWP for an amount of ₹ 5.82 Crores is still in vogue.

#### **C Sale of Outstation Properties:**

The RINL Board vide its 361<sup>st</sup> meeting held on 22.05.2024, had in-principle approved the proposal for sale of properties i.e., office buildings and residential flats located at Mumbai, Delhi, Faridabad, Hyderabad, Bangalore and Pune as well as stock yards located at Chennai and Hyderabad. These properties were estimated to have a market value of ₹ 476.18 crores at the time the said proposal was approved by the Board. The Board had also, in principle, approved the proposal for the sub-lease of stock yard located at Mumbai, with an estimated market price of ₹ 166.69 crores. These non-current assets do not constitute 'disposal group' and did not meet the conditions prescribed for classification as 'Assets held for sale' as per the requirements of 'Ind AS 105 – Non-current Assets held for sale'

#### **D Lease of Vacant Project Land to M/s NMDC**

The company has entered into lease agreement with M/s NMDC Ltd. on 30<sup>th</sup> April 2025 for lease of 1167 acres of land located within the premises of Visakhapatnam Steel Plant for a lease period of 30 years w.e.f 04<sup>th</sup> September 2024 for setting up of industrial facilities including a slurry pipeline, a pellet plant and other related facilities that would also be in the larger interest of the RINL for its long term raw material security. The terms of the said lease deed provide for payment of upfront premium of ₹ 1502 crores (one time) and security deposit of ₹ 90.12 crores (one time) with ground rent being ₹ 1/- per annum for 1167 acres.

Further, as per the terms of the lease deed, the lease shall be extendable by another 30 years on mutually acceptable terms and conditions.

As of 31.03.2025, an amount to the extent of ₹ 998.89 Crores payable to M/s NMDC towards supply of raw materials has been set off against lease premium receivable from M/s NMDC. The balance amount receivable on this account from M/s NMDC is accounted under the head 'Other Financial Assets' which is disclosed at Note No.7B.4

- 59 a)** Previous year's figures have been rearranged / regrouped wherever necessary to conform to current year's classification.



**60 Additional information pursuant to paragraph 2 of Division II of Schedule III to the Companies Act 2013- 'General instructions for the preparation of consolidated financial statements' of Division II of Schedule III**

**As at 31<sup>st</sup> March 2025**

**(₹ in Crores)**

| Name of the Entity                                                    | Net Assets                      |                 | Share in profit or (loss)             |                   | Share in other comprehensive income (OCI) |                 | Share in total comprehensive income |                   |
|-----------------------------------------------------------------------|---------------------------------|-----------------|---------------------------------------|-------------------|-------------------------------------------|-----------------|-------------------------------------|-------------------|
|                                                                       | As % of consolidated net assets | Amount (₹)      | As % of consolidated profit or (loss) | Amount (₹)        | As % of consolidated other OCI            | Amount (₹)      | As % of consolidated total OCI      | Amount (₹)        |
| <b>Parent</b><br>Rashtriya Ispat Nigam Limited                        | 104.09%                         | 1,141.47        | 98.75%                                | (1,388.62)        | 116.61%                                   | (218.62)        | 100.85%                             | (1,607.24)        |
| <b>Subsidiaries (Group's share)</b>                                   |                                 |                 |                                       |                   |                                           |                 |                                     |                   |
| <b>Indian</b><br>Eastern Investments Limited                          | -8.45%                          | (92.67)         | 0.63%                                 | (8.81)            | 0.01%                                     | (0.02)          | 0.55%                               | (8.83)            |
| <b>Non controlling interest</b><br>Eastern Investments Limited        | -8.61%                          | (94.37)         | 1.88%                                 | (26.38)           | 0.03%                                     | (0.05)          | 1.66%                               | (26.43)           |
| <b>Associates (investment as per the equity method)</b>               |                                 |                 |                                       |                   |                                           |                 |                                     |                   |
| <b>Indian</b><br>International Coal Ventures Private Limited          | 28.48%                          | 312.37          | 0.62%                                 | (8.77)            | -16.62%                                   | 31.15           | -1.40%                              | 22.39             |
| <b>Joint Ventures</b><br><b>(investment as per the equity method)</b> |                                 |                 |                                       |                   |                                           |                 |                                     |                   |
| <b>Indian</b><br>RINL Powergrid TLT Pvt Ltd                           | -0.36%                          | (4.00)          | 0.00%                                 | -                 | 0.00%                                     | -               | 0.00%                               | -                 |
| <b>Eliminations</b>                                                   | -15.15%                         | (166.14)        | -1.88%                                | 26.38             | -0.03%                                    | 0.05            | -1.66%                              | 26.43             |
| <b>Total</b>                                                          | <b>100.00%</b>                  | <b>1,096.66</b> | <b>100.00%</b>                        | <b>(1,406.19)</b> | <b>100.00%</b>                            | <b>(187.49)</b> | <b>100.00%</b>                      | <b>(1,593.68)</b> |

**As at 31<sup>st</sup> March 2024**

**(₹ in Crores)**

| Name of the Entity                                             | Net Assets                      |                   | Share in profit or (loss)             |                   | Share in other comprehensive income (OCI) |                | Share in total comprehensive income |                   |
|----------------------------------------------------------------|---------------------------------|-------------------|---------------------------------------|-------------------|-------------------------------------------|----------------|-------------------------------------|-------------------|
|                                                                | As % of consolidated net assets | Amount (₹)        | As % of consolidated profit or (loss) | Amount (₹)        | As % of consolidated other OCI            | Amount (₹)     | As % of consolidated total OCI      | Amount (₹)        |
| <b>Parent</b><br>Rashtriya Ispat Nigam Limited                 | 99.30%                          | (4,534.29)        | 99.88%                                | (4,848.86)        | 125.79%                                   | (80.67)        | 100.22%                             | (4,929.53)        |
| <b>Subsidiaries (Group's share)</b>                            |                                 |                   |                                       |                   |                                           |                |                                     |                   |
| <b>Indian</b><br>Eastern Investments Limited                   | 1.65%                           | (75.37)           | -0.04%                                | 1.72              | 0.51%                                     | (0.33)         | -0.03%                              | 1.39              |
| <b>Non controlling interest</b><br>Eastern Investments Limited | 1.49%                           | (67.93)           | -0.09%                                | 4.20              | 1.48%                                     | (0.95)         | -0.07%                              | 3.24              |
| <b>Associates (investment as per the equity method)</b>        |                                 |                   |                                       |                   |                                           |                |                                     |                   |
| <b>Indian</b><br>International Coal Ventures Private Limited   | -6.35%                          | 289.99            | 0.16%                                 | (7.66)            | -26.31%                                   | 16.87          | -0.19%                              | 9.21              |
| <b>Joint Ventures (investment as per the equity method)</b>    |                                 |                   |                                       |                   |                                           |                |                                     |                   |
| <b>Indian</b><br>RINL Powergrid TLT Pvt Ltd                    | 0.09%                           | (4.00)            | 0.00%                                 | -                 | 0.00%                                     | -              | 0.00%                               | -                 |
| <b>Eliminations</b>                                            | 3.82%                           | (174.62)          | 0.09%                                 | (4.20)            | -1.48%                                    | 0.95           | 0.07%                               | (3.24)            |
| <b>Total</b>                                                   | <b>100.00%</b>                  | <b>(4,566.22)</b> | <b>100.00%</b>                        | <b>(4,854.80)</b> | <b>100.00%</b>                            | <b>(64.13)</b> | <b>100.00%</b>                      | <b>(4,918.93)</b> |

# RASHTRIYA ISPAT NIGAM LIMITED

(CIN: U27109 AP1982 GOI 003404)

Regd. Office: Administrative Building, Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP), Visakhapatnam-530 031, Andhra Pradesh.

Tel: (0891) 2518249/2759482; Fax: (0891) 2518249

Email: jagadeeshm@vizagsteel.com; Website: www.vizagsteel.com;

## NOTICE

NOTICE is hereby given that the **43<sup>rd</sup> Annual General Meeting (AGM)** of the Members of **Rashtriya Ispat Nigam Limited (RINL)** for the financial year 2024-25 is scheduled to be held at **\*15:00 hrs on Monday the 22<sup>nd</sup> day of December, 2025**, at the Registered Office of the Company at Administrative Building, Rashtriya Ispat Nigam Limited (RINL), Visakhapatnam Steel Plant (VSP), Visakhapatnam – 530 031, Andhra Pradesh and through Video Conferencing ('VC') / Other Audio-Visual Means ('OAVM'), to transact the following businesses:

### **ORDINARY BUSINESS:**

**1. Adoption of audited standalone and consolidated financial statements and related reports thereon**  
**To receive, consider and adopt**

- a) the audited standalone financial statements of the company for the financial year ended 31<sup>st</sup> March, 2025 together with the Reports of the Board of Directors and Auditors thereon and comments of the Comptroller & Auditor General of India (C & AG) thereon; and
- b) the audited consolidated financial statements of the company for the financial year ended 31<sup>st</sup> March, 2025 along with Auditors Reports thereon and comments of the Comptroller & Auditor General of India (C & AG) thereon;

Accordingly, the Members are requested to consider and, if thought fit, to pass with or without modification the following resolution as an **Ordinary Resolutions**:

#### **“RESOLVED THAT**

The audited standalone financial statements along with audited consolidated financial statements of the company for the year ended 31<sup>st</sup> March, 2025, including accounting policies and notes to accounts forming part of the financials, along with the Auditors' Report thereon by statutory auditors and comments of the Comptroller & Auditor General of India (C & AG) on the accounts of the company along with management replies thereon as circulated to the members and laid before the meeting be and are hereby received, considered and adopted.”

#### **RESOLVED FURTHER THAT**

Directors' Report for the period 01<sup>st</sup> April 2024 to 31<sup>st</sup> March 2025 together with the Reports on Management Discussion and Analysis, Corporate Governance and Secretarial Audit along with other annexures as circulated to the members, be and is hereby received, considered and adopted.”

**2. No dividend declaration**

The Board of Directors of the Company has recommended not to declare any dividend for the financial year 2024-25 in view of the financial position of the Company.

Accordingly, the Members are requested to consider and, if thought fit, to pass with or without modification the following resolution as an Ordinary Resolution:

#### **“RESOLVED THAT**

Pursuant to the recommendation of the Board, the Members of the Company do hereby accord their approval for not declaring any dividend for the financial year ended 31<sup>st</sup> March, 2025.”

\*The AGM has been rescheduled to Friday, 26<sup>th</sup> December, 2025 at 11:00 Hrs.  
Please refer Addendum to the Notice at page 364

### 3. Remuneration of the Statutory Auditors

To authorize Board of Directors of the company to fix the remuneration of the Statutory Auditors of the company appointed by Comptroller & Auditor General of India (C& AG) for the financial year 2025-26, in terms of provisions of Section 139(5) read with Section 142 of the Companies Act, 2013 and in this regard to consider and if thought fit, to pass with or without modification the following resolution as an **Ordinary Resolution**.

#### “RESOLVED THAT

Pursuant to the the provisions of the section 139 (5) and section 142 and other applicable provisions of the Companies Act, 2013, the Board of Directors of the Company be and are hereby authorized to decide and fix the remuneration, out of pocket expenses, travelling expenses and other living expenses appropriately with the recommendations of Audit Committee from time to time, for the Statutory Auditors of the company, as may be appointed by the Comptroller and Auditor General of India (C & AG) and as per the terms and conditions of their appointment, for the financial year 2025-26.”

#### SPECIAL BUSINESS:

### 4. To appoint Shri Salim G Purushothaman (DIN: 08269250), as Director (Operations) of the Company

To consider and, if thought fit, to pass the following resolution as an **Ordinary Resolution**, with or without modification(s):

#### “RESOLVED THAT

Pursuant to the provisions of Sections 149, 152, 161 and other applicable provisions, if any, of the Companies Act, 2013 and rules made thereunder and in accordance with the Articles of Association of the Company, the appointment of Shri Salim G Purushothaman (DIN: 08269250) as Director (Operations) by the Hon’ble President of India pursuant to powers vested under Article No.75 of the Articles of Association of Rashtriya Ispat Nigam Limited with effect from 09<sup>th</sup> March, 2025 as per the terms and conditions as stipulated by the Government of India be and is hereby approved.”

### 5. To appoint Shri Prateek Tanwar (DIN: 11109166), as Non-Official Independent Director of the Company

To consider and, if thought fit, to pass the following resolution as an **Ordinary Resolution**, with or without modification(s):

#### “RESOLVED THAT

Pursuant to the provisions of Section 149, 152, 161 and other applicable provisions, if any, of the Companies Act, 2013 and rules made thereunder and in accordance with the Articles of Association of the Company, the appointment of Shri Prateek Tanwar (DIN: 11109166) as a Non-Official Director (Independent Director) on the Board of Rashtriya Ispat Nigam Limited, made by the Hon’ble President of India pursuant to powers vested under Article No. 75 of the Articles of Association of the Company, and who assumed charge on 16<sup>th</sup> May, 2025, be and is hereby approved.”

### 6. To appoint Shri Vinod Kumar Tripathi (DIN: 10711675), Joint Secretary, Ministry of Steel (MoS) as Part-time Official Director (Government Director)

To consider and, if thought fit, to pass the following resolution as an **Ordinary Resolution**, with or without modification(s):

#### “RESOLVED THAT

Pursuant to the provisions of Sections 149, 152, 161 and other applicable provisions, if any, of the Companies Act, 2013 and rules made thereunder and in accordance with the Articles of Association of the Company, the appointment of Shri Vinod Kumar Tripathi (DIN: 10711675), Joint Secretary, Ministry of Steel (MoS), as Part-time Official Director (Government Director) on the Board of Rashtriya Ispat Nigam Limited, made by the Hon’ble President of India pursuant to powers vested under Article No. 75 of the Articles of Association of the company with effect from 11<sup>th</sup> June, 2025 be and is hereby approved.”

**7. To appoint Shri Daya Nidhan Pandey (DIN: 06813608), Joint Secretary, Ministry of Steel (MoS) as Part-time Official Director (Government Director)**

To consider and, if thought fit, to pass the following resolution as an **Ordinary Resolution**, with or without modification(s):

**“RESOLVED THAT**

Pursuant to the provisions of Sections 149, 152, 161 and other applicable provisions, if any, of the Companies Act, 2013 and rules made thereunder and in accordance with the Articles of Association of the Company, the appointment of Shri Daya Nidhan Pandey (DIN: 06813608), Joint Secretary, Ministry of Steel (MoS), as Part-time Official Director (Government Director) on the Board of Rashtriya Ispat Nigam Limited, made by the Hon'ble President of India pursuant to powers vested under Article No. 75 of the Articles of Association of the Company with effect from 11<sup>th</sup> June, 2025 be and is hereby approved.”

**8. To ratify the remuneration of the Cost Auditors for the F.Y. 2025-26**

To consider and if thought fit, to pass, with or without modification(s), the following resolutions as **Ordinary Resolutions**:

**“RESOLVED THAT**

Pursuant to the provisions of Section 148 and all other applicable provisions of the Companies Act, 2013 read with the Companies (Audit and Auditors) Rules, 2014 (including any statutory modification(s) or re-enactment thereof for the time being in force), the remuneration of ₹1,00,000/- (Rupees One lakh only) plus applicable GST and reimbursement of travelling expenses, out of pocket expenses, boarding, lodging and local conveyance at Visakhapatnam during the audit period to M/s. Niran & Co, Firm Regn. No. 000113, Cost Accountants, Bhubaneswar for conducting the audit of Cost Records of the Company for the financial year ending on 31<sup>st</sup> March, 2026, as set out in the statement annexed to the notice convening this meeting, as approved by the Board of Directors of the Company be and is hereby ratified.

**RESOLVED FURTHER THAT**

The Board of Directors of the company be and are hereby authorised to do all such acts, deeds and things as may be necessary, proper or expedient to give effect to this resolution.”

**9. To approve the reclassification of the authorized share capital of the Company and consequent amendment to the Memorandum of Association**

To consider and, if thought fit, to pass with or without modification(s), the following resolutions as **Ordinary Resolutions**:

**“RESOLVED THAT**

Pursuant to the provisions of Section 13, 61 and 64 and all other applicable provisions, if any, of the Companies Act, 2013 and the relevant rules framed thereunder (including any statutory modification (s) or re-enactment thereof, for the time being in force) and in accordance with the applicable provisions of the memorandum and articles of association of the company and subject to the approval of Government and other authorities, if any, required, the consent of the members be and is hereby accorded to reclassify the existing authorized share capital of the Company from :

₹40,000 crores divided into 3,689 crores equity shares of ₹10/- each and 311 crores preference shares of ₹10/- each to

₹40,000 crores divided into 3,500 crores equity shares of ₹10/- each and 500 crores preference shares of ₹10/- each.

**RESOLVED FURTHER THAT**

The existing capital clause V of the memorandum of association of the company as to share capital be and is hereby altered by deleting the same and substituting in its place and stead with the following:

- V. The Authorized Share Capital of ₹40,000 crores (Rupees forty thousand crores) divided into:
1. 3500,00,00,000 (Three thousand five hundred crores) Equity Shares of ₹10/- each; and
  2. 500,00,00,000 (Five Hundred crores) Preference Shares of ₹10/- each.

**RESOLVED FURTHER THAT**

The Chairman cum Managing Director (CMD) or Director (Finance) of the company be and is hereby authorized to do all such acts, deeds, matters and things as may be considered necessary, expedient, usual or proper and to settle any questions, difficulties or doubts that may arise in this regard to reclassify the authorized share capital of the company and consequent amendment in memorandum and articles of association of the company as they may think fit including but not limited to incorporation of amendment/suggestion/observation made by the Registrar of Companies (RoC), Andhra Pradesh, to the extent applicable, without being required to seek any further consent or approval of the members of the company or otherwise to the end and intent that the members shall be deemed to have given their approval thereto expressly by the authority of this resolution."

**10. To approve the consequential amendment to the Articles of Association of the Company upon reclassification of the authorized share capital**

To consider and, if thought fit, to pass with or without modification(s), the following resolutions as **Special Resolutions**:

**"RESOLVED THAT**

Pursuant to the provisions of Section 14 and other applicable provisions, if any, of the Companies Act, 2013 and the rules made thereunder (including any statutory modifications or re-enactment thereof for the time being in force), provisions of the articles of association, and subject to the approval of the Government and other authorities, if any, required, the consent of the members be and is hereby accorded to amend Article 5 (Capital and Shares) of the Articles of Association of the Company by deleting the same and substituting in its place and stead with the following to reflect the reclassified Authorized Share Capital as follows:

**Capital and shares**

**5. The Authorized Share Capital of the company is ₹40,000 crores (Rupees forty thousand crores) divided into:**

- I. 3500,00,00,000 (Three thousand five hundred crores) Equity Shares of ₹10/- each; and
- II. 500,00,00,000 (Five Hundred crores) Preference Shares of ₹10/- each;

Provided that the Company may alter the conditions of its Memorandum of association so as to increase its share capital by such amount as it thinks expedient by issuing new shares in the manner prescribed in Section 61 of the Act.

**RESOLVED FURTHER THAT**

The Chairman cum Managing Director (CMD) or Director (Finance) of the company be and is hereby authorized to do all such acts, deeds, matters and things as may be considered necessary, expedient, usual or proper to give effect to the above resolution."

By order of the Board  
on behalf of Rashtriya Ispat Nigam Limited

Sd/-

**CS M Jagadeeshwara Rao**  
Company Secretary  
M. No: FCS – 8581

Place : Visakhapatnam  
Date : 25<sup>th</sup> November, 2025



Registered office:

Administrative Building,  
Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP),  
Visakhapatnam - 530 031, Andhra Pradesh.

CIN: U27109 AP1982 GOI 003404

Copy to: All Members, All Directors and Auditors

**Enclosures:**

1. Notes to Notice.
2. An explanatory statement pursuant to Section 102 of the Companies Act, 2013 in respect of items of special business to be transacted at the meeting.
3. A copy of the 43<sup>rd</sup> Annual Report of the company for the financial year 2024-25.

**NOTE:**

1. **A Member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself/herself and the proxy need not be a Member.**
2. The President of India may appoint one or more person(s) to represent at the Meeting.
3. Statutory Registers and documents referred to in the accompanying notice and the statement are open for inspection by the members at the registered office of the company on all working days during business hours.
4. Brief resume of the directors seeking appointment or re-appointment is annexed hereto and forms part of the Notice.
5. The relevant explanatory statement pursuant to Section 102 of the Companies Act, 2013, in respect of items of special business, as set out above is annexed hereto.
6. None of the directors of the company is in any way related with each other.
7. **Extension of time for holding Annual General Meeting:** The Registrar of Companies, Vijayawada, Andhra Pradesh (RoC), vide order dated 15<sup>th</sup> September, 2025, has granted the Company an extension of time to hold the 43<sup>rd</sup> Annual General Meeting for the financial year 2024-25 up to **31<sup>st</sup> December 2025**. The Company has convened the 43<sup>rd</sup> AGM within the extended time so granted. A copy of the ROC order is available for inspection.

*In view of the COVID 19 pandemic, the Ministry of Corporate Affairs vide its General Circular numbers 03/2025 dated 22.09.2025, 09/2024 dated 19/09/2024 read with circular numbers 09/2023 dated 25<sup>th</sup> September, 2023, 10/2022 dated 28<sup>th</sup> December, 2022, 2/2022 dated 05<sup>th</sup> May, 2022, 21/2021 dated 14<sup>th</sup> December, 2021, 19/2021 dated 08<sup>th</sup> December, 2021, 02/2021 dated 13<sup>th</sup> January, 2021, 20/2020 dated 5<sup>th</sup> May, 2020, 17/2020 dated 13<sup>th</sup> April, 2020 and 14/2020 dated 8<sup>th</sup> April, 2020 (collectively referred to as 'Circulars'), permitted the holding of the Annual General Meeting ("AGM") through Video Conferencing ("VC")/ Other Audio- Visual Means ("OAVM"), without the physical presence of the Members at a common venue and also send notice of the Meeting and other correspondences related thereto, through electronic mode whose AGMs are due in the year 2023, 2024 & 2025 to conduct their AGMs on or before 30<sup>th</sup> September, 2025. In compliance with the said requirements of the MCA Circulars, the AGM of the Company is being held through VC / OAVM and electronic copy of the Notice along with the Annual Report for the financial year ended 31<sup>st</sup> March, 2025 consisting of financial statements including Board's Report, Auditors' Report and other documents required to be attached therewith (Collectively referred to as Notice) have been sent to the members through electronic means.*



**ANNEXURE TO NOTICE**  
(43<sup>rd</sup> AGM of Rashtriya Ispat Nigam Limited for the financial year 2024-25)  
**EXPLANATORY STATEMENT TO THE**  
**SPECIAL BUSINESSES PROPOSED IN THE NOTICE**  
(Pursuant to Section 102(1) of the Companies Act, 2013)

**Item No. 4:**

**Shri Salim G Purushothaman (DIN: 08269250)** was appointed as Director (Operations) in the scale of pay of ₹75,000 – ₹1,00,000/- (pre-revised) on the Board of Rashtriya Ispat Nigam Limited (RINL) by the Hon'ble President of India vide Order No. S-14012/1/2023-BLA, dt. 07<sup>th</sup> March, 2025 issued by the Ministry of Steel (MoS) for a period with effect from the date of his assumption of charge of the post i.e. 09<sup>th</sup> March, 2025 till the date of his superannuation i.e. 31.05.2026 or until further orders, whichever is earlier.

The Board of Directors, in compliance with the said order, appointed Shri Salim G Purushothaman as an Additional Director of the Company with effect from 09<sup>th</sup> March, 2025.

In terms of Section 161(1) of the Companies Act, 2013 and in accordance with the Articles of Association of the Company, an additional director shall hold office up to the date of the next AGM or the last date on which the AGM ought to be held whichever is earlier.

As per the provisions of Sections 149, 152, 161 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder, the appointment of Shri Salim G Purushothaman as a director is required to be approved by the shareholders of the company at the ensuing annual general meeting. Therefore, the appointment of Shri Salim G Purushothaman is placed for the approval of shareholders.

A brief resume of Shri Salim G Purushothaman, inter alia, indicating his qualifications, experience and nature of expertise in specific functional areas, is annexed to this Notice.

Shri Salim G Purushothaman is not disqualified from being appointed as a director in terms of Section 164(1) of the Companies Act, 2013.

None of the directors or key managerial personnel of the company or their relatives except Shri Salim G Purushothaman himself is in any way, concerned or interested, financially or otherwise, in the resolution set out to item no. 4 of the Notice.

The Board recommends the resolution as set out at Item No. 4 of this Notice for the approval of the shareholders by way of an Ordinary Resolution.

**Item No. 5:**

**Shri Prateek Tanwar (DIN: 11109166)** was appointed as Non-Official Director i.e Independent Director on the Board of Rashtriya Ispat Nigam Limited (RINL) by the Hon'ble President of India vide Order. No. 1/1/2025-BLA, dt. 15<sup>th</sup> May, 2025 issued by Ministry of Steel (MoS) for a period of three years from the date of notification or until further orders from the MoS, whichever is earlier.

The Board of Directors, in compliance with the said order, appointed Shri Prateek Tanwar, as an Additional Director of the Company with effect from 16<sup>th</sup> May, 2025 (date of assumption).

In terms of section 161(1) of the Companies Act, 2013 and in accordance with the Articles of Association of the Company, an additional director shall hold office up to the date of the next AGM or the last date on which the AGM ought to be held whichever is earlier.

As per the provisions of Sections 149, 152, 161 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder, the appointment of Shri Prateek Tanwar as a director is required to be approved by the shareholders of the company at the ensuing annual general meeting. Therefore, the appointment of Shri Prateek Tanwar is placed for the approval of shareholders.

A brief resume of Shri Prateek Tanwar, inter alia, indicating his qualifications, experience, and nature of expertise in specific functional areas, is annexed to this Notice.

Shri Prateek Tanwar is not disqualified from being appointed as a director in terms of section 164(1) of the Companies Act, 2013.

Shri Prateek Tanwar has submitted a declaration that he meets the criteria of independence under Section 149(7) of the Act. He is not liable to retire by rotation in terms of provision of Section 149(13) of the Companies Act, 2013.

None of the directors or key managerial personnel of the company or their relatives except Shri Prateek Tanwar himself is in any way, concerned or interested, financially or otherwise, in the resolution set out to item no. 5 of the Notice.

The Board recommends the resolution as set out at item no. 5 of this Notice for the approval of the shareholders by way of an Ordinary Resolution.

#### **Item No. 6:**

**Shri Vinod Kumar Tripathi (DIN: 10711675)**, Joint Secretary, Ministry of Steel (MoS) was appointed as Part-time official director (Government Director) on the Board of Rashtriya Ispat Nigam Limited (RINL) by the Hon'ble President of India vide Order No. S-14011/1/2022-BLA, Ministry of Steel (MoS), dated 11<sup>th</sup> June, 2025 with immediate effect or until further orders whichever is earlier.

The Board of Directors, in compliance with the said order, appointed Shri Vinod Kumar Tripathi as an Additional Director of the Company with effect from 11<sup>th</sup> June, 2025.

In terms of section 161(1) of the Companies Act, 2013 and in accordance with the Articles of Association of the Company, an additional director shall hold office up to the date of the next AGM or the last date on which the AGM ought to be held whichever is earlier.

As per the provisions of Sections 149, 152, 161 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder, the appointment of Shri Vinod Kumar Tripathi as a director is required to be approved by the shareholders of the Company at the ensuing annual general meeting. Therefore, the appointment of Shri Vinod Kumar Tripathi is placed for the approval of shareholders.

A brief resume of Shri Vinod Kumar Tripathi, inter alia, indicating his qualifications, experience, and nature of expertise in specific functional areas, is annexed to this Notice.

Shri Vinod Kumar Tripathi is not disqualified from being appointed as a director in terms of section 164(1) of the Companies Act, 2013.

None of the directors or key managerial personnel of the company or their relatives except Shri Vinod Kumar Tripathi himself is in any way, concerned or interested, financially or otherwise, in the resolution set out to item no. 6 of the Notice.

The Board recommends the resolution as set out at item no. 6 of this Notice for the approval of the shareholders by way of an Ordinary Resolution.

**Item No. 7:**

**Shri Daya Nidhan Pandey (DIN: 06813608)**, Joint Secretary, Ministry of Steel (MoS) was appointed as Part-time official director (Government Director) on the Board of Rashtriya Ispat Nigam Limited (RINL) by the Hon'ble President of India vide Order No. S-14011/1/2022-BLA, Ministry of Steel (MoS), dated 11th June, 2025 with immediate effect or until further orders whichever is earlier.

The Board of Directors, in compliance with the said order, appointed Shri Daya Nidhan Pandey as an Additional Director of the Company with effect from 11<sup>th</sup> June, 2025.

In terms of section 161(1) of the Companies Act, 2013 and in accordance with the Articles of Association of the Company, an additional director shall hold office up to the date of the next AGM or the last date on which the AGM ought to be held whichever is earlier.

As per the provisions of Sections 149, 152, 161 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder, the appointment of Shri Daya Nidhan Pandey as a Director is required to be approved by the shareholders of the Company at the ensuing annual general meeting. Therefore, the appointment of Shri D.N. Pandey is placed for the approval of shareholders.

A brief resume of Shri Daya Nidhan Pandey, inter alia, indicating his qualifications, experience, and nature of expertise in specific functional areas, is annexed to this Notice.

Shri Daya Nidhan Pandey is not disqualified from being appointed as a director in terms of section 164(1) of the Companies Act, 2013.

None of the directors or key managerial personnel of the company or their relatives except Shri Daya Nidhan Pandey himself is in any way, concerned or interested, financially or otherwise, in the resolution set out to item no. 7 of the Notice.

The Board recommends the resolution as set out at item no. 7 of this Notice for the approval of the shareholders by way of an Ordinary Resolution.

**Item No. 8:**

Section 148(3) of the Companies Act, 2013 read with Rule 14 of the Companies (Audit & Auditors) Rules, 2014 requires that remuneration of the Cost Auditors as recommended by the Audit Committee shall be considered and approved by the Board of Directors and ratified subsequently by the shareholders.

The Board of Directors in its 376<sup>th</sup> Meeting held on 31<sup>st</sup> July, 2025, has approved the appointment and remuneration to M/s Niran & Co., Cost Accountants (Registration No. 000113), Bhubaneswar, Cost Auditors of the company to conduct audit of cost records made and maintained by the company pertaining to its products for the F.Y. 2025-26 on the following terms:

- (i) Fee for cost audit of FY 2025-26 is ₹1,00,000/- ( Rupees one lakh only)
- (ii) Goods & Service Tax (GST) shall be paid extra, as applicable.
- (iii) While on tour, the cost auditors will be reimbursed travelling expenses on production of bills. In case of Partners travel by air-economy class and in case of Audit Assistants travel by II-AC by train is allowed.
- (iv) Boarding, lodging and local conveyance at Visakhapatnam will be provided by RINL at Visakhapatnam during Audit period.

- (v) In addition, the cost auditors will also be entitled for out of pocket expenses on actual basis with a cap of 10% of audit fee.

M/s Niran & Co., have furnished a certificate regarding their eligibility for appointment as Cost Auditors of the Company.

Accordingly, consent of the members is sought by passing of an ordinary resolution for ratification of the remuneration payable to the Cost Auditors for the financial year 2025-26.

None of the directors or key managerial personnel of the company or their relatives is in any way, concerned or interested, financially or otherwise, in the resolution as set out at item no. 8 of the notice.

The Board recommends the resolution for approval of the Shareholders.

#### **Item No. 9 & 10:**

As part of the revival plan for Rashtriya Ispat Nigam Limited (RINL), the Ministry of Steel (MoS) has agreed to convert a working capital loan amounting to ₹1,140 crores into preference share capital. Further, vide its letter dated 28<sup>th</sup> March, 2025, the Ministry has requested the Government of Andhra Pradesh to consider the proposal for conversion of outstanding electricity dues to the extent of ₹2,400 crores into preference share capital, either directly or through Andhra Pradesh Eastern Power Distribution Company Limited (APEPDCL).

As per the extant clause V of the memorandum of association and article 5 of the articles of association, the present authorized share capital of the company as on latest date is ₹40,000 crores (Rupees Forty thousand crores) divided into:

- a) 3,689 crores (Three thousand six hundred eighty-nine crores) equity shares of ₹10/- each, and
- b) 311 crores (Three hundred eleven crores) preference shares of ₹10/- each.

The aggregate requirement under the aforesaid two proposals amounts to ₹3,540 crores (i.e. ₹1,140 crores of working capital loan and ₹2,400 crores of electricity dues). In order to accommodate the same and to provide sufficient headroom for any future proposals, it is proposed to enhance the authorized preference share capital limit from the existing ₹3,110 crores to ₹5,000 crores. This enhancement is intended to avoid the necessity of undergoing repeated procedural formalities for similar proposals in future.

Accordingly, it is proposed to reclassify the authorized share capital. The proposed reclassification would remain within the overall ceiling of ₹40,000 crores but will be restructured as under:

- ❖ ₹ 3,500 crores (Three thousand five hundred crores) equity shares of ₹10/- each; and
- ❖ ₹ 500 crores (Five hundred crores) preference shares of ₹10/- each.

Accordingly, the Board of Directors pursuant to Sections 13 and 61 of the Companies Act, 2013 and rules made thereunder, has recommended the proposal to reclassify the authorized share capital of the company from ₹40,000 crores divided into 3,689 crores equity shares of ₹10/- each and 311 crores preference shares of ₹10/- each to ₹40,000 crores divided into 3,500 crores equity shares of ₹10/- each and 500 crores preference shares of ₹10/- each.

Pursuant to the provisions of the Companies Act, 2013 and applicable rules made thereunder and subject to provisions of the memorandum and articles of association of the company the approval of the members (i.e. Hon'ble President of India through Ministry of Steel) is required to reclassify the authorized share capital of the company and alteration in the memorandum and articles of association of the company.



The Board of Directors, in its 376<sup>th</sup> meeting held on 31<sup>st</sup> July, 2025, considered and approved the proposal and recommends the resolutions as set out at item nos. 9 and 10 of the accompanying notice for approval of the members as:

❖ **Item No. 9** – by means of an **Ordinary Resolution**; and

❖ **Item No. 10** – by means of a **Special Resolution**.

**Inspection of Documents:** A copy of the existing and proposed draft memorandum and articles of association of the company, along with other relevant documents referred to in the accompanying notice and explanatory statement, shall be available for inspection by the members at the registered office of the company during business hours on all working days up to the date of the annual general meeting. The documents will also be made available for inspection at the meeting.

None of the directors or key managerial personnel of the Company or their respective relatives are, in any way, financially or otherwise, interested in the resolution, except to the extent of the shareholding held by any director on behalf of the Hon'ble President of India acting through the Ministry of Steel.

The Board commends the resolution set out in the accompanying notice for approval of the members.

By order of the Board  
on behalf of Rashtriya Ispat Nigam Limited

Sd/-

**CS M Jagadeeshwara Rao**  
Company Secretary  
M. No: FCS – 8581

Place : Visakhapatnam

Date : 25<sup>th</sup> November, 2025

**Registered office:**

Administrative Building,  
Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP),  
Visakhapatnam - 530 031, Andhra Pradesh.

**CIN: U27109 AP1982 GOI 003404**

### ANNEXURE TO NOTICE

#### Brief Resume of the Directors proposed in the resolutions to the Notice of 43<sup>rd</sup> AGM for the F.Y.2024-25

| Name                                  | <b>Mr. Salim G Purushothaman</b><br>Director (Operations)<br>w.e.f. 09.03.2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | <b>Mr. Prateek Tanwar</b><br>Independent Director<br>w.e.f. 16.05.2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | <b>Mr. Vinod Kumar Tripathi</b><br>Government Director<br>w.e.f. 11.06.2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | <b>Mr. Daya Nidhan Pandey</b><br>Government Director<br>w.e.f. 11.06.2025                                                                                                                                                                                                                                                                                                                                                                                        |
|---------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| DIN                                   | 08269250                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 11109166                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 10711675                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | 06813608                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Date of Birth & Age                   | 24 <sup>th</sup> May, 1966 & 59 years                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 10 <sup>th</sup> May, 1970 & 55 years                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 01 <sup>st</sup> January, 1968 & 57 years                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 03 <sup>rd</sup> July, 1976 & 49 years                                                                                                                                                                                                                                                                                                                                                                                                                           |
| Date of Appointment                   | 09 <sup>th</sup> March 2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 16 <sup>th</sup> May, 2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | 11 <sup>th</sup> June, 2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | 11 <sup>th</sup> June, 2025                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Qualifications                        | B.Tech., M.Tech., Ph.D                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | B.Sc (H), LL.B                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | B.Tech (Civil Engineering)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | B.A, M.A, M.P.A                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
| Expertise in specific functional Area | <p>Mr. Salim G. Purushothaman is a Mechanical Engineer by qualification and obtained his Doctorate from Lincoln University College, Malaysia in 2023.</p> <p>He began his professional career as a Management Trainee (Technical) with SAIL, Bokaro in 1988, where he served in the Thermal Power Plant until December 1996. Thereafter, he joined RINL in December 1996 and held various key responsibilities.</p> <p>In October 2018, he was selected and appointed as Director (Production) at Braithwaite &amp; Co. Ltd. Subsequently, he was appointed as Director (Operations), RINL, and assumed charge on 9<sup>th</sup> March, 2025.</p> | <p>Advocate Prateek Tanwar holds a B.Sc. (Hons.) in Electronics &amp; Communication from Delhi University and an LL.B. from Chaudhary Charan Singh (CCS) University.</p> <p>He is an advocate at Supreme Court of India and Delhi High Court.</p> <p>He has over 15 years of experience in litigation, with specialization in Civil, Criminal, Matrimonial, and Commercial recovery matters. He is presently serving as a Senior Panel Counsel, Union of India, Delhi High Court and is also empaneled as a Panel Counsel for the State Bank of India.</p> | <p>Mr. Vinod Kumar Tripathi is a 1995 batch officer of the Indian Railway Service of Engineers (IRSE) Cadre and holds a B.Tech. in Civil Engineering from IIT Roorkee.</p> <p>He has over 28 years of rich experience in the areas of infrastructure development, public policy, construction, steel industry, procurement &amp; supply, contract management, arbitration, and disaster management.</p> <p>Over the course of his career, Mr. Tripathi has held several key positions, including Executive Director at the Railway Land Development Authority and Joint Secretary in the Ministry of Steel, Government of India, where he contributed significantly to policy formulation and implementation.</p> | <p>Mr. Daya Nidhan Pandey is a 2006 batch officer of the Indian Administrative Service (IAS). He holds B.A., M.A., and M.P.A. degrees.</p> <p>He has extensive administrative experience and has held several key positions in both the Central and State Governments.</p> <p>He is presently serving as Joint Secretary, Ministry of Steel, Government of India, and has also served as Director, Revenue and Land Reforms Department, Government of Bihar.</p> |



**ANNEXURE TO NOTICE**
**Brief Resume of the Directors proposed in the resolutions to the Notice of 43<sup>rd</sup> AGM for the F.Y.2024-25**

|                                                                             |                                       |                                                                                                                                           |                 |                                       |
|-----------------------------------------------------------------------------|---------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|-----------------|---------------------------------------|
| Directorship held in other Companies                                        | Nil                                   | Nil                                                                                                                                       | MECON           | MECON                                 |
| Membership/ Chairmanship of Committees in RINL                              | Nomination and Remuneration Committee | 1) Audit Committee<br>2) Nomination and Remuneration Committee<br>3) Corporate Social Responsibility & Sustainability (CSR & S) Committee | Audit Committee | Nomination and Remuneration Committee |
| Membership/ Chairmanship of Committees of other Companies (other than RINL) | Nil                                   | Nil                                                                                                                                       | Nil             | Nil                                   |
| No. of Shares held in RINL*                                                 | 100                                   | Nil                                                                                                                                       | 100             | 100                                   |

\* Shares held for and on behalf of the President of India as a Nominee.

Note: The details in the above table are as on notice date.

**RASHTRIYA ISPAT NIGAM LIMITED**

(CIN: U27109AP1982GOI003404)

**Regd. Office:** Administrative Building, Visakhapatnam Steel Plant (VSP),  
Visakhapatnam 530 031.Website: [www.vizagsteel.com](http://www.vizagsteel.com); email: [jagadeeshm@vizagsteel.com](mailto:jagadeeshm@vizagsteel.com);

Tel &amp; Fax: (0891) 2518249.

**‘NOTICE OF RESCHEDULED 43<sup>RD</sup> ANNUAL GENERAL MEETING(AGM)’  
AND ‘ADDENDUM TO THE NOTICE’**(Original Notice dt. 25<sup>th</sup> November, 2025)

(For the Financial Year 2024-25)

**NOTICE OF RESCHEDULED 43<sup>RD</sup> ANNUAL GENERAL MEETING**

**NOTICE** is hereby given that the 43<sup>rd</sup> Annual General Meeting (AGM) of the Members of Rashtriya Ispat Nigam Limited (RINL), which was originally scheduled to be held on Monday, 22<sup>nd</sup> December, 2025 at 15:00 hours at the Registered Office of the Company situated at Administrative Building, Visakhapatnam Steel Plant, RINL, Visakhapatnam – 530 031, Andhra Pradesh, and through Video Conferencing (VC) / Other Audio Visual Means (OAVM), has been **rescheduled**.

Accordingly, the 43<sup>rd</sup> AGM will now be held on **Friday, 26<sup>th</sup> December, 2025 at 11:00 hours**, at the same venue and through the same mode, to transact the businesses as set out in the Original Notice dated 25<sup>th</sup> November, 2025, together with the Addendum to the Original Notice set out below.

**ADDENDUM TO THE NOTICE**

This Addendum forms part of the Original Notice dated 25<sup>th</sup> November, 2025 and shall be read together with the Original Notice.

Whereas circumstances have arisen after the publication of the Original Notice requiring certain additions/modifications thereto, Members are hereby notified as follows:

Except for the aforesaid revisions and addition of item no. 11, all other agenda items, explanatory statements, and terms and conditions as contained in the Original Notice dated 25<sup>th</sup> November, 2025 shall remain unchanged and continue to be in full force and effect.

Addition of Item no. 11 to the Original Notice.

**SPECIAL BUSINESS:****11. To appoint Shri Vinay Kumar (DIN: 11423947), as Director (Finance) of the Company**

To consider and, if thought fit, to pass the following resolution as an Ordinary Resolution, with or without modification(s):

**“RESOLVED THAT**

Pursuant to the provisions of Sections 149, 152, 161 and other applicable provisions, if any, of the Companies Act, 2013 and rules made thereunder and in accordance with the Articles of Association of the Company, the appointment of Shri Vinay Kumar (DIN: 11423947) as Director (Finance) by the Hon’ble President of India pursuant to powers vested under Article No.75 of the Articles of Association of Rashtriya Ispat Nigam Limited with effect from 12<sup>th</sup> December, 2025 as per the terms and conditions as stipulated by the Government of India be and is hereby approved.”

By order of the Board  
On behalf of Rashtriya Ispat Nigam Limited

Sd/-  
CS M Jagadeeshwara Rao  
Company Secretary  
M. No: FCS – 8581

Date : 18<sup>th</sup> December, 2025

Place : Visakhapatnam.

**Registered office:**

Administrative Building,  
Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP),  
Visakhapatnam - 530 031, Andhra Pradesh.

**CIN** : U27109 AP1982 GOI 003404

**Copy to** : All Members, All Directors and Auditors

**Enclosures:**

1. Notes to Notice.
2. An explanatory statement pursuant to Section 102 of the Companies Act, 2013 in respect of special business to be transacted at the meeting.

**NOTE :**

1. **A Member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself/herself and the proxy need not be a Member.**
2. The President of India may appoint one or more person(s) to represent at the Meeting.
3. Statutory Registers and documents referred to in the accompanying notice and the statement are open for inspection by the members at the registered office of the company on all working days during business hours.
4. Brief resume of the directors seeking appointment or re-appointment is annexed hereto and forms part of the Notice.
5. The relevant explanatory statement pursuant to Section 102 of the Companies Act, 2013, in respect of items of special business, as set out above is annexed hereto.
6. None of the directors of the company is in any way related with each other.
7. **Extension of time for holding Annual General Meeting:** The Registrar of Companies, Vijayawada, Andhra Pradesh (RoC), vide order dated 15<sup>th</sup> September, 2025, has granted the Company an extension of time to hold the 43<sup>rd</sup> Annual General Meeting for the financial year 2024-25 up to **31<sup>st</sup> December 2025**. The Company has convened the 43<sup>rd</sup> AGM within the extended time so granted. A copy of the ROC order is available for inspection.

*In view of the COVID 19 pandemic, the Ministry of Corporate Affairs vide its General Circular numbers 03/2025 dated 22.09.2025, 09/2024 dated 19/09/2024 read with circular numbers 09/2023 dated 25<sup>th</sup> September, 2023, 10/2022 dated 28<sup>th</sup> December, 2022, 2/2022 dated 05<sup>th</sup> May, 2022, 21/2021 dated 14<sup>th</sup> December, 2021, 19/2021 dated 08<sup>th</sup> December, 2021, 02/2021 dated 13<sup>th</sup> January, 2021, 20/2020 dated 5<sup>th</sup> May, 2020, 17/2020 dated 13<sup>th</sup> April, 2020 and 14/2020 dated 8<sup>th</sup> April, 2020 (collectively referred to as 'Circulars'), permitted the holding of the Annual General Meeting ("AGM") through Video Conferencing ("VC")/ Other Audio- Visual Means ("OAVM"), without the physical presence of the Members at a common venue and also send notice of the Meeting and other correspondences related thereto, through electronic mode whose AGMs are due in the year 2023, 2024 & 2025 to conduct their AGMs on or before 30<sup>th</sup> September, 2025. In compliance with the said requirements of the MCA Circulars, the AGM of the Company is being held through VC / OAVM and electronic copy of the Notice along with the Annual Report for the financial year ended 31<sup>st</sup> March, 2025 consisting of financial statements including Board's Report, Auditors' Report and other documents required to be attached therewith (Collectively referred to as Notice) have been sent to the members through electronic means.*

## Annexure to ADDENDUM TO THE NOTICE OF 43<sup>rd</sup> AGM

### EXPLANATORY STATEMENT TO THE SPECIAL BUSINESS PROPOSED IN THE NOTICE (Pursuant to Section 102(1) of the Companies Act, 2013)

**Item No. 11:**

Shri Vinay Kumar (DIN: 11423947) was appointed as Director (Finance) on the Board of Rashtriya Ispat Nigam Limited (RINL) by the Hon'ble President of India vide Order No. S-14012/1/2024-BLA, dt. 10<sup>th</sup> December, 2025 issued by the Ministry of Steel (MoS) for a period of five (05) years w.e.f. the date of his assumption of charge of the post i.e. 12.12.2025 or until further orders, whichever is earlier.

The Board of Directors, in compliance with the said order, appointed Shri Vinay Kumar as an Additional Director of the Company with effect from 12<sup>th</sup> December, 2025.

In terms of Section 161(1) of the Companies Act, 2013 and in accordance with the Articles of Association of the Company, an additional director shall hold office up to the date of the next AGM or the last date on which the AGM ought to be held whichever is earlier.

As per the provisions of Sections 149, 152, 161 and other applicable provisions of the Companies Act, 2013 and the rules made thereunder, the appointment of Shri Vinay Kumar as a director is required to be approved by the shareholders of the company at the ensuing Annual General Meeting. Therefore, the appointment of Shri Vinay Kumar is placed for the approval of shareholders.

A brief resume of Shri Vinay Kumar, inter alia, indicating his qualifications, experience and nature of expertise in specific functional areas, is annexed to this Notice.

Shri Vinay Kumar is not disqualified from being appointed as a director in terms of Section 164(1) of the Companies Act, 2013.

None of the directors or key managerial personnel of the company or their relatives except Shri Vinay Kumar himself is in any way, concerned or interested, financially or otherwise, in the resolution set out to item no. 11 of the Notice.

The Board recommends the resolution as set out at Item No. 11 of this Notice for the approval of the shareholders by way of an Ordinary Resolution.

By order of the Board

On behalf of Rashtriya Ispat Nigam Limited

Sd/-

(M Jagadeeshwara Rao)

Company Secretary

M. No: FCS – 8581

Date : 18<sup>th</sup> December, 2025

Place: Visakhapatnam

## Brief Resume of the Director proposed in the Resolution to the Addendum to the Notice of 43<sup>rd</sup> AGM for the F.Y. 2024-25

|                                                                             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Name & Designation                                                          | Shri Vinay Kumar, Director (Finance)                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| DIN                                                                         | 11423947                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Date of Birth & Age                                                         | 10 <sup>th</sup> December, 1974 & 51 Yrs.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| Date of Appointment                                                         | 12 <sup>th</sup> December, 2025                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Qualifications                                                              | Chartered Accountant (CA) from ICAI                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Expertise in specific functional Area                                       | <p>Shri Vinay Kumar, GM (Finance), has completed his B.A (Hons) in Economics in the year 1995 and Chartered Accountant course from ICAI in the year 1999 and he joined Central Marketing Organization (CMO) of SAIL in 2001.</p> <p>He is a finance professional with over 25 years of experience in taxation, financial systems, policy formulation, and strategic planning in SAIL. He has driven major savings through VAT implementation, excise settlement, LC discounting strategies, GST-related process improvements, and working capital optimization. He played key roles in ERP implementation, BI report development, steel demand forecasting, and national-level committees. As Head of the Market Analyst Group, he contributed to SAIL's business planning and modernization initiatives. A recipient of the Best Executive (Jawahar) Award in the year 2015-16</p> <p>He was responsible for indirect taxation for all SAIL plants and units, while also assisting Director (Finance) in efforts to maximize SAIL's topline.</p> |
| Directorship held in other Companies                                        | Nil                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Membership/ Chairmanship of Committees in RINL                              | Nil                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Membership/ Chairmanship of Committees of other Companies (other than RINL) | Nil                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| No. of Shares held in RINL                                                  | Nil                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |

Note: The details in the above table are as on this notice date.

**Form No. MGT-11****Proxy form**

*[Pursuant to Section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014]*

CIN : U27109AP1982GOI003404

Name of the company : **RASHTRIYA ISPAT NIGAM LIMITED**

Registered office : Administrative Building, Rashtriya Ispat Nigam Limited (RINL),  
Visakhapatnam Steel Plant (VSP), Visakhapatnam 530 031

Website : www.vizagsteel.com; Tel: (0891) 2518249/2759482.

Email : jagadeeshm@vizagsteel.com;

Name of the member (s) :

Registered address :

E-mail Id :

Folio No/ Client Id :

DP ID :

I/We, being the member (s) holding.....shares of the above named company,  
hereby appoint:

1. Name :  
Address :  
E-mail Id :  
Signature : ....., or failing him
2. Name :  
Address :  
E-mail Id :  
Signature : ....., or failing him
3. Name :  
Address :  
E-mail Id :  
Signature : .....,

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the 43<sup>rd</sup> Annual General Meeting of the company, to be held at 11:00 hrs on Friday the 26<sup>th</sup> day of December, 2025 at Registered Office, Administrative Building, Rashtriya Ispat Nigam Limited (RINL), Visakhapatnam Steel Plant, Visakhapatnam–530 031 and at any adjournment thereof in respect of such resolutions as are indicated below:





| Sl. No.           | Resolutions                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | Vote<br>(Please mention no. of shares) |         |         |
|-------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------|---------|---------|
|                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | For                                    | Against | Abstain |
| Ordinary Business |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                        |         |         |
| 1.                | To receive, consider and adopt<br>a) the audited standalone financial statements of the company for the financial year ended 31 <sup>st</sup> March, 2025 together with the Reports of the Board of Directors and Auditors thereon and comments of the Comptroller & Auditor General of India (C & AG) thereon; and<br>b) the audited consolidated financial statements of the company for the financial year ended 31 <sup>st</sup> March, 2025 along with Auditors Reports thereon and comments of the Comptroller & Auditor General of India (C&AG) thereon. |                                        |         |         |
| 2.                | No dividend declaration for the Financial Year 2024-25.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                        |         |         |
| 3.                | To authorize Board of Directors of the Company to fix the Remuneration of the Statutory Auditors of the company appointed by Comptroller & Auditor General of India (C & AG) for the financial year 2025-26, in terms of provisions of Section 139(5) read with Section 142 of the Companies Act, 2013.                                                                                                                                                                                                                                                         |                                        |         |         |
| Special Business  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                        |         |         |
| 4.                | To appoint Shri Salim G Purushothaman (DIN: 08269250), as Director (Operations) of the Company                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                        |         |         |
| 5.                | To appoint Shri Prateek Tanwar (DIN: 11109166), as Non-Official Independent Director of the Company                                                                                                                                                                                                                                                                                                                                                                                                                                                             |                                        |         |         |
| 6.                | To appoint Shri Vinod Kumar Tripathi (DIN: 10711675) Joint Secretary, Ministry of Steel (MoS) as Part-time Official Director (Government Director)                                                                                                                                                                                                                                                                                                                                                                                                              |                                        |         |         |
| 7.                | To appoint Shri Daya Nidhan Pandey (DIN: 06813608) Joint Secretary, Ministry of Steel (MoS) as Part-time Official Director (Government Director)                                                                                                                                                                                                                                                                                                                                                                                                                |                                        |         |         |
| 8.                | To ratify the remuneration of the Cost Auditors for the F.Y. 2025-26                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                                        |         |         |
| 9.                | To approve the reclassification of the authorized share capital of the Company and consequent amendment to the Memorandum of Association                                                                                                                                                                                                                                                                                                                                                                                                                        |                                        |         |         |
| 10                | To approve the consequential amendment to the Articles of Association of the Company upon reclassification of the authorized share capital                                                                                                                                                                                                                                                                                                                                                                                                                      |                                        |         |         |
| 11.               | To appoint Shri Vinay Kumar (DIN: 11423947) as Director (Finance) of the company                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                        |         |         |

Signed on this .....day of .....2025

Signature of shareholder

Signature of Proxy holder(s): \_\_\_\_\_, \_\_\_\_\_, \_\_\_\_\_

**Note:** This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.

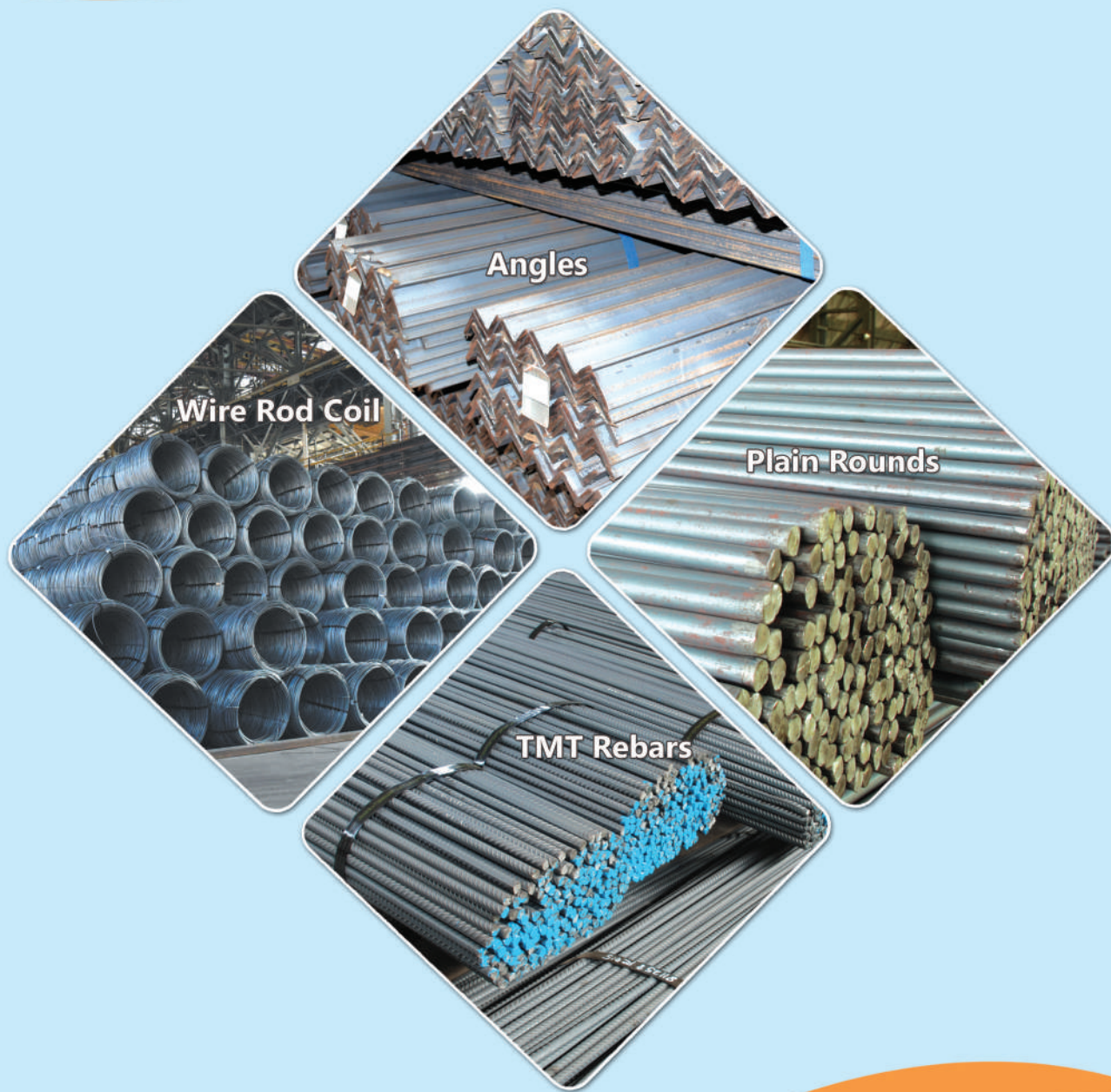
## NOTES

## NOTES

## NOTES

# RINL Marketing Network





## RASHTRIYA ISPAT NIGAM LIMITED

( A Govt. of India Enterprise )

CIN: U27109AP1982GOI003404

### Visakhapatnam Steel Plant

Visakhapatnam-530031, Andhra Pradesh

ISO 9001:2015, ISO 14001:2015, ISO 27001:2013, ISO 50001:2018 & OHSMS 45001:2018 Certified Company